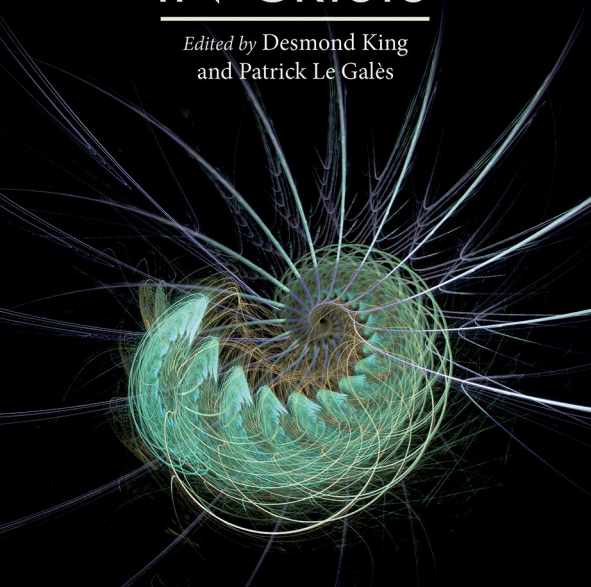


OXFORD

RECONFIGURING EUROPEAN STATES IN CRISIS

Edited by Desmond King
and Patrick Le Galès



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DESMOND KING AND
PATRICK LE GALÈS

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Contents

<i>List of Figures</i>	ix
<i>List of Tables</i>	xi
<i>List of Contributors</i>	xiii

1. Introduction: A Reconfigured State? European Policy
States in a Globalizing World 1
Patrick Le Galès and Desmond King

PART I. CHANGING SCALES OF EUROPEAN STATES

2. Nation-State to Member State: Trajectories of State
Reconfiguration and Recomposition in Europe 45
Christopher Bickerton
3. The Rise of Non-State Authority and the Reconfiguration
of the State 62
Philipp Genschel and Bernhard Zangl
4. From the Nation-State to the Global Polity 78
Sabino Cassese
5. Unbundling Sovereign Rights through Incomplete
Contracting: Empowering European Transnational
Networks beyond the State 97
Hendrik Spruyt
6. The Territorial State 121
Michael Keating

PART II. CAPITALISM AGAINST THE STATE?

7. A New Regime: The Consolidation State 139
Wolfgang Streeck
8. European Integration and the Evolution of Economic State
Capacities in Southern and Eastern Europe 158
Laszlo Bruszt and Visnja Vukov
9. The Reshaping of Economic Markets and the State: Economic
Crisis and State Changes 179
Mark Thatcher

- 10. State Action in Financial Times 201
Cornelia Woll
- 11. Financial Integration and the National State 215
Erik Jones and Gregory W. Fuller
- 12. The Limitations of the Limited State: Neoliberal Theory
Meets the Real World 232
Colin Crouch

PART III. RATIONALIZATION AND KNOWLEDGE

- 13. The Neo-Managerial Turn of Bureaucratic States: More Steering,
More Devolution 251
Philippe Bezes
- 14. Tracking the State in a Liberal Economy: Empirical Indicators
and Irish Experience 279
Niamh Hardiman
- 15. Governing Futures: States and the Management of Expectations 298
Jenny Andersson
- 16. Measuring and Restructuring the State: Debt Metrics and the
Control of Present and Future Political Order 313
Benjamin Lemoine
- 17. The Reconfiguration of the Welfare State in Europe: Paying its
Way in an Age of Austerity 331
Bruno Palier and Colin Hay

PART IV. SECURITY AND DEMOCRACY

- 18. Transformations of the State's Use of Force in Europe 353
Fabien Jobard
- 19. Defence Policy and the European State: Insights from American
Experience 377
Anand Menon
- 20. States of Crisis 394
Olivier Borraz and Lydie Cabane
- 21. Social Movements, Democracy, and the State 413
Donatella della Porta

22. Assimilation, Security, and Borders in the Member States <i>Desmond King, Patrick Le Galès, and Tommaso Vitale</i>	428
23. Conclusion: The Making of a Transnational, Capitalist Policy Member State <i>Desmond King and Patrick Le Galès</i>	451
<i>Index</i>	469

List of Figures

7.1 Government expenditure, tax revenue, and government debt in OECD countries, 1970–2014.	147
14.1 Total number of state agencies, 1923–2014.	286
14.2 Agency termination by type.	287
14.3 State agencies by function.	289
18.1 Prisoners according to offences, France, 1980–2011.	362
18.2 Criminalization and attrition in England and Wales, 1990s.	366
18.3 Criminalization and attrition in France, 2010.	366
18.4 Criminalization and attrition in Germany, 2009.	367
18.5 Simplified model of the criminal justice system in France, 2000s.	368
22.1 Asylum applications (non-EU) in the EU28 member states, 2005–15 (thousands).	439
22.2 Non-EU citizens subject to the enforcement of immigration legislation in EU, 2008–14.	439
22.3 Main citizenships of persons ordered to leave an EU28 member state, 2013–14.	440

List of Tables

2.1 Fiscal councils	52
3.1 Varieties of non-state authority	65
3.2 State management of non-state authority	70
8.1 Effectiveness of judiciary	165
8.2 State restructuring: supply-side policies in the East and South, 2007	166
9.1 Apparent reductions in the state's direct role in markets	185
9.2 OECD data on state controls	188
9.3 State roles and direct instruments for shaping markets	193
10.1 Net costs of bank bailout schemes, 2008–11	207
13.1 Reinforcing methods of steering and controlling bureaucracies in Western Europe	254
13.2 Combining steering and delegation	262
17.1 Paradigms, principles, and policies summarized and compared	335
17.2 The partial transition to social investment	345

List of Contributors

Jenny Andersson is CNRS Research Professor, Centre d'études européennes de Sciences Po and Director of the MaxPo (joined centre between the MPIfG Cologne and Sciences Po).

Philippe Bezes is CNRS Research Professor, Centre d'études européennes de Sciences Po.

Christopher Bickerton is University Lecturer in Politics at POLIS and an Official Fellow at Queens' College, University of Cambridge.

Olivier Borraz is CNRS Research Professor and Directeur, Centre de Sociologie des Organisations, Sciences Po.

Laszlo Bruszt is Professor of Sociology at the European University Institute, Florence.

Lydie Cabane is a Research Officer at the Centre for the Analysis of Risk and Regulation, London School of Economics.

Sabino Cassese is Professor Emeritus at Scuola Normale Superiore di Pisa, Italy, and a former judge of the Constitutional Court of Italy.

Colin Crouch is Professor Emeritus of Governance and Public Management, University of Warwick Business School and External Scientific Member, Max-Planck-Institut für Gesellschaftsforschung, Cologne.

Donatella della Porta is Dean of the Institute of Humanities and Social Sciences and Director of the Centre of Social Movement Studies, Scuola Normale Superiore di Firenze, Italy.

Gregory W. Fuller is Assistant Professor, Department of International Relations, University of Groningen.

Philipp Genschel is Joint Chair in European Public Policy, Robert Schuman Center for Advanced Studies and Social and Political Sciences, European University Institute, Florence.

Niamh Hardiman is Professor of Political Science and Public Policy at University College, Dublin.

Colin Hay is Professor of Political Science, Centre d'études européennes, de Sciences Po.

Fabien Jobard is CNRS Research Professor, Centre Marc Bloch, Berlin.

Erik Jones is Director of European and Eurasian Studies and Professor of European Studies at the Paul H. Nitze School of Advanced International Studies of the Johns Hopkins University, and Senior Research Fellow, Nuffield College, Oxford.

Michael Keating holds the Chair in Scottish Politics at the University of Aberdeen.

Desmond King holds the Andrew W. Mellon Chair of American Government at the University of Oxford.

Patrick Le Galès is CNRS Research Professor of Sociology and Politics, at Sciences Po, Centre d'études européennes, and Dean of Sciences Po Urban School.

Benjamin Lemoine is CNRS Senior Research Fellow in Political Science, IRISSE, University of Dauphine.

Anand Menon is Professor of European Politics and Foreign Affairs at King's College, London.

Bruno Palier is CNRS Research Professor, Centre d'études européennes, de Sciences Po, and Co-Director of LIEPP.

Hendrik Spruyt is the Norman Dwight Harris Professor of International Relations at Northwestern University.

Wolfgang Streeck is Emeritus Director of the Max Planck Institute for the Study of Societies, Cologne.

Mark Thatcher is Professor of Comparative and International Politics at the London School of Economics and Political Science.

Tommaso Vitale is Associate Professor of Sociology at Sciences Po, Centre d'Etudes Européennes, Paris.

Visnja Vukov is Post-Doctoral Research Fellow at the European University Institute, Florence.

Cornelia Woll is Vice President for Studies and Academic Affairs, Professor of Political Science, Centre d'études européennes, Sciences Po, Paris.

Bernhard Zangl is Professor of Political Science and Chair of Global Governance and Public Policy at Ludwig-Maximilians University.

Introduction

A Reconfigured State? European Policy States in a Globalizing World

Patrick Le Galès and Desmond King

Refugee crisis, financial and economic crisis, climate crisis, political crisis, the demise of party systems, the rise of populism and of the bilious right, electoral pressure for public service efficacy and the delivery of collective goods concurrent with weaker tax raising powers and weakened infrastructure: European states stand challenged on a variety of dimensions and face many competing demands. As political theorist John Dunn suggests: ‘The passions on which it—the state—reckons, and on which it must thus rest most of its weight, may be principally hope or fear; but the balance between the two shifts from state to state and from time to time’ (Dunn 2013: 8). European states do not seem to inspire much hope these days, and not too much fear either—except for migrants and refugees. Disenchantment, dysfunctionality, desacralisation, and sometimes a lack of relevance despite notable activism, characterize European states. Democratic states are less effective in solving collective problems, and less able to protect their populations, to deliver collective goods, or to tax the rich and mammoth international firms. This book is an inquiry about the reconfiguration of European (more or less) democratic states in crisis, their organization, their capacities, their activities, and their legitimacy, in comparative terms.

The book argues that processes of Europeanization and globalization have been the main factors undermining state capacity to exercise authority, to control their economies, and to defend their territories (Bartolini 2005). Rescaling is the first major dynamic of state reconfiguration, leading also to the development of new capacities and domains of intervention, including the old Hobbesian cores of policing and war. We argue that European states have become firstly policy states. Further, the fact that internal reforms to the state

often occur in response to democratic pressures is a second dynamic of reconfiguration. European states are also capitalist states. Their reconfiguration is explained by the interaction and interdependence within a globalizing financial capitalism, which limits their room of manoeuvre even as they modify their policy instruments to influence the economy.

After years of conceptual hyperbole labelling the state as in retreat, in decline, irrelevant, or hollowing out—or as a neoliberal activist technological hypochondriac surveillance Leviathan wedded to entrepreneurial market-making—most scholars agree that on the one hand they are often at a loss as how best to define what ‘states’ have become (Mitchell 2006), but on the other hand consider European states as resilient beasts despite these transformations, reshapings, and reconfigurings (Liebfried et al. 2015). States are part of those processes but are also arenas for groups and reformers to promote their interests. They have to be understood in relation to historical trajectories and compared temporally, and to different stages of capitalism (Miliband 1969, Poulantzas 1973, Jessop 2002, 2015, Hall 2015). States are still a major influence on the organization of society, acting to define rules, to create categories, to legitimize actors and actions, to influence the life of individuals, and to create a sense of national unity and of integration, but they are not the only source of political action. Crucially, one may question whether what Poggi (1977) once called the ‘unifying energy of the state’ endures or has dissipated. Are European states still obsessed with the unification of territory and the integration and interdependence of different groups? Do they have the resources and the legitimacy to forge such integration?

Europe is the continent where states have mattered most and for the longest. Peace, war, economic growth, health, citizenship, taxation, rules about inclusion and exclusion, welfare, security, and environment—in other words life and death: all this and more make the state central to Europeans’ lives. Whether they like it or not, Europeans have no doubt they have a state, and they may even be complacent in assuming its capacity to problem and crisis resolution. Crises and recessions are opportunities for states to find a new role, to gain legitimacy, and to produce sources of authority they will control and own (Mitchell 1991). As always, the current crisis leads to the rapid development of myriad state interventions, both internally and in relation to other states: active policy responses have been deployed across the world, from China and Brazil to the US. In Europe, states are paying a huge price to support their banks (Woll 2014), and many Southern and Western European countries, under intense pressure from other EU states and from market actors, have initiated austerity in response to the European fiscal crisis. The reach of the state is growing in certain fields, such as in auditing, market-making, anti-discrimination measures, consumer protection, and law and order; it is retreating in others such as welfare provision, public housing, and labour market regulation.

The scholarly literature about the state is vast, inspired by the historical emergence of bureaucratic arrangements distinct from religious, monarchical, and ethnic organizations of the sort with which the pre- modern world's peoples managed their subsistence, trade, and defence against violent and aggressive perpetrators.¹ Since the seventeenth century, states have been the principal form of political organization within the European political system. The Treaty of Westphalia that ended Europe's bloody Thirty Years War, agreed over three centuries ago, determined that international politics occurs primarily between states. 'Peoples' who believed themselves to form a distinct nation fought enemies, overthrew imperial powers, petitioned Great Powers and then international organizations such as the League of Nations and its successor the United Nations, and staged secessionist struggles to achieve national self-determination.

The study of the state is notoriously difficult (Abrams 1988). In his recent book, social theorist Bob Jessop makes the challenge clear: 'we recognize rather than ignore the messy, polymorphic, and polycontextual features of the state as a special kind of social relations' (2015: 16). He adds that comparison and conceptualization still makes sense within limited historical trajectories rather than as a universal essential category. In contrast to this approach, many social theorists get lost in space documenting distinct types of state in different periods and different continents, and different trajectories. Hyper-constructivists focus on day-to-day practices reshaping the state, the constant reworking of meaning and activities, the fluid processes, the multiple hybridization, the equipment, and the intractable nature of the concept.² This is a source of useful understanding and analysis of the state but is limited to micro-practices (Migdal 2009, Bevir and Rhodes 2010, Fassin et al. 2015). Despite the causality flaws of comparative meso- or macro-comparative political sociology, attempts to explain comparative transformations of states based upon methodological individualism or rational choice have identified important mechanisms but have not led us very far. Glaeser (2005) has a different emphasis, and urges researchers to examine institutional change by

¹ The comparative historical sociology of the state articulated by Charles Tilly, Stein Rokkan, Pierre Birnbaum, Gianfranco Poggi, Michael Mann, and Theda Skocpol and her colleagues was inspired by Max Weber (1978) and historical research.

² From the Latourian Foucauldian Sociology of Science and Technology point of view, Carroll argues that 'The state can be understood simultaneously as an idea, a system, and a country, as a complex of meanings, practices, and materialities. The state idea has become a powerful discursive formation, a cognitive structure, and assemblage of institutions: the state system has become a vast organizational apparatus that is practiced with varying degree of coherence (and indeed incoherence) from the heads of executive agencies to the most mundane aspect of everyday life: and the state country is constituted through the materialities of land, built environment, and bodies/people, transformed by the coproductive agencies of science and government and rendered in the new forms of technoterritory, infrastructural jurisdiction and bio-population' (2009: 592).

taking into account constellations, probabilities, and flows of events in a comparative framework to emphasize meso- and macro-processes. Glaeser's proposal is a fruitful one.

MULTIDIMENSIONALITY OF THE STATE

All of these dimensions of state authority have become more difficult for citizens in Europe because Europeans experience the state in at least two ways—within their nation-states and as part of the European Union. Most also encounter a third level of state institutions in regions and cities. This ubiquity to state exposure by definition makes unravelling the state's presence and effects complex. For instance, linearity measured as persistent expansion in state activity is no longer an automatic development in European states. Large public budgets do not automatically imply activist policy, hence the idea of the 'spectral state' (Der Derian 1999). This point also suggests that the scope of policy experiments undertaken by European states, from social services to the police, may be a dynamic element of state reconfiguration over time.

Over the last forty years, European states have faced a range of challenges from different sources. Poggi identifies the making of a 'new cycle of the state' (Poggi 1990). War was a massive influence in Europe; it was a central backbone of the states (Mann 2013) and has more or less disappeared from the continent. After 1968, social movements (peace, feminist, environment, students, and urban) contested modernizing projects, the building of infrastructures (from nuclear plants to airports), the patriarchal features of the welfare state, the conditions and rights of migrants in the labour market, and the authoritarian use of justice, police, and the army in society. National elites—large national organizations from parties to trades unions—have gradually lost a good deal of their capacity to mobilize society. Democratization processes eventually succeeded in Portugal, Spain, and Greece; Eastern Europe joined after 1989. The economic crisis of the 1970s delegitimized the entrenched Keynesian welfare state. Neoliberal ideas developed by Hayek, public choice scholars, and Milton Friedman rose to prominence (King 1987, Stedman Jones 2012). Margaret Thatcher's electoral victory in 1979 in the UK symbolized the end of an era (Gamble 1994). Beyond the contest between the right and the left, the acceleration of globalization trends in the early 1980s, however contradictory and diverse they might be, marked a change of scale in capitalism, and possibly the reduced capacity of European states to control economic flux or to foster economic development. The institutionalization of the EU, the creation of the single market, and the Maastricht Treaty bore witness to a shifting political landscape and to the reconfiguration of public authority.

Progressively, several secession movements gained sufficient momentum to threaten national unity and the presumed boundaries of states.

In Europe, the language of state restructuring (Wright and Cassese 1996)³ or state transformation gained traction.⁴ The contemporary debate about the state stresses capacity. Separately, Strange (1996) and Crouch and Streeck (1997) asserted the declining capacity of the state to govern society and the economy: globalization trends, however diverse, may give the state a distinct role to force social change, but they also make society more difficult to govern because of the rise of exit strategies with greater migration, outsourcing, and movement for firms in particular and the autonomy of large firms accumulating resources and the capacity to lobby national governments. The unspoken secret of European states was therefore one of a growing inability to govern society, to tax, and to implement decisions (Mayntz 1993, Scharpf 1999).

THE STATE: A WORKING DEFINITION

There is a strong debate on the epistemology and ontology of the state (Hay 2014). In line with our previous research (King and Le Galès 2011), we provide a working definition of the European state on Europe as a permanent and complex set of interdependent, relatively differentiated, legitimate institutions; belonging to the EU; autonomous; fragmented but with representative institutions based in a defined territory; and recognized as a state by other states and the EU. It's an arena that groups try to influence or control. The state is characterized by its administrative capacity (its tools of government, metrics, and policy instruments) to govern a society to establish constraining rules, to solve conflict, to exercise authority, to protect citizens, to define and protect rights, to allocate resources, to create categories of classification, to maintain order, and to make war.

In addition, contemporary states are part of a capitalist system: they set and guarantee property rights, guarantee contracts for exchange, and organize economic development by taxing and concentrating resources. The state has taken different shapes in different eras and different countries; it has no absolute form, for it is also a narrative—a legitimizing myth. Key dimensions of state activity may be symbolic, 'submerged', hidden, informal, or quasi-legal (Mann 1984, 1993, Levi 2002, Zürn and Leibfried 2005, Marinetto 2007, Tilly

³ The book has very much been inspired by the pioneering effort of Wright and Cassese (1996). Sabino Cassese is a contributor to the book and we pay tribute to the formidable intellectual influence of our mentor and friend the late Vincent Wright.

⁴ See the *Oxford Handbook of the Transformation of the State*, edited by Leibfried et al. (2015), providing an overview in different part of the world.

2008, Carroll 2009, Migdal 2009, Bevir and Rhodes 2010, Dyson 2010, Steinmo 2010, Mettler 2011, Leca 2012, Jessop 2015, King 2016a). Arguably, more might be done to identify different dimensions of stateness in relation to practices, but for this present work we do not follow that road.⁵

This book deals with states in one particular corner of the world: Europe, here understood as the European Union, historically characterized by the first industrial revolution, from which arose strong organized economic interests (Therborn 1985, Crouch 1994), and in which the welfare state and war helped structure national societies, a deep territorialization of societies (based on an old structure of regions and cities with relatively low rates of transnational mobility), and the steady marginalization of religion (Davies and Hervieu-Léger 1996, Cipriani 2009). Some European states are profoundly shaped by their historical legacies as colonizers (the UK, France, The Netherlands, Spain, Portugal, Belgium, Germany, and, to a lesser extent, Italy) in ways that are central to current debates about the state. Public policies are more developed in Europe than in any other part of the world, and European states have been more involved in policymaking and policy implementation than anywhere else.

Europe is not isolated. Historians of colonization and globalization using ‘connected histories’ to revise existing interpretations rightly expose the multiple channels through which colonized countries contributed to the shaping of European states (Vu 2010, Hansen and Jonsson 2015). Although the book’s contributors concentrate on states in Europe, three comparative issues are salient.

First, states in Europe are subjected to and are themselves actors in globalization processes and circulations (Beck and Grande 2007). They are influenced,

⁵ Our colleagues from the TRANSTATE major research programme in Bremen give a more concrete and personified account: ‘The state regulates the labour market, steers the economy, fights crime, and provides some form of education; it regulates traffic, provides a framework for democracy, owns businesses, enters wars and makes peace treaties, creates a reliable legal structure, supports social welfare, builds streets, provides water, imposes military service, maintains the pension system, collects taxes and deploys some 40% of the gross national product, represents national interests and generally regulates daily life down to the smallest detail. Such a multi-faceted entity clearly requires a multi-dimensional definition. We define the modern state in four, intersecting, dimensions. The resource dimension comprises the control of the use of force and revenues, and is associated with the consolidation of the modern territorial state from scattered feudal patterns. The law dimension includes jurisdiction, courts, and all the necessary elements of the rule of law, called “Rechtsstaat” or constitutional state in German-speaking countries where it is most closely identified with the widely held concept of the state. Legitimacy or the acceptance of political rule came into full bloom with the rise of the democratic nation-state in the 19th century. . . . The responsibility for ensuring welfare, balancing social inequalities and creating infrastructure for economic development all lay with the nation-state. It had evolved four dimensions and fashioned them into a tightly woven fabric—a multi-functional state that combines the Territorial State, the state that secures the Rule of Law, the Democratic State, and the Intervention State, and which we connote with the acronym TRUDI’ (Zurn and Leibfried 2006: 16); and see Leibfried et al. (2015).

constrained, measured, and rated by organizations, ideas, and norms over which they lack direct control (Lemoine, Chapter 16). While the main focus is Europe, authors were encouraged to address some issues in a more general way, for instance in order to deal with international organizations. Second, classic comparative sociology of the state has developed the Weberian model of the European state as a benchmark to analyse states in other parts of the world, and in particular in the US. In such a framework the US is seen as a ‘weak’ state because it did not replicate the Weberian bureaucratic state. These days are gone (Jacobs and King 2009, King and Lieberman 2009, King 2016). Without succumbing too easily to the idea of Americanization, some processes of change have either originated in the US or taken similar forms: more ethnically diverse societies and conflict-solving capacity to deal with discrimination or the role of regulation agencies and courts for instance (Bleich 2003). In this introduction, and in several of the book’s chapters, an implicit or explicit comparison with the US is made in order to help characterize contemporary European states.

Third, the book is not based upon a radically original theory nor an all-encompassing empirical research agenda. It is a collective effort which brings together leading scholars who have done major empirical and conceptual work on European states and public policy, and were tasked with addressing the dynamics of European state reconfiguration within our framework. It is also not based on country case studies—most chapters are comparative. Within the immense body of literature we develop a framework mostly inspired by Weber, and to a lesser extent by critical political economists, the sociology of science and technology, the work of Michel Foucault, and the study of migration. The book brings together a bulk of research from different perspectives to make sense of the reconfiguration of European states.

Governmentalization: European States as Policy States

The political structure of the modern European state was the result of long-term political and commercial processes that started in medieval times. Over the twentieth century, European states gradually became more ‘governmentalized’ and ‘spatialized’, to cite Foucault’s influential language (Dean 1990, Ferguson and Gupta 2002, Foucault 2007). More and more policies and programmes were expanded in state institutions, in particular at times of economic crisis and during or after war. General government spending now represents between 40 and 50 per cent of GDP in most European countries, even in the UK where the Conservative Chancellor George Osborne aimed to reduce the scale of the state to 35 per cent of public expenditure in relation to GDP through intense austerity. The figure is above 50 per cent in Slovenia,

France, Austria, Belgium, Portugal, and the Nordic countries. European states are the land of public policies and state interventions.⁶

European states emulate ‘policy states’ (Jobert and Muller 1987, Skowronek 2009), a term developed both in France and in the US. States are characterized by policies, actions, activities, and policy instruments in interactions with other groups rather than merely fulfilling functional roles. The conventional understanding of state institutional stability is less relevant in contemporary states. The realm of policymaking and policy implementation and their consequences has become so central that the reconfiguration of the state might well be analysed by focusing on the consequences of policy performance, including instances of failure. In other words, public policies are a major driver of state reconfiguration (Hacker and Pierson 2014). Not only do policies make politics, but policies also help to make or transform institutions and states.

Following Orren and Skowronek, instead of focusing on classic institutions we assume that public policies are core to state activity and help explain the transformation of organizations and institutions of the state: ‘The whole institutional system seemed to be transposing itself from one in which the structure of government serves to constrain policy to one in which the structure of government serves to mirror policy’ (Orren and Skowronek 2011: 21). In contrast to classic institutionalist accounts of the state, we have therefore made the choice to put aside, rightly or wrongly, analysis of state institutions—from the courts to parliaments or parties—since including them would require a second volume. Instead we argue that much can be gained from a focus on the reconfigurations of European states’ core bureaucratic and policy-enacting institutions, many affected by policy change.

Therefore, rather than limiting ourselves to a Hobbesian conception of the state, even as revised by Quentin Skinner (1989), we follow the scholarly approach to the state as a basket of government activities. The ‘how it is governed?’ scholarship developed a new research agenda based upon classic questions related to governance and government alike: not just who governs but how governments and various actors involved in governance processes operate. This issue on the governance research agenda is historically related to 1970s research about public policy failures, represented by the work of Pressman and Wildavsky (1973). This scholarship posed the issue as to whether complex societies were becoming ungovernable or whether, at the very least, governments and state elites were less able to govern society through the existing bureaucratic administration, tax bases, and laws. Scholars ask: can government govern, steer, or row (Peters 1997)? Are there enduring dysfunctionalities in government over time? Can groups or sectors escape

⁶ OECD (2015), general government spending (indicator). doi: 10.1787/a31cbf4d-en (accessed 6 December 2015).

from a government's purview (Mayntz 1993)? Why is attention to state equipment, policy instruments, and activities crucial to understanding the transformations of the state (Latour 2007, Lascoumes and Le Galès 2007, Halpern et al. 2013)? What does this tell us about the capacity of states to exercise political authority, and about the unity and, crucially, legitimacy of the state? For instance, the massive waves of privatizations and denationalization programmes across public sectors in many European states from the 1980s, and the need to police intra-EU state transactions, fostered a massive growth in regulation. Regulatory agencies flourished to monitor competition.

One point emphasized by Max Weber is germane. Writing about relations of domination, he emphasized that, 'viewed social scientifically, the modern state is just as much a "business" as a factory is. Precisely herein lies its historical specificity. The relations of domination are similarly determined in each case' (Weber 1988: 321). States may seem to behave analogously to businesses, but there are differences. Making war is a business for some states that may easily gain access to private or state military forces if they have the resources and lack democratic scrutiny. But in some respects, the language and values of business models have seeped into states. In Chapter 9, Mark Thatcher stresses the role of state sovereign funds as investors in different parts of the world. States have also sold some of their resources (residents cards or access to citizenship for example). Britain is notorious for having historically granted attractive tax exemptions to rich non-domiciled residents locating in the UK. In a more mundane way, the Spanish state today provides a residence permit for those rich foreigners (Russians, some Latin Americans) who invest more than €500,000 when buying a house. Malta has become notorious for granting passports in exchange for investment. States thus have important economic activities, buying and selling all sorts of services, products, and even rights.

Both in Europe and in the US, public policy, sociology, and governance scholars emphasize not only the two hands of the state (the left hand for welfare, the right hand for economic development) (Wacquant 2012, Bourdieu 2015) but increasingly the 'many hands of the state' (Orloff and Morgan 2016). Differentiation, contradictions, and multiple fragmented interventions undermine an overly unitary view of the state. A long tradition of policy studies has ignored the question of the state. But in Europe, the connection between the sociology of public policy and the state is buoyant. A large body of research about the state contrasts the conceptualization of the state as a myth, a symbol, an idea, or a narrative with those who stress the governmental dimension, the institutional apparatus exercising political authority and promoting a sense of unity and legitimacy (Steinberger 2005), and those seeing fragmentation and contradictions.

Emphasizing the central dimension of public policy is also a way to consider elites without unduly imputing them with heroic status. Classic accounts of state-making analysis have identified elites as a key variable in the making of

nation-states in Europe (Badie and Birnbaum 1983). Ziblatt (2006) identifies the negotiation between different segments of the elite a key factor in the making of modern Germany and Italy for instance. But national elites look less central now (Murray and Scott 2012). The massive institutionalization of European states associated with limited policy changes following elections sidelined elites as a major source of policy changes. Both globalization processes and criticism from the right and the left eroded the legitimacy of state technocratic elites in centralized countries in particular (Murray and Scott 2012). William Genieys analysed elites by policy sector. In the case of health and defence, Genieys has shown how, in relation to privatization policies, small groups of elites have diversified their careers. These ‘custodian of the state’ (2010), move from an agency to ministerial advisers to heads of private organizations over two or three decades. Small groups defend, deploy, and reorganize state capacity to control what happens in a given policy sector and in the implementation of policies. Genieys and his colleagues argue that state elites abandon some policy sectors which they judge to be marginal or in decline. By contrast, they organize collectively to strengthen state capacities in policy sectors ranging from defence to economy and health. Rather than state elites, sectoral policy elites had been reinforced in European states. Convincingly, Genieys and Joana (2015) find that the greater influence of these ‘custodians of policy’ was in policy sectors characterized by sizeable budgets, expenditure, and debt, hence requiring rationalization.

The rise of debt, austerity policy, and privatization opened an avenue for ‘rationalizing elites’ to dominate reconfiguration through systematic career moves across regulatory agencies and private or public bureaucracies. Breaking with the historical role of state political and bureaucratic elites, these ‘custodians of policy’ have accumulated resources and knowledge in particular policy sectors. They do not represent or defend classic institutions but invest time, resources, and their career in one given policy sector to reconfigure state capacity under conditions of financial strictures and liberalization. The circulation of those groups of elites within the different organizations of a policy sector limits the fragmentation and flexibility commonly emphasized in policy analyses.

More Mobility, More Differentiation, More Networks Challenge European States

States have to be understood in relation to societies within the territorial frontiers they establish and defend. From the 1860s to the 1970s, the story of Europe was mostly a story of the nation-state mobilizing populations for war and industrialization, with increasing public expenditure, homogeneous cultures, and the nationalization of politics, interest groups, labour markets,

and consumption (Therborn and Immerfall 2010). Of course, the process was easier in homogenous small-state countries (later welfare states) such as, famously, Nordic Europe, than in larger nation-states with historical subnations as in Spain, Italy, Germany, the UK, and France. Over time the national scale was more and more institutionalized,⁷ and achieved dominance controlling economic actors, and exercising authority over subnational authorities. European states were part of a world of states.

Contemporary societies are still in part national, but elements of societies have been reorganized at the European, transnational, international, and subnational level. Social groups, ethnic groups, religious groups, firms, and non-governmental organization (NGOs), among others, operate and invest resources at different levels. Globalization theorists and European social scientists aim to make sense of this messy reordering, rescaling, and contradictory reorganization of elements of societies at different levels, including the migration of authority from national capitals to Brussels and Frankfurt, the strategies of migrants (Therborn 2011), and the flux of capital.

External influences, including international capital, immigrant transnational networks, foreign religious influences, transnational NGOs, and international norms, standards, and rankings are now core parts of national political orders. These external factors and accompanying norms are used to compare, rank, criticize, produce alternative knowledge, and on occasion even to undermine the legitimacy of existing national elites in different domains, from politics to culture. External influences constrain the capacity of the state to control and mobilize populations, to impose its norms, and ultimately to limit their capacity to govern, for instance to extract tax. This decoupling might be particularly strong for non-political wealthy elites, a key variable in studies of the state (Lachman 2010). The rise of transnational mobility and transactions encourages *social differentiation processes*, and plays a role in restructuring the social order and the social hierarchies within national societies (Bauböck and Faist 2010, Andreotti et al. 2015).

Rescaling processes challenge how governments function in complex societies, a nod to the ungovernability and overload issues identified in the 1970s, and rehearsed also in the post-2008 fiscal crisis. The fundamental issue here is whether governments acting through the state can enforce laws, maintain impartial bureaucratic arrangements, and extract sufficient tax revenues to reproduce their own institutions. The 1970s marked a severe wobble in the success of governance, exacerbated by the pressures on domestic economies caused by globalization and oil price shocks (Crozier et al. 1975). But the danger of implosion passed, and the decades after the end of the Cold War seemed to vindicate the new optimism. The 2008 crisis dramatically

⁷ See Crouch 1994 and 1999.

exposed the limits of this new status quo, and many of the issues addressed in this volume reflect this new reality of strained government delivery capacity and fiscal constraint.

One such issue is the rise of transnational sources of problems and governance. These influences are salient in many societies, as groups and individuals have more opportunities to be mobile between different scales of a state. Transnationalism is defined in terms of the significant intensification of border-crossing work relations, communications, networks, and social interactions, and in the growing presence of international references in everyday practices, societal systems, and regulations (Mau et al. 2008). The rise of social media and the Internet makes international influences ubiquitous in European states, not least helping the great waves of migrants in 2015 guide their journeys from Istanbul to Stockholm, Berlin, or elsewhere in Northern Europe. This means that social groups, firms, and individuals within the nation-state are less interdependent, and they can more easily decide to choose the exit strategy instead of that of voice or loyalty. Long-term immigration trends make cities and states pluriethnic and culturally diverse. Immigration studies have shown at length the limits of many integration and assimilation measures, since migrants are mobile, leaving and returning to their countries of origin either regularly or over their lifetime. The scale of immigration post-2015 tests these measures further.

These changes are complemented in perverse ways by the rise of tax-avoidance strategies among firms and wealthy individuals located across EU states, as they manipulate inter-state differences to their own benefit.⁸ Such practices show a decoupling of state and society among highly mobile and transnational wealthy elites. Other scholars simply underline how the intensification of production and consumption behaviours globally has inevitably diluted the boundaries of national societies and the capacities of states to 'govern' with traditional instruments. Such cosmopolitanism is primarily a privilege of the very wealthy, but it is also clear that workers throughout the globe have been dragged into global production processes, whether as recipients of outsourced tasks, producers of cheap materials exported to the affluent, or as economic migrants. In our view this trend does not signal the end of the state, or the making of a cosmopolitan state, but it emphasizes the mechanisms through which what Michael Mann named the logic of states 'caging societies' are changing (Mann 1997). External influences, circulations, and networks make the social closure-closed boundary strategy far less manageable as a means through which modern states can govern. Globalization processes make mobility and different forms of exit more likely and easier. In the absence of war or the massive movement prompted by industrialization, the

⁸ Although there are signs of states and the EU addressing these anomalies and abuses, the leakage of the infamous Panama papers makes clear the huge scale of tax avoidance for firms and rich families all over the world.

interdependence between social groups in societies is declining. Some groups or firms may exit or partially exit from society, and others ensure their location does not result in a full tax contribution (Favell and Guiraudon 2009, Elliott and Urry 2010, Andreotti et al. 2015).

These transnational dynamics contribute to state-making as well, because the capacity to manage migration is one of the most important tasks for governments and social institutions. Systematic analysis of European mobility (Recchi 2015) shows its scale and scope. According to Recchi and his colleagues from the EUCROSS project, 'one in six EU citizens spent at least three consecutive months living in another EU country over their lifetime, and 51% had visited a foreign EU member state, for a short vacation, business trip or visit to friends and family, in the past two years' (Recchi 2015). We also know that about 4 per cent of Europeans live in a foreign country and around 3 per cent move to another country each year. Of course, high mobility and migration challenge the classic territorial dimension of the state. But at the same time states may promote mobility, and as Vigneswaran and Quirk (2015: introduction) argue in respect to African states, 'mobility makes states because states have consistently sought to augment their power and resources by promoting and channelling human mobility.... states have consistently (developed) efforts to capitalize on the opportunities and benefits that mobile populations generate'. Furthermore, they contend that 'mobility makes states' because the 'movement of people has consistently shaped how and why state power has come to be distributed and concentrated across space.... the movement of state agents and civilian populations has consistently defined the spatial extent and temporal duration of state power'. The refugee crisis that is addressed in Chapters 22 and 23 provides fulsome evidence of how migrant mobility is a state-making force.

European states were understood as the matrix for the forging of nations or, sometimes simultaneously, as the result of nationalist mobilization. Despite scores of differences among nation-states, the incompleteness of the homogenizing energy of the state, or institutional arrangements to maintain small nations within the same state (with one dominant), national societies historically equate with their states. Now sociologists increasingly point to processes of disconnections between national societies and the state.

FOUR PROCESSES TO EXPLAIN THE RECONFIGURATION OF EUROPEAN STATES

Analysing the reconfigurations of state institutions is an expanding story. The sheer size of the beast and the different dimensions of stateness generates

recurrent and novel changes. The most constructivist scholars therefore conclude that states are fluid, and always reshaped by practices, usage of services, and discourses. They undoubtedly have a point, but at the same time states are very institutionalized and they structure society. Of course some bits are always changing, but such changes may or may not matter to core institutions. It depends. Based upon their research, most contributors to this book emphasize nuanced and non-linear state change. The measure of change is not simple and, when possible, we have tried to measure some of the transformation, as for example in the rise of autonomous agencies of service delivery, and in levels of public expenditure and state debt.

A second ambiguity derives from the time period. In their 2010 paper, Du Gay and Scott mocked the prophets of the transformation of the state. Relying upon a rather thin conception of the state (the constitutional state of Poggi), they stressed instead the long-term features of the state. In their view, whether there is more or less welfare state or interdependence with capitalism are secondary questions. In taking this stance, however, they struggle to avoid serious reification or essentialization of European states. Their intervention eloquently makes the point that reconfiguration may take different forms and meanings in relation to the period that is considered.

We acknowledge this point. Several contributors' chapters apply a longer perspective to change. Our conceptualization of the state is also related to the EU, to forms of capitalism and state governmental capacity, and ineluctably to the 2008 crisis. With the limits inherent in this choice, most chapters look at the last thirty years; sometimes a bit less, sometimes a bit more. A major proposition of this book is that the acceleration of globalization trends commencing in the early 1980s, together with the making of the EU, triggered mechanisms leading to the reconfiguration of European states. That is the core of the book.

Of course, as we chose not to measure all dimensions of stateness, thinking about changes and reconfiguration runs the risk of disproportionately focusing on some particular dimensions. In being necessarily selective, we contend that four major processes are shifting European states beyond their origins and historical trajectories. These four do not form one tight theoretical framework; they combine with different relative strengths in different states. They make sense of contemporary changes affecting state-making and state-destroying mechanisms. We contend that all four are related to the changing scales of societies, capitalism, cultural diversity, and the politics identified in the previous section. Internal (social movements, parties, regions, and cities) and external drivers of change commonly combine to reconfigure the state. Although never complete, the political project of the nation-state's growth and maintenance in Europe combines the concentration of resources, a strong institutional apparatus, the monopoly of the exercise of authority within frontiers, more public policies, and more expenditures. This classic Weberian

model is now becoming obsolete as an adequate framework, even if lineaments and institutional heritages remain pillars of European states.

In the remainder of this introduction, the four processes are discussed with reference to the contributions made in the ensuing chapters:

- First, the reconfiguration of European states is driven by the dynamics manifest in the changing scale of organizations and regulations of societies, as states, economies, and societies themselves are reorganized and less integrated at different scales. The disconnection between firms, nations, and states triggers state-reconfiguring mechanisms.
- Second, as always, the reconfiguration of the state is related, and in part explained, by the way in which capitalism is changing (notably through the rise of financialization) and in policy responses to the crisis (the embrace, for instance, of austerity measures).
- Third, states' measures to reform themselves *le souci de soi de l'État*, such as by greater use of policy instruments, have become major factors of state reconfiguration. These are enhanced by technological innovations and sometimes harnessed to neoliberal ideas—but not always. Modern states are involved in massive policymaking and in implementing activities with long-term effects on the institutions of the state.
- Fourth, even if the claim to possessing a monopoly of violence to protect citizens appears overstretched, states are developing new ways to control populations, to exercise authority, and to monitor parts of their citizenry. Despite the decline of 'hard politics', violence and protection infuse how the state defines its responsibilities.

Process 1: European States within a World of States, International Organizations, Regions, Cities, and Non-State Authorities

The restructuring of European states is constituted in part by events outside the EU's jurisdiction. International Relation (IR) scholars stress the loss of state monopoly, the denationalization of political authority, the rise of transnational firms and privatization processes, the transnationalization of nominally domestic state-based actors, and the combination of public and private organizations (Djelic and Quack 2011, Mattli and Dietz 2014). State authority is constrained. In Chapter 5, Hendrik Spruyt analyses the concept of sovereignty as a bundle of rights.

In Chapter 3, IR scholars Philipp Genschel and Bernhard Zangl analyse the denationalization of political authority, organizations, activities, resources, and instruments in economic development and defence. NGOs are crucial. Norms are external in origin, while transnational, private, and international

actors are more central in influencing state norms and exercising some political authority. These two scholars suggest that nation-states have lost the traditional monopoly exercised by political authorities and instead are now the *managers of political authority*, providing resources for other actors (such as legitimacy), and in that role coordinate different groups. For them, the reconfiguration of the state is explained by the rise of non-state authority. However, the state is the only actor possessing the 'general' legitimacy needed to exercise political authority, and transnational actors have to deal with the state in one way or another. The state is still the central node, despite increasingly decentralized global authority structures. But exercising this 'central node' role has been restructured. This is a key point in Spruyt's analysis too. Incomplete contracts are used to political advantage by European states because such contracts provide needed discretion for state actors under multiple electoral and external (including EU) pressures to address policy problems within new norms and standards. Sabino Cassese eloquently makes the point in Chapter 4 that European states are active actors of the global polity, but they are concurrently shaped by these external factors.

For Cassese, this global drive also leads to powerful state-making mechanisms. European states enforce regulation. Of course, European nation-states follow international norms, for instance in human rights or the rights of minorities. States are 'implementers of global institutions' or branches of global regulators. The policymaking process is not national anymore. But for Cassese it would be a mistake to forget that states are also the founders of global regulators that may not be there for ever. Also, he argues that this external framework of rules now constitutes an integral element of state authority. External constraints are an instrument for states to cite when making difficult decisions that are beyond the domain of state control. European states (and not just European) always face resistance; domestic authority requires an external framework to help rationalize policy. Ironically, the more global regulations the more state authority.

This emphasis on law echoes the work of Curtis Milhaupt and Katharina Pistor (2008). European states may choose which rule to obey, and may use foreign arbitration. Law became 'scaling technologies' astutely used by state elites to foster their political capacity, or to avoid dealing with some issues. Law contributes to the making of the neoliberal state (Plant 2010).

Nation-States meet the European State

The European impetus to restructuring is pervasive. Significant state-building machinery has developed to deal with agencies, regulations, courts, and interest groups generated by EU membership. Elites—both elected and appointed civil servants—meet and collaborate across EU member states in ways which create new networks, informal and formal, and permit the

development of a distinct sense of European state membership, complementary to but distinct from elites' (and citizens') individual member-state affiliation. The EU may have had a centrifugal effect on states, but at the same time it has transformed the way states and their elites operate in a number of fields (Fligstein et al. 2000).

From the Delors era came the regulatory European state. This led to a new round of institution-building to regulate various markets and to ensure competition between states. Laszlo Bruszt and Visnja Vukov argue in Chapter 8 that in addition to general EU membership shaping all member states, two other factors drove change in Eastern Europe: first, structural funds allocated to those states (and also to Southern Europe) facilitated building subnational state capacity to manage those funds and to implement policies. And second, the criteria for Eastern European countries' accession to Europe implied the acceptance of the Copenhagen criteria, in order to build the capacity to withstand competition pressure—that is, more than just human rights criteria. But in political economy terms, EU policy effects proved disastrous for Southern European countries.

The Delors presidency came after the era of a single market, but he left his mark by getting the principle of a common currency, the euro, approved. Having presided over the EU-wide committee, with a membership drawn from national central banks that recommended *against* a single currency in 1988, events dealt Delors a powerful hand in forging his euro project. The Berlin Wall collapsed in 1989, and the unstoppable unification of the two Germans—something feared in Paris by Mitterrand and in London by Thatcher—gave the adroit EU policymaker an opportunity: in return for accepting unification, France would accede in the single monetary gambit, believing a common currency would remove the Deutschmark from Germany and lock the newly united giant German state into a shared European trajectory.

The EU is therefore a major force reconfiguring European nation-states, even with the caveat that the contrast in status between euro and non-euro EU members is consequential. An example of this effect on state restructuring comes from the law. Here the contrast between France and Britain is striking. British lawyers lament the potential end of common law in the British legal system tradition, as they engage with public law coming from the continent; parts of the British political elite amplify this concern with their objection to the incorporation of the European Convention on Human Rights into English and Scottish law. Public law, a classic pillar of the state, is on the rise (Loughlin 2003). Meanwhile, on the other side of the Channel, French lawyers express dismay about the back-peddalling on rationalization, this intellectual *chef d'oeuvre*—that is, the erosion, some would say eradication, of the French public and administrative law system under pressure from international norms and private law standards imposed by Brussels (Caillousse 2009). The EU's norm-setting capacity shows how nation-states aligned in some

areas under common global legal standards. Thus Cassese argues, in Chapter 4, that an international administrative public law is in the making based upon the rise of administrative non-governmental agencies.

The EU has been an active and calculated engineer of this increased legibility and an agent in the dissemination of enhanced rationalization. Consistent with Daniel Carpenter's (2001) framework about bureaucracies, the EU state is also a purveyor of expertise and accumulated competences in a range of legal and bureaucratic spheres. Significantly, the EU's advance of rationalization and bureaucratic standards has not eroded the nation-state among its members. In some cases, European-level rationalization has revitalized the nation-state. Animating voters and politicians, robust debates ask whether the EU constitutes an association of autonomous states or is a federal state in the making. In practice, these two poles represent the ends of a continuum rather than a dichotomy of unbridgeable trajectories. Brexit may sharpen which end of the continuum prevails.

This mobilization against undue European rationalization describes a core source of restructuring of European states: the historical and tough struggle for a direct link between voters in society and governments in states has been compromised and modified by the intrusion of external norms and rules which unavoidably place limits on how national governments exercise discretionary power. The sovereign debt crisis in 2010–12 illustrates this external influence vividly, as Benjamin Lemoine explains. In Chapter 16, he analyses the rise of sovereign bond rating agencies and their extraordinary influence on domestic state politics and policies.

European Citizens?

Does EU-driven rationalization restructure the relationship between citizens and their nation-states? Has membership become two tier—to the nation and to the EU? The answer varies according to the level of education, the country of origin, and the method used to measure the sense of being a citizen of the European Union (Duchesne et al. 2013).

Analytically Christopher Bickerton, in Chapter 2, articulates a sanguine account of political development restructuring European states under the aegis of the EU. States and society are decoupling under the weight of EU state rationalization in the Bickertonian account. States in Europe, he argues, have been transformed by the EU even if European integration is a state-driven process. Bickerton maintains that historically the development of the British state was a response to the claims for popular sovereignty. Representation is an elitist process (Manin 1997), and constitutions, not least in the US, are designed in part to exclude radical popular movements' use of state capacity to transform societies. In other words, the congruence of a nation, a democratic system, and a state should be considered as an exception.

European nation-states have used similar logics to escape from the pressure of their population, exploiting the opportunity to displace issues to the European Union state. Bickerton describes this reconfiguration as the rise of member states: ‘a distinctive kind of state where national power is exercised in concert with others. National executives seek to bind themselves and their own domestic publics through a growing body of rules and norms created by national governments in their ongoing and increasingly complex policy-making activities at the EU level.’ For Bickerton this process creates a paradox in ‘that member statehood is thus the way in which political power is exercised by national governments but in ways that appear external to and far removed from the national societies over whom these governments rule.’ He adds: ‘In their place we have seen a strengthening of the relations between national executives and the pan European level. This was pursued initially as a strategy for weakening the hold of domestic actors on the policymaking process but it has become over time a source of authority for national governments lacking points of connection with their domestic societies’ (Bickerton 2012: 43).

This account illuminates the relations between democratic crisis and the reconfiguration of European states in a compelling way. The political elite in restructured European states find themselves bound closely across nation-state borders (formally and informally), and unremarkably this new linkage has implications for the relation between the state and its people. Therefore, as Bickerton appreciates, the rise of ‘member statehood’ is not without contradictions, because if states gain resources, authority, and strength through close links among core national executives across Europe (with the associated commitments, obligations, rights, and duties), it also means that ‘national political actors are more insulated from domestic social procedures’, and have voluntarily relinquished some elements of sovereignty. It is this insulation which has been tested since the 2008 crisis, as incumbent governments discovered the electoral costs of imposing EU-agreed austerity measures on national electorates. The most harmed voters mobilize into disaffected populists. The UK Brexit debate illustrates one logical though unintended consequence of this process.

Dilation of the State: Federalism, Regions, and Cities

From a French Weberian perspective, which is less relevant to some European countries, centralization and the making of centralizing bureaucracies was seen as a major dimension of stateness (Badie and Birnbaum 1983). However, a more hackneyed aspect of the restructuring of the European state in terms of scale is regionalism.

Many of the dynamics predate the 1980s and the principally strong identities in sub-national communities such as the Basques in Spain, but the trend to federalism or regionalism is vigorous in many European states. Regionalist

movements express cultural resistance against the national state often rooted in a sense of regional inequality and political marginalization. In Flanders, Scotland, Wales, Catalonia, the Basque country, Northern Italy, and Corsica, among others, economic inequalities and cultural resistance coalesced into a local identity, whether embraced avidly or insouciantly. The strength of nationalist sentiment in Scotland is a vivid illustration of the avid tendency. In the UK, the Scottish referendum in 2015 prompted all sorts of new decentralizing concessions from Westminster. Regionalism has also been demanded by affluent areas and cities. This 'regionalism of the rich' includes Catalonia, the Lega Norde in Italy, and Bavaria, and rich urban regions claiming more autonomy and less redistribution for the poor regions in the name of the economic competition organized by the EU (Le Galès and Lequesne 1998). Eastern Europe is not immune to the same phenomenon. The conflux of restructuring tendencies expressed variously in federalism, devolution, and decentralization reforms strengthen the political role within European states of cities and regions, many of which developed different strategies to gain enhanced legal authority and fiscal resources (Marks et al. 1996, Borzel 2002). Michael Keating, in Chapter 6, analyses the rise of competitive regionalism on the one hand, compared with competitive federalism in Germany and quasi-federalism in Spain and increasingly in Italy. The EU's regional policy initially facilitated this new process, but then stalled as neoliberal ideas championing competitive pro-market policies triumphed.

Regionalism has been closely tied with the agenda of decentralizing and outsourcing public services as a means to save money at the centre and of implementing neoliberal ambitions to increase market forces in the public sector. In most countries national territorial politics now resembles a mosaic, with overlapping levels of governance, networks of territorial political actors, and numerous mixes of public policy. According to Organisation for Economic Co-operation and Development (OECD) data, central government spending as a percentage of public spending is under 20 per cent in federal states (Germany, Belgium), around 35 per cent in Scandinavia, France, and Italy, and remains around 70 per cent in the most centralized countries such as the UK, though even the UK evinces significant decentralizing pressures leading to devolved powers from London (symbolized by the election of mayors in some cities and enhanced Scottish powers). Over time, a massive transfer of expertise, knowledge, and resources has taken place in Europe from the national level to other levels of governance.

The deepening of regional and urban sensibilities is associated with affluent–poor faultlines in European states. The gradual decline of parts of the deindustrialized North of England has become largely accepted among political elites in London, and despite diversity within the Mezzogiorno (Triglia 2012), the gap with the rest of Italy (or indeed Europe) is on the

rise on most indicators. In Eastern and Central Europe too, inequalities between capital cities or some regional capitals and the rest of the country are rising. This development undercuts one of the very essences of the modern state's logic, which was to integrate a nation's whole territory, forge standardization throughout the jurisdiction, and compensate for inter-regional inequalities through the redistribution of resources. The presence of regionally poor areas is matched by the phenomenon of large rich urban regions such as London, Paris, the delta metropolis in the Netherlands, numerous German cities, and many national or regional capitals (Le Galès 2002). These capitals are centres for financial circulation, migration, wealth production, concentration of culture, and finance but rarely industrial production. State policies have been reshaped to enhance those cities' capacity to compete economically. Some cities which are designated 'national champions' enjoy extra state support (Crouch and Le Galès 2012). London is still a British city, but has also become a formidable multicultural city attracting investors, visitors, migrants, and rich families from around the world. Culturally it seems a long way from such northern cities as Bradford, and closer to Paris or Brussels (by train it is in some ways physically closer too)—a distance articulated in one of the divisions between pro- and anti-UK membership of the EU. Transportation and fiscal circulation integrate these leading cities. Cities do not exit or decouple from their nation-state of course, but some of them, as argued by geographers, seem increasingly structured by the circulation and flow of international capital rather than embedded within national structures and institutions (Brenner 2004). European states show little inclination to assist lingering regions or cities, another indicator of the declining 'unifying energy' in nation-states. The main caveat to this policy arises from the combined problematics of immigrant disaffection and domestic radical Islamic terrorism.

Process 2: Market-Making States or State-Making Markets?

States have to be understood in terms of political economy. States hold some autonomy, but their relationship to and interdependence with capitalism is essential to state formation and state reconfiguration (Przeworski 1990, Weiss 2003). The debate is vigorous between those political economists who show how economic forces undermine the capacity of European states as competitive pressures squeeze out states, and those who describe new state-making mechanisms and market-marking roles as giving states scope to design new policy instruments. Do states control and regulate markets, do they control the euro (Blyth and Matthijs 2015, Streeck 2015), or do they mainly follow the interests of international capital and operate to privilege money markets and large firms? The varieties of the liberalization process is clear in different parts

of Europe (Shonfield 1965, Caporaso and Tarrow 2009, Thelen 2014). Several chapters in this book home in on precisely this debate.

Periodically, as neo-Marxist scholars stress, capitalism is marked either by a major crisis or by a surge of innovations (possibly both) that reshuffle the deck, leading to major transformations of states. This applies to the early commercialism during medieval times, the creative destruction of the industrial revolution, and the Great Depression of the 1930s. Arguably we are living in such a period. The now well-documented rise of financial capitalism (Krippner 2011), the dominance of Silicon Valley capitalism (plus Seattle and a few other high-tech clusters in the world), and the changing scale of the large globalized megafirms, associated with the post-2008 recession, have initiated a series of massive transformations that are still in the making. States would be reckless not to address the significance of these changes, if only at the humdrum level of pursuing tax-avoiding scans by large corporations located in agreeable European states and cities.

Historically, states and capitalism move in tandem (where contradictions and dialectics are essential), closely dependent on each other and with some ideological challenges since the collapse of the Berlin Wall or the 'Occupy' movement. The 2008 financial crisis and the ensuing recession demonstrate both the power and the vulnerability of the modern state, as several of our contributors explain. Buffeted by the economic crisis, advanced democracies took drastic policy measures that often included costly public interventions in the private sector, only some of which have been recovered and many of which bear on taxpayers' resources, as the steep cut to the public sector in Ireland and Greece attest.

Although major recessions have challenged the strength and capacity of the state, they have not called into question the *role* of the state as a major agent of policy initiatives, nor its legitimate authority to respond to economic crises. A strand of political economy scholars, investigating the globalization of capitalism, advance the notion of the powerless state in economic policy, or at the very least of the state as severely constrained by financial markets, the strategies of large firms, and globalized exchanges. In Chapter 12, Colin Crouch identifies 'the limits of the limited state' and the accumulation of resources of large transnational firms undermining states. Wolfgang Streeck (2014) explicates the fiscal crisis of the state. If inheritance is a classic theme in public policy, Streeck and Mertens (2011) shows how the development of structural public deficits in most developed countries predated the crisis and has been followed by rising debt and dramatically reduced capacity to govern. Needless to say this argument has not lost its force with the financial crisis.

By contrast, following for instance Levy's clever characterization of the market-making state in *The State after Statism* (2005), or Mazzucato's (2013) insightful analysis of the 'entrepreneurial state', scholars have

demonstrated the continuing role, interventions, and instruments of European states (Thatcher 2007) in the economy and renewed form of 'economic patriotism'. New research about economic patriotism finds that even if markets are highly exposed to cross-border trade and capital flows, states develop active policies supporting domestic interests and/or discriminate economically against territorial outsiders (Clift and Woll 2013: 318). In Chapter 9, Mark Thatcher signals not only new instruments in state economic policies but also processes of indirect renationalization. Indirect ownership might be more important than the visible control of the state in the economy. The current crisis is no exception. It has incited the rapid development of myriad state interventions. In Europe, states are paying lavishly to support their banks (as Cornelia Woll discusses in Chapter 10); many Southern and Western European countries, under intense pressure from other states and from market actors, implemented austerity in response to the European fiscal crisis. The many references to the Great Depression of the 1930s are alarming: such allusions not only conjure up the triumph of America's New Deal programmes but the malign Nazi and fascist states which emerged in Europe. To date, movements of contestation (Podemos in Spain and Syriza in Greece) or of right-wing intolerance (True Finns or the National Front) express significant discontent towards the state by groups of the electorate, but have not yet reached thresholds of support necessary to overthrow or destroy their nation-states. Ever in the extremist vanguard, Austria's presidential election in 2016 (in which the Freedom Party's Norbert Hofer lost by) may be a harbinger of continuing pressures from angry segments of European electorates. In Eastern Europe democratic authoritarian regimes are on the rise, in Poland and Hungary in particular.

Thus the 2008 crisis signals reconfigurations in the electoral and political alliances structuring European states, but these effects on state reconfiguration are not yet fully formed (Bermeo and Pontusson 2012). While most electorates replaced incumbent governments from the 2008–9 period with opposition parties, the popularity of these latter in government has rapidly plummeted. Equally, what has not occurred is striking: there have been no New Deals, and indeed 'the strange non-death of neo-liberalism', to use the title of Colin Crouch's (2011, also Schmidt and Thatcher 2013) incisive book, abounds. The electoral impact has been strong but inconclusive: incumbents have been defeated, but these defeats have not been followed by radical ideological change. On the contrary, and even in the tortuous Greek case, 'radicalism' has produced moderate substantial policy change in the Greek state's implementation of fierce austerity.

This pattern contrasts with the 1930s. It hints at state capacity to maintain itself and public order during restructuring (and probably to the weaker position of organized labour in the current period). Such optimism should be guarded. The disillusionment with post-2008 governments, which defeated

incumbents and have failed to formulate viable economic programmes, the steady rise of discontented groups of voters on the left and right, the 'new normal' of close to zero inflation, Brexit, and the artificial financial activity sponsored by central bank monetary extravagance, manifestly reconfigures European states: an enduring crisis can have no other outcome. Evidence of this reconfiguration is the emergence of income inequality as a salient political issue spearheaded by the writings of French economist Thomas Piketty (2014).

What seems important to us is that the combination of the Great Recession and rising inequality mark in many ways a response to how neoliberal policies and ideology restructured European states between the 1980s and 2008. In Streeck's analysis, this restructuring gave these states a fiscal crisis once the fragility of financial markets was exposed in 2008. In the context of this reconfigured state, austerity measures gain their own logic as a means of maintaining the ideology to replace state-spending activities with market-based alternatives—austerity continues and provides ideological coverage for the cutting trend and to discipline societies (Roberts 2010, Blyth 2013).

Reconfiguration of state institutions inspired by the deregulatory thrust of neoliberalism complements the economic turn to austerity: it decouples policymaking as a political process from the implementation of policy by experts. The rise of EU agencies give ample examples of that process, often creating networks of experts more and more disconnected from their national constituency. The late political scientist Peter Mair captured this disconnection when he wrote of, 'the growing gap' between 'responsiveness and responsibility—or between what citizens might like governments to do and what governments are obliged to do—and the declining capacity of parties to bridge or manage that gap' (2013: 164). It is impossible to understand the emergence of widespread discontent among European state voters without noticing the gap between democratic accountability and policy outcomes.

How has the fiscal crisis restructured European states according to prevailing scholarly accounts? Neo-Marxist theorists argue that the crisis further galvanizes the observed shift from the Keynesian national welfare state to a Schumpeterian globalized workfare state (Jessop 2002). The state is central to this reconfiguring process, providing supply-side policies, deregulation, privatization, and welfare state cuts as part of the displacement of Keynesianism by neoliberalism, a process documented by Bruno Palier and Colin Hay in Chapter 17. The restructuring process remains consistent of course with the general Polanyian position, whereby any massive market-biased process such as neoliberalism rests paradoxically on increased state interventions (King 1987, Blyth 2002). Second, an important group of scholars document how the restructuring of the state, especially in public utilities and welfare services, has been reconfigured through the introduction of market mechanisms and related regulatory agencies (Gingrich 2011).

In essence, the core of state activism has shifted from attempting to steer or direct the market—as during the post-war boom—to supporting the market today. Market support has been an agenda for state activism, however, rather than a signal of state eclipse.

State authorities have developed several new activities as a way of supporting a market orientation. These include, as Palier and Hay discuss, making labour markets and systems of social protection more employment-friendly; recasting regulatory frameworks to permit countries to cross major economic and technological divides (from Fordism to post-Fordism, from the mechanical era to the digital era, from managerial capitalism to shareholder or finance capitalism); and expanding market competition in industry and public services, at home and abroad. The first type—promoting social protection and social investment models—is of an essentially *corrective* nature, addressing dysfunctions that have emerged over the years, whereas the other two are *constructive* in character, laying the foundations for future growth. In their chapter, Palier and Hay identify how privatization, individualization, recombination, and liberalization are drivers of reform as much as social investment strategies. Indeed, while state authorities have abandoned certain policies, they have also forged new missions and programmes, such as promoting small business, reorganizing labour markets (see also Mark Thatcher in Chapter 9), and expanding social protection. The constructive market-making restructuring is cogently analysed by political scientist Jane Gingrich in her book *Making Markets in the Welfare State* (2011), which explains how the type of market-making instruments introduced in policy varies across welfare state policies for health and education and by state. Commonly grouped together as a single process, Gingrich shows that as designed and implemented, the content of market processes varies according to the ideology of the government using this non-state institution: right-wing parties design market mechanisms to enhance the role of the private sector, while left-wing parties use mechanisms from the market that will maintain the legitimacy of welfare provision as a core state activity.

Classically, states try to foster strong economies. As Erik Jones and Gregory W. Fuller argue in Chapter 11, the wealth of nations is now strongly dependent upon the strength of finance. Financial development together with new technologies is a major factor of growth—hence the development of policies to attract finance and limit regulations. Given the competition between financial centres, articulating legal and less visible dimensions has become important for states. States actively promoted the integration of financial markets and scaled back regulation to attract this industry. States are also dependent upon finance, as Streeck vividly shows in Chapter 7. States may contemplate renationalizing finance but are bereft of the political legitimacy or competence to act (Jacobs and King 2016)—so this is a case of too little too late.

Process 3: The Reforms of Performative State Bureaucracy: More Rationalization versus Neoliberalism

The rationalization of the state is a long-term and unstoppable trend. Auditing has become a key state activity, with ‘value for money’ a mantra zealously applied to state activity (Hood 1991, 1998, Scott 1998, Le Galès and Scott 2010). The state is increasingly differentiated, expressed in a series of enmeshed agencies, organizations, flexible rules, and negotiations with a growing number of actors, but discipline and punishment have not disappeared (Foucault 1977). Some parts of the state, such as central banks or the European Central Bank, enjoy close to absolute autonomy within their state frameworks. Other parts of the state have plunged into complex and often imprecise partnerships with private sector actors to deliver services (notoriously in the elaborate private financial initiatives imposed on the NHS in the UK to fund capital spending). This latter practice has created multiple intrinsic financial implications, with lines of responsibility falling across private and public participants but ultimately still resting with the state. For example, in the UK’s massive defence procurement programme, responsibility is centred on one agency (Defence Equipment and Support) located in the Ministry of Defence but empowered by controlling its own £163 billion ten-year procurement budget.

The shifting bureaucratic and rationalization processes of the policy state—for example, efforts to try to limit policy failures by mobilizing new policy instruments—are drivers of change. These are enhanced by technological innovations and sometimes harnessed to neoliberal ideas—but not always. Modern states are involved in massive amounts of policymaking and policy implementing, activities with long-term effects on the institutions of the state. In Chapter 13, Philippe Bezes, drawing on his comparative research about state bureaucratic forms in Europe, re-energizes the Foucauldian term *souci de soi de l’État* to characterize the scale of activities transforming bureaucracies. In other words, the reconfiguration of European states is explained by changing forms and organizations of the state apparatus, and the impact of policies. Three propositions may be inferred. First, the reconfiguration of European states is the result of a continuing rationalization process and of policies intended to deal with policy failure (regulatory state, agencification, audit, retreat from regulation, transformation of institutions). Second, neoliberalism influenced those reforms hence the rise of the neoliberal state, of New Public Management, and the making of a more market-oriented society. And third, new activities and transformations of policies lead elites to retask the state to overcome policy failure and maintain state control and capacity in this new era. We discuss each conjecture.

New Technologies of Government: High-Tech and Big Data

We contend that the reconfiguration of states is driven by changing technologies of government, building on Alain Desrosières' influential analysis of states and statistics (2002), and recent research about technical devices and policy instruments (Mitchell 1991, 2006, Lascoumes and Le Galès 2007). Research about numbers and statistics, quantification audits (Power 1997), standardization (King and Stears 2011), benchmarking and rankings explain instruments as technologies of government that associate knowledge and power. Measurement and quantification are not neutral. They result from conflicts and struggles that centre on definition. They produce outcomes and create new social spaces or institutions (Miller 1990). The calculation methods associated with these technologies of government create new inequality metrics (Desrosières 2002). This momentum can also be interpreted in terms of the long-term process of rationalization. Several researchers opt to formulate this governmentality framework as being about new forms of domination consistent with their view with neoliberal ideology (Miller and Rose 2007).

Do all these instruments make it possible to define neoliberal governmentality? This is what assessments of the Thatcherite revolution have sought to study. In their work, Dardot and Laval (2013) and Hibou (2015) characterize the new globalized neoliberal ideology as a combination of the ground rules applying to contemporary capitalism and the state's exercise of power. They argue that this ideology continuously steers individuals' behaviour for the benefit of the market society. All the measurement instruments identified by Desrosières can thus be considered as the tendency of contemporary states to strengthen the market society in the state, through a strong mobilization of the instruments that structure competition, performance, and sanctions.

Both evaluations and audits can be decisive neoliberal policy instruments whose aim is the dissemination of market principles into society. Our analysis is somewhat different. The neoliberalization of the state through the use of broadly market mechanisms—at least over the last thirty years—has undoubtedly been a general trend in the changes observed in many countries. This has resulted in the adoption of a few specific instruments that have focused on measurement in particular.

We part company—at least for the moment—with the relative determinism of these authors. First, a large part of the quantification or the strengthening of the *spirit* of managerialism does not fall under neoliberal dynamics. The logic of the rationalization of activities, including through measurement and quantification, has a long history. Observable changes in bureaucratic rationalization are sometimes linked to the development of new technologies such as computers or communication systems. Contemporary policy studies have shown that policy often fails, and that the impasses in public regulation have been behind the introduction of new instruments (Henman 2016).

The dynamics of quantification and classification are also at work, independently from the state, and at its margins. A number of social movements have developed practices and instruments and participated in evaluation. Consumers and service users in the health and environment sectors in particular, aided by social networks, encouraged the use of performance rankings to lift the veil of ignorance surrounding differential performance across state agencies delivering services, to confront authority, to challenge the opacity of professional practices, and ultimately to hold state authorities accountable.

As Weberian-minded sociologists suggest, quantitative approaches go well beyond neoliberalism and it can be difficult to distinguish between the distinct logics at work. The emergence of managerial practices classified under the term New Public Management can also be explained by the ‘new aristocratic bureaucracy’ strategies which are struggling to regain their capacity to inspire action (Bezes 2009). Reinforcing bureaucracy and rationalization is not necessarily linked to neoliberalism; this does not exclude any specific types of neoliberal instrument. Does this neoliberal rationality govern the world? Many forces push in this direction, but resistance is not negligible. Describing all these transformations as ‘neoliberal bureaucratization’ as many authors do, is another example of an overblown conceptualization (Dean 2014, Le Galès 2016).

The quantification dynamics are also reinforced by new technology and what Hood and Margetts (2007) have analysed as the digital state. There is nothing new as such. In order to make contemporary societies more legible and to deliver services, European states (often after the US) have engaged in a long-term process of digitalization (Henman 2010). The intensity of change has, however, increased with the availability of computers, the Internet, and now big data. The state does not disappear once again. Recent debates about the privacy of data or the demand for ‘national sovereign clouds’ distinct from large firms’ control, bear witness to the re-emergence of classical debates. The language and grammar of benchmarking, targets, indicators, and quality assurance dominates modern accounts of the state, especially its public sector dimensions (Henman 2016). For scholars inspired by Michel Foucault, this shift may signal a departure from Max Weber’s classic analysis of the ‘iron cage’ (Carroll 2006). Massive digitalization inside the state may dramatically increase the capacity for surveillance and control (Margetts and Dunleavy 2013). Hood and Margetts (2007) see this trend as a form of embedded rationality and of the loss of long-term memory in a state which is on a permanent alert footing.

New Configurations for Policy Delivery

Another dimension of scale is organizational: the creation of new elements within the state—for instance, delegating increased authority to subnational bodies. And new arrangements for states to deliver policy—for example, by

using e-government mechanisms or the increased use of private sector actors to co-deliver policy, such as in the UK's National Health Service. Scholars of public policy and governance argue that the state is more fragmented organizationally, pointing out the limits of what can be achieved through policy and noting areas such as transportation in which policy and governance have failed. States appear as increasingly differentiated, a contradictory combination of institutions, professions, organizations, and groups classified vaguely under the name 'state' that are increasingly able to resist steering by governments. The privatization of utilities powerfully conveys this new framework. The rise of agencies is also the result of policy failures or, as in Eastern Europe, as the result of institution-creation to follow EU norms and conditions (Drahokoupil 2009).

The dilution of interdependence between social groups and the decline of societal integration has generated an immense governing challenge to European states—immigration policy (Hollifield 1992) together with poverty. This issue and its complex management, the subject of Chapter 22 by Desmond King, Patrick Le Galès, and Tommaso Vitale, is an instance of state reconfiguration with fundamental political, governance, and electoral effects. As Jenny Andersson sets out in Chapter 15, reflections about and analyses of the future have become part of how states frame issues and impose direction to societies. States have equipped themselves with new technologies to think about the future, the material for which informs her case study. Management of expectations and less visible forms of power are deployed by states in vision-shaping exercises.

Bezes provides a comparative account of the organizational changes in many European states to complement the in-depth empirical analysis developed by Niamh Hardiman (Chapter 14) of the case of Ireland. Both signal the fragmentation of state structure; the rise of agencies, auditing organizations, delegated agencies, and private contractors; and the delegation of service tasks to private contractors. In her account of the Irish state, Hardiman evokes the image of an 'organizational zoo'. Many of these trends are captured in Christopher Hood's (1991) umbrella terms, New Public Management, expressed as a process of rationalization based upon performance indicators, fragmentation of vertical organizations, market mechanisms, and emphasis on consumer value. These measures aim collectively to make bureaucracy more focused, more effective, more efficient, and more citizen-friendly. The rise of this bureaucratic organization was unique to the UK, but has become standard in all European countries often in cooperation with the EU. Auditing also implies the making of new knowledge, the aggregation of all sorts of data, the quantification of various activities, and the development of myriad indicators.

In Chapter 16, Benjamin Lemoine shows how the privatization of states' public debt management, by using the international financial market, modifies which constituencies are affected by policy. These constituencies now include

voters, tax payers, future generations, and financial organizations owning the debt. The state is not only measuring and creating categories to measure, it is also incorporating measurements from transnational organizations (Buisson-Fernet and Pons 2014; PISA, for instance, for the ranking of education performance). Measuring the state, its performance, its boundaries, and its debts is a highly political process (Ball 2012). As Lemoine's chapter shows, the state is regularly assessed and measured by firms, rating agencies, and international organizations. In terms of the state's historical position as the 'quantifier in chief', it is now itself subject to measurement organizations (Fourcarde 2016).

Process 4: The Decline of Hard (Military) Politics and the Rise of the Security State

As famously analysed by Tilly (1985), European states were forged by war (van Crevelde 1999). This Hobbesian core of the state is in a condition of flux in Europe. If the traditional claim to possess a monopoly of violence to protect citizens appears overstretched (Giddens 1990), states are developing new ways to control populations, exercise authority, and to monitor parts of their citizenry. Despite the decline of 'hard politics', violence and protection continue to dominate how the state defines its responsibilities. In other words, as Schinkel (2009) suggests, the decline of state capacity in the economy might trigger the revitalization of the old Hobbesian core. Questions of order and security are very much on the agenda of the reconfiguration of European states, in a sort of mimicking of Singapore.

Within the enlarging European Union, European states have avoided war among themselves since 1945, indeed not only sidelining conflict but bringing former authoritarian regimes into the fold of democratic nation-states, and integrating formerly warring peoples into a common supranational system of state organization. This process continues but was never inevitable, and only a fool would predict its unchanging persistence or irreversibility. The European state contains too many contradictions to take its persistence for granted. For instance, while borders and boundaries within the EU have declined in significance (Anderson 2013)—and in the case of the Schengen agreement, countries sit fundamentally reconstituted—the borders of the collective twenty-eight-member European Union have deepened against would-be entrants from non-member states. That the founding nations of the European Union and many subsequent member nation-states, such as the UK, Portugal, the Netherlands, and Spain, were colonizing nations whose definition of membership and national citizenship excluded those in the ex-colonies, has helped define both the nation-state and the European state as exclusionary, unwelcoming, and white.

This colonizing legacy feeds directly into policy crises about immigration, minority communities' rights, and such issues as secular versus religious values now festering in European states. The effects of this narrow definition of membership have been expressed starkly since the 1980s, as tens of thousands of former colonial citizens moved to European Union countries: their children often feel alienated in and disaffected from the nation-states in which they grow up, live, and become citizens of. Distinctness of religion or ethnicity has sharpened disputes about the meanings of belonging in European states, disputes accentuated by stubborn patterns of material inequality among immigrant families and their children. Some of these resentments have erupted in well-publicized instances of disorder in Swedish or French suburbs, or in the Amsterdam murder of Dutch film-maker Theo van Gogh, detailed in Ian Buruma's *Murder in Amsterdam* (2006), because of his van Gogh's film about an anti-Islam politician, Ayaan Hirsi Ali. In 2013 an off-duty soldier was beheaded in broad daylight in a London street by two Muslim extremists carrying out jihad. The killings in Paris in November 2015, the January 2015 murders of the *Charlie Hebdo* journalists by two Islamic radicals and four French Jews in a Jewish supermarket on the same day, in Paris, or the killings in Brussels in the spring of 2016, show the perverse and criminal unfolding of this trajectory. King, Le Galès, and Vitale take up the issue of immigrant assimilation in Chapter 22.

Classical accounts of the state underline how it protects its members, a claim that justifies the state's monopoly of violence and the state security apparatus. During wars, and during preparation for war, military groups sit as integral members of the state elite—the military is 'the backbone of the state', to use Michael Mann's well-heeled phrase (2013). Peace alters this balance. The making of the modern European state went hand to hand with the monopoly (or quasi-monopoly) over control, to regulate the army and the professions. The denationalization and demonopolization of the use of force (police, army) is therefore classically seen as a major transformation of European states.

Some scholars argue that after the Second World War, the end of armed conflicts between European nation-states enabled them to relax domestic coercion. No longer mobilized to the same extent by the imperatives of war or preparation for war, states have tended to let territorial differentiation processes simply unfold. They have permitted social and political actors greater autonomy. The development of post-militarist tendencies (in relative terms—by comparison with the period 1850–1945, for example) has reduced coercion, leaving the field open for the decline of what Mann calls 'hard politics'—politics defined in terms of control and domination in the context of possible war. This, according to Perry Anderson (1994) for instance, was the prime logic giving rise to various dynamics of decentralization all over Europe. So, what remains of states' independent capacity to protect their citizens? Even though states retain an essential security, order maintenance, and protection role, they have lost their autonomy.

Interdependence in the areas of technology, information, and industrial systems renders the idea of conflict between European states obsolete (Mérand et al. 2011). The 'third pillar' of European integration includes a security dimension, as Anand Menon takes up in Chapter 19. There are increasing signs that a capacity to exercise authority higher than the power of the nation-state is in the making, and is a missing element of coercion (at various levels): the Schengen agreements, a hesitant start on the Europeanization of police forces (Bigo 1996), the appointment of a head of the Common Foreign and Security Policy, integrated NATO operations, and the creation of a 'Euro-corps'. Armies have had to face radical reorganization. Boëne and Dandeker (1998) stress the impact of the professionalization of armies, changing objectives, uncertainties as to what constitutes a threat and who the enemy is, the growing number of joint actions (as well as their limitations), and the introduction of market mechanisms. The outcome of all this is that it is increasingly hard for any single state to ensure the protection of its citizens or to make war (except in poor African countries). Therefore, the classic idea of the link between the state and violence needs to take account of violence originating not just with other states but also perpetrated by loose non-state actors and organizations, or by radicalized individuals impervious to state boundaries.

One major change that has occurred in the US in particular is the rise of what Singer (2001: 8) terms 'the rise of corporate warriors' or the private military industry 'business organizations that trade in professional services intricately linked to warfare. They are corporate bodies that specialize in the provision of military skills, including combat operations, strategic planning, intelligence, risk assessment, operational support, training and technical skills'. Their activities have become global, including in Europe (the Balkans), and according to Singer London has become one of the 'unofficial hubs' of this industry. A good deal of British military operations have now been effectively privatized (accompanied by the rise of regulation activities). With high levels of debt on the one hand, and pressure to increase defence expenditure (not least from the Americans), European states will consider some hidden or indirect forms of war-making using private military organizations. Making war is a business for some states since they can easily gain access to private or state military forces if they have the resources, or sell their participation to military coalitions (Henke forthcoming). And that's not a minor point for European states from France to Austria.

Less War, More Control?

It is increasingly hard for any single state to ensure the protection of its citizens. Therefore, the classic idea of the link between the state and violence needs to take account of violence originating not just with other states, but also perpetrated by loose non-state actors and organizations or by radicalized individuals

impervious to state boundaries. The frightening security threat presented by terrorism hanging over European states and their citizens requires supra-EU-level responses in addition to state-level actions. In post-Cold War Europe, military alliances have emerged as decisive faultlines between European states, individually and collectively, and non-European states. In this new setting of fear and anxiety, European states are unable definitively to protect citizens and instead must seek to 'reassure' the population, in a sort of paternalistic strategy to legitimize state intervention (Isin 2004). It is a grim time for reconfigured European states, and it signals a new era of crisis rather than a transformation in modern states (Bigo et al. 2008, Joppke 2015).

In Chapter 18, Fabien Jobard advances a nuanced view. Over forty years, he shows that European states have not resorted to governing through crime or punitiveness—there have been increases in punitive laws but only to a modest extent. The EU has acted to reinforce the rule of law, the prohibition of the death penalty, greater recognition for the victims of crime, the prevention of torture, and the protection of human rights. Jobard concludes by noting the 'muddled transformation' in the coercive power of European states and their overloaded criminal justice systems. Olivier Borraz and Lydie Cabane make another important point in Chapter 20: as war is not so central for European states, they argue that dealing with extreme events with various forms of risk management offers a substitute means through which policymakers maintain forms of control and coercion, thus further redefining the activities and limits of the state.

Against the new severe security challenge, and the politics of fear generated by the effects of globalizing capitalism, social movements have not abandoned their quest to question and reform European states. Domestic democratic forces and transnational movements mobilize to contest and push for the democratization of European states, as Donatella della Porta stresses in Chapter 21. Historically, European states were transformed by such democratic mobilization and social movements (Rosanvallon 1990), in particular in Southern Europe in the recent period (Gunther et al. 2006). Conflict over democratization continues even if—in the post-2008 period, and as we discuss in the Chapter 23—extreme right populist movements seem more likely successfully to enforce a change of direction for European states over the democratizing goals of social movements (Mair 2008). The consolidation of democracy (Spendzharova and Vachudova 2012) is under pressure and not just in Oriental Europe. Conflicts and contradictions are in progress and the lines are increasingly sharply drawn.

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Part I

Changing Scales of European States

Nation-State to Member State

Trajectories of State Reconfiguration and Recomposition in Europe

Christopher Bickerton

INTRODUCTION

Joe Migdal once described the modern state as ‘the mountain that all political scientists sooner or later must climb’.¹ If he is right, then it seems best to start the climb sooner rather than later, as it promises to be long and arduous. This chapter agrees with the editors of this volume that we can most fruitfully analyse the contemporary state in terms of reconfiguration and recomposition. This takes us a step beyond the more traditional narratives of the state tied to repeated cycles of retreat and return or decline and resurrection. The themes of reconfiguration and recomposition suppose that states remain central to modern politics but put the accent on how they have changed. This chapter sketches out a particular account of this transformation by introducing the term ‘member state’. This term is understood here not merely as a juridical category pertaining to membership of regional or international organizations but also as a distinctive and standalone form of statehood. The chapter argues that we can think of state reconfiguration in Europe today in terms of a shift from nation-state to member state.

The chapter begins by considering the main approaches to thinking about the state and draws out some of their limitations. It then introduces the idea of member state and explains how this concept helps us address some of the weaknesses in existing approaches. The chapter outlines the main empirical features of member statehood, focusing in particular on the changing

¹ Migdal, Joel S. 1997. Studying the State. In Mark Irving Lichbach and Alan S. Zuckerman (eds) *Comparative Politics: Rationality, Culture and Structure*. Cambridge: Cambridge University Press, p. 208.

institutional balance within states, transformations in the structure of national bureaucracies, and changes in the policymaking process. The chapter then turns to the crisis in party democracy as a key causal factor in the shift from nation-state to member state. As an illustration, the chapter takes up the case of Italy and looks at the events of the late 1980s and 1990s where reconfigurations in the Italian state occurred via a combination of individual decisions and wider societal and political dynamics. This example helps raise some theoretical questions about the nature of the changes we are observing and the balance to strike between individual agency and wider processes of structural change in providing explanations of such reconfiguration.

Bringing Politics Back In

One of the most influential attempts to revise our understanding of the state has come from historical sociology in the work of Skocpol, Tilly, Ertman, and others. These sociologists were reacting to what they felt was an unwarranted disregard for the study of the state. Pluralist and Marxist perspectives, dominant at the time, had assumed that the state was essentially a reflection of domestic interest groups or of class relations. Responding to what they considered a reductionist account of the state, they argued that state institutions in fact enjoy considerable autonomy. State power can decisively shape outcomes and the state should be a standalone object of study. Drawing on the works of Weber and Hintze, these scholars transformed the way we understood and approached the study of the state.²

For all of their insights, this neo-Weberian school of historical sociology tended towards a study of administrative structures wrought free from social relations. The sociological study of state elites became popular but at the expense of seeing elites as products of wider society.³ As Migdal put it, studying the bricks should not mean that one no longer studies the mortar. In response to this, some scholars turned to culture as the concept best suited to studying the 'mortar' that ties states to their societies.⁴ The work of Geertz was influential and taken up by many of those interested in the state. It was felt

² The obvious references here include—*inter alia*—Ertman, Thomas. 1997. *Birth of the Leviathan: Building States in Medieval and Early Modern Europe*. Cambridge: Cambridge University Press; Evans, Peter B., Rueschemeyer, Dietrich, and Skocpol, Theda (eds) 1985. *Bringing the State Back In*. Cambridge: Cambridge University Press; Gilbert, Felix (ed.) 1975. *The Historical Essays of Otto Hintze*. New York: Oxford University Press; Tilly, Charles (ed.) 1975. *The Formation of National States in Western Europe*. Princeton, NJ: Princeton University Press.

³ Birnbaum, Pierre. 1994. *Les Sommets de l'État. Essai sur l'élite du pouvoir en France*. Paris: Editions du Seuil; Badie, Bertrand and Birnbaum, Pierre. 1982. *Sociologie de l'État*. Paris: Grasset.

⁴ Migdal, Studying the State, pp. 212–15.

that while state administrations certainly demonstrate a degree of autonomy, one was still left with the mystery of explaining how they managed to retain any organizational coherence at all. What are the governing norms that prevent bureaucracies from collapsing into perpetual inter-institutional conflict and rivalry?

Explaining this coherence by way of culture can help, and much work today is focused on the socialization effects present within bureaucratic and political elites. This chapter takes the view that the bonds between state and society are of a political nature. Hobbes, in his writing on the state, accepts that states can be either Leviathans or Behemoths, in other words either unified, integrated sovereign powers or internally divided and fractious polities.⁵ What determines whether a state is one or the other is for Hobbes a political question: it is about the nature of the representative claim made by sovereigns and their ability, ultimately, to exist as a unity that represents the people.

The contemporary recomposition of the state is viewed in this chapter through the lens of how the identification of interests and the formation of preferences have changed in advanced industrialized states. Trends such as presidentialization, agentification, and judicialization are effects of such changes, as is the phenomenon of regional integration in Europe. Together, these trends signal the transformation of nation-states into member states. At issue is neither the relative autonomy of bureaucratic structures nor the integrative capacity of societal norms. The concept of member state focuses attention on the recomposition of political authority and in particular how political power is being increasingly exercised via external frameworks of rule.

The Concept of the Member State

The term member state is most commonly understood as a legal term.⁶ It denotes a state's membership of an international or a regional organization. All countries belonging to the United Nations are described as UN member states. In the European context, the term member state is perhaps one of the most commonly used in the whole lexicon of European studies. Countries presently outside of the EU, such as Georgia, are thought of as ordinary nation-states. Those able to join the EU, like Croatia, become member states.

⁵ Hobbes popularized both these terms as myths that expressed different moments in the life of a state. Leviathan described a form of political rule where the balance between coercion and individual freedom was maintained; Behemoth, a book that was also given the title 'The Long Parliament', was on the English Civil War and depicted a state of anarchy. Franz Neumann took up the title for his 1942 book on Nazi Germany, entitled *Behemoth: The Structure and Practice of National Socialism, 1933–1945*. New York: Octagon Books.

⁶ For an extended discussion of this concept, see Bickerton, Christopher. 2012. *European Integration: From Nation-State to Member State*. Oxford: Oxford University Press, chapter 2.

Were a member state to decide to leave the EU—as the UK has done in voting for Brexit—it would revert back to being a traditional nation-state. Member statehood is thus a matter of legal title and in Europe most states enjoy multiple memberships—of NATO, the EU, the Council of Europe, the OSCE, the World Trade Organization, and various others.

It is proposed here to think of member statehood as a distinctive form of state. It refers not only to legal membership of regional or international organizations but to a particular form of state that can be contrasted with a nation-state or other earlier forms of state.

The defining feature of a member state is the propensity of its government to exercise power through external frameworks of rule. As this often requires belonging to an outside organization or body, we can call this form of statehood *member state*. In the European case, this points above all to membership of the European Union. However, to be precise, we should note that member statehood does not necessarily imply a *geographical or spatial* relocation of power away from national capitals to supranational organizations. After all, the EU itself has expanded greatly since the mid-1980s but without significant and lasting transfers of formal competences from national governments to supranational institutions. Europe has rather progressed towards what Jürgen Habermas has called ‘executive federalism’ and what this author refers to elsewhere as the ‘new intergovernmentalism’.⁷ National officials and representatives have become engaged in extensive forms of cooperative decision-making at the European level but this remains a national activity rather than a supranational one.⁸

The term ‘external frameworks of rule’ thus refers to frameworks that are *external to politics* and specifically to the procedures and established practices of representative democracy. The process of European integration and the growing prominence of global governance fora such as the G20 are one instance of such frameworks. Other prominent instances include processes such as judicialization and agentification, where the external frameworks are those of courts and independent regulatory agencies. There are admittedly important differences between these instances of what one might choose to call ‘depoliticization’. By bringing them together here, the intention is not to minimize these differences or to claim that they are reducible to one single

⁷ Habermas, Jürgen. 2011. Europe’s Post-Democratic Era. *The Guardian*, 10 November. <<http://www.theguardian.com/commentisfree/2011/nov/10/jurgen-habermas-europe-post-democratic>>. On the new intergovernmentalism, see Bickerton, Christopher, Hodson, Dermot, and Puetter, Uwe (eds) 2015. *The New Intergovernmentalism: States, Supranational Actors and European politics in the post-Maastricht Era*. Oxford: Oxford University Press.

⁸ For a more extended discussion of this point, see chapter 1 in Bickerton et al., *The New Intergovernmentalism*.

overarching cause.⁹ Rather the aim behind developing the concept of member statehood is to demonstrate the interconnections between seemingly disparate phenomena. Especially in the case of European integration, there is a tendency to study this process as a unique phenomenon requiring its own special explanatory toolkit. By looking at regional integration as one component of a wider process of state reconfiguration, this chapter hopes to draw out some of the underlying connections between European integration and domestic politics that past scholarship may have missed.

In the following sections, the chapter will explore member statehood in terms of reconfiguration of three distinctive and empirical aspects of statehood: the internal institutional balance, the composition of national bureaucracies, and the dynamics of the policymaking process itself. The chapter will then turn to consider possible explanations of the shift from nation-state to member state, focusing in particular on changes in political parties and in party systems.

THE INSTITUTIONAL BALANCE

In terms of the institutional balance, we see in member states a marked tendency towards the strengthening of the executive. Presidentialization has occurred in countries (like the UK) where final decision-making authority had generally been associated with parliaments or where (such as in Italy) individual leaders had generally been seen as subordinate to the political party. This strengthening of the executive is not driven by power-hungry individuals so much as by a growing concern for competence and effectiveness as the key political virtues presented to voters in electoral competitions. The presidentialization of Forza Italia in Italy was a corollary of Berlusconi's claims about his managerial competence. In the light of his record in power this may appear outlandish, but in the context of the *mani pulite* scandals of 1992–4 and the discrediting of the whole Italian political class, Berlusconi's success as a corporate manager was a clear part of his electoral appeal.¹⁰ In the UK, presidentialization and a strengthening of the role of experts in political decision-making went hand in hand: the number of advisors in 10 Downing Street rose from seventy-one in 1970 under Edward Heath to more than 200 under Tony Blair.¹¹

⁹ On the domestic and the global sources of 'depoliticization', see Hay, Colin. 2007. *Why We Hate Politics*. Cambridge: Polity, chapters 3 and 4.

¹⁰ Ginsborg, Paul. 2001. *Italy and Its Discontents, 1980–2001*. London: Penguin, chapter 9.

¹¹ For a discussion of the relationship between presidentialism and expertise in politics, see Papadopoulos, Yannis. 2013. *Democracy in Crisis? Politics, Governance and Policy*. Basingstoke: Palgrave, p. 42.

The association of political legitimacy with expertise is important for the move from nation-states to member states as the latter are characterized by political actors seeking authority to act from outside the political procedures of majoritarian democracy. If one is concerned with efficient decision-making, then it follows that many of these procedures appear as impediments to be overcome rather than as sources of legitimacy in their own right. It would be wrong to suggest that an interest in outcomes or effectiveness has not been central to the political life of nation-states. However, what is new is the idea that outputs alone, stripped of any intrinsic relationship to 'inputs'—namely the participation of voters in elections and the elaboration of collective preferences by parties—can become sources of legitimacy. As the internal institutional balance has shifted towards a concentration of power in institutions with only an indirect relationship to voters, so notions of legitimacy have evolved in order to keep up. The effect has been to dilute the electoral component of the legitimacy concept in favour of more output-focused notions.¹²

The institutional balance is also affected by judicialization, what Alec Stone Sweet has called 'governing with judges'.¹³ Here we see constitutional courts taking a more central role as legislators. We also see domestic actors using the courts instead of parliaments and political debates as routes for legislative change. In the European context, this change is often associated with the rise of powerful regional courts, namely the European Court of Justice (ECJ) in Luxembourg and the European Court of Human Rights in Strasbourg. Forced to change their domestic legislation in order to comply with decisions by these courts, European law-makers seem to have emerged as powerful legislators in their own right. In practice, this view attributes too much power to the Luxembourg- and Strasbourg-based courts. The permissive condition allowing European case law to exert a powerful transformative effect on domestic legal systems has been the judicialization trend at the domestic level within European states. ECJ case law gains its power from the uses made of it by domestic actors: national courts and even national executives use it to secure outcomes they desire but struggle to impose through more conventional channels. Many ECJ rulings, for instance, were ignored for years as they challenged the mixed-economy consensus that reigned across much of Western Europe. As this political consensus disappeared, so governments began to invoke European law as explanations for why they needed to introduce single market related reforms, a process Fritz Scharpf called

¹² For a discussion of our changing understandings of legitimacy and their relationship to changes in domestic and EU level politics in Europe, see Stefano Bartolini. 2005. *Restructuring Europe: Centre Formation, System-Building, and Political Structuring between the Nation State and the European Union*. Oxford: Oxford University Press, pp. 165–75.

¹³ Stone Sweet, Alec. 2000. *Governing with Judges: Constitutional Politics in Europe*. Oxford: Oxford University Press.

‘the constitutionalization of competition law’.¹⁴ Such case law is used in the manner of an external commitment, demonstrating the necessity of introducing a particular reform or change in the law. It is the reliance of governments on such external commitments that identifies them as member states.

BUREAUCRATIC COMPOSITION

‘Agentification’ describes a process whereby states increasingly delegate a regulatory or monitoring role to independent agencies. This often occurs in the economic field and is associated with privatization. Far from being a sign of the disappearance or shrinking of the bureaucracy or of state intervention as such, privatization has been accompanied by widespread reregulation. According to some figures cited by Papadopoulos, in the UK agencies now employ three-quarters of the people who would traditionally be called civil servants. He also cites an Organisation for Economic Co-operation and Development (OECD) study which estimated that arm’s length bodies represent between 50 and 75 per cent of public expenditure and employment in OECD member states.¹⁵ This development concerns above all the bureaucratic composition and nature of the state and of public institutions. It represents a process of recomposition, whereby activities that were traditionally located within the public domain are recreated as external to the state, though with specific lines of accountability and with strict mandates. The boundary between the public domain of the state and the more amorphous domain of agencies that owe their existence to the state but are not of the state directly has thus become blurred. The state has not retreated or shrunk but rather the manner in which its authority is exercised has changed.

POLICYMAKING PROCESSES

In terms of policymaking dynamics, a feature of member states is their reliance on depoliticized policy instruments. This has parallels with agentification, but the role of such instruments is not to regulate but to actually make and implement policy. The most striking examples exist in the macroeconomic field, where both monetary and fiscal policies are increasingly relocated outside the decision-making centre of representative government. A well-established

¹⁴ Scharpf, Fritz W. 1999. *Governing in Europe: Effective and Democratic?* Oxford: Oxford University Press, pp. 54–6.

¹⁵ Papadopoulos, *Democracy in Crisis?*, p. 177.

trend is that of independent central banks. Though we take it for granted today that interest rate decisions should be given to an independent rate-setting body, prior to the mid-1980s this remained an exception to the rule. Up until 1986–7, fewer than ten countries in the world had independent central banks. Since then the number has risen steadily, and since 1990 it has shot up dramatically. Over one hundred countries had independent central banks at the start of the twenty-first century. The exception has become the rule.¹⁶

Though less pronounced, a similar trend exists in fiscal policy. Today, fiscal policy is conducted in line with rules and institutional constraints. The International Monetary Fund estimated in 2009 that around eighty countries had adopted a fiscal rule of one kind or another (e.g. a balanced budget rule or a debt brake rule), some of which have been inscribed within a country's constitutional framework.¹⁷ In addition to rules, fiscal policy is today often made in consultation with a national fiscal council (see Table 2.1). Some of these councils, in the Netherlands or in Germany, have been in place for some time; many others are more recent. These councils provide advice to executives and information to publics about government taxation and spending that is meant to be free from partisan manipulations. In the UK case, there has even been a suggestion that the Office of Budgetary Responsibility should vet party manifestos in order to ensure that they fairly present their tax and spend proposals.¹⁸ A selection of fiscal councils is given below.

Table 2.1 Fiscal councils

Austria	Government Debt Committee (1997)
Belgium	High Council of Finance (1989)
Canada	Parliamentary Budget Office (2008)
Denmark	Economic Council (1962)
Germany	Council of Economic Experts (1962)
Hungary	Fiscal Council (2008)*
Netherlands	Central Planning Bureau (1947)
Slovenia	Fiscal Council (2010)
Sweden	Fiscal Policy Council (2007)
United Kingdom	Office for Budget Responsibility (2010)
United States	Congressional Budget Office (1975)

* Hungary's fiscal council was dismantled in 2010.

¹⁶ For the data, see Roberts, Alasdair. 2010. *The Logic of Discipline: Global Capitalism and the Architecture of Government*. New York: Oxford University Press, p. 31.

¹⁷ Wyplosz, Charles. 2012. Fiscal Rules: Theoretical Issues and Historical Experiences. NBER Working Paper No. 17884, March. Germany and Switzerland both have constitutional debt brakes.

¹⁸ This was a suggestion made by the UK's shadow chancellor, Ed Balls, in September 2013. For an account, see <<http://thecurrentmoment.wordpress.com/2013/09/24/fiscal-rules-and-election-campaigns/>>.

European integration is important here in so far as the EU's institutions are where much of the policymaking occurs. Within the Council of Ministers and its myriad of specialized working groups, national experts coordinate their positions and harmonize their policy frameworks. In macroeconomic policy, the Eurogroup is a privileged institutional setting where finance ministers of Eurozone member states are able to deliberate with one another and reach common agreement on monetary and fiscal policy. The European Council serves a similar function but is able to include EU member states that are outside the Eurozone. Often, in less politicized areas of policy-making, the legislative process involves a small number of individuals drawn from the EU's institutions (the Commission and the Parliament) and from the member states. National officials work with European parliamentarians and Commission officials towards a common agreement, often in inter-institutional working groups that have very few members. An alternative setting is comitology, where national experts meet in order to transform the executive orders of the European Commission into legislation to be implemented by member states. Comitology is arguably the most important governance process of the EU and yet it lies quite outside of what one would consider to be the political life of European states.¹⁹ What dominates in these institutional settings—from the European Council down to the individual comitology committees—is not a clash of national perspectives but a shared concern with problem solving.

Here we see, as a consequence of this use of depoliticized policy instruments and as a key feature of member statehood, a strong uncoupling of policymaking from politics. Decision making is diffused across policy networks, and national officials work regularly alongside officials from other member states in settings such as comitology. Indeed, the outlook of such officials is often highly favourable towards these cooperative practices. In the balance of competences review of 2012–14, the UK government found itself embarrassed at having to accept that many of those consulted in its review were satisfied with the status quo and in some cases—such as in some aspects of Justice and Home Affairs—wanted closer cooperation.²⁰ The findings went so much against the Eurosceptic line held by some MPs that, in the case of Theresa May at the Home Office, the findings were not submitted to the Foreign Office because of their pro-European message. The implication here is clear: politics remains national in its orientation and outlook but

¹⁹ On comitology and the problems of accountability it faces, see Brandsma, Gijs Jan. 2013. *Controlling Comitology: Accountability in a Multi-Level System*. Basingstoke: Palgrave-Macmillan.

²⁰ For a short discussion of this, see Chopin, Thierry and Lequesne, Christian. 2014. *Groupe de reflexion 'quelle Union Européenne en 2014?'* Paris: Sciences Po/CERI, May 2014. <<http://www.sciencespo.fr/ceri/sites/sciencespo.fr.ceri/files/CERI%20CAPS%20Final.pdf>>.

policymaking as practiced by the state and its administrative apparatus is thoroughly turned towards cross-border cooperation. Member states, in their reliance upon these external frameworks of rule, are pushed in different directions by the political and policymaking fields.

At the end of this section, it is important to note that member statehood implies more than merely constrained decision-making. It points to actual institutional innovation and change that significantly refashions the administrative and political make-up of the state. Jon Elster's work on pre-commitment devices makes this point most clearly. Elster notes that the point about Ulysses and the Sirens is not simply that Ulysses is weak, but that he *knows* he is weak and thus acts in a way to prevent himself from giving in to temptation. Exercising authority through external frameworks of rule is thus different from exercising authority under a set of domestic and/or international constraints. Member statehood is ultimately about national executives binding themselves as a condition for the exercise of their rule. And as Elster points out, 'our intuitive notions of what it is to bind oneself seem to require that we *temporarily deposit our will in some external structure*; that we set up a causal process in the external world that after some time returns to its source and modifies our behaviour'.²¹ This process of self-binding is thus *productive*, manifests itself in new institutions and new modes of policymaking, and is transformative of the institutional composition and balance within states. Hence the need for a term that can describe this new kind of state, the member state.

Member Statehood and the Crisis of 'Party Democracy'

The conventional explanation for all of these trends can be found in the public choice literature. According to the work of Downs and others, the tendency to depoliticize the policymaking process by uncoupling it from partisan politics comes from a recognition that representative democracy is pathologically oriented towards the realization of short-term goals. Focused simply on winning the next election, politicians will propose whatever policy mix they think is likely to get them elected. They will then spend much of their time in office dealing with the consequences of these election strategies, until the next election arrives and they start once again making promises that will reap them short-term gains. In the political economy literature this phenomenon is known as the time inconsistency problem, and its original application to government policymaking was in the case of 1970s trade-offs between

²¹ Elster, Jon. 1977. Ulysses and the Sirens: A Theory of Imperfect Rationality. *Social Science Information* 16(5): 469–526, 472–3.

inflation and unemployment.²² It was argued that majoritarian political systems would consistently generate higher inflation precisely because of the electoral gains that came from short-term reductions in unemployment. Partisan decision-making, and the discretion it allowed policymakers, was thus a key cause of the inflationary crises of the 1970s. Limiting the scope for partisanship by introducing independent policy rules was the recommended solution.

A feature of all these public choice theories is that they locate the problem of myopic decision-making *within* the procedures of representative democracy. Solutions are therefore to be found *outside* the political system, in independent agencies, in non-partisan institutions like courts, or in regional organizations like the EU, all bodies that are insulated from the exercise of popular will. There are good reasons to suppose, however, that the problem stems not from the strength of representative democracy but from its weakness. In particular, the problem is not an excess of partisanship but rather an absence of it. Political scientist Peter Mair suggested this link in his work on representative and responsible government, and in particular on his account of what functions political parties serve.²³ Mair recognized that exercising political power inevitably involves making choices that will harm some parts of the population and favour others. Policies that have no distributional consequences are few and far between, and the very essence of politics is often presented in terms of who gets what. Political life in majoritarian democracies also carries with it an inevitable tension between the interests of some and the interests of all. Political parties thus face a difficult transition when they enter government—from representing their electoral base to representing the whole population.

Mair's point is that the strength of 'party democracy'—that is, a form of politics structured around the conflict between organized interests within the framework of majoritarian institutions—is precisely that parties serve to mediate and manage the relationship between particular and more universal public concerns.²⁴ Faced with the task of making unexpected changes, or adapting to hostile circumstances, partisan governments rely upon the loyalty of their supporters. The connection between electoral majorities, parties, and the government is thus crucial for the exercise of political power and in particular for the ability of governments to carry out their programmes

²² Kydland, Finn E. and Prescott, Edward C. 1977. Rules Rather than Discretion: The Inconsistency of Optimal Plans. *The Journal of Political Economy* 85(3): 473–92.

²³ Mair, Peter. 2013. Smaghi versus the Parties: Representative Government and Institutional Constraints. In Armin Schäfer and Wolfgang Streeck (eds) *Politics in the Age of Austerity*. Cambridge: Polity, pp. 143–68.

²⁴ Mair uses the term 'party democracy' but also the term 'party government'. See Mair, Peter. 2008. The Challenge to Party Government. *West European Politics* 31(1–2): 211–34. This chapter will use the term party democracy for reasons of consistency.

and adapt to changing circumstances. Parties are central to this triangular relationship as they form the connection between civil society and the state and are the principal disciplining mechanism in the unpredictable and protean environment of the day-to-day governing of complex societies. As Mair put it, parties serve to 'bridge' or to 'manage' the tension between responsiveness and responsibility. Parties 'could also sometimes pull their voters with them through the change of direction by appealing to popular loyalty and trust'.²⁵

Put in this framework of party democracy, we can see the question of discipline raised by public choice theorists differently. Partisanship is not a source of indiscipline, as these theorists would have us believe. Rather, it is the means via which governments and governing coalitions are able to make and implement policy. The essence of party democracy as a political system is that it serves to mediate the particular interests of different parts of civil society with the general interests of the public as a whole. It may always not do this successfully, but it is a direct attempt at resolving the tensions between short- and long-term interests that public choice theories worry about and that time inconsistency ideas address. Only through such mediating institutions of society can societal self-discipline be achieved.

To take a contemporary example, we can see important differences between the ability of national governments in France and Germany to reform their economies. A look merely at the *size* of the state in both cases does not help us in understanding the ability of the government to exercise its will and realize its goals. In France, the state accounts for well over 50 per cent of gross domestic product and yet its government struggles a great deal in carrying out reform. Germany, in contrast, was successful in the early 2000s in introducing a far-reaching set of labour market reforms. Irrespective of the intrinsic worth or not of such reforms, what is noteworthy is that in Germany these changes were pushed through as a result of the strength of the mediating institutions of German society. The discipline demanded by partisan governments was accepted by party members. Affiliated interests, such as trade unions, acquiesced in the painful reforms out of a mixture of self-interest and loyalty. Specific institutional features of German political economy—such as the systematic membership of German workers on company boards—made it easier for business and labour representatives to reach agreement. In particular, workers had bought into the reform package and so could not easily renege on it at a later date. Faced with a similar need for reform, the results in France have been quite different. There are complex reasons for this, but the absence of internal disciplining structures is an important part of the story. The strong presidential tradition in France militates against the

²⁵ Mair, *The Challenge to Party Government*, p. 162.

workings of party democracy and the absence of worker co-optation in management decisions makes any reform of the workplace more susceptible to conflict and division.

We can suggest, therefore, that a relationship exists between a decline in party democracy and the development of the main trends associated with member statehood. As many observers have noted, party democracy is today a poor description of the current state of representative political systems in Europe. The term presupposes a strong degree of 'partyiness' in society, where party organizations are deeply embedded in societal institutions and are central to the preference formation process.²⁶ It also assumes that political leaders are recruited from within parties and are held to account by those parties. Finally, party democracy presumes that parties—in government—are the principal actors in decision making and are able to implement agendas that were voted on in elections with a clear partisan dimension to them.²⁷ As parties become far less central to both policy and preference formation, with dwindling memberships and a strong tendency towards partisan dealignment in voting, the responsibility for societal self-discipline passes on to other non-partisan bodies, such as ad hoc commissions of inquiry and constitutional courts. Politics requires the making of value judgments and choices that differentially affect groups of people. In the absence of being able to form firm political and societal majorities through partisan ties, mechanisms to bind individual wills need to be sought outside of the political sphere itself.

It is precisely therefore the *absence* of partisanship that drives the shift from nation-states to member states. The features of member statehood identified here serve as functional alternatives to partisanship, the end goal being the disciplining of societies in a context of decision making with strong distributional effects. Unable to command the authority of their citizens because of the emptying out of the mediating forms inherent to party democracy, governments have found that they must turn to mechanisms external to the political process itself, to courts, to independent agencies, and to regional bodies like the EU.

Thinking About State Reconfiguration

In arguing that modern states, at least in Western Europe, should be considered member states rather than traditional nation-states, it is important to address the question of how this reconfiguration came about. It was suggested earlier that the main features of member statehood could be attributed not to

²⁶ Papadopoulos, *Democracy in Crisis?*, chapter 1.

²⁷ For a discussion of the preconditions for party government and the difficulties in meeting them in contemporary Western Europe, see Mair, *The Challenge to Party Government*.

the timeless venality of partisan politicians but rather to the hollowing out of party democracy as a political system. This process has had the effect of reshaping the state and in particular its institutional balance and bureaucratic apparatus. It could be argued, however, that the use of such external frameworks of rule is a perfectly rational strategy adopted by political elites as a way of facilitating the realization of their policy preferences. Member statehood, one might suggest, is not really a form of state but is rather a set of state management strategies that transcend any particular historical moment or set of institutional determinations. This is certainly the suggestion of much political science literature that sees in these strategies a rational solution to credibility problems universally faced by national policymakers who act under conditions of uncertainty and flux.²⁸

This observation raises a number of questions about how we can think about state reconfiguration. At one level, focusing on the actions and calculations of elites, the recomposition of the state can be considered purely from the perspective of what is individually rational for state managers. At another level, what such managers decide obviously draws upon a much broader set of structural factors. What is the right balance to strike between structure and agency when describing processes of state reconfiguration in general, and the emergence of member statehood in particular? The approach adopted here is to view the turn to member statehood as part of a broader set of political and societal changes. This does not eliminate the dimension of individual rationality but embeds it within a bigger picture.

At the level of individual state management strategies, the crisis of post-war 'golden age' capitalism presented leaders across Western Europe with difficult trade-offs. When stagflation first became a prominent public policy problem in the 1970s, it was not obvious what solution should be adopted. Indeed, in most cases attempts were made to either radicalize the flagging model (Mitterrand's 'Keynesianism in One Country') or to secure greater consensus for a slightly modified version of it (Heath's attempt to pacify the unions in the early 1970s). Few observers at the time thought that the particular model of state-society relations constructed after 1945—corporatist, Keynesian, national in character, dominated by the parties—would be revisited in its entirety. However, once the foundations for this model began to collapse, individual leaders turned immediately to outside the political sphere for support. Faced with the erosion of traditional sources of political authority, they supported the construction of new frameworks that enabled them to continue to rule. This was not a cunning plan hatched by leaders in advance or

²⁸ This is the thrust of Moravcsik's presentation of European integration as a solution to the problem of credible commitments for policymakers. See Moravcsik, Andrew. 1998. *The Choice for Europe: Social Purpose and State Power from Messina to Maastricht*. Ithaca, NY: Cornell University Press, pp. 74–5.

one based on a calm assessment of the relative costs of different strategies. It was a mixture of drift and mastery in the face of considerable turmoil and change.

An illustration of this mixture of rational choice logic and historical institutionalism is Italy and its relationship to European integration.²⁹ In the course of the 1980s, in a process that culminated in the Maastricht Treaty of 1992 and Italy's commitment to the Maastricht entry criteria for monetary union, a succession of Italian governments sought to reform the Italian state bureaucracy and the economy by strengthening ties with Europe. This was particularly the strategy of Giulio Andreotti, whose time as premier in the late 1980s was a moment of great reform in comparison to the Craxi years. One goal during this time was to free both the Italian Central Bank and the Treasury from the clutch of the political parties—a change seen as essential if Italy was to reduce its borrowing and its public debt. In his attempts at reform, Andreotti quickly found himself at odds with the very system he had been so skilled in manipulating for his own purposes: the complex clientelistic system of political ties between parties, elected representatives, para-statal enterprises, and local power bases, derogatively known as *partitocrazia*. Unable to impose discipline upon this myriad of deals and alliances, Andreotti used Europe as an external framework that would help weaken the hold of the parties over all aspects of decision making and implementation. Under pressure to reform, and keen for Italy to modernize itself on the back of the boom years of the 1980s, Andreotti turned to Europe as a reform strategy.

Andreotti's goal in reforming the Italian state and economy was certainly not to bring the whole clientelistic edifice tumbling down. He was, as has already been pointed out, a pure product of this system and a master at profiting from it. From Andreotti's perspective, the goal was to supplement the authority he gained via the existing political system by invoking an external European constraint. A little external pressure, he calculated, would help move his reform efforts along and in thinking in this way he was supported by those within the Italian state who sought to wrestle free from the stronghold of the parties. The result was far from what he had expected. By the early 1990s, the European economy was in recession and economic reform had become much more difficult. A variety of new challenges had emerged, such as the rise of the Northern League and its demands for greater regional autonomy. Then, in 1992, the *Tangentopoli* scandals broke out, with leading members of the Italian political class hauled up in front of judges and accused of systematic corruption. It was at this point that

²⁹ For accounts of this period, see Ginsborg, Paul. 2001. *Italy and Its Discontents, 1980–2001*. London: Penguin; and Dyson, Kenneth and Featherstone, Kenneth. 1996. Italy and EMU as a 'Vinculo Esterno': Empowering the Technocrats, Transforming the State. *South European Politics and Society* 1(2): 272–99.

the Italian system of party democracy collapsed. Entire parties disappeared and new movements—such as Berlusconi's Forza Italia—emerged to fill the vacuum. In such a context of political upheaval, what remained for Italy's political elite was its commitment to Europe. On the right but especially on the left, Europe became a major source of political authority through which successive governments ruled in the course of the 1990s. As the whole political edifice collapsed, the only foothold to be found was the *vinculo eterno* that Andreotti had put in place.

It would be absurd to suggest that Andreotti's commitment to European integration was intended to bring down party democracy in Italy and transform Italy into a member state. As Paul Ginsborg observed, Andreotti was the Gorbachev of Italy: his reforms were intended to save the system but in the end they brought it down. Faced with the involution of party democracy in Italy, successive governments in the 1990s turned to Europe as a source of domestic authority. Over time, this turned into a systematic reliance upon Italy's external European commitments as a mode of governing in Italy. However convenient or rational this strategy may have seemed in retrospect as a way of reforming the Italian state and society, it did not come from the rational calculation of a single leader or from a ruling elite. State reconfiguration is thus a constant interaction between individual strategies, with often limited and self-serving goals, and broader processes of political and social change that interact in various ways with those strategies.

The Italian case is perhaps an exemplar of the link between the decline in party democracy and the shift from nation-state to member state. Elsewhere, the transformation of party systems was more gradual, with the drivers of change different depending on the case in question. In Southern Europe for instance, in Greece and in Spain, the parties on the left were keen to establish themselves as responsible governing parties. They wanted to both distance themselves from the authoritarianism of the state and from powerful communist movements, something they achieved by building up close links to the European Community, its institutions, and to political leaders in other European countries.³⁰ In countries such as Belgium, the Netherlands, and in Scandinavia, what changed was not simply the mediating role of political parties but the wider corporatist system within which parties were embedded. This system did not disappear but its function and orientation changed significantly. Common to these various cases is the need felt by governments for sources of legitimacy and authority outside of established systems of

³⁰ On Spain, see Powell, Charles. 2001. International Aspects of Democratization: The Case of Spain. In Laurence Whitehead (ed.) *The International Dimensions of Democratization: Europe and the Americas, Expanded Edition*. Oxford: Oxford University Press. On Greece, see Tsingos, Basilios. 2001. Underwriting Democracy: The European Community and Greece. In Laurence Whitehead (ed.) *The International Dimensions of Democratization: Europe and the Americas, Expanded Edition*. Oxford: Oxford University Press.

interest representation. This need has led to an institutional reconfiguration of states in Europe, and a convergence towards the member state model identified in this chapter.

CONCLUSION

This chapter has argued that the themes of reconfiguration and recomposition are critical to understanding the contemporary state in Europe today. It has suggested that European states have undergone a transformation from nation-state to member state. Member statehood has been defined here as the reliance upon external frameworks of rule in the practice of governing society and exercising political power. Though European integration is a key part of what it means to be a member state, this chapter has emphasized that member statehood does not rest upon the presumption that states have given up their sovereign prerogatives to all-powerful supranational institutions based in Brussels. Rather, the term 'external frameworks of rule' refers to the exercise of power outside of the procedures of majoritarian democracy. In this way, we can see that regional integration is only one—though perhaps one of the most significant—components of this broader process of state reconfiguration. Other aspects—such as judicialization, agentification, and the use of depoliticized policy instruments—also stand out as key features of member statehood.

Having described the phenomenon of member statehood, the chapter has argued that we should understand this reliance upon external frameworks of rule as a product of the crisis in party democracy. From the perspective of public choice theory, these frameworks are valuable antidotes to the forces of partisanship that make decision making over the long term so difficult. This chapter has suggested that it is in fact the political party—and its role in bridging the multiple concerns of civil society with the common goals of the state—which has traditionally been the main source of such discipline. The steady shift towards reliance upon external frameworks of rule has thus been driven by the growing weakness of the party democracy model, not by its strength. At a time when decision-making authority is gravitating away from representative democratic procedures, reflection should turn to how we can close this gap and bring politics and policymaking together once more.

The Rise of Non-State Authority and the Reconfiguration of the State

Philipp Genschel and Bernhard Zangl

STATE VERSUS NON-STATE AUTHORITY

What the state is, or at least claims to be, depends on its relationship to the non-state actors in its environment. Some scholars say this relation has changed dramatically in recent decades. They see the state's claim to ultimate political authority challenged by international institutions (Barnett and Finnemore 2004, Zürn et al. 2012), transgovernmental administrative networks (Slaughter 2004), public-private partnerships (Reinicke 1998), civil society organizations (Keck and Sikkink 1998), and transnational corporations (Cutler et al. 1999). In their view, the state is no longer the only, and sometimes not even the most important, unit of political rule but just one 'sphere of authority' among 'countless' others (Rosenau 2007: 89). Others insist that the state is still the central fixture of political authority, at least in Organisation for Economic Co-operation and Development (OECD) countries. They do not deny that non-state actors are a challenge, but note that this challenge is nothing new. Competition from non-state actors has accompanied the state from its inception in early modern Europe. It has neither prevented its rise nor does it herald its impending demise (Krasner 1999). The state continues to have a dominant impact on the lives and well-being of citizens (Garrett 1998, Weiss 1998, Wade 1996) and commands sufficient power to overrule any act of non-state authority (Mearsheimer 2001: 364).

Both accounts have a point (Genschel and Zangl 2014). There is evidence to suggest that political authority is diffusing to non-state actors as highlighted by the former 'post-statist' perspective. Yet there is also evidence that the state remains central to effective and legitimate governance as emphasized by the second 'statist' view. How is this possible? Why doesn't the spread of non-state authority undermine the centrality of the state, and why, in turn, does the

primacy of the state not choke off the growth of non-state authority? The key to solving this apparent puzzle is to overcome the zero-sum logic of political authority which informs both the statist and the post-statist perspectives. As we show in the section ‘State Management of Non-State Authority’, the empowerment of non-state actors remains selective and incomplete. There is no wholesale ‘power shift’ (Mathews 1997) to non-state actors. Rather, different non-state actors (international, private, transnational) gain control of discrete elements of authority (regulatory, operational, or legitimating) but none gains comprehensive control of authority at large. For those elements of authority they lack, non-state actors remain dependent on outside support mostly from the state. What we observe then is not a zero-sum shift but an *unbundling* and *reconfiguration* of political authority. The segmental differentiation of political authority into largely self-contained and state-dominated national units is overlaid by a functionally differentiated order in which distinct elements of authority are exercised by different state and non-state actors. The state remains central in this new configuration but changes its role from virtual monopolist of political authority to manager and ‘orchestrator’ (Abbott et al. 2014) of non-state authority.

Varieties of Non-State Authority

Political authority is the ability of an actor or group of actors (the authority) to rule over other actors (the subjects of authority) with the general approval of these other actors. This ability called authority is a composite of three distinct elements (see Genschel and Zangl 2014: 339–40):

- the claim to define and interpret collectively binding rules and public policies—*regulatory competence*;
- the power to implement, monitor, and enforce rules and policies by appropriate organizational means (money, coercion, administration, technical equipment, expertise)—*operational capacity*; and
- the ability to provide justification for rules and policies so as to ensure a high level of voluntary compliance—*legitimizing power*.

While the exercise of political authority requires the co-presence of all three elements, there is no *a priori* reason that therefore all elements have to be exercised jointly by a single actor. In practice, however, it is usually assumed that they are and that the actor is the state. *Conceptually*, the notion of political authority as a state monopoly is reflected in Max Weber’s still dominant definition of the state as a compulsory political organization successfully upholding ‘the claim to the monopoly of the legitimate use of physical force in the enforcement of its orders’ (Weber [1922] 1978: 54). *Historically*, the

notion of the state as monopolist of political authority reflects the ambition of early modern states to strip competing non-state authorities—the church, the nobility, the cities—of independent rule-making powers, operational capacities, and sources of legitimacy (Weber [1919] 2004: 37).

When the disempowerment of traditional authorities was complete in mid-nineteenth-century Europe, a new set of non-state actors began to rise. *International* organizations were created to govern cross-border issues such as trade, travel, or war and peace. *Private* (for-profit) companies and (not-for-profit) civic associations emerged that ostensibly served private ends but often also commanded political authority, as when business firms dominated strategic industries such as armaments or telecommunications, or when civic associations enjoyed a representational monopoly of important sections of society (workers, employers, medical doctors, engineers, athletes). *Transnational* organizations such as the International Red Cross and the International Federation of the National Standards Associations (ISA)¹ provided rules and operational capacity in domains such as humanitarian aid or health and safety.

While all these non-state actors exercised political authority to some extent, they did not do so autonomously in their own right but only on behalf of, or at least by acceptance of, the state and under its supervision and control. *International actors* were controlled by intergovernmental decision-making procedures allowing member states to veto decisions of high political salience (Keohane and Nye 2000). *Private actors* were kept in check by (a) informal relational contracts under which private companies, for example in armaments or telecommunications, agreed to their *de facto* vertical integration into the state bureaucracy in return for state subsidies and protection from market competition; (b) the delegation of rights of self-regulation to ‘private interest governments’ as for example in Continental European health care systems; or (c) state-dominated corporatist bargaining with trade unions and employers (Streeck and Kenworthy 2005). Finally, state control over *transnational actors* was ensured by a confederate organizational structure that gave autonomy and often veto power to national units operating in the shadow of their home state, such as the national subsidiaries of multinational enterprises (Palmisano 2006) or national standard-setting bodies participating in transnational standardization (Mattli 2003). Operating under strict state control, non-state actors did not challenge state authority but buttressed it. They formed part of what Michael Mann calls the ‘infrastructural power’ of the state (Mann 1993: 59): non-state agents of state authority rather than non-state authorities.

Since the 1970s, the scope and autonomy of non-state actors has increased. International, private, and transnational actors stepped out of the shadow of

¹ The ISA was replaced by the International Organization for Standardization (ISO) in 1947.

Table 3.1 Varieties of non-state authority

	<i>Type of Authority</i>		
	<i>Regulatory competence</i>	<i>Operational capacity</i>	<i>Legitimizing power</i>
<i>Non-state Actor</i>			
<i>International</i>	High	Low	Low
<i>Private</i>	Low	High	None
<i>Transnational regulator</i>	Medium	Low	Low
<i>Transnational operator</i>	None	Medium	None

the state and claimed new areas of governance. Yet their authority remains limited to selected elements of authority (see Table 3.1).

International Authority

International actors have gained regulatory competence and legitimizing power, but their operational capacity has stagnated or even declined. We note four changes in particular.

First, the *regulatory competence* of international actors has increased in *scope*. International institutions no longer just regulate state behaviour at-the-border but also govern domestic issues behind-the-border (Kahler 1995): the UN orders the freezing of bank accounts of suspected terrorists; the European Court of Human Rights (ECHR) condemns German employment bans on alleged political extremists; the Organization for Security and Cooperation in Europe (OSCE) monitors presidential elections in the US and elsewhere; the World Trade Organization (WTO) decides whether European states may ban American hormone-treated beef, and what tax privileges the US may offer export businesses; EU regulations affect domestic policy issues from VAT rates to budget deficits, gambling concessions, and university entrance requirements.

Second, the regulatory competence of international actors has grown in *autonomy* (Barnett and Finnemore 2004, Zürn et al. 2012). State control declined for at least three reasons. (a) Decision making in international organizations is moving away from strict unanimity towards majority voting. The most striking example is the EU which allows for majority decisions in an increasing range of policy areas. (b) International regulatory authority is increasingly wielded by supranational rather than intergovernmental bodies. Supranational bureaucracies such as the European Commission exercise significant influence over decision-making agendas and outcomes. Supranational courts and tribunals, such as the WTO Appellate Body, have proliferated, reducing member state control over the adjudication of international rules and regulations (Romano 1999). (c) The widening scope of international regulation has drawn an increasing range of policy experts into the decision-making process. Linked

by formal or informal transgovernmental networks, these experts exert considerable influence over intergovernmental decision making sometimes effectively pre-empting government control. The Basel Committee on Banking Regulation is a prominent example (Slaughter 2004).

Third, many international institutions have increased their *legitimacy* by emulating principles of domestic democracy and the rule of law (Steffek et al. 2007, Tallberg 2011). They still score very low in terms of *electoral accountability*. Except for the European Parliament (EP), there are no directly elected representative bodies in international institutions. To improve *deliberative democracy*, many international institutions including the UN, the IMF, the WTO, and the EU have increased transparency and opened up to stakeholder participation. In terms of rule of law, the proliferation and strengthening of supranational judicial bodies has increased *judicial independence* in international dispute settlement (Romano 1999). In international trade the mode of conflict resolution has changed from interest-based diplomacy under the General Agreement on Tariffs and Trade (GATT) to rule-based adjudication under the WTO (Zangl 2008). Similar developments are visible in other policy fields, including human rights, the law of the seas, or environmental protection if only to varying degrees (Keohane et al. 2001). *Judicial accountability* in terms of individual access to judicial remedies is still very restricted. In many dispute settlement bodies including WTO panels, the International Court of Justice (ICJ) or the UN Security Council, citizens have no standing at all. Other bodies such as the European Court of Justice (ECJ) or the European Court of Human Rights (ECHR) enable individual action either directly or through referrals by domestic courts but often only for challenging national governments for failure to comply with international rules and not for challenging the legality of international acts (Alter 2001).

Finally, international institutions score low in *operational capacity*. Even the EU lacks the powers that built the modern state: military force, taxation, and large-scale public administration (Genschel and Jachtenfuchs 2014). International bureaucracies are tiny by comparison to state bureaucracies, and mostly provide logistical support for international regulatory decision-making and have little role in implementing and enforcing international regulations (Rittberger and Zangl 2006). To be sure, some international organizations including the IMF, the World Bank, and the WHO supply public services directly to states and target populations—but only outside the OECD. The recent resurgence of IMF lending to EU member states is a deviation from this pattern.

Private Authority

Private actors have gained in operational capacity while their regulatory competence and legitimizing power have stagnated or even declined. Again, we note four trends.

First, private *operational* capacity has increased in *scope* (Vogel 1996, Cutler et al. 1999, Levi-Faur 2005). There is hardly any issue area left in which private organizations do not perform operational tasks. Public services such as mail, telecommunications, rail, health care, education, or active labour market policy have been partly or completely privatized since the 1970s (Höpner et al. 2009). State holdings in 'strategic' industries—coal, steel, arms, banking, and insurance—have been reduced. State subsidies for private businesses were scaled back. Armed forces now often draw upon private security companies to provide logistical support, to operate weapon systems, or to run intelligence operations. Thus, Lockheed Martin, the armaments corporation, operates US military interrogation centres, including Abu Ghraib and Guantanamo Bay, runs surveillance operations for the US government, and manages the UK census.

Second, private operational capacity has increased in *autonomy*. The state has reduced its, *de jure* or *de facto*, vertical integration into the exercise of operational authority. Public companies have been privatized and exposed to market competition (Zolnhöfer and Obinger 2006). Informal relational contracts with 'national champions' have been replaced by open international tendering and arm's length contracting, for example in arms procurement and public construction (Majone 1997). Increased independence allows private actors to streamline operations with a view to increasing profit, and reduces the state's ability to draw on them for governance purposes other than rule enforcement and policy implementation. While public enterprises and national champions were often used in the past to provide employment buffers or to boost investment in peripheral regions, this is no longer possible. The public German railway, for instance, transformed from a 'social fund with a railway attached to it' (Streeck 1999: 8) to a profit-oriented logistics company competing with new market entrants.

Third, private *regulatory competence* has eroded. The privatization of operational capacity did not usually entail a parallel privatization of regulatory competence (Levy 2006: 372): delegated self-regulation and neo-corporatist concertation were not extended to newly privatized sectors but were generally curtailed. In Great Britain, for instance, the old private 'club government' (Moran 2006) of financial services was superseded by a state-controlled system of centralized regulation; in the traditionally neo-corporatist Netherlands, the state has recently shut out trade unions and employers from regulatory decisions in key areas of social policy (Hemerijck and Vail 2006). The growth of transnational regulation has also constrained the scope for private regulatory authority. Thus, national standards promulgated by private actors such as the German Institute for Standardization (DIN) are driven out by international standards defined by transnational actors such as the International Standards Organization (ISO) (Mattli 2003: 200).

Finally, the *legitimizing power* of private actors stagnates at a very low level. While most private actors provide for some internal *electoral accountability*

(shareholder voting rights in business corporations, membership voting rights in civic associations, strike ballots in trade unions), they are not accountable to non-members. The general acceptance of private authority therefore depends on the common perception that it works in the public interest (Scharpf 1999: 17). In the past, this perception was sustained by the fiction of comprehensive state control, i.e. the idea that private actors exercised public functions under the effective sway of the democratic institutions of the state. While the recent wave of privatization and liberalization has attenuated state control, it introduced elements of market control. The new fiction is that economic competition weeds out inefficient operators and ensures customer orientation in public service provision. The basis of legitimacy shifts from citizen voice to customer choice.

Transnational Authority

There are two types of transnational political actors. First, there are transnational business firms and non-profit organizations which exercise considerable *regulatory* authority and also some moderate legitimate authority but remain very weak in terms of operational authority (*transnational regulators*). Second, there are foundations, charities, and other non-state entities which supply transnational *operational* authority but have little to no regulatory and legitimate authority (*transnational operators*).

Transnational regulators mostly engage in international standard-setting. The onset of globalization has greatly increased the demand for such standards and, thus, expanded the *scope* of transnational *regulatory competence*. Issue areas which used to be governed wholly or partly by private self-regulation at the national level are now increasingly subject to transnational norms (Cutler 2003). Examples include technical standards, accounting standards, codes of corporate conduct, and the new law merchant (*lex mercatoria*) (Mattli 2003, Hassel 2008, Calliess and Renner 2009).

The *autonomy* of transnational regulatory authority has increased as the old confederate setup of many transnational organizations was gradually superseded by more centralized structures. Multinational corporations consisting of highly independent national subsidiaries transformed into globally integrated enterprises with centralized management (Palmisano 2006). Traditional, confederate standards organizations such as ISO were bypassed by new standards bodies such as the Internet Corporation for Assigned Names and Numbers (ICANN) which allow for the direct participation of market actors in decision making (Mattli 2003: 212). This also holds for administrative standard-setters such as the International Accounting Standards Board (IASB) or the Forest Stewardship Council (FSC) (Zimmermann 2007, Dingwerth 2007). While the standards promulgated by these transnational organizations are formally

non-binding, their widespread application and normative clout makes non-compliance costly, sometimes prohibitively so.

Many transnational regulators have tried to increase their *legitimacy*. They facilitate *deliberative democracy* by transparent decision-making procedures allowing for stakeholder participation (Dingwerth 2007). Thus, all meetings of the IASB are held in public and are broadcasted on the web. Occasionally, transnational actors even provide for *electoral accountability* as evidenced, most notably, by ICANN's global online election in 2000 (Bendrath et al. 2007: 136). Many transnational standard setters also adopt rule of law principles. They submit their activities to quasi-judicial review by independent judicial bodies, such as ICANN's review panel. *Judicial accountability* in terms of individual access to (quasi-)judicial remedies is often fairly advanced. Some transnational regulators even allow non-members to file complaints. Any individual can appeal ICANN processes or decisions before ICANN's review panel for instance. In the FSC, only members can lodge complaints but may do so on behalf of non-members.

The *operational capacity* of transnational regulators has remained very low. They usually operate on very small budgets with little administrative staff. If they dispose of any means of implementation and enforcement at all, these are usually restricted to reputational mechanisms such as the certification of compliance or the naming and shaming of non-compliance.

Transnational operators, unsurprisingly, score higher on *operational capacity*. Foundations such as the Rockefeller Foundation or the Bill and Melinda Gates Foundation, public-private partnerships such as the Prototype Carbon Fund, or non-profit organizations such as Médecins sans Frontières provide public services either directly on the ground or indirectly by funding services provision through international organizations. Note, however, that the operational activities of these actors are mostly targeted at developing countries outside the OECD area. Note also that transnational operators hardly claim any *regulatory competence* or *legitimizing power*. They do not engage in rulemaking and rely entirely on output legitimacy for their activities.

State Management of Non-State Authority

Statist scholars claim that the state is still the central site of political authority. We agree. We argue, however, that the centrality of the state is no longer based on a virtual monopoly of political authority. This monopoly has been eroded by the increasing scope and autonomy of non-state authority. Rather, the state remains central because the increase in non-state authority would not have been possible without state support. Since international, transnational, and private actors are only selectively endowed with elements of regulatory, operational, or legitimacy authority, they depend on outside support for

Table 3.2 State management of non-state authority

Management role	Management object	Management function		
		Regulatory	Operational	Legitimacy
Intermediation	International authority	Specification and coordination	Implementation and funding	Representation
Marketization	Private authority	Market creation	Supervision and reinsurance	Authorization
Nudging	Transnational regulators	Regulatory self-restraint	Facilitation and inducement	Endorsement
	Transnational operators	None	Facilitation	None

those elements they lack. Since the state is the most abundant, and sometimes the only, source of support, the ascent of non-state authority increased demand for state authority at the same time that it undermined the exclusivity of state authority. The state evolves into a manager of non-state authority (Table 3.2) that enables international actors to exercise authority by ‘intermediation’ (Kaul 2006), private actors by ‘marketization’ (Bobbitt 2002), and transnational actors by ‘nudging’ (Thaler and Sunstein 2008).

Intermediation

Scoring low on operational capacity, *international actors* crucially depend on *operational* support. If member states do not foot their bills and implement their policies, international actors cannot rule effectively: the UN Security Council can order that the assets of listed terrorists be frozen and mandate troop deployments in crisis regions, but it cannot enforce the freezing or dispatch its own troops. Hence, one crucial task of the *intermediary state* is to provide the operational resources necessary to implement and enforce international regulations on the ground. This may require the creation of new state capacity. Thus, for example, UN human rights law calls on governments to create independent national supervisory bodies to monitor and facilitate compliance with human rights law at the domestic level (Aichele 2010). Hence, more international regulation may usher in more state operational capacity.

International actors also score low on *legitimacy*. Most importantly, they lack electoral and judicial accountability. States compensate for this in two ways. On the one hand, national governments represent the rights and preferences of national citizens in international decision-making (Moravcsik 2004). On the other hand, governments represent international decision outcomes vis-à-vis their domestic constituencies, and assume

electoral accountability for them. This is unproblematic in case of unanimous international decisions, but also holds for contested majority decisions. As long as governments do not revoke their membership in international institutions, they are implicated in the decisions of these institutions and forced to explain and defend them to their electorate. Indeed, it was national ministers who had to resign over the mishandling of the mad cow disease by EU institutions (Scharpf 2007: 8). And it is the national governments of Greece, Ireland, and Portugal which have to confront the voter discontent created by the retrenchment programme imposed on them by the EU in the wake of the European sovereign debt crisis. Hence, a second task of the intermediary state is to bridge the accountability gap between international authority and local subjects.

Finally, despite their considerable regulatory competence, international actors depend on the *regulatory support* of the state. This is partly because international regulations are often broad and abstract and cannot be applied locally without further specification. Thus the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) defines general criteria for the enforcement of intellectual property rights but leaves it to the member states to decide how, and by what rules and policy instruments, to comply. Another reason is the territorial and/or substantive overlap between the mandates of different international actors. The member states are instrumental in managing this overlap so as to prevent inconsistent international regulations. National governments ensure consistency *ex ante* by participating in various related international decision-making processes simultaneously and *ex post* by deciding how to implement potentially conflicting international regulations. Hence, a final function of the intermediary state is to bridge the specificity gap between abstract international norms and concrete rules for application on the ground and to mediate between potentially conflicting international norms.

Marketization

Private actors score low on regulatory competence: they cannot make the rules under which they operate. This is crucial because public service provision is usually not profitable by itself: health insurance to the elderly, public transport in peripheral regions, education for school dropouts, or supervision of health and safety standards have public goods features which prevent spontaneous private provision (Akerlof 1970). This is why operational capacity was traditionally mobilized by the state and why its privatization hinges crucially on *regulatory support*: the state has to regulate into existence the market for operational authority that does not naturally emerge; it has to provide a framework of property rights and transactional rules that allows private actors to supply rule enforcement and policy implementation at a profit. This involves a host of regulatory decision problems, for example, on permit

allocation, quality of service specification, price setting, limits to incumbent market power, and conditions of market entry. The ascent of private operational capacity thus depends on an expansion of the regulatory competence of the state: the state has to rule more in order to enable private actors to play a larger role in policy implementation—the ‘freer markets, more rules’ paradox (Vogel 1996).

Private actors also depend on *legitimacy* support from the state. Where output legitimacy is lacking because the effectiveness, efficiency, and fairness of privately supplied operational authority is in dispute, the state has to step in and provide the input legitimacy private actors cannot generate themselves. The state does so, first, by providing citizens with legal remedies against private actors: if private providers of operational authority fail to live up to their legal obligations, harmed citizens can take them to court. The state does so, secondly, by accepting *electoral accountability* for acts of private authority. Since the government authored the regulatory framework that enabled the privatization of operational capacity in the first place (or failed to revise the inherited framework), it is liable for failures of private actors operating under this framework. This ensures electoral accountability by proxy: disgruntled tax payers cannot hold bank managers accountable for the banking crisis of 2008, but they can blame government officials for failure to regulate bank management appropriately. It was financial figures such as Sean FitzPatrick, the former chairman of the Anglo Irish Bank, who instigated the banking crisis, but it was political figures such as former Irish Prime Minister Brian Cowen who took the political brunt. In short, the state not only creates markets for the private supply of operational authority, it also assumes responsibility for market outcomes (Schuppert 2005).

Finally, private suppliers of operational capacity depend on state *operational support*. For one, supervising compliance with market regulations is, in itself, an operational task. Thus, the privatization of public services was accompanied by the diffusion of a specific type of state institution, the independent regulatory agency. Also, as a precondition for privatizing operational capacity, the state has to provide a backup for the case of private failure. This usually involves public guarantees. Take power generation as an example. In order to encourage private investment in commercial nuclear power, US Congress placed a cap on the liability the operators of nuclear power plants face in the event of an accident. Damage claims exceeding the cap are covered by tax payers (Faure and Borre 2008). Housing is another example. Faced with an inadequate supply of housing loans, the US government created a market for mortgage-backed securities so as to improve homeowner access to credit. Public guarantees were a key element of the regulatory arrangement and a key reason why the initial enthusiasm for this arrangement (Conceição et al. 2006: 286) faded after the crash of 2007/8.

Nudging

States support *transnational regulators* in three ways. First, they provide *regulatory support* by protecting transnational actors from regulatory competition. More specifically, states protect the regulatory niches in which transnational standard-setters strive. States sometimes do so inadvertently by simply failing to regulate certain cross-border issues that need regulation. Thus, allegedly, the collective failure of Western states to provide traders with a hard-law framework for cross-border commerce facilitated the emergence of the soft law *lex mercatoria* (Calliess and Renner 2009: 1342). But oftentimes states create spheres of uncontested transnational regulation on purpose. Thus, under the so-called 'new approach to technical harmonization', the member states of the EU explicitly relinquish regulatory authority over technical standard-setting to European standards bodies (Mattli 2003: 213).

Second, states provide *operational* support for transnational regulators. They provide financial assistance either directly through subsidies or indirectly through tax privileges. And they provide public incentives for private compliance with transnational regulations. Thus national law makers and judges routinely refer to transnational regulation in domestic legislation or jurisprudence in order to bestow quasi-legal status on this regulation and make compliance effectively mandatory. Under the new approach to technical harmonization, EU member states automatically recognize goods conforming to European standards as meeting all essential requirements of domestic and European law (Mattli 2003: 213). Similarly, states incentivize compliance with the *lex mercatoria* by threatening public enforcement of the outcomes of transnational arbitration (Cutler 2003: 226).

Finally, states render *legitimacy* support to transnational regulators through endorsement. By officially approving European standards or standard setters, EU member states implicitly assume political responsibility for them. This provides a halo of legitimacy. States often premise their formal endorsement on procedural and substantive requirements. Thus, the EU member states insist that European standards bodies comply with due process rules in standard setting, and the G20 states have leaned heavily on the IASB to revise its transnational accounting standards in light of the 2008 financial crisis.

Transnational operators are less dependent on state support than transnational regulators. In terms of *legitimacy*, they largely rely on the output legitimacy of 'doing good'. In terms of *regulation*, they just need a basic civil law framework allowing for civic self-organization and activity. However, transnational operators depend crucially on *operational* support in terms of funding. The most important channel of support is tax privileges for non-profit organizations. Such organizations usually enjoy extensive tax privileges, and donations to these organizations are often tax deductible. The US federal

government grants roughly \$20 billion each year in tax deductions for charitable contributions (Howard 2009: 92).

CONCLUSION: STATE AND NON-STATE AUTHORITY, COMPLEMENTARITY AND CONFLICT

Why doesn't the spread of non-state authority undermine the centrality of the state, and why, in turn, does the primacy of the state not choke off the growth of non-state authority? Because non-state actors, unlike states, are only selectively endowed with authority: international organizations and transnational regulators have regulatory competence but lack operational capacity and legitimacy; private actors and transnational operators have operational capacity but cannot make or legitimize the rules under which they exercise it.

Lacking self-sufficiency in authority, non-state actors cannot supplant the state but remain dependent on it. However, the role and missions of the state change.

Slowly, incrementally, and not without reverses, it transforms from a virtual monopolist of political authority to a key integrator of partly privatized, internationalized, and transnationalized authority (Genschel and Zangl 2014: 349–50). It no longer has an exclusive claim to authority but initiates, coordinates, and 'manages' a variety of non-state authorities. The state can no longer go it alone but depends on, and is constrained by, non-state actors. But since hardly anything occurs without state support, the state remains pivotal. State and non-state authority are complements not substitutes. If state authority is fragile, as typically in so-called failed states, non-state authority is likely to remain fragile as well (Beisheim et al. 2011).

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From the Nation-State to the Global Polity

Sabino Cassese

AMBIGUITIES OF THE STATE

This chapter is divided into three parts: the first concerns the rise of the state, the second discusses the decline of the state, and the third is on the resurgence of the state.

In 1931, an American scholar wrote that ‘a cursory examination of the term “state” brought to light no fewer than one hundred and forty-five different definitions’; and he concluded that ‘from now on State will need to be accompanied with subscript brackets indicating the particular definition that is being used’.¹ Therefore, it is important to handle the concept of ‘state’ with caution.

As Max Weber first noticed, the state is but one of the many forms of polity that emerged in the sixteenth century and developed through the nineteenth century.² Later, Otto Brunner³ and Otto Hintze⁴ took up the concept of the historical nature of the state, recently developed by Bertrand Badie and Pierre Birnbaum. According to the latter two authors, ‘Often seen as the unescapable result of political development, the construction of the state should by contrast be understood as an original innovation located in time and space.’⁵

¹ C. H. Titus. 1931. A Nomenclature in Political Science. In *American Political Science Review* 25(3): 615ff. See also S. Cassese. 1988. *Fortuna e decadenza della nozione di Stato*, in *Scritti in onore di Massimo Severo Giannini*. Milano: Giuffrè, pp. 91–103.

² M. Weber. 1966. *Staatssoziologie*. J. Winckelmann (ed.). Berlin: Duncker und Humblot.

³ O. Brunner. 1965. *Land und Herrschaft. Grundfragen der territorialen Verfassungsgeschichte Österreichs im Mittelalter*. Baden: bei Wien (English translation: 1995. *Land and Lordship. Structures of Governance in Medieval Austria*. Philadelphia: University of Pennsylvania Press).

⁴ O. Hintze, 1931. *Wesen und Wandlung des modernen Staats*, in *Sitzungsberichte der Preussischen Akademie der Wissenschaften*. Berlin: de Gruyter, p. 790; see also O. Hintze. 1975. *The Historical Essays of Otto Hintze*, with an introduction by Felix Gilbert. New York: Oxford University Press.

⁵ B. Badie and P. Birnbaum. 1979. *Sociologie de l'État*. Paris: Grasset, p. 243 (English translation: A. Goldhammer. 1983. *The Sociology of the State*. Chicago: Chicago University Press).

As for the concept of the state, this formed slowly in the seventeenth century and was explored by a wide range of thinkers, from Hobbes to Hegel, to whom we owe the idea that 'civil society' and the state are both connected and opposed at the same time. The contribution of jurists was essential to the construction of the state. The German jurist Ernst Forsthoff observed: 'Der moderne Flächenstaat ist eine Hervorbringung des Juristen. Die Juristen haben ihn im 16 Jahrhundert geschaffen, die Juristen haben ihn auf seinem Wege bebleitet'.⁶ The Austrian jurist Hans Kelsen noted that the concept of the state is essential for two different purposes: to unify diverse entities and to direct them towards a unitary objective, the general interest; and to ensure the neutrality of the officials called to work for the state, distinguishing the holder of the office from the office itself.

In other words, the conceptual construction of the state has been instrumental in uniting countries (civil societies) around their ruling class and in giving a common purpose to separate parties.⁷

THE FIRST CYCLE: RISE AND GROWTH

If we consider the cycle experienced by Europe's political bodies over the last few centuries, we may see that in the fourteenth century there were 1,000 political bodies in this part of the world. In the sixteenth century there were only 500, in the age of the French Revolution there were 350, and at the beginning of the twentieth century there were only twenty-five political bodies that could be called nation-states. As the British historian Mark Greengrass writes: '[s]wallowing and being swallowed up, were fundamental features of Europe's political past'.⁸

Notwithstanding this process of mergers, the states that resulted were not fully united. For example, even after the merger of German states (what is called the unification of Germany), there were several political bodies within the larger unit: after 1871, in the *Kaiserreich*, under Prussian rule and *Kanzler* Bismarck, there were twenty-six political bodies; some of these even had power in military affairs.

Why has there been such a thorough change since the fourteenth century? Why did nations become nation-states? What are the explanatory factors for this development? What were the catalysts of state-building?

⁶ F. Forsthoff. 1964. *Rechtsstaat im Wandel*. Stuttgart: Kohlhammer, p. 77.

⁷ H. Kelsen. 1949. *General Theory of Law and State*. Cambridge, MA: Harvard University Press, p. 191.

⁸ M. Greengrass. 1991. *Introduction: Conquest and Coalescence*. In M. Greengrass (ed.) *Conquest and Coalescence: The Shaping of the State in Early Modern Europe*. London: Edwards Arnold, p. 2.

There are three explanations.⁹ The first was developed by the American historian and political scientist Charles Tilly, in a book entitled 'Capital and Coercion',¹⁰ and can be summarized with the following sentence: 'States make war, war makes States'. In other words, the military-fiscal state emerges from dynamics of conquest and domination.

The second explanation characterizes nation-building a process of self-perpetuation and self-aggrandizement that is governed by the insiders. Those who occupied state offices were able to act with a certain degree of autonomy from the ruling classes and were able to bring about the ends they desired. The state is a development of monocratic power: central institutions were built to serve the prince and were organized in concentric circles around the ruler,¹¹ as 'le roi a un pouvoir préexistant aux lois' (the king's powers pre-exist the legal system).¹²

The third explanation has to do with culture, identity, language, ideas, national traditions, and beliefs. On 11 March 1882, a great French historian, Ernest Renan, gave a lecture in Paris on 'Qu'est-ce qu'une Nation?' His conclusion was that 'une nation est une âme, un principe spirituel', 'une grande solidarité', 'un heritage'; 'l'existence d'une nation est un plébiscite de tous les jours' (a nation is a soul, a spiritual principle, a great solidarity, a heritage; the existence of a nation is a plebiscite held every day).¹³

The classical German eighteenth- and nineteenth-century school of philology also established a direct link between culture and the state. For Friedrich August Wolf, school and state were one;¹⁴ for Ulrich Wilamowitz-Moellendorf, there was a direct relationship between '*Volk, Staat, Sprache*': a

⁹ For a taxonomy of the theories of state formation, see T. Ertman. 2003. *State Formation and State Building in Europe*. In T. Janoski, R. Alford, A. Hicks, and M. A. Schwartz (eds) *Handbook of Political Sociology*. Cambridge: Cambridge University Press, p. 367; H. Spruyt. 2002. The Origins, Development, and Possible Decline of the Modern State. *Annual Review of Political Science* 5: 127ff.; L. Tedoldi. 2009. Dove eravamo rimasti? Lo Stato in età moderna tra problemi storiografici e questioni aperte. *Le carte e la storia* 15(2): 19ff.; P. Carroll. 2009. Articulating Theories of States and State Formation. *Journal of Historical Sociology* 22(4): 553; and T. Vu. 2010. Studying the State through State Formation. *World politics* 62(1): 148ff; H. P. Glenn. 2013. *The Cosmopolitan State*. Oxford: Oxford University Press, challenges the concept of the nation-state; for him all states are cosmopolitan.

¹⁰ C. Tilly. 1992. *Coercion, Capital, and European States AD 990–1992*. Oxford: Blackwell.

¹¹ P. Molas Ribalta. 1996. *L'impact des institutions centrales*. In W. Reinhard (ed.) *Les élites du pouvoir et la construction de l'État en Europe*. Paris: PUF, pp. 25ff.

¹² F.-R. Chateaubriand. 1849–50. *Mémoires d'outre-tombe*. Paris: Laffont, p. 1305.

¹³ <<http://www.lexilogos.com/document/renan/nation.htm>>. For an Italian translation, see E. Renan. 2004. *Che cos'è una nazione? E altri saggi*. Rome: Donzelli. Another explanation for the birth of the state is offered by the process of secularization, on which see E.-W. Böckenförde. 2007. *La nascita dello Stato come processo di secolarizzazione*. In E.-W. Böckenförde, *Diritto e secolarizzazione. Dallo Stato moderno all'Europa unita*. Rome-Bari: Laterza, pp. 33ff.

¹⁴ D. Lanza. 2013. *Interrogare il passato. Lo studio dell'antico tra Otto e Novecento*. Rome: Carocci, p. 33.

people has no right to exist if it does not have a common culture and a shared language.¹⁵

In conclusion, war is not the only path to bureaucratic centralization and to state-building; there are other explanations too, which are complementary to that of war. This does not mean that war becomes less important. States continue to prepare for wars, to be able to defend their territories or their citizens even beyond their territories, or to maintain peace in other parts of the world.

What is the nation-state? What are the peculiarities of this polity compared to previous forms (city-states, confederations, federations, empires)? First, the state is a polity that develops in a nation. This does not mean that it is established as a representative body, but that the 'fabrication collective des identités nationales' (the collective fabric of national identities)¹⁶ is largely the product of the state-building process, because the construction of the state runs parallel with a nation's self-recognition.

Second, it has a minimum size, which must be sufficient for a certain degree of economic development in a world where trade is under state control, and for resisting pressures from other states.¹⁷ Therefore, state-building occurs against and in contrast to other entities.

Third, unlike the political bodies of the Middle Ages, that were fluid and polycentric and did not have a vocation for absolutism, the state is stable, hierarchical, unitary, and centralized.¹⁸

Fourth, within the state a division of labour exists such that decision-making, implementation, and conflict resolution are assigned to different bodies.

Finally, the state is also a culture, an important component of which is legal positivism. This was developed by lawyers, who played a significant role in the rise and development of the state.¹⁹ Positivism is an expression of faith in the state.²⁰ Thus, the state has become a quasi-divine entity, belonging to a superior, sacred world.²¹

As seen above, the cultural aspect of the state—that is, the state as an idea, not as an entity—has played an important role throughout the state's entire history. For almost two centuries now, however, this role and its meaning has

¹⁵ U. von Wilamowitz-Moellendorf. 1898. *Volk, Staat, Sprache*. Berlin: Büxenstein; see also D. Lanza, *Interrogare il passato*, p. 67.

¹⁶ A.-M. Thiesse. 1999. *La création des identités nationales. Europe XVIII–XX siècle*. Paris: Seuil, p. 13.

¹⁷ A. Alesina and E. Spolaore. 2005. *The Size of Nations*. Cambridge, MA: MIT Press.

¹⁸ M. Ascheri. 1994. *Istituzioni medievali. Una introduzione*. Bologna: Il Mulino; P. Grossi. 1995. *L'ordine giuridico medievale*. Rome-Bari: Laterza.

¹⁹ R. Schnur (ed.) 1986. *Die Rolle der Juristen bei der Entstehung des modernen States*. Berlin: Duncker und Humblot.

²⁰ As noted by E. Forsthoff. 2011. *Lo Stato nella società industriale* (1971), Italian translation. Milan: Giuffrè, p. 12.

²¹ F. Werfel. 1936. *Aus der Dämmerung einer Welt*, Italian translation, *Nel crepuscolo di un mondo*. Milan: Mondadori, 1954, p. 151 (Anniversary of the 'Maturità' examination).

been challenged by authors as diverse as Karl Marx, Léon Duguit, and Philip Abrams, to cite only a few. For Marx, the state is a 'superstructure' of civil society. Duguit wrote that 'in public law we no longer believe that behind those who hold office there is a collective personal and sovereign substance of which they are only the agents and organs'.²² Abrams concluded that the state 'is a spurious object of sociological concern and [...] we should now move beyond Hegel, Marx, Stein, Gumpłowicz and Weber on from the analysis of the state to a concern with the actualities of social subordination'.²³

Once established, nation-states began to grow. There were three factors of growth. First, the suffrage: with the advent of elections, governments became more representative: the 'citizens' states'.²⁴ With the extension of suffrage came a growth in popular demand for schools, healthcare, social services, and public enterprises. Then there were wars: suffice it to consider the rise in public employment in England, Italy or France after the First and Second World Wars.

The law-and-order state became the 'avuncular state', which undertakes to protect the people from illness and accident, to provide education, to remove distinctions based on gender and ethnicity, and to ensure welfare and well-being.²⁵ As Tocqueville had foreseen, the state is now 'un pouvoir immense et tutélaire [...]. Il est absolu, détaillé, régulier, prévoyant et doux'.²⁶

These developments affected the state's constitutional aspects (parliament and government) much less than its administrative one: as noted by Carl Schmitt, 'the total state (the state that occupies every space of society [...]) is by nature an administrative State'.²⁷ Consequently, the state has engaged in a new endeavour: that of distributing and allocating resources among its citizens.

Throughout its history, the state has turned out to be a highly adaptive polity, capable of adjusting to various internal and external pressures. States have adapted to democratic and authoritarian rule; to large territories and small; to liberal and to communist policies.

In this process of adaptation, the state has developed a great ability to negotiate and mediate,²⁸ contrasting strongly with the traditional *hoheitlichkeit*,

²² L. Duguit. 1970. *Law in the Modern State*. New York: Fertig, p. 243 (English translation of *Les transformations du droit public*. Paris: Colin, 1913).

²³ P. Abrams. 1988. Notes on the Difficulty of Studying the State (1977). *Journal of Historical Sociology* 1(1): 58.

²⁴ O. Beaud. 1994. *La puissance de l'État*. Paris: PUF.

²⁵ T. Caplow. 1997. *Evaluating State Performance*. Paper presented at the Conference on Social Change in Western Europe, Poitiers, 8–9 October. See also M. L. Dauber. 2012. *The Sympathetic State*. Chicago: University of Chicago Press.

²⁶ A. Tocqueville. 1986. *La démocratie en Amérique II* (1840). Paris: Laffont, p. 648.

²⁷ C. Schmitt. 1972. *Legalità e legittimità*. In *Le categorie del 'politico'*. Bologna: Il Mulino, p. 215.

²⁸ B. Jobert and P. Muller. 1987. *L'État en action. Politiques publiques et corporatismes*. Paris: PUF, pp. 69ff. and 74ff.

following different patterns of bureaucratic rationalization.²⁹ Therefore, in many countries, the state is now no different from a modern factory and the managerial techniques applied therein.

Another indicator of the state's adaptive nature is its ability to assimilate elements that were originally foreign to its traditional foundations. For example, the merit system was unknown in Europe until the eighteenth century, when it was imported from China and became a permanent feature of the major European states (later, China imported electoral systems from Europe, which were previously unknown to it).³⁰

In the course of this long history, beyond the apparent uniformity, there are several substantial differences and different styles of statism.³¹ One major difference is that between strong states (for example, French *étatisme*, the Prussian tradition, and the powerful, Hegelian theory of the state) and weak states (such as in Italy, where 127 different executives were established in the 150 years of its life).

A second difference is between European and non-European states: the first share the common tradition of the *ius publicum europaeum*, based on the German reinterpretation of Roman law.³²

The third most important difference is that between states with a significant martial component and states where, instead, this has become less important.³³

Recent literature prefers to abandon the strong states/weak states dichotomy in favour of the idea that it is necessary to broaden the notion of stateness,³⁴ and that there are differing degrees of stateness and statehood: '[t]he State's importance cannot be captured on a one-dimensional strong-weak continuum or through a model that builds on a Weberian conception of

²⁹ B. S. Silberman. 1993. *Cages of Reason: The Rise of the Rational State in France, Japan, the United States and Great Britain*. Chicago: Chicago University Press.

³⁰ G. Bertuccioli. 1994. Riflessioni su un anniversario. *Mondo cinese* 87: 3ff., but especially p. 6.

³¹ P. Baldwin. 2005. Beyond Weak and Strong: Rethinking the State in Comparative Policy History. *Journal of Policy History* 17(1): 12ff. and especially 18; S. Steinmo. 2010. *The Evolution of Modern States. Sweden, Japan and the United States*. Cambridge: Cambridge University Press, pp. 29 and 206.

³² C. Schmitt. 1987. *Ex captivitate salus*, Italian translation. Milan: Adelphi, pp. 64–80. L. Garofalo. 2007. Carl Schmitt e la 'Wissenschaft des römischen Rechts'. Saggio su un cantore della scienza giuridica europea. *Diritto e società* 2.

³³ Caplow, *Evaluating State Performance*.

³⁴ The first author to stress the importance of 'different levels of stateness' is J. P. Nettl. 1968. The State as a Conceptual Variable. *World Politics* 20(4): 559ff. This idea was then expanded by C. Tilly. 1975. Reflections on the History of European State-Making. In C. Tilly, *The Formation of National States in Western Europe*. Princeton, NJ: Princeton University Press (Italian translation C. Tilly 1984. *La formazione dello Stato in Europa: Riflessioni introduttive*. In C. Tilly, *La formazione degli Stati nazionali nell'Europa occidentale*. Bologna: Il Mulino, pp. 7ff.). See also O. Nay. 2013. Fragile and Failed States: Critical Perspectives on Conceptual Hybrids. *International Political Science Review* 34: 326.

coercive capacity located in centralized bureaucracies'.³⁵ This conclusion, however, prompts a question: 'how does the state evolve and succeed without the traditional elements of state building, or the customary apparatus of power and authority?'³⁶

Another important point is the interaction between the process of state-building and the way in which the concept of state is approached; in other words, how the state is perceived and studied. Voltaire believed that there were two models, embodied by France and England respectively. In France, the state was at the centre, while England was based on self-government (however, it must be noted that while we now conceive of self-government as synonymous with local government, in the nineteenth and twentieth century, scholars such as von Gneist believed that *Selbstverwaltung*, as opposed to *Staatsverwaltung*, had a much greater meaning, i.e. that society itself could run the state³⁷).

England is a paradox: a very powerful state, with strong military might and the centre of a colonial empire, but one without any notion of state.³⁸ In his book *Introduction to the Study of the Law and Constitution*,³⁹ the British master of nineteenth-century constitutionalism, Professor Albert Venn Dicey, ignored both the word and the notion of state, while scholars such as Georg Jellinek in Germany or Vittorio Emanuele Orlando in Italy placed the theory of the state at the very centre of their reflections. Authors such as Bertrand Badie and Pierre Birnbaum go so far as to write that in countries like the United Kingdom and the United States, the organization of society makes the construction of the state unnecessary. The centre does not erect itself into a state, nor does it delegate its agents to do so. The 'self-organization of society' is sufficient.⁴⁰

The same is true for the USA, where the concept of state 'slipped in importance during the "behavioral revolution" of the 1950s and 1960s'⁴¹ and had a revival in the 1980s: in 1985 a book entitled *Bringing the State Back In*⁴² was

³⁵ D. King and R. Lieberman. 2009. Ironies of State Building: A Comparative Perspective on the American State. *World Politics* 61(3): 581.

³⁶ King and Lieberman, *Ironies of State Building*, p. 548.

³⁷ R. von Gneist. 1857–1863. *Das heutige englische Verfassungs- und Verwaltungsrecht*, 2 volumes. Berlin: Springer, vol. 2, pp. 818 and 1863. R. von Gneist. 1863. *Geschichte und heutige gestalt des englischen Communalverfassungs oder das Selfgovernment*, 2 volumes. Berlin: Springer. On Gneist, see F. Ferraresi. 2002. *Il modello costituzionale inglese e la Germania fra Otto e Novecento*. In E. Capozzi (ed.) *Le costituzioni anglosassoni e l'Europa. Riflessi e dibattiti tra '800 e '900*. Soveria Mannelli: Rubbettino, pp. 79ff. and especially pp. 83ff.

³⁸ A different opinion in J. McLean. 2012. *Searching for the State in British Legal Thought: Competing Conceptions of the Public Sphere*. New York: Cambridge University Press.

³⁹ A. V. Dicey. 1982. *Introduction to the Study of the Law of the Constitution* (1885). Indianapolis: Liberty Fund.

⁴⁰ Badie and Birnbaum, *Sociologie de l'État*.

⁴¹ Vu, *Studying the State through State Formation*, p. 148.

⁴² P. Evans, D. Rueschemeyer, and T. Skocpol (eds) 1985. *Bringing the State Back In*. Cambridge: Cambridge University Press.

published, and noted ‘a sudden upsurge of interest in “the state”’. It is now clear that ‘the apparent “statelessness” of the U.S. is an illusion’.⁴³

These paradoxes draw attention to a further one. There is not necessarily a convergence between states and theories of the state: strong states may have poor or no theories of the state at all (such as the United Kingdom), while weak states may have developed strong theories of the state (such as Italy). It has been noted—with reference to the latter case—that ‘in their initial self-construction as fully-inclusionary centres of political power, States produced an inflated and over-centric semantic form for themselves, which they were not able to realize’.⁴⁴

Today, there are 193 states that belong to the UN, 185 states that are members of the International Labour Organization, and 156 states that are part of the World Trade Organization (WTO). To become a member of one of these organizations, it is necessary to be a state. This is another paradox. Through treaties, states establish international organizations; but then international organizations induce, promote, support, and control states; they establish standards of democracy and of rule of law for states. Therefore, state-building is now both a bottom-up and a top-down process.

THE SECOND CYCLE: THE DECLINE OF THE STATE

The second cycle began in the early twentieth century, with the first crisis of the state. It continued into the 1970s, with the second crisis and the ‘retreat of the state’, and into our days with the state’s third crisis and the process of globalization.

Why did politicians and scholars begin talking of the crisis of the state in early twentieth-century Europe? This was because state authority was then challenged from within for the first time, by a variety of forces: associations, especially trade unions, which replaced the atomistic civil society, collectivism, and corporatism. At that point, unable to represent these interests, political representation revealed its deficiencies. This societal ‘malaise’ relating to the state, an indicator of the difficult relations between state authority and civil society, led many authors to write that the state was decaying, or being eclipsed.

⁴³ D. King and R. Lieberman, *Ironies of State Building*, p. 547.

⁴⁴ C. Thornhill. 2011. *The Future of the State*. In P. F. Kjaer, G. Teubner, and A. Febbrajo (eds) *The Financial Crisis in Constitutional Perspective: The Dark Side of Functional Differentiation*. Oxford: Hart, p. 372. On the theories of the State, see also M. Fioravanti. 2010. Per una storia dello Stato moderno in Europa. *Quaderni fiorentini per la storia del pensiero giuridico moderno* 39: 69ff.

This weakening of the state had three interpreters, one in France, just before the First World War, one in Italy during the First World War, and the third in Germany, during the Weimar Republic. The first was Léon Duguit, who declared that 'l'État est mort'.⁴⁵ The second, Santi Romano, proposed to replace the state with the 'legal order' (*ordinamento giuridico*) as the central concept of public law.⁴⁶ The third was Johannes Popitz, followed by Carl Schmitt, who introduced the concept of 'policracy' as a substitute for democracy.⁴⁷

The first crisis met different reactions. One was the Italian reaction: the restoration of state authority. Mussolini and Fascism were a reaction to the first crisis of the state.

On a theoretical level, there was another reaction. Duguit wrote that '[l]'État n'est pas une personne juridique; l'État n'est pas une personne souveraine. L'État est le produit historique d'une différenciation sociale entre les forts et les faibles dans une société donnée'; '[...] faux le postulat de l'État-personne; faux celui de la puissance droit subjectif [...]', and proposed to abandon the concept of the state in favour of more realistic ones such as the 'service public' and 'rulers' (*gouvernants*).⁴⁸ In several countries, but especially in Italy and Germany, the authoritarian reactions to the crisis of the state produced another result: a *Staatsmüdigkeit* (state-weariness) and *Entzauberung* (deconsecration or de-mythization) of the state.⁴⁹

The second crisis occurred in the 1970s and 1980s. At the political level, the indicators of this new crisis were the reforms introduced by Prime Minister Margaret Thatcher and President Ronald Reagan. At the scholarly level, the book authored by Guy Peters and Richard Rose, entitled *Can Government Go Bankrupt?*, set the tone.⁵⁰ This crisis was due to the modern state's failure to perform its duties, to governments' inability to meet popular demands, to the difficulties suffered by the welfare state, to ungovernability, to the financial crisis,⁵¹ and to failures in policy implementation.⁵² Could only Hegel suppose that the state could go bankrupt?

⁴⁵ Duguit, *Law in the Modern State*, p. 243.

⁴⁶ S. Romano. 1946. *L'ordinamento giuridico (1917–18)*. Firenze: Sansoni.

⁴⁷ E. Forsthoff. *Lo Stato nella società industriale*, p. 14.

⁴⁸ L. Duguit. 1903. *L'État, les gouvernants et les agents*. Paris: Fontemoing, pp. 1 and 53. This book was a development of another book on the state: L. Duguit. 1901. *L'État, le droit objectif et la loi positive*. Paris: Fontemoing. The purpose of the latter text was to critique the work published by George Jellinek in 1892 and previous works of P. Laband and C. F. Gerber. See also L. Duguit. 1913. *Les transformations du droit public*. Paris: Colin, p. xix.

⁴⁹ G. Dahm. 1961. *Die Stellung des Menschen im Völkerrecht unserer Zeit*. Tübingen: J. C. B. Mohr, p. 11.

⁵⁰ G. Peters and R. Rose. 1978. *Can Government Go Bankrupt?* New York: Basic Books.

⁵¹ R. Mayntz. 1993. *Governing Failures and the Problem of Governability: Some Comments on a Theoretical Paradigm*. In J. Kooiman (ed.) *Modern Governance: New Government-Society Interactions*. London: Sage, pp. 11ff.

⁵² J. L. Pressman and A. Wildavsky. 1984. *Implementation: How Great Expectations in Washington are Dashed in Oakland, Or Why It's Amazing that Federal Programs Work at All*, 3rd edition. Berkeley: University of California Press.

The state responded to the internal signs of this crisis in several ways: the rollback of state regulation of the economy, liberalizations, privatizations, sale of state ownerships, outsourcing and contracting out of public services, cuts in public expenditure, and decentralizations.

These developments have reduced not only the size of governments, but also the differences between the public sphere and the private arena.⁵³ As a consequence, new problems have arisen. These include establishing what is the essence of the state and of sovereign authority, where is the 'hard core' of government powers, where lies the dividing line between public and private, how to map the state, where to establish state boundaries and how to classify state agencies. These issues are taken up in several other chapters in this volume.

These problems have many practical implications. For example, since the German *Grundgesetz* establishes that the exercise of sovereign authority is, as a rule, entrusted to members of the public service (Art. 33, par. 4), can forensic treatment facilities be privatised in Germany?⁵⁴ Or, since the Israeli Constitution protects human dignity and liberty, can a law authorize a private, for-profit corporation to operate a prison in Israel?⁵⁵

At a higher level, beyond the state, the blurring of the line between public and private has given rise to another problem: that of redefining an area that all members of a union can consider public. For this purpose, the European Union has identified a new institution, the 'body governed by public law', which also includes private entities that are under public control, either through participation or through financing. Thence, the state becomes an entity à géométrie variable.

But there were also external signs of crisis. These include transnational corporations exercising 'parallel authority' alongside national governments;⁵⁶ big businesses, insurers, accountants, and international bureaucrats all encroached on the sovereignty of the state; there was, therefore, a

⁵³ M. P. Maduro. 2010. *The Chameleon State: EU Law and the Blurring of the Private/Public Distinction In the Market*. In R. Nickel (ed.) *Conflict of Laws and Laws of Conflict in Europe and Beyond: Patterns of Supranational and Transnational Juridification*. Antwerp, Oxford, and Portland, OR: Intersentia. See also J. C. Alexander. 2006. *The Civil Sphere*. Oxford: Oxford University Press.

⁵⁴ See *Bundesverfassungsgericht*, 2 BvR 133/10 (2012). This decision established that the law did not give rise to objections concerning insufficient protection against unjustified interference with fundamental rights.

⁵⁵ The answer of the Supreme Court of Israel (Case No. HJC 2605/05 of 2009), was that the constitutional provision according to which the government is the executive branch of the state (Section 1) implies that there is a 'hard core' of sovereign powers that the government must exercise itself, in order to ensure personal liberty and human dignity. Similar cases have arisen in Costa Rica and India in relation to the privatization of prisons and police. See D. A. Slansky. 2011. Private Policing and Human Rights. *Law and Ethics of Human Rights* 5: 112ff.

⁵⁶ S. Strange. 1996. *The Retreat of the State: The Diffusion of Power in the World Economy*. Cambridge: Cambridge University Press, especially pp. 91ff.

‘declining authority of the States’ and a growth of ‘authority beyond the State’.⁵⁷

The third crisis is now under way. In Europe, national governments have lost control over their currencies. In 1998, there were thirty-seven currencies in Europe; in 2016, there are only eleven. At the global level, the phenomenon of globalization is unfolding: there are 2,000 global regulatory regimes and 60,000 non-governmental organizations (NGOs); there are international organizations such as the WTO, and networks of national regulators such as the Basel Committee; hybrid public-private regulators such as the International Standardization Organization, and private global regulators such as the Internet Corporation for Assigned Names and Numbers (ICANN). These regulators have the power to impose standards: see, for example, the Codex Alimentarius Commission, that establishes food standards that reach our very tables. These international organizations are not part of a unitary legal order, but rather of a fragmented legal space.⁵⁸

Globalization is, at the same time, denationalization of state institutions and a cumulative process of expansion of trade, communication, media, migration, crime, terrorism, and even fashion.⁵⁹ This development has two levels: one is global or universal, the other is supranational.

The main features of the global level are the following: development through mutual connections; a fluid organization; joint decision-making techniques; absence of any separation between the global and the domestic levels; three powers—legislative, executive, and dispute settling (but more continuity between them, rather than a true separation, a legislative branch acting mainly as standard-setter, and an executive branch less developed than in domestic legal orders, as the global polity is reliant to a great degree upon national implementation through indirect rule); an administration and administrative law with weak constitutional foundations; the growth of a global rule of law (i.e. principles that are common to all regulatory regimes: the right to a hearing, participation, the right to be informed, access to a judge) and legalization of global administrative networks towards a universal rule of law; and finally, control of the state by the economy, which replaces state

⁵⁷ Strange, *The Retreat of the State*, pp. 3ff. and 91ff. See also S. Cassese and V. Wright. 1996. *La restructuration des États en Europe occidentale*. In V. Wright and S. Cassese (eds) *La recomposition de l'État en Europe*. Paris: Éditions de la découverte, pp. 7ff.; and D. King and P. Le Galès. 2011. Sociologie de l'État en recomposition. *Revue française de sociologie* 52(3): 453ff.

⁵⁸ See S. Cassese (ed.) 2016. *Global Administrative Law*. Cheltenham: Elgar.

⁵⁹ See J. Habermas. 2006. *The Divided West*. Cambridge: Ciaran Cronin, p. 175; S. Sassen. 2006. *Territory, Authority, Rights: From Medieval to Global Assemblages*. Princeton, NJ: Princeton University Press, p. 1; C. Zürcher. 2007. *When Governance Meets Troubled States*. In M. Beisheim and G. F. Schuppert (eds) *Staatszerfall und Governance*. Baden-Baden: Nomos, p. 11.

control over the economy (indeed, through rating agencies, it is markets that control states, rather than states that control markets).⁶⁰

As for Europeanization—which is but one example of supranationalism—we may see multiple citizenships (European, national, and subnational); multiple *demoi* (akin to the *Vielvölkerstaat* of the Middle Ages)⁶¹ in which national identities become less important; several languages, as in the *Mehrsprachenstaat* of the past; a concentration of power that is replaced by networks (for example, the structure of the European Central Bank and the role of national governors); and a plurality of polities, such as the *imperium* which included several *regna*.

However, it is necessary to highlight that states are organized in ‘layers’, and that not all developments occur simultaneously. Therefore, the three crises mentioned above did not all occur at the same time and did not all span the same number of years, as noted by several authors.⁶²

The decline of the state poses a major problem: if the state is the place where democracy has developed, what will happen to democracy if the state disappears or becomes less important? Will it evaporate? Or will be replaced by a cosmopolitan democracy? The democratic deficit of the global polity is compensated by many surrogates. One is legitimacy through procedure, by participation in decision-making processes (deliberative democracy), that is widespread in the global space (from the WTO to ICANN). Another is horizontal accountability, that is global actors—national and international governments—being accountable to each other (Hungary and Turkey versus the European Union, the European Union versus the United Nations). Another is judicial review acting as a ‘fire alarm’ system (the approximately 120 global courts and an equivalent number of quasi-judicial bodies open the way to civil societies to keep under control both national and international bodies). Another is capacity-based authority, power based on reputation and expertise (as in the case of the International Electrotechnical Commission, the IEC⁶³).

THE THIRD CYCLE: RESURGENCE OF THE STATE

At the end of the second cycle, one could reasonably wonder whether the state would survive so many crises without defeat. Fortunately, many of the second

⁶⁰ S. Cassese. 2005. Administrative Law without the State? The Challenge of Global Regulation. *Journal of International Law and Politics* 37(4): pp. 663ff.; and S. Cassese. 2012. *The Global Polity*. Seville: Global Law Press.

⁶¹ K. F. Werner. 1998. *Naissance de la noblesse. L'essor des élites politiques en Europe*. Paris: Fayard (Italian translation, *Nascita della nobiltà*. Torino: Einaudi, 2000, p. 58).

⁶² L. Jacobs and D. King. 2009. America's Political Crisis: The Unsustainable State in a Time of Unraveling. *Political Science and Politics*, April: 277ff.

⁶³ D. D. Avant, M. Finnemore, and S. K. Sell (eds) 2010. *Who Governs the Globe?* New York: Cambridge University Press.

cycle's developments were replete with ambiguities. To implement Big Government reforms, Margaret Thatcher required a very strong central government: to make the state smaller, one needs greater powers. Lesser state ownership went hand-in-hand with greater regulation on part of independent regulatory agencies. State activism shifted from a market-steering orientation to a market-supporting one.⁶⁴ Also, greater emphasis on consumer protection implies more state regulation.

These ambiguities show that the state has not disappeared with liberalizations and globalization, but, on the contrary, is alive and is only self-restructuring to adjust its configuration and functions to the new spaces, so that it can overcome its internal weaknesses. The developments analysed in the previous section are simply part of the dynamics of the state.

States cope with internal fragmentation (next-steps agencies, *enti pubblici, établissements publics*) by governing without state-centric government models;⁶⁵ by learning the lessons of government without governance; by 'societal replacement for the incapacity of government to steer and row'; by its 'management of networks and [...] self-organizing systems of interaction' as an alternative to conventional governance; by a 'decentralized rowing';⁶⁶ and finally, by using an instrument of the British colonial tradition—indirect rule. Indeed, it can be said that the world is rediscovering indirect rule: the European Union is ruling indirectly, and the same is true for the WTO.

As for the external pressures, states are surrendering sovereignty to regional and global institutions, but at the same time they promote competition among nations.⁶⁷ Thus, from being 'guardians of national security', they become 'guardians against economic insecurity'.⁶⁸

Next to the thousands of international organizations, there are the regional supranational organizations like those established in Europe, South East Asia, North America, and South America. The most developed is the European Union, which presents many distinctive features.

First, while domestic administrations depend on a single centre of power, the European administration does not have only one centre. Unlike the situation in domestic governments, in the European Union there is no one single branch of government entrusted with the implementation of rules.

⁶⁴ J. Levy (ed.) 2006. *The State after Statism: New State Activities in the Age of Liberalization*. Cambridge, MA: Harvard University Press.

⁶⁵ J. Pierre and B. G. Peters. 2013. *Governing Complex Societies: Trajectories and Scenarios*. Basingstoke: Palgrave Macmillan.

⁶⁶ B. G. Peters. 1997. Shouldn't Row, Can't Steer: What's A Government to Do? *Public Policy and Administration* 12(2): 51 ff.

⁶⁷ V. Cable. 1995. The Diminished Nation-State: A Study in the Loss of Economic Power. *Daedalus* 124(2): 23ff. (issue topic: 'What Future for the State').

⁶⁸ S. Strange. 1955. The Defective State. *Daedalus* 124(2): 55 ff.

Implementing power can be exercised by the Commission, by the Council, or by member states.

Second, while domestic administrations have exclusive powers of implementation, the European administration is not the Union's only implementing authority. In the Union, the member states take all the measures necessary for implementing legally binding Union acts, and the Commission or the Council have implementing power where uniform conditions are required. Consequently, the Union's implementing power is residual and not monopolistic.⁶⁹

Third, while domestic administration is binomial,⁷⁰ European administration is trinomial. For example, in the area of competition and state aid, there are not only two players, the administration and the private party; on the contrary, there are several: the European Commission, acting as the guardian of competition; one national government, the grantor of the aid; a private party that has benefited from the aid as grantee; other interested states; and other interested parties. This multiplicity of players generates 'polycentric adjudication' processes.⁷¹

Fourth, unlike national law, the European Union features a double legality.⁷² In the European treaties, indeed, it is stated that the Union is a 'community based on the rule of law' and has a 'complete system of legal remedies and procedures', in accordance with the 'basic constitutional charter, the

⁶⁹ Court of Justice, C-8/88 *Germany vs Commission*. See A. J. Gil Ibanez. 1998. *El control y la ejecución del derecho comunitario. El papel de las Administraciones nacionales y europea*. Madrid: Instituto nacional de administración pública; K.-H. Ladeur (ed.) 2002. *The Europeanisation of Administrative Law: Transforming National Decision-Making Procedures*. Dartmouth: Ashgate; J. H. Jans, R. de Lange, S. Prechal, and R. J. G. M. Widdershoven. 2007. *Europeanisation of Public Law*. Groningen: Europa Law Publishing. On the relationship between European law and national administrative laws, G. Vesperini. 2011. *Il vincolo europeo sui diritti amministrativi nazionali*. Milan: Giuffrè.

⁷⁰ A.V. Dicey. 1935. *Introduction to the Study of the Law of the Constitution*. London: Macmillan, pp. 332–3: 'Droit administratif, or administrative law, has been defined by French authorities in general terms as the body of rules which regulate the relations of the administration or of the administrative authority towards private citizens; and Aucoc in his work on *droit administratif* describes his topic in this very general language: Administrative law determines the constitution and the relations of those organs of society which are charged with the care of those interests (*intérêts collectifs*) which are the object of public administration, by which term is meant the different representatives of society among which the State is the most important, and the relation of the administrative authorities towards the citizens of the State'.

⁷¹ L. L. Fuller. 1978. The Forms and Limits of Adjudication. *Harvard Law Review* 92: 394–5. Polycentric adjudication processes require inter-institutional agreements: M. Cini. 2013. EU Decision-Making on Inter-Institutional Agreements: Defining (Common) Rules of Conduct for European Lobbyists and Public Servants. *West European Politics* 36(6): 1143f.

⁷² On the features of the legality principle in European law, K. Lenaerts. 2007. The Rule of Law and the Coherence of the Judicial System of the European Union. *Common Market Law Review* 44(6): 1625ff.; L. Azoulay. 2007. *Le principe de légalité*. In J.-B. Auby and J. Dutheil de la Rochère (eds) *Droit administratif européen*. Bruxelles: Bruylant, pp. 393f.; A. von Bogdandy. 2006. *Constitutional Principles*. In A. von Bogdandy and J. Bast (eds) *Principles of European Constitutional Law*. Oxford: Hart, pp. 15f.

treaty'; that there are two ways of implementing the 'general measures' of the Union's institutions—Community implementation (private parties can bring an action before the Court of Justice) and national implementation (private parties can bring an action before national courts); and that all measures that are intended to have legal effects can be subject to judicial review.⁷³

Fifth, while national governments have a single component, the European Union government is a composite. In the EU, there are four essential components, of differing natures: purely European (the Commission and the Court of Justice), multinational (the Parliament), intergovernmental (the Council), and interbureaucratic (the Committees).

Sixth, while national law is imposed on national societies, European law leaves space for a choice of law.

Seventh, administration's development in the national context depends on national government policies, but administrative development at the European level depends on the interaction between national and European administrations. *Wechselseitige Eigennutz* ('reciprocal expediency') is the first and most important reason for which the state opened up and established standard-setting supranational and global bodies. One of the first to observe this was Immanuel Kant.⁷⁴

States share their sovereignty (from a traditional point of view, this is an oxymoron: true sovereignty cannot be shared—if it is shared, is not sovereignty). They join forces with other states and accept global standard-setting bodies, but they also try to reduce the asymmetry between the globalized economy and national governments.

Each state is confined by its own borders and has, therefore, no power to fight global terrorism and global warming, or to organize Olympic Games. To engage in these endeavours, the UN Sanctions Committee, the Kyoto agreement, and the International Olympic Committee respectively are necessary.

Because they must share tasks and power, states become part of global networks and replace hierarchies with horizontal links, and command and control with negotiation. Clear departmental boundaries, clear lines of authority, detailed reporting mechanisms, and formal decision-making procedures are replaced with complementarity and reciprocity, vertical and horizontal interdependence, and mutually supportive actions.⁷⁵

The result is often negative, because these confused new arrangements frequently lead to traps for joint decision-making. At this point, states have less power, because they must share decision-making with other states, but, at

⁷³ Court of Justice C-294/1983 *Les Verts*. See also Court of Justice C-46/87 and 227/88 *Höchst* and C-103/88 *Fratelli Costanzo*.

⁷⁴ I. Kant. 2010. *Zum ewigen Frieden*. (Italian translation, *Per la pace perpetua*. Milano: Feltrinelli, p. 78.) See his observations on the *Handelsgeist* (the spirit of trade).

⁷⁵ G. Thompson, J. Frances, R. Levacic, and J. Mitchell (eds) 1991. *Markets, Hierarchies and Networks: The Coordination of Social Life*. London: Sage.

the same time, they are thus able to enter areas previously closed to them. Here we may witness another paradox: less power, yet at the same time more power, for the state.

In conclusion, 'contrary to the brave new world many expected in the wake of globalization and global economy integration [...] the State is doggedly present'⁷⁶ and 'the notion of growing statelessness in the international system and the global economy has quickly evaporated'.⁷⁷ There is no decline, no retreat, no crisis of the state. There is only a process of reconfiguration, adaptation, and restructuring which is part of the state's dynamics. This process may overlap with severe short-term crises and policy challenges, but that is distinct to an implosion of the state as the key organizing entity for political communities.

Contrary to a widespread view that opposes globalization and national governments, states are a constitutive element of globalization, as in Kant's dove flight.⁷⁸

In the process of globalization, there are several paradoxes that strengthen the links between the state and globalization. First, globalization is a process through which states establish global regulators by agreement.⁷⁹ But the reverse is also true, as global regulators sustain, promote, and provide incentives for states, as occurs in the case of the United Nations' global efforts to promote democracy (e.g. the United Nations Democracy Fund or the European Union Democracy Initiative) and the rule of law.

Second, global institutions promote or develop global indicators, thus putting pressure on states and expecting self-harmonization, reciprocal pressure, and imitation. Examples are the 'State Capacity Survey' developed by Columbia University; the 'State Fragility Index' published by the Center for Systemic Peace and the Center for Global Policy at George Mason University;⁸⁰ the 'Sovereignty Index' elaborated by the joint venture between the Brookings Institution, the Institute for State Effectiveness, and the Australian

⁷⁶ King and Lieberman, *Ironies of State Building*, p. 550. Similar conclusions are drawn in G. Corso. 2011. *Persistenza dello Stato e trasformazioni del diritto*, and in L. Condorelli. 2011. *Crisi dello Stato e diritto internazionale: simul stabund simul cadent?* both in *Ars interpretandi* 16, special issue on *Lo Stato contemporaneo e la sua crisi*, pp. 107ff. and 173ff., and in P. Du Gay and A. Scott. 2011. *Transformation de l'État ou changement de régime? De quelques confusions en théorie et sociologie de l'État*. *Revue française de sociologie* 52(3): 537ff.

⁷⁷ D. King and R. Lieberman. *Ironies of State Building*, p. 547. On the challenge posed by globalization to the state, see also T. J. Lowi. 2009. *La globalizzazione, la guerra e il declino dello Stato*. *Rivista italiana di scienza politica* 39(1): 3ff.; and K.-H. Ladeur. 2010. *The State in International Law*. Osgoode Hall Law School Research Paper No.27.

⁷⁸ I. Kant. 1781, 1787. *Kritik der reinen Vernunft*. Riga: Hartknoch, Einleitung, III.

⁷⁹ This point has been recently stressed by R. Kwiecién 2013. *On Some Contemporary Challenges to Statehood in the International Legal Order: International law Between Lotus and Global Administrative Law*. *Archiv des Völkerrechts* 51: 279ff.

⁸⁰ J. A. Goldstone, R. H. Bates, D. L. Epstein, T. R. Gurr, M. B. Lustik, and M. G. Marshall. 2010. *A Global Model for Forecasting Political Instability*. *American Journal of Political Science* 54(1): 190–208.

National University;⁸¹ the 'Index of State Weakness in the Developing World' published by the Brookings Institution;⁸² the 'Failed States Index' produced by the Fund for Peace and published by Foreign Policy;⁸³ and the Worldwide Governance Indicators.

THE STATE IN FLUX

As a result of these developments, retreats, and advances, the state has become more malleable—better able to adjust, adapt, and change according to the new challenges and contexts.

These adjustments have produced several outcomes. The first is the de-differentiation of society and state. Over the past few centuries, the state established itself through a process of differentiation from the various social interests and the public interest. The separation of the political and the social led the state to become an entity separate from society. Today, the dividing line is blurring, and the state is a marketplace or arena of competing economic and social forces.

The second is internal fragmentation. Originally, the state was more or less united around a centre, which was able to keep the periphery under strict control and thereby ensure the unity of the legal system. Today, the growth in the dimensions and powers of territorial and functional bodies has resulted in the development of multiple legal systems within the state. Therefore, the centre is obliged to replace rule with negotiation.

Third, as parliaments became more representative through universal suffrage, the power of civil society grew. The state and its body of servants have been compelled to replace command and control with leadership, hegemony, and negotiation.

Fourth is joint decision-making: when both a national and a supranational or global administration intervene in the decision-making procedures, there are arrangements that allow for both levels of government, the national and the supranational or global, to make their voices heard. From the first perspective, the most interesting institutions are the European Union committees.⁸⁴ First established to keep the Commission under the control of the

⁸¹ A. Ghani, C. Lockhart, and M. Carnahan. 2005. *Closing the Sovereignty Gap*. London: Overseas Development Institute.

⁸² S. E. Rice and S. Patrick. 2008. *Index of State Weakness in the Developing World*. Washington, DC: The Brookings Institution.

⁸³ N. Haken, J. J. Messner, K. Hendry, P. Taft, K. Lawrence, T. Anderson et al. 2012. *Failed States Index 2012*. Washington, DC: The Fund for Peace, pp. 1–48.

⁸⁴ T. Christiansen and E. Kirchner (eds) 2010. *Committee Governance in the European Union*. Manchester: Manchester University Press. M. Savino. 2005. *I comitati dell'Unione: La collegialità amministrativa negli ordinamenti composti*. Milan: Giuffrè; F. Gencarelli. 2012. *Il Trattato di*

Council and domestic administrations, they subsequently became a means for the Commission to broaden the scope of its jurisdiction, obtain information from domestic administrations, consult and receive support from national constituencies, and hold national administrations' actions under review. Moreover, the committees unite national bureaucracies and provide a 'forum' for discussion and exchanging ideas. They are a means for the formation of a common understanding among domestic administrations. As a consequence, committees play three important roles: bottom-up, to represent the views of domestic administrations in the Union; top-down, to transmit European policies to national administrations; and a horizontal one, to open and facilitate dialogue among national administrations. Committees, however, are not the only kind of mixed—national and European—organizations. There are many more such entities, which exist at a metaphorical halfway point between Brussels and national capital cities to ensure a balance among national and supranational governments.

Fifth is interdependence of state and non-state actors. NGOs are established in order to interact with global regulatory regimes. National governments become more transparent and must hear national, supranational, and global pressure groups. The global disputes are multi-polar and involve both private parties and states.

Finally, like Ulysses, the state has committed itself through international treaties, thus renouncing full sovereignty and agreeing to share power with other states and global institutions. Globalization and the ensuing state–global space interactions produced two paradoxes.

The first paradox is clear in the role played by globalization in the constitution and development of states. The United Nations Organization supports states as members of the international community. The traditional relationship between states and the international community is reversed: previously, states created the international community; now, it is the international community that supports states. States establish global organizations, which in turn legitimate states.

This reversal is amplified when global or supranational institutions impose on national governments, or promote among them, certain basic models of democracy or rule of law, as in the case of the United Nations Democracy Fund, which finances civil society organizations for the promotion of democracy, or the Organization for Security and Cooperation in Europe, of which the Office for Democratic Institutions and Human Rights is active in the fields, *inter alia*, of democratic development, election observation, and non-discrimination.

The second paradox is the following: while global institutions are entirely new organizations, they mimic national governments. For example, they allocate rule-making, executive, and dispute-settlement functions to separate bodies. This does not mean that the separation of powers principle is replicated in the global space, as the different environment leads to changes that, in turn, result in different organizational arrangements in the two areas. Here, once again, the 'myth of the state' and the conceptual reduction of all public powers to the state affects the development of globalization.

METHODOLOGICAL IMPLICATIONS

This analysis has two methodological implications. First, one must take an evolutionary approach to social institutions.⁸⁵ Lawyers and political scientists are good at analysing and dissecting dead bodies. But states are subject to 'a continuous adaptive process', and are 'moving in different directions'.⁸⁶ One has to learn to analyse and study these living institutions and move towards understanding the rules governing their change, like the American sculptor Alexander Calder moved from 'stables' to 'mobiles'.

Second, while seeking to ameliorate the poor state of empirical measures on the quality of states⁸⁷ (which several other chapters in this volume engage with), one must also try to conceptualize the complex web of integrated global and national polities. States are a constituent part of globalization. They expand in the global space and, at the same time, are limited by global institutions.

National governments split, as noticed by the French international law scholar Scelle, in his theory of the *dédoublement fonctionnel*: they establish global institutions and become their servants or implementers. Between states and global institutions, and among states, new kinds of relations are established, which one could call of horizontal accountability;⁸⁸ national governments monitor their counterparts, since their actions are interrelated.

⁸⁵ O. Lewis and S. Steinmo. 2011. *How Institutions Evolve: Evolutionary Theory and Institutional Change*. Paper presented at the APSA in Seattle.

⁸⁶ Steinmo, *The Evolution of Modern States*, pp. 210 and 206.

⁸⁷ F. Fukuyama. 2013. What is Governance? *Governance* 26(3): 347 ff.; and the World Bank. 1997. *The State in a Changing World: Selected World Development Indicators*. Washington, DC: The World Bank.

⁸⁸ For this concept as applied within national governments, see G. O'Donnell. 1999. Horizontal Accountability in New Democracies. In A. Schedler, L. Diamond, and M. F. Plattner (eds) *The Self-Restraining State: Power and Accountability in New Democracies*. London: Lynne Rienner, especially pp. 38ff.

Unbundling Sovereign Rights through Incomplete Contracting

Empowering European Transnational
Networks beyond the State

Hendrik Spruyt

INTRODUCTION

Antonio Gramsci, writing in the 1930s, was perplexed by the strength of nationalist sentiment despite calls for transnational class solidarity. Today, in the wake of the most severe economic crisis since the 1930s, we might be equally perplexed by the lack of a 'nationalistic element', particularly in the European Union (EU). The situation in Greece is nothing short of dismal. Austerity, moreover, has not yielded the projected results, with the public debt-to-GDP ratio actually higher by late 2013 (170 per cent) than it was at the outbreak.¹ The bailouts in Ireland and Portugal have similarly imposed heavy adjustments on the population. On the other side, the fiscally strong countries, Germany, the Netherlands, Finland, and others, have had to come up with sizeable support packages imposing further burdens on their taxpayers.

But overall public turmoil has been limited. There has been remarkably little discussion of rolling back European integration. While it is true that selective expulsion or exit might be possible, the breakup of the Economic and Monetary Union (EMU), or even of the EU, has not come to pass. For sure, there has been a longstanding option of selectively buying into the European project—the EU smorgasbord—with some countries joining Schengen others

¹ <<http://www.theguardian.com/world/2013/nov/18/greece-troika-lenders-anger-over-austerity>>.

not; and some countries signing on to the EMU while others stayed out, and so on. And, true, British support for European integration has wavered. Nevertheless, the overall transfer of sovereign rights to EU institutions continues. Why is this so?

I suggest that sovereignty is best conceived as a bundle of rights rather than as a cohesive and indissoluble entity. Consequently, elements of sovereign authority might be relinquished while others are retained. Within this bundle of rights the final locus of jurisdiction is critical. Indeed, it is that very criterion that defines sovereignty. The question of how robust state sovereignty is today comes down to the question: who at the end of the day has the ultimate right to decide? The right of final adjudication determines who exercises internal hierarchy and who has the right to represent domestic society in agreements with other states. The state in other words acts as a gatekeeper (Nettl 1968).

I suggest that, due to incomplete contracting agreements between the member states, aspects of sovereign authority have been transferred to the supranational level. Incomplete contracting occurs when governments enter into forward-looking, complex agreements. Such agreements inevitably require subsequent (re)interpretation and delegation to third parties. Within the EU context this had led to significant delegation of adjudicatory capacity to the supranational level.

Political elites enter into incomplete agreements partially because of uncertainty regarding the future. Given this uncertainty actors cannot foresee subsequent developments or foresee who would benefit from the integration process. However, there is also a strategic motivation to leave accords incomplete. By leaving the exact consequences of the agreements opaque, opposition will be slow to mobilize. Elites can thus proceed while being shielded from public oversight.

This logic has operated in the European integration process from its infancy. By delegating authority to the EU-level institutions, elites simultaneously empowered the Brussels technocracy. (See also Chapter 2 in this volume.) The much-lamented 'democratic deficit' in the integration process did not emerge by accident but rather by design.

The shift in adjudicatory competence away from national governments has also affected their competencies in the area of national economic policy making and regulatory capacity.² This has become particularly evident with

² I follow Niamh Hardiman's distinction of various domains of state capacity in the areas of economic development (the developmental state view); regulation; adjudication; and morality and norms. This chapter focuses particularly on analysing the autonomy of the EU members in the first three domains.

recent institutional designs to address the fiscal crisis that emerged in 2008. While these proposals vary in design, each, to varying degree, will precipitate changes in the political and institutional landscape that will affect both the state's autonomous economic policymaking capacity (the developmental state functions) and its regulatory functions.

Paradoxically, this transfer of authority from member states to new sites of authority, external to the national capitals, has also created the political space for national governments to deflect the accountability to their constituents. In this political equivalent of aikido, the 'external forces of the international system', 'global capitalism', and 'EU Directives', which diminish sovereign authority, are skilfully manipulated by governments. By surrendering authority, state elites deflect political responsibility. By invoking the inexorable logic of the marketplace, or by deploying technocratic discourse, government elites manage to limit the demands for accountability, exacerbating the problem of a democratic deficit.³

The European historical development was unique in the explicit territorial demarcation of national authority coincident with the delegitimation of transnational claims to authority. The final locus of authority, sovereignty, was spatially defined and limited. We are now witnessing an equally transformative shift, but in the opposite direction. Sovereign rights are being unbundled and reconstituted in a non-spatial and qualitatively different configuration. Sovereign rights are being deterritorialized by their allocation to new sites of authority that are not defined by their control over a given territory. These sites of authority have obtained powers of jurisdiction within issue-specific domains.

In short, it is the critical shift in final adjudicatory capacity that is novel in the current European states' reconfiguration. The diminution of sovereign authority has had profound effects on the ability of member states to engage in autonomous national economic policies and their ability to regulate society. With the transfer of sovereign rights has come a deterritorialization of authority as well as a built-in democratic deficit, which favours transnational technocratic bureaucracies, all justified by a functionalist perspective of governance. The compact between state and society that underlay the original emergence of the sovereign state (see Spruyt 1994), and the European welfare state (Scharpf 2009) has thus been severed. Why has this development

³ Admittedly some states, such as Greece, have shown greater political turmoil. But it is nonetheless surprising that the most severe global economic crisis since the 1930s had not led to the same level of political agitation and institutional responses that the Great Depression generated. And yet, arguably, 'the EU as a collectivity proved ready and willing to bail out banks with trillions of euros, but bailing out the citizens of vulnerable developing member states... was not worthy of prompt or proper action' (Underhill 2010: 17).

proceeded well beyond what was imagined by the original founding members? Or, phrased differently, what had led to the rescaling of the state and the decoupling of the state and society?⁴

SHIFTING CONCEPTUALIZATIONS OF SOVEREIGNTY IN THE EUROPEAN UNION

There are probably as many conceptualizations of the term 'sovereignty' as there are of the term 'state'. Stanley Benn suggests no less than seven understandings (Benn 1967: 501). In its most common usage, sovereignty denotes that the state is autonomous vis-à-vis other states and has no international obligations other than those it has voluntarily entered into. 'There is a final and absolute authority in the political community...while no final and absolute authority exists elsewhere' (Hinsley 1986: 26). Thus, authority is not merely territorially bounded, it is territorially defined and the state is *de jure* sovereign.

Over time the juridical claims of sovereignty which emerged in the late Middle Ages were backed by the *de facto* capacity to withstand local lords and translocal forms of authority such as those of the emperor and papacy (Poggi 1978, Spruyt 1994). Of critical importance was the fact that the final adjudicatory authority came to reside with the sovereigns of a given territorial space.

Contemporary European integration introduces a novel situation. Here, states have voluntarily relinquished some aspects of sovereignty to newly created sites of authority. Contracting parties that had fully articulated sovereign rights in both a *de facto* as well as *de jure* sense have surrendered some of their jurisdictional capacity, and in so doing, some of their capacity to make autonomous decisions.

Sovereignty is, therefore, best construed as an ideal-typical analytic construct describing a bundle of rights that can be composed and decomposed, rather than as a cohesive, unambiguous, and static condition of a given state of affairs. As Stephen Krasner has pointed out, hybrid arrangements have existed throughout history.⁵ Thus, while the EU poses a unique configuration, hybridity in and of itself is not without precedent.

⁴ I am beholden to Desmond King and Patrick Le Galès for conceptualizing the issues in this manner.

⁵ Krasner 1999: 9–25.

Some observers, such as the adherents of the realist school, might argue that member states can extricate themselves from any obligation they prefer to avoid.⁶ Ultimately member states can opt-in and opt-out when fundamental state preferences are at odds with regional organization. By contrast, neo-liberal institutionalists (Burley and Mattli 1993) see far greater delegation to supranational decision-making. For them the very meaning of what constitutes a sovereign state, and the domain of state authority, have been fundamentally altered with the EU. Given these contrasting possibilities a study of how and why sovereignty has receded within the EU will also shed light on the general question of how states might cede or retain their sovereign rights vis-à-vis international and regional institutions.

As I will argue, European integration has particularly led to the reallocation of final jurisdictional authority, contra the realist perspective. National courts in important domains do not constitute the final site of adjudication. This change in adjudicatory domain has had major effects on the ability of member states to maintain autonomy in the realms of state-led economic policy (the developmental state domain), and state regulatory capacity. How this has occurred can be partially illuminated by understanding the nature of incomplete contracting.

UNBUNDLING SOVEREIGN RIGHTS AND SURRENDERING GOVERNANCE TO THIRD PARTIES BY INCOMPLETE CONTRACTING

When states voluntarily enter into intergovernmental agreements with other states this is consistent with sovereignty. States sign trade agreements, security alliances, environmental accords, and so on, because they perceive gains from such agreements. As long as the final adjudicatory authority continues to reside at the national level sovereignty remains intact.

But at times states may enter into underspecified agreements, incomplete contracts, because they realize that only by relinquishing certain sovereign rights can they achieve a desired objective. Incomplete contracting theory can shed light on how these types of agreements create a forward momentum that reallocates authority beyond what might have been envisioned at the time of

⁶ The notion that the potential exit from an existing political arrangement should be the decisive factor in determining where full sovereignty resides is wrong-headed. Even federal unions allow for the possibility of exit. For example, the secession of Quebec from the Canadian federation was a distinct possibility in 1995, and was only defeated by the narrowest of margins. But this does not mean that Quebec has full sovereign rights as opposed to the federal government.

the original agreement (Hart and Holstram 1987, Hart and Moore 1990, Hart 1995).

The incomplete contracting approach stems from Oliver Williamson's analysis of transaction specific contracting (Williamson 1975, 1985). Hierarchical governance emerges when transactions between firms are frequent and assets are idiosyncratic.⁷

However, political elites do not merely seek to maximize economic benefits as firms do. Governments have many reasons to retain their sovereignty rather than yield to a new hierarchy. They consider public opinion, national culture, or potential loss of office. Faced with uncertainty and complexity, political elites will thus hedge their bets. Rather than a full surrender of sovereignty they will be inclined to proceed piecemeal, while exploring various institutional arrangements that fall short of full integration.

Neoclassical approaches suggest that actors sign complete contracts, that specify in great detail what the current and future obligations and rights of the signees will be. Under neoclassical assumptions of rationality, agents choose the best complete contract that meets their preferences. A complete contract would also anticipate contingencies and devise potential remedies *ex-ante*.

Incomplete contracting, by contrast, takes its cue from bounded rationality. Given uncertainty and given the propensity of actors to satisfice, any accord with a long-term horizon will be incomplete. Environmental constraints can thus lead to incomplete contracting.

Governments might also favour incomplete contracting for strategic reasons. They might do so, for example, because they believe that they might have a more advantageous bargaining position in the future. Or they might prefer to do so because it postpones difficult issues. One hopes for a broad agreement on general principles, since a more detailed accounting of costs and benefits would mobilize opponents to the agreement.

To understand the dynamics of incomplete contracting one must distinguish: control rights, use rights, and residual rights. *Control rights* convey the authority on how to use an asset, and the right to transfer that asset. *Use rights* specify the rights to receive certain benefits. Control and use rights need not be bundled. For example, the owner of a parcel of land has control rights (the right to sell that parcel), but might have to grant use rights to another actor (say, easements for hikers).

A complete contract fully specifies the control and use rights with no outstanding domains of authority. An incomplete contract leaves the future allocation of control and use rights underspecified. Thus, incomplete agreements will require decisions on the allocation of *residual rights*. These are the rights to use the asset in any manner beyond what was specified in the original contract. Even more importantly, they convey the authority to rule on the

⁷ Transaction specificity thus includes site-specific investments, physical asset-specificity, human-specificity, and dedicated assets. Williamson 1985: 95–6.

issue of competence. Which institution has the competence to rule on future issues outside of the original agreement (in jurisprudence the issue of *Kompetenz-Kompetenz*)?

Keep in mind that because incomplete contracts are underspecified they require further elaboration and description. They have a built-in momentum. Contracts that are incomplete must be renegotiated, clarified, and adjusted. For example, while the US Constitution was a model of brevity it has required subsequent interpretation to this day. The Founding Fathers could scarcely be expected to foresee the many issues facing an advanced capitalist state. Over time, therefore, previously incomplete accords will require the necessary institutional apparatus to deal with new circumstances.

Two institutional solutions to the problem are possible. First, the parties can leave it to future negotiations by the contracting actors themselves to resolve outstanding issues and settle disputes. Alternatively, the parties might opt to create a new distinct authority or favour third-party intervention and arbitration to resolve such matters.

The first option, however, will be less satisfactory for smaller and weaker actors. Indeed, if there are vast differences in the bargaining strength of the contracting parties, the weaker contracting parties will fear hold-up and the bargaining leverage of stronger states, which will skew future developments in favour of the stronger actor. In such a situation, actors will insist on complete contracts, and in the absence of such a complete contract, no agreement will occur.

Thus the second option can provide a solution. The contracting parties can delegate residual rights to a neutral third-party arbitrator or judicial authority. Such international arbitration might be in the form of a private ad hoc arbitrator, as for example tends to occur in standards setting cases, or to a more permanent supranational body or legislative authority.⁸ In turn, the third parties and new institutions that have been given the residual rights of control will use the full powers granted to them. The ability to influence the incomplete contract *ex post* thus affords the holder of residual rights significant influence on the subsequent contours of the renegotiated settlement. With international institutions this means that supranational bodies with residual rights subsequently will attempt to codify and institutionalize these rights.

INCOMPLETE CONTRACTING IN THE EU AND THE RISE OF SUPRANATIONAL ADJUDICATION

How might one explain the vastly expanded authority of European-level institutions, most notably that of the European Court of Justice (ECJ)?

⁸ Mattli 2001. Simmons (2002) notes that states are increasingly sharing sovereignty by agreeing to binding arbitration over commercial and border disputes.

As Fritz Scharpf noted regarding the ECJ, 'with these decisions, the Court claimed a status for Community law that differed fundamentally from that of all other international organizations. Why and how they came to be accepted has become a fascinating research question' (Scharpf 2009: 9). I suggest that because member states ceded residual rights to a newly created third party—the institutions created by the European Economic Community (EEC) and its successors—the bargaining leverage and momentum in the accord gradually shifted to EEC-level institutions.⁹

The European Union has shown a much higher degree of vertical integration and supranational decision-making than initially envisioned. The foundational agreements that formed the economic community in the Treaty of Rome in 1957, however, were remarkably sparse. Simply put, the Rome Treaty was an incomplete contract. Andrew Moravcsik described the treaty as a 'framework agreement'.¹⁰ Giandomenico Majone, while not invoking incomplete contracting theory, comes presciently close to describing the treaty in exactly those terms with the concept of a relational contract:

A relational contract settles for a general agreement that frames the entire relationship, recognizing that it is impossible to concentrate all the relevant bargaining action at the *ex-ante* contracting stage. The Rome Treaty, for example, may be conceived of as a relational contract.¹¹

Majone adds that in relational contracting, parties do not agree on detailed plans but on general principles and on the criteria to be used to decide unforeseen issues.

Given the question of future competencies, he notes the critical importance of the specification that relational contracts provide on who has the power to act and how disputes are to be settled (Majone 2005: 72, 73). Relational contracting thus entails further discussion of where adjudicatory capabilities will reside in future issue areas.

The difference between a complete contract in which states enter into an intergovernmental agreement with clear obligations and responsibilities that are specified *ex ante* and the incomplete contracting of the EU becomes clear through contrast with the North American Free Trade Agreement (NAFTA). Arguably, NAFTA is the most far-reaching regional trade agreement in terms of economic size and depth, second only to the EU along those lines.

⁹ Similarly, Simon Hix (2002) argues that the adoption of the Maastricht Treaty shows that the European Parliament (EP) exercised its 'discretion through rule-interpretation' well beyond what many of the states originally intended. In the language of incomplete contracting, by the transfer of residual rights to a third party (in Hix's account, the EP) that entity acquired enhanced bargaining leverage and influence as time progressed.

¹⁰ Moravcsik 1998: 152, 157. Although Moravcsik would still maintain that the EU constitutes a set of intergovernmental rather than supranational agreements.

¹¹ Majone 2005, 73.

I will not dwell on the diverse reasons why the EEC originated as an incomplete contract while NAFTA more precisely delineated responsibilities and competencies.¹² My point is rather that the initial design of each continues to have profound consequences for their future trajectories. As an intergovernmental agreement with details settled up front, NAFTA had no built-in forward momentum. While sovereign rights have remained at the national level with the member states of NAFTA, the same cannot be said for the EU. As Frederick Abbott has argued:

NAFTA embodies a high degree of precision and obligation and a moderate degree of delegation of decision-making authority. The European Union, in contrast, embodies a high degree of obligation and delegation and a moderate level of precision.¹³

From the outset, both institutional arrangements looked different in terms of ambition, precision, and detail. NAFTA built on the US-Canadian auto-pact of 1965. The selective nature of that trade agreement was then extended to other areas in the US-Canadian FTA of 1987. Gradually, and with US reluctance (but partially instigated by fears of a ‘fortress Europe’), the FTA was extended to include Mexico (Bueno 1988, Diebold 1988, Thacker 1999).

The agreement was clear in its intent: national governments would retain control over their own economic destiny. While NAFTA facilitated trade among the member states it did not even include a common external tariff, but instead relied on complex rules of origin. The contracting parties showed little ambition to move towards a common external tariff, let alone an economic community or union. Because it stipulated the consequences of the accord *ex ante*, the agreement had to extend over several thousand pages to settle a plethora of issues raised by key interest groups.

By contrast, the European member states signed on to the EEC with critical political issues—such as the Common Agricultural Policy (1962); the relation of national laws to EEC rules and regulations; the movement of people among the member states; the diversity of standards and other ‘hot button issues’—all to be settled by future negotiations and rulings. Moreover, the disposition towards greater delegation beyond national authorities differed markedly. The West Europeans had already started to go down that road with the European Coal and Steel Community and its High Commission.¹⁴ Similarly, the European Commission was seen as providing the political space for a new institution to forward a European agenda rather than narrow state interests, even if the contracting parties limited the Commission’s latitude by a Council of Ministers.

¹² See Cooley and Spruyt 2009 for a fuller discussion of this issue.

¹³ See Abbott 2000: 519.

¹⁴ The locus classicus is Haas 2004 [1958]. Also see Mikesell 1958; Gordon 1962.

I do not contend that contracting governments envisioned the future depth of European integration from the outset. As said, while the Commission was given the competence to initiate legislative proposals, the Council of Ministers could block proposals (Mahant 2004: 95). Direct election of a European Parliament did not occur until two decades later. National governments particularly did not anticipate the crucial role of the European Court of Justice (ECJ).¹⁵ And, certainly in its infancy, the Court trod carefully, realizing that legislation from the member states could nullify aims of the Court. Thus, the Court selectively expanded its activities. Eurosceptics in the 1950s thus wondered whether the Treaty of Rome would even last. 'A general crisis, arising for example from a major recession, might cause the Treaty almost to become a dead letter', remarked one observer (Hurtig 1958: 381).

Given that the contracting parties of 1957 could hardly foresee the difficulties and multiple issues that further integration would have to solve, the member states opted for little *ex ante* legislation.¹⁶ But besides uncertainty and complexity, national governments had strategic reasons to create an artificial 'democratic deficit'. The more detailed the agreement, the more likely it would be that the potential winners and, most importantly, the losers of integration would mobilize, as the subsequent history of referenda has shown. An agreement on broad principles, based on the will to tie Germany into Europe and rebuild devastated economies, was far easier to achieve.

But although European integration started from the outset as an incomplete contract, the ambitions of the European project were already clear. Unlike a FTA, the Europeans aimed to go well beyond the liberalization of trade that the General Agreement on Tariffs and Trade hoped to achieve. Beyond liberalizing trade between the member states, the EEC would seek an end to customs duties; a common external tariff; (and later) greater freedom of movement of persons, services, and capital.¹⁷

As said, incomplete contracts by their very nature require subsequent delineation of rights and obligations. Who will have the authority to make decisions in the future? Even more fundamental, which institution will have the authority to delineate the domains of authority of other institutions?

Given such concerns, weaker states will be reluctant to agree to an incomplete contract that will potentially make them more vulnerable to the decisions of powerful states. As a consequence, stronger states will have to tie their own hands credibly if there is to be any agreement at all. This commitment creates the space for the emergence of new sites of adjudicational authority. In order to be assured that future decisions will be equally binding on all members, and

¹⁵ Moravcsik 1998: 155.

¹⁶ For overviews of the early stages of European integration, see, for example, George 1985, and Harrop 1989, Archer 1990, Dinan 1999.

¹⁷ For an overview, see Archer 1990: chapter 5.

to be assured that the decisions will not be inherently biased in favour of particularistic benefits rather than the public goods associated with regional integration, a neutral third party will be desired.

A comparison with the American experience is instructive. The newly independent American states were hardly inclined to support a strong federal government. The Articles of Confederation that went into effect in 1781 provided for a very weak union. The federal government did not have the right to regulate commerce, levy taxes, or impose tariffs. The federal government even lacked a monopoly to conduct international relations. Several states negotiated independently with foreign actors. Control over the armed forces was similarly decentralized with nine of the thirteen states maintaining their own armies. The country also lacked a common currency and national bank. Distrust between the various states was rife.

The competing views of federalists and anti-federalists were only partially reconciled by the Constitution that emerged several years later. Indeed, while the Constitution provided for a broad institutional division of power, it represents an example of incomplete contracting. Where the final authority of government resided would continue to hinge on how one interpreted the 'implied powers' principle.

How then could a stronger federal authority emerge from such shallow foundations? Ironically, the weak commitments to a federal government at the outset made subsequent progress possible. Had the constituent assembly tried to settle the multiple complex issues at that juncture in history, the federation might not have held. However, given the brevity and the vagueness of the founding document, and given the multiple economic, military, and political challenges that the United States would face after independence, the stage was set for an inter-mediator, one not aligned to any particular federal or anti-federal view, nor perceived to be aligned with a given set of states. This inter-mediator would be the Supreme Court. In a remarkable feat of self-creation—by deciding landmark cases—the Court became the locus of adjudication, the actor with the competency to decide where decision-making authority resided among the various branches of government. Through such cases as *Marbury v. Madison*, the Supreme Court asserted its right to delineate the final boundaries of authority between the various branches of federal government. But even more importantly, by taking an expansive view of the supremacy clause, as in *Martin v. Hunter's Lessee*, the Supreme Court established the principle of federal supremacy.

A similar Münchaussian feat occurred with the development of the European Court of Justice (ECJ). Indeed, it asserted itself as the adjudicator to decide the key issue of where supremacy of law resided. In the *Van Gend and Loos* case (1963), the ECJ decided that the European Community legislation had direct effect. Thus the Court, not national governments, decided the applicability of EEC law. It determined that 'the Community constitutes a new

legal order of international law for the benefit of which the states have limited their sovereign rights'.¹⁸ It affirmed its views one year later in the *Costa v. Enel* case.¹⁹ Contrary to the Italian monist view that international law needed national transformation to take effect, the Court decided that EEC law was directly applicable and supreme (Alter 1998). The *Simmenthal* decision (1978) expanded on these decisions, holding that national courts were 'to set aside any provisions of national law which conflict with it [community law]' (Dinan 1999: 34).

Subsequently, the ECJ has gone on to pass judgment on thousands of cases over a wide-ranging set of issue areas. At this point the matter has been settled to the degree that one may well argue that 'governments do not control legal integration in any determinative sense and therefore cannot control European integration more broadly'.²⁰ Thus the question is: why were elites willing to go along with the expansion of juridical powers?

I submit that the explanation lies in the fact that incomplete contracts *require* procedural solutions. Without specific *ex ante* legislation, the political space for intermediary mechanisms needs to be found. Given the need to limit credibly the power of the larger states in the future, even the larger states, such as Germany, have consciously tied their own hands. Similarly, France, the main protagonist of the Luxembourg 'compromise' of 1965, has accepted the ECJ's monist position of EU law with the Conseil d'État changing its position.

This view thus contradicts an interpretation that the ECJ only operates as an extension of intergovernmental agreements as realists would assert.²¹ If the court were merely epiphenomenal to state interests, it could not perform the necessary function of impartial adjudication, nor would it create a credible commitment mechanism through which the stronger states could tie their own hands.²²

Just as the ECJ, the European Commission has capitalized on the need for new sites of adjudicatory capacity. It has thus issued a vast body of directives and regulations. Although the Commission can hardly act entirely independent from state objectives, it nevertheless has considerable latitude to act in legislative matters (Pollack 1997).

The EU member states have thus largely relied on *ex post* legislation combined with supranational adjudication and supranational legislation as solutions to the problem of how to foster deep regional integration despite high uncertainty regarding the future and notwithstanding considerable

¹⁸ *Van Gend and Loos v. Nederlandse Administratie Belastingen*, ECJ 26/62 1963.

¹⁹ *Costa v. Ente Nazionale per L'Energia Elettrica (Enel)*, 6/64 1964.

²⁰ Stone Sweet and Brunell 1998: 73. See also Burley and Mattli 1993, and Alter 1998, 2000.

²¹ Garrett 1995 and Garrett et al. 1998. For a realist interpretation of the EU that stresses the need for the great powers to tie their own hands, but nevertheless views the EU as intergovernmental, see Grieco 1995.

²² On credible commitment, see Cowhey 1993 and Martin 2000.

power asymmetries. Rights that traditionally were controlled by national governments in terms of adjudication and legislation have been unbundled, with some rights shifting to new sites of authority. The very nature of the original incomplete agreement necessitated this third-party involvement, which has shifted aspects of governance authority away from sovereign states.²³

MONETARY UNION AFTER THE CRISIS: ‘AN UNGOVERNABLE AND UNMANAGEABLE ANARCHY’ OR NEW MODALITIES OF GOVERNANCE?

I have argued then that the EU member states have had to relinquish some of their sovereign rights in the sphere of adjudication.²⁴ The laws and courts of the land are no longer the final locus of judiciary authority. But if national governments have surrendered part of their adjudicatory function, what is left of other domains of state authority, particularly in the spheres of economic policy (the developmental state functions) and regulatory policy? I contend that the objective of increasing economic integration by means of incomplete contracting has also resulted in the loss of sovereign prerogatives in those areas.

The recent fiscal crisis has brought the consequences of incomplete contracting in monetary union to the fore. Indeed, the monetary union was from the outset an example *par excellence* of incomplete contracting by design. Ever since the work of Robert Mundell on optimal currency areas it was well understood that labour mobility and wage flexibility were important variables influencing the success of a currency area. However, enforcing greater uniformity in labour costs and increasing labour mobility would directly impinge on unemployment and other welfare benefits across the EMU area. These issues went to the very heart of the diverse (re)distributionary policies throughout the member states. The broad variety of state–society compromises across the EMU members would be challenged if monetary union and fiscal union were combined.

Instead, political elites opted to stress the efficiency gains from monetary union, while leaving national governments in charge of the (re)distributive

²³ Given that the NAFTA agreement was far more detailed in nature *ex ante* there has been no real delegation to third parties, nor a great deal of arbitration. Ad hoc dispute settlement panels have sufficed. They have been infrequent in number and have covered a limited set of issues (Stevenson 2000).

²⁴ Lord Ashburton described the United States as an unmanageable and ungovernable anarchy in response to the massive defaults of states in the late 1830s. Seventy per cent of this debt was held by foreign creditors (Henning and Kessler 2012: 11).

policies. Writing at the time of the formation of the monetary union, Eric Jones thus commented:

EMU directly implicates at least three levels of society: the national elites who plan for monetary integration, the populations who support them, and the leaders of industry and labor who bargain over wages and (by extension) prices... In Europe today, the three levels are in contradiction to each other.²⁵

Consequently, the monetary pact obscured who would win and who would lose when fiscal convergence took place. Moreover, strong export-oriented sectors in countries such as Germany favoured greater discipline and a Eurozone. Monetary union would thus proceed with the fiscal policies remaining at the national level, and with the difficult process of economic restructuring yet to come.

The fiscal harmonization did not occur and the implications of monetary union by means of incomplete contracting have now opened up further space for new transnational networks to assume greater power than occurred in the initial design. The broad contours of the crisis are well known and were not altogether unforeseen (Lane 2012). Monetary union without fiscal integration essentially rolled the costs of risk-taking fiscal behaviour over on to the collective.²⁶ Unlike before, large national fiscal deficits would not translate into effects on a national exchange rate. Instead, under a shared monetary system and a joint exchange rate, the costs in terms of exchange rate fluctuation would be rolled over on to the member states as a group. Monetary union also diminished the previous risk premium for economies that were considered relatively weak. High interest rates, as, for example 14.5 per cent for Greece, were thus brought down to the low single digits (Fagan and Gaspar 2007). Capital became cheap.

This capital was particularly deployed in the housing market, with the prospects of a housing bubble becoming readily evident. Nevertheless, since government revenue went up with the economic boom, other warning signs were less obvious. Thus, during the economic boom, some countries that were later deemed to be the main culprits of 'irresponsible' fiscal deficits in fact had a lower government debt to GDP ratio than stalwarts as Germany.²⁷ But when

²⁵ Jones 1998: 60.

²⁶ The institutional structure of the EMU of course was not the sole causal factor behind the European crisis. The US real estate bubble, banking reforms, and cheap capital were additional factors behind the global crisis. The Chinese decision to keep their currency low to foster exports, and buy up US debt, was another cause. And finally decisions by EMU members to violate the SGP and falsify information and data contributed as well.

²⁷ Although Italy and Greece greatly exceeded the 60 per cent debt/GDP limit, countries such as Ireland and Spain had lower debt/GDP ratios than France or Germany (Lane 2012: 51). Even throughout the fiscal crisis from 2008–11, Spanish debt/GDP remained below the 60 per cent criterion and below the German debt/GDP. (Data from the World Bank. <<http://data.worldbank.org/indicator/GC.DOD.TOTL.GD.ZS>>.)

the housing bubble burst the private financial sector imploded (Fagan and Gaspar 2007). Simultaneously, with the decline in private financial flows, government revenues declined with deficits now far exceeding the much-discussed Reinhart–Rogoff criterion which posited that when deficits amounted to 90 per cent or more of GDP long-term adverse effects would ensue. Bailouts by the IMF, national governments, and EU support mechanisms thus became the order of the day.

In order for the fiscally troubled states to receive support, their governments had to commit to reducing the ratio of government debt to GDP. Thus, at the very moment that countercyclical Keynesian policies were called for, this tool was taken from these countries. That alone constituted a roll-back of state prerogatives, particularly for the bailout states. But the ongoing restructuring process, and the proposed institutional solutions, will affect sovereign rights of all member states.

One obvious solution would be to bring monetary union in line with fiscal union. This increased hierarchical control would diminish the mismatch between fiscal autonomy at the national level and monetary decision-making at the EU level. The moral hazard induced by Maastricht would thus be eliminated. Such central authority would impose rules on national public and private actors. It would also create a common pool to fund potential bailouts. And, if fully implemented, it would need to give EU-level institutions greater taxing authority to implement Keynesian countercyclical policies. In this sense, the roll-back of final adjudicatory authority at the national level—the final locus of determining rule enforcement—also directly implicates the state’s ability to set national economic policy and national regulatory standards.

Indeed, some analysts have suggested far-reaching transfers of state authority:

Increased fiscal integration would have to be accompanied by euro-area level competencies and powers over the supervision of national policy making. In case of national economic policy decisions with potentially significant negative impact on the rest of the euro area, the euro-area finance minister should be given a veto right over such decisions.²⁸

Such proposals for full fiscal union tend to lack political support. Germany, which would stand at the apex of this financial system, opposed this solution, as articulated by a member of the Executive Board of the Bundesbank:

Creating a fiscal union, however, would depend on the countries of the euro area transferring national sovereignty to the European level... There is no

²⁸ Marzinotto et al. 2011: 6. See also Goyal et.al. 2013.

willingness to do that at present—not in Germany or in any other country of the euro area.²⁹

However, even a more modest set of reforms would still significantly erode member states' autonomy. Short of outright hierarchy, one prevalent proposal suggests that Maastricht would not have been doomed to failure if it had been well implemented. Maastricht after all had included two key provisions that would have mitigated the dangers of national fiscal irresponsibility. First, by means of the Stability and Growth Pact (SGP), national governments pledged to limit government deficits to within 3 per cent of GDP. (That this rule was violated in 2003 by the major member states, Germany and France, was later omitted in the popular narrative.) Second, and revived with current emphasis, it included a no-bailout clause.

In addition, new banking regulations at the EU level would limit risk-taking behaviour by private banks (Lane 2012: 63–4). This Maastricht 2.0 proposal would thus allow for countercyclical economic policy decisions at the national level but limit moral hazard and spillover effects.

In certain respects this proposal would resemble the development of American fiscal federalism (Henning and Kessler 2012). Others have pointed out that the EU already disposes of federal policy instruments. Increased supranationality and federalization of currently diverse economic policies is for them a logical next step (Chopin 2013).

At face value a system of fiscal federalism for the EMU members would be less far-reaching than full fiscal union. Indeed, EU institutions could leave considerable areas of economic policy to national governments while leaving it up to those governments to engage in prudent regulation of their banking sector, even if combined with overall EMU rules. Given the disciplining effect of the capital markets, national self-interest would dictate such prudent behaviour.

A comparison with the US, however, reveals important differences. In the 1840s the US federal government faced a somewhat similar problem as the EMU today. While the federal government provided a uniform monetary regime, the individual states could engage in autonomous fiscal policies. Due to territorial and economic expansion in the first part of the nineteenth century, individual states had accumulated substantial debts. With the crisis of 1837 and subsequent recession, these states proved unable or unwilling to repay their debts, most of which were held by British and, to a lesser extent, Dutch investors (English 1996: 261, Henning and Kessler 2012: 11). Both the individual states and foreign governments and investors pressured the federal government to assume the states' debt.

²⁹ Andreas Dombret, 'The Yin and Yang of Resolving the European Sovereign Debt Crisis'. Speech at the Peterson Institute. Washington, DC, 17 October 2013.

The federal government, however, declined, and thus established a no-bailout norm. Indeed, since 1840 the federal government has declined all requests for bailouts. In addition, the individual states declined to bailout counties and municipalities that were similarly distressed.

Due to the no-bailout norm, the federal government evaded the moral hazard problem that emerged from having fiscal authority at the state level, combined with monetary union and exchange rate policy at the federal level. At the same time, due to the disciplining effect of international capital markets, American states moved to create rules imposing greater fiscal discipline. States that had repudiated debts soon reversed themselves to reacquire a positive reputation in debt markets (English 1996). Forty-four American states today thus include state constitutional provisions to maintain a balanced budget (Henning and Kessler 2012: 17). The resulting fiscal regime was thus built from the bottom up rather than by fiscal dictates of the federal government.

US fiscal federalism worked under specific conditions. First, the no-bailout clause emerged in the course of trial and error and considerable political debate. Prior to the economic crisis of the 1830s, the federal government had routinely bailed out states. Its decision not to assume state debt after 1840 constituted a dramatic reversal. Second, the emergence of fiscal discipline depended on a well-established capital market that punished states that had unsound financial management by requiring those states to pay a risk premium. Bad reputation in capital markets came at a cost. Third, and due to the first two conditions, state governments opted to strive for balanced state budgets. Countercyclical economic policy would thus reside at the federal level. Fourth, considerable state functions were gradually absorbed by federal authorities (thus allowing states to manage balancing their budgets). Fifth, the federal government had substantial taxing authority of its own.

Comparing the Maastricht 2.0 scenario with US fiscal federalism casts doubt on whether these conditions hold in the EMU. In the Anglo-Saxon model of equity financing, private equity markets could relatively easily discipline the fiscally irresponsible states in the US. But, despite greater internationalization of financial flows and trade, the distinction between the Anglo-Saxon and Rhenish model (as well as other varieties of capitalism) still remains relevant (Albert and Gonenc 1996, Kestler 1996, Pauly and Reich 1997, Borsch 2007). With greater crossholding of capital and with a higher degree of market coordination, it is not immediately obvious whether European capital markets could play a similar disciplining role as they did in the United States in the middle of the nineteenth century.

The analogy to the United States also breaks down when comparing the capacity of the federal government to engage in countercyclical policy to that

at the EU level. While the member states are called on to exercise more austerity, there is no simultaneous shift of fiscal capacity to the EU level. In the United States, by contrast, as the individual states aimed for balanced budgets, the degree of public expenditures at the federal level (and its commensurate taxing authority) grew substantially. In 1932, local governments accounted for 50 per cent of total public expenditure, states for 20 per cent, and the federal government for 30 per cent. Eight years later, the federal share had grown to 46 per cent, with states spending 24 per cent, while the local government share had declined to 30 per cent. In short, local authorities that defaulted—3,200 of them—were not bailed out, but the federal government stepped in with new functions (Henning and Kessler 2012: 14).

The new proposed financial arrangements will likely challenge the diverse national economic policies in the EMU members in novel ways, regardless of whether a more centralized or decentralized fiscal union emerges. At a minimum, the ability to engage in nationally focused countercyclical policy will diminish. Some proposals aim to give teeth to the SGP by increasing surveillance of member state budgets. In other designs the European Commission would gain the authority to issue warnings to member states (Marzinotto et al. 2011).

All this will likely erode the compact between state and society. Competitive dynamics and demographic shifts have already led to a reduction of the welfare state in some respects, but these were largely decisions made by the member states themselves. The new fiscal arrangements, however, aim to shift more authority beyond the individual capitals to new institutional sites of authority by setting EU-level standards regarding appropriate state expenditures, which will inevitably have repercussions on many welfare state provisions. Once again efficiency considerations dictate the terms of restructuring.³⁰

Not only do the countries have to put their government finances in order, they have to reform their national economies so that they become competitive again... The labour markets have to be made more flexible.³¹

The ability of member states to set national regulatory standards will also be rolled further back. In this sphere, the shift in adjudicatory authority to the EU level has already diminished national variation. The ECJ in *Cassis de Dijon* (1979) limited the ability to use national standards to impede trade unless a clear general public interest existed, thus applying a mutual recognition standard. Arguably, the *Cassis de Dijon* ruling has granted even more authority to

³⁰ For a critique of how the fiscal reforms have benefitted transnational financial capital, but not the average taxpayers, see Underhill 2010.

³¹ Andreas Dombret, 'The European Sovereign Debt Crisis: Past, Present, and Future'. Speech at the Fletcher School, Berlin, 26 August 2013.

EU-level institutions than the standard-setting authority that the Supreme Court has granted to the US federal government:

The mutual recognition approach may require a higher degree of comity among member states than the commerce clause of the U.S. Constitution requires among individual states. The commerce clause has been interpreted by the U.S. Supreme Court to allow each state to insist on its own product quality standards.

(Hufbauer 1990: 11 n.19)

The 98/34/EC Directive, the ‘transparency directive’, has extended the EU trend to mutual recognition of standards by imposing on the member states an obligation to notify the Commission and each other of all draft technical regulations concerning products. Furthermore, groups such as the European Committee for Standardization have started to cover myriad areas of standards setting in response to this directive.³²

Regarding economic policy, even the limited fiscal reform proposals will affect national competencies in the areas of accounting standards and banking regulations. The proposed banking union would create joint banking supervision through the Single Supervisory Mechanism. In addition, banks would be allowed to fail to diminish the dangers of moral hazard but the single resolution and restructuring mechanism would limit the fallout for government budgets.

CONCLUSION

We started with the query of why the EU process has continued to move along despite the recent fiscal crisis. Far more attention has been given to the question of how to make the EMU ‘work’ after the fiscal crisis than there has been talk of separation by the EMU members. The focus has been on how to improve the system rather than on examining the legitimacy of the system in the first place. In the wake of the fiscal crisis, sovereign state rights have diminished further—most specifically in the bailout countries—but impending new institutional designs, even the more modest reform proposals, will place new constraints on all participants. And yet, the national revolt, the reassertion of national sovereign rights in the face of these pressures, has been tepid. Why has not there been a stronger pressure to roll back the EU integrative process?

No doubt this lack of a roll-back can be partially explained by a ratchet effect and transaction costs. The economic and social costs of a retreat from the EMU would be very substantial. The French former minister of economy and finance, Jean Arthuis, thus opined that ‘quitting the euro and returning to

³² <<https://www.cen.eu/cen/AboutUs/Pages/default.aspx>>.

the franc, followed by devaluation, would cost the French economy up to one fifth of its national wealth'.³³

The lack of roll-back, I argue, can also be partially explained by the inherent dynamic of incomplete contracting. Political elites, supported by pro-integration interest groups, have often left accords relatively unspecified at critical junctures in the development of the EU due to environmental uncertainty as well as strategic political calculation. By holding complicated issues over for future deliberation and by isolating decision-making from public oversight, political elites were able to move the integrative process forward.

However, incomplete contracting was only possible with credible commitments by the member states to transfer decision making to alternative, new sites of authority that were not directly beholden to any specific member state or states. This required an institutional solution to the problem of which authority should be entrusted with the right to adjudicate possible disagreements. By delegating this authority to EU institutions with sovereign rights, the member states avoided being stuck in a low-level equilibrium trap. These institutional designs at creation provided the framework for future action and had path-dependent effects.

The cumulative result of this process has been a gradual deterritorialization of authority. The spatially configured monopoly of decision-making authority of national sovereign governments has been unbundled and parcelized among functional issues areas. Some of these spheres of authority have remained primarily at the national level—as for example the decision to deploy armed forces beyond one's borders—while other areas have transferred to the third-party sites of sovereignty, the EU institutions. Attempts to reverse this transfer of sovereign rights would challenge this entire structure of unbundled, deterritorialized sovereign rights.

Developments in the EU are unique in at least two respects. First, there have been no regional organizations that have gone the same route as the European countries. While there have been some instances of delegation to third-party adjudicatory institutions (the Andean pact might be one), they have hardly been of the same scope as the European institutions. Complete contracting has been the norm, incomplete contracting the exception.

Second, multi-level and issue-specific transnational networks, both in terms of institutions and technocratic elites, are increasingly taking over domains of authority previously occupied by national governments. Whereas sovereigns in the past exercised final adjudicatory authority, and acted autonomously in the areas of economic policy and regulation, their functions now are increasingly performed by transnational networks of specialists beyond the purview of the member states' citizens and affected social groups. The EMU and the

³³ Jean Arthuis, 'Future of the Euro Zone: Proposals for Integration'. Foundation Robert Schuman, *European Issues* 232: 2, 12 March 2012.

current fiscal reforms are but the latest examples of this broader trend. Giandomenico Majone phrased a similar insight eloquently:

Monetary integration, and its economic and noneconomic consequences, have been made possible by a far reaching depoliticization of transnational economic relations. . . . Hence, they reintroduced at the supranational level the liberal principle of the separation of politics and economics—and its corollary, the separation of efficiency and redistributive issues—that the interventionist welfare state had rejected at the national level.³⁴

Despite the lamentation of a ‘democratic deficit’ there is little reason to expect that this problem will be addressed in the current framework of EU integration. Indeed, the discussions regarding banking reform, the need for economic convergence, and the redesigning of national institutions, only accentuate the fact that those issues were deliberately obscured in the founding of the EMU and arguably the EU itself. Incomplete contracting has facilitated the integration of Europe, and has done so by a self-reinforcing mechanism empowering new sites of authority, but this integration has come at a price.

The recent trends in global capitalism and the recent economic crisis have left no country or region untouched. But reactions to this crisis have varied widely (see, for example, Chapter 10 in this volume). In the EU, and particularly those states in the EMU, the fiscal reforms starkly reveal a scaling up of authority to EU-level institutions, while simultaneously scaling down to, or at least deferring to, the private transnational financial network and its (alleged) technocratic expertise—thus further eroding the state–society compact of the post-1945 era.

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³⁴ Majone 1998: 121.

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The Territorial State

Michael Keating

THE TERRITORIAL STATE

Territory has come and gone as an organizing concept in the social sciences. At one extreme is a territorial determinism, which derives social order from geographical space. At the other is recurrent modernization narrative that sees space as a characteristic of traditional societies, and continually announces the end of territory. New understandings of territory enable us to escape from this dualism and reintegrate territory as an organizing principle. In this view, territory is socially constructed and reconstructed according to time and place. It is initially defined topographically but then 'filled in' and given meaning sociologically. Territories rarely have fixed, impermeable boundaries but are often loosely bounded and take different shapes for different purposes. Finally, territory is contested, as drawing boundaries will always include some people and exclude others and will affect the balance of power and advantage. In a world in which the right and ability of the nation-state to define territory has diminished, competition over the definition of economic, social, and political space has intensified.

The European state is essentially a territorial space, which contains multiple economic, social, and political systems on which it seeks to impose a single set of boundaries. Many states can be traced back to mediaeval times, but it was during the nineteenth century that states extended their functional and territorial reach to become the predominant influence in shaping economic and social relations. State boundaries were consolidated as it became necessary to specify them on maps and on the ground (Sahlins 1989). To the despotic power of the regalian state was added what Mann (1993) calls infrastructural power, a capacity to shape social and economic life so that social relations were 'caged' within national boundaries as the two evolved symbiotically and often in tension. The nation came to underpin political legitimacy, firstly under monarchical regimes and then through the people or *demos*. States imposed standard

languages and cultural norms and fostered shared identities. Both capitalism and the working class grew in symbiosis with the expanding states (Sassen 2008), which thus framed and enclosed class relations. During the twentieth century, the welfare state built on the nation while in turn building the nation.

Stein Rokkan (1980, 1999) represented this as a form of boundary-building in successive waves but never entirely complete, so that territorial cleavages remained within the modern state and economic systems, religion, language, and identity did not necessarily coincide. During the 1970s and 1980s, scholars showed how territorial distinctiveness was not merely the legacy of the past but was reproduced in industrial societies (Tarrow et al. 1978). Territorial management was recognized as a crucial task of the modern state, achieved through institutions, public policies, and party systems (Rokkan and Urwin 1982, 1983, Keating 1988).

The apogee of the integrated nation-state was the mid-twentieth-century 'Keynesian welfare state', bringing within the same boundaries responsibility for macroeconomic management and social welfare, and facilitating social compromises. States reproduced national identity through education, the media, and welfare provision, and this in turn legitimated the state on a democratic basis. Yet the need for territorial management remained. States grappled with the territorial administration of their responsibilities, with waves of local government reform intended to modernize delivery mechanisms and renew local elites. States sought to integrate their territory economically through regional policies and spatial planning mechanisms. Such 'spatial Keynesianism' was a positive-sum game, which could help declining regions by providing investment; prosperous regions by relieving congestion; and the national economy by mobilizing otherwise idle resources. Regional policy also had a welfare element, assuring national levels of prosperity throughout the territory and so combatting potential secessionisms.

By the end of the twentieth century, these territorial compromises came under strain. There was much talk of 'globalization', the erosion of the nation-state in the face of worldwide economic and cultural integration, and of the 'end of territory' in the face of universal order. Combined with contemporary arguments about the 'end of history' (Fukuyama 1992) this appeared to demolish two dimensions of the social world and keys to its understanding—space and time. In fact, what has been happening is not so much deterritorialization as reterritorialization or the rescaling of state activities to multiple levels (Keating 2013).

FUNCTIONAL RESCALING

States have found increasing difficulty with macroeconomic management in the face of global free trade, financial markets, and transnational corporations.

At the same time, there is an increasing recognition of local and regional factors in explaining development and relative wealth and poverty. The New Economic Geography (Krugman 2011) challenges aspatial models of development by factoring in distance. Beyond that, there is a rediscovery of the importance of local linkages in production (Storper 1997, Scott 1998), an idea that harks back to Marshall (1920). Regions and localities are recognized not merely as locations of production but as local production systems (Crouch et al. 2001). Some theories are strictly economic, focusing on interdependence and clustering of firms and suppliers, but others are more institutional, seeing spatial proximity as the basis for exchanging ideas and for innovation. Others again are more deeply sociological, seeking explanations in the structure of local societies or even in cultural norms and practices.

Spatial Keynesianism has faltered in the face of difficulties in diverting private capital and limitations on state fiscal capacity. The consensus on diversionary regional policy has collapsed as even wealthy regions seek investment and know that moneys transferred to their poorer compatriots will not necessarily come back in the form of orders for the products. It has been suggested that comparative advantage, in which all states, regions, and localities have an optimal niche in the division of labour, has given way to absolute, or competitive, advantage (Scott 1998). While this may be debateable as a proposition in economic theory (Lovering 1999), cities and regions have been discursively constructed as competitors and that policy rhetoric has shifted decisively towards competition. This allows states to disengage from diversionary regional policies, managed at state level, towards decentralized strategies focused on territories themselves. It also encourages local and regional politicians to use the development theme as a way of mobilizing support. Neoliberals welcome the resulting competitive regionalism as a way of disciplining governments to cut social overheads and taxes and to deregulate (Ohmae 1995, Alesina and Spolaore 2003). Social democrats worry about a 'race to the bottom', which could undermine the welfare settlement.

During the twentieth century the welfare state was largely national for three linked reasons. First, the nation was seen as the best unit for affective solidarity, based on shared identity. Second, the state was the largest available unit, most effectively able to mobilize resources and insure against asymmetric shocks. Third, regulating markets and welfare at the same level facilitated the social compromise between capital and labour that underpinned the welfare bargain. Now the principle of national solidarity is challenged by competitive regionalism and by the rise of other levels of affective solidarity, undermining the first argument. The largest political unit is no longer the state but the European Union, undermining the second argument. The third argument is modified by changes in the field of welfare itself, away from passive income support towards active labour market policies. These in turn have concentrated on local and regional levels, where labour markets operate. Rediscoveries and

reconceptualizations of poverty also have a strong territorial dimension, as there are multiple dimensions, which may be interconnected in particular places. So we have had deprivation, multiple-deprivation, and social exclusion, which share the idea that the locality is a spatial level at which multiple, interlinked problems can be addressed most effectively. This is not to say that social deprivation is essentially spatial since its local manifestations may be the result of wider processes of labour market restructuring, but the local level is the one at which many of the policy instruments operate.

Culture and language, far from deterritorializing in an age of instant long-distance communication, have, in many ways, reterritorialized. Maintaining a language requires spatial proximity for casual interaction, and the institutions for its reproduction, such as schools and public administration, are territorially based. So the language boundary in Belgium has been reinforced, French in Canada is increasingly dominant in Quebec and retreating elsewhere, and Catalan and Basque are strongly bound to their home regions.

EUROPEAN SPATIAL FRAMES

The European market single creates a space and opportunity for rescaling, and the European Union itself has been an actor in redefining space and reshaping territorial systems. State borders have not been suppressed, but their functional significance is transformed. They no longer obstruct movement of goods, services, capital, and workers. Within the Eurozone, they do not delimit currency areas, while in the Schengen area they have disappeared as a physical barrier. This has facilitated the emergence of new functional spaces and encouraged competitive regionalism within European space.

The EU has also sought to redefine space through policy. The original rationale for European-level regional policy was similar to that of post-war national policies. Market imperfections prevent the free flow of factors of production, so intervention is needed to integrate lagging territories into the single market. There was a need for compensation to regions that lost out in inter-regional competition. Politically, poorer states and regions needed evidence that the European project was benefitting them. To bring the policy into being, however, required a bargain among member states, and this was supplied through successive enlargements until by the 2000s; structural policy had become the second largest item in the community budget.

Through its policies, the Commission has diffused the new regionalist paradigm of economic development, including the idea of regional competition, and has imposed a certain spatial grid through its statistical regions (NUTS). A more ambitious scheme for defining European space was the European Spatial Development Perspective adopted in the early 1990s, as a

basis for planning on a continental scale (Herrschel and Newman 2002). In the 2000s, the EU sought to move beyond the old idea of regional policy towards a broader concept of 'territorial cohesion' (Faludi 2006). Territorial cohesion was included as a third dimension of cohesion in the Lisbon Treaty, and in 2007 the Leipzig declaration of regional development ministers promised a new territorial perspective from the Commission. The Commission has more recently adopted a strategy for macro-regions: large areas such as the Danube region, the Baltic, or the North Sea.

Officially, policy is still linked to completion of the internal market, with repeated assurances that cohesion assistance is not compensatory social policy but part of the successive Lisbon and Europe 2020 agendas for competitiveness. Yet there have been political spillovers. Structural policy serves as a gesture to the idea of 'social Europe', in the absence of explicit social programmes to compensate losers from the single market. It is played up by regional politicians, in order to demonstrate their lesser dependence on the state, and the drawing of regional boundaries follows political as well as purely technical criteria. Structural policy is under continuous pressure from the Commission's directorate-general for competition policy, suspicious of spatial arguments and interventionism, and from the Court of Justice. The Commission, member states, and regions contest the definition of regions, and control and content of policy. So what is presented as a matter of functional logic is rapidly penetrated by political and economic interests.

POLITICAL RESCALING

Competitive regionalism encourages politicians to emphasize shared territorial interests, to broaden their support base when traditional political cleavages are weakening. In the past, territorial discontent was often framed as a 'revolt of the poor', the losers from modernization and change. Nowadays a revolt of the rich is more likely as politicians in wealthy regions jib at territorial redistribution, whether through regional policy, fiscal equalization, or the territorial distribution of welfare costs and benefits. This has become a vocal complaint in southern and western Germany, Flanders, Catalonia, and northern Italy.

There has been a revival of minority nationalisms, challenging the territorial configuration of the state. Some of these are irredentist, identifying with the majority in a neighbouring state. This is common in Eastern and Central Europe, where the aligning of state and identity has always been problematic. Others seek nation states of their own. Many national movements in contemporary Europe, however, are ambivalent about statehood itself and seek new forms of nation-building within the supranational European architecture (Keating 2001). The nation remains the locus of sovereignty but this is shared with other levels, while

functional capacity is dispersed across tiers of government. During the 1990s and early 2000s, there were movements for a 'Europe of the Regions', seeking to link the sub-state and supranational levels and construct a space of action for the former. As the movement faded in the face of the indifference of the member states, minority nationalist movements have often moved back towards traditional forms of statehood and sovereignty but then, when called on to define their ambitions, have reverted to post-sovereigntist formulas. So the traditionally moderate Catalan nationalists of *Convergència i Unió* have now demanded their 'own state', which may or may not be 'independent'. Flemish nationalism has moved beyond federalist and confederal rhetoric but still falls short of traditional statehood. Scottish nationalists promote independence, but wish to retain much of the infrastructure of the UK state, including the pound sterling. Traditional conceptions of territory get in the way of understanding these developments, implying, as they do, that territory must be fixed and defined. Modern understandings of territory, which see it as socially constructed, with looser and more penetrable boundaries, not all coinciding, are more helpful here.

The selective resurgence of minority nationalism is not caused by functional rescaling, but rescaling provides the context and the opportunity. New political spaces are being constructed, often using historical materials but in essentially modern conditions. Regional and national political movements span the entire ideological spectrum. What they do have in common is the effort to redefine the political community at a different level. Such redefinitions are rarely consensual since the redrawing of boundaries includes some people and excludes others, and the design of territorial institutions affects the balance of political power. Rescaling is therefore a highly political and contested process.

THE URBAN CONDITION

From the 1970s, cities became objects of new, place-based public policies founded on a specifically urban social and economic dynamic. There is no consensus on the nature of urbanity as a factor or process, and successive frames have been applied at various times and places. Analyses of deprivation and social exclusion have identified an urban dynamic in the reproduction of poverty. Social mobility, a traditional function of the city, seemed not to be working for sections of the population who were trapped into a cycle of despair. Social services appeared ineffective in eliminating, as opposed to managing, poverty. Urban regeneration schemes, by displacing populations, may have broken the fragile connections among neighbourhood, jobs, and social integration. Sectoral policies, in planning, housing, education, and employment, were poorly integrated or not even working. More recently, cities have been identified as engines of growth.

The external framework for cities has changed as they are drawn into transnational networks beyond national borders, and urban leaders have emphasized cities' roles in competitive development. Yet this is selective, drawing some sectors into international chains while others remain territorially rooted. So urban space is both being opened up and disaggregated.

Sectoral policy issues are refracted at the urban level in a distinct way, but there is no single narrative of the city as a social system or object of policy. There are dynamic, growing cities but urban poverty persists even within the same places (Savitch and Kantor 2002). Promotion of economic growth allows civic elites to postulate a common city interest in development, yet growth increases inequalities (Keating 1988). It is precisely the combination of these diverse trends that characterize the urban condition. New social movements have emerged at the city and neighbourhood level, focused on these emerging issues and cleavages and arguments about the use of space. Environmental movements challenge the market valuation of space in the name of other values or a broader interest. Movements of the unemployed or homeless postulate new meanings of social inclusion and entitlement. These new tensions have undermined older forms of political representation and created new social alliances and cleavages.

There have been competing attempts to reframe the urban condition and to fix it, at different scales. The 'global city region' concept presents cities as detached from their national contexts and embedded in global chains of trade, migration, and communication (Sassen 2000, Scott 2001). City-regions have also featured in national policies and structural reforms, with a return to the idea of the metropolis. Le Galès (2002) has drawn attention to the importance in Europe of medium-sized towns. Policy at whatever level pays obeisance to social, economic, and environmental dimensions at the same time, talking of sustainable development as the ideal—but the field remains contested. Local political entrepreneurs have sought to master change by postulating themselves as the guardians of a unified city interest, which can assure internal cohesion while projecting the city internationally. Urban leaders compete with those at the wider regional level in defining and mastering functional change. States and the EU seek to simplify and fix the new spatial scales with a view to regulating them, but spatial dynamics are constantly defying such logics (Dematteis 2000).

STATE RESPONSE

Rescaling poses a challenge to old modes of territorial administration, provoking states to seek new scales of intervention in order to capture matters that have escaped their purview. The European project seeks to regulate markets, provide security, and later manage common environmental problems at a more appropriate scale. At the sub-state level, states have put in place new

mechanisms, including deconcentrated arms of central government, agencies, intergovernmental mechanisms, and regional government. Metropolitan government was in fashion in the 1960s, went out of fashion in the 1980s, and came back again in the 2000s. The justification for new levels of intervention has often been a technical one, calling for depoliticized management. In fact, there is no 'optimal' scale for the provision of any service or regulatory activity, since this is a normative question and the scale depends on what one is trying to achieve. Competitive regionalism is promoted by some on the market liberal side of the political spectrum as a means of disciplining government. Social democrats have often favoured centralization for opposite reasons, although more recently some of them have re-embraced localism.

So rescaling is intensively political as the definition of scale and the drawing of boundaries advantage some interests and disadvantage others. The institutional structure of regions also shapes power relationships and affects the political agenda. As government seeks more authoritative structures for policy delivery and excluded interests seek entry into the new political arenas, there is some convergence of interests on elected government as the best institutional fix. We see this process in Europe, as problems of coordination, especially in the Eurozone, point to stronger institutions. The design of European institutions, such as the removal of monetary policy from democratic control and the extension of this into fiscal policy and spending, has provoked a range of oppositions, to bring powers back to the national level or to democratize the European level. The way that competition policy has been designed and implemented, and the way it has trumped social considerations, provokes a similar reaction. At the sub-state level, competitive regionalism has often privileged business interests, while excluded social interests have sought ways of entering the arena.

There has been a debate on the movement from 'government' to 'governance' (Bellamy and Palumbo 2010), which suggests a less hierarchical and more networked mode of policymaking. The term governance seems to be used particularly in relation to Europe and to regions. Yet in practice we may be seeing the opposite: a move from European and regional governance towards government in the sense of accountable bodies with their own resources, powers, and competences.¹

BUILDING TERRITORIES

Functional rescaling creates the context for the formation of territorialized systems of action, but it does not 'cause' them nor determine their shape. States have reorganized territorial government but this does not necessarily

¹ This recalls Goetz's (2008) argument about governance being a path to government.

shape politics or society. Territories are built by social and political actors and vary from one place to another as the territorial cleavage is politicized in different ways. Some (such as Scotland, Catalonia, and Flanders) are discursively constructed as nations, presenting rival claims to sovereignty and identity (Keating 2001). Others are presented as regions, located within rather than against the nation-state, as in Germany. In other cases, the city is at the centre of the project—and sometimes the regional and urban projects compete for predominance. While claims are often rooted in history and contested historiographies, representations of territorial characteristics have generally shifted from *passéiste* and traditionalist theme towards modernity, economic dynamism, and competitiveness. In some cases (for example the Lega Nord), the city or region is presented as an exclusive space, with migrants and other 'outsiders' excluded. Others (such as the Scottish National Party) use inclusion to maximize their appeal and legitimate their project. Some movements in contested territories have distanced themselves from neighbouring ethnic nationalisms by constructing a multiethnic or multicultural identity. This has happened in the Balkans (Stjepanovic 2012), in Friuli-Venezia-Giulia (Rost and Stölting 2007), and in Silesia, where local identity avoids the choice between German and Polish (Zaricki and Tucholskan 2007).

Parties are often the agents of change. Autonomist parties have strengthened in the United Kingdom, Spain, Belgium, and Italy, while the German Linke provides a party of territorial defence. State-wide parties in these countries have come under stress, as they need to present differentiated appeals in different parts of the state—except in Belgium, where they have disappeared. As the regional level becomes a political arena in its own right, differences in party competition and in voting between state-wide and territorial elections have widened. The trend to direct election of mayors and presidents of regions has permitted the formation of different electoral coalitions and encouraged these leaders to make territorially based appeals which can extend their electoral base.

The standard view is that the process of state-building and boundary-drawing shapes the articulation and representation of social and economic interests, turning them inwards and at the same time extending them across the state territory where they take a sectoral or class form. Function thus extinguishes territory, and it is at the national level that social and economic compromises are forged. This contrast of function and territory is misleading. Any social or economic interest group has a functional scope and a territorial reach, even when this is state-wide. Territory itself may also become the basis for common interests, just as class or sector might be. There has long been an interplay between function and territory, as class and sectoral interests are refracted at different levels; rescaling has enhanced the territorial dimension, but without eliminating functional ones. Social alliances and conflicts may take on a new shape at different levels while territories emerge as spaces for the mediation of interests.

The effects of functional rescaling and governmental restructuring may be complementary or conflicting. Pastori (1980), Trigilia (1991), and Le Galès (1997) have argued that we may have 'regions without regionalism' or a 'paradox of the regions', in that regional governments have been established but politics and interest articulation still operate within the nation-state framework. My work suggests that this is changing, albeit selectively, as sectoral interests adapt to new spatial logics (Keating 2013, Keating and Wilson 2014).

Business and labour are both being cross-pressured by rescaling. Business has bought into the 'new regionalist' ideas about economic development, which recognize the importance of territory, but does not want to be captured by territorial institutions or competing interests. So it seeks to institutionalize regions and cities through corporatist mechanisms in which it has a privileged place, and to define the territorial agenda narrowly as economic development. Small businesses are more territorial in orientation because they depend on the public goods produced by territorial governments and are closer to demotic territorial identities. Business in strong regions likes competitive regionalism, with a restriction on inter-regional transfers, but fears the division of national markets and big business is suspicious of local protectionism. Multilevel government allows mobile business to venue-shop among levels for favourable treatment, but large firms tend to prefer regulation over the widest level and are not particularly interested in regulatory arbitrage.

Trades unions are similarly cross-pressured. Many struggles, particularly over plant closures, take on a territorial form but unions do not favour competitive regionalism, fearing the race to the bottom. They have welcomed new territorial institutions as a way of regaining influence lost due to the decline of corporatist mechanisms at state level and collective bargaining in the work place, but insist on maintaining state-wide standards on labour regulation and social protection. Where there are identity-based political movements, unions, as mass-membership organizations, are directly affected and must take the territorial dimension into account.

As regions and cities become institutionalized as spaces for policymaking, new social alliances and compromises emerge. Productivist alliances of businesses and unions can be found, with environmental movements on the other side. Formerly cohesive territorial lobbies can be fractured by the arrival of regional government, which forces groups to compete for the same resource base and over policies and priorities. Regional governments foster regional interest groups as interlocutors and to legitimize the region-building project by incorporating social and economic interests. So they have established mechanisms for social partnership and compromise, including social and economic councils, quasi-corporatist mechanisms paralleling those at state level, and consultative procedures. All of this has served to 'fill in' local and regional spaces and foster 'regions with regionalism'.

TERRITORY AND PUBLIC POLICY

Regions and cities have been spaces *for* public policy since the post-war years, as states adopted a territorial dimension to modernization, planning, and welfare. Increasingly, they have become sites *of* policymaking. Regional and urban governments have gained policy capacity, but this remains uneven (Pasquier 2004) and they remain embedded in multilevel systems. The rescaling of interest groups has generated territorial policy communities: constellations of groups with a presence at the territorial level, appreciating policy choices through a territorial perspective and engaging in policy dialogue, contestation, and compromise (Keating and Wilson 2014). This has produced policy differentiation over a number of spheres. Economic development strategies have usually followed the 'new regionalist' logic, stressing local factors, human capital, and insertion into the European and global economies, but with varying stresses on social and environmental implications. Regional and urban welfare systems have emerged, not as substitutes for national welfare states, but as local adaptations or supplements (Ferrera 2005). Each has chosen its favoured beneficiaries, be these old people, young people, or families. The most marked differences have been in the organization of public services, 'New Public Management' as opposed to traditional modes of delivery, and universalist versus selective principles of eligibility. Region-building may be an objective in itself, pursued through sectoral policies in order to construct a political community or underpin its economic viability. So minority nationalist movements have latched on to the new regionalism to give substance to their self-government aspirations.

Traditional theories of decentralization and public goods argue that redistributive policies are best handled at the state level, while allocative matters can be handed down. This distinction has become more difficult, since most public policies have a redistributive element. Economic development is promoted as something that benefits everyone locally, but there are always winners and losers. New Public Management is promoted on grounds of allocative efficiency but it does have redistributive effects, as does the choice of universal or selective services. So sub-state territories have become the location of substantive choices in policymaking and of significant policy divergence (Keating 2013).

A NEW SPATIAL ORDER?

There is a functionally determinist literature, which argues that systems of regulation and institutions scale themselves to the 'optimal' level according to

the prevailing conditions of production and the needs of the task in question (Alesina and Spolaore 2003). Scale is a political issue, depending on the aims of policy that anyone is trying to achieve as well as understandings of political community. Neoliberals seek to promote competition and to insulate economic regulation from distributional politics. The creation of regional development agencies would be one example; the European Central Bank, doubly removed from national politics by its supranational scale and its operational independence, would be another. Others seek multipurpose and politicized government, to strike a new balance between the economic and the social or to forge new social compromises. Views about the boundaries of the political community differ, linked to identity as well as interests and likely majorities. Territorial identities are stronger or weaker and more or less politicized.

Rescaling does not, therefore, produce a new territorial grid, replicating the old state-based one but at a different territorial level. Rather, there are multiple spaces, from the global to the neighbourhood, that are more or less integrated and consolidated. Functional rescaling and the crisis of territorial management create a new context, but the outcome depends on territorial identities, political competition, strategies of territorial actors, and the effects of institutions in creating and reproducing territorial spaces. Where these all point in the same direction (as in Scotland, Catalonia, or Flanders), we have a strong territorial logic, rivalling that of the nation-state. In other parts of Europe, space is unorganized and weakly institutionalized below the level of the state. In between, there is a variety of experiences.

As regional governments have consolidated, inter-regional competition intensifies since institutionalization serves to define issues territorially. Transfers that were implicit in national programmes become intergovernmental and transparent. The resulting redistributive issues are intractable in the absence of agreed principles of territorial justice. There is fiscal equalization in multilevel systems in Europe but it is always contested and difficult to operationalize. The aim is that all areas should be able to provide the same services, taking into account resources and needs; but the point of regional government is to do things differently. Reform involves visible winners and losers. So states have failed in grand schemes of fiscal reform and have proceeded incrementally and sequentially. Central governments have absorbed many of the costs of decentralization although there is a sleight of hand here since, if central government pays for equalization, it is taxpayers in wealthy regions who foot the bill.

There is no resolution to the territorial question since it hinges on contested matters of identity, political advantage, and, increasingly, distributive politics. There are centrifugal tendencies but also centripetal ones, as politicians use territory to play into national politics and state-level institutions. There is no alternative territorial grid to replace the state; even secessionist movements have realized the impossibility of recreating the old state at a new level.

The economic crisis after 2008 has had contradictory effects. Some regional leaders, unable to afford the cost of services, have sought to transfer tasks back to the state. States try to hand down to the local and regional level the fiscal discipline that Europe has imposed on themselves and try to rationalize territorial government, suppressing levels. Yet, even as the state seeks to reassert control, it continues to lose effective capacity. At the same time, leaders of stronger regions have pressed for more autonomy and fiscal decentralization and less equalization. So the effects have been highly asymmetrical, as territory plays into the intractable distributional issues of present times.

Territory is not a remnant of a pre-modern political order or a distraction from 'real' issues about class and sector. It remains, rather, an essential dimension in the understanding of social, economic, and political life, shaping critical issues of economic development, social cohesion, identity, and institutions.

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Part II

Capitalism Against the State?

A New Regime

The Consolidation State

Wolfgang Streeck

The consolidation state is the fiscal regime of the neoliberal era. It is evolving out of the debt state, which in turn had taken the place of the tax state in the early years of the crisis of democratic capitalism that followed the end of post-war reconstruction in the 1970s. The rise of the consolidation state is part of the neoliberal revolution, which is still in progress; like the latter it is politically contested. Understanding its full significance requires a historical-institutionalist approach that considers public finance in the context of capitalist development in general, and of the dynamic relationship between state, capital, and society—between the public and the private—in particular. An analytical framework suitable for the purpose was outlined by Joseph Schumpeter in a famous essay written in 1918, in which he sketched a research programme for ‘a special field: fiscal sociology, of which much may be expected’:

The public finances are one of the best starting points for an investigation of society, especially though not exclusively of its political life. The full fruitfulness of this approach is seen particularly at those turning points, or better epochs, during which existing forms begin to die off and to change into something new, and which always involve a crisis of the old fiscal methods. This is true both of the causal importance of fiscal policy (insofar as fiscal events are an important element in the causation of all change) and of the symptomatic significance (insofar as everything that happens has its fiscal reflection). (Schumpeter 1991 [1918]: 101)

In this chapter I treat the consolidation state as a general phenomenon in Organisation for Economic Co-operation and Development (OECD) capitalism, as one of its *commonalities* as distinguished from its *varieties*.¹ This is justified by remarkable parallels across countries in the historical process that

¹ On the relationship between varieties and commonalities of capitalism, see Streeck (2012).

is currently manifesting itself in the battle over the consolidation state. Such parallels seem to be due partly to endogenous causes present in all capitalist democracies, and partly to interdependence between countries mediated by international markets, especially for finance, and international organizations like the International Monetary Fund (IMF) and the European Union. No attempt will be made to sort out the two sources of commonalities. While national trajectories differ in details, which are often important for the respective countries themselves, overall they resemble each other—British North Sea oil in the 1980s or German unification in the 1990s notwithstanding. Some countries are leaders, others laggards, but the general direction is the same. Also, conflicts over consolidation take different forms in different countries and, depending on their outcome, delay or accelerate the process; nowhere, however, has the march into the consolidation state been stopped as yet, and certainly not reversed. Differences between countries remain minor, allowing for and indeed requiring a focus on OECD capitalism as a whole, and conceiving of the rise of the consolidation state as an ideal-typical general trend of development.²

THE FISCAL CRISIS OF THE STATE

Early discussions of public finance among institutional economists focused on the relationship between, and in particular the relative size of, the public economy of the state, representing the community at large, and the emerging private economy of capitalism. The liberal Spencerian view, according to which the progress of contractual society would make a public economy dispensable and privatize economic life entirely, was contested from both conservative and progressive perspectives, who expected an expanding role of public regulation and provision in the course of economic and social progress. Thus Marx and the Marxists saw production in a technologically and organizationally advanced society as assuming an increasingly social nature, which they believed required far more effective coordination than the market, or a state constituted as an ‘executive committee of the bourgeoisie’, would be able to deliver. With society’s productive forces continuing to develop, the ‘anarchy’ of capitalist markets would become an obstacle to further progress, and indeed would cause devastating crises that would end only with the establishment of revolutionized relations of production reflecting the progressive socialization of the productive process.³

² I have covered various additional aspects of the subject in related publications (for example Streeck 2015, 2016b).

³ For more detail on the following, see Streeck (2014a).

A remarkably similar perspective emerged among the German *Kathedersozialisten*, conservative economists which considered the Prussian state to be superior to Victorian liberalism with respect to the governance of the modern economy. Among their leaders was the self-professed *Staatssozialist*, Adolph Wagner (1835–1917), highly influential in his time as an academic and as an adviser to the Bismarck government. Wagner is, of course, credited with having invented ‘Wagner’s Law’, also known as the ‘law of increasing state spending’ or ‘state activity’. While Wagner during his life produced several slightly different versions of his ‘law’—or better: his conjecture—what they all had in common was that they measured state activity by state spending, which was measured in turn by the share of the state in the national economy, the *Staatsquote*. Wagner and his students, among them Werner Sombart, expected that share to grow continuously with the advance of ‘civilization’, meaning both economic growth and social development (Wagner 1892: 883 ff.) In the first half of the twentieth century, this expectation was widely shared by Marxists such as Rudolf Goldscheid (1926, 1976 [1917]) as well as by ‘bourgeois’ economists like Joseph Schumpeter, who expected capitalism to disappear as a result of the public economy growing faster than the private economy.⁴

For a long time, much of the public finance literature was basically about ‘Wagner’s Law’ and whether it could be proven or disproven. This is not surprising, as the underlying issue was none other than the longer term viability of capitalism, or at least liberal capitalism, in particular the presence or absence of self-transforming or self-destructive tendencies inside the capitalist political economy, which would ultimately cause it to be succeeded by some form of socialism. The wars of the first half of the twentieth century, which had been accompanied by steep increases in public spending, could be discounted as evidence so long as warfare could be considered exogenous to capitalist development, even though there was in most countries a ratchet effect preventing the state share from returning to pre-war levels. Treating military spending as a capitalist business expense, Marxist theorists of imperialism for their part took the growing *Staatsquoten* associated with the two world wars as proof of a growing role of the state accompanying capitalist expansion, although not necessarily civilizational progress. The real test, in any case, came during the long peace after 1945 when state shares continued to

⁴ According to Schumpeter, once ‘capitalism has done its work and an economy exists which is satiated with capital’, it will be ‘possible to look forward calmly to that inevitable slowing down of merely economic development which is the concomitant of socialism, for socialism means liberation of life from the economy and alienation from the economy... By and by private enterprise will lose its social meaning through the development of the economy and the consequent expansion of the sphere of social sympathy’ (Schumpeter 1991 [1918], 131) Goldscheid, for his part, believed that the state would never be able to tax private capital enough to perform its growing functions, so it would have to engage in economic activities of its own to generate the resources it needed.

drift upwards. While economists like Richard Musgrave (1958)⁵ tried to develop normative theories of public spending, dehistoricizing it in an effort theoretically to determine optimal spending levels, others, in particular the Public Choice School (Buchanan and Tullock 1977), accounted for rising public expenditures by egoistically rational politicians maximizing their electoral prospects.

Initial suspicions that the matter was not that easy arose in the late 1960s and early 1970s, when suddenly the idea of a ‘fiscal crisis of the state’ returned with several publications by the Marxist James O’Connor (1970a, 1970b, 1972, 1973). O’Connor expected a growing gap between state revenues and state expenditures, due to rising demands for state spending on social investment and social consumption on the one side and productive infrastructures on the other—in other words, on the two core state activities under capitalism, securing political *legitimation* and supporting capitalist *accumulation*. Unionization of the public workforce added to the problem, as it was about to exacerbate the ‘cost disease’ (Baumol 1967) of the state as a provider of labour-intensive—public—services. Interestingly, from the opposite side of the political spectrum, Daniel Bell (1976) concurred in that he, too, identified the ‘public household’ as a source of capitalist crisis—although for him the problem was not that state spending was prevented from growing with increasing social demands on the state, but rather that it was, following Schumpeter, forced by an ever more demanding public to grow too big for a healthy capitalist economy.

However that may be, subsequent years saw a lasting and indeed growing gap in the public finances of most if not all developed capitalist countries. Unlike what one might have expected, however, this did not manifest itself as a ‘fiscal crisis of the state’, at least not immediately. This was due to the rise of a financial industry of gigantic, and global, dimensions, such as neither Marx, Wagner, Goldscheid, and Schumpeter, nor later O’Connor and Bell, had been able to imagine. In part ‘financialization’ was promoted by governments, in particular that of the United States, which in this way enabled themselves to close the gap between their revenues and their expenditures by borrowing, and thereby sidestep potentially critical distributional issues and conflicts (Krippner 2011). But this could not last forever, and as will be seen, the debt state, which followed the tax state with its increasingly insufficient resources, was no more than a temporary expedient. Today its neoliberal transformation into a consolidation state is finally to put an end to the tendency, envisaged under both ‘Wagner’s Law’ and the Marxian theory of a progressive socialization of production, for a maturing capitalist-industrial society to require and elicit ever-rising levels of public support, up to a point where this would become incompatible with private ownership in the means of production. The

⁵ Musgrave hailed from Germany, where he studied economics with Alfred Weber until he emigrated to the United States in 1933.

imposition of fiscal austerity on the debt state of the early twenty-first century amounts to an effort to escape and reverse this trend, resolving once and for all the century-old question of the ultimate sustainability of a capitalist economy and society. The result is a large-scale political experiment, turning over to private enterprise hitherto public tasks like insuring against social risk, funding welfare, education and healthcare, building and maintaining collective infrastructures, and providing for national security through warfare and the collection of intelligence.

FROM THE DEBT STATE TO THE CONSOLIDATION STATE

As the fiscal crisis of the state approached, it both took the form of and was slowed by the rise of the *debt state*. The build-up of public debt, in turn, was the second of four successive responses to the crisis of OECD capitalism since the end of post-war growth in the early 1970s (Streeck 2014a, 2016a). The first had been *inflation*, caused by the monetary accommodation of worker militancy and trade union strength after the industrial unrest of 1968 and 1969. Permissive monetary policy enabled unions to gain wage settlements in excess of productivity increases while at the same time enabling governments to protect employment. This dampened distributional conflict, if only for a while, since over time inflation distorted relative prices and taxed financial assets, resulting in declining investment and, ultimately, rising unemployment.

In subsequent years, other means had to be devised by governments to contain industrial and social conflict. The first was states borrowing from the private sector to discharge critical obligations to citizens, in order to defend democratic legitimacy. Government deficit spending served as a functional equivalent to an inflationary monetary policy after the latter had been abruptly ended on a global scale by the American Federal Reserve under Volcker in 1979 and 1980. While sometimes justified in Keynesian terms, public borrowing after 1980 was not in fact Keynesian borrowing, as debt was never repaid and accumulated steadily over almost two decades in virtually all advanced capitalist countries. That the Public Choice School blamed the growing indebtedness of states on Keynesian economics and on the moral confusion it had supposedly caused (Buchanan and Tullock 1977, Buchanan and Wagner 1977, 1978) was no more than liberal political rhetoric. Nor was the increase in public debt due to an excess of democracy empowering citizens to extract economically unjustified rewards from 'the economy', with the help of opportunistic politicians eager to get elected at the expense of the common good. In fact, as I have shown (Streeck 2014b), the rise of public debt took place alongside a secular loss of trade union membership, the *de facto* elimination

of strikes, the beginning of a steady decline in voter turnout (particularly at the lower end of the income scale), a general rise in economic inequality, unemployment, and precarious employment, cuts in social welfare provision, and the like.

Initially, public debt increased as a result of a sharp increase in unemployment after the monetarist turn had ended inflation. Unemployment insurance and other social expenditures were less flexible than employment, which of course they had been designed to be. A little more than a decade later, however, welfare reforms of all sorts had begun to cut citizen ‘entitlements’, ushering in the first wave of ‘austerity’.⁶ More enduring pressures to borrow came from the tax revolts of the 1980s and the associated demands for ‘tax reform’. With lower growth and after the end of inflation, progressive taxation, in particular the ‘bracket creep’ among middle-income earners, became a source of powerful political discontent. To this must be added growing possibilities for tax evasion and base shifting in an increasingly internationalized capitalist economy, to which states responded by lowering their top income and corporate tax rates.⁷ Overall, the result was a stagnant and indeed declining tax take, as well as less and less progressive tax regimes—which added to the potential for anti-tax mobilization, not just among the very rich, but also among the much more numerous and more electorally relevant middle classes.

There are more reasons why the debt state is far from an instrument of top-down redistribution. In fact, earners of high incomes can be and are quite comfortable with governments funding a high share of their expenditures by borrowing, replacing taxes not collected from the well-to-do with loans obtained, essentially, from them as well. Rather than having parts of their income confiscated, in a debt state the rich can invest them in government bonds, collect interest on them (at least normally), and pass them on to their children, thereby perpetuating economic and social inequality. Moreover, as taxation regimes turn less progressive, the interest paid by governments to earners of high incomes capable of saving and investment will disproportionately be paid for by low-income earners. Yet another way in which the rich can benefit from a debt state is if that they are associated with the financial industry—which they increasingly tend to be—for which the administration of government loans is a source of opulent and reliable profits.

Returns on government bonds tend to be lower than returns on investment in the private sector. To compensate for this, states are expected to be able and willing to service and repay whatever debt they incur. A problem in this

⁶ As the number of those in need of some form of social support increased with the progress of the neoliberal revolution, total spending on ‘welfare’ did not necessarily decline. Programs did, however, become less generous throughout, and benefits per individual were cut, sometimes significantly.

⁷ There are now mountains of evidence on this, also from international organizations such as the OECD and the IMF. See Genschel and Schwarz (2013), OECD (2013), Piketty (2014).

respect is the legal capacity of sovereign debtors unilaterally to default on their debt or restructure it as they please. That problem is magnified by the fact that to the extent that they are democracies, debt states are subject to pressures, not just from their creditors, but also from their citizens, and indeed originally and ideally primarily from the latter. This makes for a strong demand on the part of lenders for credible evidence that their sovereign debtors are in a position to comply with the terms of their loans, not just economically but also politically. High debt loads may cast doubt on this, which is why the rise of public debt that began in the 1980s throughout the OECD world progressively caused concern on the part of the financial industry. It was this development that was to set the transition from the debt state to the consolidation state in motion.⁸

By the mid-1990s, public debt, just as inflation did in the late 1970s, had changed from a solution to capitalist distributional conflict into a problem in itself and needed to be replaced with something else. The Clinton administration, having taken power in 1992, started a worldwide effort to balance public budgets and bring down public debt, supported by and transmitted through the IMF and the OECD. In Europe, where the Swedish political economy was moving into its second financial crisis in a few years, consolidation was written into the Maastricht Treaty on Monetary Union, which obliged participating countries to keep public debt below 60 per cent of GDP, and yearly budget deficits below 3 per cent. But while this addressed the fears of financial investors that governments might become overindebted, and as a consequence would become unable to live up to their financial obligations, it reopened the issue that had been behind the rise of the debt state out of the tax state: the need to manage distributional conflict by injecting into the political economy additional resources that in reality did not yet exist—in the form of entitlements to future resources made tradeable by an expanding and ever-more sophisticated financial system. The problem was exacerbated by the fact that cuts in welfare and public provision generally, made to balance public budgets and bring down public debt, detracted from aggregate demand, reinforcing the contractionary effects of stagnating and even declining wages and growing inequality. To compensate for this, as well as appease voter dissatisfaction with public austerity and privatization, governments, again with the United States taking the lead, took steps to deregulate financial markets further, so as to enhance access to borrowing for ever broader segments of their populations.

⁸ And less so the fear of governments of becoming too dependent on their creditors and losing fiscal discretion as growing parts of their budgets had to be spent on debt service. As Lukas Haffert (2015) has shown, paying off the national debt through a balanced budget or, more demanding, through budget surpluses requires a long-term commitment to fiscal austerity, which is sustainable only with the support of a sound money political coalition that will be difficult to dislodge once the consolidation state is in place. There are also other reasons why a return to a social-democratic politics after successful fiscal consolidation is unlikely.

Thus the first steps towards consolidating the debt state and transforming it into a consolidation state were accompanied by an unprecedented increase in private debt, replacing public debt in both its economic and political functions. Once again, however, what was initially a solution became, after little less than another decade, a problem, and one that culminated in post-war capitalism's as yet worst economic crisis. In 2008, the complex pyramid of private debt—that had been built into a profit machine for a worldwide financial sector while generating illusions of prosperity for large numbers of people and covering up a rapid rise in economic inequality—collapsed. Subsequently, governments found themselves forced to absorb mountains of bad debt generated in the private sector, while in addition taking up new debt to stimulate their ailing economies. A few years after the crisis all gains from the first wave of fiscal consolidation had been eradicated, and public debt in OECD countries was higher than ever, including in Europe where the Maastricht debt levels were rendered grossly unrealistic in most countries. Although the new upsurge of public debt had been ultimately caused by reckless private lending in financial markets—made possible by reckless deregulation by governments meaning to shift borrowing to the private sector—the immense increase in sovereign debt after 2008 reinforced the pressure from the global financial industry on states to re-establish their creditworthiness by renewed and even more forceful attempts to consolidate public finances. This was when the second, still continuing push towards the consolidation state began, this time accompanied not by private borrowing, but by the apparently infinite production of fresh money, 'out of thin air', by the leading central banks buying up private and public debt, good and less good, in the hope, up to now in vain, of preventing debt deflation and restoring some measure of economic growth.⁹

Summing up, the fiscal crisis of the state unfolded after the 1970s when government expenditures continued to increase while tax revenues ceased to grow, due to increasing tax competition and opportunities for tax evasion (Figure 7.1). The resulting gap between government spending and government revenues gave rise to non-Keynesian fiscal deficits, which were financed by loans supplied by an expanding financial industry recycling the surplus profits of energy-producing countries, large firms, and rich individuals benefiting from 'tax reforms'. The outcome was a growing burden of public debt, resulting in a loss of confidence among financial investors which was addressed by a first wave of fiscal consolidation that took place in the 1990s. As consolidation went hand in hand with a compensating expansion of private debt, however, it ended up not in a reduction but in an unparalleled increase in

⁹ The current era of 'quantitative easing', as it is called, is the fourth phase of the post-1970s crisis sequence in advanced OECD capitalism. If previous experience offers any guidance, it will not last longer than roughly a decade, after which yet another solution would have to be found, although there is no guarantee that it actually will.

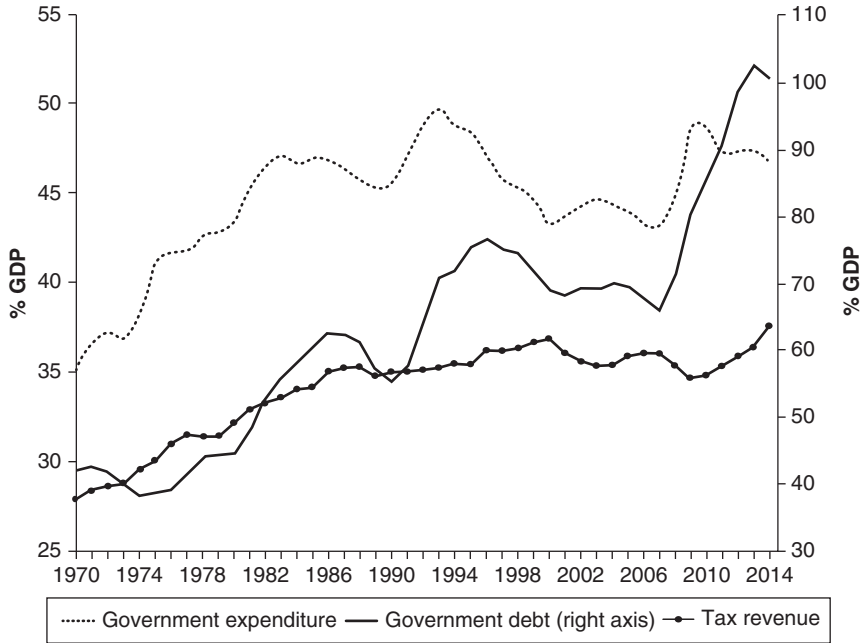


Figure 7.1 Government expenditure, tax revenue, and government debt in OECD countries, 1970–2014.

Sources: OECD Economic Outlook; Government at a Glance; National Accounts; Revenue Statistics; own calculations.

public debt, resulting from the need after 2008 to bail out the financial industry with public money and to revive those national economies pushed to the brink by speculative finance. At much higher sovereign debt levels than in the 1990s, pressures for fiscal consolidation have become all the more unrelenting; at the same time, with the old methods of pacifying distributional conflict defunct, accommodating them has become politically more sensitive than ever.

A NEW REGIME

Rebuilding a debt state into a consolidation state—one in which financial markets can again have confidence, and for longer than just for the moment—takes time. The goal is a new *fiscal regime* with public austerity as the fundamental principle governing the relationship between state and society, where ‘regime’ stands for a ‘configuration of political interests, institutions, and policy arrangements that structure conflicts over taxes and spending... a particular political context of institutions, powerful organizations, public policies, and dominant ideas’ (Pierson 2001: 56–7).

Ending the secular build-up of public debt and regaining the confidence of financial markets requires deep changes in political institutions and social structures. Already the gradual cutting down on new debt to achieve a balanced budget, which typically takes several years, would be politically unsustainable unless accompanied by a redefinition of the responsibilities of government and the purposes of public policy, in the direction of a smaller state and an expanded market, less public and more private provision, privatization of state activities and assets, and a substitution of individual effort for collective solidarity. Ultimately, the construction of a consolidation state implies a far-reaching rationalization, or 'economization', of politics and society. In the process states become less like sovereigns and more like firms: instead of overriding markets, they have to be responsive to them. Whereas the politics of democratic capitalism was to protect society from the 'vagaries of the market' (Polanyi), the politics of the consolidation state protects financial markets from what are for them the vagaries of democratic politics.

Consolidation is to turn the activist-interventionist state of post-war democratic capitalism into a lean state receptive to market pressures. To be credible and effective, fiscal discipline must be anchored in the political institutions that control the social production of collective demands. The model of a consolidation state is the United States, especially since it imposed an austerity regime on itself in the 1990s (Pierson 1998). An important step along the way was 'the end of welfare as we have come to know it' under the Clinton presidency.¹⁰ The fact that the reform was pushed through by a Democratic president only reinforced its confidence-building effect. Further contributing to it was progress towards a balanced budget, and then towards a budget surplus at the end of Clinton's second term, which importantly was achieved not through higher revenue, but through lower spending. In fact, shrinking the deficit by shrinking public spending was accompanied by substantial tax cuts which, while repeatedly renewing the deficit, created pressures for more spending cuts once 'fighting the deficit' had been established as the supreme principle of public policy (Pierson 2001).

Clinton's successor immediately squandered the Clinton surplus on even more tax cuts, advertised by George W. Bush during his presidential campaign in 2000 as 'returning to citizens what is rightfully theirs'. Yet neither this nor the wars in Afghanistan and Iraq did anything to diminish the confidence of financial markets. The United States has more than one way to reassure its creditors, one of which being its capacity to produce unlimited amounts of a global reserve currency by fiat. That the American government nevertheless administered the bitter medicine of domestic austerity to its already anaemic welfare state can only have added to financial markets' trust in its 'full faith

¹⁰ This refers to the passage of the Personal Responsibility and Work Opportunity Act in 1996.

and credit',¹¹ on top of the culturally established primacy of financial market obligations over citizen entitlements. Moreover, to the extent that its deficit is caused by military spending, the United States can ask resource-rich allies to buy treasury bonds in return for protection, making it unnecessary for them to maintain military forces of their own. Also, spending on warfare is discretionary and temporary; and like tax cuts and tax expenditures, it may also be used to justify spending cuts in other areas. This means that even major increases in public deficits, which would make borrowing unaffordable for other countries, cannot detract from the United States' standing in financial markets.

European countries, less privileged than the United States,¹² began to reinvent themselves as consolidation states less than a decade later. Their efforts at installing an austerity regime as a credible commitment to market conformity had to go further than the respective American effort, given their competitive disadvantages in capital markets: no global currency, no military capabilities for which others would be willing to pay, generally higher state shares in their economies, and citizens more insistent on social rights and entitlements. Anchoring national pledges to fiscal austerity in international law helped—like in the Fiscal Compact of 2012—as did the emerging hegemony of a country like Germany, which has historically thrived on export-driven growth and a hard-currency regime.¹³ Growing debt burdens after 2008 increased the pressure for a second, even more determined round of consolidation, aimed at reducing state shares and freeing up capacities to service the remaining public debt. As elsewhere, consolidation in Europe does not need to be accomplished overnight; actually, phasing in spending cuts over time seems preferable, as it allows for the gradual establishment of an austerity regime as a permanent feature of political economy.

How austerity may become permanent as a country moves from budget deficits to a stable surplus has recently been shown by Lukas Haffert (2015).¹⁴ Haffert debates what he calls the 'symmetry hypothesis', which is that a state, once it has overcome a chronic deficit, may use its regained fiscal capacity to return to political activism and restore the programmes it had temporarily cut. In fact, as Haffert shows, this is often the promise made by social-democratic governments when embarking on fiscal austerity. In reality, spending patterns

¹¹ The language is from Article IV, Section 1, of the United States Constitution: 'Full faith and credit shall be given in each state to the public acts, records, and judicial proceedings of every other state.' With time this came to be interpreted to apply to US treasury bonds and similar financial commitments, meaning that they must be honoured under any circumstances.

¹² In the 1960s, the then French Finance Minister Valéry Giscard d'Estaing, later to be president of his country, is said to have called it an 'exorbitant privilege' for the United States being able to indebt itself internationally in its own currency and service its debt by printing unlimited amounts of it, due to the dollar being the global reserve currency.

¹³ Or, in Mertens' (2015) term, an export-and-saving regime.

¹⁴ See also Haffert and Mehrtens (2015) and Mertens (2015).

after consolidation remain governed by austerity, which becomes the central virtue distinguishing a neoliberal consolidation state from its debt-state predecessor. Haffert explains this by the fact that the transition from rising to declining debt is associated with, and can only be accomplished by, deep changes in political and institutional routines, in the configuration of vested interests, and in power relations and ideologies that are impossible to reverse on short order.

What are the lasting political-economic consequences of states devoting themselves to fiscal consolidation, in order to convince financial markets that they will consider their obligations as debtors sacrosanct and will give them unconditional priority over their political obligations to their citizens, doing 'whatever it takes' to remain fit for debt service? Four such consequences have been established by recent research.

1. Budget balancing, if achieved by spending cuts rather than tax increases, and even more so if accompanied by tax cuts, comes at the expense of discretionary as distinguished from mandatory spending (Streeck and Mertens 2010b, 2011). As public budgets approach balance, a growing share of government expenditure goes to cover comparatively rigid, legally fixed expenditures, such as wages for public sector workers, public pensions, and, of course, debt service. As the final element is untouchable in a consolidation state, it is public investment, both in the physical infrastructure and in education, families, active labour market policy, and the like—what has been called 'soft' (Streeck and Mertens 2011) or 'social' (Morel et al. 2012) investment—that must give. Over the longer term, this will also produce pressures on 'entitlements' like social security, making them more politically vulnerable and less mandatory in effect. Complaints about old commitments suffocating spending for the future and strangling 'fiscal democracy' (Steuerle et al. 1998, Streeck and Mertens 2010a) by denying governments political discretion (Rose 1990) may also result in less generous benefits for subsequent generations, while the benefits of existing claimants tend to be frozen under so-called 'grandfather clauses'. This is likely further to delegitimize social policies.
2. Budget balancing allows no new debt, and this holds all the more for debt reduction by fiscal surplus. Public investment will therefore have to be financed out of what will very likely be shrinking current revenue. Regaining and retaining the confidence of financial markets may therefore require governments to cut public investment, even if real interest rates on government debt approach zero. Resulting deficiencies in physical and social infrastructures have to be attended to by private investors assuming what had previously been public responsibilities. One outcome is likely to be a growing number of public-private partnerships (PPPs) of various sorts, with returns on private investment insured by the state, and

governments or individual citizens paying user fees to private firms. There seem to be good reasons to expect that states and citizens will be paying more under such arrangements than they would have paid had the investment remained in public hands. This seems to hold especially for local communities, which often lack the expertise to negotiate as equals with the legal departments of international investors.

3. Cutting discretionary expenditure inevitably involves cuts in social services such as education and especially in universal services benefiting all citizens. As the range and quality of state-provided services deteriorate, the middle class will look for complementary or alternative private provision, and governments will be urged to allow private firms to compete with public authorities. In the process, the better-to-do will get habituated to more customized private provision, which will make them demand (further) tax cuts so they can pay for them—tax cuts that will drive further spending cuts. As the welfare state loses growing segments of its middle-class constituency, public programmes will turn into programmes for the poor which, according to an American adage, will make them poor programmes.
4. Privatization of investment in physical and social infrastructures gives rise to a growing private industry operating in what used to be the public sector.¹⁵ While typically subject to regulation, private providers are likely soon to become powerful players in the political arena, where they will ally with the upwardly mobile middle class and its liberal-conservative political parties. The evolving connections of the new firms with the government—often taking the form of a revolving-door exchange of personnel—and their campaign contributions will further cement the shift from a redistributive towards a neoliberal state that abandons providing for social equity and social cohesion to civil society and the market.

The most advanced case of a modern consolidation state with a firmly established austerity regime is, surprisingly, the former model country of social democracy, Sweden (on the following, see Mehrtens 2014, Haffert and Mehrtens 2015). Here the departure from the post-1970s debt state was much more thorough and went much further than in the United States, where consolidation was and is made less compulsory by the competitive advantage the country enjoys in global capital markets. It is also interesting to note that Sweden is not a member of the European Monetary Union and still has its national currency, meaning that it did not have to consolidate under an international obligation. Sweden is, however, politically deeply traumatized by the experience of its two fiscal and financial crises in 1977 and 1991, crises

¹⁵ On this and on PPPs in general, see among others Bowman et al. (2014, 2015).

far more severe than in most European countries after 2008.¹⁶ The lesson learned at the time across the Swedish political spectrum was that international financial markets would not hesitate to punish the country mercilessly if they were to lose confidence in it, and that restoring and preserving that confidence had to be the foremost objective of national economic policy.

Sweden's consolidation state operates an austerity regime that is based on two fundamental principles: an ironclad commitment to a fiscal surplus generated and continuously renewed by spending cuts that bring down accumulated debt; and regular tax cuts to renew the pressure for spending cuts and enable the middle classes to replace public benefits and services by self-provision in free markets. Combining a surplus policy with lower taxes makes for a shrinking state share in the national economy and produces a leaner state in line with neoliberal prescriptions of a less activist public policy. Obviously, Swedish neoliberal reform was and is facilitated by the fact that it started at a very high level of government activity, so that a national austerity regime has a lot of state activity to feed upon for a protracted time. While the Swedish landing path can therefore be a particularly long one, however, the country's consolidation regime has become so deeply engrained over time that it is hard to imagine how it could be displaced in the foreseeable future.

By the end of 2014, roughly two decades of neoliberal reform had, incrementally but all the more effectively, changed the Swedish political economy almost beyond recognition (the following is based on Mehrtens 2014, Haffert and Mehrtens 2015). Since the peak of the second crisis in 1993, total government expenditure was brought down from 70 to 50 per cent of GDP, and total revenue from 60 to 50 per cent (in 2012). This process is expected to continue, assisted by deep changes in political-economic institutions which, for example, prevent the central bank from accommodating an expansionary fiscal policy: 'The medium-term financial forecast of the Swedish government for the years 2013–2015 projected surpluses of up to three percent of GDP... The estimated annual surplus is up to three percent of GDP. The improvement of the budget balance would be achieved solely by expenditure cuts and not by revenue increases' (Haffert and Mehrtens 2015: 21).

The economic downturn after 2011 did not cause a rethinking of fiscal priorities. Transition from high to low taxing and spending was accomplished,

¹⁶ Between 1977 and 1983, Swedish total public debt more than doubled, from 30 per cent of GDP to 70 per cent, with a peak deficit of 7 per cent of GDP in 1982. After four years of a budget surplus around 4 per cent, public debt increased again, from 48 to 84 per cent between 1990 and 1995, with a peak deficit of 11 per cent in 1993. Beginning in 1998, it was gradually reduced to 50 per cent in 2007, the year before the global financial crisis (Mehrtens 2014). From 1998 to 2008, the Swedish state ran a budget surplus; with cyclical adjustment the surplus has continued up to the present (Haffert and Mehrtens 2015: 24).

among other things, by a pension reform (1994–8) that made the pension system ‘completely independent financially from the budget. There is no longer any cross-subsidization from the public purse to the pension funds’ (Haffert and Mehrtens 2015: 17). In spite of the fiscal surplus, pensions were cut in 2010 and will be cut further in the future, in line with expected shortfalls in revenue due to demographic change. There also was what was called ‘the tax reform of the century’ in 1990 and 1991, which contributed to the fiscal crisis of the early 1990s and helped justify the subsequent cuts in public expenditure. Taxes were further lowered in 2006 and 2008, as well as in several subsequent years. The reform made the tax system less progressive, as capital incomes were taxed much lower than incomes from labour, property taxes were abolished, and the value-added tax remained one of the highest in the world.

Fiscal consolidation, in Sweden no less than elsewhere, was associated with a steep decline in both ‘soft’ and ‘hard’ public investment (Streeck and Mertens 2011). Among other things, spending on active labour market policy was more than halved. Simultaneously, unemployment stabilized at around 8 per cent, a radically new normal in the Swedish labour market that would have been completely unimaginable before the first fiscal crisis and the monetarist turn under the Social-Democratic Carlsson government. Consolidation was also accompanied by a steep increase in income inequality, steeper than in almost all other advanced capitalist societies. Moreover, from 1998 to 2010, the share of students in private schools below the university level increased from 2 to 12 per cent, exceeding the respective ratio in the United States.¹⁷ Privatization is also rapidly proceeding in the Swedish healthcare and childcare sectors. Further adherence to the policy of shrinking the state by combining tax cuts with debt repayment seems assured, as consolidation has become firmly entrenched over two decades in the Swedish political economy.

THE CONSOLIDATION STATE AND DEMOCRACY

The regime of the consolidation state involves a deep transformation of democracy as we know it, away from traditional institutions of popular political participation designed to stand up for social justice against the laws

¹⁷ At the secondary school level, the ratio was already at 50 per cent in 2010, with roughly 90 per cent of private school operators being profit-oriented corporations (Mehrtens 2014: 223).

of the market (Streeck 2014a: 58ff.). Where there are fewer public goods due to privatization, there is less to decide politically, and the economic democracy of capitalism—one dollar, one vote—begins to replace political democracy. With markets becoming the principal mechanisms of collective decision-making—by aggregation instead of deliberation—there is even less ‘fiscal democracy’ left than in the rigidified debt state of old. This is also because, at the macro level, public finances are increasingly constrained by constitutionally enshrined debt limits and balanced-budget rules. In the European case, there are also international agreements on fiscal austerity from which countries can break away only at high political and economic cost.

Institutional restructuring towards a consolidation state abandons democratic principles in several other respects as well. PPPs are often based on complex commercial contracts, large parts of which have to remain confidential to protect trade secrets. As independent central banks rise to become the principal agents of economic policy, political decisions with far-reaching social consequences move out of the purview of parliaments and elected governments. Central banks are run by small bodies deliberating in secrecy, and given the significance of their decisions for the rational expectations of rational economic agents this cannot be otherwise. Also, whether or not economic policies conform to the needs of the markets cannot be decided by political debate but is judged by ‘the markets’ alone. Moreover, whether economic policies are ‘right’ is for the technocratic experts—who are charged with applying the rules by which policies are to be bound—to determine. All of this requires and advances a decoupling of the management of the economy from democratic politics—backed ideologically by newly fashionable elitist theories claiming democracy to be irrational, incapable of dealing with complex problems, too slow to respond to changing conditions in a global economy, and too vulnerable to popular pressures for economically inefficient intervention in free markets (Bell 2006, Roberts 2010).

Turning the economy over to a combination of free markets and technocracy makes political participation run dry (Schäfer and Streeck 2013). Where national democratic institutions are neutralized by international ‘governance’, as under European Monetary Union, their depoliticized empty spaces are likely to be filled with new content, which may be public entertainment of the ‘post-democracy’ kind (Crouch 2004) or some politically regressive, hostile sort of nationalism. Under the auspices of the emerging consolidation state, politicization is migrating to the right side of the political spectrum, where anti-establishment parties are getting better and better at organizing discontented citizens dependent upon public services and insisting on political protection from international markets. Only recently have we seen the first signs of left-populist mobilization against austerity—more precisely: against the elimination of public finance as a tool for redistributive policy—and against the social divisions that come with it.

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European Integration and the Evolution of Economic State Capacities in Southern and Eastern Europe

Laszlo Bruszt and Visnja Vukov

INTRODUCTION

There is by now an established body of scholarship analysing how European integration has induced state restructuring in member states since the 1990s. Many scholars focus on economic state capacities in particular. One prominent view is that domestic states' capacities to govern their economy are declining and that the economy is becoming ungovernable due to the embedding of national governments in transnational markets monitored by a set of supranational rules (Stopford and Strange 1991, Streeck and Mertens 2013). Others argue that rather than declining state capacity, in reality we are witnessing the process of state reconfiguration from Keynesian welfare state to Schumpeterian workfare state or competition state, and that Europeanization or the process of European market-making has underlined precisely such a competitiveness-oriented restructuring of the state (Scharpf 2002, Jessop 2002).

While fully agreeing that European market-making induces state reconfiguration, in this chapter we focus on the integration of the Southern and Eastern peripheries of Europe. We argue that there are important variations in state restructuring in Europe that cannot be attributed simply to the different domestic responses to the *same* pressures emanating from European integration. There is no such thing as a unitary 'EU effect': the EU uses different sets of strategies of integration towards states lying outside its core members.

We make two key arguments. First, we argue that European market-making has from its inception been intimately linked with the conscious attempts to restructure states in the European peripheries, both in the South and the East, as a means to shape their developmental pathways within the common

market. Second, the means used by the EU for inducing and helping state restructuring in the East and South were distinct, yielding substantive divergence in the evolution of economic state capacities in the EU's two peripheries. These differing means contributed to developmental outcomes that represent dramatically different dilemmas for further integration. State restructuring has been a key goal in the integration of the less developed peripheral countries of Europe from the beginning of the European regional market-making project in the late 1980s (Featherstone 1998, Jones et al. 1998, Dyson 2002, Radaelli 2002, Royo 2013).

The EU removed traditional developmental state capacities such as direct interventions in the economy or the protection of favoured sectors from international market competition. Such policies had formed the basis of development strategies both in the global South and also in the core countries of Western Europe until the 1980s (Shonfield 1965, Amsden 2001). But such strategies were in conflict with the EU goal of creating a 'level playing field' via imposing the same economic rules within the regional market independently of differences in levels of development and endowments in economic capacities.

The economic state promoted by the EU in its peripheries is the 'liberal developmental state'. It differed from the old developmental states by excluding the ability to micro-manage, promote, or protect firms. Instead, it increased capacities to sustain a market-friendly environment to lure in foreign direct investment (FDI), and to nurture in market-friendly ways the competitive power of more backward regions, firms, or different categories of economic actors.

Second, we argue that there is a striking divergence in the evolution of Southern and East European states. Exactly in those dimensions of the economic state that were seen as key by the EU, the new Eastern member states show substantively better performance than the older members in the South. Domestic political and economic features alone cannot explain such systemic regional variation. Here we argue that differences in the means used by the EU to further state restructuring played a key role in the divergence of economic state capacities in these two peripheries (Keating 2006, Bruszt 2008).

Ten years after the biggest European enlargement, and thirty years after the accession of the Mediterranean states to the EU (at the time the EC), the leading economies in the Eastern periphery have arrived close to the core, if not at the level of consumption but at least at the level of structure of their production. At the same time, the economies of the South have reached the consumption levels of the core countries while basically staying closer to the periphery from the perspective of their positioning in European markets. Such differences call attention to the weakness or absence of different types of economic state capacities in the two peripheries of the EU.

The literature on the Europeanization of the Southern states has already drawn attention to the EU-induced economic state restructuring in the

periphery (Crouch 2000, Radaelli 2002, Rhodes 2002, Royo 2013). However, the focus of this literature has been primarily on the state's capacity to preserve macroeconomic stability and further competitiveness, while the evolution of other economic state capacities such as the regulatory, the developmental, or the general bureaucratic and market-preserving capacities has been neglected. Furthermore, for the studies of Southern integration, the particular mechanisms of promoting state restructuring via incentives are simply described and taken for granted, rather than problematized as only one of the possible alternatives the EU could have used.

The literature on the Europeanization of Eastern Europe for its part has provided many insights on the institution-building efforts of the EU in the East, notably about the strengthening of the bureaucratic and regulatory state capacities in the region (Schimmelfening and Sedelmeier 2005, Dimitrova 2005, Vachudova 2005). Nevertheless, this institution-building has typically been analysed in the framework of compliance studies and much less so as part of the EU management of the economic integration of its periphery. The few studies that do explicitly frame EU strategies in a developmental framework (Bruszt and Greskovits 2009, Jacoby 2010) do not analyse this European-level management in comparative perspective. By comparing EU-induced economic state restructuring in the East with that pursued in the South, we take the first step towards a comparative analysis of this process.

The rest of the chapter is organized as follows. The second section elaborates on the contested notion of economic state capacities, identifying the key dimensions of economic state capacities entailed in the EU policy goals as well as demonstrating substantive divergence between the Southern and Eastern states with regards to these state capacities. The third section analyses EU strategies in the South and in the East respectively, focusing both on the expectations about state restructuring linked with different aspects of the integration of the periphery as well as their actual, intended or unintended, consequences, while the fourth section concludes.

PROMOTING THE LIBERAL DEVELOPMENTAL STATE: ECONOMIC STATE CAPACITIES ON EUROPE'S PERIPHERIES

The Goals

In the scholarly literature, what was usually meant by state capacity was the variable and changeable probability that specific states will provide diverse types of public goods related to the maintenance and development of (social,

economic, political) order (O'Donnell 1994, Evans 1995, Gereffi 1995, Linz and Stepan 1996, Woodruff 1999). Definitions usually included the probability that states will be able to get the resources (e.g. in the form of taxes, political support) necessary for supplying these public goods. What these public goods were, or what they were supposed to be, was contested and varied in time and space. Students of political and economic transformations in the global East and the South identify several relevant state capacities, ranging from the capacity to maintain the rule of law and enforce citizenship rights (O'Donnell 1994, Linz and Stepan 1996), to uphold economic freedoms and create a predictable policy environment (North and Weingast 1989), to collect taxes and impose enforceable rules in the economy (Woodruff 1999, Bruszt 2002), to resist corruption or state capture, and to implement unpopular restructuring policies (Haggard and Kaufman 1995) or to formulate coherent policies that reflect wider developmental considerations (Evans 1995).

The role states were expected to play in socio-economic development, and the list of capacities states were supposed to have, has changed several times during the past three decades, and it still differs dramatically across the world's regions. Until the early 1980s, in most of the developing countries in the South and the East, states were seen to be the prime movers of development (Stepan 1978, Evans 1995, Gereffi 1995). Even in the most developed economies, until the 1980s the mainstream view was that the capitalism of the developed global North also moved towards a 'mixed economy' characterized by significant state management of the economy (Shonfield 1965). The reviving interest in the study of developmental state capacities has induced innovative research on the bases of states' capacity to design and implement coherent developmental programs (Stepan 1978, Skocpol et al. 1985, Evans 1995).

During the eighties, partly as a result of the failure of the state-based developmental models in several Latin American countries and in Eastern and Central Europe, states were increasingly characterized as part of the problem rather than part of the solution. For some time the capacity to 'introduce and sustain the right policies' of liberalization, privatization, and stabilization—the mantra of the international financial institutions (IFIs)—was the sole cited challenge on the pathway of economic transformation and development. In that context, state capacity to liberate the economy from the state, the so called 'orthodox paradox', was pictured as the metric of success in economic state action (Haggard and Kaufman 1995).

The first positive state capacities that were mentioned in the 1990s were linked to the capacity to enforce and uphold the freedom of property and contracting, and the capacity to maintain the rule of law in the governance of economic transactions—the capacities of the so-called *market preserving state* (North and Weingast 1989). Very soon, however, developing *regulatory state* capacities became a crucial aspect of state capacity to ensure the functioning of markets (Majone 1994).

In a world of increasingly transnational regulations, a key challenge for developing countries became their capacity to implement transnational rules and to prevent the use of different non-tariff barriers in the free flow of diverse factors of production (Stiglitz and Charlton 2006). Given that developing countries of the global East and South are typically 'rule takers' in transnational integration regimes, their effective participation in transnational markets became dependent on developing state capacities to contribute to making transnational markets.

In the context of European market-making and the integration of European peripheries, the idea that the state is 'part of the problem' and should simply give way to free and unfettered markets never gained much ground. Instead, the EU approach to market-making has from its inception relied on the idea that strong markets require strong states. The precise ideas of what constitutes this state strength represented a mixture of several of the earlier-mentioned capacities. To begin with, a *market-preserving state* proves to be a precondition of well-functioning markets; however, the EU went beyond this and made regulations the key element of market-building. By the time of the fall of Berlin Wall, the EU already had a rapidly growing corpus of regional market regulations. It made membership in the regional free trade regime for the countries in its Eastern peripheries conditional on implementing 80,000 pages of EU institutional standards and regulations. The countries in the Southern peripheries of the EU were already member states at the time of their adaptation of the EU regulatory regime. While Brussels could not, in their case, use conditionality, it has enforced the regulatory requirements with sanctions from the EU judiciary and executive. A large part of these regulations aimed at imposing competition on *domestic markets*, preventing the misuse of asymmetries in economic and informational power (Bruszt 2002). Conforming to the *EU regulatory state* requirements was demanding, since even brief descriptions prepared for European Commission experts fill over a one hundred pages of single-spaced text.

A third group of non-negotiable domestic state capacities that were enforced in both peripheries concerned the EU's aim of imposing a level playing field in the regional markets and to prevent domestic states unfairly promoting or protecting domestic economic actors. The EU demanded the removal of tariffs and sanctioned member states' use of non-tariff barriers. Member states and aspiring members on the peripheries were obliged to create encompassing domestic institutional capacities to monitor domestic state and non-state actors in the economy, and to prevent them from discriminatory practices that could constrain the free movement of goods, capital, and services. Such *transnational market-making state* capacities have required state units to act as local guardians of the EU within the nation states. In the field of the free movements of goods this included the creation of autonomous institutions for standardization, accreditation, conformity assessment, metrology, and

market surveillance. In the field of the free movement of services, existing and aspiring member states were obliged to build up administrative capacity to screen continuously the administrative or legal rules existing or under preparation for compatibility with market freedoms as interpreted by the European Court of Justice. In the free movement of capital the EU demanded new legal and administrative infrastructure in all areas, where previously practices or sectoral policies relied on capital movement restrictions. Few regulatory demands arose in respect to the free movement of labour.

By cutting off the (discriminatory) helping hand of the state, and instituting domestic guardians to hinder the rebirth of old developmental state practices, the EU foreclosed the developmental strategy used by Western European states before the 1980s, as well as by the states of the global East and South. Whereas the 'independent' model, exemplified by the developmental pathway of Taiwan, South Korea, and several of the EU15 core economies, has nurtured the global market power of domestic firms, the 'integrationist' model that has evolved in Latin American countries relied much more on FDI. In the latter, the state tried to manipulate actively the relationships between multinational companies (MNCs) and domestic firms, with the goal to improve via such an alliances the overall economic position of the country in global markets (Amsden 2001). Both of these strategies were based on state capacities to micro-manage the economy and selectively to promote and protect specific sectors from competition in international markets. These strategies were incompatible with the EU market-making efforts. While the EU was thus taking the old developmental state capacities away from peripheral countries, the 1988 reform of Structural Funds (SF) tried to introduce and further a *market-friendly developmental state* capacity specifically in the old and new peripheries of Europe. Closely linked to the efforts of deepening European market-making, the goal of the SF reforms was to create domestic capacities to increase the market power of weaker economic actors and to reduce territorial disparities among economic actors in the capacity to profit from the enlarged European market. Unlike the old developmental state that tried to shield economic actors from market competition or to compensate them for the vagaries of markets, the developmental state promoted in Europe's two peripheries was a liberal one that tried to increase the market power of economic actors to withstand competitive pressure and eventually to benefit from it.

The fifth state capacity promoted by the EU, closely interlinked with the promotion of the regulatory state, was general *administrative state* capacity. This meant creating the institutional conditions associated with an impartial, trustworthy, and efficient public bureaucracy. Whereas the market-friendly developmental state capacities were first designed specifically for the Southern peripheries, general administrative state capacities became part of the conditionality during the Eastern enlargement. The requirements for such administrative state capacities included civil service reforms in conformity

with EU rules and well-staffed, budgeted state bureaucracies with civil servants selected and promoted on a depoliticized and meritocratic basis.

Thus the EU promoted five types of economic state capacities: the capacity to maintain the rule of law and uphold economic freedoms; the capacity to safeguard competition and impose EU regulations; the capacity to contribute actively to the prevention of old developmental practices that could hinder regional market freedoms; the capacity to further competitiveness and to reduce disparities in market power; and finally, the general administrative capacity to implement the rules and policies of the state in an impartial, trustworthy, and efficient way. Combined they formed a new type of economic state absent in the global East and South.

We call this new type of state the *liberal developmental state*. It combines new EU-induced capacities to expand the role of transnational markets in shaping developmental outcomes, with capacities to maintain and increase the market power of various categories of domestic actors. The EU enjoyed robust sanctioning powers in its Eastern peripheries, since meeting the demands of Brussels was their condition of membership. Countries in the Southern periphery were already member states at the time of the new wave of European market-making, so in their case the less powerful means of intra-EU sanctioning were used, namely relying on the sanctioning powers of the EU judiciary and the executive.

Outcomes

The data on infringement procedures suggest that East European states have stronger transnational market making state capacities, as they conform much better with the EU regulations than the Southern European states (Sedelmeier 2008). The data on the administrative capacity and the quality of government in the East and in the South suggest that in this respect the East has converged with the South. Charron et al. (2010) perform cluster analysis of the EU states based on the quality of governance data collected by the World Bank. They show that there are three groups of countries in Europe, with none of the Eastern or Southern states among the best-performing group. Rather, Estonia and Slovenia show similar capacity as Spain and Portugal, while the rest of the new member states are in the worst-performing group, together with Greece and Italy. Moreover, the data on subnational bureaucratic capacity show that most of the East European regions have converged with the level of regional capacity prevalent in Portugal, while the worst performers are Bulgaria and Greece, with similarly low levels of regional state capacities. To be sure, neither the East nor the South would count as the best performers or could match the national and subnational bureaucratic capacities of the core European states (with the exception of some of the Spanish regions). Nevertheless, we find it telling that after thirty years of membership in the EU

and in particular thirty years of intensive strengthening of regional policies and regional capacities in the South, all of the Greek and some of the Italian regions are still at the level of capacity of regions in Bulgaria.

While in terms of general bureaucratic capacities the East has by and large converged with the South, the capacity of the judiciary to uphold functioning market order, to secure property rights, and to ensure respect of legal contracts has been markedly strengthened in the former socialist states of the East, even surpassing the similar capacities of the Southern states. In terms of judiciary efficacy, the key institution of the market-preserving state, East European states score higher than the Southern ones when it comes to measures such as disposition time of civil litigation cases and clearance rates (the ratio of incoming and settled cases). Furthermore, in the composite measure of overall business friendliness of the judiciary—measured as the combination of data on disposition time for litigation non-criminal and commercial cases, the number of procedures, and the costs involved in processes such as setting up a business, filing for bankruptcy, and registering land property—East European judiciaries again appear much more business friendly than those of the Southern states (Table 8.1).

Both judiciaries and the executives of the East European states are more business friendly than those in the Southern states. As a result of their reorientation towards attracting FDI, state restructuring in Eastern Europe (with the exception of Slovenia) is in comparative terms much closer to the ideal-typical transformation into liberal developmental states than the restructuring of the states in the European Monetary Union (EMU). Moreover, among the EMU members, Southern states again stand out as those that over time implement reforms that *decrease* competitiveness and cut the finances for non-discriminative horizontal state aid supporting employment, research, and development, while simultaneously increasing social expenditure (Vukov 2016). The divergence in the outcome of state restructuring is apparent from Table 8.2.

By reforming their tax system and by making their labour markets more flexible, the Eastern European states have restructured into radically business-friendly zones. There is an important difference between the Baltic and Balkan states which, represent a low road of the liberal developmental model, and the Visegrad states that took the high road with their much stronger emphasis on state

Table 8.1 Effectiveness of judiciary

Countries	Disposition time of civil litigious cases at first instance courts (in days)	Clearance rate for civil litigious cases	Business friendliness of the judiciary
Baltic and Balkan	187	91	0.64
Visegrad	209	102	0.57
South	305	87	0.36

Source: European Commission CEPEJ Reports.

Table 8.2 State restructuring: supply-side policies in the East and South, 2007

2007	Corporate tax	VAT in total revenue (%)	Horizontal aid (% of GDP)	Labour rigidity	Education (% of public spending)	Welfare (% of GDP)	Government R&D spending (% of GDP)
Visegrad	18.68	21.45	0.83	1.74	10.62	18.79	0.23
Baltic and Balkan	14.08	27.44	0.21	2.44	12.61	13.15	0.17
South	26.6	19.3	0.24	3.06	10.61	21.32	0.15
EU average	22.18	21.08	0.38	2.2	11.5	20.98	0.2

Source: Eurostat.

aid and R&D. The restructuring of states of the European South certainly resembled neither. While allowing for trade and investment liberalization, Southern states as a matter of fact experienced very little restructuring to begin with, and to the extent that some policy reforms were apparent they went in the direction of decreasing competitiveness while simultaneously increasing social expenditure and compensating for the potential adverse effects of market integration.

Divergence has been shaped by a number of different factors, among which domestic economic structures, historical legacies, and political systems certainly play important roles. Systemic regional differences however cannot solely be explained with reference to domestic factors, and they have been shaped by the very different means used by the EU to promote institutional capacities linked to the liberal developmental state. We turn to these strategies in the next section.

THE MEANS OF INTEGRATING PERIPHERIES: VARIETIES OF EU BACKYARD MANAGEMENT

The concept of ‘backyard management’ denotes different strategies and actions exercised by the core countries and EU actors to manage the integration of the peripheral, economically less competitive countries in the common market. The concept comes from Wade Jacoby (Jacoby 2010). Jacoby was among the first to argue that the EU was trying to manage globalization by managing its East European ‘backyard’. Focusing on the Eastern peripheries, Jacoby provided an innovative analytical framework for the study of EU strategies to integrate countries in its peripheries. His key argument was that the EU15 core states acted as rational calculating actors, and saw the integration of the Eastern backyard as an opportunity to exploit its proximity and lower costs. Rational calculating considerations can be a good starting point to

understand the behaviour of core countries and the Commission. We depart however from a second assumption, implicit in his thesis that the core countries or the Commission could act as if they were independent from the peripheries. Because of complex interdependences, we argue, the EU core could not completely disregard the interests of the peripheral countries and externalize the costs of integration (Bruszt and Langbein 2014). Persistent economic disparities could impose costs on core countries, or prevent them from further integration or gain access to better-integrated markets. Once acquiring the member state status, peripheral countries could use their political powers to slow down or block further integration. The EU core had to consider at least part of the developmental consequences of enlargement in the peripheral countries. Backyard management represented attempts to cope with economic and political interdependence by trying to anticipate and manage the potential negative externalities of integration in the periphery, and thereby also to prevent costs that could eventually spill over to the core countries.

From the perspective of backyard management, one of the key developmental problems perceived by EU actors in both the East and the South was lack of competitiveness, measured in terms of the ability to increase their export market shares and improve their trade balance with the EU. Both the Southern and the Eastern periphery were assumed to suffer from inadequate or obsolete economic structures and weaker capacity to compete with firms from the core countries in the single European market. Furthermore, they were seen as having economies characterized by large-scale rent seeking, with domestic markets distorted by vested interests in the form of monopolies or subsidized enterprises. The key goals of this backyard management were hence to ensure that besides imposing EU-conforming institutions to implement the rules of the regional market, steps would be taken to upgrade the market power of weaker categories of economic actors and subnational units, and increase the competitiveness of domestic economy. The EU has however used different strategies to further these goals. It uses indirect means based on incentives in the case of the Southern periphery, while engaging in direct institution-building in the case of the Eastern periphery.

Getting the Incentives Wrong: Backyard Management in the South

The problems of the integration of the European South were widely debated and discussed both in academic and in the policy circles, as European economic integration intensified with the passage of the Single European Act and preparations for the EMU (Laffan 1984, Delors 1989). Economic considerations were not at the forefront of the negotiations for the accession of these

countries to the EC simply because at the time there was no single European market to begin with. Rather, the problems of their peripheral economic position became salient only with the deepening of economic integration from the late 1980s onwards. From the perspective of the less developed parts of Europe, the strategy of integration had two key components. On the one hand, the creation of the single European market presupposed the imposition of the same market rules on all the member states and the creation of a level playing field that included the abolition of all national obstacles standing in the way of the free movement of the factors of production. On the other hand, disparities in economic power and economic divergence were seen as factors that could endanger the creation and consolidation of such a level playing field. Therefore, beside the imposition of the rules of the level playing field, the EU also had to foster levelling the market power of various members, increasing competitiveness. A Community-level economic policy was considered (and rejected) at a very early stage and it was the SF reforms of 1988 that had made a less ambitious first effort to cope with the problem of asymmetries in economic power.

For the leaders of European integration, the fact that Southern economies were at a much lower level of economic development represented a challenge from the perspective of potential economic costs, and from the perspective of the future of European integration. EU policymakers worried that reactions to economic difficulties in the process of integration could stall further implementation of the reforms and jeopardize the entire process. Concerns about economic disparities as an obstacle to further economic integration were high on the agenda in the late 1970s; with the accession of the countries from the South these concerns grew further (Laffan 1984). Disparities as potential constraints on further market integration is already present in the Werner Report of 1970 (Council-Commission of the European Communities 1970) and in the Marjolin Report of 1974; they recur in the Delors Report nearly two decades later (Delors 1989: 18). Besides the fear that without EU-level interventions the peripheries would be among the losers of monetary integration, some economists added their suspicions that the monetarist model could not work in a Eurozone composed of heterogeneous national economies (Eichengreen 1990, Feldstein 1997). However, the majoritarian view was that more intense interaction in the EMU and the incentives linked to the Maastricht criteria would in turn shape the incentives of Southern states, compelling them to improve competitiveness and ensure the convergence of economic conditions (Dyson and Featherstone 1999, Heipertz and Verdun 2010).

The EU has used a mixture of incentives to alter the structure of constraints and opportunities of domestic public and private actors and advance the desired state reorientation. The Southern states were obliged to liberalize the flow of capital, goods, services, and labour across their borders, create the domestic state institutions that could implement EU regulations, and bring

about within their states the institutions that could guard the freedoms of the regional market. Building such state capacities was a member state task. The reforms were supposed to emerge thanks to the sanctioning powers of the European Commission and the European Court of Justice, who could only react *ex post*.

Trade liberalization and the liberalization of capital markets were critical. By taking away exchange rate setting as one of the shields of the protectionist nation-state, EMU would prompt both public and private actors to adjust to the competitive demands of the integrated market (Torres 1998, Boyer 2000, Crouch 2000, Rhodes 2002). The weakness of the infrastructural powers of the Southern states to coordinate the actions of market actors in order to ensure increased competitiveness, macroeconomic stability, and reduce inflationary pressures were key problems (Delors 1989: 20). The rise of competitive corporatism in a number of Southern countries prior to EMU entry gave rise to the hope that with the help of EMU conditionality, the Southern states finally gained the capacity for macroeconomic coordination (Rhodes 2002, Radaelli 2002), although at the time there were voices warning that such a capacity may not persist in the course of their Euro membership (Crouch 2000). In addition to fostering coordination and concertation of social interests, joining the EMU and committing to the Maastricht criteria was seen as an important element in creating the incentives for the 'modernization' of the Southern welfare state (Rhodes 2002), while it was also supposed to foster tax competition and competitiveness-enhancing reforms, especially in small countries where domestic demand was less relevant for economic growth (Le Cacheux 2007). Overall, the main expectation from the EMU was that it would prompt stronger reorientation towards increasing competitiveness, while the Maastricht criteria and the Stability and Growth Pact were supposed to help bring about the culture of stability and 'sound public finance'.

The other aspect of the liberal developmental state—namely, the developmental capacity to reduce territorial differences in the ability to profit from the European market—was the focus of the 1988 reform of the SFs. This reform was based on the rejection of the older 'territorial Keynesianism', under which the central state governed territorial development. In its place the new regime included subnational state and non-state actors in the design of national-level programmes affecting the regions. Furthermore, as a key innovation, the SF reforms also involved the Commission in setting the framework goals and the principles for the spending of EU developmental moneys and monitoring their implementation (Hooghe 1996, Ansell 2000). This institutional setup was expected to get the incentives of national governments right: it would alter their developmental capacities by depriving them of the capacity to redistribute resources directly and by forcing them to follow strict rules and principles in setting framework developmental goals in an institutional arrangement that extended central government actors' accountability downwards to subnational

actors, and upwards to EU-level actors (Hooghe and Marks 2004, Keating 2006, Bruszt 2008). Caught in this pincer, central governments were expected to act in a principled way and to prioritize reducing developmental disparities, instead of using EU moneys for the nurturing of their local clientele as they did in many cases in the old centralized model.

All in all the EU relied primarily on incentives to further state restructuring in the South in order to strengthen these states' regulatory, transnational market making, and developmental state capacities, without much concern about the market-preserving or general administrative capacities of these states. The outcomes of these different elements of integration, however, turned out to be different from the initial expectations. While the liberalization of the flows of goods and capital was supposed to force the Southern states to reorient towards increasing competitiveness, the membership in the EMU has in practice acted to shield them from these pressures. It has insulated the Southern economies from the pressures of international financial markets (Vukov 2016). The creation of the common currency in Europe resulted in the convergence in yields on government bonds, while also making the pricing of corporate bonds dependent on the sectoral and credit-risk characteristic of issuers, with country factors playing only a small role (Lane 2006). In other words, until the 2008 financial crisis, all of the Eurozone countries appeared equal in the eyes of the international financial markets. Hence, rather than fostering the implementation of reforms aimed at increasing competitiveness, the EMU anaesthetized the capacity of Southern states to implement reforms (Torres 2009, Royo 2009). Before EMU accession, stabilization efforts and the principle of 'sound public finance' did indeed become a priority for national governments. This prioritization turned out to be a short-lived phenomenon; once their borrowing costs converged with the rest of the Eurozone, the Southern governments (with the exception of Spain) reduced fiscal discipline (Verney 2009).

On the other hand, the EU efforts to foster structural and technological change (infrastructure, R&D, and support for small- and medium-sized enterprises), and to increase the market power of local economic players by increasing positive externalities of integration, were relegated to the subnational, regional level. The EU's efforts to create and consolidate a 'networked governance' that could encourage central governments to reduce territorial disparities were weakened by the resistance of central governments, who wanted to have a freer hand in distributing EU moneys. In the early 1990s, the Commission still stressed the need for creating subnational 'endogenous problem-solving capacity' by empowering subnational public and private actors. By the turn of the century the Commission returned the power to central governments (Bruszt 2008). Left largely on their own, regional actors lacking subnational territorial organization could not politicize and translate territorial problems of economic transformation into effective political

demands, and could not prevent the recentralization of developmental decisions. In the new constellation of powers, states could use EU moneys as free rents with weak incentives to care about reducing developmental disparities. Consequently, SF reforms failed to reduce territorial disparities in the member states (Boldrin and Canova 2001). Given the low economic openness and lower institutional quality, as well as higher corruption, the SFs had a negative effect on growth in Portugal, Spain, and Greece (Ederveen et al. 2006: 17).

Getting the Institutions Right: Backyard Management in the East

In the case of the Eastern peripheries, the EU could not take for granted that their economies were ‘functioning market economies’ to begin with. At the time of the Copenhagen summit of 1993, when the EU had to formulate the criteria of membership for the countries in its Eastern periphery, bureaucrats in Brussels were busy defining and operationalizing things that were previously taken for granted and never defined by the core countries: e.g. ‘functioning market economy’ and ‘capacity to withstand competitive pressure within the EU market’. The problem of lower competitiveness was framed primarily in the form of the fears that the ‘not yet market economies’ of the East—with their underdeveloped states, obsolete industries, and dysfunctional institutions—would collapse like a house of cards if they came to play by EU market rules, exposed to competition from some of the strongest economies on Earth. The Copenhagen summit had to define the criteria of membership for these economies in the shadow of the near collapse of the East German economy after the hastily undertaken economic integration of the former German Democratic Republic economy with the strongest economy in Europe. While the core countries of the EU15 wanted to keep the costs of Eastern enlargement under control, the Southern member states of the EU had made clear that they supported Eastern enlargement only under the condition that their shares from the EU developmental moneys did not decline.

Hence, there was no expectation that European integration should bring rapid income convergence between the East and the West. The developmental goals of accession were defined primarily in negative terms: these countries needed the capacity to withstand competitive pressure within European markets. The emphasis in Eastern backyard management was on state capacities linked to creating ‘functioning market economies’ in the first place—including the market-preserving capacities, regulatory state, transnational market-making state, and general administrative capacities. Developmental state capacities were partly the same as for the Southern member states. However, the EU also pressed governments in these countries to create elementary

planning capacities to foresee and manage the potential negative externalities of integration, and to prevent large-scale economic shocks.

The Commission was ambiguous about the imposition of policies linked to market liberalization and the hasty implementation of the EU rules in the fledgling Eastern market economies. On the one hand, the Commission saw these requirements as non-negotiable preconditions of membership. On the other hand, it could not be sure whether these countries could meet these requirements or assess if their economies could survive economically with the new standards. The Commission, unlike the International Monetary Fund or World Bank of the 1980s, did not assume it possessed ultimate knowledge about what a functioning market economy was or what would make these economies able to cope with competitive pressure and market forces within the Union.

The governance of the economic integration of the Eastern periphery reflected these ambiguities and uncertainties. Instead of an arms-length checklist compliance, using the incentives linked to membership, the Commission involved the governments of the accession countries in several long years of joint problem-solving in more than thirty different policy areas. These processes started with the EU monitoring report that provided the opinion of the Commission on the distance between EU demands and the situation on the ground. That was followed by the applicant state's response with its plan to remedy these problems. The Commission often discussed these materials with diverse international organizations, ministers from the old member states, and Commission experts. Joint problem-solving and state restructuring went hand in hand. The Commission created detailed guidelines about specific state capacities that were required for each single policy field. It regularly monitored implementation.

While these steps were repeated year by year, until the Commission could close the specific chapter state restructuring in the East was growing embedded by the Commission in twinning programmes, a transnational network of technical assistance mobilizing thousands of public and private actors in the old EU member states. These later actors did not only help the Commission to get intimate knowledge in monitoring progress on institutional change. They also directly participated in joint problem-solving together with domestic actors (Bruszt and McDermott 2012).

The most important parts of EU requirements were all linked to state restructuring. Clearly, market-making in the East, from the perspective of the EU, was primarily about state-making. The listing of specific state capacities required for membership ran to over a hundred pages. They tackled all five dimensions of the liberal developmental state identified earlier: the capacity to create and maintain market order; the capacity to regulate the economy by the rules of the EU; the capacity to promote transnational market-making and prevent any protectionist measures; building up EU-conforming state

institutions to manage SF monies; and via civil service reforms improve the general administrative capacities of these states.

The first group of institutional requirements—the capacity to create and maintain market order—was absent in the South, as the existence of these capacities was assumed. The operationalization of state capacities required for a functioning market economy could have easily been written by Max Weber. Reflecting the fears of the Commission that without rational law and rational bureaucracy such an economy will not come about, the Commission created elaborate demands about the institutional requirements for creating an independent judiciary, the key element of the market-preserving state (Weingast 1994) steered with a cohesive and capable state bureaucracy, a requirement absent from the integration of the South (Meyer-Sahling 2009). Besides institutional guarantees for the independence of the judiciary and its extended powers to supervise the other branches of government, the Commission regularly checked whether the courts were staffed with well-trained and well-paid judges who resolved cases impartially.¹

Originally the second group of EU institutional demands—the capacity to regulate the economy according to EU rules and the creation of institutional guarantees for the free flow of goods, services, and capital—were the most important and most elaborate parts of state restructuring in the East. The EU regularly controlled progress in the implementation on the EU standards and regulations sector by sector and policy field by policy field. A large part of the EU assistance programmes was spent on training the necessary staff for the specialized regulatory institutions, and to endow these state units with the right infrastructure. When facing the more complex problems with elementary state capacities in the Balkans, the EU put a much stronger emphasis on the previous types of requirements, including the need to strengthen the judiciary, to bring about elementary administrative capacities, and, in the first place, to create the elementary state capacities to resist corruption (Dimitrova 2005, Vachudova and Spendzharova 2012).

Whereas in the Visegrad countries the EU could focus on upgrading already-existing sectoral state institutions, in the Balkans in many cases these state units either did not exist, or worse, they existed but were corrupt. The EU had to deal with restructuring states that were weak in their administrative structures, were built on patrimonial principles in their selection and promotion procedures, and were wide open for corruption (Meyer-Sahling 2009, Vachudova and Spendzharova 2012).

¹ The regular monitoring reports of the Commission carefully evaluated such aspects of the judiciary as (1) progress in building up a well-staffed, well-trained judiciary with continuously upgraded knowledge about domestic and European legal change; (2) factors shaping the independence of the judiciary, including procedures appointment, promotion, and distribution of cases to judges; (3) balanced workload, length of handling the cases; (4) fairness of legal procedure; and (5) the capacity of the judiciary to control the executive and the legislative.

Just a few years after being liberated from a 'planned economy', these countries had to learn planning the EU way. Bureaucrats working in various sectors and policy areas were trained to do the Commission-style reporting of problems on the ground. The transfer of EU assistance in the first wave of Eastern enlargement (€28 billion to the countries that joined the EU in 2004) was tied to the problems detected in these reports. Assistance programmes in the countries of the Balkans were intensive. They were directed at the creation of elementary economic state capacities, and included special projects to help the strengthening of the domestic demand side for state upgrading.

Measured by its own metric, to prevent the sinking of the Eastern economies in the process of their integration, the EU state-building efforts were successful. Corruption is still high in Bulgaria, Romania, and the Czech Republic. In some areas of state reform there are reversals (Meyer-Sahling 2009), but according to all measures state capacities in these countries have converged to the level of the Southern peripheries of Europe and have in many respects even surpassed them. Moreover, the simultaneous liberalization of capital markets and the imposition of EU rules that prevented discriminatory treatment of non-domestic firms altered the composition of players in domestic economies. In the most developed new member states, 60 to 80 per cent of productive assets are in the hands of non-domestic actors, mainly MNCs. The rapid transnationalization of these economies transformed the domestic demand side for state restructuring. MNCs that have to compete with other Europe-wide value chains became robust advocates in these countries of EU standards to prevent unfair competition.

CONCLUSIONS

In the course of their European integration, the Southern and Eastern peripheries of Europe have taken radically different roads, characterized by different forms of state restructuring and dissimilar developmental strategies, and resulting in diverging patterns of insertion into European and global markets. While the East has witnessed the emergence of liberal developmental states with varied properties, the South has witnessed much less state restructuring. At the same time, the East has embarked on developmental paths marked by deep FDI-based transnationalization and export-led growth, with the leading economies getting close to the EU core state standards in the structure of their exports, while nevertheless remaining in the periphery at the levels of per capita GDP and consumption. Nearly the opposite is the case in the Southern periphery, with transnationalization based primarily on foreign borrowing and investment in non-tradable sectors, and with levels of consumption reaching the core countries while lagging way behind them in their peripheral patterns of production.

A large part of this variation is also due to the differences in domestic factors. We do not intend to deny their importance in the process of state restructuring and the emergence of divergent developmental pathways. Our argument is nevertheless that differences in the strategies of backyard management exercised by the EU played an important role by shaping in divergent ways the structure of incentives, constraints, and opportunities for domestic agency in the two peripheries of Europe. Rather than assessing these strategies and their divergent outcomes simply as a success or failure, we suggest that each of these pathways thus far represents different developmental dilemmas and poses different challenges to further state restructuring in Europe's peripheries.

While the EU has relatively strong tools to sanction the implementation of its own regulations before and after accession, once a country becomes a member the EU has weak tools to influence the building or maintenance of usable state bureaucracies. The EU has only slightly stronger powers to control the institutional parameters of the judiciary. It is not by chance that 'experimentation' in some of the new member states started with these two state institutions, despite the danger that these countries might in the end converge to the South while further diverging from Western Europe.

Developmental problems for both peripheries call not only for strong domestic institutions and national economic capacities, but also for the regional, EU-level capacities for dealing with externalities of integration in a way that goes beyond relying simply on domestic state restructuring. Such regional capacities are, however, in short supply for the time being. In the absence of regional-level economic and fiscal policies the means for such developmental agency at the EU level remain scarce.

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The Reshaping of Economic Markets and the State

Economic Crisis and State Changes

Mark Thatcher

The relationship between the state and economic markets lies at the heart of debates about the power and role and indeed nature of the state in capitalist societies. In an era of strong neoliberal rhetoric about ‘rolling back the state’, ‘cutting red tape’, and ‘freeing markets’, it is too easy to lose sight of the fact that views of the state’s role have evolved over time in comparative political economy, that such rhetoric may differ from actual policies and institutions, and also that the state and market are highly intertwined.

Moreover, while much attention in political economy has been focused on how the state affects markets—negatively or positively—less attention has been given to how the roles played by the state in shaping markets influence the nature of the state. This chapter explicitly addresses this issue, looking both at how the state has sought to alter economic markets and conversely how such efforts have involved modification of the state. It focuses in particular on functions of providing services and funding, influencing market structures and outcomes, and long-term planning.

The dominant academic literature underlines moves away from traditional post-1945 structures, ownership, and functions that saw the political executives play direct roles in markets towards an indirect or regulatory state. However, the chapter argues that this view omits the continuing direct role of the state. Indeed, economic developments, especially the recent crises after 2000, have revealed and revived the continuing direct roles of the state—as owner, as policy leader, and as direct participant—and sometimes led to increases in these. What has changed in relation to previous periods, however, is that the state’s direct role sometimes takes new forms and uses different policy instruments, and is layered on to more indirect forms of state shaping of markets. States are being transformed into both regulators and direct participants at national and international levels.

The chapter focuses especially on state actors themselves—elected politicians and unelected officials inside central government and elsewhere—and therefore takes the state as an active participant in decisions about its own form and structure. It does not treat ‘the state’ as a unified entity—rather, it follows the editors in Chapter 1, and looks at different actors within the state. In particular, it distinguishes between political executives (elected politicians and their officials) and non-majoritarian institutions, notably independent central banks and independent regulatory agencies. Its main focus is industrialized countries. It begins with a discussion of the move towards the indirect governance or the regulatory state, and especially its analysis of the state. Thereafter, it offers a critique, using recent ‘statist’ work, before offering empirical examples of the continuing or even increased direct role of the state in shaping markets, and the implications for its ownership, structure, and functions, as well as explanatory factors for this role. It ends by offering an overview of the state that combines direct and indirect roles, and contrasts it with major analyses of the move towards ‘the regulatory state’.

THE MOVE TO THE INDIRECT STATE OR REGULATORY STATE

Literature in comparative political economy in the 1960s and 1970s underlined the growth of the state’s direct role in markets after 1945 (cf. Shonfield 1965, Hayward and Watson 1975). It pointed to the size, structures, and functions played by political executives in Europe in shaping markets. The state (often national governments, but also regional and local authorities) owned major firms and indeed entire industries such as network industries and ‘strategic industries’, notably coal, steel, shipbuilding, and cars, as well as finance. Nationalization of major industries took place, not only in the immediate aftermath of the Second World War but also at other times—for example, the 1970s in Britain (under both Labour and Conservative governments) or the early 1980s in France (after the victory of the Left in 1981). In many sectors, especially network industries, these state-owned enterprises (SOEs) enjoyed a legal monopoly. In other sectors, such as banking and other parts of finance or parts of the media, the state effectively created oligopolies by formally or informally licensed firms and/or financing and supporting a small number of firms. Finally, in Europe, most legal powers were, at least nominally, in the hands of elected politicians—often central governments (e.g. in the UK and France) but sometimes also regional or municipal ones (e.g. Germany, or in the case of water and sometimes energy).

Of course cross-national, cross-sectoral, and temporal differences existed. Work on statism, planning, and corporatism contrasted the capacity of the French state with less 'statist' countries such as Britain, or the coordination that took place in Germany and many Nordic countries (Shonfield 1965, Wilks and Wright 1987, cf. Dyson 1980). In general, countries with stronger states were seen as more successful in industrial policy (Zysman 1977, Dyson and Wilks 1983, cf. Cawson et al. 1990). *Grands projets* in France were the epitome of the 'strong state', able to lead long-term projects supported by state finance and bringing in private and publicly owned suppliers, in sectors such as telecommunications nuclear energy, high-speed trains, and aerospace (Muller 1989, Cohen 1992, Hayward 1995). The US was the most 'exceptional' case among industrialized countries, being marked by 'regulation' (a term rarely applied in Europe, where concepts such as industrial policy were more common), due to low levels of public ownership of suppliers, the existence of more formalized rules governing supply, and the existence of a number of 'independent regulatory agencies' or 'commissions' (e.g. the Securities and Exchange Commission or the Federal Communications Commission). Nevertheless, in most countries in Western Europe the state was a major direct actor in supporting national champion firms in many sectors. 'Neoliberal' critics were rare and largely marginal (cf. Schmidt and Thatcher 2013). Indeed, economic liberalism seemed an outdated doctrine.

However, from the 1980s onwards, economic markets and understandings of such markets altered sharply. Studies underlined changing economic conditions such as oil crises, stagflation, and fiscal constraints, and then in the 1990s vastly increased capital mobility and 'economic globalization' or at least internationalization. Equally, 'liberal' economic policies such as free trade, capital mobility, or floating exchange rates spread (Simmons and Elkins 2004, Simmons et al. 2006, cf. Streeck and Thelen 2005). Ideas too altered, as Keynesian demand management became unfashionable and was seen as difficult to implement. There were disagreements about the extent of change and its novelty historically, especially over the concept of 'globalization' (Hirst and Thompson 1999), but less about its direction. Naturally, state policies contributed to the changes in markets—but here our interest is in how these affected or fed back into the state's role in economic markets.

In the face of such economic liberalism or 'neoliberalism', analyses underlined a transformation of the state's structure and role in markets, away from direct roles in shaping markets (Wright 1994). Early analyses talked of the 'retreat of the state' or the 'powerless state' in the face of economic globalization' (cf. Strange 1988, 1996, Andrews 1994). Others saw 'the state versus the market', presenting the two as opposed modes of governing economic exchange. Equally, the concept of 'deregulation' became popular. However, such analyses, reflecting political rhetoric, were rapidly criticized and met major problems: far from retreating, the state appeared to be highly involved

in reshaping markets, notably through forms of privatization and reregulation (Muller and Wright 1994); not only was the existence of economic globalization challenged (Hirst and Thompson 1999), but claims that it rendered the state 'powerless' and drove state policies and structures to a 'liberal state' were rapidly and strongly countered (Weiss 1998, Garrett 1998).

Later studies offered more sophisticated approaches. Two are selected both because they illustrate changing views of the state and because of their importance. Work on varieties of capitalism suggested that in the face of 'economic globalization', countries would maintain their distinctive national institutions, rather than converge on one model (e.g. Hall and Soskice 2001). Initial versions, however, were striking in their treatment of the state, which was largely absent from the two stylized models—liberal market economies and coordinated market economies—or at best in the background, supporting firm-centred institutions (for critiques, see e.g. Crouch and Farrell 2004, Crouch 2005).

In the face of powerful criticisms, varieties of capitalism work began to give greater attention to the state, through acknowledgement of the state's role in liberal market economies (LMEs) and coordinated market economies, both by looking at whether the state played a direct or arm's-length role and through the development of other varieties such as 'state-influenced market economies' or 'mixed market economies' (Schmidt 2002, 2003, Hancké et al. 2007). Nevertheless, the state's role in shaping economic markets in the face of economic changes was seen as becoming more difficult, and indeed likely to be unsuccessful (e.g. in mixed market economies, Molina and Rhodes 2007). Indeed, analyses suggested a move away from direct intervention towards more direct forms, with even France becoming seen as a non-Étatist country, or at least using 'faire-faire' or 'faire avec' rather than 'faire' (Hancké et al. 2007, Schmidt 2009).

Perhaps the most sophisticated analyses concerned the state and regulation. They started from the argument that the state remains deeply involved in markets, but that the form of its activities have become more indirect, and especially regulatory. Indeed, as competition spreads, so state regulatory activities have grown—'freer markets, more rules' (Vogel 1996). Giandomenico Majone's highly influential studies (Majone 1994, 1996, 1997) argued that 'the regulatory state' had replaced the 'positive state' due to changing international economic conditions, European integration, and the perceived failure of public ownership and Keynesianism. The 'positive state' involved state activities and political conflicts being centred on redistribution, notably through fiscal policy, with the key role played by the executive and especially ministerial departments, and with them political parties and civil servants. Policymaking was often undertaken by a small number of actors, and indeed the dominant style is frequently corporatist. In contrast, the regulatory state's core activity is rule-making, especially as competition is extended. Indeed,

much regulation is focused on competition. The role of the central executive is reduced, at least relative to other major institutions such as the EU and independent regulatory agencies (IRAs), as well as experts and judges. Policy-making occurs through a rule-bound culture, but with much greater pluralism as many more actors, especially single-issue movements and experts and regulators, participate. Although Majone accepted that the speed of change might differ across polities (notably being strongest at the EU level), his central claim was that the EU and national states were moving towards the more indirect regulatory state roles.

AN ALTERNATIVE VIEW: THE CONTINUING DIRECT ROLES OF THE STATE

Claims of an increasing move towards indirect state roles in markets have substantial empirical support. Policymakers, especially at the national level, engaged in ever-widening and spreading privatization from the 1980s onwards. From initially rather modest beginnings that were highly concentrated in Britain (cf. Vickers and Wright 1989), privatization spread across European countries, including 'statist' countries such as France or coordinated or corporatist ones such as Germany (Obinger et al. 2013). Equally, it was extended to long-standing state-owned sectors such as telecommunications, energy, postal services, and stock exchanges (Thatcher 2007). Governments from both left and right engaged in sales of SOEs. At the same time, the structure of the state has been substantially altered through the creation of independent regulatory authorities, and more generally delegation to non-majoritarian institutions (Thatcher 2002, 2005, Gilardi 2008). IRAs have been given substantial powers over the nature of competition, from licensing to price controls. Their duties have often centred on the promotion of competition.

State functions within markets seem to have altered. At least four major state functions or roles can be identified and analysed: providing services or funding; influencing market structure; influencing market outcomes (e.g. prices, range of services, etc.); and long-term planning. For each of these, there seems to have been significant moves away from direct state roles. With respect to directly providing services or funding, widespread privatization has occurred in Europe (and elsewhere), with the sale of many publicly owned companies in sectors such as the network industries, steel, coal, and finance (Clifton et al. 2006, Thatcher 2007, Schneider and Häge 2008). State subsidies have met powerful EU and World Trade Organization rules that limit their scope. Thus, for instance, state aid has been increasingly regulated by the European Commission, which claimed to apply stringent tests

(Smith 2001). Non-crisis-approved state aid has declined somewhat and is at fairly low levels of under 1 per cent for the EU as a whole.¹

In terms of market structure, traditional state monopolies in industries such as telecommunications, energy, postal services, airlines, or even railways have largely been ended by EU and national legislation (Thatcher 2007). Moreover, the scope for state discretion and action over the ownership of private companies has met legal constraints. Thus, after the 1989 European Merger Control Regulation, most large mergers are decided by the European Commission,² so that, for example, in major industries such as banking, energy, and telecommunications the Commission dealt with several hundred cases between 1990 and 2010 (Thatcher 2014).³ Decisions are based on grounds of promotion of competition, with little room for other factors such as supporting favoured firms or state-planned industry restructuring. At the national level, a similar process took place for many countries, which formalized procedures and emphasized competition as the main aim of policy and criterion of decision making rather than *grands projet* objective of developing large firms.

Traditional state controls over market outcomes have also been reduced. Thus administered prices decided by elected politicians—either directly or through ownership of suppliers—for goods and services have been eliminated in most sectors. Instead, privately owned competing suppliers decide their tariffs. Equally, medium-term plans and planning organizations have been largely abolished. Indeed, ‘industrial policy’ became an increasingly unfashionable concept. Thus state functions appeared to move towards regulating competition and ‘steering’ markets rather than directly ‘rowing’ itself. The changes are summarized in Table 9.1

However, the emphasis on the indirect role of the state, especially in the face of internationalized and liberalized markets, has met with the development of at least partial alternatives that seek to ‘bring the state back in’. In response to

¹ European Commission data show that it was 0.67 per cent of EU GDP in 2000 and 0.52 per cent in 2012: <http://ec.europa.eu/competition/state_aid/scoreboard/non_crisis_en.html> accessed October 2014.

² In 1989, limits of aggregate worldwide turnover of more than 5 billion ECU (European Currency Unit) was lowered to 2.5 billion ECU and aggregate EU turnover of at least two of the firms of over 250 million ECU were lowered to combined aggregate turnover in each of at least three member states of 100 million ECU, with the turnover of at least two of the firms being more than 25 million ECU and aggregate EU-wide turnover of at least two of the firms being 100 million ECU.

³ In contrast, national competition agencies dealt not only with the smaller mergers and acquisitions but also fewer—for instance, between 2000 and 2007, the UK Competition Commission dealt with only two cases in banking, one in energy, and three in telecommunications; for France, the figures were fourteen, seven, and twelve, whereas the Commission dealt with seventy, 125, and 123 cases—Annual Reports of the Competition Commission and Direction Générale de la Concurrence, de la Consommation et de la Répression des Fraudes, Ministère des Finances, and European Commission. <<http://ec.europa.eu/competition/mergers/statistics.pdf>> accessed June 2010 and <<http://ec.europa.eu/competition/mergers/cases>> accessed September 2013.

Table 9.1 Apparent reductions in the state's direct role in markets

State role	Apparent reduction
Provision of services and funding	Privatization of state-owned suppliers and banks; EU regulation of state aid
Influencing market structure	Legal liberalization of supply
Influencing market outcomes	Prices set by privately owned companies
Long-term planning	Abolition of medium-term plans and planning organizations

claims that the state has been neglected in work on 'varieties of capitalism', a growing literature in comparative political economy claims that far from being diminished, the state 'also rises', notably by (re)structuring markets through new regulatory instruments and forms of industrial policy (Moran 2003, Levy 2006, Block 2008, Schmidt 2009). Such literature seeks to overcome simple divisions between 'statist' and 'non-statist' countries or between state intervention or non-intervention. Instead, it accepts that the state is deeply implicated in structuring markets, and the interesting questions concern which strategies and instruments the state adopts.

One example is an emerging literature on 'economic nationalism' or 'economic patriotism' (Clift and Woll 2012: 318, cf. Helleiner and Pickel 2005, Rosamond 2012). Studies on 'economic nationalism' point out that countries can pursue 'nationalist' objectives but through means other than mercantilism, including different forms of liberalization (Helleiner 2002). Work on 'economic patriotism' argues that even if markets are highly exposed to cross-border trade and capital flows, the state can engage in 'economic partiality' that involves policies that seek to aid domestic interests and/or discriminate economically against territorial outsiders (Clift and Woll 2012: 318, cf. Rosamond 2012). It can do so through protectionism, which seeks to preserve the status quo, or alternatively through 'liberal economic patriotism' that opens up markets to competition, but in ways that advantage domestic interests (Clift and Woll 2012: 316–17). Moreover, it can engage in 'economic patriotism' through different instruments—not just for each state strategy, there are also choices of policy 'target' or instrument. Thus protectionism can take place through classic barriers to trade that close markets to outsiders, or through measures to favour domestic firms such as subsidies and regulation maintaining domestic standards. 'Liberal economic patriotism' can occur through liberalizing selectively in certain domains where policymakers believe domestic firms enjoy a strategic advantage or by reregulating with rules that are unfavourable to overseas firms (Clift and Woll 2012: 316–17). The literature argues that an 'economically patriotic' or 'economically nationalist' state exists even in LMEs.

Recent 'statist' work is valuable in challenging the emphasis on the state as merely a regulator of competition, and in distinguishing policy strategies from

policy instruments (cf. Le Galès and Lascoumes 2004)—the latter can change even if the former do not. This chapter follows its line of argument and seeks to take it further. It suggests that the ‘direct state’ remains alive and well in economic markets. It argues that political executives—elected politicians and their officials—remain key actors in economic markets, and that they pursue their strategies through old and new policy strategies. The direct features of the state do not mean a loss of regulatory functions—rather, the latter have been ‘layered’ on top (cf. Streeck and Thelen 2005).

In terms of direct state provision of goods and services, old instruments remain, and sometimes have seen revivals. Thus although the privatization of SOEs has continued in major domains (notably network sectors such as energy), not only have large and often controlling state stakes remained (cf. Schneider and Häge 2008), but also a converse process of direct and indirect national or renationalization has also taken place. When large national suppliers have been threatened with bankruptcy, nation-states have often stepped in and bought shares. Already in the 2000s, the UK, despite being classed a ‘liberal market economy’, rescued the private railway infrastructure operator Railtrack and the government is now the proud owner of Network Rail (which from 2013 is classed as part of the public sector). The financial crisis of 2007/8 revealed the state’s capacity to (re)nationalize large failing national companies. The most prominent examples have arisen in the financial sector, where states now own minority or even majority stakes in large banks—for instance, Royal Bank of Scotland/National Westminster and Lloyds in the UK. However, the movement has extended to other sectors—for instance, in Italy La Poste has taken an important stake in Alitalia, while in France there have been several attempts (some implemented) to ‘remunicipalize’ local water concessions and discussions of renationalizing the motorway operators. In the US, the financial crisis revealed that the state is in fact the ultimate owner of Fannie Mae and Fannie Mac, despite legal fictions of separation, and that when major firms such as Chrysler or General Motors risk bankruptcy, it can and does nationalize them.⁴

At the same time, new forms of state ownership have emerged. For a start, SOEs themselves have expanded by internationalizing, not just through exporting (which has greatly expanded) but through taking over other, overseas suppliers. Hence for example, EDF (Electricité de France), which is majority state-owned, has become the largest electricity company in Europe (by market capitalization), having taken shares in several other large suppliers (inside and outside Europe, including several privatized firms in the UK and Germany, such as London Electricity and ENBW). Moreover, state ownership can occur through public or semi-public holding companies and ‘investment banks’. Thus, for example, the Cassa Depositi e Prestiti in Italy has taken

⁴ Although the 2008–9 purchase of shares in Chrysler was ended by their sale in 2011 to Fiat.

stakes in major companies, both financial (e.g. to rescue Monte Paschi di Siena bank) and industrial. Several Western countries have established new 'sovereign wealth funds' that buy shares in domestic firms—e.g. the Le Fonds stratégique d'investissement (FSI, created 2008) and then Banque Publique d'Investissement (2012) in France or the Italian Fondo Strategico (2011).

Comparative quantitative data on state ownership are difficult to obtain, especially in time series form. Moreover, data can be biased by incentives of countries to hide it and/or the normative bias of many international organizations against state ownership.⁵ Bearing these important caveats in mind, one indicator of 'state control' is provided by the Organisation for Economic Co-operation and Development (OECD) study of product market regulation.⁶ It shows a fairly significant decline in state control between 1996 and 2003, but thereafter a much more mixed pattern between 2008 and 2013—with some countries showing increases (e.g. Ireland, Iceland, and New Zealand), others stability (e.g. France and Belgium) and others continuing decline (e.g. Greece, Spain, and Portugal). An OECD analysis of SOEs in 2012 shows significant continuing state ownership. Interestingly, there are no figures for the US, which showed a small increase between 2003 and 2008. It would be fascinating to see how state support for car firms and for large financial institutions, including banks, insurance companies (e.g. AIG), and house financing (e.g. Fannie Mae and Fannie Mac) were counted. However, it is a snapshot and based on a survey of member states. Table 9.2 sets out the OECD's figures for Western countries.

However, it is indirect ownership and funding that may be larger than visible state ownership. Already for the US in the 1990s, the importance of the 'shadow state' was noted (Light 1999). The shadow has lengthened since then, thanks to different instruments, although by its nature it is very difficult to quantify. A key part is implicit state ownership through state guarantees. The crisis of 2007/8 revealed that many financial institutions enjoy *de facto* guarantees, which in some cases became *de jure* in times of need. Moreover, important financial instruments have also allowed the state to attempt (successfully or otherwise) to influence lending. Governments have continued direct state funding for firms. They have provided state aid to struggling companies—from banks to car companies, plus other prominent examples such as airlines and even France Télécom. State banks continue to offer finance—not just well-established ones such as the Caisse des Dépôts et

⁵ For example, the OECD exhibits concerns about the 'unfair' advantages of state-owned enterprises, their difficulties of corporate governance, or whether they lower efficiency—see OECD 2012 and Kowalski et al. 2013—but does not exhibit similar levels of critical scrutiny towards privately owned firms, for instance in the financial sector, despite the prominent part played by privately owned financial firms in the financial crisis after 2008.

⁶ <<http://www.oecd.org/corporate/ca/oecd dataset on the size and composition of national state-owned enterprise sectors.htm>> accessed September 2014.

Table 9.2 OECD data on state controls

Indicator	STC: State control			
Year	1998	2003	2008	2013
Country				
Turkey	4.4233427	4.1465597	3.6556759	3.4363689
Greece	4.2409129	3.8082786	3.3257184	2.8197126
Portugal	4.0446529	3.4168065	2.8948812	2.1832292
Italy	3.8182473	3.1501875	2.5800891	2.1418452
Spain	3.6870742	2.4938581	2.1627815	1.8570992
France	3.4117589	2.8273253	2.4145327	2.3709273
Hungary	3.4020095	2.470068	2.0313101	2.0494869
Czech Republic	3.2754493	2.578126	2.1129861	1.9505452
Belgium	3.1581228	2.3452258	2.1467278	2.1918879
Austria	3.0901964	2.3328528	1.9499971	1.6704669
Switzerland	3.052331	2.7534988	2.6552005	2.6783919
Ireland	2.9985859	2.5049686	1.8368714	2.1243005
Poland	2.974679	3.569165	3.3164487	3.0631847
Netherlands	2.9651284	2.2766023	1.4395179	1.4332321
Norway	2.809582	2.1849089	2.19507	2.1297629
Finland	2.7476711	2.2599952	2.1791396	2.1329598
Korea	2.6031113	2.0955782	2.438935	2.4686151
Iceland	2.5986662	1.9277139	1.8387318	1.9684445
Mexico	2.583895	2.2847023	2.11689	2.0166087
Germany	2.5713673	2.1458712	1.9937351	1.8574901
Denmark	2.315362	1.8333026	2.0254462	1.9659157
Australia	2.2771125	1.5882808	2.2055373	1.9879792
Sweden	2.2054441	1.9095371	2.388495	2.2244525
Canada	2.1474288	2.0800376	1.9603789	1.9195344
Japan	1.8743045	1.6555464	1.9039646	1.8537081
United Kingdom	1.6806819	1.1534009	1.6318237	1.5711745
United States	1.6248317	1.4255412	1.5013731	—
New Zealand	1.1793106	1.5545529	1.9283354	2.061861
Non-OECD Member Economies	—	—	—	—
Slovenia	—	—	2.7422261	2.5027826
Slovak Republic	—	3.0366666	2.3245091	2.3054862
Luxembourg	—	2.6943362	2.3380041	2.4490461
Estonia	—	—	1.8073441	1.6063105

Consignations (CDC) in France or the KfW (Kreditanstalt für Wiederaufbau) in Germany, which is owned by the Federal and regional governments and raises capital with a state guarantees, or the Cassa Depositi e Prestiti in Italy, which has lent to large firms in difficulties, but also newly created institutions, e.g. the recently established Banque Publique d'Investissement in France. However, perhaps more importantly, they have created indirect instruments such as state-supported financing schemes for industry, be these in the form of state-induced or monitored bank lending schemes (e.g. 'project Merlin' in the UK, whereby the banks agreed targets for lending to small banks, in return for

which they were offered cheap Bank of England funding). Thus for instance, central banks have accepted commercial paper as collateral assets. The sums are enormous—for example, the UK banks pledged to lend almost £200 billion (although the target was missed and includes lending that would have occurred anyway). The European Central Bank (ECB) for its part, announced in 2014 targeted longer-term refinancing operations (LTROs), which began with an offer of €400 billion in 2014 (and will grow over time), equivalent to about 7 per cent of all bank lending in the Eurozone area, but whose terms included lending conditions by the banks. Hence, far from reducing the size of the state in terms of suppliers, the crisis has seen the development of new instruments for direct and especially indirect state ownership, or at least the assumption of risks of supposedly privately owned firms, often away from the balance sheets of governments.

Although direct and visible state aid remains limited, governments have engaged in strong ‘tax competition’, seeking to offer the lowest tax rates to attract multinational firms, as well as aiding firms in general. Sometimes this has been part of public political strategies, and has even involved explicit redistribution—for instance, the Conservative-Liberal government in the UK reduced corporation tax rates and offered schemes such as the ‘patent box’ that permit firms to reduce taxes while also seeking to cut public spending, especially on welfare spending, while in France, François Hollande has introduced a policy that will reduce labour taxes paid by firms by €40 billion, paid for by increased taxes on individuals and public spending cuts. But perhaps the largest instrument of industrial support has been financial repression, as central banks have lent vast sums at very low interest rates to ‘private’ banks—representing a form of subsidy to such banks. In the energy sector they have offered guaranteed prices, backed by the state. More generally, various forms of ‘off-balance sheet’ schemes (such as public–private partnerships or financing) have seen state support and investment moved out of visible government budgets, although risks and potential liabilities remain with the state.

A second state role in markets is influencing their structure. National legal monopolies were a major traditional instrument to do this. Such monopolies have greatly declined, especially in network industries. However, governments use other policy instruments, some long-standing but others new. Even when opened up to competition, some markets require licences. Their allocation can be subject to ‘political interference’ as processes such as mobile telecommunications licensing shows (Thatcher 2005), often involving favouring selected suppliers. Moreover, governments can strongly influence the nature of competition, by decisions about how many and which firms are key players in markets. They may allocate public contracts to favoured firms, an instrument that has become more important as contracting out of public services has spread. Thus even in the UK, which claims to promote competition, a small number of ‘insider’ companies dominate certain markets, and continue to do

so even if their record is poor (the most notable examples are in large IT projects). In France, 'private' national firms such as Bouygues or Vinci depend heavily on major public contracts for which competition has been limited.

Political executives have also played highly visible roles in restructuring of firms, notably through mergers and acquisitions, sometimes through deciding sales and alliances, and sometimes through providing political support. There are many examples, which span 'statist' countries such as France (e.g. the marriage between GDF and Suez, or the creation of EADS under the 1997–2002 centre-left government of Lionel Jospin) to 'liberal market economies' such as the UK (for instance, the sale of TSB from the nationalized Lloyds bank to the Coop and then pressure on the latter to buy Lloyds branches). In Italy, the Berlusconi government prevented a takeover of Alitalia by Air France in 2008, and the previous Prodi government steered Telecom Italia towards an alliance with Telefonica to prevent an obvious and complete overseas takeover. Even the growth of EU regulation may not prevent governments continuing to build powerful national or international champions. Thus an analysis of three major sectors—banking, energy, and telecommunications between 1990 and 2009—showed that almost all mergers were among European firms and very few involved non-EU takeovers; moreover, several major mergers saw historic incumbent suppliers who enjoy close links with governments taking over other suppliers, yet these were approved by the European Commission (Thatcher 2014).

In terms of the operation of markets, political executives continue to enjoy and use direct formal and informal powers over key outcomes, including in domains delegated to IRAs. The most visible powers held by ministers are to set certain tariffs openly in several countries (e.g. for regulated energy prices for consumers in France, where on frequent occasions they have ignored the recommendations of the IRA based on economic formulae). Equally, 'informal' pressure can be exerted. This was seen in the UK in 2013–14, when a political row over rises in electricity prices by the six largest privately owned suppliers led to the opposition Labour Party promising a price freeze, parliamentary debates and committee scrutiny, and finally some limits on price rises. Finally, taxes and subsidies continue to play major roles. Thus for example, governments have influenced pricing decisions through altering 'green levies' on energy prices.

However, less visible powers have also been derived from newer instruments in many European countries. One source are licence conditions, which governments can strongly influence. Thus for instance, in the 'liberal' UK, the government is preparing long-term energy supply licences for nuclear energy suppliers with minimum prices ('strike prices') that are double current levels to last thirty-five years. Equally, licence conditions contain redistributive measures (contrary to the regulatory state hypothesis that regulation is now centred on ensuring competitive markets), notably 'social tariffs' for poorer

users of electricity, water, and even banking, or requirements of universal coverage of countries at the same tariffs or limits on the cut-off of water or other utility services in the face of non-payment.

Many detailed powers are now exercised by IRAs and other non-majoritarian institutions such as independent central banks (Thatcher and Stone Sweet 2002). These are of course part of the state, and hence represent part of its policies to shape markets. Although they are new organizations, they also represent a form of administrative instrument for elected politicians, who can seek to use them for aims such as increasing expertise, credible commitment, or blame-shifting. Frequently their aims are set out in legislation. However, the establishment of such non-majoritarian institutions has not always meant a reduction in the direct powers of elected politicians and executives. For a start, the latter can set policy objectives for IRAs, even if they allow choice over the means of achieving these. The clearest examples are when governments set inflation goals for the independent central bank or guidance on social and environmental questions to IRAs (both of which apply in the UK). Moreover, elected politicians have used instruments of administrative reorganization to modify the institutional position of IRAs and central banks, rather than taking detailed decisions themselves. The institutional reforms have at times been major—for instance, merging IRAs or modifying their aims, duties, and powers. Hence for example, the architecture of financial regulation in the UK was significantly altered in 2013 as the Financial Services Authority (FSA) was abolished and replaced with two new bodies—the Financial Conduct Authority and the Prudential Regulation Authority located within the Bank of England, which was given major new roles and duties in financial stability and regulating banking. Alteration of institutional structures has often been an instrument for influencing the operation of markets—for example, altering policies towards financial firms by changing the existence and distribution of powers among financial regulatory institutions. Finally, both IRAs and independent central banks in practice interact and cooperate closely with governments, features revealed most clearly after the economic crisis of 2007/8. The non-majoritarian bodies can perform functions that previously governments undertook, such as rescuing firms or supporting demand and lending, often in cooperation with them. Thus formal delegation to non-majoritarian bodies may offer elected politicians a new agent through which to seek to influence markets.

Another vital source of powers over market outcomes is supranational regulation, notably by the EU. This may seem paradoxical, especially in the context of claims that nation-states have lost powers. Although the regulatory state literature has presented the EU as separate from national governments, in fact much EU regulation is made through their active participation, both in the Council of Ministers and through committees. Equally, the ECB is composed of national central bank governors who are usually nominated by

political executives. The economic crisis of 2007/8 also revealed the flimsiness of distinctions between monetary policy, fiscal policy, and financial regulation, and the need for the 'independent' ECB to cooperate with national governments. Thus the ECB's strategy of preserving the euro has required alterations of banking regulation, such as establishing bank winding-up procedures, and transfer of powers to the ECB, which need assistance and often agreement from national governments. Preserving the euro may also be strongly linked to national governments introducing domestic reforms; cases such as Greece or Italy (where the ECB sent detailed instructions in 2011 about reforms as a quid pro quo for support for Italian bonds), representing a far cry from a separation of competition-based regulation and redistributive (party) politics. Indeed, the EU can offer new instruments and sources for elected policymakers in at least two ways. First, they may 'upload' their preferences to the EU level, where new regulation is passed. Second, the EU may provide a source of apparently 'external' legitimation and impetus for national governments to shape markets. EU regulation also typically provides considerable discretion for member states, especially when it takes the legal form of directives, which are binding as to objectives but not means, typically very general, and which must be transposed into domestic legislation.

In terms of the fourth role of government—planning—traditional national 'plans' or *grands projets* in countries such as France, set by governments with planning organizations and publicly proclaimed aggregate targets, have largely ended in Western countries (cf. Hayward 1995). However, governments, sometimes in cooperation with IRAs, continue to engage in long-term planning—for example, in terms of the energy industry in terms of the balance between nuclear and non-nuclear sources; even the supposedly 'liberal' UK government has developed plans lasting over thirty years, including prices, investment, and government-encouraged and selected consortia, to encourage firms to build new nuclear power stations. Similarly, governments have set priorities and investment in railway projects—not just new high-speed trains in France but also the contentious HS2 (High Speed 2) project in the UK. They also seek long-term foreign direct investment, through mechanisms ranging from subsidies (direct or indirect through tax concessions) to 'passive investment', notably from foreign sovereign wealth funds and state-owned enterprises. One example is the UK's strategy to bring in the state-owned French electricity supplier EDF and Chinese state investors into the financing and building of new nuclear power stations. Moreover, state officials have played direct roles in (re)shaping markets not only in 'statist' countries such as France, but also in the UK and the USA. In several domains, these supposedly 'liberal' states have been recognized as highly active, if not illiberal (King 1987, 1999, Gamble 1988). Indeed, the US has been seen as pursuing forms of industrial policy through forms of state-sponsored research (Block 2008).

Table 9.3 State roles and direct instruments for shaping markets

State role	Old instruments	New instruments
Provision of services and funding	National SOEs; state banks; subsidies	Internationalized SOEs; state guarantees; SWFs; state-required private funding; financial repression; tax competition
Influencing market structure	Legal state monopoly	Licensing; choice of providers; mergers and acquisitions
Influencing market outcomes	Price controls; use of state-owned enterprises	Reregulation of competition by IRAs or political executives (e.g. minimum services); IRA reorganization; international reregulation; 'downloading'; externally 'imposed' reforms
Long-term planning	National plans	Long-term contracts

Although rarely trumpeted as *grands projets*, the state is in fact seeking to engage in long-term national planning.

This chapter does not examine the effectiveness of the state's new instruments nor of its direct role. However, it is noteworthy that contrary to the claims of the 'regulatory state' literature, the state is engaged in different forms of redistribution. Sometimes this takes place through regulatory instruments, such as regulated and unregulated tariffs or through levies or social obligations (e.g. limits on cutting off water or other supplies to certain groups or low-cost tariffs or services, or through national pricing). However, when subsidies are used there is direct redistribution. The largest after 2008 has been to the financial sector through bailouts, as well as lending at very low interest rates.

The continuing roles of the state in markets and the range of old and new instruments are summarized in Table 9.3

THE CONTINUING ROLE OF THE STATE

How and why has the state, and especially the political executive, continued to play a direct role in the shaping of markets in terms of ownership, powers, and functions, or even seen that role expanded? Why have the rhetoric and aims of 'rolling back the state' of the 1970s and 1980s been largely abandoned, and instead new instruments for state action added to older ones?

Hood (1994) sets out four explanations for reversals in economic policy: new competitors and predators (institutions and interests), economists' ideas, habitat, and self-destruction (cyclical movements). Each can be used to offer processes and elements of explanation for the modified nature of the state in shaping economic markets. They offer different lines of analysis for an initial enquiry.

In terms of altered interests, pressures on politicians to 'act' through direct state action have remained or reappeared in times of crisis. As King and Wood (1999) argue, a political economy analysis needs to include both the pressures and constraints arising from economic imperatives of ensuring the health of firms, and also the political imperatives of winning and maintaining office. Both sets of factors have given rise to powerful forces on elected politicians.

Large firms, including supposedly privately owned ones, have pressed governments for protection from competition, funding, and planning. Thus for instance, banks or car companies have lobbied for support, ranging from traditional subsidies to new indirect forms of support. Equally, business associations have sought long-term contracts both to ensure reliable sources of future revenue for suppliers and also to provide infrastructure (be this physical such as railways or airports, or communications and energy) for companies. Such state action has remained even in liberal market economies—indeed, as King and Wood (1999: 375) point out, the weaknesses of coordinating mechanisms 'imply a greater role for governments in determining supply-side outcomes'.

Elected politicians have also faced electoral and popular demands to influence or counterbalance the operation of markets. Thus for instance, despite privatization of suppliers and delegation of regulatory powers to IRAs, governments have not been able to delegate responsibility (and blame—cf. Hood 2002, 2011) for increased energy prices, especially in times of falling real incomes, including in supposedly 'liberal' polities such as the UK and US. Political parties, including those on the right, have returned to 'statist' rhetoric and instruments, from Sarkozy's calls for state leadership to Cameron's 'Big Society' action through links to the third sector. On the centre-left, politicians such as Obama or François Hollande have seen opportunities to attack the retreat of the state. However, politicians have found themselves hemmed in by institutional and especially economic constraints, notably fiscal limits. Hence unsurprisingly, they have turned to new instruments, particularly those that are off central government balance sheets such as state guarantees or providing lending to firms from 'private' banks through state-agreed or imposed lending requirements or incentives. Equally, being unable or unwilling to fund certain services, they have sought to use licence conditions to provide such services.

A third powerful group arises from within the state itself. Unelected public officials have been vital actors in state activity—be this in terms of protecting what they view as 'the public interest', expanding their powers, or protecting their popularity—and provides a related factor. IRAs and other non-majoritarian institutions have sometimes found increased direct action by political executives useful—in legitimating or taking unpopular decisions. Indeed, often a direct role for political executives has gone hand in hand with an increased role for non-majoritarian institutions such as IRAs.

Altered habitat also offers valuable clues to explain the state's continued roles but altered mixture of instruments in shaping markets. Its force has been revealed particularly clearly by the economic crisis after 2007 (cf. Gamble 2009, Grant and Wilson 2012, Coen and Roberts 2012), although many features existed before then. Economic conditions in the 1980s and 1990s that favoured the state reducing its direct role in supporting firms and electors, such as reasonable economic growth, high private sector demand, a booming financial sector, cheap oil prices, and falling raw material costs, have been reversed since the 2000s. Financial crisis and higher commodity prices have led to political and economic forces on elected politicians to use new, and often direct, policy instruments to sustain markets. The changing position of the banking sector has been crucial here: governments have needed to rescue financial firms but equally importantly, have faced powerful pressures to provide financial support to other actors to replace the traditional banking sector. Caught between these powerful pressures and fiscal constraints (themselves in part due to low growth and banking costs for public budgets), governments have turned to instruments such as state guarantees, state requirements on banks to lend, or new sovereign wealth funds and public investment banks aid markets but do not increase direct state debt. Equally, the Great Recession after 2008 has created powerful pressures on incomes, to which governments have responded with re-regulatory measures concerning prices or licence conditions that do not cost 'public money'. Poor economic performance has increased the need for governments to both aid firms and to act as a 'compensatory state', both in terms of the labour market and for firm support, acting through indirect instruments (cf. Schmidt 2009).

Ideational explanations might seem highly surprising, given the resilience of neoliberal ideas (Schmidt and Thatcher 2013). But such ideas are not hostile to state action—indeed, they require state action, including direct action to create and support 'competitive markets', prevent market power, and limit trade unions (cf. Gamble 2013, 1988). Moreover, neoliberal ideas have proven highly flexible, being adapted to crisis to justify state action and new instruments such as disguised bank subsidies and bailouts (cf. Schmidt and Woll 2013, Jones 2013). The plasticity of neoliberalism has offered a good cover for state action, even as the rhetoric of state 'non-interference' in 'the market' has continued. Moreover, even the dominant ideas in economics have begun to alter, especially after the 2007 economic crisis. Some ideas are revivals of older ones (e.g. neo-Keynesian views—cf. Stiglitz 2010, Krugman 2012), while others appear novel (e.g. 'behavioural economics'), but they all underline the limits of markets and the need for state action, notably through ensuring funding for investment and regulation of behaviour. Some works have achieved mass popularity and hence directly entered political discourse and debate, or have even led to policy units and recommendations (e.g. the concept of 'nudging'—Thaler and Sunstein 2008).

Finally, cyclical factors provide a powerful set of explanatory processes. Policy can be endogenous, and hence changes in the state's role often arises from the very nature of 'neoliberal' economic policies. One mechanism may be through altering the environment of policy, which then creates pressures for state responses. Thus for instance, the increased financialization of the economy played a major role in the economic crisis after 2007/8, which the state has had to face (or accept economic disintegration), including through (re) nationalization and financial support. Equally, ending public ownership in network industries has allowed the creation of privately owned oligopolies driven by short-term profitability, which then raised prices and created political unpopularity as well as strong reasons for state action to preserve long-term investment and security of supply. A second mechanism can be the policy lessons learned from the successes and failures of attempts to 'roll back the state', be this 'rational' learning or forms of blame avoidance and legitimization of pre-existing strategies (cf. Howlett 2012). Hence, for example, initial hopes of 'deregulation' of network industries such as energy and telecommunications were soon followed by 'learning' that competition and important social objectives such as protection of poorer consumers required reregulation; hence far from ending state action, governments have given greater powers to independent regulatory agencies and taken direct powers for themselves (cf. Vogel 1996, Thatcher 1999). Finally, initial policies to 'drive back' the state have had the unintended consequences of allowing or encouraging new forms of state action. Hence privatization has had the paradoxical effect of allowing state-owned firms to expand—for example, EDF's internationalization has involved buying recently privatized overseas suppliers. Equally, financialization combined with high energy and raw material prices as well as the liberalization of international capital, have permitted countries to establish sovereign wealth funds, which then represent the return of state ownership (albeit in new guises and with new owners).

CONCLUSION

How does the view of the state presented here differ from that of the more 'indirect' or 'steering' state, especially the varieties of capitalism models or the regulatory state model? It certainly accepts that the state supports firms, and that, as the varieties of capitalism models suggest, we can see diverse patterns in the instruments through which it does so. Equally, differences among types of capitalism can be identified in terms of state features such as the extent of public ownership or the spread and features of IRAs. It also accepts that many of the features of the regulatory state have spread, as regulatory activity has grown. In terms of the state, this means changes such as the creation of

non-majoritarian institutions such as IRAs, and the extension of supra-national regulation.

However, the chapter also suggests that if we separate strategies or roles and instruments, then a different picture emerges. In terms of markets, the state continues its roles of providing services and funding, seeking to influence market structures and outcomes, and engaging in long-term planning. However, this does not mean a replication or return to 1960s or 1970s industrial policy or *grands projets*—at the very least, the rhetoric of policy differs and current policies are more internationalized, and the mix of policy instruments used differ. Moreover, state structures, activities, and functions that allow the state to be a direct participant in shaping markets are layered on to those of the regulatory state. The result is the combination of many traditional policy instruments, albeit in decline, such as direct public ownership of suppliers or subsidies, indirect ‘regulatory’ instruments recognized by the literature on the regulatory state, and newer, more direct instruments.

Political and economic imperatives continue in advanced democracies for the state to shape markets. The state continues to pursue strategies of supporting firms and seeking to gain sufficient political support for elected politicians. The combination of instruments used for so doing has been modified, and analyses can examine changes in interests (firms, electors, politicians, or state officials), ideas, the economic environment, or the results of past policies. Yet the most important conclusion may be that despite claims of a move towards a more indirect state dominated by non-majoritarian institutions, elected politicians and their officials remain central and continue to seek to (re)shape economic markets directly, features that have become more evident since the crises after 2000.

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State Action in Financial Times

Cornelia Woll

INTRODUCTION

The recent crisis revealed the paradox of state action in financial times. While states experienced the extreme vulnerability of their economies when interconnected financial markets crumbled, they seemingly had no choice but to intervene with previously unthinkable measures. On the one hand, we have seen states fail, with their governments paralysed by the violence of financial collapse in countries such as Iceland. Debt crises led to sovereign bailouts in Greece, Ireland, Portugal, Spain, and Cyprus. On the other hand, governments everywhere had recourse to heavy-handed intervention in the economy, mobilized substantial public budgets, and even used tools such as expropriation to reign in market forces. New financial regulation developed in the aftermath of the crisis is often ambitious and quite constraining for market actors, with a range of new competences granted to supranational institutions, both within the European Union (EU) and at the international level. It is difficult to know how to read the lessons of the financial crisis for the analysis of state capacity to intervene in the economy. Some observers see recent events as ultimate proof of the state's incapacity to manage the unsustainable extension of market forces (e.g. Harvey 2014), while others cite government responses as the return of the state and the beginning of a new state-market equilibrium (e.g. Plender 2008).

In this chapter, I argue that the paradox of state action in financial times is here to stay, because it is based on another contradiction: the ambiguous link between governments and financial institutions. While governments in most developed countries were drawn into the crisis because of imprudence and mismanagement of financial institutions, they also needed these institutions for growth and recovery. The countries that did best during crisis management—in terms of crisis expenditures and ultimately the health of their economies—were those where financial institutions remained in good health or recovered quickly. States are thus strongest where market actors are also doing well. And yet,

policies that were too favourable to financial institutions have been identified as reasons for the crisis in the first place. Close ties between financial elites and public officials are decried as capture, and new regulation seeks to target such conflicts of interest to avoid another crisis.

Indeed, one of the motivations behind centralized European financial regulation and supervision is to break the complacency of national officials towards their financial sectors. The reconfiguration of the state in the aftermath of the crisis is thus marked by a change of scale, as Le Galès and King hypothesize in Chapter 1. As in other areas of European integration, this entails a conscious decoupling, in this case of financial and political elites, in order to remove the banks from the state. The risk of this decoupling becomes clear when one considers the ambiguity of government–finance ties. Beyond the risk of capture, cooperation between financial institutions and public officials proved essential during crisis management in several countries. Decoupling banks and states thus diminishes government capacity during times of crisis and risks further weakening the state’s control over market forces.

This chapter develops this argument first by presenting the paradox of state action in financial times. I show that the financial crisis was a unique experience of powerlessness for states, which led them to experiment with previously unthinkable intervention in the economy. The following section then lays out the ambiguity of government–finance ties, pointing first to harmful biases and capture and then to the benefit of cooperation with a comparative analysis of crisis management. I argue that states were able to regain control over markets if and when parts of their financial institutions remained in good health or recovered quickly. A final section discusses the rescaling of financial regulation in Europe and points to the risks inherent in current projects. The conclusion returns to the analysis of state capacity and provides an outlook into the future.

THE PARADOX OF STATE CAPACITY IN FINANCE

For all industrialized countries, the financial crisis that began in 2007 came as a shock, laying bare the vulnerability of their financial sectors and the extreme consequences their failure would have on the economy. States were clearly unprepared for the ferocity of the financial collapse and were pained almost everywhere to find adequate responses.

Originating as a drop of prices in the US housing market, fuelled by uncovered ‘subprime’ loans, the crisis led to the failure of American lenders and insurers before spreading to financial institutions abroad that had been exposed to the US market. The ensuing nervousness on capital markets then led to repeated capital freezes, creating a liquidity crisis for institutions that

relied heavily on short-term lending, such as Northern Rock. Domestic housing market bubbles in Ireland, Spain, Portugal, and Sweden added to the stress on the financial industries in these countries. A series of failing institutions received government support on both sides of the Atlantic, but market strains continued to be dire. The bankruptcy of Lehman Brothers on 15 September 2008 was the straw that broke the camel's back. Stock markets worldwide plummeted, wiping \$700 billion of value from investment portfolios in the US alone (Financial Crisis Inquiry Commission 2011: 339). Major financial institutions tumbled and capital markets froze.

In countries like Iceland, the overinflated banking system could not withstand the storm. The rapidity of the collapse of Icelandic finance was impressive. Within less than a week, the banking system broke down, and the three main banks had to be taken under public control. Iceland lost its creditworthiness, foreign exchange markets collapsed, and the payment system was brought to a standstill. GDP would fall over 60 per cent, and many companies quickly went bankrupt. To make matters worse, the British and Dutch governments demanded compensation for their depositors, equivalent to 100 per cent of Icelandic GDP.

As financial institutions everywhere unravelled, it became clear that entire economies could go down with them. Public officials involved in crisis responses all underlined the state of panic that had taken hold of governments and their administrations. Tellingly, the personal memoirs published after the crisis often invoke images of imminent falls into an abyss (e.g. Darling 2011, Paulson 2011, Geithner 2014). Although we have only anecdotal evidence, it seems that many public officials also physically suffered from health problems as the stress continued to accumulate. In terms of state capacity, the lesson of 2008 was clearly one of powerlessness. Some previously blossoming industrialized countries failed entirely and had to be propped up by the international community. Others navigated close to the brink and frantically searched for ways to reign in market forces, while millions of citizens lost their jobs, homes, or savings.

Immediate responses to the crisis included comprehensive national schemes to stabilize the banking sectors, financial stimuli to keep economies from sliding into recession, central banks' efforts to make liquidity available, and state aid extended to other sectors considered vital for the economy (see Bermeo and Pontusson 2012). Although a series of high-level meetings took place between 2008 and 2009, most crisis management was decidedly national (cf. Higgott 2012).

Fiscal and monetary policies are certainly part of a government's traditional toolkit. However, the extent and pervasiveness of fiscal stimuli and monetary easing was extraordinary. The United States, Japan, and nearly all European countries engaged in some form of fiscal stimulus, either by increasing public spending or through tax cuts. Taken together, the size of fiscal stimuli among

the G20 countries is estimated to amount to \$2 trillion. On average, advanced economies spent 3.4 per cent of the 2008 GDP on stimulus plans. In absolute terms, the US package stands out with \$800 billion (5.6 per cent of GDP), but countries such as Italy or Germany also had substantial ones between 4–5 per cent of GDP (International Labor Organization 2011). To be sure, substantial variation exists between the types of stimuli, timing, and duration across countries, but the pervasiveness and size stood in contrast to the less expansionary and less uniform fiscal policy responses in the mid-1970s and early 1980s (Cameron 2012).

Liquidity provision by central banks, sometimes referred to as monetary easing, was equally striking. Central banks lowered their policy rates, relaxed various standards, and opened facilities to lend directly to banks through standard and non-standard procedures. These efforts are reflected in the expansion of central bank balance sheets: the US Fed's reserves increased from \$800 billion to \$2.25 trillion in late 2008 and early 2009. Similarly, the Bank of England's balance sheet almost tripled. Only the Eurosystem tried to keep monetary expansion at 1.4 per cent, from just under €1.5 trillion to just over €2 trillion by the end of 2008 (Stolz and Wedow 2010: 16–17).

The most unprecedented interventions—and those that created the most heated political debates—concerned the banking sector. As support for individual institutions proved insufficient, governments in most countries began devising national bank bailout schemes. Many observers had criticized the fact that ailing financial institutions received government support at all. Since they had benefitted from financial markets when times were good, it was hard to fathom why the taxpayer should shoulder the ensuing risks, a conundrum labelled 'the privatization of profits and the socialization of losses' in public discussion. Yet, to avoid repeating the experience of Lehman Brothers, states embarked upon massive bailout plans, with public expenditures of €1.6 trillion (13 per cent of GDP) in the EU in the first three years of the crisis and \$837 billion (5.47 per cent of GDP) in the US (Stolz and Wedow 2010). Initial public commitments had even been three to four times higher.

The schemes all entailed a mix of public guarantees to depositors or creditors of the financial institutions, recapitalization to strengthen a company's funds, and in some cases asset transfers to clean up a bank's balance sheets. The precise nature of the intervention varied widely (Laeven and Valencia 2010, Hardie and Howarth 2013, Woll 2014). In some countries, such as the United Kingdom and Germany, the participation in recapitalization schemes was voluntary, while others, such as the United States and France, made it mandatory for all domestic institutions in order to avoid stigmatizing individual banks. Capital injections came with favourable conditions in some cases, and with punitive ones in others; some had to be paid back with a small interest payment only, others required a share of capital gain of

the supported banks. Assets could be bought directly by the government or be transferred to a public agency to manage and sell them. This entailed most importantly a valuation of these assets, for which market prices no longer existed. In many cases, the prices proposed by the governments were far below what financial institutions claimed they were worth.

Over the course of bank bailouts, states thus had recourse to instruments that were quite daunting to market actors. Financial institutions could be forced to take government capital, tied to conditions on lending, corporate governance, and executive compensation. They had to shed assets and accept conditions that they did not necessarily agree with. In some cases, public control over financial institutions was so substantial that it resembled nationalization, even if politicians were careful to avoid this term. In several instances, governments even demanded powers to expropriate shareholders of ailing institutions, as was done in Germany in February 2009 in an effort to manage the collapse of Hypo Real Estate. Such extensive intervention was long considered taboo, and many observers quickly made the reference to 1930s, when such powers had last been used, as they had been under communism (Spiegel 2009).

The paradox of state action in financialized economies is thus the simultaneous display of extreme vulnerability and extraordinary repertoires for government action. Simultaneously, governments were forced to make choices they did not want to make, but had the capacity for strong intervention. A weak level of policy choice coincided with a high level of policy strength. To be sure, those economies that failed entirely and had to ask the international community for support can hardly be described as capable states. Government action was seemingly reduced to negotiating the least unfavourable conditions with foreign counterparts. Anger from citizens about the impotence of their governments and the rapidly deteriorating economic conditions dominated political life for years and will leave a mark for decades. But those countries that only stared into the abyss and then managed to regain some form of control over their economies all extensively relied on available tools and developed additional ones for economic intervention. Public sentiment against measures to stabilize the banking sector was high, so that few would describe them as salutary. The unusual display of government strength, however, was recognized by all, if only through calls for comparable public action for other causes.

What explains the simultaneous weakness and strength of the state during financial crisis? Is the paradox of state action merely an evolution in time where states first discovered their vulnerability and then fixed the problem? Should one be reassured that the difficult times worked as shock therapy that allowed states to put into place effective control mechanisms? The analysis proposed in this chapter is less optimistic. The rise of the state may be a response to its newly discovered weakness, but heavy-handed intervention and vulnerability will continue to coexist. More fundamentally, the paradox of state action reflects the tension inherent in the relationship between the state and finance.

THE AMBIGUITY OF GOVERNMENT–FINANCE RELATIONS

As King and Le Galès underline in Chapter 1, markets make states. A strong state is necessarily based on a strong economy, and the most vibrant ones now have dynamic financial centres. Financial development is a motor for growth, and has led to permissive regulation and a range of policies seeking to attract finance and enable it to develop.

The financial crisis revealed that much of this connivance had gone too far. Financial institutions took excessive risks, often outside of regulatory oversight. Greed, mismanagement, shortsightedness, or simply megalomania, made financial elites the culprits of the crisis. But analysts were quick to point out how much their rise and fall was linked to government policy, and ultimately the unhealthy proximity of financial and political elites (Johnson and Kwak 2010, Hacker and Pierson 2011). In the US, observers pointed to the massive campaign contributions made by the financial industry (Renick Mayer et al. 2009), in other countries they underlined the closely knit personal networks (e.g. Seabrooke and Tsingou 2009, Jabko and Massoc 2012). In the wake of documentary films like *Inside Job* and increased media focus, conflicts of interest became a central point for discussion. Ties with the financial industry were assumed to lead to biases in regulation and oversight. As a consequence, nominated candidates for public positions now have to be cleared of conflicting sources of revenue. Although much of this attention to possible collusion and biases is useful, the extreme ambition of separating political from financial elites is not only unrealistic, but also potentially harmful.

To be sure, most public officials were appalled or disheartened by the financial elites who had wreaked the havoc they now had to deal with. And yet, ironically, crisis management worked best in countries where cooperation between financial and political elites went well. To encourage banks to shoulder parts of the burden of their own rescue, public officials in most countries asked the financial sector to engage in some form of collective bailout arrangement. Following Woll (2014), I will discuss these briefly to show that collective action of the financial industry is in fact beneficial during crisis management and helps to limit the burden of financial stabilization carried by the taxpayer.

It is insightful to compare bailout schemes, because one can see that considerable variation exists in states' attempts to resolve banking crises, despite similar challenges. Although exact figures are still up for discussion, it appears that the net costs of the rescue schemes also varied substantially (Table 10.1).

Certainly not all countries suffered the same problems. Some banks were more exposed than others and some countries had only a few failing banks, while others had many (or all) to deal with. And yet, when we look inside the

Table 10.1 Net costs of bank bailout schemes, 2008–11

Country	Billion €	% of GDP
France	2.40	0.10
Spain	1.45	0.10
Denmark	0.72	0.30
Greece	0.41	0.20
Sweden	0.35	0.10
Belgium	0.20	0.10
Italy	0.13	0.00
Cyprus	0.03	0.20
Slovenia	0.03	0.10
Hungary	0.01	0.01
Lithuania	–0.03	–0.10
Luxembourg	–0.04	–0.10
Latvia	–0.43	–2.30
Austria	–1.43	–0.50
Portugal	–2.21	–1.30
Netherlands	–3.44	–0.60
United Kingdom	–15.03	–1.00
Germany	–16.56	–0.70
Ireland	–35.72	–22.30
United States	–66.50	0.00

Source: Woll (2014: 35), based on Eurostat for EU and SIGTARP (2012: 35) for the US.

different arrangements, we can see that the level of cooperation between the financial elite and the policymakers also mattered.

In fact, in most countries, policymakers asked the financial sector explicitly to contribute to the stabilization of the banking sector. In some cases, this happened around the discussion of individual bank bailouts, where the financial sector was asked to contribute financially or organize a private bailout, as was done in Germany for the case of IKB Deutsche Industriebank, or most famously in the past in the US for the rescue of Long-Term Capital Management in 1998. During the negotiation of nationwide rescue schemes in 2008, policymakers in the US, France, and Denmark organized collective recapitalization measures, which all banks accepted in order to avoid stigmatizing an individual institution. In France, Denmark, and Austria, the contribution of the banking sector went even further.

In France, banks and the government set up a jointly owned institution (the Société de Financement de l'Economie Française, SFEF), which issued securities collectively, backed with a government guarantee and collateral from all six banks. The SFEF was thus able to obtain liquidity at very favourable conditions for both the government and the banks. In Austria, the Österreichische Clearingbank AG was set up as a bank with its own license to facilitate interbank lending. It was owned by the major Austrian

banks, which contributed €180 million in capital, and its operations were backed by a guarantee from the government. Recapitalization was delegated to Österreichische Industrieholding AG, a formerly state-financed holding company for the management of state-owned enterprises, which had turned into a privatization agency and joint-stock company by 2000. In the Danish case, liquidity provision was assumed through the Danish Contingency Association, a collective undertaking established by the Danish banking industry for the support of distressed banks in 2007. In exchange for an unlimited government deposit guarantee, participating banks agreed in 2008 to contribute approximately €4.7 billion for a collective guarantee for individual banks and fees paid to the government for the deposit guarantee. Recapitalization was introduced in February 2009 and administered by the Danish Finance Ministry, but the Danish Contingency Association was a central mechanism to share the costs of the extensive guarantees between the government and the private stakeholders.

The overview of these special entities shows that it is possible to find institutional setups that involved the financial industry in the funding and administration of the bailouts. Such institutional mechanism for cooperation between the industry and the government are central features in some countries, but remain somewhat of an exception. Like mandatory recapitalization accepted jointly by all banks, they signal that individual institutions have support that will keep them from failing without branding one bank in particular. In addition, they reduce government expenditures, first by ring-fencing public guarantees, which will only be called upon when private commitments have been depleted. Second, the cooperation of banks implies that they mutually monitor each other to prevent abuses of the support scheme. Since banks often have the most immediate information about improving market conditions, this means that they will exit collective schemes as soon as they become unnecessary. The shorter durations of public-private arrangements thus also help to limit costs on the government and ultimately the taxpayer.

Neither the German nor the British or Irish governments succeeded in setting up a collective arrangement that engaged the banking sector as part of their national schemes. The German government tried repeatedly, but had to deal with a very disparate banking sector made up of huge commercial banks such as Deutsche Bank and a wealth of small savings banks. The British and the Irish governments decided to deal with the private sector at arms length. Ultimately, they found themselves obliged to save the most fragile ones, in Ireland under conditions that included fraud and dishonesty from the banking sector, at exorbitantly high costs for the entire country. All three countries figure among the most costly bailouts, and will have to continue managing the unwinding of the failed banks and their assets for quite some time.

If cooperation mattered for crisis management, the general health of the financial sector mattered for recovery. Since governments had taken parts of

ailing institutions during the crisis, their recovery is central for the return governments will get on their investment. In some cases, it simply means that they will be repaid, but in others, the capital gains of investments such as the US's stake in Citigroup could be substantial. Culpepper and Reinke (2015) criticize the British bailout for its stigmatizing voluntary nature, which implied that the British government only took stakes in banks that were in the poorest condition, which considerably reduced the government's return on investment.

Put differently, imposing conditions that are too punitive may risk compromising recovery, which will only weaken the state and its grasp of the economy in the future. Policymakers are therefore explicitly prudent when designing bank rescue schemes and tighter regulation. This stands in contrast to the public outrage with mismanagement during the banking crisis, but insiders such as Timothy Geithner (2014: 9) warn that 'old-testament vengeance' is inappropriate for managing the financial sector.

To sum up, financial elites were both responsible for the financial crisis and able to contribute positively to crisis management and the recovery of the economy and the public budget. Indeed, the relationship between finance and the state is inherently ambiguous, and this has not changed with the crisis. States have a strong interest in letting finance develop and profiting from it, but also need to control it to avoid excesses. As a consequence, public officials depend on financial elites for their technical expertise, collective governance capacity, and resources, but also need to constrain their choices in order to preserve financial stability. This ambiguity creates a gap between the forceful rhetoric and sometimes timid actions to regulate finance after the crisis (Grant and Wilson 2012). In essence, finance and the state are mutually dependent on each other in ways that are difficult to resolve within finance capitalism. The paradoxical state capacity during crisis is the result of this symbiosis.

RESCALING AND DECOUPLING AS A SOLUTION?

Unsurprisingly, states are conscious of the grip of finance over their actions. Faced with the massive need for financial support, governments decided in the aftermath of the crisis to respond to the challenge by further European financial integration. In particular, they set up a European banking union in addition to the European Stability Mechanism created to provide assistance to sovereign European states. The banking union is based on two initiatives: a Single Supervisory Mechanism and a Single Resolution Mechanism. Under the Single Supervisory Mechanism, the European Central Bank (ECB) is responsible for bank supervision and the implementation of the EU's single rulebook on financial stability. It carries out this supervision together with national supervisors, but is directly responsible for the largest financial institutions and

can insist on direct supervision of any bank that appears to be of particular concern. The Single Resolution Mechanism is charged with restructuring troubled banks and possibly recapitalizing them through the newly created Single Resolution Fund, which will be filled with contributions of participating banks.

The move towards European integration, i.e. the rescaling of states, is a common trend across policy domains, as King and Le Galès highlight in Chapter 1. As Bickerton (2012) underlines, European integration allows more effective collective efforts and coordination, but implies a decoupling of political elites and their citizens. In the case of finance, the decoupling concerns very explicitly the link between states and banks. In line with the arguments about capture and conflict of interest cited earlier, one of the objectives of a European banking union is to mutualize oversight in order to prevent undue biases of national officials vis-à-vis their financial sectors. In particular, observers have criticized leniency towards national champions, the protection and promotion of domestic regulatory standards at the disadvantage of foreign competitors, and implicit encouragement to hold domestic sovereign bonds, biases which Véron (2013) has labelled 'banking nationalism'.

The European banking union will provide a more effective safety net during banking crises, because it pools resources and enlarges and standardizes oversight. Large banks supervised by the ECB are defined as financial institutions with holdings greater than €30 billion or 20 per cent of GDP of their home state. It is easy to see that such institutions would be a particular challenge for their government's spare fiscal capacity in case of failure. It is also likely that the EU's single rule book and the increasing supervisory cooperation will improve oversight and counter the biases that have been able to develop in a purely domestic setting. European banking union is thus a viable solution to two challenges laid bare by the recent crisis: the problem of size—the famous 'too big to fail' phenomenon—and problems of conflict of interest at the national level.

And yet, the decoupling of states and banks risks making policymakers less capable of dealing quickly with troubled banks and of encouraging collective commitments from the financial sector beyond the ones formally proscribe in EU legislation (such as the contributions paid into the Single Resolution Fund). A considerable part of the consultative work done at the national level allows public officials to have detailed information and create a sense of collective fate of the banking representatives in each domestic setting. These were the preconditions for the ambitious public-private arrangements banks were willing to engage in during the recent crisis, when existing safety nets proved insufficient. In a worst-case scenario, it is important that financial institutions are used to being dealt with as a collective entity and not just as individual objects of regulation.

In addition, long-term links between regulators and supervisors are important for the resolution of financial institutions and likely to be critical in the success of

the upcoming Single Resolution Mechanism. When push comes to shove, the resolution of a significant financial institution needs to be handled over a weekend. Despite their sophistication, 'living wills' alone are likely to prove insufficient as guidelines for action for resolution authorities in Brussels. It would be a blessing if public officials could fall back on existing networks and mobilize information from the private sector across Europe in moments of such urgency.

Put differently, the challenge for the European banking union is to transpose to the European level all the advantages of centralized supervision without destroying those parts of the social tissue at the domestic level that are actually working well. State-finance ties are thus quite comparable to social capital. In the scientific literature, several authors have underlined that social capital is at the base of criminal organizations such as the mafia but is also constitutive of civic arrangements that help to promote economic development and democracy (e.g. Adler and Kwon 2000). While a superficial analysis of social capital tends to overestimate its beneficiary effects, a quick reading of state-finance ties overemphasizes its harmfulness. In both cases, the public effect of these ties can go either way.

CONCLUSION

Finance is a fascinating example of the reconfiguration of European states. As in some of the other economic domains discussed in this volume, we can clearly see how crucial finance has become crucial for the strength of the state. At the same time, the internationalization of finance and the sheer size of activities implies that states continue to lose control over finance (Pauly 1998, Strange 1998). Interestingly, this has little to do with the flight of financial institutions, which were long described as international or even transnational entities. Despite their massive international activities, financial institutions quickly became domestic entities in all but a few cases when they needed public support.¹ But the dependence of the state on the health of banks and their capital, and the overextension of finance it had accepted in the years leading up to the crisis, created a particularly difficult situation. States had to reign in market forces, and mobilize substantial public budgets in order to stabilize the economy, but they needed to do so in a way that would not smother the financial sector entirely.

The paradox of state action in financial times could not have been more vivid at the end of the last decade. States tumbled and fell with their financial sectors, but also developed previously unimagined public instruments to rise

¹ This is best summarized in the phrase 'banks are international in life but national in death', attributed to Charles Goodhart.

to the challenge, in some cases quite successfully. And yet, the simultaneous vulnerability and strength is here to stay as long as states depend on the health of the financial sector—or to put it differently, as long as we live in finance capitalism. It reflects the enduring ambiguity of state–finance ties, which are unlikely to be resolved.

Recognizing this conundrum, European states in the Eurozone (and beyond) have opted for further integration through a European banking union, thus rescaling the state. The ambition of an integrated European framework for financial stability is to deal with the problems of size and conflicting interests. In addition to joint supervision, the pooling of resources responds to the first challenge and the explicit decoupling of states and finance to the second.

The European banking union promises to make European states more effective in preventing banking crises in the future. However, it entails risks for situations that go beyond the scale imagined in current legislation. When public officials need to act quickly and provide solutions beyond the ones fixed in public guidelines, a sound cooperation between the financial sector and policymakers is crucial. Although it might seem naïve or cynical to talk about corporate citizenship in the context of banking, it is important to communicate to the financial industry that they are not just the object of regulation, but also members of a community of fate. Regular consultation at both the national and the European level, and direct participation of the financial sector in policy discussions, may look like capture or undue influence, but it also creates collective commitments that can help to stabilize finance. Understanding the ambiguity of state–finance ties and their *raison d'être* in finance capitalism is essential for walking the tightrope that policymakers have spun for themselves.

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Financial Integration and the National State

Erik Jones and Gregory W. Fuller

Europe is the birthplace of the national state. Europe is also the area where financial markets are most integrated across national boundaries. The question is whether the two structures—national states and integrated financial markets—can coexist. Certainly there is evidence of tension. Karl Polanyi (1957) argued that markets can survive only once socially embedded; hence European adherence to the Gold Standard yielded to the primacy of domestic politics in a two-step process where any attempt to integrate markets across borders triggers a political response to meet the needs of special interests within them. This was not an easy process, and the First World War was at least partly a result of the economic nationalists' rebellion against global capitalism (Frieden 2006). The interwar revival of international financial integration fared no better. Hence, Charles Kindleberger (1986) extended Polanyi's claim to assert one country must be able to underwrite the international system—and so cover the costs for others to participate—in order for financial integration to be sustainable. And Gunnar Myrdal (1956) showed how domestic integration and international integration nevertheless continue to work at cross-purposes.

At the juxtaposition of these forces, there is little surprise that the post-Second World War international economic settlement was grounded in a 'compromise of embedded liberalism' within which states restricted the movement of financial capital across national boundaries in order to preserve domestic policy autonomy (Ruggie 1982, Ikenberry 1992). The surprise is that states chose to change the terms of their institutional bargain and to liberalize cross-border capital movements in the hope that they could somehow manage the consequences (Helleiner 1994). Given the traumatic experience of the late nineteenth and early twentieth centuries, not to mention the long history of 'financial folly' that preceded them, why should policymakers believe that any such experiment with international financial integration

would be any different (Reinhart and Rogoff 2009)? The answer lies neither in the sophistication of financial technology nor in the structure of international economic institutions. Instead it lies in the changing nature of the national state.

The purpose of this chapter is to analyse the role financial integration in the reconfiguration of European national states, focusing on the period that runs from the end of the Bretton Woods system through the recent economic financial crisis. In doing so, we touch on the main themes raised by the editors of this volume. We have to deal explicitly with the notion of scale, not simply because states and markets cease to have a one-to-one correspondence, but also because economic actors can exploit any gaps in the state–market relationship to grow beyond the reaches of national regulators and supervisors (Cooper 1968, Gilpin 1975). We highlight state motivation, because how we interpret recent developments differs depending upon whether national governments actively foster financial market integration or global finance re-emerges as a sort of *deus ex machina*. Themes related to state power and policymaking are also important, particularly insofar as finance has replaced violence as the main instrument for coercion (Kirshner 1995) and to the extent to which the pace of financial innovation has accelerated beyond the state's capacity to exercise prudential oversight (Kling 2010). Hence, while we focus narrowly on the influence of financial market integration, our analysis has broader implications for the transformation of the national state.

Our argument is that the choices facing European national governments are not—or, perhaps better, not simply—between state autonomy and transnational, regional, or global integration. Rather they are between two different conceptions of the Europe state. In one conception, the state has fixed resources and limited prospects. It makes due with what is available while focusing much of its efforts on insulating domestic politics from the outside world. Polanyi (1957: 202) referred to this as a 'crustacean' state because its strong insistence on the primacy of national sovereignty gave it such a hard exterior. The alternative is a state that participates in an international division of labour and flow of finance, accepting the requirements for close cooperation or 'pooled sovereignty' in exchange for greater access to trade and finance and hence also greater possibilities. We might think of this as a cosmopolitan rather than a crustacean state—in full awareness that the term 'cosmopolitan' has elite connotations that are as off-putting to large parts of society as they are smugly embraced by smaller, often self-appointed groups. Hence, the challenge for national governments is not so much to husband resources as to sustain perceptions of popular legitimacy, even as world market forces alter the distribution of wealth and income across society (Katzenstein 1984).

This choice is not symmetrical. It is easier to start from limited endowments and embrace the promise of integration than to accept the need for diminished expectations as a function of increasing self-reliance. Hence it is less painful to

move forward with supranational institution-building than to attempt to roll back supranational arrangements that are already in place—particularly when other states continue to benefit from cooperation (Gruber 2000). That said, politics does not always pay attention to pain. Whether by dint of populist political mobilization or the underlying ‘logic of collective action’, politicians may choose to retreat within national boundaries and state institutions (Olson 1982, Mudde 2000). Indeed, there is much evidence in Europe to suggest that such a retreat to older conceptions of the national state is already under way (Jones 2012). The danger is that a renationalization of finance will undermine the larger project of European integration. Were that to take place, the consequences would be far reaching.

This argument has four sections. The first section explores why national governments chose to integrate financial markets within the European context and despite the lessons they learned during the late nineteenth and early twentieth centuries. The second section explains how financial market integration evolved across the three decades stretching from the early 1970s to the early 2000s. The third shows the uneven nature of financial integration; where some institutions operate at the global level while others retain protected domestic roles. The fourth concludes with an overview of recent efforts to strike a new compromise and sketches the prospects for failure.

THE END OF BRETTON WOODS AND THE TWILIGHT OF EMBEDDED LIBERALISM

The puzzle about the post-Second World War embrace of financial integration is less puzzling when seen up close rather than from a great distance. Sometimes big changes make more sense as the result of small decisions rather than large ones. The collapse of the Bretton Woods system, combining fixed-but-adjustable exchange rates with liberalized trade in goods and services and a restricted flow of cross-border capital, is a good illustration. There was no single decision to bring Bretton Woods to an end. Instead, there were several decisions that rendered the Bretton Woods system both unsustainable and undesirable. Each of these decisions in its own way reflects the evolution of national states from insular self-sufficiency to cooperative interdependence.

We focus on four countries—Germany, Britain, France, and the United States—and four decisions: to embrace export-led growth, to compete in financial services, to resist foreign direct investment, and to promote a more balanced pattern of macroeconomic adjustment. This is obviously an oversimplification. Nevertheless, it helps to illustrate how each decision makes sense given what has gone before.

Germany is the best place to start because the embrace of export-led growth is a policy decision that draws support both from policymakers and within the business community. (By contrast, business and political leaders regard current account deficits as at best a necessary counterpart to foreign direct investment and at worst a threat to long-term sustainability.) Nevertheless, current account surpluses are a disequilibrium position that can only be maintained through sustained intervention either to hold down the value of the currency—which tends to appreciate given that the demand for exported goods outstrips the supply of currency used to pay for imports—or to resist the impact of repatriated export earnings on domestic price inflation. The German government faced both threats—currency appreciation and domestic price inflation—almost immediately following the move to restore currency convertibility in 1958. Neither adjustment mechanism was acceptable to German export industries, so the government looked for mechanisms to encourage exporters to hold their earnings abroad and to export other forms of capital instead. In this way, Germany could continue to grow on the back of foreign demand for its exports without suffering the macroeconomic consequences (Kreile 1977).

The side effect of this export-led growth model—perfected by Germany, but also followed by other countries like Austria, Belgium, the Netherlands, and Japan—was an accumulation of dollar-denominated assets outside of Europe (or Asia). These dollar-denominated assets could be invested in the US economy. But they could also be used to facilitate international transactions. The only challenge was to find a financial intermediary. This is where the British choice enters the narrative. The British government had struggled throughout the post-Second World War period to retain the role of the pound sterling as an international currency and to protect the position of London as a global financial centre. The two ambitions tended to work at cross-purposes and to chip away at industrial competitiveness (Blank 1977). During the 1960s, however, the British government saw an opportunity to restore the City of London to financial pre-eminence by expanding the activities of the London financial sector to encompass the management of dollar-denominated assets held outside the United States. Such assets were outside the jurisdiction of US financial regulators and could be managed with lower capital buffers and no reserve requirements. Hence they could offer higher returns more efficiently than dollar-denominated assets held inside the United States. In turn, this would generate profits for the British banking sector and revenues for the British Treasury while at the same time helping US monetary authorities absorb excess dollar liquidity (and so stave off domestic inflation). These euro-dollar or ‘offshore’ markets expanded rapidly because of their cost-competitiveness, and that expansion accelerated as petroleum-producing

countries added their own dollar-denominated export earnings into the mix (Strange 1971).

The combination of abundant dollar-denominated international liquidity and a strong dollar in the system of fixed-but-adjustable exchange rates was not universally celebrated. While it helped to maintain German export competitiveness, it also lowered the real cost of European assets for dollar-holding investors. The French complained about this repeatedly, both because they worried that American firms were buying up the country's patrimony and because they resented the privileged position of the dollar in the Bretton Woods system, as the franc suffered from periodic exchange rate crises. Hence successive French governments—first under president Charles De Gaulle and subsequently under his successor, Georges Pompidou—chose to challenge the role of the dollar as the primary international currency by demanding the conversion of dollar-denominated assets into gold. This policy of converting dollars into gold did little to bolster the French currency within the network of fixed-but-adjustable exchange rates, but it did a lot to chip away at US gold stocks and so threaten US commitment to dollar convertibility (Helleiner 1994).

The US government quickly recognized the challenge that conversions of dollar-denominated assets into gold represented for the role of the dollar in the Bretton Woods system. Nevertheless, it could do little to protect its domestic gold stocks beyond prohibiting domestic residents from purchasing investment-grade gold. The US government could entreat its foreign partners to hold on to dollar-denominated assets. Some, like Germany, did so willingly. Nevertheless, it could not stop gold conversions without undermining the basic commitment underpinning the fixed-but-adjustable exchange rate regime. Ultimately, US policymakers tired of this situation and so sought to change the rules of the game. Moreover, they believed that only a decisive break would be sufficient to force other countries to adapt to US interests. Hence US President Richard M. Nixon allowed his Secretary of the Treasury, John Connolly, to suspend dollar convertibility into gold and to negotiate the transition to a flexible exchange rate system (Odell 1982, Gowa 1983).

The result was a paradigmatic shift in the way policymakers viewed international capital markets. The post-war era started with a compromise to restrict international capital flows in order to insulate national policy autonomy. Over time, however, governments used that policy autonomy to change the terms of the compromise so that capital could flow more freely in the pursuit (or defence) of the national interest. Each government's perception of the system was subtly—or not-so-subtly—different. Hence the challenge was to bring those perceptions together sufficiently to ensure that the whole arrangement did not fall apart.

FROM THE END OF BRETTON WOODS TO
THE COMPLETION OF EUROPE'S INTERNAL
FINANCIAL MARKET

The progressive liberalization of capital flows across countries forced governments to focus on two different sets of policy considerations—one related to the balance between savings and investment within national economies, and another related to the supervision of financial institutions both within countries and across national jurisdictions. Economic and policy thinking about these two considerations developed separately during the last three decades of the twentieth century (Goodhart 2012, Obstfeld 2013). Hence it is useful to consider them as parallel narratives, each of which developed in three parts.

The story about savings–investment balances is really a story about ‘macro-economic imbalances’, which can be seen either as a difference between savings and investment or as a difference between exports and imports. When countries save more than they invest, they also export more than they import. And when they invest more than they save, they import more than they export. The point to note here is that the balances always pitch one side relative to the other. Hence a sudden increase in net imports could result from a rise in investment relative to savings or a fall in savings relative to investment. Likewise a sudden increase in net exports could be a result of a rise in savings or a fall in investment.

During the 1970s, the rapid acceleration of domestic price inflation across most of Europe and North America ran alongside a sudden spike in oil prices as a result of cartel action by the Organization for Petroleum Exporting Countries (OPEC). This combination of factors cut deeply into savings, with the result that many countries ran unprecedented current account deficits. The fact that much of the energy consumed in these countries was imported only amplified the problem. As a result, the focus of attention was on balance of payments financing. For some countries, like Italy and Great Britain, access to international capital markets was not sufficient. For many, however, the ready supply of capital in offshore markets was enough to stabilize their international payments. The only challenge was to stimulate enough domestic investment to repay any borrowing from abroad over time and with interest. National governments cannot accumulate current account deficits indefinitely. And as the one-time chairman of the Council of Economic Advisors to the Nixon administration, Herbert Stein, famously quipped, if something cannot go on forever, it will stop.

Capital market liberalization facilitated short-term balance of payments financing, and yet that did not automatically translate into either a more efficient allocation of capital from countries where savings is relatively

abundant or a greater pace of economic development in countries with surplus opportunities for investment. On the contrary, many developing countries used the money they borrowed to finance domestic consumption, which meant that many creditor countries had to watch as their financial institutions lost substantial amounts of the principal on their investments in a succession of international credit workouts. This failure of liberalized capital markets to promote mutually beneficial international development—called the Feldstein–Horioka puzzle after an article by Martin Feldstein and Charles Horioka (1980)—constituted the second phase in policy thinking about financial integration. The challenge was not only to remove the obstacles to international capital flows but also to create the conditions within which market participants would take full advantage of the opportunities this liberalization make available.

The solution to the Feldstein–Horioka puzzle was to eliminate convertibility risk as much as possible. This was accomplished through a series of different institutional arrangements, ranging from binding frameworks for macroeconomic policy coordination, to ever-more-rigid exchange rate regimes, to irrevocably fixed exchange rates (also known as monetary union). The result was not always stable. Nevertheless, it was possible to use brute force to create stability with sufficient political determination. This was the European experience. And the impact was dramatic. Not only did capital start to flow in unprecedented volumes from countries with excess savings to countries with surplus opportunities for investment, but growth in the periphery of Europe exploded. Indeed, many began to worry that the reallocation of savings was creating asset bubbles that could cause the whole pattern of financial market integration to unwind. Such voices were in a minority, however. For the overwhelming majority of analysts, the European system of irrevocably fixed exchange rates had resolved the threat posed by international capital mobility and created the conditions for deeper financial integration than would otherwise have been possible (Blanchard and Giavazzi 2002, Jones 2003).

This is where it is important to pick up the narrative about financial supervision. That narrative begins in the 1970s, with the sudden recognition that cross-border capital flows create new and unexpected forms of counterparty risk. This recognition was sparked by two bank failures—Herstatt in Germany in 1974 and, ten years later, Continental Illinois in the United States. The failure of Herstatt is important because the actions of German regulators in winding up the bank after the markets closed in Germany inadvertently resulted in the voiding of dollar-denominated transactions for counterparties in New York while the markets were still open in the United States. Central bank governors realized as a consequence that the operation of off-shore markets was having an impact on the stability of banks in multiple regulatory jurisdictions. As a result, they set up a standing committee on banking supervision within the Bank for International Settlements in order to

coordinate supervisory practices more effectively across regulatory jurisdictions (Goodhart 2011).

The failure of Continental Illinois came on the heels of the Latin American debt crisis. That crisis highlighted the manner in which banks were exposed to risks through large-scale international lending. The failure of Continental Illinois showed how quickly a systemically important bank could collapse. At the juxtaposition of large risks and banks that are 'too big to fail', the Basle Committee negotiated international standards for capital adequacy that could be interpreted and implemented at the national level. Such activity was particularly important in Europe, which had embarked on an ambitious task to complete its internal market for the free flow of goods and services. That internal market would also include the complete liberalization of cross-border capital flows. As a consequence, it would change the competitive environment for the provision of financial services. Hence it became relevant to consider how large European banks might grow and who would be responsible to bail them out (Josselin 1997).

The European solution to banking supervision and prudential oversight was to rely on national regulators to maintain primary responsibility for banks headquartered in their home jurisdiction—including branches located in other countries. National regulators would also have some say over banking subsidiaries that incorporated within their jurisdiction, irrespective of the home country of their parent organization. Moreover, within the broader framework of Basle-inspired European Community (and later European Union) legislation, national regulators would apply the principle of 'mutual recognition' to recognize the functional equivalence of activities undertaken by their counterparts in other countries—what is considered 'safe' practice in one part of Europe would be accepted elsewhere as well. Hence, despite the manifest differences in national financial institutions, there would be no overarching European framework to government financial activity across Europe's internal market (Padoa-Schioppa 1987, Story and Walter 1997). In this way, national governments retained substantial autonomy in the context of deepening cross-border financial market integration.

This balance between autonomy and integration lasted throughout the 1990s. By the end of the decade, however, it became apparent that cross-border financial activity had grown beyond expectations. This growth is consistent with the resolution of the Feldstein–Horioka puzzle in the context of macroeconomic imbalances. For financial regulators, however, it presented an added complication in terms of the complexity of European financial institutions and the sophistication of the instruments and services they traded. Policymakers struggled to keep up with the pace of innovation or the demands of prudential oversight. As a result, they relied increasingly upon industry input into the regulatory process and expanding practices of self-assessment and self-regulation. Industry involvement lay at the heart of the European

Union's financial services action plan and the Lamfalussy regulatory process (Mügge 2010). Moreover, this tendency to rely on private-sector governance applied globally and not only within Europe. Hence it was also embedded in the second regulatory framework promulgated by the Basle Committee for Banking Supervision (Claessens and Underhill 2010).

GLOBAL BANKS, PAROCHIAL BANKS, AND THE PRIMACY OF POLITICS

The temptation is to view this increasing reliance on private-sector governance as a form of regulatory capture by the banks. There is some truth to that perception, and yet the reality is more complicated for three reasons. First, politicians had no desire to see banks escape their control; on the contrary, they wanted to harness global finance to solve a variety of different domestic challenges—ranging from comparative advantage, to regional policy, industrial policy, and population ageing. Hence European financial institutions had to adapt to these political imperatives in addition to surviving in Europe's changed competitive environment. This means that banks developed differently in different countries. Second, the way banks interacted with each other and with other economic actors—including firms and households—changed as well. By implication, the whole financial services industry shifted to a new business model. Banks differed not only from one country to the next, but also in relation to their institutional predecessors (even when these shared the same names). Third, financial services and public finances became tightly interconnected. In this way, many of the risks once associated only with developing countries manifested in the context of advanced industrial societies as well. Banks may have captured the regulators, but politicians captured the banks (Calomiris and Haber 2014).

The political use of financial services to solve domestic economic problems is best explained by illustration. The British case is the simplest to grasp. The story starts in the 1960s with the development of 'offshore' banking. It continues in the 1980s with the liberalization of financial services during the 'big bang' reforms initiated by Margaret Thatcher. And it culminates under New Labour in the late 1990s and early 2000s as a profound shift of economy activity out of manufacturing and into the City of London (Daripa et al. 2013). The strategy throughout has been consistent—to take advantage of the high value-added in the provision of financial services to prop up both government finances and the balance of payments. Of course, Great Britain is not alone in this ambition. Governments in places as diverse as Luxembourg, Cyprus, and Iceland had similar aims (Benediktssdottir et al. 2011). What differs in the

British case is the scale of the effort. The smaller states managed to attract banking assets many multiples larger than their gross domestic product, but only Great Britain has succeeded in challenging New York for financial supremacy (McKinsey 2007, 2008).

The French ambition was different. French governments wanted to find a formula to continue using their leverage over credit to guide the country's industrial development. This practice was once a mainstay of French industrial policy (Zysman 1983). The liberalization of capital flows in the 1970s and 1980s made the exercise of political influence over credit markets more challenging. In the changed environment of the 1990s, however, French political elites were able to re-establish some measure of influence. They did so by encouraging a consolidation of the banking sector and by placing their own people in charge of key institutions. The result was not as effective as the old policy of credit rationing, but it did allow for some measure of control. It also made it easier for French elites to negotiate with financial service providers. So long as they could promise to insulate French banks from the threat of foreign takeovers, they would be assured at least a measure of loyalty (Jabko and Massoc 2012, Howarth 2013).

The German ambition was different as well. Here the federal structure of the country is important. Germany has only three large universal banking institutions, none of which is active in taking deposits. The rest of the banks are much smaller and more closely tied to the regional (land) economy. The regional or *Landesbanken* have explicit connections to government; the savings banks operate in a sheltered regulatory environment. Hence the German government was willing to allow the three universal banks to compete globally so long as it could protect the smaller locally oriented institutions. In turn, these institutions would play an important role in financing regional development and promoting other related activities. This willingness to segregate German financial markets was not shared by the large banks themselves. Indeed, the three large German banks sought to use European integration as a lever to pry open German financial services markets. They were at best only partly successful, and the political ring-fencing of the *Landesbanken* and savings banks continues to predominate over efforts at liberalization (Lütz 2005, Zimmermann 2012).

It is an easy matter to multiply the number of illustrations. Beneath the surface, each country's experience differs for idiosyncratic reasons that relate to domestic institutions and political choices. Nevertheless, there are commonalities. These are found not so much in the institutional structures or political uses of financial institutions as in the sources of their assets and—more importantly perhaps—liabilities. This is a complicated argument and yet it can be simplified in two ways. One is to look at the relative positions of firms and households; the other is to focus on the distinction between banks and non-financial actors. Traditionally banks accepted deposits from households

and made loans to firms in order to finance investment. Banks also did most of their business with non-financial enterprises. Now both things are different—and this change is ubiquitous, to greater or lesser degrees. Banks take deposits from firms and lend to households; banks also do most of their business with other banks (Fuller 2015).

The implications of these inverted relationships are significant. To begin with, the changing position of households and firms enhances both income inequality and macroeconomic volatility. The inequality results from the transfers implicit in credit-financed consumption; the volatility results from household deleveraging in any economic downturn (Fuller 2015). At the same time, the growing emphasis on transactions between banks strengthens the role of finance at the centre of economic activity. This only adds to their underlying fragility. Banks no longer have to be too big to be ‘too big to fail’, they can also be ‘too interconnected’ (Hardie and Howarth 2013). Neither politicians nor bankers were quick to appreciate the significance of these transformations. On the contrary, both groups tended to overemphasize the underlying stability of the new financial architecture. As consequence, they also underestimated the close interdependence between financial stability and state finances.

Three cases underscore the problems associated with bank–state interdependence: Ireland, Belgium, and Spain. The Irish case is well known. The Irish government relied on domestic banks to fuel the country’s economic development. In turn, the banks created massive asset bubbles in commercial and residential real estate. Once the banks got into trouble, the Irish government sought to prevent a run on deposits—both household and commercial. It extended deposit protection to households and then guaranteed the rest of the banks’ balance sheets. These guarantees resulted in huge increases in public indebtedness and so the Irish government sought to ‘bail in’ some of the private creditors of the banks. Ireland’s European partners feared that such an action would trigger similar runs on other non-Irish financial institutions. Hence they forced the Irish state to absorb the losses of the banking system in exchange for emergency liquidity assistance. The result has been to shift the burden on to future generations and to undo decades of fiscal consolidation.

The Belgian case offers another example. The focus is on two banking groups—Fortis and Dexia. The Fortis group emerged out of a fusion of Belgian and Dutch financial institutions; Dexia was shared between Belgium and France. Both groups engaged in ‘universal banking’—leveraging large asset portfolios developed by providing insurance to offer a wide range of financial services—and both groups grew primarily through acquisition. As a consequence both groups were too large for the Belgian state to bail out or wind up using its own resources, and hence when the two groups got into trouble the Belgian government relied on cooperation from its counterparts in the

Netherlands and in France. The Dutch government acted pre-emptively, despite the existence of a pre-existing agreement sketching how a joint intervention would function (Kudrna 2012). The French government was more cooperative but not exactly generous. As in the case of Ireland, the Belgian state not only experienced moments of high drama but also saw decades of fiscal consolidation erased (Chang and Jones 2013).

The Spanish case is much like the Irish. The difference is that the Spanish financial system is segmented in a manner similar to Germany. The big Spanish banks are globally active; the smaller banks—or *cajas*—are locally protected. And it is the smaller banks that threatened to bring down the system. Because of their role in regional development efforts, the asset portfolios of the smaller banks were highly correlated. Once the Spanish economy suffered an economic downturn, the non-performing loans on the balance sheets of the *cajas* started to accumulate. Efforts by the central government to shore up the banks through forced mergers only delayed the inevitable reckoning. Ultimately, the result of those mergers—called Bankia—required enough new capital to threaten the creditworthiness of the Spanish state (Royo 2013).

Of the three examples, the Spanish case was most important because the Spanish economy is so much bigger. Should the Spanish financial system collapse or should the Spanish government lose access to credit markets, the result would be a disaster for Europe's internal market. Moreover, financial market participants were well aware of that fact. As a consequence, they accelerated efforts to unwind their cross-border exposures. This process had been underway throughout the European financial market; this time, however, it became a self-fulfilling dynamic. The more investors pared down their exposure, the greater the potential losses they faced. That is why European Central Bank (ECB) President Mario Draghi committed to do 'whatever it takes' to safeguard the euro in response to the Spanish crisis.

Draghi's commitment was not made out of affection for the single currency; rather it stemmed from the imperative to eliminate the re-emergence of 'convertibility risk' that would reverse European financial integration, with devastating consequences for European banks and states. The problem for Draghi was to underscore the credibility of his commitment. To do so, he needed to access resources greater than those available to any national government. Only the ECB's balance sheet would be sufficiently large to persuade market participants. Hence Draghi had to convince the ECB's Governing Council to agree to introduce a massive bond-buying programme called 'outright monetary transactions' (OMT). In doing so, he was able to build on a prior commitment made at the June 2012 Euro Area System Summit to strengthen the European framework for financial supervision and to provide sufficient resources to sever the link between sovereign finances and domestic banks (Jones 2014).

NATIONAL STATES AND THE RE-EMBEDDING
OF EUROPEAN FINANCIAL MARKETS

European policymakers stand on the cusp of another paradigmatic change in the relationship between financial market integration and the national state. This change will involve pooling resources to stabilize banks through deposit insurance and resolution funding. It will rely on a pan-European financial regulator to oversee systemically important financial institutions. And it will require that the ECB provide lender-of-last-resort facilities through access to its pan-European balance sheet. This is a paradigmatic shift insofar as it mutualizes much of the risk associated with the cross-border trade in financial services. Moreover, it will depend upon the willingness of national governments to surrender some of their autonomy over financial supervision. That would have been unthinkable in the late 1980s or early 1990s; it was hardly considered as a realistic option by the group of wise people commissioned by the European Union to prepare a response to the financial crisis in the immediate aftermath of the collapse of Lehman Brothers (De Larosière 2009). Nevertheless, the creation of a 'banking union' constitutes the main policy agenda for responding to the crisis today (Howarth and Quaglia 2013).

The change remains controversial. This could be seen in the context of the Cyprus crisis that unfolded in March 2013. Cyprus had two banks that were bordering on insolvency and yet too large for the government to bail out. The banks got into trouble because of their exposure to Greek sovereign debt instruments; they attracted little sympathy because they were reputed to be loaded with deposits from Russian oligarchs. The ECB Governing Council finally lost patience and threatened to cut off emergency liquidity unless the government of Cyprus took action. In contrast to the Irish case, however, the Governing Council suggested that all creditors should share in the losses—even those holding small private accounts usually protected by deposit insurance. The Cypriot government accepted and yet the Cypriot parliament balked. What followed was a tense moment where Cyprus might have been forced to leave the single currency. Instead the Cypriot government opted to impose capital controls on the banks and to close off its capital markets. Eurogroup President and Dutch Finance Minister Jeroen Dijsselbloem suggested that this could be a model for dealing with future crises. Draghi retorted that Cyprus is not a template and Dijsselbloem had been misunderstood (Jones 2014).

Subsequent events suggest that Dijsselbloem is more committed to his views than Draghi's dismissal would suggest. Although there has been widespread support for the creation of a single supervisory mechanism to oversee European financial institutions, there has been much less enthusiasm for the

mutualization of risk. Moreover, European financial integration has been slow to recover. This may be a side effect of the on-again, off-again crisis in Greece; it may also be a result of a greater reluctance to accept exposure to Europe-wide financial markets. Meanwhile, the costs of European financial market disintegration are manifest in the sluggish growth performance of many of Europe's peripheral economies coupled with high rates of unemployment, particularly among the youth. Those effects can also be seen in the negative interest rates experienced in Europe's core. Investment opportunities are not being taken where they are abundant; savings are pooling where they are in excess. These factors are damaging the long-term sustainability of economic performance across Europe. They are also fuelling both anti-elite and anti-European political sentiment.

The danger is two-fold. On the one hand, there is the danger of repetition: European policymakers may make too little progress on their banking union agenda because economic performance recovers. Much of the zeal for reform will diminish even as the underlying dynamics that caused the most recent European crisis reassert themselves. In that case the emergence of a banking crisis larger than the national resources to deal with it will only be a matter of time. On the other hand, there is the danger of regression: European market participants will resist the incentives to accept international exposure and national policymakers will encourage that home bias. The price of capital will vary widely across Europe's internal market. Investment opportunities will be missed and savings will fail to increase in value as a consequence. In that case Europe's long-term growth prospects will be diminished, as will the resources available for national policy. Neither scenario is fatal for the national state as a political construct; both would constrain the success of the European state in achieving its domestic imperatives.

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The Limitations of the Limited State

Neoliberal Theory Meets the Real World

Colin Crouch

The ideal of the neoclassical political economy is of a state that mainly limits itself to defending the rights of property, responding to the changing needs of the market for rules to ensure its effectiveness, and maintaining competition. The state interventions needed to achieve these goals can be limited if there is a flourishing system of common law, where as many regulatory problems as possible can be settled by the development of private contractual terms and their enforcement and interpretation by civil courts or, better still, by voluntary mediation. But this model is highly unrealistic. This is not just because, as Polanyi (1944) demonstrated with reference to the first great marketization wave, the English enclosure movement, that the damage done by the market's disruption to existing social relationships is unlikely to be unchallenged; but also because sustaining the market itself requires considerable continued political attention. This is particularly the case in the majority of real-world instances, where the very success of neoliberalism's own programme of destroying opposition to itself creates an economy, not of pure markets, but of powerful corporate interests lobbying governments and regulators to work for them.

THE REQUIREMENTS FOR A SELF-SUSTAINING MARKET-BASED POLITICAL ECONOMY

A pure market economy should feature relatively limited inequality, and what surplus wealth there is should not be able to be used for political purposes. Competition should ensure that no firm or occupation could extract rents; the growth of unusually high earnings would signal opportunities for new market

entrants, which in turn would bring down earnings. There would certainly be some inequalities: transitional ones as the competitive process worked out the above logic; more permanent ones reflecting inequalities of skill and resource endowments. Recently Thomas Piketty (2013) has pointed to long-term tendencies in returns to capital, which, if his analysis is correct, would mean a continuing increase in inequalities of wealth. But the crucial point is that this liberal ideal can be achieved only if there is a close approximation to the neoclassical model of perfect competition, in which there is: (i) a sufficient number of buyers and sellers in any one market that no individual participant (or small group of participants able tacitly to coordinate their action) can affect prices; (ii) easy entry into and exit from all markets; (iii) an absence of major accumulations of concentrated ownership, whether through inheritance or competitive success; (iv) more or less perfect information available to market participants; (v) no significant externalities; (vi) no significant need for public or collective goods; (vii) mechanisms to prevent the conversion of economic resources into political influence. This last factor is particularly important in all political thought that is rooted in classical economics, and is essential to the earlier proviso that surplus wealth should not be able to be used for political purposes.

However, in the real world failure on most of these listed points is extremely likely, for example:

(i) *a sufficient number of buyers and sellers in any one market*: in several important markets this criterion is virtually impossible to meet as a result of the capital needed to participate effectively in the market. Energy is a major example, where oil and gas extraction in particular is dominated by a small number of giant corporations. Similar points apply to many aspects of transport and equipment for transport, pharmaceuticals, and mass-market food manufacture—and outside the extraction and manufacturing sectors, general banking.

(ii) *easy entry into and exit from all markets*: the same issues that affect (i) also inhibit entry here. But exit can also be problematic where a firm or group of firms are so important to a market or to the general economy that their collapse would have system-wide consequences. This was epitomized during the 2007–8 financial crisis in the famous phrase that the major banks were ‘too big to fail’. It is fundamental to a free market economy that failure can take place, partly because it is a means of getting rid of inefficient capital, and partly because it is also a condition of a pure market that no one actor’s behaviour has systemic implications.

(iii) *an absence of major accumulations of concentrated ownership, whether through inheritance or competitive success*: two separate issues are raised here. From one neoliberal perspective, property inheritance is contrary to the rules of the free market, as it produces rewards that have not been ‘earned’ as well as

leading to uncompetitive accumulations; from another perspective, equally neoliberal, the ability to leave property to heirs is a fundamental aspect of capitalist motivation. In practice, the latter argument has always dominated. Although competitive success is a different question, it involves a similar conflict within neoliberal economic reasoning. On the one hand is the anti-trust thesis that a competitive economy requires the permanent maintenance of a state of competition; this was the concept originally embedded in US anti-trust law and in post-war German *Ordoliberalismus*, later imported into European Union competition law (Amato 1997). In both the US and the German original concepts its role was not just to maintain consumer choice but to sustain an entrepreneurial class (or *Mittelstand*) capable of resisting both big capital and big labour. Against this is the opposing argument that a competitive economy is one in which the winners of the competition keep their gains unless new rivals can mount a challenge (Bork 1993, Posner 2001). This approach explicitly favours big business, as it (questionably) assumes that increased size of firm means superior efficiency. It has been highly influential, but not completely dominant, in the USA, and has gradually grown in influence in Europe. There is to date no theoretical resolution of this dilemma, outcomes in individual cases depending on the judgements of different jurisdictions, with considerable diversity by sector.

This issue is significant beyond the outcome of individual cases, as it represents a struggle between two different kinds of capitalism for the soul of neoliberalism: the medium-sized enterprises that stand at the heart of neoliberalism's public presentation of the market economy, and which are necessary for neoclassical economic concepts of the market; against the giant corporations that distort the market economy but which bankroll the political parties, think tanks, and foundations that propagate neoliberal ideology. It is interesting that Piketty's (2013) history of two centuries of wealth-holding in France, Britain, the USA, and elsewhere plots a similar transition from wealth vested in property ownership to that based on corporate executive earnings.

(iv) *more or less perfect information available to market participants*: in practice only very wealthy individuals and corporations can afford to buy such information, and, as the financial crisis showed, they may not have an adequate incentive to bother to do so. The problem is exacerbated by the strong incentive that corporations have to create misleading information for mass consumers through such means as advertising and the small print in contracts. Individual (as opposed to corporate) consumers have few means available to them to combat this information asymmetry.

(v) *no significant externalities*: that externalities can in principle exist has to be accepted by economic theory. The counterargument of neoliberals is that (a) very few externalities are important enough to be worth disturbing markets for; and (b) market solutions can be found for most others. The former is a

matter of judgement, that neoliberals try to solve by appealing to the priority of accepting the rule of the market; but that argument cannot be used to settle a dispute over whether the market deserves such priority, as it requires prior acceptance of the position being questioned. The neoliberal position at (b) can take two forms. The first is to test the importance of an externality by discovering whether those affected are willing to compensate the losses incurred by the creator of the externality if it ceases to create it (Coase 1960). But that only works where those suffering from an externality are an identifiable group and where no distributional issues are involved. This leaves a large number of important issues unresolved. The second form taken by the idea of finding a market solution is to bring a non-marketed good into the market—e.g. protecting the environment by enabling private ownership of environmental resources, replacing relations based on trust by market contracts. In many cases these face some severe limitations. Sometimes state action and legal change are needed to impose this kind of marketization. Such measures may well be effective, but the need for state action compromises this as a pure market solution.

(vi) *no significant need for public or collective goods*: as with externalities, rejection of the importance of these requires *a priori* contestation of the idea that there are ever goods of these kinds, or a strategy of bringing them into the market, as discussed under (v).

(vii) *mechanisms to prevent the conversion of economic resources into political influence*: as already signalled, this is the real Achilles heel of neoliberal theory as a contribution to political thought. While it is easy to identify the two different spheres of life, economy and polity, it is extremely difficult to design the resources used in one in ways that cannot be converted into the other. In principle neoliberalism is hostile to any mutual influence between economic and political interests, and should therefore be committed to achieving such a design. But neoliberal practice erects only a semi-permeable membrane, trying to prevent the intervention of the political into the economic, but being relaxed about the reverse influence. This becomes self-defeating, as one of the main motives of economic intervention in the polity (or 'lobbying') is to achieve political interventions in the economy favourable to the lobbyists. It is evidence that neoliberal ideologists have become advocates of corporation-dominated rather than competitive markets when they advocate the semi-permeable membrane.

These arguments establish two initial points. First, there are at least two kinds of neoliberal: those who believe in free markets, and those who believe in corporate domination. Ironically, the former are often more likely than corporate neoliberals honestly to recognize the approach's vulnerabilities outlined above and to accept a need for regulation to adjust the terms of the market so that it can function efficiently. Important recent examples are Martin Wolf

(2008) and Daniel Zimmer (2013). Free market neoliberalism tends to dominate public debate; the corporate form tends to be an ideology ‘that dare not speak its name’ (though elsewhere I have tried to construct what its public presentation would look like if its advocates cared to make it (Crouch 2015)). But in the questionable day-to-day relations between politics and large firms the corporate form of neoliberalism dominates.

Second, we see here the limitations of the limited state. Its free market form requires repeated intervention, partly to sustain the market, partly to respond to the problems that markets create. With reference to the former, there is some confusion in neoliberal thought about the role of regulation. At the rhetorical level, regulation is a *bête noire*, and some neoliberals, particularly in the USA, believe that, left purely to themselves and private contract law, markets can be entirely self-regulating; but in more sophisticated theory the neoliberal state is presented as a regulatory one, in contrast with the interventionist state associated with social democratic and traditional conservative politics (Majone 1990). Also, in democracies, however compromised they are by corporate lobbying power, popular concerns can never be entirely ignored. Even self-proclaimed anti-regulation governments find themselves responding to these pressures—as seen in several recent instances of self-proclaimed anti-regulation UK governments intervening in the financial sector to protect customers and others from a string of scandals in banking behaviour.

This tangled web of problems that we encounter as soon as we begin to examine the claims of the neoliberal turn—that it represents an historic shift from state to market—helps qualify two of the Le Galès and King propositions:

- *Markets now to some extent make states, while states’ ability to make let alone control markets is in retreat.* First, it is more likely to be corporations than markets that are involved in ‘making’ states. Second, states continue to be involved in regulating markets, and in market ‘making’. In particular, privatization programmes are explicitly acts of the latter: producing markets where none existed before. Measures to bring into the market spheres of life that exist outside it often require state action: especially when this involves turning a public or common good into a privately owned and traded one.
- *Concurrent changes in ideology about governments’ role and the development of new instruments of state capacity are driving the reconfiguration of European states.* This is certainly the case, but the changes are more paradoxical than they might first appear. This is partly because the reconfiguration of states involves their responding to corporate lobbying; partly because popular reaction against some elements of corporate behaviour cannot be ignored, involving continued recourse to regulation.

THE SELF-DESTRUCTIVE PROPERTIES
OF NEOLIBERALISM

Thanks to Soviet communism, it was for many years possible for capitalism and democracy to be presented as two sides of the same coin. Many of the dictatorships in Latin America, the Far East, and Africa, that were supported by the USA as part of its global campaign against communism, were in no way democracies. Often they were particularly violent dictatorships. Further, with the exception of Pinochet's Chile, they usually did not represent free market capitalism either; rather a form of market kleptocracy. As recent works on the ideas of Hayek by Streeck (2012) and Mirowski (2013) have shown, neoliberalism's relationship to democracy is tenuous in a more profound sense than this. Hayek was very worried that democratic pressure for social policy and restrictions on capitalist freedom would succeed. He therefore wanted major constraints imposed on what democratic institutions could do, such as infrequent elections with institutional impediments to changes of government, a high voting age, and the exclusion of certain areas of policy from political interference. This last involves some serious points. For example, the idea of the 'state under law', or the *Rechtstaat* (ideas which sit increasingly uneasily alongside the specifically British concept of parliamentary sovereignty), is widely accepted as reflecting a necessary protection of citizens from the state, whether it is democratic or not. Similar arguments can be used to defend the role of independent central banks in protecting citizens from governments deceiving them by pretending that public spending can rise without concomitant increases in taxation; or to insist on independent government statistical and information services. Wherever there is evidence that governments can wield state power to corrupt or undermine the workings of democracy, there is a case for measures that would protect democracy from its elected representatives. This opens a new field of debate in liberal (rather than neoliberal) political economy, outside the usual one of state versus market: the role of a public realm beyond the reach of government. But Hayek's list goes far further than this; his concern is not to protect democracy but the market, often through considerable state action. Indeed, it is arguable that his objection was not to state action per se but to state action influenced by a wider public.

Hayek was not an eccentric neoliberal thinker, although as Mirowski (2013) shows, even within his own circle such figures as Milton Friedman were uneasy at this extreme political stance. He stood at the centre of what Mirowski calls the neoliberal thought collective, formally embodied in the Mont Pèlerin Society, a group that has included most leading Anglophone political economists of the past four decades or more, including the majority of Nobel Prize winners in the discipline. The factual record also shows the

superior logic of Hayek's rigorous reasoning concerning the dependence of the neoliberal project on a strong but inaccessible state, compared with what one might call the more romantic aspirations of liberationist neoliberals, who dream of a dismantling of the state except for its minimal core functions. The Thatcher administration in the UK, the eponymous leader of which was an overt follower of Hayek, was an important example of this, as was perceived very early on by Andrew Gamble in his appropriately entitled book: *The Free Economy and the Strong State* (1988).

Since then we have witnessed the revolving-door process by which executives from leading banks temporarily entered the US administration in order to prepare the legislation that deregulated the financial sector; and their subsequent return to prepare the rescue plans that saved many of those banks from the consequences of that deregulation after the 2008 banking collapse. The world's most prominent avowedly neoliberal regimes, the UK and US, practised the extreme interventionist act of nationalizing banks. Inconsistent with neoliberal theory though this might have been, it was entirely consistent with corporate-dominated neoliberalism. Banks were taken into state ownership, not to provide a long-term publicly owned banking sector, but to protect the wider financial sector (and wider economy) by having taxpayers 'own' the banks while they were producing only losses, before selling them back to private shareholders when they became profitable again. The neoliberal state intervened to save corporate neoliberalism from itself. Some neoliberals tried to save their theory from the implications of the financial crisis by arguing that it was caused by the US government's interventions in the housing market; a contention that can be easily disproved. Stricter, pure market neoliberals argued that banks should have been allowed to collapse, irrespective of the damage that this might have done to the global economy, because in the longer run governments had now incurred the moral hazard of banks discounting likely state support if they again undertook excessive risks. This may well be true, but it ignores risks posed to living standards around the world if such a collapse had been allowed to happen. Actual existing neoliberalism, like the actual existing socialism of the old Soviet bloc, is very different from the theoretical article. And it is with reality that we have to cope. Whether through Hayekian concern to use the state to protect the market order, or through the potentially calamitous nature of the real world, neoliberalism's rhetorical concern for extreme limitations on the role of the state can rarely be fulfilled in practice.

The neoliberal ideal of a market order governed by private contracts (preferably entirely voluntarily enforced; if necessary enforceable under common law) is mainly concerned to prevent property owners exploiting each other, but it does not ensure that property owners cannot exploit the un-propertyed, or that larger property owners cannot exploit the smaller. Douglass North's (1990) analysis of how the English and US political

economies became market-friendly in the first place implies this: eighteenth-century oligarchies of major property owners established rules that would both prevent the domination of their capitalist activities by sovereigns and protect them from exploitation by each other. Very little provided for the protection of the property-less against the propertied, except to the extent that everyone can share in market activities to the extent that they can afford to do so.

This model carries the seeds of its own self-destruction. The more property owned by a group or individual, the stronger their incentive to devote resources to advancing their property interests. To the extent that governance is provided by common law and civil actions, this arises from unequal access to courts; to the extent that it is provided by government regulation, it arises from political lobbying by propertied interests. To the extent that maintenance of the market system itself requires some forms of regulation, there is a constant politics of the economy even in a highly neoclassical system. Various examples can be cited to illustrate this point. In each case, powerful corporate interests can be expected to deploy political resources to ensure that such regulation is shaped to favour their interests, there always being a steep inequality between their capacity and that of mass publics to exercise influence over rule-making and regulation. First, regulation can try to ensure production of outcomes compatible with the perfect competition ideal when actual competition is unrealistic because of natural monopoly (e.g. railways, water). It was for his work on this that Jean Tirole (1993) was awarded the 2014 Nobel Prize in Economics. But in reality the regulators charged with overseeing these processes rub shoulders daily with executives of the firms they are regulating, while their contacts with the mass public are minimal. And the regulated firms have enormous incentives to try to influence regulators' thinking.

A second example comes from the problem of maintaining a balance in intellectual copyright law between the need to give innovators incentives by protecting their inventions, and the need for competition that requires a limit to that protection. These decisions are made by law courts working within the framework of statute law; large corporations have the resources and the incentive to deploy high-quality legal advocates and to lobby governments framing new statutes. These issues are becoming increasingly important, as many claims to intellectual property in the scientific field now involve producers of a good analysing the substances found in nature that they use in making it, and laying claim to exclusive rights over those substances. This process of trying to acquire property rights over materials that are public goods constitutes a modern version of the eighteenth-century enclosure movement, and is highly contested. To cite the most prominent case to date, the attempt by a US-based firm to patent in the US courts basmati rice, a substance that had been cultivated for centuries by traditional producers on the Indian subcontinent, was successful in those courts—until heavy lobbying

by the Indian government and considerable public protests. This field remains essentially contested and inevitably political.

The eventual outcome of an ideal neoliberal approach to such matters is a system where large property dominates small property, and propertied interests dominate the non-propertied. This distorts markets, limits competition, and creates unchecked trends to increased inequalities. This final factor ensures a vicious spiral in the process of corrupting neoclassical ideals through corporate wealth. The more unequal returns in the economy become, the more unequal is the political deployment of wealth. This in turn furthers the interests of corporate and anti-competitive wealth concentrations, which produces more inequality, and so on. Although the neoliberal order (the political expression of neoclassical economics) requires the separation of economic and political power, it has no means to enforce this on itself, given the dominance of propertied interests that it allows. It is also—though this is rarely acknowledged in neoliberal theory—dependent on the reduced inequalities that in theory a pure market economy both needs and generates. Once this criterion has been omitted from both theory and practice—as is today the case—market economies become vulnerable to increasing economic inequalities that are quickly converted into inequalities of political influence. Neoliberalism and the concept of the limited state are therefore doomed to corruption from within. ‘Actual existing’ neoliberalism is a system dominated, economically and politically, by corporate wealth and power, rather than by markets.

The argument so far has assumed that regulation requires public (i.e. state) intervention of various kinds, but a recent invention of neoliberal theory has been the idea of private, market-based regulation—which can eventually be used to justify a complete inversion of a traditional relationship: the private regulates the public. In a globalized economy with free capital movement this happens anyway in an informal manner, as the prices at which national governments can sell bonds depends on the evaluation made of them by market traders. The process acquired more formality when traders were relieved of the cost of carrying out masses of evaluations of this kind (of both governments and corporations) through the rise of credit ratings agencies. These were for a time hailed as the market answer to many regulatory problems: firms and governments that did not conduct their businesses efficiently would receive poor ratings, giving them all an incentive to improve their performance. The system is cost-efficient, in that an agency carries out one assessment of a firm or country, that assessment then being freely available in the public domain to all potential users. This is possible only if the entity being rated pays for the assessment, not the potential users, and this is how the ratings agency system works. There is obvious moral hazard here, but that is in theory covered by the fact that a ratings agency that allowed itself to be corrupted should be found out as producing misleading assessments.

Unlike public regulators, ratings agencies exist in the market, and are therefore subject to competitive pressure to produce accurate ratings. That is the market theory of ratings agencies. Even at this point, however, one should note that it was a state-like institution, the Bank for International Settlements, that gave the agencies a legal role by including their ratings in the assessments of banks' creditworthiness. (For a detailed analysis of the role of the agencies, see Levich et al. 2002.)

However, back in the real world, all main ratings agencies failed completely to anticipate the weakening position of many leading banks in the period before the 2007–8 crisis. One might therefore have expected that those involved would have lost business or even ceased to exist, as the market theory of regulation by ratings agency predicts. But in fact they have not only survived, but have acquired greater significance as assessors of governments' creditworthiness in the aftermath of the crisis. This can be explained in terms of market theory: there is no true market in ratings agencies, as three firms—all with their main offices in the same roads around Wall Street, all using the same criteria of judgement—completely dominate the market. Therefore the market processes that would ensure efficiency cannot operate. However, a true market with a large number of ratings agencies would not work; there would be a serious risk of confusion and difficulty in achieving regulatory reputation. Assessing which ratings agency to use would become highly complex, perhaps requiring a market in raters of ratings agencies—which would in turn require a large number of such raters. Regulation is not a field in which markets can provide answers.

THE PROBLEM OF CONTESTATION UNDER NEOLIBERALISM

The neoliberal era—dating roughly, and varying across countries, from the late 1970s—has seen an increase in concentration in many markets and a very considerable increase in inequality, with the richest 0.1 per cent in particular gaining at the expense of the rest of the population in many countries. The International Monetary Fund (IMF) (2014) and the Organization for Economic Co-operation and Development (OECD) (2011) have recently argued that this level of inequality is threatening to undermine the capitalist economy itself. They speak mainly of a risk of declining mass consumption, particularly in the US, such consumption having been dependent in the years running up to the crisis on high levels of private debt. Also important however are the political consequences of such inequality, as the very wealthy can buy so much more political influence than the rest of the population. The neoliberal era is therefore

producing an economy with characteristics opposite to what it requires for its own reproduction.

The preceding period (1945 to the late 1970s) had seen less oligopolistic competition, and less dominance of the polity by economic interests—not because it had been a period of purer neoliberalism, which it had in no way been, but at least in part because neoliberalism had then been challenged by forces critical of it. Partly as a result of public policy, inequality declined. Monopolistic firms were either in public hands or were required to exercise some responsibility towards the polity that nurtured them. The social state was growing in importance. In the wake of two world wars, the major interwar depression, and the rise of both fascist and communist movements, economic and political elites were uneasy about their popular legitimacy. Although Soviet communism was becoming increasingly unattractive, for a period it did appear, and especially in France and Italy, to be an alternative for working people living in insecurity in unequal societies. Capitalist elites therefore felt bound to compromise and offer such populations societies with large social states and redistributive taxation. Faced with potential competition from an alternative social order, capitalist interests were under pressure to offer something to their ‘citizen customers’.

There is an important paradox here: it seems that the competitive ideal is likely to be more favoured in practice the more politically challenged it not only becomes but continuously remains. The paradox follows from a central unresolved conundrum of Hayekian concepts of the market order: if only competition can guarantee the integrity of economic behaviour, how can the integrity of the market order itself be guaranteed if it faces no competition as an order? From this emerges a wider point, not limited to just the market order: *any politico-economic order will depend for its own integrity, not on the strengths of those who gain from it, but on that of its critics*. This occurs because everyone is corruptible (a central assumption of the market model) and will conspire in the corruption of their own system unless subject to external vigilance. If neoliberalism provides more space for critics than state socialism or radical Islam, it is because its essentially liberal core permits some criticism to survive.

Lenin argued that a democratic republic was the best possible shell for capitalism. He had a number of reasons for believing this, but the most important factor in support of his contention is that capitalist investment needs predictability and guarantees of property rights, and dictatorships are notoriously unpredictable and more likely to interfere arbitrarily with property rights than formally democratic regimes, which have to avoid giving citizens the impression that they might intervene in their lives in arbitrary ways. As noted earlier, Pinochet’s Chile is often cited by leftist critics as evidence that capitalism is happier with dictatorships. But this was an unusual case of a dictator under particularly strong influence from Chicago economists.

It was not sustained and depended on chance; it was not typical of how anti-democratic regimes treat capitalist markets and property.

What capitalist interests really prefer for their political shell is *post*-democracy: a state in which all formal democratic institutions function, but without producing any threats to capitalist interests, since the only major sources of active and powerful citizen participation comes from corporate lobbies and corporate political insiders (Crouch 2004). This is precisely the Hayekian vision that Streeck (2012) and Mirowski (2013) have revealed to us. But even post-democracy places some considerable burden on the state to maintain legitimacy and to carry out some tasks on behalf of a passive citizenship. These citizens have to have some reasons to vote and more or less to abide by the law. No democratic regime can succeed in having an agenda of just defending property rights and guaranteeing that markets work.

This problem is exacerbated by an aspect of neoliberalism that is never openly discussed. Under rational choice theory (a theory that lies at the heart of many neoliberal assumptions), actors operate with a pure maximizing rationale. It is possible for the theory to accept that firms as rational actors might act in a 'moral' way when they frame their maximizing goals, but that is a matter of their 'taste', or their perceptions of the tastes of their customers; but corporate approaches to law must be purely pragmatic. A law that limits profit-maximizing opportunities will be obeyed only if the severity of fines for disobedience, depreciated by the possibility of being caught, exceeds the gains that would come from disobedience. We can assume that the incentives for regulators and states to detect illegal actions by corporations are weaker than the firms' incentives to take such actions; the rewards for regulators and public prosecutors from successful prosecution are considerably smaller than those from successful illegal corporate behaviour. In any case we have to assume that regulators and states exist in a situation of actual existing (rather than pure) neoliberalism, where corporate political influence over regulators is stronger than that of other interests. The example of the extent of illegality in the banking sector illustrates this point—illegality that came to light only because it was implicated in the financial crisis, a set of events that could not remain secret.

Given that states (and corporate interests) need mass populations that largely respect law in their own lives, these factors create serious legitimization problems. There are two ways in which a state can conform to the requirements of corporate neoliberalism while also tackling them.

First, citizens' loyalty can be rooted in a strong sense of nation-state identity. This can be defined as being opposed to foreigners and ethnic minorities of various kinds. Examples include the position of Russians in Estonia and Latvia; European immigrants in particular and Europe in general in the UK; Hispanic immigrants in the USA). An alternative is for national identity and patriotism to be rooted in frequent military activity, as in the

USA, and possibly now in Russia, with minimal concessions to a welfare concept of citizenship. A sophisticated military system also provides many opportunities for close relations and relatively uncompetitive contracts between corporations and public decision-makers, but only a few nation states can provide this. The xenophobic model offers nothing directly to corporate interests and, in the case of transnational firms, may even be problematic for them, as it inhibits their recruitment of staff.

Alternatively, a welfare state can continue to flourish, but delivery of its services is subcontracted to private firms, so that it becomes part of the politico-corporate network. This is the direction that has been taken by the Nordic welfare states (for the Swedish case in particular, see Mehrtens 2013). A continuing welfare state is more congenial to corporate interests if it comprises a smaller number of large contracts between government departments and firms than if it requires firms to compete directly in the marketplace for the favour of individual customers. Given that social democrats are more likely than neoliberals to favour the former model, corporations active in the provision of 'services of general interest' should be expected to find the contracted-out social democratic welfare state very congenial—particularly if opportunities exist for them to avoid the taxation that is needed to fund it.

Successful, existing, corporate-dominated neoliberalism is therefore suited to the following form of state: a post-democratic electoral politics that depends either on xenophobia or military adventures, or on a contracted-out welfare state with opportunities for tax avoidance—or perhaps a combination of both. We can find several examples of such states among successful advanced economies; it seems quite viable and sustainable. But the liberal economic tradition pays a price for this success, contradicting important elements of its legitimating rhetoric. This success requires close links rather than separation between economic and political power, and in the xenophobic and military options neoliberalism is required to discard its historical association with a more general liberalism.

These considerations bring us to Le Galès and King's two other propositions:

- Changes to scale in European states are recasting traditional factors: sources of sovereignty and concepts of membership, which, when associated with negative economic circumstances, generate new political allegiances.
- The decline of hard politics and the exclusion of political violence as a source of political change help explain a growing focus on policing, frontiers, and external foreign policy.

The discussion in this chapter suggests that both might be partly explained by the legitimacy needs of a neoliberal post-welfare state. In many respects it marks a return to a *pre-welfare* state legitimacy rather than a move to

something new. For several centuries various European rulers appealed to national identity (embodied in themselves), hatred of foreigners, and the symbolic glory associated with war in order to sustain the allegiance of subjects for whom they did very little. There are changes. As Le Galès and King stress, there is less opportunity for actual war (apart from the USA, the UK, France, and Russia), but globalization presents many opportunities for other forms of hostility to immigrants, general xenophobia, or national separatism. Another change is that those earlier state forms were not democracies; the rise of democracy was closely associated with the growth of the welfare state. States have always looked after their citizens; in pre-welfare states citizenship was very limited, and states provided many benefits for their few citizens: strict protection of property rights, formal honours and privileges, corrupt access to perquisites of various kinds. Can there be a return to such a limited state under conditions of continuing democracy? If we are entering a period of post-democracy (Crouch 2004) or of weakened democracy (Streeck 2012), then it might indeed become possible again, and we are perhaps seeing the first signs of it in corporate as opposed to market neoliberalism.

A final change would seem to be the disappearance of religion as a rallying point for identifying with the state, though that is a Eurocentric view. In the USA, the Islamic world, and recently India and Japan, religion-based political identity is thriving. In the USA and Japan this might well reflect the problems of the neoliberal state; in the Islamic and Indian cases the disturbance of traditional values and cultures through globalization is a more proximate cause.

It is a familiar paradox that mutually hostile identities do more to strengthen each other than do friendly ones. In a disturbing spiral globalization intensifies, say, feelings of domination by the West in general and the USA in particular on the part of young men in the Islamic world. They begin various terrorist activities against the USA. This strengthens patriotic and national feelings in the USA and reprisals by the US state. This strengthens further Islamic resentment, and so on. The place of the neoliberal state in this is complex. It benefits from these chances to create post-welfare state loyalty, but one can hardly claim that neoliberalism produced Islamic extremism to achieve this end. On the other, neoliberal globalization is one of the main forces producing (for better or worse) disorientation in traditional societies.

Neoliberalism has contained potent seeds of its own destruction as a theoretically pure neoclassical economic model; but this does not necessarily damage its political sustainability. In the longer run, that sustainability will depend on whether those desires of the population that cannot be satisfied by actual existing neoliberalism can be ignored, turned into various forms of nationalism, or converted into market form.

THE SPECIAL CASE OF THE EUROPEAN UNION

Referring back to my initial list of the weaknesses of the pure market model of society, these unmet desires are produced by a combination of: inadequate competition in some major sectors, leading to exploitative monopoly pricing and deteriorating quality outside elite niches as a result of lack of consumer choice; problems caused by the inability to resolve the information problem in relation to increasingly complex products; unremedied externalities; a lack of public and collective goods; distortions resulting from growing inequalities; and distortion resulting from corruption, which is in turn the product of the fusion of economic and political power.

This analysis can be applied particularly sharply to the European Union, which is not a state and lacks the usual state history of nation-building, but which has important state-like characteristics. European integration has always been more about market-making than the construction of institutions to counter market failures and cope with externalities. Originally this was a benign division of labour: following the Second World War, markets needed to be made to bind European states together, while national governments needed to establish legitimacy with their populations through the construction of welfare states. However, when European market-making had potentially disruptive 'Polanyian' consequences for social life, there were intervention programmes to ease the pain, as in the Common Agriculture Policy and the Coal and Steel Community. Later came structural funds to help economic adjustment where market forces were leading to the collapse of economic sectors (such as coal, steel, and ship-building) or to help the transition to market economies in Central and Eastern Europe. Alongside the further marketization of the European Single Market programme, under the Delors and Prodi presidencies, came important extensions to regional policy, the engagement of social partner organizations at EU level, and the elements of a widening European social agenda. The latter was always weaker than the market-making aspect, but there was at least promise of an opening towards an enlarged social Europe alongside market Europe.

It should also be noticed that the construction of the European market proceeded alongside the acquisition of the EU's increasingly state-like characteristics. As we have already seen, state and market do not exist in a zero-sum relationship to each other: the market needs the state to construct it, and the more intense the marketization the more state activity it needs.

The situation today is completely different in some respects: continued expansion of the marketization agenda has begun to attack national social policy through the expansion of competition law to public services and to national labour policies. Meanwhile, the European social agenda has ceased to develop. These trends were already in progress before the financial crisis, but they became more extreme in the treatment of the 'debtor states', which were

presented with a pure market agenda, 'without adjectives'. There is no longer a benign division of labour between a market-making Europe and other institutions, but a neoliberal market strategy that is engaged in attacking other institutions. Commission research documents continue to speak favourably of such themes as the social investment welfare state, but the reality of policy initiatives in the Council of Ministers and in decisions of the European Court has been fairly unremitting neoliberalism. In other respects however a familiar process is at work: these new neoliberal EU ventures require increasing action by the Union's institutions, especially the Court.

European integration has always been an exemplar of post-democracy; its democratic institutions were constructed late in the day, formally well-designed but lacking internal dynamism and strong social representativeness, while corporate representation is deeply entrenched in the Commission's consultation activities. Meanwhile the political preferences of ordinary citizens as expressed in votes for the Parliament are not rooted in deep identities at that level as they were historically in many nation states. (Its situation here resembles that in most Central and Eastern European countries that suddenly had a full set of formally democratic institutions imposed on them after 1990. The various social movements that had struggled to achieve democracy in the late 1980s faded away, to be replaced either by parties led by individual wealthy persons or those thinly based on Western European models. Many of these countries seem to have slipped from pre- to post-democracy alongside corporate neoliberalism, without much in between.) The EU is therefore currently more vulnerable than individual nation states to any discontent resulting from the legitimacy problems of actual existing neoliberalism. Does this mean that it constitutes the weak link in that neoliberalism—the first vantage point for a major political turn? Or does its own inability to make use of xenophobia and militarism as a base of legitimacy mean that it is vulnerable mainly to critical forces espousing those values rather than those offering a critique of neoliberalism itself? In either case, EU institutions and especially the Parliament could be a locus for the revival of democracy rather than the nation states.

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Part III

Rationalization and Knowledge

The Neo-Managerial Turn of Bureaucratic States

More Steering, More Devolution

Philippe Bezes

Since the middle of the twentieth century, bureaucracies, the major means employed by government to regulate social and economic life, have been constructed into a 'public problem' and transformed itself into a central item on the governmental reform agenda. Administrative reform policies have become the *leitmotif* of political executives, civil service elites, ministries and crosscutting structures within the state (particularly finance ministries), and experts of all kinds, including consultancy firms, who have played a high-profile role in these reforms. Most European states have seen a growing *institutionalization* of a specialized field where policies for the reform of the so-called 'bureaucratic' administration are brewed, resulting in the proliferation, professionalization, and spread of expertise and techniques aimed at regulating and monitoring the bureaucratic state. These reforms reflect the existence of increasingly rational and autonomous concerns about: (1) the organization of the means of state action; (2) the improvement of their efficiency through the use of multiple instruments originating in the corporate world (performance management, contracting out, public private partnerships); and (3) the monitoring, measurement, and transparency of administrative activities. These 'policies of means', define a 'politics of means', since they target public bureaucracies, the main institutions that structure state ability to enforce policy goals and policies and to produce public goods. This national and international movement refers to what can be called the *souci de soi de l'État*, the state's self-care (Bezes 2009), to characterize these reflexive policies of administrative reforms. These policies are therefore crucial to understanding state reconfiguration, including the reform of recruitment and remuneration, changing administrative structures, and systems of performance

management, because managerial reforms claiming to build a managerialist state (Saint-Martin 2000) have been altering the production and delivery of public policies.

The content and directions of the reforms are multiple and, in many respects, contradictory. On the one hand, researchers initially identified a 'doctrinal puzzle' called New Public Management (NPM) (Aucoin 1990, Hood 1991), as the main ideological source driving the reforms, an alternative to the so-called Weberian bureaucratic doctrine, defined through new forms of organization and new principles and instruments. The visible scale of the reforms in systems of public administration was then analysed as the product of an 'intellectual revolution' (Hood 1994, Bezes 2009), the result of the influence, penetration, and 'success' of the new neo-managerial doctrine. NPM promotes new ways of thinking about administrative organization based upon a heterogeneous set of axioms drawn from economic theories, prescriptions originating in management theory, descriptions of practices tested in reforms in Westminster democracies, and guidance produced by international organizations like the Organisation for Economic Co-operation and Development. Its recommendations, which have varied somewhat over twenty years, consist of five principles of organization: (1) the separation of strategy, management, and control functions from the operational functions of implementation and execution; (2) the fragmentation of vertical bureaucracies by the creation of autonomous administrative units (agencies), by decentralization or by the empowerment of user groups; (3) the systematic use of market mechanisms (competition between public actors and with the private sector, individualization of incentives, outsourcing); (4) the transformation of the hierarchical structure of the administration by increasing the responsibilities and autonomy of the public agents responsible for implementing state action; and (5) the introduction of management by results achieved by meeting targets, and by the measurement and evaluation of performance and new forms of control within the framework of contracting out programmes.

The existence of a 'doctrine' is no guarantee of consistency in practice or convergence across countries. Canadian political scientist Peter Aucoin (1990) unearths two distinct 'paradigms' within NPM, paradigms potentially justifying conflicting political ends. First, influenced by the arguments of public choice or principal-agent theories, NPM is a tool to combat the excessive power acquired by bureaucracies through the effect of two interdependent mechanisms: the asymmetry of information held by civil servants compared with elected government; and the discretionary power they have in the drawing-up of public policies. The objective of the reforms should be to increase the powers of 'representative governments' vis-à-vis bureaucracies and their capacities to control them. Second, under the influence of so-called business management theories, the NPM puzzle helps a diametrically opposed argument, in providing a revived organizational defence of the autonomy of bureaucracies, once again

maintained in the name of operational efficiency. The capacity of administrative organizations to achieve their aims needs to be reinforced with improved management practices, to professionalize the work of government departments, enhance their productivity, and increase their responsiveness to users.

These contradictory interpretations of NPM open the way for a variety of appropriations, rationalities, and political justifications emanating from opposing political camps: British or American neoconservatives, New Labour in the UK, New Zealand, or Australia, or social democratic parties in Sweden or Norway. Neo-managerial reforms always combine, in variable proportions, initiatives that intensify control from the centre, and others that devolve and delegate powers and prerogatives. This ambiguity or contradiction has often been useful in the adoption of NPM reforms, as an illustration of the power of 'ambiguous agreement' in reforms (Palier 2005) where the rules adopted have sufficiently different meanings to attract support from divergent interests.

This chapter analyses these contradictions. It underlines the tension between the reinforcement of steering and control principles in public administrations versus the devolution of powers and increased autonomy granted to the individuals and organizations implementing public policies. It suggests that this tension offers an interesting perspective to interpret the varieties of national administrative reform policies in content and scope, but also to take stock of the more global trends at stake in the neo-managerial turn of the bureaucratic states.

NEO-MANAGERIAL REFORMS IN WESTERN EUROPE: STEERING VS DELEGATION

Table 13.1 shows the distinct forms of enhanced steering and delegation in administrative reform policies. These dimensions are political (reflected in the direct reinforcement of the influence of elected politicians), organizational (relating to action on the structures and architectures of administration), or managerial (reflecting measures to transform procedures and the rationalization of the relations between means and desired ends). They provide a good interpretative map to compare neo-managerial reforms of bureaucracies in European states.

Reinforcing Methods of Steering and Controlling Bureaucracies in Western Europe

In most European states, contemporary neo-managerialism strengthens the capacity to steer bureaucracies and the forms of control exercised over them. Those reforms increase the role of elected politicians in administrative activity,

Table 13.1 Reinforcing methods of steering and controlling bureaucracies in Western Europe

Types of registers involved	Reform orientations	
	Steering and monitoring	Delegation
Political	Politicization of appointments	Political and administrative decentralization
Organizational	Reinforcement of executive teams and capacities, mergers	Development of agencies
Managerial	Performance management systems	Measures in favour of manager autonomy

through heightened politicization, enhancement of the administrative capacities of political executives, and performance monitoring.

The ‘political centre’ imposes increasing pressure on senior civil servants to be sensitive to political demands and the politicization of appointments to senior posts (for an overview, see Peters and Pierre 2004, Dahlstrom et al. 2011). One explanation for this trend is how the radicalization or ideological polarization of certain parties, in particular conservative parties, led to an increase in politicization (the new right in 1980s Britain with Margaret Thatcher; Berlusconi’s Italy in the 2000s; Nicolas Sarkozy’s right in France). However, studies of Great Britain (Marsh et al. 2001) and quantitative analyses of other countries (for Sweden, see Dahlström and Niklasson 2013) suggest that other factors reinforce politicization: the importance of major political swings creating significant turning points in public policies and the reclaiming of the state apparatus through new appointments (the socialist parties in France or in Spain in the early 1980s; the social democratic party in Sweden from 1994) but also periods of cohabitation between opposing political structures, as in France from 1986 to 1988 (Rouban 2007). Nonetheless, there are common elements at work. Strategies can be observed to extend the number of appointed positions associated with political choice. Italy experienced this phenomenon from 1998 until the 2000s (legislative decree 80/98), with a reaffirmation of the managerial separation between politics (politicians setting policy goals) and administration (formally responsible for implementation), accompanied by a spoils system under which all top civil servants faced political confirmation by the incoming government (Stolfi 2011). Berlusconi’s reforms extended the patronage system created in 1998 by abolishing the minimum length of managerial appointments (from two years to a few months) and increasing the employment of non-tenured officials hired from outside the administration (Ongaro 2011: 744, Stolfi 2011). Another mechanism of this kind is a greater role played by the executive in the selection of

candidates for senior state positions, or the sending of repeated political signals to senior civil servants in post to demand their loyalty. For example, Margaret Thatcher exercised specific power over the body responsible for appointing and promoting senior civil servants, the Senior Appointment Selection Committee (SASC), making selections from its shortlist (Burnham and Pyper 2008). Prime Minister Tony Blair substantially increased the presence of senior political advisers at 10 Downing Street and in the Cabinet Office drawn from outside the British civil service. Advisers are responsive to politicians' objectives.

In France, the characteristic feature of changes in political-administrative relations since the 1980s has been a gradual increase in the size of ministerial cabinets and an extension of the range of appointments made at government discretion (directors of central administrative departments, directors of public institutions) as well as a rise in functional or strategic politicization (Bezes and Le Lidec 2007, Rouban 2009). Signals requiring high 'sensitivity by senior civil servants to political demands' were regularly sent during Nicolas Sarkozy's five years in office, through personnel transfers and sanctions, particularly apparent in the case of prefects (Rouban 2009, Bezes and Le Lidec 2011). Parrado (2011: 262–4) describes the same expansion in the number of politically appointed advisers as well as of deputy directors-general in central administrations in Spain from the 1980s to the 2000s, as well as a 'quasi-presidentialization' of the prime minister's office. In Sweden, Dahlstrom et al. (2011) noted a 'dramatic growth of the number of political appointees' in government offices from a dozen in the early 1970s to around 200 in 2006. Investigating the recruitment of agency heads from 1960 to 2010, Dahlstrom and Niklasson (2013) observe that the politicization of directors-general (DGs with a party political background) increased from 1960 to 1982, but then stabilized at 45 per cent from 1983 to 2004, before falling to 32 per cent between 2004 and 2010. They find no real difference between left- and right-wing governments.

The increasing power of inner circles and the building of administrative capacity around executives reflects a second change in progress, this time organizational. The steering and coordination capacities of prime ministers and/or presidents have grown, achieved through the creation of entities to integrate governmental control. This practice inevitably increased the political dimension of power and the long-term dynamic of the 'presidentialization' of the executive (Poguntke and Webb 2005). In Great Britain, for example, successive prime ministers continually established ad hoc structures (units, offices) around them, such as the Efficiency Unit set up by Margaret Thatcher in 1979; under Tony Blair from 1997 these entities proliferated. In his first term, for example, Blair set up the Performance and Innovation Unit (PIU) in 1998, which in 2001 became the Prime Minister's Strategy Unit (PMSU),

headed by Geoff Mulgan, publishing almost ninety reports between 1999 and 2007 to influence the political agenda and impose crosscutting formulations and conceptions of public action (Fawcett and Rhodes 2007: 83–4). After Blair's second electoral victory, two further units were established: the Prime Minister's Delivery Unit (PMDU), which extended the measurement of performance in the administration to the delivery of public policies to citizen-users, and the Office for Public Sector Reform. The PMDU was a body used by the Prime Minister to coordinate the policies pursued by ministries and to incorporate their activities into a framework of targets (Smith 2011). In France, the *Commissariat à la réforme de l'État* (state reform commission) set up by Prime Minister Alain Juppé in 1995 (Bezes 2009: 400–13), the creation of the general secretariats (Chevallier 2005), and the general public policy review system (RGPP) in 2007 (Bezes 2010a), mirrored this process. From 2007 to 2012, the RGPP, for example, was a forum involving ministers under the joint authority of the general secretary to the president and the prime minister's cabinet director, and aimed at producing a large number of reforms in all policy sectors by the use of audits. The ministers were bound by decisions taken in meetings of the public policy modernization councils, chaired by the president of the Republic himself, and by publicizing reform targets. The RGPP thus acts as an integrative institutional system, aimed at steering sectoral reforms in the ministries and promoting the recentralization of decision making and the arbitration role of the executive. Similarly, France's reorganization of the state through mergers to reduce the number of central departments and regional directorates, restored hierarchy and politically empowered a small number of 'super senior civil servants' (Bezes and Le Lidec 2010). Other scholars more recently identify other kinds of efforts to reinforce coordination and steering capacities in central governments that were called 'whole-of-government [WoG] initiatives' (Pollitt 2003, Christensen and Lægreid 2007, 2008) on display in the United Kingdom, the Netherlands, Finland, Norway, and Sweden, and also in Australia, New Zealand, and Canada (Ling 2002).

The third set of instruments used since the 1980s to reinforce political control from the centre is the rise of 'government by performance', the setting and announcement of objectives, targets, and indicators to measure administrative activity, its costs, and its results. In the UK, these systems have been repeatedly introduced. The Financial Management Initiative (FMI) launched in 1982 by the Thatcher government is a first example (Gray et al. 1991, Thain and Wright 1995: 57–70), introduced with the aim that every ministry should develop a performance system and instruments for measuring results. Conducted between 1988 and 1991, the Next Steps reform converted a large number of central administrative departments into executive agencies (James 2003), but established a framework document stipulating the objectives assigned to the director, who was appointed for a term of three to five years,

together with the resources allocated to the achievement of those objectives. Sixteen years later, in 1997, at the initiative of the British Treasury and the Chancellor Gordon Brown, but with the support of the Cabinet Office, Prime Minister Tony Blair developed the Public Service Agreements (PSA). PSAs set the government's objectives for each ministry and determined both the allocation of public spending by the Treasury and incentives for the senior civil servants responsible for public policies (James 2004). Other initiatives ensued. In 2000, the Modernising Public Services programme heralded the Blair government's introduction of indicators and targets for the delivery of public services. Standards set deadlines for answering correspondence, waiting times in administrative departments, telephone services, contact information, complaint procedures, and client support.

Similar systems were adopted in the other European countries. In Sweden, performance management by objectives and results is said to have been the predominant and most consistent mechanism of administrative steering and control since the early 1990s (Sundström 2006). In France, the so-called 'LOLF' reform (reform of the organic law relating to finance acts), passed in 2001 and implemented from 2006, adopted the same perspective (Bezes 2009). LOLF's new state budget architecture drove the transition from line item-budgeting towards a result-based budget, where appropriations are allocated to public policy programmes (Bezes 2010b). Each programme was associated with objectives and batteries of so-called performance indicators designed to measure results. This format change was at the heart of the original stated goal of the reform: to strengthen the government's legislative powers and control. Numerous provisions rationalized the budget debate in favour of parliament, for example by increasing its powers of enquiry. In Italy, budget reforms and performance management tools were also introduced in the 1990s (Ongaro 2009, 2011).

Issues of steering and political control were at the heart of these reforms. They reaffirmed the primacy of elected politicians (executive or legislative) over the administration. Ministers are responsible for public policies and for steering the administration. This primacy is achieved by objectives and indicators to tie the hands of ministries, novel performance reports, wider powers of enquiry for legislative bodies, and by recourse to contracts between politicians and senior civil servants at the top of administrations. Combined, the mechanisms to set goals and bind civil servants in their commitment to public policy amount to managerialized 'public service bargains' (Hood and Lodge 2006).

'Arm's-Length' Government: A New Stage of Depoliticization

In opposition to this convergent momentum for steering and control stands a set of European state reforms enhancing delegation. Three types stand out.

Political delegation transfers the prerogatives and conduct of public policies to elected local authorities, *organizational* delegation occurs when ministerial structures are converted into agencies operating ‘at arm’s length’ from central administrations and possessed of greater management autonomy, and *managerial* delegation arises when the aim is to devolve management responsibilities to the lower grades of the hierarchy within an unchanged organization. This robust trend has sometimes been labelled the ‘steering state model’ (Bezes 2007, Peters 2008), in so far as the aim is to separate the management, strategy, and control functions from the functions of implementing public policies, a role assigned to organizations or individuals with increased autonomy. Another label given to this global trend is the ‘decentring of government’ (Bell and Hindmoor 2009).

According to Falleti (2010), political devolution is manifested through policies in which political authority is devolved to subnational actors whose autonomy and political representativeness are enhanced by electoral reforms. Administrative decentralization encompasses policies that transfer policy prerogatives of all kinds to subnational authorities. The dynamics of decentralization are covered in other chapters in the book (see in particular Chapter 6) and have been the subject of numerous academic writings (for general overviews, see Keating 1998, Ansell and Gingrich 2003, Baldersheim and Rose 2010, Keating 2013). Devolution has been a common trend in all European countries since the 1980s. States—for many different reasons—aim to achieve strategic roles and to leave the detail of service delivery and local demands to local governments (Keating 2013: 101). Of course, nationally the design, scope, and intensity of these delegation processes are diverse, in terms of the institutions provided (intermunicipal groupings, counties or *départements*, regions), the kind of policy issues devolved (education, health, welfare, etc.) and the degrees of control exerted by the centre. As suggested by Ansell and Gingrich (2003: 142), ‘the organisation of the state’s administrative structure has an impact on the course of decentralisation reform’. The result is wide differences in the trajectories and timing of decentralization (Ansell and Gingrich 2003, Bezes and Parrado 2013).

The unitary Napoleonic states (France, Spain, Italy) underwent significant decentralization reforms in the late 1970s and early 1980s although, with different degrees of intensity (from high in Spain to medium in France and low in Italy). But this trend was reinforced after 1990 (1992 in Spain; 1997 in Italy; 2003/4 in France). The corporatist Scandinavian states and the Netherlands, historically viewed as unitary decentralized states, have followed a more gradual course in which local autonomy and citizen participations have been extended incrementally, in a context where policy prerogatives were already devolved to municipalities or counties (Ansell and Gingrich 2003: 150). By contrast, in unitary majoritarian states like the UK, where the dominance of the centre is a key feature, initial reforms (under Thatcher

and Major) were oriented towards centralizing authority and limiting local autonomy, while agencies (quasi-autonomous non-governmental organizations, quangos) were given many responsibilities previously held by elected bodies (Ansell and Gingrich 2003: 151). Scotland and Wales acquired 'quasi federal' status in 1997, but England (90 per cent of the UK population) remains a centralized regime. Although the UK was a European champion of organizational and managerial public sector restructuring, political decentralization came late.

The organizational breakup of ministerial departments into 'agencies', or the low-profile creation of autonomous structures in the administration, is the second dynamic of delegation. This has been a large-scale phenomenon in most European states (James and van Thiel 2011). New agencies hold autonomy in the operational management of their policy responsibilities, and have greater autonomy regarding their budgets and human resources. Such devolved management practices help to 'debureaucratize' the real work of government departments, to improve their productivity, and to increase their sensitivity to the needs of users. The global phenomenon of agencification is, however, polymorphous, and covers multifarious realities imperfectly reflected in the notion of the 'agency' (Greve et al. 1999, Pollitt and Talbot 2004, James and van Thiel 2011). For example, Greve et al. (1999) underline the organizational diversity of the world of agencies given the multiple factors shaping such organizations (legal status, functions, type and degree of autonomy, financial resources, status of staff, ministerial responsibility, etc.).

Researchers imply two distinct forms: first, semiautonomous operational agencies, which remain within and under the authority of a ministry (the Next Steps executive agency model in Great Britain, the *Agentschappen* in the Netherlands or *services à compétence nationale* in France); and second, autonomous organizations with their own legal status and managerial autonomy (in France, Italy, and Portugal they are called public establishments; in the Netherlands, *Zelfstandige bestuursorganen* or ZBO; in the UK, this category encompasses non-departmental public bodies—NDPBs).

Next Steps reform is of the first type. Established in 1988 in the UK, ministerial departments were converted into operational agencies possessed of greater autonomy in management (of staff and finances) and in policy implementation, and linked with central government departments by contracts (James 2003). By 2008, there were seventy-five executive agencies employing almost 284,000 civil servants—almost 80 per cent of the UK's central government workforce. In the Netherlands, in 1994 at the time of the new 'Purple Cabinet' (Liberals, Liberal Democrats, and Social Democrats), government ministries were divided into 'core departments' and autonomous executive agencies (*agentschappen*), following a global model of so-called 'Council Governance'. *Agentschappen* account for 58,000 jobs and 33 per cent of state public employment (Conseil d'État 2012: 234). The French

equivalent is the less numerous *service à compétence nationale* (service with national scope), a legal category established in 1997 for administrative departments which perform operational roles across the country (management functions, technical or training studies, goods production or service provision activities), reporting directly to a minister. The Scandinavian countries historically developed agencies responsible for specific policies as far back as the seventeenth century, which have gained managerial autonomy since the 1980s (on Nordic countries, see the contributions in Verhoest et al. 2012). In Spain, the 2006 Organisational Act promoted the creation of more autonomous agencies to enhance the quality of public services and to foster management by results through the use of framework contracts between the parent ministry and the agency (Parrado 2008).

The second type of 'agencies' reveals an even more fragmented landscape. This is the deliberate—but also gradual, repeated, and often long-standing—recourse to quasi-autonomous organizations, possessed of legal status, to take charge of (or more often take part in) a wide variety of state public policies. In the Netherlands, for example, there are 118 *Zelfstandige bestuursorganen* (ZBO) public companies. They account for more than 51,000 full-time equivalent jobs—almost 30 per cent of total public employment in the Netherlands (Conseil d'État 2012: 233). In France, *agencification* has been low-profile. Newly created agencies (with the legal status of *établissements publics*) were set up to respond to social or economic demands or to tackle the growing issues of risk management, often in crisis situations. There are many in health, agriculture, social affairs, culture, and research. Public administrative establishments account for more than 400,000 jobs—14 per cent of state employees (compared to less than 5 per cent in 1950). In Britain there are 199 NDPBs, and in 2006 they employed around 100,000 people after culls by the New Labour government using the Green Paper published in November 1997, *Opening up Quangos* (Flinders 2008: 81–6). For Matthew Flinders (2008), however, this reduction was powered by the way in which devolution transferred national-level bodies to Wales and Scotland. The reduction was illusory, as the New Labour government in fact engaged in organizational activism (Flinders 2008: 85) with a proliferation of new organizations, notably between 2001 and 2005. As Flinders remarks, 'governing at a distance remained the central dynamic of the public reform agenda' (2008: 86), to the extent that attempts at clarification—the reports *Mapping the Quango State* (2001) and *Better Government Services* (2002)—merely affirmed the trends towards hyper-specialization.

The third form of delegation is managerial in nature. It refers to more procedural tools and consists in giving management responsibilities to lower ranks in the administrative hierarchy and enhanced managers' operational autonomy. This 'hands-off' and private management NPM style amounts to 'liberation management' (Light 1997: 36–41) to cut red tape and reduce central

micro-management, to relax overbureaucratic regulation, and to make public managers prioritize the needs of users or 'customers'. For Olsen (2009: 305), such managerial autonomy is highly *relational* (one layer gains autonomy from another); it varies according to *topics* (autonomy on budget issues, human resource management, policy implementation or decisions); and it is implemented through diverse *instruments* (legal rules, 'soft' regulations, economic incentives, contracts, etc.) (see Verhoest et al. 2004). These reform processes can, of course, accompany reorganizations through agencification or the introduction of performance management systems. In fact, these often constitute one part of it. However, they can also be developed for themselves through specific management instruments. In the UK, the FMI launched in 1982 initially reinforced managers' responsibilities for financial management and personnel while simultaneously introducing devices for performance measurement and control, a twofold agenda intensified under the Next Steps initiative. The decentralization of recruitment and pay systems animates UK reform. Similarly, Scandinavian countries like Sweden, or to a lesser extent Denmark, have reinforced the autonomy of their agencies and considerably accentuated the devolution of their human resources management (Ibsen et al. 2011). In the Netherlands, business tools designed to develop 'entrepreneurial spirit' and greater focus on quality were also introduced in the 1990s (Noordeggraaf 2009). In France, several initiatives were aimed at giving more managerial autonomy to top bureaucrats at the operational level: the centres of responsibility developed as part of Michel Rocard's (1988–91) Public Service Renewal initiative, the 1992 deconcentration charter, the creation of so-called 'global budget' technique, from 1996, to group several detailed budget items within a single 'fungible' classification, with both funds allocation, etc. (Bezès 2009). The LOLF reform, effected in 2001–6, with its programmes and operational programme budgets, makes these approaches comprehensive and compulsory.

COMBINING AND VARYING STEERING AND DELEGATION

Steering and delegation are at the heart of Europe's neo-managerial reforms and 'mould' the process of state restructuring. The degree, intensity, and timeframes to which they operate vary from one state to another as well as in how the tension between steering and delegation has been arbitrated and pondered (Table 13.2). From a comparative perspective, one may wonder whether a dimension (political, organizational, managerial) has been dominant in a specific national context and which main orientation of reform (steering or delegation) prevails.

Table 13.2 Combining steering and delegation

	Dominant registers	Dominant reform orientations
UK	Dominant organizational type of change with support for the managerial dimension; weaker and later political register	Strong steering and control dynamics in a context of high organizational delegation
France, Italy, Spain ('Napoleonic' countries)	Dominant political type of change (control by appointments and political decentralization)	Strong momentum of political delegation through decentralization with loss of power at the centre; relative influence of performance-based management systems (greater in France and Italy, weaker in Spain)
Sweden, Denmark, Norway (Scandinavian countries)	Dominant managerial type of change because of historically devolved and agencified state structure	Historical trends favourable to greater delegation, counterbalanced by managerial dynamics of control

The UK presents three particular factors. First, successive governments emphasize the *organizational* dimension of the changes, with a drastic reform of central government organization through agencies (Next Steps), a disorderly but recurrent use of new organizations (NDGBs), and the reinforcement of the administrative structures around the prime minister. Second, managerial mechanisms are crucial in the British context, but with two significant specificities. On the one hand, the use of performance techniques framed the development of 'arm's-length' organizations, in the sense that the high degree of fragmentation in British administrative organization (diagnosed as 'walking without order' by Flinders (2008)) has been combined with a regular and repeated use of systems of government by performance. The greater the fragmentation, the more the instruments of performance management become necessary. Second, the principles of *steering* and control by management instruments seem to prevail over increases in management autonomy, as suggested by Christopher Hood's work diagnosing the strength of 'regulation inside government', and the resurgence of monitoring and auditing bureaucracies in Great Britain (Hood et al. 1999). Similarly, a recent European survey on the perceptions of neo-managerial reforms by senior civil servants in seventeen European countries (Hammerschmid et al. 2016) highlights that the sense of autonomy experienced by these top civil servants in the UK was significantly lower than that perceived by their equivalents in the Netherlands or the Scandinavian countries (Bezes and Jeannot 2016). Third, a final British characteristic is a lesser use of the mechanism of politicization and the late arrival of decentralization on the government agenda, only in the late 1990s and 2000s.

By contrast, the Napoleonic states such as France, Spain, and Italy stand out for their dominance of political mechanisms: steering appointments through politicization and delegation through the central and early role of decentralization. Following Ongaro (2009) and Bezes and Parrado (2013), one can

agree that Italy and Spain were at a similar critical juncture in the late 1970s and France in the 1980s, each initiating a decentralization reform sequence. At this time, the three countries began to redraw the boundaries between the centre and the regions, devolving power to local or regional authorities. In both cases, political reasons, not administrative efficiency, informed the decisions. However, decentralization progressed in different ways in each country. In France, decentralization policies reshaped the Napoleonic state, transferring responsibilities on several policy issues, but these transfers of power featured multiple overlaps with central government. Spanish decentralization was comparatively radical. Regional autonomy benefitted from the transfer of resources and power, although unequally in so far as some regions were initially granted more power than others. In Italy, the powers and functions of regional governments were shaped in 1975 and 1977, but political conflicts arrested the process. It was only in 1997 that a new phase of decentralization changed the distribution of administrative responsibilities across levels of government. These latest reforms transform Italy from a unitary state to a quasi-federal state with 'a constitutionally entrenched division of authority between the state and decentralized entities' (Di Mascio et al. 2011). In all three cases, decentralization clearly indicates a departure from the Napoleonic model.

But mechanisms of politicization persist in these Napoleonic countries on the control side of the changes. In some cases, such dynamics even shaped and reoriented organizational and managerial reforms. In Italy, although the initial purpose of reform was to separate politics and administration, politicization quickly infiltrated other managerial reforms (Stolfi 2011: 87–8). In France, the ad hoc but growing formation of new agencies (*établissements publics*) was far from indicative of a deliberate movement towards increased autonomy. On the contrary, it was a political response to policy scandals or failures and a commitment to new policies or objectives, as well as a way to extend political control. A close examination of organizational and managerial reforms suggests that they were not the restructuring forces that they are sometimes claimed to be. Besides, they were shaped and often redirected by the mechanisms of politicization. The late agencification process in Spain, for instance, was ultimately diluted, and arguably derailed, by the Budget Act of 2011, which 'temporarily' banned the creation of state agencies because of fiscal constraints (Parrado 2011). The low-profile trend towards agencification in France has resulted in overlapping responsibilities and conflicts about cooperation between agencies as well as between agencies and traditional ministerial departments. As regards managerial reforms, in Italy, while the introduction of NPM reforms peaked between 1996 and 1999, the new performance-management system was soon hollowed out by new political pressures in the late 1990s and the sharp increase in political patronage under the second Berlusconi government (2001–6), as political loyalty replaced performance evaluation (Di Mascio et al. 2011, Ongaro 2011, Di Mascio 2012). The French 2001 Budget Act's (the so-called 'LOLF') promises of stronger managerial control and greater autonomy for public managers went

largely undelivered according to official reports and academic studies (Bezes 2010b). As implemented, the LOLF instruments were used primarily to strengthen control over ministerial layers of government at the expense of increasing autonomy. In Spain, performance-based instruments were never comprehensively introduced.

The Scandinavian countries (Yesilkagit and Christensen 2010, Foss Hansen 2011) constitute a third configuration in which politicization has never dominated. The 1980s–2000s reinforced the decentralized or agencified structure of the state, but did not alter its institutional form. Local governments have historically been strong because they are responsible for the delivery of most welfare services, as have agencies with responsibility for specific social and labour policies. Reforms intended to streamline their numbers by drastic mergers (for municipalities) while enhancing the regional layer of government have affected local governments. Similarly, agencies reporting to ministries (but enjoying a high degree of autonomy from central departments) are a long-standing institution in Scandinavian states. In these conditions, managerial instruments (performance management systems, performance pay, pooled budget appropriation, contracts, market mechanisms) have been constituting fundamental vehicles of reform, because they were used as ‘second-order changes’, in Peter Hall’s terms (1993), intended to introduce new functions into states whose structures remain much the same. Two factors dominate: the strengthening of control over long-standing agencies and the quest for greater responsiveness to users. Mechanisms of politicization (such as the appointments of directors-general of agencies) have occasionally been employed, for instance in Sweden (Pierre 2004), to reduce the long-standing autonomy of agencies.

In the Swedish case, since 1992, ‘management by objectives’ has strengthened the accountability of agencies whose autonomy has historically enjoyed constitutional protection (Moynihan 2006). Similarly, after 1993, a new system of central government grants to the municipalities reframed their autonomy to accord them a global budget but under tighter constraints imposed by central governments (Foss Hansen 2011). With the same gradualist mode of reform, Swedish agencies have been converted from a corporatist model to a managerial or business model by reforming agency boards: historically these boards represented interest groups, but they now act as advisory bodies, and managerial responsibilities have been transferred to the agency directors-general (Lindvall and Rothstein 2006, Foss Hansen 2011). Similarly, in Norway, central government agencies have gained managerial discretion on financial and personnel issues. In Denmark, contracts based on objectives and results have been a dominant tool in the transformation of the relations between central government ministries and agencies since the 1990s (Binderkrantz and Christensen 2009), and since 2007, market-oriented tools (contracting out, competition and choice), have been used in municipalities and in the

hospital sphere (Foss Hansen 2011: 118). Binderkrantz and Christensen (2009) document how performance contracts expanded to all agencies between the mid-1990s and the mid-2000s.

In this Scandinavian context, several scholars, from very different theoretical perspectives and based on different studies, advocate the idea of a global weakening of control in states as a result of greater decentralization, the enhanced managerialism in agencies, and also, in the Swedish case, because of the decline of the 'strong state' (Lindvall and Rothstein 2006). This is true, for example, in the case of Norway, according to Christensen and Lægreid (2002), who diagnose an increase in the distance between political leaders and administrative agencies—whose directors' autonomy has been curtailed—and correspondingly a significant diminution in political control. Egeberg and Trondal (2009) confirm this finding on the basis of a questionnaire sent to top civil servants in central administrations and agencies: the officials in the agencies report less sensitivity to political signals than their equivalents in central administrations, but greater sensitivity to professional standards and the interests of users. Christensen and Lægreid (2002) also perceive a weakening in central capacities of control and in the authority to exercise that control, because of a lengthening of the hierarchical chain, the failure of accountability instruments, and increased red tape in the systems of management by objectives and results, which are applied in contexts that are more managerial and budgetary than political. The decline in central planning and steering capacities is also an observation made about Sweden by the political scientists Lindvall and Rothstein (2006). For these authors, the Swedish strong state reflected a rational model of social steering characterized by four features: strong central planning capacities; institutionalized central ministries, including autonomous agencies; a strong corporatist consensus to reform society established between political leaders and the representatives of the main interest groups; and a system of municipalities and county councils charged with implementation of social reforms. For Lindvall and Rothstein (2006), policy steering has been reshaped and undermined with the reduction in the number of central administrative institutions and devolution to municipalities and county councils. Steering functions have shifted from inspections and regulations to network-based and managerial organizational forms. New administrative bodies do not resemble the boards and agencies of the strong state era, since they no longer implement laws but coordinate networks of public, semi-public, and private initiatives. The new bodies are imbued with a strong ideological and policy orientation. Finally, on many key issues (education, social policy, housing, alcohol), central bureaucracies have been dismantled and policies either abandoned or transferred to municipalities.

This chapter has identified three dimensions of reform (political, organizational, and managerial) and two distinct orientations (steering versus delegation).

Significantly, the varying types of reform are present in most European states, though there are important differences between them in the way that these components are combined and in the dominant aspects that emerge. This complexity will require further investigation and a finer interdistinction between the countries grouped together.

GLOBAL TRENDS AND THE TRANSFORMATION OF PUBLIC BUREAUCRACIES IN EUROPE

By way of conclusion, I return to the main interpretations involved in understanding the transformations in bureaucracies. Frustratingly there is a wide diversity of available interpretations. For example, some authors (e.g. Suleiman 2003) see an inexorable process of dismantlement of the bureaucratic state, cogently described by some scholars (Jessop 1994, Hibou 2012) as the effect of an advanced neoliberal programme, and by others (Pollitt 1990) as the continuation of the rationalization process identified by Max Weber (Hood 1994, Farrell and Morris 2003, Bezes 2014). Others emphasize the spread of neo-managerial methods and rules, borrowed from techniques used in the private sector (Hoggett 1996, Clark and Newman 1997, Le Galès and Scott 2008). A third group seeks to describe these changes through the combination—varying between states—of administrative models (traditionally bureaucratic, managerial, neo-Weberian, reflecting a new public governance), in terms of the directions of reforms arising in different national conditions (Pollitt and Bouckaert 2011). Others describe these dynamics as recurrent and repeated cycles that follow a limited number of reform options (Light 1997) or see the neoliberal, neo-managerial dynamic as one cultural form of administrative management, rooted in individualism, among others, whereas other cultural forms subsist and place a different value on hierarchy, reciprocity, or chance (Hood 1998).

To make sense of this range of analyses I focus on three main lines of discussion, which echo the major tension between steering and delegation that forms the heart of this chapter.

A More Fragmented State?

One development is certain. The dynamic of delegation has been powerful in every state: everywhere, governments have transformed state architectures by ‘playing’ with the ‘bricks’—the different organizations within ministries (Hood 1986)—and building and rebuilding the structures of public administrations in

a repeated game of bureaucratic Lego, and by working ceaselessly on the specialization and division of labour in bureaucratic administrations. Everywhere, the processes that differentiate the structures of state functions, both vertically (by increasing the number and powers of the administrative levels), and horizontally (in terms of subdivisions created to carry out certain tasks within the state) have been part of the principal contents of administrative reform policies since the 1970s. Dividing, differentiating, specializing, devolving, or, conversely, integrating, merging, and aggregating tasks to decrease specialization, have been a central facet of contemporary processes of bureaucratic rationalization. This recurrent quest for the *legitimate* organizational form results in what Meyer et al. (2006: 39) call a 'Proliferation of Organisations': the bureaucracy is less useful as a descriptive category, because it is *organizations* that become autonomous entities, vehicles of sovereignty, collective and responsible 'actors', possessed of the authority to take decisions and to be held accountable for them. The proliferation of agencies of all kinds and the devolution of numerous policies to local governments are a manifestation of this dual process of, on the one hand, fragmentation and, on the other hand, the legitimization of new entities. This observation prompts two types of interpretation.

The first relates to a number of questions about the governance of fragmented state landscapes, populated with autonomous entities with growing legitimacy. It is no surprise that the concept of 'governance', contested as its descriptive capacity may be (Pierre and Peters 2000: 7, Marinetto 2003, Jordan et al. 2005, Offe 2009, Stoker 2010), has also been popular as a way of characterizing the new shifting maps of states underpinned by multiple organizations, from central ministerial departments to local authorities, taking in on the way a series of semi or fully autonomous entities, state, semi-state, or non-state actors. There is no room here to review the vast governance literature (Pierre and Peters 2000, Bache and Flinders 2004, Bell and Hindmoor 2009). Matthews' (2013) excellent review of the two waves of theories of governance helps here: the first wave of scholarship emphasized the idea of a decline in governments' capacity to control the policy process in the face of multiple exogenous challenges (the hollowing out of the state), while the second wave challenged the alleged diminution of state capacity by developing two arguments. The first of these is that delegation and devolution of power have been structural choices made by politicians who have intentionally chosen to depoliticize through agencification (Flinders and Buller 2006) or to fragment through decentralization. If these changes led to unintended consequences such as greater problems of control, they were part of a new political trade-off whereby delegation was perceived as procuring political advantage. The second argument, made by many authors, is that governments have maintained their centrality and their resource advantages (their specific authority and legitimacy, their capacity to impose financial constraints) in

these reorganization processes—a procedure called ‘filling-in’ (Matthews 2013: 30). Central governments are also said to have strengthened their steering and control capacities through the use of performance management systems with targets, indicators, and performance standards. In this view, the seemingly ever more fragmented landscape of state organizations operates under resurgent forms of integration and hierarchy based on standards, coordination devices, and accountability mechanisms (see Benamouzig and Pierru (2012) for this argument on the French health system).

The second interpretation suggests that this phenomenon of fragmentation in the structures of the state through greater specialization reflects not only a problem of governance but equally what Skowronek and Orren (2011) call the ‘policy state’—a state that operates through a sea of public policies and addresses a growing number of public problems. For these authors, the challenge is not only to identify processes of change and actions on structures as such, but in fact to look at the substantive content, the development of functions—extended or new—that the state takes on, and to draw more general conclusions about the properties of a state that is becoming above all a purveyor of public policies:

The research question outstanding is whether this fact will continue to be subsumed in more lavish enumerations of patterns and processes, in the setting of more and more policies, or whether it can be specified substantively, in its own as well as developmentally, through historical shifts in governing authority. Our intent is to answer positively, if in this paper only provisionally so, and to systematically account for the material that policy analysis pushes ahead.

(Skowronek and Orren 2011: 3)

Skowronek and Orren speculate about the types of authority and modes of action that correspond to this ‘public policy state’. Observing the specialization and growing proliferation of structures in the North American state, they link this growth with the development of such a public policy state: ‘The whole institutional system seemed to be transposing itself from one in which the structure of government serves to constrain policy to one in which the structure of government serves to mirrors policy’ (Skowronek and Orren 2011: 21). In this view, the proliferation of organizations arises from the scale of state engagement with public policies.

Several works confirm the utility of this approach. Analysing the results of the ‘Mapping the Irish State’ project, which examines the development of Irish state structures from 1924 to 2004, Hardiman and Scott (2010) (see Chapter 14 in this volume) observe the growth of three state functions and the emergence of new policies: the regulatory state, the ‘adjudicatory state’, and the ‘moral advocacy state’. This Irish example deserves to be extended to other studies. It establishes a specific link between the launch of new public policies and the creation of new structures.

Reviving Bureaucracy

The second global perspective links the resurgence of bureaucracy to the institutionalization of performance management systems. This phenomenon can be observed in all the countries considered in this chapter, although it has varied in intensity from one state to another. In this respect, as with other NPM-marked reforms, Great Britain has been the laboratory of Europe: numerous works on government by performance in the UK highlight revived bureaucratic roles, arising from the explosion of auditing (Power 1999) and 'regulation inside government' (Hood et al. 1999), observable in new control bureaucracies and the strengthening of inspection systems, but also through the multifarious cheating and blame-avoidance strategies that performance management generates in the ordinary use of objectives and indicators (for an overview, see Hood 2011). Performance management and its instruments engender this move towards bureaucratization, characterized by the very marked formalization it requires (procedures for categorization, measurement, commensuration, quantification, standardization, certification, etc.) and by the establishment of new forms of regulation, of arms-length government, and centralization, themselves reinforced by the constraint posed by austerity policies, which place primary emphasis on cost control. Numerous publications thus diagnose the emergence of a 'post' or 'neo' bureaucracy, marked by new forms of control. For Clegg (2012), for example, the new organizations constitute post- or neo-bureaucratic entities in which certain bureaucratic components have been markedly undermined (e.g. the previously central career principle), whereas others are maintained and renewed (control systems centralized and standardized by performance management instruments), while new elements are introduced (outsourcing, organizational disaggregation into small units and 'project' based management, entailing discontinuous and individual forms of engagement). Previously indisputable dichotomies lie abandoned (market vs hierarchy; centralization vs decentralization; public sector vs private sector). For their part, Farrell and Morris (2003) observe the emergence of a neo-bureaucratic state characterized by the maintenance of the power and autonomy of professional groups (doctors, academics, teachers, social workers) but strong growth in a management stratum that imposes constraints on these groups and on street-level bureaucrats. This simultaneously generates new bureaucratic forms of accountability and reporting (to users, to higher grades, etc.). For them, the introduction of management and commercial principles into hospitals, schools, and social services has led to an increase in administrative tasks, without any systematic challenge to professional autonomy (there are strong variations from one sector to another). Some authors (Diefenbach 2009) identify a new class of managers who exercise dominance through a managerialist ideology and of its derived control instruments.

The Politics of Administrative Reform

How do the reinforced dynamics of steering and the principles of delegation fit into contemporary political rationalities? Differently put, why have governments in the last fifty years invested so much and so repeatedly in administrative reforms? Why have they placed so much priority on the goals of effectiveness and efficiency on the one hand, and on this twofold tension between steering and delegation on the other, even though the impact of reforms was often uncertain (for more detail, see Bezes 2012)? Evolutions in the political sphere have played a determinant role here.

One key trend over the last decades has arguably been the increasing dominance of the 'executive' over other branches of the state. Electoral and governmental activities have led to 'presidentialization' in parliamentary democracies, in which 'chief executives' compete on their personal record as effective managers of the affairs of the state, often on the grounds that their 'outsider' status allows for more critical oversight over the running of bureaucracies (e.g. Poguntke and Webb 2005). This trend is matched in the long-term personalization of politics. Executives face demands for transparency and accountability, as media exposure becomes immediate and more diversified. At the same time, political uncertainty has intensified and voters have become more volatile (Stoker 2006). This anti-political age is characterized by a lack of deference and trust in political authority, and declining electoral turnout and partisan identification. These trends—presidentialization and electoral volatility—have had direct implications for bureaucratic reorganizations. One is the need to consolidate political support units, thus reinforcing the organizational capacities of the executive, as examined in the first section of this chapter. The personalization of politics also allows executive politicians to campaign on their record in office, and such a setting places a premium on performance management—with the resultant risk of attracting blame for poor performance—or on debate about the appropriate ways to assess performance and the interpretation of particular trajectories (Weaver 1986, Hood 2011). Political parties are not immune from organizational transformation. Katz and Mair (1995), for instance, have suggested that party systems have increasingly witnessed the emergence of the 'cartel party'. This builds on earlier discussions about the reduced polarization of party systems, captured in Kirchheimer's (1966) description of 'catch-all parties' after the 1950s (see Krouwel 2003, 2006). In the age of the 'catch-all' party, competition is not about ideological position (in fact, parties converge at the centre of the spectrum), so the spotlight falls on similar issues (Krouwel 2006: 257). Cartel parties are said to have an even broader and more diffuse electorate, to engage in capital-intensive electoral campaigns, to be loosely organized and remote from their members (Katz and Mair 1995, Mair 1997, Blyth and Katz 2005). What matters for electoral competition in both cases is the government's efficient management of the state, with a particular emphasis on the organization and running of public services.

These ideas elegantly encapsulate the link between the transformation of the party political landscape and the reformed bureaucratic focus on results (Katz and Mair 1995: 19). Party government is therefore about managing the state in a way that appeals to a decentralized electorate. The arena of competition between parties becomes their capacity to be good managers and to compile evidence that they have achieved the global results (cutting unemployment, restoring growth, security, reducing inequality) that their rival (or rivals) fails to achieve. Another implication is that established parties use programmes to reduce the policy space in which political competition is conducted. An important issue is managing voters' expectations as to what the state can deliver and 'what is in fact demandable' (Blyth and Katz 2005: 45). The results of this are initiatives to externalize policy commitments by 'the creation of binding institutional fixes to the problem of policy quantity reduction' (Blyth and Katz 2005: 43), i.e. by creating non-majoritarian and depoliticized institutions like agencies to 'insulate politicians from voters' preferences and effectively curtail the supply curve of policy, thus cartelizing the party system' (Blyth and Katz 2005: 44).

These transformations in political contests lead to three political rationales at work in the steering/delegation dynamics of reform, identified by Sheingate (2004). First, political steering permits governments symbolically to claim overall credit for the policies pursued and the management by the state, and to send a message to voters mistrustful of public bureaucracies. Governments and parties are all the more committed to achieving results through performance management in so far as they lack the resources to launch new policies in the context of a depleted state. As suggested by Sheingate (2004: 233), 'administrative reforms provide leaders with something they can actually do'. Second, the politics of delegation (through decentralization, agencification, or managerial autonomy) also function as a political strategy to deflect the absence of new programmes on to service delivery, with an emphasis on quality, efficiency, and customer satisfaction (Sheingate 2004: 233). The third political rationale of reform by delegation allows public policy delivery to be outsourced to 'technocratic' national agencies, or to be fragmented by devolution to local governments. The idea that 'depoliticisation has formed a central element of New Labour's statecraft since 1997' (Flinders 2008) has been widely documented for the UK and has been labelled 'the logic of discipline' in the US (Roberts 2010). The implementation of reforms through delegation paves the way for blame-avoidance strategies that reduce political risks by externalizing operational responsibility for the policies.

CONCLUSION

This chapter both delineates broad trends in the contemporary neo-managerial turn of European public bureaucracies and exposes their empirical

complexities for researchers that seek to explore the specificities of national trajectories. These perspectives, of course, require further investigation, along three lines. The first is to formulate a better understanding of the variety of ways in which the tensions between steering and delegation are intertwined in different national states. The second is to reflect the real complexity of this schema by giving attention to the detail of administrative reform, such as moves to make civil service systems more flexible, marketization, or the increased focus on user concerns and the promotion in bureaucracies of rights for citizens. The third is to further explore the new political rationales at work in these processes. One very important shift, from the political point of view, is that parties and politicians are now involved in a 'politics of means' or the *souci de soi de l'État*' (Bezes 2009), manifested in the institutionalization of administrative reform policies. One striking piece of evidence is the very close relations between the policy state and the managerial state. As suggested by Skowronek and Orren (2011) and other commentators, in the policy state, political strategies and conflicts are less (or no more) about policy ends, and much more about policy means ('how to use the state's authority', Rocco 2015), and therefore about influencing the making, implementation, effectiveness, and efficiency of public policies. The result of this is that the European *policy state*, characterized by the state's generation of an increasing number of policies, goes hand in hand with the *managerial state*, where governments become engaged in repeated bureaucratic rationalizations designed to control administrative institutions, public policies, and electoral feedback through reorganizations and through focusing on a variety of delegation and steering strategies.

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Tracking the State in a Liberal Economy

Empirical Indicators and Irish Experience

Niamh Hardiman

INTRODUCTION

After 2008, many commentators anticipated that the effects of the global economic crisis would bring about a sea-change in the terms of political debate about the role of the state in economic and social policy. Neoliberal ideas that financial markets were self-regulating and that minimal state intervention was both necessary and sufficient to facilitate growth had, it seemed, been put to the toughest test possible, and found sorely wanting. How could a whole cluster of ideas and policy priorities prove resilient to the effects of the crisis that, to their proponents, should not have happened?

Attempts to answer this question have attracted much attention in recent years (Crouch 2011, Barnes and Hall 2012, Schmidt and Thatcher 2013). The power of ideas in the contest for political power has been stressed: a change in the way policy options are conceived requires not only that the dominant paradigm should be found wanting, but also that a different set of possibilities be sponsored by a credible political alternative, and this may not be immediately available (Blyth 2013). Besides, inertia and path-dependence can limit the scope of what are understood to be feasible policy options. Prior policy commitments, embedded in institutional compromises between contending interests, powerfully shape the choices policy actors believe are available to them. Gradual change rather than ‘punctuated equilibrium’ seems to pose the greater explanatory challenge (Mahoney and Thelen 2010).

But the outcome of contestation and the direction of policy change may be more open and more indeterminate than theorists of graduate change admit to. Colin Crouch, for example, has argued against the determinism he argues is inherent in analysis of ‘varieties of capitalism’. Policy options can be shelved for a time, only to be reinvigorated later; older institutional forms can be

reactivated; 'institutional entrepreneurs' are far from uncommon in political life (Crouch 2005). Capitalist societies are not readily simplified into logics of complementarity in their institutional design (Streeck 2009). The literature on 'mixed market economies' in analysing varieties of capitalism, in this view, could be seen as not going far enough (Molina and Rhodes 2007): all capitalist societies are an amalgam of types of state activity, pockets of activist state intervention, zones of market-governed conduct, and domains of regulation.

These reflections suggest that the complex coexistence of types of state activity needs to be captured in a more nuanced manner than is often seen. The purpose of this chapter is to explore the insights that can be gleaned from adopting an organizational approach to understanding the role of the state, taking the Irish state as a case study. The next section makes the case for taking an organizational approach to the analysis of the state, and sets out the analytical framework for doing so. The following section profiles three key themes in the evolution of the Irish state, using organizational data to generate new insights into the way the state functions. The chapter concludes with some reflections on the potential of organizational analysis of the state for comparative political science.

AN ORGANIZATIONAL APPROACH TO ANALYSING STATE COMPLEXITY

The modern state is said to be 'Janus-faced', not only 'coherent, dominating, competent', standing over the people, but also 'organically tied to the population', needing legitimation through enactment of some form of social contract, generally expressed through fiscal relationships (Migdal 2009: 166). The efforts to balance these competing requirements result in much variation in the structural features of states. A variety of forms of institutionalized relationships may exist between state and society, and state and economy (Evans et al. 1985, Weiss 1998, 2003). What Levy called 'the age of liberalization' (Levy 2006), following the demise in credibility and effectiveness of the politics of the Keynesian welfare state, and intensified by the impact of the international economic crisis since 2008, did not entail any simple erosion of the role of the state. But we see not only differences in states' responses to new challenges of economic management and social policy formation (Pierson 2001, Prasad 2006), but also a variety of public policy responses to a new array of issues ranging from environmental challenges, to lifestyle choices, to management of the implications of new technologies of communication, reproduction, and so on (Vogel and Barma 2007, Kriesi et al. 2008).

Unexpectedly, elements of the 'developmental state' still persist, even, or perhaps especially, at the heart of the US liberal market economy where military and technology interests coincide (Block 2008, Mazzucato 2013). Meanwhile, the economic liberalization agenda gave rise to analysis of the 'competition state' (Cerny 1997, Kirby 2004, Adshead et al. 2008). And as a consequences of the retreat of the state from control over direct productive assets, we have seen the 'rise of the regulatory state' (Majone 1994, Braithwaite 2000, Jayasuriya 2000, Glaeser and Shleifer 2001, Moran 2002, Black et al. 2005, Thatcher 2009). This generated research into the institutional variety in arrangements for regulating both public and private sectors (Levi-Faur 2005, Hall 2007, Gilardi 2008, Binderkrantz and Christensen 2009). Mechanisms of implementing new regulatory regimes on the one hand, and creating new lines of accountability on the other, form an important part of a broader trend towards what is now known as regulatory governance (Hood and Dunsire 1981: chapter 2, Christensen and Laegreid 2007, Binderkrantz and Christensen 2009). Central to making progress on this is agreement on the characterization and typologies of regulatory agencies themselves (Scott 2004, Levi-Faur 2006). The statutory basis of regulation as a principal distinguishing feature has itself been questioned in recent literature, with growing recognition of the role of private regulatory regimes and transnational regulatory regimes that are not overtly directed by states. We also find an interest developing in the emergence of the 'contracting state' (Harden 1992, La Porta et al. 1999, Freeman 2000, Edgeworth 2003); and new classificatory challenges are also emerging to capture the changing role of the state in relation to such functions as the delivery of public services, taxation of citizens and businesses, and dispute resolution mechanisms.

Patterns of state engagement with organized interests in society have changed in form and purpose since the 1980s (Hemerijck and Vail 2006)—as the boundaries of state and economy shifted, the space shrank for stable deals in which the terms of wage-bargaining deals are supported and supplemented by policy commitments (Baccaro and Howell 2011). Meanwhile, the boundaries between state and society were themselves being redrawn, with developments such as the contracting out of state commercial services, or the engagement of charities and NGOs in delivering welfare services under contract. We need to develop our thinking not only about what a state is in general terms, but also about where the boundaries of 'public' and 'private', 'state' and 'civil society', are to be drawn.

One such approach is to start with organized interests and work towards a coherent analysis of network governance (Sørensen and Torfing 2008). Another is to investigate state structures themselves, especially the form and scope of state agencies, where the diversity of these new modes of state action is most often institutionalized. This is the approach adopted in this chapter. Oliver Treib and his colleagues distinguish between institutional properties

(polity), actor constellations (politics), and policy instruments (policy) in the analysis of modes of governance (Treib et al. 2005). There is quite a lot of work on the last two aspects of governance. The rise of network governance and the blurring of the boundaries between formal and informal participation, for example, is often seen as an indication of new patterns of engagement in policymaking and implementation (Waelti et al. 2004, Sabel and Zeitlin 2007). The growth of new instruments in regulatory governance such as risk assessment, quality audits, and benchmarking might be seen as innovations in the modalities through which new policy objectives are identified and implemented (Radaelli and de Francesco 2007). In practice, of course, these various strands are often interrelated (Hardiman 2012a). But by focusing on state structures themselves, or ‘polity’, we can probe trends in state practices (Hardiman and Scott 2010).

Two aspects of the organizational characteristics of the state need to be distinguished and given empirical definition. Firstly, we need to identify criteria for identifying state organizations. Secondly, we need a classification schema to capture the main features of the variety of organizations involved. Just such an exercise has been carried out for the Irish state, in the form of Irish State Administration Database (Hardiman 2012a, Hardiman et al. 2014).

Defining State Agencies

We may think we know clearly enough what is involved when we speak of institutions of the state, but a robust definition of organizations that are or are not part of the state is problematic in the Irish case. There is no unambiguous definition of the state in Ireland. While the principal constitutionally defined bodies are straightforward enough (ministerial departments, the revenue authority, audit office, police force and army, judiciary, etc.), as are state commercial bodies, these bodies far from exhaust the range of organizational forms through which state action may be undertaken. Neither statutory status nor receipt of public funding fully and unambiguously defines the boundaries of the Irish state. Besides, organizations that may be private in ownership can also have monopoly status to discharge a national public function. State functions may be discharged through the delegation of public authority to private actors to conduct certain tasks under licence, or under the umbrella of a statutory provision, and thereby fulfil what are in fact state functions. Government may also permit sectoral self-regulation by recognized bodies as a direct substitute for statutory regulation such as, for example, in the case of the Irish Bar Council and the Irish Law Society for the legal profession. The delegation of public powers may extend to the adoption by public law of privately set standards, and statutory instruments may even adopt private standards without modification.

Rather than accepting a cut-off point at the statutory end of the spectrum, we may be able to develop more powerful analytical tools for understanding state action by recognizing the longer spectrum of possibilities encompassed by 'stateness'. This can create more opportunities for engaging in real comparative inquiry about the extent to which different modalities of state action are adopted cross-nationally (Rudder 2008, Flinders 2008). Yet at all times we must bear in mind that what shapes the extent and the nature of the delegation of authority is the fact that this takes place under 'the shadow of hierarchy', that is, the democratic mandate of an elected government to control and discipline (Scharpf 1994, Boerzel 2007, Goetz 2008, H  ritier and Lehmkuhl 2008). The five distinguishing features of state organizations identified by Hardiman and Scott (2012) in the Irish case are public ownership status; source of funding; powers of public appointment; delegated function; and statutorily defined responsibilities.¹

Classifying State Agencies

Many of the structures through which state power is exercised can broadly be understood as 'quangos', or 'quasi-autonomous non-governmental organizations'. The term may provide an easy target for critique of supposedly wasteful public spending, but it is not particularly analytically useful. Yet most of the major approaches to conceptualizing state agencies are problematic, such as those based on legal status alone (Pollitt et al. 2004), functional and bureau-metric criteria (Hood and Dunsire 1981), organizational ecology (Peters and Pierre 2001), or spatial and relational criteria (Rolland and Roness 2009, COST-CRIPO 2007–11). We have also found shortcomings in existing functional classifications of agency activities (Dunleavy 1989a, 1989b, Pollitt and Bouckaert 2011).

A better approach is to recognize explicitly that state organizations may need to be defined with reference to multiple criteria, and to provide for this in any coding exercise. In the Irish case, this means that every state organization or 'unit' is coded with reference to three major criteria: function, policy area, and legal status of the organization. The detailed classification under each of these headings is based on internationally recognized definitions, but each has needed to be modified somewhat in order to capture the specificities of the Irish experience. The principal area of contrast with other countries' experiences—particularly those in the continental European administrative law tradition—is the legal status adopted by state organizations. There is considerable variation in this in Ireland. Even within the same functional or

¹ A full discussion of the criteria for inclusion in the Irish State Administration Database is set out at <<http://www.isad.ie/>>.

policy areas, agencies set up to do analogous work may have quite different kinds of legal status: agencies may be statutory or non-statutory, departmental or non-departmental, and may have different kinds of corporation or company status. Government departments can also be considered as 'units' in the same sense (requiring their own organizational classification, by function and legal status).

In addition to classifying state organizations or 'units', the Irish State Administration Database makes it possible to track change in the organizational profile of the state over time, by classifying all the possible fates that could befall an organization. The Irish State Administration Database identifies twelve possible types of 'events'. Agencies can be created or 'born', and may be abolished outright, or 'die'. But other possible outcomes are also possible: a national-level agency could be merged with another, or absorbed back into a parent department; it could be the subject of nationalization or privatization; its remit could be transferred from, or returned to, the local level of responsibility. Changes in the structure and responsibilities of government departments can similarly be tracked and coded.

Complexities of the Irish State: Statism and Liberalism

The Irish state has tended to elude ready assimilation into typologies of various kinds. This is partly because all typologies are necessarily simplifying, as noted earlier, and the process of theoretically guided selection flattens out some features while highlighting others. But the Irish state may also have features that seem inherently contradictory when viewed from the dominant perspectives, since many approaches to generalization take the experiences of advanced industrial societies as the norm. Ireland is neither clearly statist nor liberal in economic policy, but both, to varying degrees; neither straightforwardly marginal nor familist in social policy, but featuring some elements of both.

The Irish state inherited a state apparatus upon its independence in 1922 that was strongly shaped by its British origins. However, like the peripheral economies of Southern Europe, Ireland was a latecomer to economic development (Barry 2003). High tariff barriers facilitated domestic industrialization under a strong state-led drive between the 1930s and 1950s. Subsequent growth was based on a progressive opening up of trade and investment opportunities, and full engagement with the European integration project. Ireland came to be among the most open economies in the world, highly dependent on foreign direct investment, and highly exposed to fluctuations in international finance. Anticipating an end to the global economic crisis, Taoiseach Enda Kenny hoped in 2012 that within a very short time, Ireland would be viewed as 'the best small country in the world to do business' (Kenny

2012). In parallel with its late economic development, Ireland's welfare state development had lagged well behind European averages. But in the same 2012 speech, Kenny flagged the ambition that Ireland would also be 'the best country in which to raise a family, and the best country in which to grow old with dignity and respect' (Kenny 2012).

Strong statism is an enduring feature of the Irish growth story, and a populist streak in Irish political culture continues to expect a state response to many contingencies. But the share of national income raised in taxation and committed to public spending puts Ireland among the lower spenders, and the highly internationalized economy tended to favour market-conforming solutions to many policy challenges (Dellepiane-Avellaneda and Hardiman 2012). These parallel features of Irish political culture can be tracked through three areas of the functioning of the state: in the development of state capacity; in the nature of industrial development policy; and in the manner in which governments have used state institutions as part of the process of building coalitions of economic interests and consolidating electoral support.

The Diffuse State: The Fragmented Development of State Capacity

A striking feature of the structure of the Irish state is the dramatic increase in the number of new state bodies during the 1990s and 2000s. A gradual increase over time was followed by a plateau of 240 bodies during the 1980s. As Figure 14.1 shows, this rose to 311 in 2000, and reached a peak of 377 in 2008.

On the surface, this looks analogous to the kind of agencification associated with New Public Management (NPM). But the reality is rather different (Hardiman and MacCarthaigh 2011). What appears to have happened is that instead of broadening or deepening the competences of existing departments in response to demands for the state to take on new functions, or to become involved in new policy areas, new external agencies were created, albeit under the authority of existing departments. This made it possible for the agencies to recruit specialist expertise not readily available in the generalist Irish civil service, and to provide political focus and profile for specific policy areas.

The economic crisis of 2008 reignited domestic debate about public sector reform, particularly since an official report on the functioning of the Department of Finance found that it was severely deficient in the capacity to undertake serious policy evaluation and to advise government effectively (Independent Review Panel 2011). More generally, in a review of the Irish public sector, the Organisation for Economic Co-operation and Development (OECD) commented unfavourably on what it called the 'organizational zoo' of

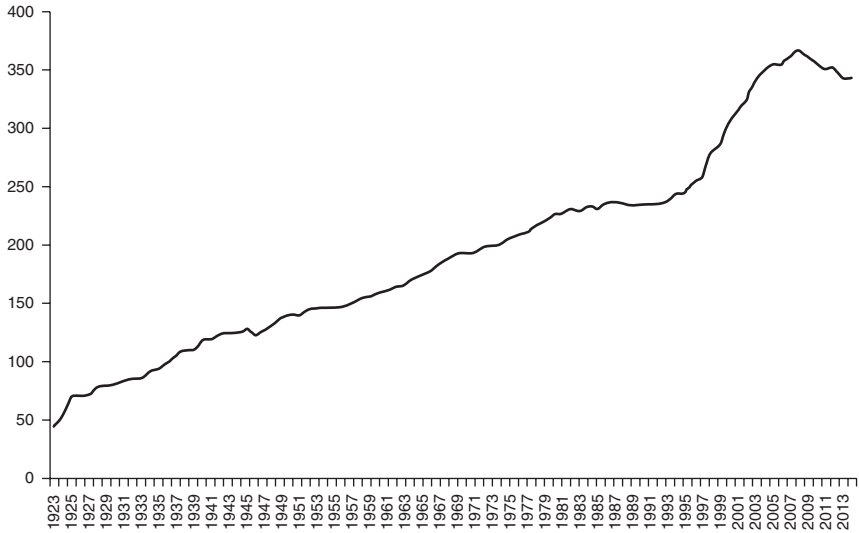


Figure 14.1 Total number of state agencies, 1923–2014.

Irish state bodies, by which it meant the uncontrolled proliferation of agencies, and the lack of consistency in their organizational design and purpose (OECD 2008). The differentiation of competences between generalist policy departments and more specialized agencies that lacked policy autonomy, the OECD argued, had not served Ireland well.

The need for rationalization of state agencies was also explicitly driven by the imperative of cost reduction (Special Group on Public Service Numbers and Expenditure Programmes 2009). Under pressure from the Troika of international lenders, employment in the public sector was reduced by 10 per cent between 2008 and 2013, and the public sector pay bill was cut by some 20 per cent. The distributive impact of cuts in public spending and in public sector numbers has been hotly debated (Callan et al. 2014, Social Justice Ireland 2014). Fears had been expressed that government would use cutbacks as an opportunity to withdraw from sectors of activity and to reconfigure fundamentally the role of the state. Others had hoped that government would ‘not let a good crisis go to waste’ and would push for the efficiency gains that had proven elusive in the period of negotiated partnership-based reform of the preceding two decades.

An organizational perspective suggests that neither of these two expectations has been fulfilled (Hardiman and MacCarthaigh 2013). Analysis of the profile of agency terminations suggests that Ireland has seen neither a neo-liberal withdrawal of the state nor a ‘bonfire of the quangos’ (MacCarthaigh 2014). As Figure 14.2 shows, existing functions have been reorganized, but little outright ‘death’ has taken place. The resourcing of the Irish state was

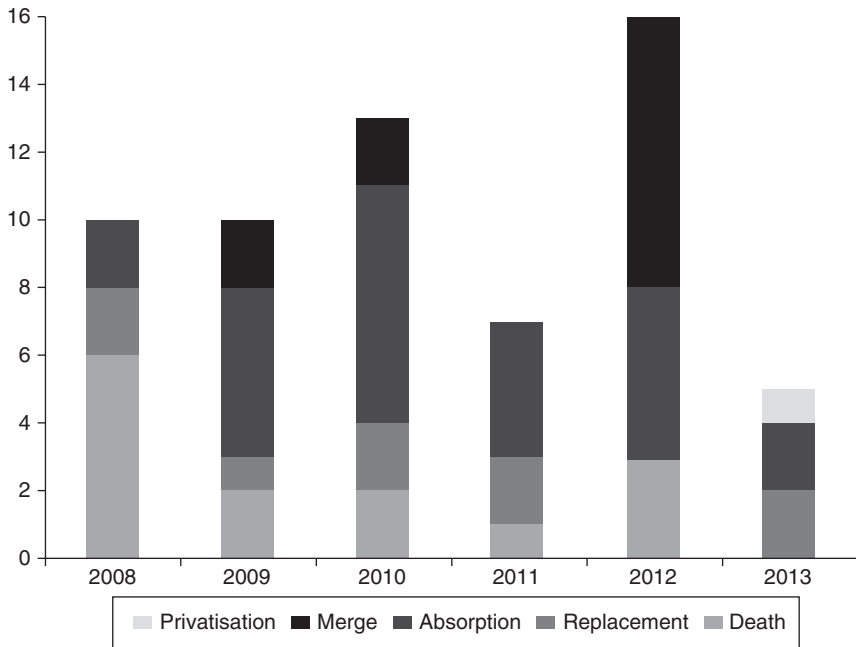


Figure 14.2 Agency termination by type.

sharply reduced, but the scope of its activities showed remarkably little change. And despite the declared importance of ‘deagencification’ and reintegration of policy competences into the core civil service, the disaggregation of activity continued to be a marked feature of the Irish public service.

The ‘Liberal Developmental’ State: Arm’s-Length Activism

As in other late-industrializing economies, the Irish state had played a strongly developmental role in the early decades of independence. A number of state commercial enterprises were set up, not only in key utilities such as electricity and gas supply, and rail and air transport, but also in food processing, chemicals manufacturing, and other areas. The opening up of the economy to external trade during the 1960s and 1970s, and particularly the fiscal pressures on the state in the 1970s and 1980s, saw the state withdrawing from direct production activities. A slow but regular trickle of privatizations ensued between 1975 and 2010 (Hardiman et al. 2014). In parallel, a tax-incentivized growth strategy, based on attracting foreign direct investment (FDI), had evolved from the 1950s onward; this made Ireland one of the most open economies in the world.

Ireland is therefore often seen as a clear instance of a liberal market economy (Hall and Soskice 2001). And yet the older strong activist state stance was not abandoned; rather, it changed shape and direction. The key institution behind Ireland's industrial policy was not a government department but a state agency, the Industrial Development Authority (IDA). Originally established in 1949, it had considerable operating autonomy. Over time, it developed a highly activist role in both soliciting international investors and in facilitating relationships between investors and the range of domestic actors and services needed to bed down new economic activities. Irish industrial development policy came to be seen as developmental, but 'flexible', working with not against market incentives, facilitating the connection between 'global' actors and local economic conditions (Ó Riain 2000, 2004, Barry 2007). The IDA proved highly successful in its remit. Criticism of its relative lack of interest in developing domestic industry resulted in shifts in the reconfiguration of industrial development bodies during the 1990s (Hardiman et al. 2014). But the contention that Ireland remains over-reliant on FDI, with the IDA as its champion, has never entirely been put to rest.

As in other European countries, Ireland displayed a rise in the 'regulatory state' alongside the decline in direct productivist state activities. Indeed, as Figure 14.3 shows, regulatory agencies, along with delivery and advisory bodies, account for a disproportionate share of the increase in the number of agencies since 1990.

Many of the regulatory agencies were set up to comply with EU requirements, but the proliferation of discrete bodies in Ireland was unusual. Delivery bodies include organizations providing educational services, implementation of commitments to policies such as active citizenship and sustainable housing, as well as commercial state enterprises. Advisory bodies include agencies set up to monitor government policy, such as the Irish Fiscal Advisory Council, as well as agencies providing a link between civil society organizations and government policy, such as the National Economic and Social Council and other tripartite social partnership bodies.

The delegation of authority to regulatory and other authorities has become standard practice for bodies that need to display a credible commitment to independence from government. But if such agencies are kept at arm's length from government policy, and if clear policy oversight is not maintained, perverse consequences may ensue. Arguably, the poor oversight of agencies noted in the preceding section contributed to policy drift prior to the crisis. For example, Ireland followed the British preference for 'light-touch' financial regulation, but in the Irish case, the financial regulator was in effect exercising little or no active regulation at all (Honohan 2010, Clarke and Hardiman 2012, Ó Riain 2012.). The Irish banks went on to suffer one of the worst-ever banking crises, and the liabilities were disproportionately borne by the Irish taxpayers (Woll 2014). And Irish governments proved

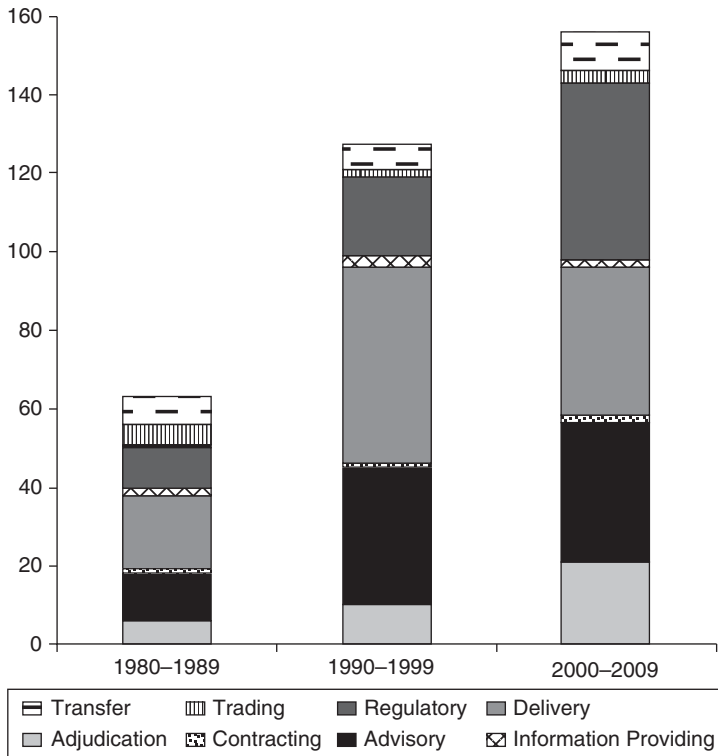


Figure 14.3 State agencies by function.

highly resistant to nationalization as a solution, even a temporary solution to crisis on such a scale. Yet it seems that Irish politicians always preferred arm's-length institutional solutions, for example in the design of the National Asset Management Agency, the agency charged with taking over property development loans from Irish banks in return for government bonds. To take another example of delegated authority: while the social partnership institutions had contributed to patching up some shortcomings in policymaking and implementation during the 1990s, the weight government accorded to the preferences of the public sector unions can be argued to have contributed to the implementation of pro-cyclical fiscal policies during the 2000s (Hardiman et al. 2012, Regan 2012).

The Porous State: Clientelism

The Irish state typically scores well on indicators of administrative competence and 'impartiality'; but it scores considerably less well on indicators

of perception of political corruption (Teorell et al. 2009, Byrne 2012). The IDA and its FDI-related activities are generally viewed as relatively unproblematic. But while most of the exporting activity in the Irish economy is concentrated in the FDI sector, most private-sector employment is in enterprises that are small by international standards, and that operate mostly in the non-exporting domestic economy. Problems involving political corruption have been clustered in areas such as the allocation of licenses for the conduct of particular kinds of commercial activity, control over regulation of land use, and the preferential allocation of public contracts to private firms that were known to make generous political donations.

The scale of political corruption can be difficult to pin down. It may be seen as one end of a spectrum of activity that extends back into clientelist methods of building up political support. A non-corrupt public administration can coexist with political practices of using state functions to build up political support. Among the perks of political office is the allocation of positions on the boards of state agencies, since these boards generally offer some remuneration and expenses to appointees (Ó Riain 2014). Comparative research suggests that the independence of state bodies depends less on statutory rules than on the extent to which the potential for political interference is curbed, particularly when it comes to making appointments to the board and management of those agencies (Ennsner-Jedenastik 2014).

The discretionary role of governments in making appointments to Irish state agencies is part of a wider phenomenon of the overspill of party politics into policymaking activities (Hardiman 2012b). An organizational approach reveals the scope for clientelist coalition-building within state agencies themselves.

In summary, we can see that the Irish state has featured somewhat contradictory tendencies that run in parallel to each other in several key areas of state functioning. The administrative apparatus of the state was expanded where it was considered necessary or appropriate to increase policy capacity. But overall control and integration of policy capacity was lacking. The 'developmental state' took a strong role in supporting FDI-led growth. But it was poorly integrated with the development of indigenous firms. Meanwhile, the state bodies responsible for regulatory oversight of a highly exposed economy were in thrall to the logic of minimal intervention and the self-regulating market. And while the administrative capacity of the state is quite high, the overall management of many state bodies was prone to a pervasive clientelism and overspill of party political interests. Organizational analysis enables us to track parallel trends in the way states function without requiring them to fit readily into overly simple typologies.

COMPARATIVE ORGANIZATIONAL
ANALYSIS OF THE STATE

The capacity to analyse complexity can be an advantage, but a recurring tendency in the study of the state from an organizational perspective has been the non-comparability of findings. Studies in the public administration tradition, for example, are likely to be comprehensive for individual countries, but difficult to generalize from more broadly. Nevertheless, there is a growing interest in developing empirical databases of state organizations to analyse state structures and activities in a comparative framework. Regulatory agencies, for example, are now well-mapped comparatively (Levi-Faur 2006, Jordana et al. 2011). Norway already has a database of state institutions, and interest in developing databases analogous to the Irish State Administration Database are under way in a number of other (mostly small) states (COST-CRIPO 2007–11, Norwegian Social Science Data Services 2011).

While the Irish State Administration Database was developed to capture fully the contours of the Irish state, its design was motivated by questions that were inherently comparative in nature. It is aligned with a recent turn in the study of state structures that is more explicitly animated by questions of commonality and variation in organizational expressions of state activity (Lane 2009, Lodge and Wegrich 2012, Kuhlmann and Wollmann 2014, van Thiel 2014).

The design of the Irish State Administration Database facilitates comparison because it explicitly recognizes that there is variation in the definition of what is to count as a state organization. Moreover, the multiple classification schema also recognizes that there will be variation not only in structural features such as the legal status of organizations but also in the level—national or subnational—at which different functions are exercised and different policy competences are located. Moreover, fine-grained analytical distinctions, such as in functions of organizations, can be aggregated to higher levels of generality to facilitate comparison (Hardiman and Scott 2010).

CONCLUSION

The decline of the state in advanced industrial societies was widely expected with the spread of neoliberal ideas from the 1980s on. But the activist state never went away, though it changed the way it functioned (Levy 2006). Some state roles such as the public ownership of heavy industries have largely been abandoned; some previously state-dominated social provisions have been

opened up to internal markets if not outsourced entirely (Gingrich 2011). But in most states, a mixture of trends will be discernible. Decentralization of activities into agencies in some areas may coexist with some regrouping and deagencification of policy. State activism continues alongside market-led liberalization. Bureaucratic autonomy is unchallenged in some areas, but subject to political interference in others. Discerning the nature of the admixture and tracking these trends empirically is a challenging prospect. An organizational approach, guided by the theoretical concerns of comparative political science and political economy, can generate new empirical data to enrich these discussions.

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Governing Futures

States and the Management of Expectations

Jenny Andersson

Contemporary state structures make use of a wide range of instruments that allow them to create forms of legibility with which to grasp unfolding developments. These anticipatory practices or ‘expectation technologies’ (O’Malley 2012)—of which several variants can be found comparatively including scenarios, forecasts, and foresight exercises—share a common purpose: to increase state capacities to act on an uncertain future. As such they are inherently powered constructs, designed to enable states to govern territory not only in space, but also in time.

A number of recent studies have proposed that such contemporary anticipatory practices originate during the Cold War era (Aradau and Munster 2011, Lakoff and Mallard 2012). ‘Predictive technologies’, the term employed to cover these schemes in this chapter, emerged as part of a statist reflection on the need to foresee fundamental forms of insecurity derived from military threat and nuclear disaster. Such notions of prevailing insecurity legitimized new forms of state intervention, new instruments of control, and emerging forms of expertise. This genealogy is to a large extent marked by the particular context of American state-building after 1945. But the tools and instruments (Lascoumes and Le Galès 2005) originally designed to foresee a nuclear attack by the USSR on American cities spread over time, not only to the civilian American administration, but also to European welfare state administrations, where they were integrated as instruments capable of dealing with phenomena reconceptualized as governmental uncertainty and complexity (Schmelzer 2012, Andersson and Keizer 2014, Leendertz 2016).

Predictive technologies are in many ways curious objects. They are elusive, as it is difficult to pin down both what they in fact bring to the policy process and what kind of outcomes they generate. Nevertheless, I propose in this chapter that predictive technologies have a key function in contemporary

societies: contributing to a process of transforming the multitude of potentially chaotic social futures into a number of manageable ones. The process in which this happens can be opened up as one in which key forms of knowledge and expertise, but also discursive and symbolic forms of power, are mobilized as part of the social technologies of government. This chapter proposes therefore to view forms of anticipation and prediction as examples of contemporary social technologies, and as a form of intervention that allows for a symbolic state capacity to govern the complex temporalities of social life. In particular, I contend that the rise of predictive technologies is indicative of a post-war state ambition to govern future expectation, which is itself crucial to contemporary governance practices. This aim does not however originate just after 1945, but its modern incarnation does arise in the context of a search for novel forms of control originating first in a militarization of the state in the Cold War era, and spilling over, second, into governmental rationalities marked by neoliberalism from the 1970s onwards (Rose and Miller 1992).

PREDICTION AS SOCIAL TECHNOLOGY

States are intrinsically concerned with the governance of future events and trends. The modern history of prediction goes back to the birth of the nation-state, accompanied as it was by the rise of the modern social sciences, capitalism, and positivism, which lay claims to the calculability and foreseeability of future developments of governable entities such as economy or population (Scott 1998). Early techniques of forecasting in the form of agricultural tables, forestry inventories, or population statistics allowed the state to extend its reach into time, maintain order, and perpetuate its own presence by distributing resources to 'future generations'. These future 'heirs' of the state were thus drawn into a historical continuity with contemporary populations, and conceptualized, within frameworks of mercantilist thinking, as part of the temporal extension of sovereignty. Colonial maps, in a similar manner, were drawn not only from presentist conceptions of sovereign territory, but as representations of future territory (Mitchell 2002).

James Scott proposes that states can be understood as imperial incarnations of high modernist ambitions to model reality on governmental perceptions of order (Scott 1998). In order to achieve such ordering of time, space, and nature, states make use of a variety of knowledge, forms of expertise, and instruments that produce legibility and allow for seemingly chaotic and disorganized entities such as populations or wild forests to be governed. As such, states are fundamental sources of control and can be understood as not only exerting forms of authority, but as constantly producing its sources

(Mitchell 1999). A number of studies have highlighted this dimension of state authority as constitutive of space and territory, and attempted to understand the imbrications of state structures in time and space through the active use of forms of expertise, including the technologies, artefacts, and instruments that carry expertise. From 1945 on, the future emerged as a category of control and order of liberal and authoritarian systems alike. The communist state was obsessed with the problem of time, and, more specifically, with the dangerously manifold futures of the communist system (Sommer 2015). Forms of prediction were used, in USSR planning, from the interwar period, as a way of setting the 'pre-objectives' of planning, in other words as a way of specifying the future goals of the development of communist society. This was a highly liminal activity, which ended badly for many of the planners and scientists involved, demonstrating the way that the future was a domain of totalitarian and absolutist forms of statist power. The future remains of great concern to authoritarian regimes, as can be demonstrated by contemporary examples such as Iran, Egypt, or Singapore, countries in which forecasts and scenarios of the national future are produced as a matter of tight regime control. But the liberal state is no less concerned with its future, in fact liberal and authoritarian states use, in their activity of strategic planning, the same instruments of prediction: scenarios, foresight exercises, and expert panels, instruments that have in common the way that they make use of a large industry of consultancy and expertise for the shaping of images of future developments. The field of prediction was a central field of diffusion and transfer between liberal and authoritarian regimes in the Cold War era; it remains so today, underlining the fact that these tools are not only tools of surveillance, but directly involved in the shaping of common expectations. Forecasts, scenarios, and other predictive tools are technologies used widely in market societies (Brown and Michael 2003, Beckert 2016). I want to consider them here, however, as statist instruments, and as social technologies involved in the production of power and authority. As such, predictive technologies are not a one-way street of power exercised on to the social world; they reflect changing relationships between states and this world—indeed they appear to be key in the ordering of such relationships. The governance literature describes foresight as a form of planning mode 2, in other words, as emblematic of 'reflexive' planning structures that involve a variety of stakeholders in the production of forms of policy knowledge (Nowotny et al. 2013). Historical forms of planning, it has been suggested, 'closed' future horizons, by determining a series of limited developments, while contemporary forms of anticipatory foresight 'opens' future horizons by involving a multitude of stakeholders around possible forms of change (Loveridge 2007). I want to suggest, rather, that scenarios and foresight exercises are indicative of a contemporary idea of statist steering and control, which instead of specifying specific paths of development aims to operate a quintessentially powered process of *tri* or selection between a

multitude of possible futures and then to manage expectations around those choices. Predictive technologies are involved in this process of coordination not only in terms of the constitution of specific images of the future, but also through the spread and imbrication of this image in the plurality of social actors. As contemporary planning tools, they draw the state into a societal process of knowledge creation, but in a manner distinct from post-war planning systems which relied on a huge body of social science knowledge (Wagner et al. 1991), by mobilizing selective forms of social knowledge as *expertise*.

Sheila Jasanoff (2004, Jasanoff and Kim 2015) argues, following Scott (1998) and the historian Benedict Anderson (2006), that governance processes are structured around authoritative representations that bind citizens' existences to the fate of a given territory in time and space. Such images of a technological, economic, cultural, or political future are co-produced, she proposes, in the interaction between states and forms of knowledge production. The purpose of coproduction is the establishment of social order, the stabilization of objects of governance, and the rule over different versions of change (Jasanoff 2004).

Predictive technologies are, I suggest, directly involved in such stabilization of images of change. They include instruments such as quantitative performance indicators and economic or demographic forecasts, and highly qualitative and even narrative instruments such as scenarios, that are in fact symbolic and literary representations of possible futures. The purpose of such instruments is to produce specific visions of coming time, chop up future time into manageable units, often in the shape of symbolic fifteen-, twenty-, or thirty-year periods, and point out imperatives in the form of threats or promises for action. In other words they produce forms of knowability and governability to an object that, while labelled the 'future', is really the sum of a set of claims on the present, but also the extension of these claims into coming time. They operate, from that perspective, a kind of colonization of time, an inscription of interests and patterns of action into horizons ahead, which, depending on perspective, might be understood as a necessary stabilization of expectation and a reduction of uncertainty in advanced societies (Beckert 2016), or, as operating a kind of time squeeze in which futures are transformed from potentially open horizons into a set of imperatives and constraints particular to the neoliberal era.

THE COLD WAR LEGACY

That these instruments, designed to address future preferences, entered into the logic of state action in the Cold War era is significant, as they carry over

specific images of control from these decades into contemporary state apparatuses. Meanwhile, if these technologies have mainly been studied in the context of security studies, as forms of surveillance and imperatives of 'preparedness' (Lakoff 2007, Aradau and Munster 2011, Lakoff and Mallard 2012) in increasingly securitized state structures, I argue that their purpose is much wider than the securitizing of threat, and that the fundamental purpose of anticipatory technologies is to act indeed as social technology and in part to govern society. This role includes the monitoring and shaping of relationships between states and society, between social and economic actors, and of overseeing the state itself and the process of steering.

From this perspective, predictive technologies such as foresight processes are reflexive not because they mobilize forms of public opinion and a wide range of expertise (they vary in fact from the deliberative and participatory to forms of expert governance—compare Callon et al. (2014)—but because they make the state central to coordinating images of the process of change. Foresight and scenarios are Janus-faced planning tools, designed to govern forms of change stemming from the inner workings of advanced liberal democracies, and they have given rise to a series of forms of intervention that, while they may seem substantially less coercive and authoritarian than some of the draconian measures that states make use of post-9/11, are nevertheless intrusive: these techniques shape the expectations of change held by social actors, and are intended ambitiously to forge specific individual and collective subjectivities and to inscribe these into time.

PROTECTING THE FUTURE OF LIBERAL ORDER: PREDICTION AND THE COLD WAR STATE

Many of the instruments and tools of contemporary politics that are often considered instruments of neoliberal governance have their origins not, as presumed, in the post-oil crisis era of austerity, but in relationships developed between the state and the social sciences after 1945. This is the case for instance of programme budgeting, rational choice theory, neoclassical economics, and game theory, approaches that were given a new significance in the period of austerity and dismantling of the welfare state after 1973, but which came about in a different historic context after 1945.

Valuable new research aims to account for the emergence of these approaches in historical perspective and as part of the genealogy of neoliberal rationality. Neoliberalism is evidently a complex term, which is used by social scientists with a variety of meanings and often imprecisely (see Brenner et al. 2010).

To make conceptual progress, however, a useful distinction can be drawn between two major definitions. First, we may understand neoliberalism as a

question of the constitution of a number of networks of social scientists and intellectuals, who in the 1950s and 1960s, from a variety of standpoints, began addressing the question of the future of democratic societies, and who saw the question of the future evolution of the state as one of the key concerns for an unfolding process of social transformation potentially disruptive to the liberal system. Many of these actor constellations only belong initially to neoliberalism only counter-intuitively, as they regrouped a heterodox set of positions ranging from liberalism, revisionist social democracy, and even reform communism (Mirowski and Plehwe 2009). Nonetheless, these seemingly heterogeneous positions proved constitutive to a key reflection on the post-war state. Second, a distinct strand of writings based in sociology (Mudge 2008, Medvetz 2012), contend that neoliberalism should be understood not predominantly as an ideological project, but as a range of epistemic practices, often emerging from a 'hybrid' or interstitial space between public policy, social science, and the market (produced, in other words, not by the state as such, but by military apparatuses, corporations, and think tanks, and integrated into public administrations at a later stage).

Rational choice theory, gaming, simulation, and forms of forecasting and scenario planning were approaches developed as part of a military concern with uncertainty after 1945. This anxiety translated, in the 1950s and 1960s, as a reflection on the role of the state, a reflection which resulted in the adoption of public choice theory and new public management by policymakers and academics. These approaches have had a central influence on political power and the process of state transformation since the Second World War. In the immediate post-war decades, these approaches were part of the so-called policy sciences, in other words of a search for forms of rationalization and the scientific basis of politics and state action (see Guillhot forthcoming). The policy sciences had an ambiguous relationship to the rapidly expanding post-war state. On the one hand, they were profoundly concerned with conditions of efficacy and reach of public policy ambitions; and, on the other, they were implicated in a search for planning mechanisms that might double as controls on a possible future process in which such ambitions ran astray.

The rise of the policy sciences marked the emergence of a specific contemporary notion of expertise (Rohde 2013). Not only were these approaches results of the turn, in social science immediately after the war (to a large extent because of a statist demand), to forms of applied knowledge, but they were, more specifically, also expressions of the desire to find new forms of social intervention for a mass democratic era. As such they brought into the state the principle of expertise as an active intervention in the shaping of power (Eyal and Buchholz 2010).

Predictive technologies were purposefully designed, not as representations of coming social worlds, but as forms of knowledge intended to facilitate a selected future world, by allowing for the *ex ante* evaluation of desirable and

undesirable developments. It is not by coincidence that such approaches were labelled 'social technology' in the post-war decades, and conceptualized in terms of technocratic forms of state-crafting. Forms of prediction, such as the so-called Delphi method (created by the US military and then developed by the Rand Corporation), consisting of expert panels, or the scenario method developed by the nuclear scientist Herman Kahn, were developed as technologies permitting the socialization and formalization of expertise, and as ways of increasing the capacity of the latter to weigh on public policy decisions (Hsu and Sandford 2007). Delphi was an exercise in consensus-building. It sought to shape images of probabilities which could, by a reiterated exercise, concentrate expert opinion around a majority view. The scenario method—developed first as an alternative to gaming, as it permitted the envisioning of a large number of possible futures including 'impossible' ones—was used from the mid-1960s to provide a kind of smorgasbord of identifiable scenarios, and to shape expert and public opinion around those judged as desirable. In other words, predictive technologies from their moment of inception, developed as a solution to a problem understood as having to do with the management of societal expectations and with creating convincing public images of desirability (and undesirability), through the lever of expertise.

Both Delphi and the scenario method, along with economic and social forecasting (which included, importantly, the forecasting of values and preferences) were part of a toolkit of so-called 'decision tools' or 'intellectual technologies' that were integrated into the planning apparatus of the American federal state after 1963. As such they were linked to a search, in the context of the rapidly changing structure of the American state, for ways to extend the use of rationality in situations of uncertainty.

The large literature on risk and risk governance has tended to see uncertainty as an endemic feature of advanced modernity, and as arising mainly from large technological systems (Beck 1992). I propose, rather, that uncertainty is a historically specific phenomenon, which was in many ways produced by specific constellations between public power and social science as expertise after 1945. Post-1945, perceptions of uncertainty were directly related to the idea that the present could have multiple and potentially unforeseeable futures, and that the act of deciding itself gave rise to a set of potentially uncontrollable consequences and feedback mechanisms. Originating in military conceptions of threat, notions of uncertainty and threats to prevailing order were transposed, from the 1960s on, to the internal environment of the liberal state, marked by rapid value change and unsettling social 'trends' such as the return of poverty, the breakdown of traditional family and class structures, and, in the US, of stable race relations in the post-civil rights era. The concept of 'trends' is significant here, denoting social facts understood as having a temporal dynamic, which could therefore not be grasped with traditional planning mechanisms, but required sophisticated measures of

governmental foresight. This reflection was directly linked to a set of debates on the future consequences of the Great Society programmes on American society.

Policies designed to act on the scope of a generation raised many fears in society. Some intellectuals who were, at this point, still moderate progressives but who would be identified, only years later, as neoconservatives, concluded that the state was in the process of being transformed from a guarantor of individual rights, to the vector of a set of claims and expectations on the future that might transform and rupture a historically rooted American social contract. These expectations therefore had to be governed, by means of rational foresight and through new tools of intervention, such as scenarios that allowed for the creation of convincing images of future consequences of political decisions not yet taken.

PLANNING 'MODE 2': THE TRANSFER OF FORECASTING TO EUROPEAN ADMINISTRATIONS

The 'social trends' that were the object of various predictive technologies from the 1960s on, were understood as emerging from within the dynamics of a mass society, which might unleash a multitude of different social futures. In the American context, the issue of race relations was inseparable from this problem, as was the 'hippie' problem of the young generation, expressing the idea of a generational gap that transformed the young from the future 'heirs' of stable social structures to potential rebels.

As the tools of forecasting were brought to Europe in the late 1960s and early 1970s, the race question, specific to the American context, was substituted with a much larger and more general concern with the values and preferences of the European population. Influential here were a set of Organisation for Economic Co-operation and Development (OECD) reports, at the end of the 1960s—devoted to the problems of planning, forms of forecasting, scenario, and prediction—setting out new planning technologies with which to oversee and govern complex social systems undergoing rapid change. 'Uncertainty' arose from social unrest and political unrest. This unrest became an agenda for bureaucratic planners.

Forecasting spread from the US to Europe through networks of liberal intellectuals and planners, crucially preoccupied with the efficiency of state action and the rationality of decision. It was promoted, not least by the OECD from the late 1960s, as a liberal alternative to the five-year plans of the communist system, and as a way of extending the horizon of planning to new areas, in particular, predicting future trends in non-economic forms of

change. France was one of the countries in Europe where forms of forecasting and scenario planning took root, and the French case served, as we will see, also as a bridge for these technologies into the emerging framework of the European community. In France, what is known in French as *prospective* was first mobilized as a form of liberal counter-expertise to state planning, only to be rapidly understood as a potent political instrument and integrated into the French Plan through the influence of senior civil servants such as Pierre Masse and Jacques Delors. It thus illustrates the fundamental ambiguity of these instruments, devised as promoters of state action but also identifying limits in state action. Indeed, prediction planning shared the characteristic with other technologies, such as cost-benefit analysis, of seeing the state as also in need of rationalization and management.

THE SOCIAL SCIENCES AS STATE POWER

The incorporation of *prospective* in the French Plan was fundamentally marked by the events of 1968, understood in terms of a *crise d'avenir* and as a fundamental social discontinuity. The year 1968 was also perceived, by French planners and *haut fonctionnaires*, as a rupture in images of the future, breaking down the relationship between the state and the social sciences. The latter were brought into the process of creation of public expectations, and mobilized as forms of applied problem-solving and expertise (Andersson and Prat 2015).

From the late 1960s on, long-term planning was organized, therefore, through the active mobilization of French social science and the outsourcing, through the systematic use of research contracts and subventions, of strategic research to the universities, drawing these into the planning process. This strategy relied in fact on a double role for the social sciences. Going beyond soliciting their input in terms of providers of policy solutions, the new strategy actively involved them in the production of visions and images of the future of French society. From the late 1960s, *prospective* gave rise to a large activity of consultancy, partly funded and fostered by the state (King 1997, 1998).

The scenario tool, made notorious through a series of highly publicized reports and books from the American Hudson Institute in the mid 1960s, was imported in order to produce a series of scenarios of the French future. These were, quite like the scenarios developed by Herman Kahn, which drew on scripting techniques imported from Hollywood, literary products, written not by planners but by groups of high-level civil servants and intellectuals, and intended for the French public. They functioned by virtue of a series of future imperatives and threats that laid out necessary developments for France, ascribed a set of virtues and dispositions required by new forms of flexible

change for the French citizenry, and dwelled on the danger of negative trends should this fail to be implemented. In the 1980s and 1990s, *prospective* also became a central vehicle for the management reforms that have characterized French state-building in the last decades (Bezes 2005). In other words, forecasting in the French state developed into an instrument fundamentally concerned with preparing the terrain for the liberal reform of French society, and with removing possible obstacles to reform in the mental dispositions of the French people and in possible *blocage* within the state itself.

GOVERNING BY IMAGE: SCENARIOS AND FORESIGHT AS COMMUNICATIVE TOOLS OF STATE POWER

Predictive technologies emerged as a way of using expert knowledge to create convincing images of expected changes, and weigh on public perceptions of such changes. As such, they were not only expert-dependent, but also *public*, in the sense of drawing on forms of persuasion which involved the general public. Scenarios gained increasing relevance in Western planning apparatuses from the 1970s on, as ways of dealing with contestation around 'path-changing' issues. Their use, drawing on both forms of expertise and public deliberation, replaced former corporate systems of interest-representation in planning structures (see Andersson and Keizer 2014). In the context of the delegitimation of planning from the 1980s on, coordination by persuasion and image re-enabled forms of soft planning. In these decades, scenarios increasingly became vehicles of expert governance.

At present, scenarios and so-called foresight exercises are used particularly in policy areas where contestation is expected, for instance in innovation policy, or where 'common vision' must be achieved, for instance around issues of identity. They also seem to gain their relevance in spaces where the boundaries of state action are fuzzy, for instance on the regional, or indeed European level, and where the relationship between the state and its subjects, or even its territorial demarcations, is not clear. Scenarios are also widely used on a global level of competition of influence between states, as well as between states and non-state actors. The so-called NIC scenarios, produced by the US National Intelligence Council, are part of an attempt to influence action on the global level by promoting shared visions of threats and trends (NIC 2012). They fit in a global hierarchy of scenarios, which also includes corporate scenarios such as the Shell Energy scenarios.

The purpose of this scenario activity is, again, not to create knowledge about coming developments, but rather to create persuasive visions of change in order to orient global action. The NIC scenarios are indicative of the

co-production process: the writing of the scenarios depend on a large community of experts both inside and outside of the US intelligence community, and the scenarios in question are spread not only to the American but to global publics through a website, a blog, and a highly publicized report for which professional scriptwriters are solicited (Interview with Matthew Burrows, NIC, April 2014).

Anticipatory instruments occupy a key place in the process of European construction, where they have been employed in the process of building state-like transnational structures, from the making of European markets to the shaping of governance practices and the creation of forms of shared European identity. There is a clear continuity in the use of predictive technologies, from their integration in the so-called *Cellule de Prospective* set up to follow the Comatom programme in the 1950s, to the so-called Forward Studies Unit created by Jacques Delors following the fall of the Berlin Wall in 1989, and the creation of the Institute for Prospective Technology Studies (IPTS) in Sevilla in 2004. In particular, the use of foresight as a tool of state-building virtually exploded in importance following the formulation of the Lisbon strategy in 2000, which emphasized common and shared vision as a precondition for soft forms of coordination (the *Lisbon Strategy*, Kok 2004; see also the *Europe 2020 Strategy*, European Commission 2010). We can link this to the way that the economic doctrines that have laid the basis for European integration in the last twenty years place a premium on the management of expectations, and make this a central responsibility of the state. Images of the future of a territory are today the subject of speculations on future stability (see Chapter 16 in this volume).

Post-financial crisis, managing expectations is fundamentally about the need to convince market actors of the stability of not only the economic, but also the political and the social system. The financial crisis has triggered an intensified production of anticipatory practices (Holmes 2013). Some of this activity is outsourced from public agencies and performed through the use of online tools, crowd sourcing, prediction markets, and algorithms, or online consultations that are intended to mobilize forms of collective intelligence. In other words it draws on forms of expertise that are, even, automatized, non-human, and anonymous. In the wake of rising conflicts about the European project—numerous failed referendums, the Laeken declaration's promise on a 'convention on the future of Europe', and so forth—the EU makes extensive use of anticipatory instruments as a way of governing an increasingly fragmented social sphere. The outbreak of protests against austerity politics have thus contributed to a kind of 'uncertainty' that has strengthened the political will to make use of persuasive images of the European future as a way of strengthening ties between, in particular, the Commission and European citizens.

Under Barroso, the Forward Studies Unit was recreated in the form of a presidential advisory bureau, the BEPA, the task of which was to deepen

economic and monetary union, but also to create a legitimate political union. One of BEPA's assignments was to run something called 'The debate on the future of Europe', which aimed to explore different scenarios for Europe's future, recreate a 'European story', and forge of 'common European values'. The IPTS was charged, in 2002, with the creation of 'a new culture of anticipatory thinking' for European decision-making. It argues that such a new culture is needed because of the fundamental forms of uncertainty arising from the 'declining role of traditional value systems' (IPTS 2002). Foresight is thus a vehicle for 'prompting large social debates based on expert input, and for mobilizing broad sections of stakeholders' around common visions of development' (IPTS 2002, 2010).

In the view of EU policymakers, the European territory cannot be governed without a shared vision of the European future, and without forms of prediction and anticipation that appear fundamentally involved in specifying forms of interests and patterns of action over time. This process is highly expert-dependent. The key function of the Forward Studies Unit was to orchestrate and coordinate an external network of research institutes all over Europe, specialized in long-term forecasting and planning. Subsequently, the European Commission has continued to make use of a market-led restructuring of expertise, by using framework programmes, and by setting up bids for tenders for national foresight processes, coordinated through the Foresight Unit in DG Research. National foresight processes involve a range of different providers straddling the public-private divide, including consultants, agencies, and university researchers. This activity is regulated by automated forms of oversight such as the For Learn electronic learning tool, or web portals supposed to diffuse knowledge and enable policymakers to enter into immediate contact with foresight expertise.

CONCLUDING REMARKS: STATES AND EXPERTISE

Arguably, the scenarios and future images produced by these instances are part of the production of a highly symbolic form of power over future expectations. The use of forms of deliberation that include not only the public but also a wide range of knowledge-producing 'stakeholders' is part of the production of legitimacy around specific images of change. As such the multitude of foresight and 'future' experts mobilized by, in particular, the European Commission, is not intended to produce futures-relevant knowledge, but rather to contribute to the management of uncertainty by producing and diffusing certain images of the future in European territory, and to use these to shape expectations of change that then become understood as integral to stability.

In this process expertise plays a central role, not as a question of input on policy, but rather as an active delegation of state power. I would propose therefore that we should understand forecasters and foresighters as *experts* in Timothy Mitchell's terms, in other words, as part of the production of state authority (Mitchell 1999). The sociological literature has tended to decouple expertise from the state, by emphasizing expertise as autonomous strategic action fields (Robert 2011). I would propose rather, in line with Liza Stampnitzky's argument, that states and expertise are fundamentally entangled, and that states use expertise as a form of delegation of influence, while experts, on the other hand, use state authority as a central legitimizing function for claiming social power (Stampnitzky 2011). The state, even in its so-to-speak notable absence, has a key role for the organization of such knowledge practices as described in this chapter: it creates them by various forms of outsourcing but also forms of regulation, standardization, and licensing, and, most importantly, it relies on this multiplicity of forms of expertise in order to construct its objects of governance.

In their insistence on expertise, consensus, and the creation of common values, anticipatory practices carry over a heavy legacy of statist concern with order and control from the Cold War state. This militarist legacy stands in apparent contrast to the soft, discursive, even literary nature of instruments such as scenarios. But while in many ways the purpose of instruments such as narrative scenarios may be symbolic, offering a mere 'image' of the future, there is no reason to think that such communicative or normative power is soft. On the contrary, 'governance by vision' could be understood as a potentially interventionist form of power, as it is directed at the visions, images, attitudes, and dispositions held by people towards the very process of change. If so, then the discussion in this chapter brings out a new dimension of state power, that of governing futurity, managing expectation, and controlling images of change.

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Measuring and Restructuring the State

Debt Metrics and the Control of Present and Future Political Order

Benjamin Lemoine

This chapter explores different empirical sites where techniques dedicated to quantify public debts are deployed and contribute to control states: accounting techniques and rules discussed and negotiated by national or European fiscal administrations and statistical offices; long-term fiscal sustainability scenarios constructed by the European Commission; and sovereign ratings, issued by private companies (Standard and Poor's, Moody's, and Fitch), communicated to shed light on sovereign debt issuers' creditworthiness. This range of actors and organizations is concerned with the projection of the most accurate representation of the state balance sheet, solvency, and financial value. Actors interested in state measurements—private creditors (insurance companies, investment banks, etc.), central banks, but also international organizations (such as the International Monetary Fund, the Organisation for Economic Co-operation and Development (OECD), or the European commission)—not only aim at getting information about present state records and fiscal capacities, but are also trying to anticipate the future in order to demand the 'correct' premium risk, the correct price (materialized by the interest rate), to sovereign debt issuers. Quantification devices that are the object of inquiry are therefore also predicting the risk of default probabilities.

Since 2008, several countries have had their sovereign rating unceremoniously downgraded, including France twice (2012) and the US (2014). Other countries have experienced the same fate. Each time, the rating agencies' decision was controversial. This score determines the interest rate at which one country can borrow on the financial market—probably the most important figure for a government whose country is in debt. Evaluation was based on *political factors*. The political institutions of these countries were judged

'loosely' corresponding to financial investors' expectations and criteria of evaluation: the 'ability' and 'willingness' of the states to repay the debt in the long run. Financial communities and creditors reckoned that these governments' bureaucracies were neither prone enough to favour non-inflationist growth, nor willing to meet a fiscal consolidation target that would guarantee the capacity to repay their debt.

'While rich country bonds were thought to be risk-free and were spared to the need to think about distress',¹ no state now appears immune from the problem of insolvency or unaffected by the creditors' measurement of the limits and roles of 'sovereigns'. Geopolitical areas where 'state capacity' measurement is an object of inquiry, and where fiscal discipline programmes are being applied, have expanded.² While such devices and means of surveillance were historically limited to 'developing' countries, the Eurozone and the US sovereign debt crises illustrate how such political focus on public debt metrics are also of concern in 'advanced' economies and countries.

Alain Desrosières, the leading French sociologist of quantification, once demonstrated the existence of a joint evolution between 'the conceptualizations of the state's role in economic affairs' on the one hand and statistical tools and means of measurement on the other.³ He also showed how the state, as the term statistic (which comes from the original term *Staatistik*) evokes, has always been the principal producer of figures, data, census, surveys, calculations, and comparisons—data used simultaneously to describe (making 'statements') and govern society, economy, and populations: 'l'état (with a small e)'—that means the list, the cluster, the exhaustive description, the act of counting—'is the basic tool of 'l'État' (with a capital E)'.⁴ With respect to state measurement, one can observe that public administration expertise has shifted from steering the economy *by the state*, as practised after the Second World War by way of economic planning, financial repression, and control of the 'economy as a whole' through national accounting, to the control and surveillance of the state itself through fiscal metrics and the calculation of the 'optimal size' of a government. Between the end of the Second World War and the mid-1970s, sovereign debt rating was not a major issue. In the Bretton Woods international monetary era states did not depend on capital markets to finance their expenditure and public debt—they did not need to provide evidence of their creditworthiness through the rating agencies (Cantor and Packer 1995) or through finance-inspired debt metrics. The importance granted to rating agencies and financial methodologies to record accounts

¹ Gelpern and Gulati 2013.

² 'State capacity', which has been a core concept in the political economy of development, is now a key factor in assigning sovereign ratings to OECD countries.

³ The author draws on five typical historical configurations: French 'État ingénieur', 'classical liberalism', 'welfare state', 'Keynesianism', and 'neoliberalism' (Desrosières 2003).

⁴ (Desrosières 1997: 274).

by states is the result of restructuring that began taking shape in the 1970s: national treasuries, in charge of financing public expenditure and operating on the markets as debt issuers among others, central banks which were independent from the treasuries and no longer lent directly to the states, and globalized and largely liberalized financial markets.

Another crucial transformation consists in the states being now quantified by international bodies, such as the European Commission, or by private standards and actors, such as the International Financial Reporting Standards (IFRS) and rating agencies. Whereas states have represented an undisputed apparatus of measurement for financial and economic affairs, standing 'beyond the economy' and other 'common' financial and economic agents—as it used to be enshrined in the original philosophy of national accounting⁵—they have become 'things', measured and controlled by external, financial, and private actors.

Building on science and technology studies, this chapter analyses how accounting techniques do not passively measure states' fiscal or financial sizes, as a neutral mirror would, but determine what states are and 'have to do' by performing economic policies⁶ and stabilizing states' legitimate publics.

EXTERNAL CONTROL OF STATES' LIABILITIES: EUROPEAN PENSIONS AND THE PUBLIC DEBT PROBLEM

Since states, embodied by treasury managers who are responsible for raising resources on capital markets, want to be well rated and to preserve their good standing in order to win credit at low prices, the criteria and modes of evaluation promoted and shared by private investors and financial actors transform the state's routine representations and practices as they adapt to these modes of calculation. Therefore, studying debates on public debt metrics and states' balance-sheet construction is a way to explore contemporary expectations on state actions and policies—what has become 'necessary for states to do?'—as they are structured through criteria of evaluations. While they circulate and are used by a wide group of stakeholders (state managers, statisticians, rating agencies, investors, politicians, journalists), indicators conceptualize the necessity of some public policies (low inflation preferred to full

⁵ 'National accounting systems sat originally above and beyond the local and singular industrial and commercial enterprises, identified by their names and their specific activities [...] During the growth period, from 1950 to 1970, economic policy is conceived from the point of view of a central player that regulates market forces and through corrective or incentive-interventions. National account fits well with this conception of public action' (Desrosières 1997: 274).

⁶ Mitchell 1999, Callon 2008, Desrosières 2008.

employment, bond repayment before social and public spending, etc.), but also institutional arrangements (a central bank separated from the national treasury for example) and social categories which matter and count in the state view.

The way pension liabilities, which are considered to be consistent with future states' creditworthiness, are recorded in the different modes of evaluation is therefore a strategic issue that public and private organizations address. But techniques of recording future pensions' spending are a sensitive topic and raise controversy. The main question consists in the nature of this service delivery by the state: are future pensions payments a 'certain' liability, a 'solid' spending commitment, the equivalent of a bond, that is to say a financial contract issued by the state treasury and held by creditors? Do pensions represent an 'implicit' or an 'explicit' liability, a firm debt or only a 'promise'? Should one include their calculation in the government's core account?

The debate on the way pensions are taken into account is not reduced to the figure (the debt to GDP ratio) that should be sorted out by the organizations in charge of pension quantification, but also modifies the nature of the policy (pensions) that is being measured. Recognizing a formal debt or an explicit liability radically transforms the philosophy of pay-as-you-go systems, which function with intergenerational transfers instead of individual asset (or credit) accumulation. The pay-as-you-go pension system, based on intergenerational redistribution and social security system, is permeated by the philosophy of pension calculation and individual asset accumulation and capitalization. Recognized as a debt owed by governments to citizens, pension liabilities have to be included in the government core account (and affects the debt to GDP ratio), and the pay-as-you-go system conception is revolutionized because pensions become assets the same as any other financial assets (such as sovereign bonds), owned by new kinds of creditors: citizens that benefit from public spending and social policies.

DEBT METRICS AND THE FRAGILE SOCIAL ORDER: SOVEREIGN BOND HOLDERS AGAINST WELFARE STATE 'CREDITORS'

Discussions of pensions' modes of accounting constitute trials about the nature of different state commitments (are they bonds, liabilities, or promise of future payments?) which define the legitimate public that the state will have to serve as a matter of priority while implementing its public policies. While actors and organizations are deciding what the status of the future spending is (a real debt or not), they are ruling on how firm the commitment is.

In the next section I will first explain how debt-accounting metrics, embedded within the European Union states, are being reformed and 'financialized'.

States progressively adopt capital market conventions of measurement as their internal and public evaluation techniques. In order to alert public opinion on the public debt drama and potential unsustainability, public and private organizations such as the European Commission and the rating agencies assimilate future pension payment to financial debt. Second, drawing an equivalence between 'social' commitments and sovereign bonds creates a public debt scenario through particular tools such as the fiscal gap, which functions as a pedagogical device aiming at converting structural adjustments programmes and policies into unavoidable evolutions of the state. Rating agencies, by using a 'political' and 'institutional' rating criteria that include future pension payment consequences on states' insolvency, also attempt to lock political decision. But, third, the Eurozone Sovereign debt crisis helps to curb the expansion of this finance-inspired accounting framework for *pay-as-you-go* pension systems and social spending accounting. The conversion of implicit liabilities into a new 'debt nature' is hampered because it becomes critical to the explosion of existing sovereign bonds issued by the national treasury and committed in financial contracts held by private investors. To manage the crisis, the state has to conciliate different publics and social categories. Social order appears fragile when social spending claims (such as public pensions) are competitors, in their own nature, of government bonds: public policies, 'promises', and commitments to future payments guaranteed by public authorities can be considered as solidly inscribed in law as bonds, and therefore should be held as firmly as government securities contracts.

Here lies the ambiguity of the accounting reform process that expands the financial framework: transforming measurement conventions also implies converting the nature of the entity recorded and measured as well as its political quality, that is to say the strength of the commitment that engages the sovereign. In other words, it transforms the nature of the debt and of the state promises and actions. Struggles around what should be the legitimate form of quantification of public debt put the state payment status on trial but also challenge the nature of the state, because governments have to deal with contradictory publics' requirements: repaying the bonds to investors, maintaining the state position inside financial competition, and stabilizing the political support of public spending beneficiaries or, at least, avoiding extreme social clash. Simply contrast France and Greece since 2010 to capture this new scenario.

EXPANSION OF FINANCIAL-INSPIRED METRICS INSIDE THE STATE'S APPARATUS

In the new configuration of marketized sovereign debts construed as irreversible, public accounting methodologies are being transformed under creditors

and private accounting organization expectations, and under the attempts of senior civil servants to satisfy those expectations in order to be competitive inside a global bond market field. States have to prove their creditworthiness to private organizations and creditors that buy their bonds and agree to lend them money at a certain price. In the case of France, for example, up to the late 1970s and early 1980s there still was a range of state funding instruments that escaped capital markets. They acted on what was called the ‘non-negotiable’ debt by public administrators. Since market arrangements became the only legitimate recourse for public spending financing,⁷ bookkeeping methods consistent with investor expectations have become a necessity for states. Hence, for more than thirty years, states as well as a large variety of public organizations—municipalities, public companies, governments, national accountants, and European public statistics, Eurostat—have been engaged in a process of international harmonization of their accounting techniques, norms, and rules, mainly attuned to private accounting modes regarding measures and creditors’ requirements.

The accounting methods of two private organizations that promote international accounting harmonization, the International Federation of Accountants (IFAC) and the International Accounting Standard Board (IASB), became a compulsory step for all entities that issued bonds on markets. The IASB is a private law firm created in 1973 that made an agreement with the IFAC in 1981⁸ to produce the International Public Sector Accounting Standards, rules that are rooted in an ‘Anglo-Saxon’ model of accounting ‘that prioritizes the information needs of shareholders and investors’ and functions as ‘the eye of the investors’, to quote Bernard Colasse, a French accounting expert.⁹

As part of this configuration, the hybridization of private and public accounting methodologies, promoted by investors and backed up by senior civil servants, has increased. The interbreeding of measurement techniques gradually eroded the idiosyncratic nature of public policies and of state organization and power. On the one hand, public organizations have become suffused with private and financial accounting techniques and, on the other hand, rating agencies have become more powerful in their sovereign business activity, since even advanced states are more dependant on external and private creditors. Working side by side, traditionally financial and private metrics are performing public accounting roles and defining what the sovereign risk is.

⁷ In this chapter ‘government debt’, ‘sovereign debt’, and ‘public debt’ will be used as synonyms.

⁸ Eyraud 2013: 89.

⁹ These accounting methods are particularly pervasive ‘in countries where financial markets play an important role in financing the economy’ (Colasse 2005: 54).

Financial Accounting Standards and the European Construction

The ‘transparency’ of public accounts has become inescapable, defended by administrative elites, so as to inform creditors and capital market professionals in the best way possible. Such a process of debt metrics’—financialization—has evolved alongside a particular mode of European political construction that has forbidden administrative-based public debt issuing, imposed discipline on state monetary abilities, and settled a budgetary frame for public finance problems that privileges public inquiry and scenarios about debt and deficit numbers and figures (the famous Maastricht rules and thresholds, 3 per cent of public deficit and 60 per cent of public debt on GDP, for instance).¹⁰

European integration has provided a lever to legitimize private accounting standards, which were themselves in need for support and coercive power. The European Union integration project eventually provided support to the International Accounting Standards Committee (IASC, predecessor of the IASB) by using its office for delegation. In a June 2000 communication, the European Commission set the new European strategy for accounting harmonization and promoted the application of IASC standards by European listed companies by 1 January 2005. The EU therefore entrusted the IASB accounting standards for European private companies, and later for governments through the International Public Sector Accounting Standards, private norms dedicated to the public sector, and thus changed the nature of the institutions convened for editing and fixing the legitimate accounting standard.¹¹ Political, economic, and financial constructions in Europe have transformed these private standards into mandatory requirements, and entailed a massive restructuring of European states.

The Rise of Sovereign Ratings Departments in the 1970s

Credit rating also owes its legitimacy and power to public authorities. Since 1929, private credit rating firms have become key centres of expertise imposed by governments and investors, by being incorporated into banking and financial regulation. US financial regulations (starting in 1929, and then intensively in 1975) and global regulations (following the 1988 Basel Accords) included references to the agencies’ rating scales to determine acceptable risk levels. Indeed, during the 1970s, dependence on rating for financial law-making has been reinforced by the US stock market authorities, the Securities and Exchange Commission, which introduced ratings as reference benchmarks for

¹⁰ Lemoine 2014.

¹¹ Chiapello 2007.

the regulator assessment of the quality of assets held by financial actors—banks and investors.

In Europe, credit ratings were made part of financial official rules after the 1988 Basel agreement. Several academic works have considered this inclusion as the implementation of the principal–agent theory—rating agencies quietly replacing public authorities in the making and regulation of norms and reference values.¹² After the Second World War, states did not mainly or exclusively depend on capital markets to finance public deficits, and sovereign rating was not a crucial issue. Special sovereign units in rating firms were almost non-existent before the mid 1970s. Edward Emmer, a former sovereign ratings manager at Standard and Poor's, explains that at that time rating was a tiny business: when he moved to the ratings unit (responsible for both corporate and government ratings), 'there were twenty people, including the receptionist and the secretary'. The sovereign rating business intensified and gradually became powerful after the Bretton Woods era, when financial competition on exchange rates increased again, and global capital markets were deregulated during the 1980s—a development co-produced by state officials and market organizations.¹³ When all the structural conditions—the political and governmental support, be it direct or indirect—were properly in place, private accounting norms and methods, including measurement devices used by rating agencies, became coercive and influential, and 'naturally' gained success as legitimate evaluators of the states themselves. It is only after this accumulation of contingent conditions that private metrics interfered in public administration accounting rules to transform them, and specifically in domains related to social spending and the pension system. For Eurozone member states, the main issue of the international harmonization of accounting methodologies on public accounts—reforms designed to meet the investors' appetite for information—was the mutual understanding between national accounting rules¹⁴ and private accounting norms, practices, and interests.

MAKING EQUIVALENCE: PENSIONS AS SOVEREIGN 'DEBT' AND THE BUILDING OF A STATE AGENDA

In the early 2000s, some senior European civil servants, at the European Commission and its statistical division (Eurostat), and French administrative

¹² Kruck 2011.

¹³ 'The demand for sovereign ratings [...] abated with the onset of the Great Depression, and after World War II, the international bond markets came to a standstill' (Cantor and Packer 1995).

¹⁴ Aggregated for member states by Eurostat for the European commission.

elites, lobbied for the introduction of new accounting methods that include implicit liabilities (such as future pensions payments) in the state balance sheet. The extension of the debt/credit framework to every kind of public payments is part of the development of 'accrual' accounting method, promoted by famous economists and politicians, such as Laurence J. Kotlikoff, also known as the father of 'generational accounting'.¹⁵ Indeed, official reports on public debt sustainability that take future payments into account invented a new ambiguous player in the political debate, who is used as a justification for pensions accounting and retirement plan reforms, but whose sociological consistency remains a 'black box' (bondholders or future simple citizens?): the 'future generations'.¹⁶

Extending the Scope of the Debt and Producing Dramatic Figures

The introduction of accrual-based accounting methods has been controversial within the French public administration, observable during the implementation of the *Loi Organique Relative aux Lois de Finances* (LOLF), an important budget reform inspired by the New Public Management.¹⁷ The general idea of accrual accounting, as opposed to cash accounting—which books transactions only when there is an exchange of cash—is that economic or financial events are recorded when the transaction occurs. This method purportedly provides a more accurate picture of the company's (or financial entities in general, such as states and public sector organizations) current situation.

It is less the accrual accounting technique in itself that raised debate inside national (in France) and European statistical administrations, than the consequences of including future pensions liabilities into the core accounts of governments and debt to GDP ratios. Such accounting representations could bring debt ratios closer to 'stratospheric' ratio levels (between 200 per cent and 300 per cent of debt to GDP), to quote a French statistician in the national office, once 'future liabilities' are incorporated into the states' balance sheets. These particular metrics raised alarm bells about the financial risk incurred by the state, whose solvency would be threatened, as would its creditworthiness regarding investors. More critically, it would transform the very nature of the welfare state and social justice because of innovative pension recording systems—determined by modes of calculation inspired by capital market

¹⁵ The economic analysis of Laurence Kotlikoff on national accounts methodologies is strongly linked to the US debate on public finance and also British Treasury administrative reforms in 2000. The main inquiries are long-term fiscal planning and analysis, the fiscal burden, the sustainability of fiscal policies, and implications for future generations. See Kotlikoff 1992.

¹⁶ Le Lann and Lemoine 2012.

¹⁷ Bezes 2009.

norms—and undermine the exclusivity of public pensions through the opening to private insurance plans.

The implementation of these new rules of debt measurement divided the community of public accountants. Some of them opposed the very principle of this calculation, and defended the ‘intergenerational essence’ of the public pension distribution or the public authority, to raise taxes (and mobilize assets) in the future to compensate such liability. Others simply pointed to the fact that this change should not be implemented radically but gradually. In the end, a compromise allowed the quantification of pensions but in the annexes of the state’s balance sheet for French public accounting, turning it into a satellite account for national accounts of member states at a European level.

Beyond the administrative controversy on accounting rules and debt recognition—about the nature of pension payments—the European Commission and private credit rating agencies developed alternative strategies to overcome any resistance and to take into account states’ future liabilities and pensions commitments. The EU Commission aims at constructing economic facts, using probabilistic projections rather than establishing exact calculations or recording of debts. Indeed, the prediction of long-term pension liability forecasting is quite uncertain and includes a significant margin of error that can potentially affect debt to GDP ratio within a 150 per cent to 300 per cent range. National and European statistical institutes have to manage a public policy scenario: as a European statistician (from Eurostat) explains, one of his new functions is to inform about the problem of long-term sustainability, to prepare public opinion and to educate the public to understand the new figures: ‘We are talking about 300% of debt to GDP ratio for Germany. These are numbers that we have to get people used to. We must educate the public.’¹⁸ Another Eurostat accountant emphasizes the importance of explaining to political representatives and journalists that those figures do not represent the absolute measure of the debt but are ‘theoretical exercises’, that will not necessarily affect the government core account and debt to GDP ratio. Instead they constitute empirical evidence and basic material for enlightening the public debate on some economic policies and social reforms that become ‘logically’ inescapable once this premise is accepted.¹⁹

European countries are encouraged to prepare for pending financial risk with the ‘tax gap’ indicator that calculates ability to respond to a lack of fiscal resources. In the meantime, this indicator also defines what governments should do to reach desirable targets. Rather than describing reality with precision, the main objective of such scenarios and forecasts is to demonstrate governments’ economic policy agendas and to do educational work on the problematic character of public pension systems deficit.

¹⁸ Interview with a national accountant: 2, Eurostat, 2009.

¹⁹ Interview with a national accountant: 1, Eurostat, 2009.

Future Sovereign Risk Exploration by Credit Rating Agencies

Rating agencies claim to present accurate and transparent profiles of states' financial situations. As private organizations informing investors on debtors' creditworthiness, and ability and willingness to honour their debt and interests, rating companies realize state balance-sheet projections and circulate their public finance future scenarios in the media or within political spheres. Analysts use a probabilistic approach to long-term sustainability and include 'implicit public pension liabilities' as an item that completes the list of criteria for calculating sovereign risk. Indeed, rating agencies try to characterize and measure the vague concept of 'ability' and 'willingness' to repay a debt using a list of criteria.

These criteria may be 'general' factors—such as income per capita, measured by gross domestic product (GDP) growth, inflation, external debt, level of economic development, and default track record of the country on its debt—or 'socio-political' factors that could affect the will or the strength of commitment to repay the debt. Measuring implicit debt reinforces such expertise on states' creditworthiness. David Levey, former manager of Moody's sovereign department, explains how he has always been a 'user of accrual and generational accounting' and a 'huge fan' of Laurence J. Kotlikoff, the main academic and political promoter of this analysis framework: 'I think fiscal gap analysis is the only proper way to really look at things (because) you have to take all those promises the government has made into account.' The three main rating agencies (Standard and Poor's, Moody's, and Fitch) do not converge when they include pensions liabilities in the making of their creditworthiness assessments. As the political scientist Zsófia Barta explains, if Moody's argues 'that policies should only be incorporated into ratings when they are put into practice—i.e. the present pension policy can be reformed before the real effects of population aging kick in'—Fitch claims the need to 'keep an eye on pension liabilities', but specifies that it can affect rating scores only if official institutions (the government or an internationally recognized institution such as the OECD) consider those commitments to be 'solid' and 'concrete'.²⁰ Barta explains how Standard and Poor's took the 'most conservative approach' in its 2008 methodology by considering pension obligations as a serious threat to future balances: 'In its justification for Italy's downgrade in 2006, S and P quoted the country's failure to deal with rising pension expenditures as one of the most important reasons.'²¹ The rating agency published in 2010 an alarmist study—within an important assessment that is only realized every two or three years by Standard and Poor's—that circulated in visible ways in the bond market community and the executive sphere

²⁰ Barta 2011.

²¹ Barta 2011.

concerned with public debt—named *Global Aging: An Irreversible Truth*. The study visualizes future pension risk on sovereign debts (the projection is to 2050). According to those projections, in 2050 there will be just a few or maybe even no Triple A-rated countries if nothing is done about future liabilities.

Presentations to describe and publicly display future risk—through graphic representations and a mass of data that gives them a scientific basis—are not happily received by state officials and treasury civil servants. For example, in November 2010, Moody's organized an annual sovereign debt conference in a Parisian hotel, where French treasury officials met rating agencies representatives, investors, bankers, and specialist financial journalists. During his presentation, one analyst from an investment bank compared 'emerging' countries to 'developed' ones, and described the 'appetite' of investors and creditors for 'emerging' countries, using Standard and Poor's projections. The speaker explained that, in the future world of uncertainty on sovereign issues described by Standard and Poor's, 'the main problem for investors will not be any more: how do I manage my risk? But what is the reference in the risk measure, what is the secure asset?' In response to Standard and Poor's scenario of a future geopolitical organization of states' financial risks, characterized by a weakening of developed countries that used to be the benchmark (US, France, etc.), one French Treasury official dismissed the forecast as a 'nonsense' that does not 'correctly represent the reality of public debt in countries presented'. Such a projection was invalid, because of the delay and the time anticipated ('more than forty years'). According to this official, the projected results could not be used as scientific evidence because they assumed that contemporary economic and fiscal trends would persist into the future—the hypothesis of a 'maintained policies and politics'. He also challenged recording implicit liabilities as a debt equivalent of financial contracts and bond subscriptions. But what is striking is that the French senior civil servant admitted that this kind of future forecast was useful to 'illustrate', for a large public audience, how 'structural' political decisions, turned to fiscal balance, had become 'necessary':

Honestly, my personal opinion is that this forecast has no meaning. It just has the ability to illustrate the fact that, indeed, in the range of reforms to be undertaken by states, there are pension reforms. Because it is part of the long-term sustainability of public finances and it may also have positive effects on potential growth. This is particularly the case of French reforms that have been enacted and are important in the judgment that we make.²²

State officials contest 'catastrophic' figures based on such future measurements. But civil servants recognize the importance of policy targets that are measured through the political score made by credit rating agencies and, more than anything, want to keep being trusted by the creditors and the financial

²² Based on notes taken by the author during the conference held in Paris.

world to ensure state financing in the long run. Hence, ratings and more generally future risk evaluations establish a political agenda, i.e. the expected economic structural reforms. For market professionals and organizations that calculate future commitments, the precise nature per se of states' liabilities projections is less important than the effects such tools can generate on policy, acting as engines for sovereign risk awareness addressed to public opinion and governments officials.

Controlling Institutions and Future Economic or Social Policies

The hypothesis of policy stability challenged by the French Treasury is necessary to make future scenarios and to extrapolate what will be any given state's situation in 2050. This assumption rests on the appreciation of the 'political factor' or 'institutional score', which are two of the key pillars that feed sovereign risk assessments. Sovereign debt analysts are not simply economic analysts. They have to make calculations about political risk too—for example, whether a state's current government is likely to tackle severe sovereign liabilities during its incumbency or will try to push the tough choices down the road to the next government. They provide political assessments. Credit rating agencies value political but especially institutional stability highly, believing a state with strong institutional stability is likely to meet and repay its debt obligations and to undertake any necessary spending cuts. To monitor sovereign creditworthiness, rating agencies are turning themselves into political scientists. For instance, Moody's examines the degree of consensus 'in a country on the key objectives of political action that are conducive to honouring financial contracts [...]: adjustment efforts, such as tax increases or cuts in public spending will be easier to achieve in countries that benefit from a high level of consensus'.²³

Rating agencies measure the level of a government's diffuse support (the degree to which politics are adversarial and frequency in changes of government, for example), public opinion 'unanimity', measuring the 'level of social conflict', and the existence of strong popular support for preserving the welfare state as it is, via the weight of trade unions for example. They also check whether state institutions are consistent with creditors' interests and likely to enforce contracts entered into with them. For sovereign rating agencies' managers, the ideology of a government is less important than the pursuit of public policies at the service of debt repayment and creditors—the latter being seen as a neutral category.

²³ Moody's 2008: 16.

Criteria and figures, produced by financial-inspired debt metrics with which states must conform if they want to keep issuing debt at a low price, convert the particular interests of investors into objective values, magnitudes, and scales, by inscribing their own expectations into standards of measurement. Investors' expectations, guiding these assessments, are converted into terms and conditions of the state's general interest protection.

REMAKING DIFFERENCES: SOLIDITY OF BONDS, FRAGILITY OF PENSION POLITICAL 'PROMISE'

After the *subprime* turmoil, state bank bailouts and the subsequent large increase of the public debt to GDP ratio, states confront a thorny trade-off. The need to arbitrate between different publics in order to decide which they will serve first (or at all), as well as between payments they will make first. Their main conundrum is well known: should they guarantee social spending and voters' pensions or, rather, reimburse public debt bills? Such a complicated choice shows the ambivalence of the negotiations relative to the nature of debt, identified through accounting devices and debt measurements that are promoted by private actors and implemented by public organizations to suit creditors and capital market expectations. Making an equivalence, with the inclusive category of *debt*, between financial bonds and states' promises of pension payment means that the claims of social beneficiaries are in conflict with private creditors who hold government securities. To recognize pension payment as a debt could lead to a firm state commitment and a *liability* vis-à-vis beneficiaries of those public services. Rather than being an incentive to reduce its social expenditures to favour creditors—the pedagogy of structural adjustment with dramatic fiscal figures—accounting for future liabilities could create more inescapable commitments regarding future pension payment by the state.

'There is No Future, Everything Is In the Present': Debt Classification and Social Classes Struggle

Beyond the prospective dynamic of future sovereign risk measurement, the financial crisis plunged players (including state officials) into some pressing and hard choice in the present. Sovereign ratings agencies focus on the present because of the trade-off made by governments about income distributions between different social categories, either investors or public pensions, and spending beneficiaries.

The debate on the nature of 'debt' is not 'theoretical' or 'fictional' anymore: during the financial crisis, it is a tangible and frontal issue to prioritize between different kinds of commitments. While rating agencies, before the financial crisis, did not hesitate to project future social spending as debts, the fact that social spending (social debt that the state owes to citizens) could benefit from being an equivalent to securities or sovereign bonds (financial contracts of debt that the state owes to private investors and social security) is problematic for capital market professionals, including rating agencies.

The asymmetry between different kinds of payments proved salient in the midst of the sovereign debt crisis. Following Katharina Pistor, it appears that the volatile solidity of commitments, what she calls 'law elasticity', is solved, for certain actors, by their inscription in some juridical instruments, such as bonds that firmly enshrine the promise of repayment in the law.²⁴ Social spending is conceived during such crises as a societal convention that can be more easily overturned. The process of debt recognition for public and social security pensions, which is able to 'translate' over recorded future state spending as financial assets (as it is the case for the funded system), is stopped at the precise moment it endangers bondholder and capital markets interests. Indeed, capital market organizations (banks and investors) are worrying about their 'right' to have their debt repaid. They claim that their bond holder with a 'propriety right' is threatened by other state commitments and especially future pension payments and state liabilities.

Arnaud Marès, former head of sovereign ratings at Moody's and credit risk manager at Morgan Stanley, noted in a 2010 research paper (entitled 'Ask Not Whether Governments Will Default, but How') that there is 'no insurance against financial oppression at current yield levels' and 'very little protection against the credible threat of financial oppression in any form it might take'.²⁵ Marès explicitly depicts the class struggle between creditors that hold sovereign debt contracts and creditors of 'social' spending, a struggle that takes place in debates on accounting devices. For this purpose, the bank credit analyst develops a graph recording the evolution of voters' average age in France, Germany, and Great Britain. In light of these trends, electoral claims to pay the social debt, the need for pension payment as the population ages, will be more urgent and tangible and will have the capacity to jeopardize the repayment of interest due on bonds. The interests of the bondholders (creditors and financial institutions holding public debt) are no longer 'perfectly aligned with those of the most powerful constituency':

In principle, having governments and policies shaped by older voters ought to be favourable to bond holders, because bonds are more likely to be held by the old than the young and policies that would harm bond holders would often also harm

²⁴ Pistor 2013.

²⁵ Marès 2010.

the old (inflation for instance redistributes wealth from the old to the young). The first problem is that the constituency of the elderly is also the biggest competitor to bond holders because of the considerable size of the direct claim it has on the government balance sheet in the form of pensions, social security and health insurance, etc. The more reluctant they are to relinquish these claims, the higher the risk for bondholders.²⁶

Being even more explicit, Moody's informs investors that its analysts expect 'almost every industrialized nation to default'. But this assessment does not correspond to the usual alarm voiced about dramatic public deficit levels. The default expected by Moody's is a default on the pensions and social debts of advanced economies:

We have concluded that, with few exceptions, it is nearly impossible for almost every major developed nation to meet the public sector pensions currently promised, including health care for seniors, without significant adjustments to future benefits. (Benefits will have to be scaled back, in some cases, significantly.)²⁷

Moody's sovereign ratings manager, with a kind of cynicism, seems to rejoice that the public does not represent financial and social liabilities as 'conceptually' identical. It thus makes explicit the limits that market players put on a 'symmetrical' treatment of payments—contractual and financial debts on one side, and only social conventions or political promise, which are easier for the sovereign to renounce on the other side:

Conceptually, what is most intriguing as a credit analyst is that if governments were to handle their bond obligations in the same way—that is, not fulfil the original contract—those government bonds would enter our famous default study. Fortunately for governments, the public does not generally view pension *defaults* as seriously as a breach of promise by a government on its bond obligations. Why this is so appears to be simply societal conventions.²⁸

Ambivalence of debt category power of commitment, and struggles on quantification techniques, epitomize competition between different publics. The compilation of statistics and the selection by states of legitimate modes of accounting is a way, on another playing field, to select which social category it will favour among others. The introduction of a merchant accounting framework within the public administration is delayed when interests of private creditors and equity holders are threatened by a potential 'equalization' of debt nature—social or financial—that would imply a symmetrical right to claim for states' repayment. The reaffirmation that public expenditure is reversible and a mere 'promise' on which it is possible and 'necessary' to backtrack on, also restores in the same movement the exceptional status of irreversibility that

²⁶ Marès 2010.

²⁷ Truglia 2000.

²⁸ Truglia 2000.

economic and monetary arrangement protecting private investors and capital market professionals should benefit.

CONCLUSION

After being the great organizer of national economies, the main centre for statistical data production, and the architect of capital markets, the state now see its expenditures and achievements measured, monitored, and closely delineated by external agents and by privatized methods. Political scientists, in the manner of Laurent Jeanpierre, analyse this great reversal in the nature and definition of the state as a 'neoliberal' turn that breaks with a 'Keynesian configuration' where 'the state was the evaluator of economic mechanisms and public spending benefits that it represented and quantified'.²⁹

This chapter has described how state measurement—sovereign rating agencies and accounting rules and practices inspired from private financial standards—display a series of devices that help to control states as common entities and debt issuers. But quantification techniques are also shaping the sovereign itself while constructing the present and future political agenda for economies. Technical devices reshape state agency to turn it into a bounded and 'limited' entity,³⁰ whose action is circumscribed by actors who sit outside its own body and who are interested in maintaining the financial order.

Organizational trade-off and decisions on what are the 'good' and legitimate metrics also enact and characterize the restructured state: they give a specific role to it (to repay debt to creditors in the long-run and to follow policies that fit with them), a circumscribed perimeter of action, and shape particular publics and social categories that matter to policy choices. But the state is not passively regulated by financial statistics and organizations. Senior civil servants and specialized bureaucracies that accept and are keen to develop interdependencies with banks, private creditors, and financial accountants actively promote public administration, and statistical offices modernization to embrace 'transparency' to satisfy the creditors' need for information, to implement structural reforms considered to be good by capital markets, and this in order to maintain the state as a competitive 'sovereign bond issuer' among others, and therefore survive in the specific configuration of a global and deregulated capital market.

²⁹ Jeanpierre 2006.

³⁰ Chapter 12, this volume.

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The Reconfiguration of the Welfare State in Europe

Paying its Way in an Age of Austerity

Bruno Palier and Colin Hay

Welfare systems have long been central to the character of the state in Europe just as they are to the character of the European capitalisms out of which they emerged and in whose reproduction they continue to play such an integral role. Indeed, if anything, such links have been strengthened in recent years, as policymakers have become more aware of the economic externalities of welfare expenditure and demand an economic return on the social investment that it represents—and is increasingly *seen by them* to represent. This development reinforces a series of both general and regime type-specific reconfigurations which we seek to summarize, dissect, and account for in this chapter. As far as the welfare state is concerned, the restructuring of the state took the form of a transition from a demand-side to a supply-side oriented conception of the role of welfare within the workings of European capitalism, implying that the welfare state is increasingly supposed to support market mechanisms rather than correct or replace them. The restructured welfare state has gone from decommodification¹ to recommodification of people and sometimes of its own institutions and mechanisms. Yet this tendency, we argue, has been implemented and inflected differently in different institutional and ideational environments to produce a complex pattern of within-regime-type convergence and between-regime-type divergence. Consequently, diversity—even divergence—continues to characterize European welfare state trajectories, even in response to common challenges, common pressures, and common perceived imperatives.

¹ We here use Gøsta Esping Andersen's vocabulary to describe the main function of the welfare state, see Esping-Andersen 1990.

Our argument unfolds over three core sections. In the first of these we analyse contemporary trends in terms of the turn to neoliberalism in the 1980s and the uneven and still largely prospective emergence of a social investment state since the 2000s. We relate such broad developmental trajectories to questions of welfare system diversity in the second section, in which we tentatively identify ‘three worlds of welfare state reform’, exploring the rather different take in each on a common shift in the welfare state’s point of intervention, from the demand side to the supply side. We conclude, in the third section, on the likely impact of the turn to public austerity in the light of the global financial and Eurozone crises, assessing the prospects for European welfare system diversity and for the continued transition to the social investment state.

THE SEQUENCING OF EUROPEAN WELFARE PARADIGMS

The history of the welfare state in Europe, at least since the Second World War, is the history of the evolution of a concept of welfare and its externalities through three successive paradigms.

The Turn to Monetarism

A paradigmatic change in economic policy began in the late 1970s, continued in individual European countries throughout the 1980s (Hall 1989, Jobert 1994), and was set in stone in the early 1990s, when Europe adopted a number of distinctly non-Keynesian economic policies: the establishment of the European market, which guaranteed free competition among European firms; the Maastricht Treaty; and the Stability and Growth Pact, designed to reduce public debt and deficit, curb inflation, and fix exchange rates. The European state had a new role. These were monetarist, neoclassical supply-side policies that promoted business cost competitiveness and were characterized by wage moderation and budgetary rigour with general deregulation and flexibility. Social policies, however, largely continued to function according to the Keynesian logic of the past, and this disparity with the new global economic rationale would ultimately plunge them into crisis.

In the new economic policy paradigm, social protection has a revised function. The role of social protection schemes is not to stimulate consumption but to contribute to the efficient operation of the labour market in particular. Jobs are created not by public investment, but by private investment. In this

scheme, public social expenditure becomes more a cost than a factor of economic growth and political and social stability; far from being the solution, the state and much of the welfare spending with which it is associated emerges in such a conception as part of the problem.

Reorienting the Welfare State: Austerity Before the Great Depression

With the new paradigm came a new set of norms for social expenditure and action in Europe proposed by various economists working with the Organisation for Economic Co-operation and Development (for an analysis of OECD views on welfare state reforms, see Armingeon and Beyerler 2004), the World Bank (for an analysis of the World Bank views on welfare state reforms, see Palier and Viossat 2001), and elsewhere. One of the main goals of these new norms has been to reduce public social expenditures and thus allow reductions in taxes, employer social security contributions, and other social contributions—now referred to as the ‘social burden’ to emphasize their economic downside—in the hope that such reductions would spur entrepreneurial economic activity and hence stimulate growth. According to the terms of the new paradigm, the welfare state should enhance competition within and between businesses and state agencies, and, above all, among individuals. The new social spending activation policies make receipt of unemployment benefits contingent on participation in training activities and active job hunting, and they attempt to ‘make work pay’ and increase the employment rate among young people, seniors, and women by creating tax credits for poor workers. Another strategy for curbing spending has been to focus public intervention on those who need it most—targeting became the new mantra of the times. This was reflected in the attempt to make social policy interventions more individually tailored. Lastly, social protection programmes, it was argued, should foster growth and employment by helping to develop private, profit-making ventures such as pension funds, medical research, health care, and personal services.

The Social Investment Perspective

Such ideas did not go unchallenged.² Starting in the late 1990s, new ideas about the character and purpose of social policy and, in particular, its potential to produce a series of positive micro-interventions in the economy developed (Jenson and Saint Martin 2003, Perkins et al. 2004, Jenson 2012, Hemerijck

² This section draws on Morel et al. 2012.

2013). These ideas share a common emphasis on the productive potential of social policy, thereby providing a new and different economic rationale for social policy provision. These ideas are based on an understanding that social policies and interventions need to respond to a changed economic and social order.

The increasing polarization and poverty rates, including of in-work poverty, which appeared—especially in those countries that had gone furthest in implementing neoliberal policies—and the growing problem and cost of social exclusion, gave added impetus to the call for such a reform in the social welfare paradigm. At the same time, the traditional post-war male-breadwinner welfare state came under increasing criticism.

In what has become something of a leitmotif of the wider social investment perspective, traditional forms of ‘passive’ social policy intervention of the post-war welfare state have come to be presented as out of kilter with the needs of the new economy. Unemployment is understood as a problem of the misalignment of the supply and demand of skills. Investment in human capital development emerges as a core economic imperative. This modernization of welfare systems means that social policy should aim at ‘preparing’ the population for the demands of competitiveness in a knowledge economy, to mitigate the social and economic risks associated with changing employment conditions and family patterns, and to minimize the intergenerational transfer of poverty, rather than at ‘repairing’ through passive income maintenance schemes after the risk has occurred.

The state is assigned a key role in fostering the development of human capital (through investments in education and training) and in providing the necessary services and benefits to help make efficient use of human capital (policies providing support for labour market participation, particularly among categories such as lone parents and young parents, e.g. day-care services) and to prevent human capital depletion (through, for instance, the provision of in-work benefits—rather than social assistance or allowances—as well as support for job training and job searches in addition to unemployment insurance) (Morel et al. 2012). Breaking with neoliberalism, social investment proponents have returned to and reworked the idea that it is possible to reconcile efficiency with equity, or growth with social inclusion.

Social Investment as a New Policy Paradigm?

While there is general consensus on describing the ascendant post-war paradigm as Keynesian (Hall 1989) and that of the period since the mid-1970s as neoliberal (Jobert 1994), it is not yet clear whether the social investment perspective that has developed since the late 1990s can be considered an emerging paradigm in the same way (Morel et al. 2012) (Table 17.1). It is

Table 17.1 Paradigms, principles, and policies summarized and compared

	Keynesian paradigm	Neoliberal paradigm	Social investment perspective
Diagnosis of sources of unemployment	Unemployment and slow growth due to insufficient demand	Unemployment and inflation due to constrained supply because of labour market rigidities (excessively high labour costs, too much labour regulation, social benefits acting as work disincentives)	Unemployment linked to lack of adequate skills to fill today's jobs and to create the jobs of tomorrow
Social policy and the economy	Positive economic role of social policy: development of social insurances to prop up demand and stimulate growth	Negative economic role of public social expenditure: the welfare state as a cost and as the cause of slow growth and inflation	Positive economic role of new forms of social policy: social policies that invest in human capital to increase employability and employment levels; to support labour market fluidity (flex-security); to prepare for the 'knowledge-based' economy Social policy as a pre-condition for economic growth and job creation
Key values and principles	Social equality Jobs for all (men) Decommodification	Individual responsibility Any jobs Activation	Social inclusion Quality jobs Capabilities approach: equality of opportunity; 'prepare rather than repair'
Key norms for public action	Big state Central economic planning Welfare state development	Lean state Deregulation	Empowering State Investment
Key instruments	Policies to support demand Development of social insurance schemes for income maintenance Development of the public sector Unemployment compensation	Monetarist economic policies to fight inflation Deregulation of the labour market Privatization of social and health services; development of capitalization to finance pension schemes Activation and workfare	Recasting of the welfare state Human capital investment policies to increase competitiveness and job creation Development of social services and policies to support the labour market: early childhood education and care; higher education and life-long training; active labour market policies; policies to support women's employment Flex-security

Source: adapted from Morel et al. 2012.

not yet entirely clear that there is a shared belief in the failure of neoliberalism as an economic paradigm to address the economic and social challenges of the early twenty-first century. And arguably the turn to austerity since the global financial and Eurozone crises has served to reinvigorate the neoliberal perspective. We follow Morel et al. (2012), and prefer to talk about social investment as an ‘emerging paradigm’.

THE THREE WORLDS OF WELFARE SYSTEM RESTRUCTURING

Not all European states have adopted the same welfare reforms, and it is difficult to claim that today’s welfare systems are more similar than in the past. European social models remain diverse and are still diverging (Hay and Wincott 2012). They have, however, all gone through a profound transformation, both of their main ideas (as shown earlier), but also in their ways of providing welfare policies, as will be analysed here. It is when we look at such social policy restructuring that we see the continued diversity of European welfare states and the paths they are following.

The (Different) Crises of European Welfare Systems

Like the states of which they form an integral part, European welfare states are subject to a series of general economic and global transformations, as analysed by Patrick Le Galès and Desmond King in Chapter 1. Among the most salient factors for the reconfiguration of European welfare systems have been the following: (i) greater economic openness, increased cost competition among firms, particularly over salary costs, and fiscal competition among states; (ii) shifts in the international division of labour, pushing developed economies towards post-industrialism and an expanding service sector; and (iii) more flexible ways of producing and organizing work, bringing with it non-standard work practices.

Such economic trends have been accompanied by significant social trends as well. These include: (i) challenges to the traditional male-breadwinner family and family type diversification; (ii) the increasing participation of women in the labour market; and (iii) population ageing due to an increase in life expectancy and a decline in the birth rate.

In combination, these many changes call for a restructuring of social policies to allow society to adapt to the new lifestyles and to the transformations

in social risk (Ferrera and Rhodes 2000), while limiting or even reducing the fiscal burden and economic cost posed by extensive welfare systems. Yet, different European social protection systems exhibit different vulnerabilities to economic globalization and social transformation (Scharpf and Schmidt 2000, Hay and Wincott 2012). Accordingly, all but the most institutionally insensitive of accounts would anticipate that the impact of the new (more open) economic environment on the labour market would vary among social protection regimes.

In Britain, the basic challenge for consecutive governments in recent years has been twofold: (i) to reduce the costs of welfare provision (so as to reduce government deficits and/or levels of taxation); and (ii) to increase the system's efficiency (especially in shortening waiting times for access to or treatment in the National Health Service and in eroding work disincentives). These problems stem from an institutional characteristic of the British system: social expenditure is drawn largely from direct taxation. This, combined with the size of the income support budget, arguably accounts for the growing public and political clamour about recipients' culture of dependency and on work disincentives. Thus, in what has become a characteristically British discourse, income support benefits are said to provide the poorest individuals with 'something for nothing'; this stands in marked contrast to the sense of entitlement to benefits associated with a contributor-based funding model or, indeed, to a more universalist system (Hay and Wincott 2012).

The Nordic countries, with small national economies open to international economic competition, were particularly affected by changes in the international economic environment. In the late 1980s and early 1990s, they experienced marked increases in unemployment and interest rates—and this was typically compounded by their differential exposure to the deflationary consequences of German reunification arising from their high export-dependence on the German economy (Garrett 1998: 131, Hay 2000: 150, 2004: 255–7, Ryner 2003).

Finally, in the social protection regimes of continental Europe (including Southern Europe), two rather different problems emerged: the perceived impact of payroll taxes on labour costs (seen as a strain on the competitiveness of firms and as a barrier to the hiring of new employees); and the disqualification of a growing proportion of citizens from social insurance due to stricter eligibility rules. The latter effect reinforced the exclusion process: in a system in which access to social rights is based on employment, exclusion from the labour market reinforces exclusion from the social protection system. These two types of problems stem from the institutional characteristics of continental social protection systems, that is the importance of funding through payroll taxes and social rights acquired through work (Palier 2010).

The (Different) Responses to Crisis

Three distinct approaches to welfare system restructuring can be identified, reflecting specific historical and institutional challenges posed to each particular social protection regime. Different welfare states responded differently to the challenges raised by globalization. Paul Pierson (2001) proposed that one type of reform dominates each social protection regime: in liberal regimes reform was based on recommodification; in social democratic regimes it was based on cost containment; and in continental systems it was based on recalibration (the adjustment of social programmes to new risks and needs).

Liberalization in Britain

During the late 1980s and the 1990s, there have been three trends in Britain's unemployment compensation: a decline in the level of benefits, an increase in selectivity, and pressures to return recipients to the workforce. Benefit levels were changed many times: cancellation of the extended lump-sum benefit (based on earnings) in 1980; cancellation of statutory benefits indexation in 1986; and even the taxation of unemployment benefit from 1986 (though this policy was eventually reversed in 1992). In general, it is difficult to contest the view that it was the unemployed who lost the most from the social policy reforms of the Thatcher governments (Dorling 2014).

During this time, numerous cash social security benefits became the focus of a policy of attrition. Between 1986 and 1995, the level of unemployment benefits declined relative to the average wage. In 1995 alone the level of income support declined from 15.9 per cent of the average gross wage to 13.5 per cent (Bonoli and Palier 1998). Cuts in unemployment benefits went even deeper. In 1996 the maximum claim period for unemployment benefits was halved to six months. Since social assistance payments and insurance benefits were being treated differently, income support played an increasingly important role in the social protection of the unemployed, increasing the selectivity of the British system of unemployment compensation. By 1997, only 5 per cent of social expenditures for the unemployed came from national insurance (Bonoli and Palier 1998).

The third significant development is workfare (King 1995). Here two principal methods were deployed: making work pay (by making it more profitable than receiving social benefits), and reinforcing availability for work. The level of taxation was lowered for unemployed individuals who accepted poorly paid work, with government assistance topping up the lowest wages (the Thatcher government's Family Credits and the Blair government's Working Family Tax Credit). New income-support benefits, such as child-care

vouchers, were created for those on low wages. 'Availability for work' was reinforced by limiting access to benefits for the unemployed.

The Labour government supplemented these mechanisms by setting up a 'welfare to work' programme that sought to improve training for the young and the chronically unemployed. These measures remained very modest compared with their Nordic counterparts. The introduction of a national minimum wage (from April 1999), sought to establish a wage floor protecting the most disadvantaged. Yet, in accordance with the long-standing liberalism of British employment policy, it was fixed at a low level in order to respect the logic of the market.

Flexicurity in the Nordic Countries

By the end of the 1980s the Nordic countries' rates of unemployment were increasing rapidly. For the first time there was a public debate about the potentially disincentivizing effects of welfare generosity. Accordingly, when 'bourgeois' (conservative) governments came to power (in 1982 in Denmark, in 1991 in Sweden, in 1992 in Finland, and in 1998 in Norway), budget cuts to reduce the generosity of unemployment compensation ensued. Yet from the early 1990s the clear trend was also towards the 'activation' of various social expenditure measures. The rationale for these was in keeping with the general tenor of the new policy direction: placing the accent on work in order to avoid dependence on social protection. Initially implemented by parties of the right, crucially these programmes were retained once social democrats returned to office.

In the early 1990s, the Nordic countries were obliged to rein in their growing public deficits. Consequently, and with Sweden very much in the vanguard, they privatized, decentralized, and debureaucratized a range of public services. This new path was accompanied by policies to reduce social expenditures, such as restricting the eligibility criteria for benefits and lowering benefit and service levels. Following across-the-board cuts in their social expenditures, a new emphasis was placed on the 'activation' potential of social expenditure. By the end of the 1990s, the Nordic countries had returned to low levels of unemployment and high employment rates, while generally observing conservative budget practices. Though aggregate taxation levels remained very high in comparative terms, these were tolerated on the basis of an implicit contract in which everyone works, everyone has access to high-quality services and generous benefit levels (should they need them), and everyone contributes to the pooling of societal risk (through taxation).

In general, then, employment policies in Nordic countries now take two forms: seeking advanced levels of skill for the greatest number of citizens, in order to establish and retain a dynamic high skill-high wage equilibrium; and

absorbing any excess supply of labour, especially through job creation in public services and the community sector (education, health, social services, and the environment). In the logic of the Nordic social model, this is underpinned by a guarantee of income in case of loss of employment. The issue of moral hazard in such a generous insurance system (since staying on unemployment insurance may be an attractive option for certain individuals) is dealt with directly through monitoring the trajectory of every job-seeker and by the suspension of compensation payments if a (potential) worker refuses suitable employment or training.

Partial Liberalization and Dualization in Continental Europe

In continental Europe, changes were initially less significant, came later than elsewhere, but eventually unfolded during the 2000s. For the most part these changes, too, exemplify the logic of the continental systems.

In social protection systems based on social insurance, the approach first chosen to deal with the unemployment problem has often been 'labour shedding' (Esping-Andersen 1996), which includes encouraging women to stay at home, young people to delay their entry into the labour market (for example, by extending their studies), and ageing workers to take early retirement, disability leave, or extended sick leave. Germany applied this approach extensively, using early retirement (funded through the system of unemployment insurance) and extended sick leave; France took a similar approach but used various forms of early retirement (funded through a public system or through the unemployment insurance), lowering the legal age for retirement to sixty. This was also the approach chosen in the Netherlands, through a disability system that had accepted *de facto* the responsibility for many of the country's unemployed. These policies led to reductions in the workforce and hence to a reduction in the taxation base out of which welfare is financed. This in turn led to increases in payroll taxes (which discouraged job creation).

Starting in general in the early 1990s (though sometimes even earlier), new employment policies, accompanied by important welfare reforms (especially in unemployment and old-age insurance), have diverted the continental European models from their traditional routes. As is now well established (Eirchhorst and Marx 2012, Seeleib-Kaiser et al. 2012, Palier and Thelen 2012), corporatist conservative systems were able to overcome the 'welfare without work' problem of the 1990s, and have been able, through specific policies, to create many non-standard jobs and new types of social beneficiaries.

The common thread of the policies that have reinforced and underwritten dualization processes is that they have all been inspired by the neoliberal agenda, but implemented in a partial way. The job strategy advocated by the

OECD at the beginning of the 1990s has been implemented not for all workers, but for the secondary labour market while, conversely, job protection has in fact increased for those working in the (shrinking) core sectors who benefit from typical work contracts (Eirchhorst and Marx 2012, Palier and Thelen 2012). In the same vein, the call for retrenchment and privatization, so typical of the neoliberal social policy agenda, has only been partially implemented in corporatist conservative welfare systems (Seeleib-Kaiser et al. 2012, Palier and Thelen 2012). In Germany and France, it is mostly those on the fringe of the labour market who have been activated, while the insiders benefit from private compensation where public social protection has been eroded (through access to private health insurance for instance).

REORIENTATION TO THE SUPPLY SIDE: THE RESTRUCTURING OF WELFARE POLICIES AS A MODE OF ECONOMIC INTERVENTION

It is important that we do not lose sight of the very significant change in the mode of economic intervention that has occurred in each welfare system type in recent years. What we have seen, we argue, is a shift in economic intervention, from the demand side (in the Keynesian period) to the supply side (first under neoliberalism and more recently in the partial development of the social investment perspective).

As social policies have been reoriented towards the supply side, their objectives have undergone fundamental change in each European welfare system type. Before, welfare was mainly conceptualized as a way of guaranteeing a substitute income for people who could no longer work, whether temporarily or permanently—thus insuring that citizens were not left to the vagaries of market forces. Benefits were conceived as an entitlement, earned over years of social contribution.

In the years following *les trente glorieuses*, social policies have been reconceived and reconfigured as instruments for modifying individual behaviour, in particular with regard to employment. The European welfare states have been restructured into mechanisms of labour-market intervention designed to recommodify the citizen and to boost the competitiveness of the economy. During this transition, the welfare state has been recast, not as a mechanism for promoting or even underpinning household consumption, but instead as a means of delivering and promoting economic adjustment and realignment to the changing competitive challenges of an ever-more interdependent economic environment. This we associate with a restructuring from the demand side to the supply side.

The new goal of social policy has become, in effect, to create conditions conducive to the attainment and maintenance of economic competitiveness (see also Cerny 1990, Jessop 1993, Hay and Wincott 2012)—as the welfare state has been reconceived as a means of answering to a series of external economic imperatives typically associated with the challenges of globalization. The decline in employer social contributions, wage moderation, and the new methods of financing social protection (a general shift from social contribution to taxes) all favour business and facilitate profit-making. This is in keeping with the dominant economic paradigm that today's profits are tomorrow's investments and the day-after-tomorrow's jobs—and that welfare expenditure needs increasingly to answer to an ever-more exacting competitive audit (Hay and Wincott 2012).

This takes many forms. Some social protection activities are now reconceived as privatizeable activities and positioned to contribute to the development of post-industrial economies. Similarly, international organizations now encourage governments to develop private social protection activities—pension funds that are capable of attracting and developing investments, medical research and insurance that are conceived as high value-added industries, and social and health services that can be sold directly to consumers (both domestic and international).

A comparison of the reforms implemented in a number of European countries reveals common trends. In the decade from 1990 to 2000, social policies previously formulated in Keynesian terms had to adjust to a new economic framework characterized by the domination of neoclassical, supply-side policies and conservative budget practices. Beginning in the late 1970s, new economic conditions altered the operation of social protection mechanisms and convinced many governments that they should reconsider their social policies.

The Turn to the Supply Side

The establishment of a single European market, guaranteeing free competition among all European firms, and the criteria set out by the Maastricht Treaty and the Stability and Growth Pact (to ensure the stability of the euro by reducing public debt and deficit, controlling inflation, and fixing exchange rates), were all signs that, in the area of macroeconomic policy, Europe was collectively adopting a new paradigm very different from its Keynesian predecessor. European welfare states experienced significant restructuring, as we have shown. This was predicated on supply-side policies promoting free competition (such as deregulation and labour market flexibility) and was based on strict budget practices (reduced debt and deficit, low interest rates, reduced levels of inflation).

Neoliberal policy was not automatically adopted in European states. First, institutional constraints and the sheer embeddedness of welfare systems make fundamental reform difficult. Second, many countries used traditional social policies as a buffer to mitigate the social effects (especially higher unemployment) of changes in economic policies associated with tight budget and wage policies and industrial restructuring. Third, while economic policy was increasingly defined at the European level, particularly following the introduction of a single currency, social policies remained within the jurisdiction of national governments, thereby making it more difficult to define and impose collectively social policies that were consistent with Europe's dominant economic policies.

During the 1990s, faced with this growing incongruity between the trend in economic policy and the Keynesian welfare state orientation of social policy, a global challenge characterized reform of social policy, namely, the need to adjust social policy to make it compatible with the challenges of heightened international competition. Both economic studies and reports published by the OCED and then by the European Commission itself promoted new standards for social protection for Europe. In adapting social protection systems to supply-side rather than demand-side imperatives, the reforms were supposed to make social protection systems more conducive to employment by reducing their cost (especially the mandatory employment-related costs, which were cast as a simple burden on employers and a disincentive to employment)—rather than by increasing social spending. Another general principle of the reforms, consistent with the need to control spending, was to direct government intervention towards individuals who needed it the most, instead of promoting universal social policies. Ultimately, this would entail calling on everyone who played a role in social protection—not only the state but also the private sector, families, and community associations—to promote a system of social protection that would be more efficient and closer to the individuals affected than that delivered by governments alone.

Social programmes too were supposed to be more employment-friendly, and to link benefits to incentives that made it preferable to work than to receive social security benefits 'for doing nothing'. This reorientation towards the activation of social expenditures arose in every European country. Employment policies and social policies were increasingly based on wage restraint, limited increases in social expenditures, growth in non-standard jobs (low-skilled, poorly paid, or part-time), and the restructuring of benefits to make them employment-friendly.

These changes have produced a profound restructuring of European welfare states. The social protection reforms not only retrenched, but also created a fundamentally new foundation for social protection. They were based on a new approach to social protection whose function was no longer to protect individuals against risk, but to change their behaviour. This was frequently referred to as changing social protection expenditures from a *passive* to an

active form. Less emphasis was placed on providing replacement income than on providing incentives (in a more or less coercive fashion) for a return to the labour market.

In Europe, many denounced this return to the market, since it often embraced neoliberal workfare policies. Increasingly, however, an alternative and more positive interpretation of these trends developed. Typically, this focused on the transition from compensating, passive, and corrective action to prevention and proactive intervention, placing less emphasis on the elderly and more on investing in the future. Particularly important in this context were investments designed to help children and women (policies to combat child poverty, educational policies and orientation training, policies to reconcile family life and professional life, and the more general attempt to improve the access of women to the labour market) (see, for instance, Esping-Andersen 2002, Jenson and Saint-Martin 2003). This alternative outlook was summed up by slogans such as ‘rechannel social expenditures towards social investments’.

The Partial Turn to Social Investment

In practice, the turn to social investment has been partial and uneven. Few countries can be said fully to have implemented a social investment approach—and Southern and Eastern Europe have yet to enter the social investment era to any significant extent. Yet while the continental European countries remain traditional ‘compensatory welfare systems’, some countries (notably France, Belgium, and increasingly Germany and the Netherlands) display some orientation towards social investment in the field of family policy. But the countries that display the strongest social investment profile are the Nordic countries. We can also see clear changes towards a more ‘active’ welfare state in the Netherlands as well as in Britain (Morel et al. 2012).

Nikolai’s (2012) helpful distinction between compensatory and social investment-related expenditure highlights several points from the data. First, contrary to the idea of a simple shift from passive to active social expenditure, and despite an increase in aggregate public social expenditure as a percentage of GDP, there is no evidence of an increase in expenditure on social investment-type policies (see also Hudson and Kühner 2009). On the contrary, old-age expenditure has increased everywhere, while the typical social investment expenditure—education—has decreased in most countries. Only in the field of family policy has social expenditure increased.

On a case-by-case basis we can identify four characteristic types of spending profile. As Table 17.2 indicates, it is only really in Anglophone and Nordic countries that we see the clear development of the social investment type—and

Table 17.2 The partial transition to social investment

Social investment-related expenditure			
Compensatory expenditure	+	Social investment with double liability: protection and promotion Nordic countries	Traditional compensatory welfare systems Southern Europe
	–	Investing in human capital and low protection UK	Hidden welfare state US

Source: Morel et al. 2012.

the differences between these emerging forms of social investment state are stark. The Nordic version of the social investment approach spends a lot on investment-related social policies as well as on old-age and passive labour market policies, while the British case shows a reorientation of public social expenditure away from compensatory social policies towards more social investment-oriented policy domains (education and family policy but not active labour market policy). Likewise, De la Porte and Jacobsson (2012) show that what has been implemented in the EU member states is ‘recommodification’ more than social investment as far as employment policies are concerned. Conditionality in unemployment insurance has been increased in most member states, replacement rates have been retrenched, and the duration of benefit periods shortened (see also Hay and Wincott 2012). Activation schemes are far from comprehensive, workfarist rather than individualized, and come in the form of counselling rather than comprehensive training. The quality of activation services does not live up to the social investment ideal that was supposed to be inherent in the European Employment Strategy (EES). The reform of education, activation, and training institutions has in most member states not been deep enough to be labelled social investment. But one also sees some successes for the social investment approach. Nordic countries display high and broad-based education levels, which appear to translate into high levels of social capital and social cohesion, greater learning and innovation capacity at work (making these countries among the most competitive economies in the world), more flexibility in the labour market, and good economic growth including the creation of more and better jobs. Moreover, they display higher female employment rates and lower poverty rates, including lower transmission of intergenerational poverty, and have been dealing successfully with demographic issues, both in terms of providing care for the elderly and in maintaining fertility levels. The key to this seems to be the fact that the Nordic countries have not pursued a simple reorientation of their welfare systems towards greater

activation, but have instead combined strong protection with heavy social investment, with the aim of promoting social and, in particular, gender equality (Morel et al. 2012).

CONCLUSION: THE DESTABILIZING EFFECTS OF THE CRISIS

Since 2008, the European economy has entered an almost unprecedented period of crisis, whose ramifications for the ongoing restructuring of European welfare states will be immense. Initial reactions to the economic downturn caused by the financial crisis have used traditional instruments to support the economy: automatic stabilizers based on social benefits, and stimulus plans. In 2008, most European countries announced such Keynesian measures. However, in late 2009 and especially since the spring of 2010, all European countries have announced fiscal austerity plans to reduce their deficits and debt, thus abandoning, almost at a stroke, the public commitment to counter-cyclical measures.

Even if they have not been implemented at the same time, nor are all of the same magnitude, these plans invariably share the same characteristics: reducing the number of public officials and/or imposing a wage freeze in public services; reducing social benefits; accelerating pension reform; and privatization. Yet in general the emphasis on increasing state revenue through tax increases has been modest, promoting fears of a fiscal crisis *for* (if not *of*) the welfare state (Hay 2013). The emphasis has very much been on lowering public spending and on privatization (most notably in Greece, Spain, Ireland, Turkey, the United Kingdom, and the United States).

Public expenditures have declined due to lower salaries of civil servants (Romania, Baltics, Ireland, Spain, Greece, Portugal, Hungary), wage freezes (Italy, France), and the shrinking size of the public sector (whether through redundancies, as in Britain, or non-replacement of posts, as in Portugal, Spain, Poland, and France). Social spending is among the first policies to be affected by these austerity plans, through a combination of direct cuts and mandated structural reforms (as, for instance, in Greece under the terms of the Troika programme). Such measures typically involve the further flexibilization of the labour market, increasing the age of retirement, and the promotion of greater competition in services, including health and social services. In many countries, reductions in benefits especially for the long-term unemployed have also been planned (Germany, Portugal, Romania, Denmark, Ireland, Britain, Spain, Greece), with a more limited number of states further tightening eligibility criteria for such benefits (as for instance in Spain and Britain).

But it is not just the benefits entitlements of the unemployed that have been hit. Many countries have also announced reduced support for health spending. Some countries have lowered the level of pensions (as for instance in Greece, but also more recently in Sweden), while others plan to freeze pension levels for the future (Spain, Portugal, Greece) or engage in a process of pension re-evaluation (Britain).

The austerity measures have also led to a more fundamental reform of pensions, with proposals to extend the retirement age beyond sixty-five in Ireland, Spain, the Czech Republic, and Germany, or to accelerate the timing of an increase already scheduled (as in Britain). Similarly, the Spanish and Greek reforms entail significant changes to the methods by which pension entitlements are calculated. Finally, assistance from the International Monetary Fund and Europe to Greece, Bulgaria, and Romania has been made conditional upon the implementation of wholesale public pension reform, while in October 2011, similar pressure was placed upon Italy to resume pension reform. In general the crisis has acted as a spur to pension reform, significantly accelerating processes that were likely to occur but over a much longer time frame.

It is in the context of such austerity that the future of the transition to social investment will now be determined. What is at stake, as we have sought to show, is the capacity to improve economic growth while simultaneously attending to the social situation of citizens, by investing in knowledge-based economic activities, and thus in human capital formation, child care, education, and life-long learning, while improving the equality of access of women to the labour market (Orloff 1993, 2009). Arguably, these are the very conditions for a positive adaptation of European welfare systems to the world in which they now find themselves.

Will a context of public austerity provide the opportunity for further changes in such a direction? Or will the fiscal crisis for the welfare state that it has prompted lead, on the contrary, to the simple return to neoliberal retrenchment? Certainly the explosion of public deficit and debts augurs ill for the future, as does the widespread turn to austerity that has ensued. But the prospects for the continued transition to social investment are almost certainly more uneven than this suggests, relating both to the degree of exposure to the crisis and to the extent to which the transition to social investment was already underway.

Initial reactions to deep crises do not generally involve dramatic changes in the instruments and goals of the policies, but rather the continued use of the previous existing policy instruments and recipes. That gives us some confidence that, where it is most embedded, as in the Anglophone and Nordic cases, social investment will survive the crisis and the austerity programmes to which it is currently giving rise; but it seems much less likely that the crisis will increase the prospects for a transition to a social investment model in Southern or Eastern Europe.

All in all, European welfare states have undergone a significant and profound change in their point of focus, from the demand to the supply side. States have implemented this restructuring in different ways, depending first on their own institutional legacies, and second on their capacity to face the consequences of the 2008 crisis. Those states that started to implement a turn to the social investment paradigm before the financial crisis, and that have typically based their economic strategy on exports, seem to have overcome the main difficulties (Germany, Austria, the Nordic countries). Conversely, those countries that did not embrace the social investment turn and relied mainly on consumption for their growth are now stuck in depression and high unemployment. Having failed to move proactively, they now seem to have little choice other than to implement the neoliberal retrenchment version of the supply-side restructuring of the welfare state, a growing use of market-type mechanisms, and the introduction of more private actors into their welfare systems.

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Part IV

Security and Democracy

Transformations of the State's Use of Force in Europe

Fabien Jobard

This chapter deals with the transformations that have occurred in the course of the last forty years in Europe in the state's use of force. This topic calls for two preliminary remarks. The first concerns the narrow terms 'use of force'. In what follows, I will make extensive use of this expression, which is commonly used to describe the use of (lethal) force by public police officers. We will also use a classic conception of the state, i.e. a set of institutions aiming at a monopoly of the use of violent and coercive means (Whitman 2005, Weber 2013), including prison and all other means of imprisonment. Second, I will consider the approximate date of 1970 as the appropriate time scale for assessing the 'transformation' which the chapter attempts to track, considering that the end of the 1960s and the beginning of the 1970s signalled the start of an overall concern in Western democracies for the problem of crime control and of the diffusion of a given 'culture of control' (Garland 2001), characterized by a willingness among the public and the political elites to move away from the dominant 'penal-welfare culture'. A useful date in this respect (even though it is taken from outside of the European world) is 1972: in that year, the US detention rate reached its lowest level in almost half a century; forty years later, it has multiplied fivefold (Hinds 2005: 48).

In what follows, I will try to determine whether state powers have been transformed, with regard to the use of coercion and force. I will first focus on some broad indicators of punitiveness to assess whether punitiveness has increased in Europe, and if it has, for what reasons. I will then try to figure out how state violence is governed in Europe.

GOVERNING THROUGH CRIME (OR NOT)

Reading the academic literature, one might think a spectre is haunting Europe: the spectre of the so-called ‘penal state’. Loïc Wacquant, one of the leading scholars promoting this notion, defines it in ‘Ordering Insecurity’ (Wacquant 2008: 21) as ‘the likely contours of the future landscape of the police, justice, and prison in the European and Latin American countries that have embarked on the path of “liberating” the economy and reconstructing the state blazed by the American leader’. In the wake of 1930s German social scientists Rusche and Kirchheimer (2007), this notion sketches an explanatory link between the transformation of social structures and the transformation of the state, pointing to a parallel increase in the US in detention rates and in the promotion of neoliberal economic and social doctrines (see Harcourt 2011). Now, is this double assertion (increased punitiveness on the one hand and a robust correlation between social and economic policies on the other hand) congruent with contemporary European states?

**Increased Punitiveness: Not All Forms
of Punitiveness, Not Everywhere**

Changes have occurred in Europe with respect to crime control strategies, but on much more limited scale than in the US, and not in all domains of public violence. Police rates (i.e. the ratio of police personnel to the population) have been remarkably stable in the European Union, as shown in Hinds’ work (2005): there were 2.93 public police officer for every 1,000 inhabitants at the beginning of the 1970s: there are 3.05 thirty years later. At the same time, the overall US police personnel increased 75 per cent (from 1.97 to 3.4), although this rate has since been affected by the cities fiscal crisis of the 2000s, and brought down to 2.9 in 2011. Meanwhile, detention rates, which are universally taken as the indicator *par excellence* of punitiveness (Hamilton 2014), have reached exceptionally high levels in Europe, jumping from 65 prisoners for every 100,000 inhabitants to 87 in the EU member states (Hinds 2005), from 75 to 150 in England and Wales (1970–2010), from 100 to 150 in Ireland, from 50 to 115 in France, and from 75 to 85 in Germany.

Two things should be taken into account, however. First, even though detention rates have risen in Europe in the course of the last thirty to forty years, they go nowhere near the US rate: in the US, detention rates have risen from 130 per 100,000 at the beginning of the 1970s to almost 750 per 100,000. Any comparison between Europe and the US is between two incomparable worlds. Second, the European situation is rather uneven. In ‘Nordic’ countries, it seems that there has been no wave of punitiveness: detention rates remain at very low levels (between 65 and 75 per 100,000, Pratt and Eriksson 2013).

Some countries experienced a decrease in the use of imprisonment as a penal tool, like Germany after unification (TM15 per cent during 2000–10) or like Portugal, where detention rates fell from 150 per 100,000 in the mid-1990s to 110 now, after an upward wave in the 1980s.

In contrast with the US, the situation in Europe is not just very uneven, it is also far away in terms of police rates and more importantly detention rates. Jonathan Simon, in his influential books *Governing through Crime* (2007) and *From the New Deal to the Crime Deal* (2008), has argued that contemporary democracies have experienced and even encouraged a shift in political cultures, placing crime issues at the very centre of the political game and making punitiveness the most efficient tool to win democratic competitions. Can this groundbreaking thesis be helpful in making sense of the heterogeneity of the European landscape?

The States and the Political Game

Tapio Lappi-Seppälä (2014) has recently shown that Esping-Andersen's famous typology of liberal, Christian-conservative, and social-democratic states turns out to have strong explanatory power with respect to the manufacturing of Western penal systems. Liberal states display high levels of punitiveness, as illustrated by their detention rates: Australia stands at 115 per 100,000, England, Wales, and Scotland at 150, New Zealand at 190, and the US at 750. Christian-conservative states display lower levels of punitiveness, with Switzerland standing at 75, Germany at 85, and France and Austria at 115. Social-democratic states have the lowest rates, with Iceland at 50 and Denmark and Norway at 75.

In other words, there is a reverse relationship between welfare and penal states, as Garland (2001) and Simon (2008) have already pointed out for common-law countries. Lappi-Seppälä's work goes a step further, however, by showing that neither homicide rates, nor victimization rates or rates of fear of crime are correlated with detention rates in democratic states. Social expenditure is actually the most correlated variable with detention rates. Levels of welfare states and levels of penal states are then strongly related to one another. And Downes and Hansen (2006) have shown that the divide between welfare and penal states increased during the 1990s.

In fact, the crucial role played by levels of welfare in explaining differences in punitiveness across the Western world, and especially between Europe and the US, is reinforced by government's organization and the rules of the political game.

Governments' Organization and the Power to Punish

The broad divide between welfare and penal states overlaps with another divide: that obtaining between strong and weak states. Twenty-five years

ago, David Downes provided a clear insight into the relation between state structures and punishment (Downes 1988). In his seminal work, he studied the difference in punitiveness in England and in the Netherlands. Both countries had been confronted with rising crime rates after the end of Second World War. But while prison rates doubled in the UK from 1945 to 1975, they were cut in half in the Netherlands. No difference in 'crime' or 'insecurity' explains the difference between the two states' answer to the crime issue.

The major difference, Downes argued, was anchored in how the power to punish is organized in the two countries. In England and Wales, there was at the time no involvement of the government in penal matters, no 'penal capacity': state authorities only had limited influence over justice: decisions and sentences were pronounced by fully independent judges and magistrates. The rise in imprisonment in England and Wales was the uncoordinated result of judiciary decisions. On the contrary, there was a strong penal structure in the Netherlands, as well as a robust coordination between the Ministry of Justice, the prosecutors, and the 'professionals'—especially criminologists, who helped give birth to the so-called 'Utrecht school of criminology', which would become very influential at the European level. The implementation of a 'call-up system', i.e. the strict prohibition of any new prison sentence in a context of prison overcrowding, was possible in the Netherlands, but not in England and Wales where government was not supposed to interfere with judges' decisions.

Dutch detention rates were at an all-time low at the beginning of the 1980s (around 25 per 100,000), even in comparison with Nordic countries today. However, since David Downes published his book, Dutch rates jumped up to 100 per 100,000 by the mid-2000s. If anything, this recent increase reinforces the state organization's thesis. Dutch public opinion has converged with that of Anglophone countries in making crime victims and safety two central themes of political discourse since the end of the 1980s (Boutellier 2001). As a consequence, the same state structures that adopted an abolitionist path in the 1960s and 1970s produced the policies expected by the shift in public opinion: compensation funds for victims were created in 1975, prison capacity has dramatically increased (from 4,000 in 1986 to 18,000 prison cells in 2000), task penalties for adults were implemented (there were 15,000 a year already in 2000), and reactions to criminal behaviour were internalized by the criminal justice system (instead of being externalized to social and welfare agencies). Finally, there has been an overall growth of state capacities, with the Ministry of Justice's budget tripling between the mid-1980s and the beginning of the 2000s.

At the same time, convergent efforts were made by Labour governments in the UK and Democrat governments in the US to reassert the state's power to punish: both governments strengthened judges' punitiveness and helped local governments pass 'zero tolerance' policies (such as the Morgan Act and the

US Crime Act in the US, or the Crime and Disorder Act, the Crime Reduction Partnerships and Home Office national objectives in the UK—Garland 1996, Gilling 2001). As a 'punitive turn' was hitting European public opinion, states with a strong criminal justice system and states with strong judges' and local authorities' autonomy implemented punitive policies: the former by moving from a welfare to a punitive culture, the latter by regulating judges' powers with mandatory sentencing systems and by allocating more resources to the most repressive local governments.

The Rules of the Political Game

The existence of a state-monitored criminal justice system (which I summed up with the notion of 'strong state'), or the existence of a myriad of independent judges and local authorities, are not the only cleavage that overlaps with the welfare vs penal distinction. Voting systems and the rules of the political game play just as important a role as state structures. In short, we should add Lijphart's name to Esping-Andersen's in the discussion.

Lappi-Seppälä has shown that there is a stronger variable than social expenditures in predicting detention rates in Anglophone, Southern, Christian-conservative, and Nordic countries, namely Lijphart's executive-parties index. Lijphart distinguishes between 'consensus' and 'majoritarian' democracies, which display very different institutional arrangements: consensus democracies have a larger number of political parties, a proportional electoral system, and minority or broad-based coalition governments, with the consequence that political decision-making is based on negotiation-seeking processes. Scandinavian countries and Germany are today's best examples of such systems. Majoritarian democracies like the UK and the US are characterized by antagonistic political systems. These political antagonisms are reflected in media culture, because majoritarian, adversarial democracies encourage crisis discourses that are supported by hegemonic media coverage encouraging repressive policies and one-sided answers to crime (Cavadino and Dignan 2006, Green 2008).

This cleavage in political cultures has been strongly supported by the influential book of Nicola Lacey, *The Prisoner's Dilemma* (2008), which stands Northern Europe's coordinated systems in opposition to adversarial, liberal political systems: in the latter, criminal policy is formed by a government accountable to an electorate within a two-party system which encourages the politicization of criminal justice, creating a volatile policymaking environment, particularly where both parties have embraced crime as a major policy platform (Hall and Soskice 2003). Lacey (2013) insists that the great division between these two political systems not only produces different detention rates, but moreover reveals opposite cultures. According to her, adversarial democracies support legislation based on character, or status-based perceptions of the

criminal (such as the 'bad character' disposition in labour legislation), which singularizes the political path taken in criminal justice matters by these political systems. One of the best examples here is the devolution process in Scotland, combining an alignment of the local Labour Party with the English Labour Party, and a massive shift of Scottish people towards English criminal justice outcomes (McAra 2011: 97).

In conclusion, a more or less massive 'punitive turn', as exemplified by detention rates and repressive legislations, has occurred in Western democratic systems during the last three decades. Still, this turn, which reinforced the coercive capacities of the states, is strongly connected to a greater division between welfare states and coordinated economic systems, anchored in consensus political systems opposed to liberal and free market economic systems echoing adversarial political systems. The power to punish is then rooted in a political economy of punishment along with the rules organizing political competition. 'Cultures of control' (Garland 2001), which have universally developed since the beginning of the 1980s, were either strongly or minimally supported by the state in the US and in Europe. The 'from the new deal to the crime deal' thesis (Simon 2008) met the resistance of state structures, wherever welfare social systems and consensus political regimes were strong enough.

This overall description of the transformation (or stability) of the state's coercive capacities has so far been too oriented by a single variable: detention rates. A full analysis of this transformation calls for a more multi-centred approach based on a multiplicity of variables. As Zedner (2002: 356) put it: 'Popular punitivism may be a key feature of contemporary penal politics, but it is not the whole story'.

SOURCES OF COERCION

Detention rates give a first insight into the state's coercive powers across Western Europe and North America. But they only account for part of these powers. In the US, but only there, the state's monopoly of violence still coincides with the power to administer capital punishment. In some penal systems, prisons are still viewed as places of rehabilitation, and in other systems they are only places for incapacitation and confinement. Finally, police powers are not the same in these different systems, and do not necessarily coincide with imprisonment capacities.

To give a better view of the state's coercive powers, I shall now examine how states are limited by the law and by society, and how police organizations form coercive archipelagos within coercive institutions.

The State in Europe: The Crucial Role of the Law

Punitiveness has increased in Western democracies, with few (but notable) exceptions. Detention rates are, in many countries, at an all-time high, and penal legislation is increasingly at the centre of public debate, with strong implications for every part of the criminal justice system, starting with police forces. But these numbers have risen in the context of a growing concern for due process of law and human or fundamental rights. At least in Europe, the rise in penalty contradicts the concern for human rights, which is significantly different to the US situation.

Human Rights and Coercion in Europe

What is punitiveness? If one follows the leading (Anglophone) authors, punitiveness is embodied in the fact that crime control infringes on the due process of law. From this point of view, punitiveness in Europe has been limited by the growing concern for fundamental rights, at least since the adoption of the European Convention on Human Rights (ECHR) in 1954 by the European Council. In countries where the protection of human rights was already a cornerstone of the state, like Germany with its 1949 Fundamental Law, the adoption of the ECHR introduced no substantial change. But in countries where governments traditionally enjoyed large legislative discretion like the UK and France, resistance against the individual ability to seize the European Court in Strasbourg (first introduced in 1981 in France) or against the adoption of the Human Rights Act in England (1998) were strong (and they still are: former Home Secretary Theresa May was thus in favour of replacing it with a British Bill on Human Rights, even at the cost of withdrawing from the ECHR). Such resistances demonstrate the subversive power of the ECHR (Feldman 2004). EU member states have imported the substance of fundamental rights from the Council by considering the ECHR as a kind of Supreme Court, and adopted in 2000 the Charter of Fundamental Rights (Nice Treaty), which considers criminal law as a means to protect fundamental rights rather than as a means to widen the penal net, and the European Union as a space of freedom, security, and justice (Lisbon Treaty).

A cornerstone of criminal justice policies in Europe is the absolute prohibition of the death penalty, torture, and ill treatment (Kaminski et al. 2007, Snacken 2010). Not having the death penalty is one of the few indisputable requirements that must be met in order to enter the EU. A few European states (including France) have already been sentenced by the ECHR for 'torture', with decisive consequences for the control of prison and police cells. Moreover, the European Council's view of detention (of any kind) is based on defiance. Not only should imprisonment be used as a last resort (it has even been defined in 2013 as an *ultima ratio* by German Supreme Court jurisprudence), it is framed

within the iron law of due process (legality, legitimacy, proportionality). But even when detainees are in prison, rather than being objects of shame and degradation they are considered to be objects of rehabilitation or at least of protection: as the European Prison Rules stated in 2006: 'All forms of detention shall be managed in a way that facilitates the reintegration into free society of persons who have been deprived of their liberty'. In a variety of domains (work, education, family visits, syringe exchange, health care, high security units, prison overcrowding, suicide, etc.), the Council's provisions have paved the way for a European regime of punitiveness, which of course pressurizes the state (for a French example, see Cliquennois and Champetier 2013).

National states are indeed the targets of the ECHR and of the European Council's Committee for the Prevention of Torture:

The CPT is regarded as a regional prisons inspectorate of considerable sophistication, and no other region has a human rights court that gives such comprehensive and binding judgements on matters affecting prisoners' human rights. This European commitment to protecting human rights of prisoners has been described as one of the major mechanisms explaining the growing divide in harshness between penal policies in Europe and the USA. (Snacken et al. 2014: 437)

Contrary to the US, where prison is used as a tool of incapacitation and discipline, where 'punishment is an act of sovereign might, a performative action which exemplifies what absolute power is all about' (Garland 1996: 460), a European system might turn to a 'post-disciplinary' institution (Chantraine and Kaminski 2008), in which all public efforts are devoted to minimizing the coercive dimension of imprisonment.

Human Rights and the Protection of the Body and Soul of Individuals

The sacralization of human rights in Europe has also paved the way for a reinforcement of state punitiveness. In a 1979 decision, the ECHR gave birth to the 'theory of positive obligations', which states that a violation of the Convention committed by a private person can be indirectly attributed to the state when the state has made it possible or probable. One of the most famous examples of this theory is to be seen in the field of child protection. In the *X & Y vs Netherlands* decision of 1987, applicants complained because they were unable to have criminal proceedings instituted against the person who had raped a young girl with learning disabilities that made her unable to lodge a complaint herself. The Court asserted the protection of private life (Article 8, ECHR) as an obligation for the state. In *A vs UK* (1993), the Court ruled that Article 1 of the ECHR requires states 'to take measures designed to ensure that individuals within their jurisdiction are not subjected to treatment

proscribed by Article 3 (torture, inhuman and degrading treatment), including such treatment administered by private individuals'. The court went on to find that 'children and other vulnerable individuals are entitled to protection in the form of effective deterrence against such serious breaches of personal integrity'. In the 1987 case, the Court had issued that in some cases 'effective deterrence can be achieved only by criminal law provision' (Mowbray 2005, Kinkelly 2010).

The ECHR's efforts to provide 'effective' human rights is often seen as placing direct obligations on state power (Banach-Gutierrez and Harding 2012). The notion of 'effective remedy' is one among many notions that force the state to downsize its discretionary powers and the scope of its tools of coercion. In the case of *Yase vs Turkey* (1998), the ECHR stated that the applicants could not establish that the applicant had been attacked and his uncle killed by state security forces, but that Turkey should be condemned on the basis of Article 2, ECHR (right to life) because state authorities had not conducted an effective investigation into the circumstances of the complaint. To quote another example, *Osman vs UK* overruled the UK court's decision in *Hill vs West Yorkshire* that public bodies could not be held to be negligent. In short, all aspects of the state's power to kill, to detain, to investigate, to question, etc. are now under the scrutiny of the ECHR. What the theory of positive obligations adds to this, is the obligation for the state to enlarge the scope of criminal law to prevent any crime committed by an individual against another individual—which gives in return more power to the state, as it is now seen both as a potential threat to the enjoyment of fundamental rights and as the best tool to enforce them. As a consequence, all crimes that jeopardize the rights promoted in the ECHR, specifically crimes against individual integrity like drug crimes, violent crimes, sexual crimes, or crimes against youths, minorities, women, etc., are criminal fields where the state has been increasingly constrained in the last thirty years by supranational authorities and courts.

At the beginning of the 1980s, Anthony Bottoms coined the notion of 'bifurcation policy' to differentiate between penalties for serious and minor offences (Bottoms 1983). After a wave of decriminalization during the 1970s (*de facto* decriminalization of cannabis use in different European countries, *de lege* decriminalization of abortion and of 'bad behaviour' in public places—for instance *grober Unfug* in Germany—of bouncing cheques in France, of men having sex with male minors, of shoplifting up to a certain amount, etc.), some crimes were promptly considered as serious offences calling for serious sanctions, in particular crimes committed in the domestic sphere: violence or harassment against children, violence or harassment against a spouse or partner (including marital rape), and other forms of domestic abuse. One of the most immediate impacts of this is the invasive power of state authorities, in particular prosecution and the police, in the sphere of intimacy. Until the

1980s, criminal policies dealt with the protection of individual property. Now the state has abandoned this purpose for the benefit of insurance companies, but is on the front line to protect individual bodies and minds. The evolution of motives for imprisonment in France in the last thirty-five years illustrates this transformation of the targets of state power. Half of the 20,000 prison sentences pronounced in France had to deal with property crime (theft, handling stolen goods, fraud, breach of trust, etc.) in 1980, but by 2013 this proportion had fallen to a quarter of the 22,000 prison sentences (Figure 18.1).

This evolution is not as spectacular in other countries, like in Germany where property crimes and traffic offenses have always been severely sanctioned. Property crimes represented two-thirds of the offences for which people were sent to prison in 1970 in Germany; they are now less than half of the offences for which people are sent to prison. In the same period, violent offences and homicides have doubled, as have sex offences (Drenkhahn 2013: 74).

More generally, throughout Europe the sacralization of the body, as exemplified by the 'bifurcation policy' and the development of transnational positive obligations, has led to increased security against offences considered to be the most severe forms of invasion of privacy and intimacy, such as sexual offences and assault against children. As a consequence, one sees the resurgence of long-term imprisonment, like in Germany where lifelong prisoners doubled from 1977 to 2008 (Dünkel et al. 2010: 23—they also doubled in

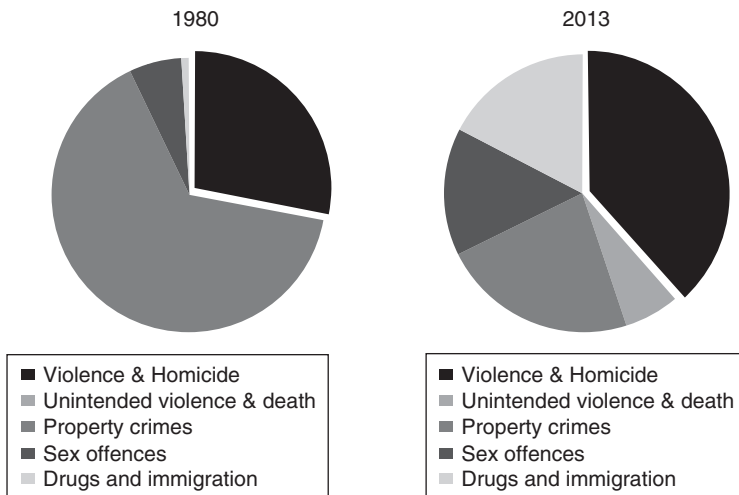


Figure 18.1 Prisoners according to offences, France, 1980–2011.

Source: Robert (2013: 114) and French Direction administration pénitentiaire). Based on the author's calculations from these sources.

France in the same period) or in Belgium and the Netherlands in the aftermath of the Dutroux scandal, but also in other countries such as England. In Europe, violent, drug, and sex offenders now face more stringent legislation, enhanced prosecution, longer sentences, and restrictions on parole. One major explanation for the rise of prisoner rates in European countries is the growing acceptance by politicians and courts that penal severity means crime deterrence (Snacken et al. 2014).

In sum, human rights and the protection of individual lives have had two kinds of consequences on the evolution of state coercive powers in Europe. On the one hand, to the British government's delight, supra-national courts and laws constrain the discretion and intensity of state powers. On the other hand, the sacralization of the body and of the notion of intimacy in France contributed to an increased criminalization of violence-related offences, specifically against women and children, and to increased punitiveness by the state.

Meanwhile, what could be a restored power of the state to protect, even under supra-national scrutiny, appears to be facing a severe crisis. Two issues challenge state coercive power: their ability to deal with growing demand, and the increased use of contract and diversion.

The Penal State between Stifling and Diversion

Punitiveness is growing, and the state finds itself in the foreground under transnational pressure and scrutiny. But this growth of state coercive powers inhabits a twilight aspect. The state no longer uses punitiveness as an act of sovereign will. Its acts and decisions, far from being one-sided decisions taken in isolation, are now mere contracts where the state sometimes only plays a notarial role. In addition, state authorities are under pressure from victims and, above all, victims' representatives, for getting hard on crime and insecurity issues. This leads to an overloaded process where the state is reduced to a mere mechanism vainly aiming at reducing the uninterrupted flow of complaints, claims, and procedures.

State Authority in the Shadow of Contractualization, Diversion, and Victims' Claims

A common view on the growing coercive capacity of public authorities is that the state punishes more when economic conditions worsen. Although this may be true, there is a broader evolution that can also be related to a neoliberal framing, and that is the growing tendency of contractualization in criminal justice matters. Contractualization encompasses all forms of bargaining between the offender and the victim (whereas the former is, in the classical

criminal justice doctrine, the sole target of a one-sided decision taken once and enforced by the state).

One of the best examples here are the 'youth offenders contracts' introduced by the Youth Justice and Criminal Evidence Act in England and Wales (1999). When a youth offender pleads guilty, he is sent to a panel to face a decision. The members of this panel are not judges or civil servants of any kind, but trained community volunteers. The aim of this form of youth justice is to deal with overloaded penal systems, but also to consider the young offender as a responsible citizen and to elaborate a decision (not a mere sentence) in accordance with his sense of responsibility and the damage he could have done to the local community.

On the other hand, victims also play a greater role in the production of penalty, and contribute to weakening state sovereignty in this policy area. Victims are at the core of Simon's argument: 'We are crime victims. We are loved ones of crime victims. Above all, we are those who live in fear that we or those we care for will be victimized by crime' (Simon 2007: 109). The figure of the crime victim has ascended to become the idealized political subject of legislation. This is an ambivalent evolution, because it first legitimizes law and order stances and government's authority. The public in general has become an 'allegorical victim' (Kaminski et al. 2007), in the name of which governments reinforce their penal agenda. French President Nicolas Sarkozy, who won the 2002 presidential race practically on the basis of a law and order campaign which helped him to gain the extreme-right voters back (Roché 2007), created a 'Ministry for Victims' Rights' as soon as he became head of state. Compassion is now seen as a central aspect of criminal hearings, and criminal process law was strongly reoriented to allow victims to interfere in judicial decisions, especially when the judge pronounces a moderate sentence.

Herein lies the ambivalence of the rise of the victim's role, with respect to the state. First, it actually gives more power to government than to the state. As a matter of fact, victims are used by politicians to win electoral races, but they do not contribute to reinforcing state structures: judges' authority has been lowered, while 'communities' have been reinforced (either directly through programmes like 'community safety programs' in England—Gilling 2001, Tonry 2010—or indirectly through media coverage of criminal cases, which places the criminal justice system under a new kind of pressure, see Lappi-Seppälä 2014 for a comparative perspective). Moreover, the victim's rhetoric is one of the consequences of the dramatic rise of crime rates since the beginning of the 1960s and the parallel reduction of clearance rates by the police forces, a twin evolution which has increasingly jeopardized 'the myth of sovereign state control', that is, 'the myth that the sovereign state is capable of providing security, law and order, and crime control within its territorial boundaries' (Garland 1996: 448). Populist posturing by governments does not necessarily imply an empowered state. To some extent, the growing role of victims in the

criminal justice system could lead to what the 'abolitionists' of the 1970s had imagined: a substitution of civil litigation (i.e. of contract between individuals) over criminal law (i.e. unilateral power of the state) through victim/offender mediation, reparation boards, reparation sentencing, healing circles, involvement of local communities in the sentence, and, more to the point, in the punishment, which is becoming a form of community service and reparation (Kaminski et al. 2007). As Garland has recently noted, populist states are in a way 'weak' states, because populist policies are enforced by elected politicians who won electoral races on the basis and in an environment of scepticism, if not overt defiance, towards the state (Garland 2013). One of the most eloquent aspect of this duplicity is the withdrawal of the Ministry for Victims' Rights by the French government, after the scandal caused by its support for young victims in a huge network of sex offenders, most of them sentenced to long-term prison terms, which turned out to be fake. A common interpretation of the scandal was that it had been caused by the compassionate turn of local criminal justice, which had worked under heavy pressure from the public, the press, and politicians in the 'century's paedophilia case'.

The State and the Demand for Security

The failed myth of the sovereign state, according to Garland, is based on the state's growing inability to deal with an unstoppable demand for security in response (or simply in parallel) to the enormous growth of delinquency and petty crime from the beginning of the 1960s to the beginning of the 2000s. Recorded crimes have been multiplied tenfold during this period in France and the Netherlands (Boutellier 2001: 365, Robert 2013), and violent crime fourfold in Germany (Oberwittler and Reinecke 2009: 52). At the same time, police clear-up rates have symmetrically fallen: in reasonable proportions in Germany (from 55 per cent to 45 per cent of all recorded crimes from 1965 to 1988, according to Entorf and Spengler 2000), or by huge amounts in France (down to 25 per cent at the beginning of the 2000s). At the other end of the penal complex, overloaded criminal justice systems are less and less able to prosecute: and when they are, they are less and less willing or able to sentence offenders, as shown in Figures 18.2, 18.3, and 18.4.

Unaffected by an alleged drop during the last decade (Aebi and Linde 2010), the discrepancy between the high numbers of recorded crime in Western countries (mainly property crimes, paralleling the rise of consumption society) and the ability of the criminal justice system to deal with it at a time of budget restrictions, has two consequences. The first is the increased complexity of the system and the disorientation of the public with regard to penal justice—between diversion, negotiation, plea-bargaining, disposal, conditional disposal, penal order, accelerated proceedings, etc. (Mouhanna 2016). The most

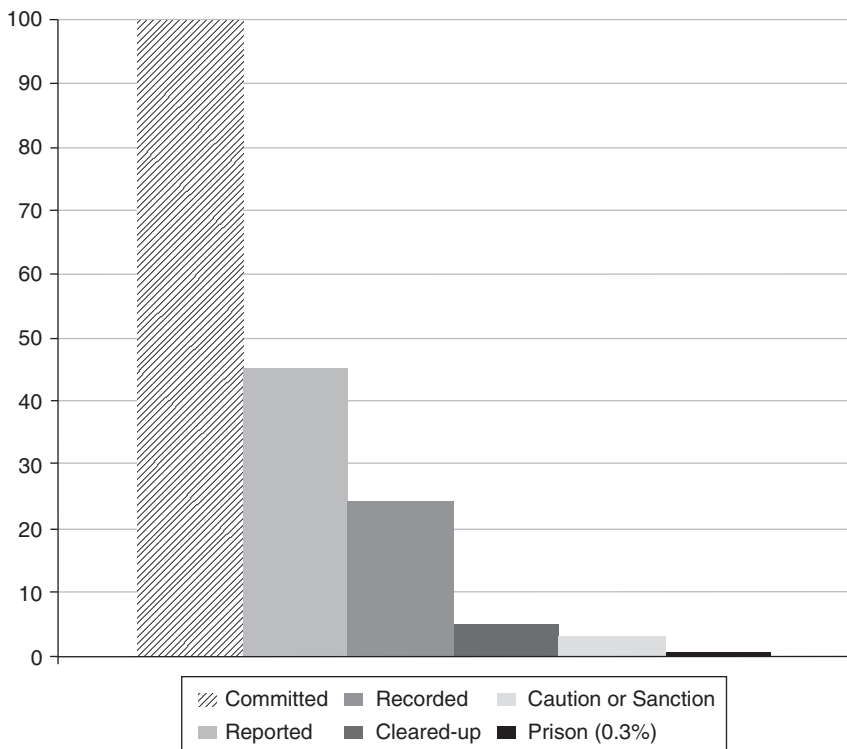


Figure 18.2 Criminalization and attrition in England and Wales, 1990s.

Source: Robert 2013: 113 and gov.uk, crime statistics.

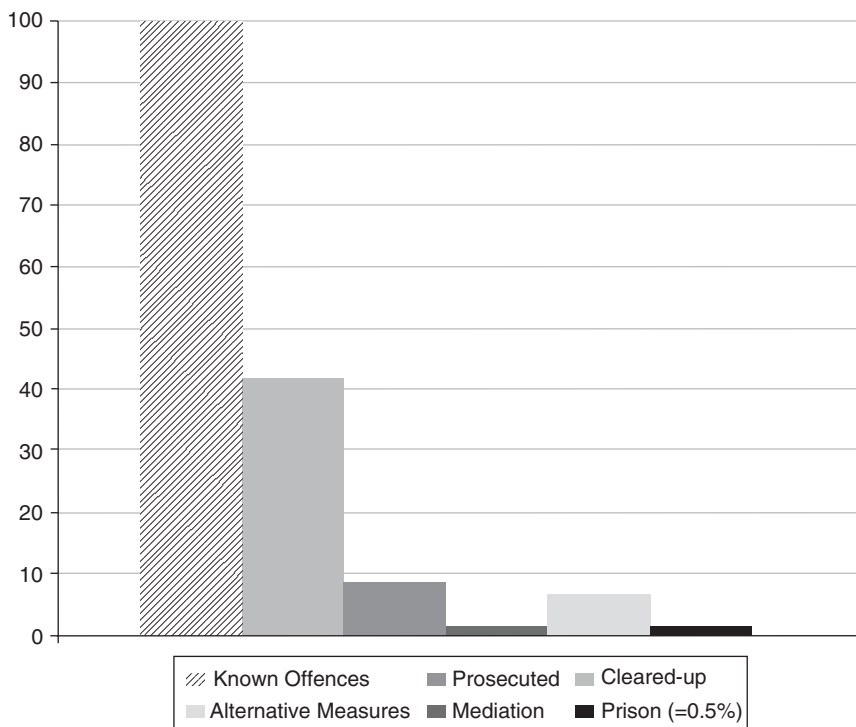


Figure 18.3 Criminalization and attrition in France, 2010.

Source: Robert 2013: 113.

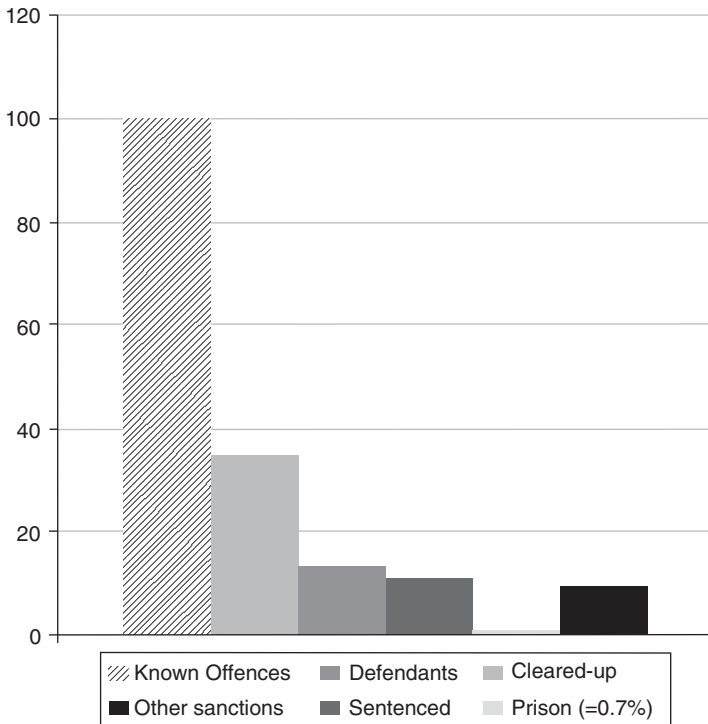


Figure 18.4 Criminalization and attrition in Germany, 2009.

Source: Statistisches Bundesamt 2011.

blatant example in this respect is France, as displayed in the Figure 18.5 (Jehle and Wade 2008: 14).

Public disorientation has reinforced the general populist claim for a more punitive justice, which means a simplified justice system increasingly relying on prosecutorial and police powers. Allegedly lenient judges are blamed for their supposed soft hand on petty crime, as elected politicians try to shift the balance of power within the criminal justice system to the prosecution, as well as to the police (Jehle and Wade 2006, 2008, Luna and Wade 2010, Choe 2013). This is the second aspect of the long-term decline in the state's capacity to deal with rising crime rates: the reinforcement of discretion in the criminal justice system (embodied in the power of the prosecutor to prosecute, most of the time exclusively relying on the information given by the police).

At a time when elected politicians theatrically call for simplified and harsher criminal justice, overloaded justice systems deal with more and more petty crime (Aubusson de Cavarlay 2013), and penal laws with increasingly obscure proceedings and methods of decisions, which contribute to an overall feeling of loss of sovereignty by the state over crime issues. In the meantime, since politicians want to give prosecution more powers vis-à-vis allegedly

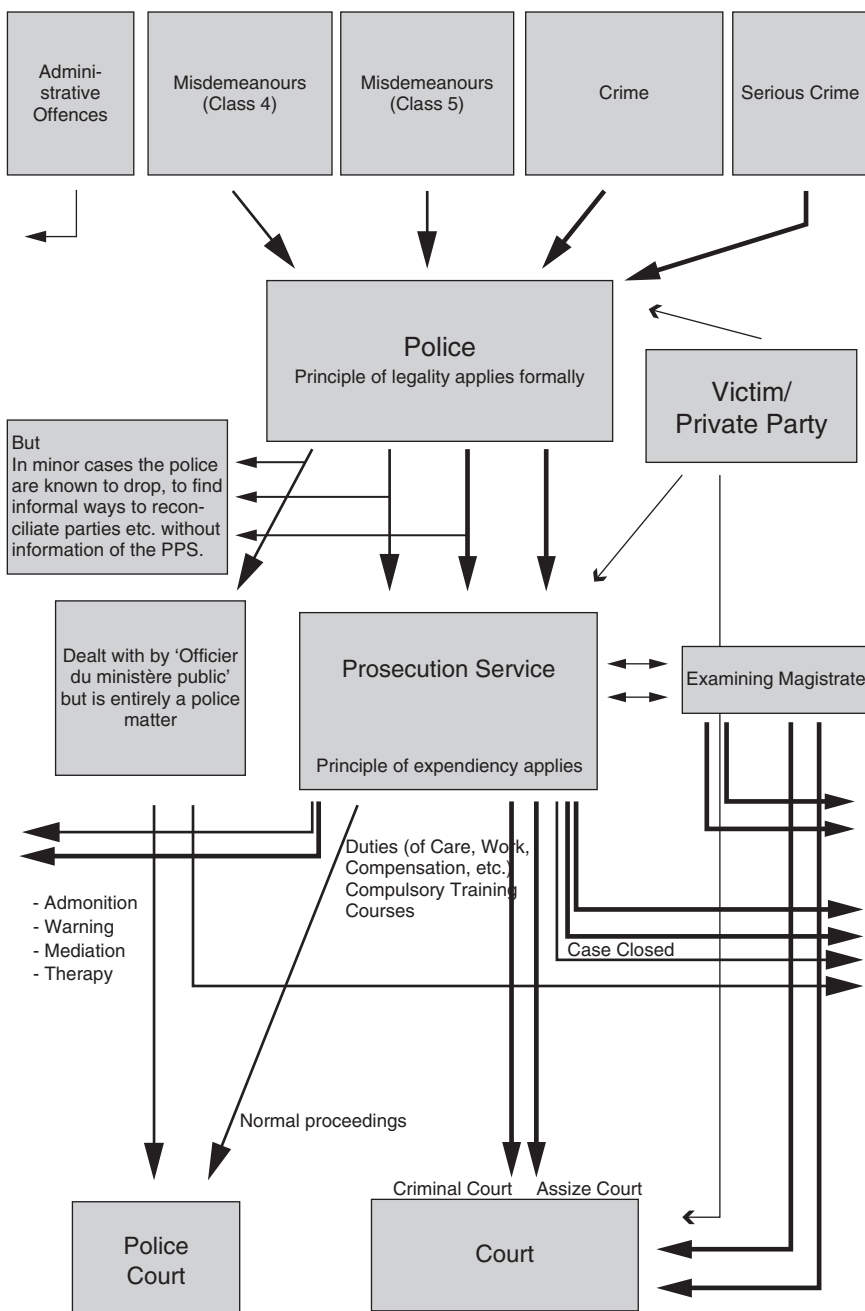


Figure 18.5 Simplified model of the criminal justice system in France, 2000s.

compassionate judges, and since they are the entry gate to overloaded systems, prosecutors (and with them the police) are increasingly 'replacing the judge in all but the most serious (criminal) cases' (Jehle and Wade 2006: 115), reinforcing the state's discretionary power in criminal matters. These are the three cornerstones of the undermining of state authorities dealing with crime: a decline in public faith in state ability to protect them and their property, a rise of diversion and other ways to bypass executed prison sentences, and a rise in discretionary powers carried by prosecutors and police officers. As such, the reduced ability of the state to deal with high crime rates does not necessarily coincide with a vanishing of sovereignty, no matter how high the esteem in which the public holds the state. This reinforced role of prosecution and of police powers has gained so much importance over the last three decades that it needs a more detailed report.

A SEMI-ARCHIPELAGO OF SOVEREIGNTY: THE INSULARITY OF THE POLICE AND PROSECUTION

The coercive power of the state, embodied in the criminal justice system, has undergone many transformations in the course of the last few decades, as we have seen. These transformations prove difficult to cast on a scale going from a 'lenient' to a 'repressive' gradient, or from a soft to a hard line. The new and decisive concern for bodily integrity is a clear incentive to adopt new protection measures for the benefit of individuals, increasingly embodied in criminal law provisions. But at the same time, this worry for bodily integrity limits state power in that it also applies to the protection of individuals in the hands of state authorities, as exemplified by the transformation of prisons in Europe. The same contradictory transformation can be observed at the level of police authorities in Europe: their power to coerce has been significantly harnessed, and at the same time the central place of punitiveness in the political game has led to an increase of discretionary powers in the hands of the police, at least in some major European countries.

As far as police powers are concerned, two major factors have had an influence on the level of discretion and brutality that police agents in Europe are allowed to exercise. The first does not need to be developed, because it is strongly related to the growing influence of judicial and supra-national control over state powers very similar to the ones observed at the level of the criminal justice system, especially prison organizations. Resounding sentences given by the ECHR against major countries like France or the UK in cases of police brutality (France in the first place) or unfair police investigative powers (the UK in the first place) have led to significant changes in the way police skills are trained and performed, as well as in criminal proceedings (Jobard 2003).

The second aspect is more specific to the police, and is a direct consequence of the wave of riots that hit the UK in the first half of the 1980s, and France in 1981 and again from the beginning of the 1990s onwards. Police discretion and police powers, exemplified in stop-and-search powers, suddenly gained greater attention from the press and the public (Waddington et al. 2009). Police undoubtedly became a source of prestige for government and candidates. France is the most blatant example, where in the last two decades being a home secretary has become a necessary step for any candidate for the presidency. As such, the game of give and take played by the police and politicians is congruent with the 'governing through crime model'. But moving to the centre of political attention, police scandals have become at the same time a great source of concern for elected politicians, and as a consequence the game appears more complex and risky for politicians who know that they cannot avoid being held accountable for deadly encounters with the police. Politicians cannot leave the police out of their control any more, as was more the case before the 1980s riots or some police scandals like the Guildford Four and the Maguire Seven in England. Police-government relationships are not as one-sided as some declarations make it sound, like the motto of 'being the first cop of the nation' adopted by the most recent French ministers of the interior. They are constrained by the following paradox, often unseen by observers of crime politics: the more an elected politician builds his/her political capital on the police, the more he/she has to make police authorities comply with the rule of law despite his/her claim to free the police from its hindrances in the fight against crime, due to the fact that the police have primarily to deal with contingencies and as such are exposed to trouble that might develop into scandals (Manning 2010, Jobard 2012).

Beyond the growing willingness in countries like England and France (contrary to Germany or Italy) to make police a full part of the political game, the inability of state authorities, and the police in the first place, to deal with petty crime and daily disorders have indeed led to increased powers given to the police, like anti-social behaviour orders introduced in the UK or the ability for justice to sanction the mere gathering of small groups of people in housing estate entrance halls in France. This last example is quite significant: the bill introduced in 2002 aiming to restore hope and faith in politics within deprived housing estates facing the daily gatherings of hostile youths in their halls was almost impossible to enforce, because the criminal justice system is reluctant to restore older penal concerns like vagrancy or to consider collective penal responsibility, let alone grant police discretion in such matters. The case of the much more controversial and debated English ASBOs is more complex and far-reaching than French attempts, but whatever their degree of implementation, they more or less restore the former (and far more discretionary) 'bind over' power enjoyed by the police for more than a millennium, before it was gradually narrowed under the influence of the

ECHR (*Hashman and Harrup vs UK*), and before the High Court magistrates and the Law Commission in 1994 (Ramsay 2008). Despite their controversial nature, and related to the importance given to them by Prime Minister Tony Blair, ASBOs are definitely not a breach of the state's ability to discipline and punish. The main change introduced by ASBOs in England as far as state sovereignty is concerned is really a shift in justificative rhetoric, with the claim for victims' rights replacing the affirmation of state authority.

ASBOs otherwise exemplify the attempt by state authorities to identify and sanction conduct that is not criminal, but socially objectionable in social areas exposed to multiple deprivation where police are reluctant or even unable to deal with sources of disorder and annoyance. These administrative penalties, often dealt to or bargained with the troublemaker (like the British 'youth offender contracts' defined in the 1999 Youth Justice and Criminal Evidence Act), attempt to restore the link between a troublemaker and their community (Crawford 2003, Donoghue 2008), and give interpretative discretionary power to authorities in identifying those who are 'likely to cause harassment, alarm or distress' (in the words of the ASBO definition). These continental versions of US 'quality of life' strengthen the multi-secular power over people that the police define as 'police property' (Lee 1981) and contribute to a 'criminalization of social policies' in which the disadvantaged individual (typically an unemployed migrant youth living in social housing) is made responsible for their present life and summoned to sign up to an asymmetrical contract with the local community (the police or the administrative power); if they break it, they will face a judge or even a sentence (Bonelli 2007, Tonry 2010).

One of the striking aspects of this recent reinforcement of police discretion and power lies in the fact that all new powers conceded to police authorities are given in the name of local community support or victims' rights. Allocations or subsidies supposedly given to local communities were actually captured by local police forces in the name of their multi-secular competence in fighting disorder, despite the blatant failure in their confrontation with mass delinquency since the beginning of the 1960s. Management reforms undertaken since the mid-1990s under the label of 'new public management' contributed to reinforcing the centralization of the police and government's control over them, through the rhetoric of 'performance management', despite promises made to local communities regarding involvement into police matters (de Maillard and Savage 2012, Brogden and Ellison 2012). Added to this, growing concern for the protection of the individual's body and life throughout Europe, as already shown in many examples, also contributed to reinforcing police coercive powers through the criminalization of traffic offenses and, above all, the penalization of unintended homicides and injuries and the penalization of drivers under the influence of substances. In France for instance, the testing of drivers for drugs and alcohol use by French police and

gendarmerie are today thirty-five times more frequent than ten years ago (Obradovic 2013).

All these transformations contribute both to a widening and a strengthening of the penal net: the penal net is widening through incentives to deal with petty offences and to ameliorate crime statistics through better clearance rates (as shown by ASBOs in the UK or the rise of recorded use of cannabis in France, which have multiplied sixfold since the beginning of the 1990s), and it is getting stronger through the insistence put on the criminalization of repeat offending, so that the 'usual suspects' (mainly young deprived migrants, as well as males sentenced for domestic abuse and for violence against police officers) see their existence marked by a long-term relationship with the criminal justice system. In this domain the growing influence of victims also plays a role, because a sentenced individual can be free from any penal measure, but still has to pay reparation to the victim and is then under the Sword of Damocles of reintegrating via the criminal justice circuit. To conclude, the shift of powers within the criminal justice system to the advantage of the prosecution has made the prosecutors more dependent on police officers in their daily routine, so that they are more reluctant to interfere in police matters, as in the clearance of police brutality cases, contributing to a tension between the requirements expressed by the ECHR on the one hand and the daily distribution of power in criminal justice systems on the other hand. And the crucial symbolic role played by the police in politics has strengthened the ability of police unions to bargain with elected politicians and with prosecutors, which does not help to enforce the international provision on the use of force or on fairness in judicial investigations.

Police and prosecution authorities, which personify the coercive power of the state, have benefited from the overloading of criminal justice systems in Europe and reinforced their autonomy. But their autonomy really consists in a kind of semi-archipelago of sovereignty. First, although prosecutors enjoy greater power, their decisions are increasingly clinched in automatic or semi-automatic sanctions or diversions imposed by legislators to deal with mass crime, and show a hard stance against crime. Second, although the weight of police authorities both in the criminal justice system and in political rivalry has surely strengthened the power of police authorities and unions towards magistrates and government members, it also places these authorities under public and specifically media scrutiny, bearing on their discretionary power and discretionary use of force. As such, prosecutorial and police authorities are at best described as semi-archipelagos of sovereignty in the geography of a broader state transformation. Also, one should keep in mind that while these contradictory tensions exist in European countries where the state has been under populist pressures, like in France and the UK, they are weaker in countries like Germany or Italy where penalty is not part of the political game.

CONCLUSION

The internal coercive powers of the state have undergone a muddled transformation in recent decades, which has been far from homogeneous. To take the most common indicator, detention rates have risen in Great Britain, France, and the Netherlands, slowly decreased in Germany, dramatically decreased in Finland, and are less than twice as high in Nordic countries as they are in England and Wales. But these discrepancies seem to be related to a trade-off in the organization of states. A bipartisan, majoritarian political system together with low amounts of social expenditures are highly predictive of the power to incarcerate. On top of this, two common features influence the state's coercive powers in Europe. The first is the sacralization of individual integrity and dignity as a cornerstone of penal rules and practices. The concern for individuals has contradictory consequences for state violence. It legitimizes the criminalization of both verbal and physical violence and gives greater power to victims, as exemplified in the preoccupation regarding domestic abuse and sexual offenses. As such, it reinforces the penal capacity of the state, but under pressure from the victim and the victim's stakeholders. The second consequence is a strengthening of control and oversight over authorities with the power to use force and coercion—primarily prison authorities—in contrast to what is going on in the USA, where the rising influence of victims has no counterpart. The second main source of transformation of the coercive power of the state is the normality of high crime numbers in overloaded criminal justice systems. This contributes to insularizing the courts and the police, and to a widening as well as a strengthening of the penal net. But even in this domain, organizational insularity does not necessarily lead to a rise in the discretionary use of force. The greater role symbolically played by the police in the political game forces governments to control them, and to avoid any kind of blatant cases of police brutality or racism. Instead, the rise of prosecutorial and police power manifests itself in the reinforced capacity of criminal justice systems to have close control over the existence of precarious people exposed or willing to resort to violence, substance abuse, disorder, or simply contemporary forms of vagrancy and idleness. More than ever, they are the subjects of today's penal state.

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Defence Policy and the European State

Insights from American Experience

Anand Menon

War-making and political violence have, as the editors of this volume point out in Chapter 1, been key drivers of state development in Europe. Yet since the end of the Second World War, the continent has been distinguished by the absence of interstate conflict. Recent work on the state has made much of this decline in armed conflict, and particularly of the fact that major war is increasingly unlikely given its destructive potential. Such arguments are hard to refute. Yet to acknowledge the absence of major war is not to argue that military force no longer has any role to play as an instrument of foreign policy. European states confront significant security threats—including new challenges such as cyber threats—that will continue to demand the deployment of armed force, albeit in ‘risk transfer wars’—limited conflicts that do not presuppose mass popular consent and which, consequently, are less likely to spawn major legitimacy challenges for states (Mann 2013: 415–18).

These threats take myriad forms (Menon 2014). In the European neighbourhood, the Russian military presence in Georgia, Moldova, and Ukraine, and the at best uncertain outcomes of the Arab Spring to the south, present a ring of instability around the EU. Further afield, European prosperity is based on the existence of a liberal, rule-based international system whose preservation might require armed intervention. European troops have recently been involved in operations in Afghanistan, Kosovo, Bosnia, and off the Somali coast (Giegerich and Nicoll 2012: 54)—in 2010, they had over 210,000 troops deployed either nationally or under a NATO, EU, or UN flag—hardly redolent of an era where force no longer has a role to play (see also Giegerich and Wallace 2004).

The challenge confronting European states is not that of how to adapt to a world in which military force plays no role. Rather, it is their increasing

inability to deploy force effectively on those occasions when they still need to. National defence policies are no longer adequate for the tasks confronting them, as fragmentation between twenty-eight military establishments constrains budgets and capabilities to the point where even the largest EU member state is incapable of carrying out even small-scale deployments.

As pointed out by the editors of this volume in Chapter 1, rationalization of the state is a common response to policy failures. European integration has, since the 1950s, provided a means for European states collectively to address tasks they were unable to accomplish individually. Faithful to the logic of integration in other sectors, the EU's Common Security and Defence Policy (CSDP) was designed to allow the member states to do together what they were increasingly unable to do alone. However, although increasingly constrained in their ability to deploy military force themselves, member states have proven reluctant to confer sufficient authority on the European Union to enhance their ability to act.

This chapter explains this apparent paradox via a comparative analysis of Europe and the United States. While in the latter, a loose collection of states came together to create the world's most formidable military power, the former has remained divided between separate, national defence policies that are unfit for purpose. In the quest to identify the factors accounting for these different developmental trajectories, this chapter draws on the insights of American Political Development (APD). It focuses on the external pressures driving state development in Europe and the US, the institutional structures through which the impact of these are mediated, and the historical contexts in which state development occurred. The chapter traces the development of military policy in the US since the eighteenth century and Europe since the medieval period, before comparatively considering the drivers accounting for these differing narratives.

THE UNITED STATES: THE (HALTING) EMERGENCE OF A SUPERPOWER

In the pre-1877 American state, national defence depended on a militia system organized and controlled by the states. The national government merely provided a modest subsidy and offered some loose administrative guidelines (Skowronek 1982: 23). The thirteen colonies were, to all intents and purposes, independent states, and remained as such until the Confederacy. In stark contrast, the contemporary United States is the strongest military power in

history, with defence spending of \$711 billion—or more than that of the next thirteen highest defence-spending nations combined (Healey 2012).

To explain these developments, observers advance three broad sets of arguments. First, some highlight the central role of major conflict in shaping the emergence of today's American state. Second, students of APD have emphasized the way in which domestic institutions mediated the impact of external pressures, and consequent inefficiencies in the development of a centralized military capability. Finally, recent studies, while adopting elements of the APD approach, have stressed the functional efficacy even of the pre-twentieth-century American military.

The first narrative is perhaps the best known. The global wars of the twentieth century profoundly shaped the development of the American state. The Second World War provoked a massive increase in the US military establishment (Pollack 2009: 258ff.), while the onset of the Cold War meant that there was no full demobilization—even in 1948, US armed forces numbered around 1.5 million which, albeit far less than the 12.5 million at the war's end, was still huge by US peacetime standards (Porter 2008: loc. 5595). Security finally became a permanent preoccupation of US state, as it had been in Europe (Porter 2008: loc. 8545). Increases in central government power in the twentieth century meant that state militias were gradually transformed into a National Guard under almost complete national government control. The introduction of conscription and of large standing forces profoundly altered the balance of power between the federal centre and the states (Deudney 1995: 221). The 'era of permanent war' was fundamental not only to the emergence of a military-industrial complex but also the growth of the welfare state (Gerstle 2010: 780–1).

Prior to the twentieth century, however, the interplay between external pressures and domestic institutions was apparent in the tension between largely external demands for more effective centralized defence and the centrifugal forces generated by the American federal system. It was the outbreak of revolutionary war that led individual state governments to coordinate their resistance to England. In June 1776, Congress voted for three-year enlistments to a regular army under unified command, and the war saw troops from one state commanded by individuals from another for the first time (Porter 2008: loc. 4915). Yet Congress could pass only non-binding resolutions requesting states to provide revenue, arms, and troops—requests that were routinely ignored. Indeed, the majority of troops that fought in the war were under state legislature control, rather than serving directly in the Continental Army. Even this relatively weak structure did not outlive hostilities. Following the peace of 1783, virtually the whole Continental Army was disbanded. Deep-seated American aversion to the idea of a standing army

(because of its identification with despotism) engendered widespread support for militias closely tied to local interests (Porter 2008: loc. 4907). By 1784, the US military numbered some 700, which Congress saw fit to reduce to two garrisons of twenty-five and fifty-five men (Porter 2008: loc. 4950).¹

A similar story unfolded during and immediately after the Civil War. While US armed forces numbered only 16,000 in 1860, by the height of the conflict America was in possession of the largest and best-equipped standing army in the world (Porter 2008: loc. 4950, 5062). Over a million troops were serving in the Union armies by 1865, while up to 750,000 fought for the Confederacy. At the same time, the size of the federal bureaucracy expanded significantly (Pollack 2009: 212–13). However, as striking as the increase in size of the military during the Civil War, was the way that the Northern war machine was dismantled thereafter (Skowronek 1982: 29–30). The Union Army, numbering over 1 million in 1865, was reduced to around 25,000 by 1874 (Skowronek 1982: 86–7), as traditional suspicion of the idea of a standing army reasserted itself.

By the 1880s, Europe, and particularly the Prussian army, set the standard for advanced warfare, with its long-term peacetime preparation, planning, and professional leadership.² American proponents of professionalization and centralization, however, collided with the militia system, comprising voluntary (and of course racially segregated) social clubs subsidized by the federal government and fused with state and local party politics through patronage (Skowronek 1982: chapter 4). The institutional power of the latter meant that as ‘the Prussian revolution in military organization swept Europe, the American army was being swept back into obscurity as an Indian patrol’ (Skowronek 1982: 87).

A potent alliance formed between those opposed to greater nationalization and professionalization. While civilian administrators in the capital feared a loss of their power to a General Staff, and technical and staff bureaus, along with Congress, similarly feared the impact of a General Staff upon their authority, state governors were also willing allies of the National Guard—as they owed their support in part to the ability to appoint officers to militia units (Skowronek 1982: 95–7). Thus, sweeping military reforms proved impossible because of the determination of the states to maintain control over their militias (Selden 2010: 404).

At the time of the outbreak of war against Spain in 1900, the regular army pressed for the creation of a standing force of 27,000, easily expandable to

¹ By way of comparison, by the early eighteenth century Louis XIV went to war with 392,000 troops, and had at his disposal a peacetime standing force of 150,000.

² Europeans, in contrast, felt they had little if anything to learn from the American Civil War, dismissed by Moltke as ‘two mobs chasing each other across an enormous, half-deserted countryside’ (Porter 2008: 64).

104,000 under the command of regular army officers. The plan, predictably, provoked staunch opposition from both the National Guard and state governors. The reformers had intended that National Guard members would enlist in units of a national volunteer force, avoiding the possibility that the Guard would serve with its units intact. However, these plans were defeated, with McKinley calling for 125,000 state volunteers, ensuring that extant state units could be used. Although victory was quickly secured, the structures put in place suffered from chronic inefficiencies (Skowronek 1982: 112–18).

Relative American military weakness was apparent at the start of the First World War—at which point there were nineteen officers on the US general staff in comparison with 650 in Germany (Skowronek 1982: 236). Woodrow Wilson had in fact threatened to sack the entire General Staff in 1915 when he heard they had been preparing for war with Germany (Zolberg 2002: 40–1). An enormous military expansion occurred during the war itself, with the size of the armed forces having jumped to 643,000 in 1917, and then up to 2.9 million in 1918 (Pollack 2009: 248–9). By 1920, the US had a stronger Chief of Staff and General Staff and a nationalized militia system, all of which represented moves towards nationalization and professionalism. Yet Congress wasted no time in dismantling the enormous governmental machine created to wage war, to the point that office workers had to find the money to return home once federal funds were abruptly cut off (Karl 1983: 46).

The development of the US military establishment contrasted starkly with that of its European counterparts. While the Second World War and subsequent Cold War clearly marked a rupture, prior to that date the separation of powers at the federal level, together with the federal state structure itself, conspired to ensure that wartime expansion of the US military was quickly rolled back once hostilities had ended, and that no standing federal military of any size was able to develop.

Yet it is important not to confuse this lack of ‘orthodox’ state development along continental European lines with military infirmity. Certainly, institutions played a decisive role in shaping progress towards a standing national defence capability. Nevertheless, not only did US military forces prove relatively effective (Katznelson 2002), but the US defence system frequently developed independently of pressing military necessity (Zakaria 1999: 40).

Despite the absence of a standing military force comparable to its European equivalents, perhaps the defining characteristic of the American military prior to the twentieth century was its ability to respond effectively to crises. The key concept developed after the 1812 war, under Secretary of War John Calhoun, was that of the ‘expansible military’—small deployments at frontier garrisons in peacetime, capable of rapid growth in the event of US involvement in international war. The effectiveness of this model was illustrated during the 1946–8 Mexican War, during the course of which the army was quintupled from a starting size of merely 9,000. In other words while, as Skowronek so

memorably put it, the peacetime military was sufficient to deal with routine matters of domestic unrest and Indians, in both the 1812 and the Mexican Wars it illustrated how effective it could rapidly become (Katznelson 2002).

The US also proved able to defend its interests in the absence of a clear external threat. Thus, it expanded its power during a time when it was enjoying perhaps its greatest period of security following the removal of Spain from the western hemisphere. Security bred expansionism. Greater activism in international affairs after 1865—in Chile, Hawaii, Nicaragua, and Brazil among others—rather reflected the pursuit of national interests short of self-defence (Zakaria 1999: 130ff.). In other words, while developing along different lines to its European counterparts, the American state proved more than capable of pursuing its interests via the deployment of centralized military force.

THE RISE AND FALL OF THE EUROPEAN STATE

The 'Real State'

The development of the European state was profoundly shaped by war. Local medieval European power holders (be they landed nobles, military orders, or even ecclesiastical institutions), rather than ceding control over their retainers, simply loaned them to rulers during conflicts (Porter 2008: loc. 658). The latter served merely as coordinators of armies that did not belong to them, and which, once the war was over, returned to their local communities (Pollack 2009: 59). Central authorities were thus fundamentally dependent on local allies, without whose cooperation they would have possessed no usable military capacity of their own. The situation, in other words, was not dissimilar to that pertaining in the pre-1877 United States.

The driver of the transformation from medieval forms of political organization was war. Developments in military technology permitted the creation of larger standing armies beyond the means of medieval rulers to muster. Consequent changes in the practice of military organization proved beyond the reach of local conscripts organized into militias. By the second half of the fifteenth century, mercenaries had largely taken over from their feudal predecessors (van Creveld 1995: loc. 2305). The sheer cost of these in turn militated in favour of a greater centralization of authority.

Thus developed the archetypical 'real state', the centralized monopolizer of violence protecting its sovereign territory from enemies both inside and out (Deudney 1995). Such states did not brook rival authorities within their territories, least of all military forces. Prussia outlawed the word 'militia' in 1670, and the term increasingly came to take on a derogatory meaning in

popular European parlance (van Creveld 1995: loc. 1720). From the early nineteenth century, Prussia led the way in terms of the professionalization of the armed forces, introducing conscription and creating a general staff and military college that became the country's most prestigious institution (van Creveld 1995: loc. 3597).³

By the later part of that century, a new model of warfare had emerged, based on conscription and mass loyalty. Consequently, states succeeded in mobilizing whole populations for warfare—Napoleon invaded Russia with 600,000 troops (Cederman et al. 2011). One consequence was the end of mercenary armies, as foreigners had no place in national armies, except in dedicated separate units such as the French Foreign Legion (created in 1821). The industrial revolution merely accelerated such change. Industrialized war meant total war. By the time of the First World War, Germany was fielding 6.5 million men-at-arms (van Creveld 1995: loc. 3673).

The world wars marked the apogee of industrialized warfare. They also underlined Europe's incapacity to resolve its own security affairs, as Russia and the United States were needed to resolve both conflicts. The onset of the Cold War paradoxically both underlined and served to further disguise this reality. On the one hand, European states could all too clearly not protect themselves, either individually or even collectively, against the territorial threat on their doorstep. On the other, the protection offered by the US allowed them to continue to act like traditional states in charge of their own destiny. Perhaps paradoxically, the end of the superpower conflict made reliance on the United States all the more apparent via military interventions in Iraq and Serbia. Subsequent experience of conflict in Iraq again, and Afghanistan and Libya, among others, have served to underline this dependence still further.

In contrast to the American state of the nineteenth century, European states, for all their centralized military machineries, are increasingly incapable of effectively deploying force in defence of national interests. The European armaments sector suffers from costly duplication (Schmitt 2003), with around 80 per cent of all defence equipment in Europe bought nationally (Valasek 2011: 11). Consequently, Europe does not enjoy the economies of scale from which the US benefits (Valasek 2011: 2)—EU member states in 2009 were undertaking eighty-nine different weapons programmes—in contrast to twenty-seven in the United States. The European Commission estimated that the cost of barriers between national defence markets runs to over €3 billion per year (O'Donnell 2009: 1–2). A recent attempt to quantify the 'costs of non-Europe' in the defence sector arrived (albeit via a somewhat questionable methodological route) at an estimate for the money wasted as a

³ Note the contrast with the United States, where West Point was created in 1802; Congress tried to close the institution in 1837 (Huntington 1957).

result of the lack of an integrated European defence as up to €120 billion annually (Briani 2013).

Austerity policies across Europe have exacerbated this situation, inducing further restructuring of the European defence state (Larrabee et al. 2012: xii). Even the largest European states are no longer able to carry out extensive military operations alone (Matlary 2009: 2). Following planned defence cuts, only four European members of NATO will possess the capacity to conduct even medium-sized operations in the near abroad (Larrabee et al. 2012: 80). In smaller states, the situation is still more serious: the Swedish Defence Chief declared that in 'many ways our national defence is reaching a stage where it is sub-critical... each capacity is getting too small to be useful' (Matlary 2009: 180). The UK undertook significant defence spending cuts, with projected purchases casting doubt on its ability to maintain an army of over 80,000.

These problems were made apparent by the NATO intervention in Libya. For all the talk of the US 'leading from behind', the Americans provided more than twice the personnel of the next-highest contributing state (Johnson and Mueen 2012: 9–12). Europeans found themselves reliant on US Tomahawk missiles, drones, and electronic warfare aircraft, without which the mission may well not have succeeded (Larrabee et al. 2012: 98). Air sorties had to be reduced as states operating F-16 warplanes tried and failed to obtain additional munitions—again, the Americans had to plug the gaps (Willett 2012: 35). The French had to pull back their only aircraft carrier for repairs, and the Italians withdrew theirs to save money, leaving the Danes and Norwegians to carry out large numbers of sorties (Erlanger 2011).

Autonomy and Ineffectiveness

European states, decisively shaped by centuries of conflict, are increasingly unable to deploy military force effectively because of the inadequacy of purely national defence policies. One specialist, who subsequently became the director of the EU's own Institute for Security Studies, raised the prospect of the emergence of 'Bonsai armies', with functional gaps undermining the capacity of member states to launch even joint missions (Missiroli 2013: 12).

The kinds of functional pressures that impelled nineteenth-century American states to find collective alternatives to state-level military policy are now at work on individual European states. Closer cooperation—notably sharing the costs of maintenance, training, and infrastructure, or even creating joint military units—represents the best way of overcoming the constraints on their national capacities (Valasek 2011: 9).

Member state governments have frequently accepted the need for more collaboration. Yet progress towards compensating for national weakness at the European level is limited. The EU's Common Security and Defence Policy,

created in the wake of the failure to bring an end to the slaughter in the Balkans, was intended precisely to reinforce their capacity to carry out such interventions. Yet it has remained limited in scope. Missions have been small in scale and relatively unambitious (for more details, see Menon 2012): the first—Operation Concordia in the Former Yugoslav Republic of Macedonia—involved only 400 personnel. Most have either followed, or accompanied, action on the ground by other institutions (NATO troops preceded those of the EU in both Macedonia and Bosnia, while the EU operated alongside UN forces in the Democratic Republic of the Congo).

Equally, member states have failed to enhance their capabilities through collaboration. Recently, the notions of ‘pooling and sharing’ have been coined to imply collaboration on the acquisition of new weapons, integration of forces, or specialization in particular roles (Valasek 2011). Yet member states remain reluctant to buy military equipment abroad. Pooling and sharing has remained limited for fear of entrapment, abandonment, or free riding by partners (Valasek 2011, Larrabee et al. 2012: 95). Only nine of the procurement programmes valued at over €1 billion are collaborative, and there is no evidence of a move towards more pooling of requirements or collaboration (Council of the European Union 2010: 70). Consequently, the main capability shortfalls identified at the time of the creation of the CSDP in 1999 persisted, particularly in the crucial areas of intelligence and reconnaissance, strategic and tactical transport, and force protection (Major and Mölling 2010: 14–15). In a coruscating critique, the former head of the European Defence Agency (EDA) baldly characterized as a ‘failure’ attempts to enhance European capabilities (Witney 2008 30).

Defence in Europe remains very much a national undertaking. States want to be able to decide on their own when to take part in ‘optional wars’, and to have the ability to control the defence of their territory (even if few among them are capable of doing this). The resultant situation has been characterized as a ‘defence deficit’, or the gap between European military capabilities and European military needs (Menon 2013). It stands in stark contrast to the way nineteenth-century American states reacted collectively—albeit hesitatingly—to external pressures that called into question the effectiveness of a state-based system of national defence.

EXPLAINING DIFFERENTIAL DEVELOPMENT

External Pressures

Environmental stimuli are crucial drivers of political development. War played a central role in the development and consolidation of European states.

Similarly, myriad threats confronted the thirteen American states after their war with Britain, providing clear incentives for the creation of a state more capable of waging war (Simms 2012: 51–2). On the other hand, American geographical separation both from the potential hegemon—Great Britain—and from other European great powers allowed for the development of a decentralized system in which the militia provided a counterbalance to executive power and national military strength (Deudney 1995: 210).

The crucial role in the development of the American military as we know it today was played by ‘global wars’ (Rasler and Thompson 1985). The Cold War provided the direct territorial threat that finally sparked the emergence of a permanent large-scale military establishment. In contrast, contemporary Europe is not confronted by the kind of large-scale direct threat that so decisively shaped American political development. However, conflict short of global war also played an important role in the development of the American political system. The US proved its capacity in dealing with small-scale conflict with its limited military machine: in Alabama, although existing military forces were small, they were quite capable of carrying out the core state-building tasks of ‘defining, expanding and securing boundaries’ (Katznelson 2002: 90–2). Myriad similar threats to contemporary European security exist, and indeed multiply in its neighbourhood. Despite this broad similarity in terms of external pressures, however, European states have not managed to muster the collective defence capability to address these effectively.

Institutions

The reasons for this are largely institutional and contextual. Much is made of the division of powers over defence policy at the federal level in the United States. And indeed, even after the adoption of the constitution, the US system was still one in which control over the military was divided between separate political authorities, with Congress having the right to declare war, make appropriations, and call the militia into national service (Deudney 1995: 202–3). Samuel Huntington was moved to remark that the American founders adopted political institutions that were ‘significantly mediaeval in character’ at the very moment that they were being abandoned in Europe (Huntington 1968: 96).

Yet the constitutional system created in the United States was far removed from the divided authority structure that characterized both the states of mediaeval Europe and the contemporary EU. The Constitution provided the federal government with the ability to raise taxes and thus fund a military independent of the constituent states (Katznelson 2002: 94). It relocated powers away from the states and stripped them of the right to

maintain peacetime standing forces, giving the national government sole responsibility for national defence and the president, as commander in chief, authority over all state militias if these were called into national service (Porter 2008: 4974). By empowering the presidency in times of crisis or war, the constitution laid the institutional foundations for subsequent periods of growth in centralized power (Porter 2008: loc. 4983).

The subsequent strengthening of presidential authority over foreign affairs allowed administrations from the late 1870s to wield American power more effectively. While struggles with Congress stymied the efforts of Secretary of State William Henry Seward to promote expansion in the 1860s (Zakaria 1999: 57–75), the gradual strengthening of the presidency from the late 1870s led to a far more assertive foreign policy (Zakaria 1999: 90–127). By 1890, the Supreme Court ruling in *In re Neagle* provided a broad definition of the powers of the presidency that allowed successive presidents to act more assertively in foreign affairs (Zakaria 1999: 137).

When it came to military forces themselves, even under the articles of confederation, the US possessed the basis of a standing army—a new force of 700 constituted the first regular national army, recruited from state militias (Katznelson 2002: 94). Between the signing of the constitution and the outbreak of the war of 1812, moreover, the outlines of a national military force emerged in the form of an effective naval fleet and a marine corps, as well as reorganization and significant increase in the size of the army (Katznelson 2002: 95–7).

The contrast with contemporary Europe is striking indeed. Profound institutional weakness continues to bedevil attempts to aggregate the military power of member states. These latter dominate decision-making within the EU. Article 3a TEU stipulates that the Union: ‘shall respect [member states]’ essential state functions, including enshrining the territorial integrity of the State, maintaining law and order and safeguarding national security’. It goes on to recapitulate that in ‘particular, national security remains the sole responsibility of each Member State’. The situation is analogous to one in which all US governors enjoyed a veto over military decisions at the federal level.

Decisive action in pursuit of European interests is thus rendered highly problematic. Profound divisions between national capitals—over the need for intervention in certain geographical areas and over the primacy to be accorded to military as opposed to ‘softer’ forms of power—mean that consensus is often elusive and action, consequently, is limited. A similar pattern emerges in the area of defence procurement, where the EDA, tasked by the Lisbon Treaty with fostering greater collaboration in manufacturing and procurement, is, with its small staff and tiny budget, prey to the whims of the national ministers that control it.

Thus, ‘with no central government, no central procurement policy, no single army, navy or air force, and none of the other attributes of a nation-

state, the EU will always be at a (comparative) disadvantage when it comes to achieving effective governance in [the defence] field' (Reynolds 2007: 364). The EU, moreover, possesses no standing military forces of its own. Any missions carried out under its banner depend on troop and financial contributions from member states. Even limited plans to construct a European headquarters, to allow for the planning of missions that might be authorized by member state governments, have been vetoed by a British government, concerned by the centralizing implications of such a move.

Historical Context

It is impossible to understand why European and American institutions have taken the form they have without placing them in historical context. The major impediment to the creation of a centralized American state in the late eighteenth century under the Articles of Confederation (1781–8) was strong attachments to local state governments. The thirteen colonial governments each had their own histories, traditions, and institutions, in some cases dating back a century and a half or more (Pollack 2009: 103). There was, in addition, a lack of sense of nation between thirteen colonies in the eighteenth century (Porter 2008: loc. 4834). Yet, for all this, the American states that entered the union with the signing of the Constitution were all weak. Indeed, they remained relatively ill-defined, with the boundaries between them unclear (Deudney 1995: 213)—a situation that had been overcome in Europe in the early thirteenth century, when the lines between France, England, and Spain hardened (Ruggie 1983: 274, n.34).

In the United States, nationalism was unleashed at the level of the Union. The Civil War acted as a catalyst in this regard, when popular loyalty came to focus on the national level as the US gradually became a nation-state (Pollack 2009: 212–13). Revealingly, during most of nineteenth century the United States was considered a plural noun. This changed soon after the Civil War. The 'United States went to war in 1861 to preserve the *Union*; it emerged from war in 1865 having created a *nation*' (McPherson 1991: viii). In contrast, during the nineteenth century the forces of nationalism were channelled by nation-states in Europe to enhance their individual war-fighting capacities. In their quest to increase the pool of recruits for their military machines, they resorted to the rhetoric of nationalism. There emerged a self-reinforcing process, whereby the state engaged in the inculcation of nationalism for the purpose of being able to wage mass war, while war itself provided their peoples with a marked sense of national identity (Porter 2008: loc. 560, van Creveld 1995: loc. 2892). War came to pervade all aspects of national identity, including language—portrayed by some as a 'dialect with an army' (Porter 2008: loc.

572). Even the development of the welfare state can be linked to the need to wage war (Poggi 1990: 66).

War thus was, and continues to be, crucial to the sense of identity that holds European states together (van Ham 2010: 589). The provision of security represents a key function serving to justify the existence of the state (van Creveld 1995: loc. 4878), and consequently European states are reluctant to delegate the business of war to the EU. And this regardless of their own capacities, in that like 'male dogs, states endlessly mark their territory; even neutered dogs/states continue this habit' (van Ham 2010: 579).

The timing of state-building relative to great nineteenth-century wave of nationalism was thus crucial in defining the arrangements in place for defence policy. Historical sequencing also helps explain the limited nature of the defence capability created at the European level. European integration was launched at a particular historical juncture for a particular purpose. Managing European power rather than projecting it was the crucial issue, as 'the historical mission of the Union is to deliver Europe from *realpolitik* not be the vehicle for it' (Toje 2008: 210). Because the purpose of European integration was to tame power, its institutional structure developed accordingly, with equal weight given to all states in decision making. In contrast, the Constitution of the United States was drafted with the need to provide effective defence very much in mind.

Moreover, by the time member states decided to confer a role in defence policy to the EU, it was entering a crowded field. Although Europeans faced a significant external threat at the time of the birth of European integration, the presence of NATO meant that the European Community did not need to be constructed in such a way as to allow for the effective deployment of military force (Simms 2012: 52–3). Moreover, since the transatlantic alliance continues to have prime responsibility for ensuring the territorial security of its members, it is probable that even the emergence of a direct threat to European territorial security would fail to generate the kinds of centralizing tendencies within the EU that they did in the United States. The treaty of Lisbon underlines that any obligation of assistance under its mutual assistance clause (Art 42 TEU) 'shall not prejudice the specific character of the security and defence policy of certain member states', adding that any such obligations must also be 'consistent with commitments under the North Atlantic Treaty Organization, which, for those states which are members of it, remains the foundation of their collective defence and the forum for its implementation'.

Having entered a field already populated by rival security organizations, and created by states whose identity was partly founded on their ability to deploy force effectively, it is hardly surprising that the EU has been unable to overcome divisions between its member states and develop a more effective common security apparatus.

CONCLUSION

European states lack the ability to defend their own interests with military force. As one recent analysis put it, what ‘are Germany, Italy, Sweden or even France and the UK able to do on their own in the military realm? Can they cope with the emerging threats by themselves? The answer, increasingly, is “no”’ (Major and Mölling 2010: 22). Yet member states of the EU remain reluctant to enable the EU to deliver collective empowerment. Rationalization has not, then, been a product of functional incapacity.

This chapter has located the explanation for the divergence between American and European developmental trajectories at the intersection of institutions and history. While the United States appeared as a weakly centralized system in comparison with continental European states, the contrast with the EU illustrates the centralization of a system that coped admirably with the military challenges it confronted. Divided power between institutions at the federal level, and between the federation and the states, conspired to undermine attempts to emulate the European model of state development. These constraints were only overcome with the onset of the era of global war. Conversely, the expandable model proved its worth, as the United States emerged victorious from the various conflicts in which it found itself involved and was able to deploy its power successfully in defence of its own interests.

In contemporary Europe, despite the proliferation of potential security challenges to the interests of European states, the institutional weakness of the EU continues to undermine attempts to forge a collective response. Member states routinely disagree over the need to deploy European forces to crisis areas. Restructuring has not induced a coherent European state-wide defence strategy or infrastructure.

These institutions were products of their time and reflect the strong national attachment of member states to maintaining their own defence capacities, as well as the presence of rival institutions dedicated to the defence of European territories. Unlike in the case of the United States, then, individual European states face the prospect of increasing military ineffectiveness hampering their ability to pursue their interests, even while they cling to national defence as a symbol of their continued national independence.

While it would be premature to assume that European states no longer confront military threats to their security, it would equally be naïve to claim that these are the only or even necessarily the major security challenges that now confront them. Cyber threats are perhaps the most widely recognized of the ‘new security threats’, and indeed in April 2015 French TV Channel TV5 Monde was subjected to an attack by members of the so-called CyberCaliphate. Yet alongside these, as a powerful new account has detailed, other new forms of violence such as biotechnology and robotics could pose equally serious challenges to both national and personal security (Wittes and Blum 2015).

Certainly these new threats pose multifarious challenges to existing political authorities, not least in the way that ‘technologies of mass empowerment’ can entirely bypass the mediation of public authorities at all. Equally clear, however, is the fact that, in a continent of numerous small states such as Europe, collective responses are likely to be more effective than purely national ones. As yet, EU attempts to aggregate member state power and resources have remained—as in the military sphere—profoundly limited. The Union has not, for instance, managed to devise a common cyber security policy. What seems clear is that the tension between pressures militating in favour of continued, if ineffective, national primacy and collective action will continue to be a defining feature of European responses to external challenges.

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States of Crisis

Olivier Borraz and Lydie Cabane

INTRODUCTION

Crises, emergencies, catastrophes, and disasters have become salient on the agenda of governments across Europe and in the United States over the last few decades. Besides preparing for extreme events such as pandemics, terrorist attacks, and major disasters, public authorities also deal on a recurrent basis with health scandals, floods, urban riots, industrial accidents, technological breakdowns, massive opposition to megaprojects, and the prolonged effects of the financial meltdown. Governing in this instance thus implies being ready to manage a range of events that hold the capacity to destabilize the social, economic, and political fabric.

A first line of explanation to the importance taken by these events stresses the changing nature of the world we live in: major environmental transformations, economic globalization, complex financial systems, climate change, deregulation, and global governance have made our societies more complex and unstable, dependent on fragile networks, and highly vulnerable to even the smallest disruptions:

Citizens in the UK are potentially more vulnerable to distant events—ranging from economic crises on the other side of the world, attacks on IT networks, diseases carried by air travellers, to the indirect impact of civil wars and famines. Globally interconnected infrastructure brings with it increased exposure to catastrophic events elsewhere, as shown, for example, by the events of 11 September. These systemic risks are now high on the policy agenda in many countries.

(Strategy Unit 2002: 5)

Yet, floods, pandemics, industrial accidents, financial meltdowns, or terrorist attacks are nothing new; nor is the concern of policymakers for their consequences. The emergence of the contemporary nation-state in the nineteenth century is intimately linked to the fight against epidemics through the adoption of coercive measures and vaccination campaigns (Baldwin 1999) and the

management of natural hazards (floods, earthquakes) through compensation and later prevention (Cabane 2012). In the aftermath of those events, bureaucrats, politicians, and experts developed the infrastructures of the 'disaster state' (Roberts 2013). The emergence of the welfare state after the Second World War contributed to the extension of the state's reach and its concern for protecting its population against a wide array of hazards and threats (Titmuss 1958, Judt 2011). The crises and catastrophes could be natural or man-made, but the aim of state officials was to restore public order and economic flows as quickly as possible. The Cold War offered the opportunity for improving the methods and instruments used to anticipate and manage a potential nuclear war, but also natural disasters or urban riots (Collier and Lakoff 2008). In other words, the political constructions of the nineteenth and twentieth centuries contributed, through a wide array of instruments and institutions, to the belief that crises, emergencies, disasters, and catastrophes were either under control or isolated events that did not threaten the whole of society.

What changed? With the end of the Cold War, security issues were progressively demilitarized, while the boundary between internal and external security became blurred (Bigo 2005). Security paradigms were transformed as transboundary crises with the potential of destabilizing societies and their political leaders multiplied, as new threats appeared or re-emerged, and as the belief in the certainty of ensured safety vanished. Crises and catastrophes regained a prominent position on the agenda of Western democracies, subsumed under notions of emergency management, disaster preparedness, emerging risks, vulnerability, and resilience to deal with situations as diverse as floods, urban riots, food safety scandals, industrial accidents, and terrorist attacks.

With this came the acknowledgement that crises had changed in nature. The French lawmaker thus justifies the law on the modernization of civil security in 2004 by stating that the previous typology of crises was inadequate to deal with such diverse crises as the 1999 storm, the *Erika* shipwreck, the explosion of the AZF plant in Toulouse, or acts of terrorism throughout the world. Acts of terrorism throughout the world provide yet another dimension to the notion of crisis.

Yet, the concern with crisis management cannot simply be linked to a more uncertain, unstable, complex, or hazardous (global) environment. As convenient an account as it seems, it provides little insight into other processes taking place during the same period.

A second line of interpretation pinpoints the role of security experts in portraying the world as unsafe. This interpretation rests on the work of US scholars who, using a neo-Foucauldian approach, describe the growth of a security paradigm (Fassin and Pandolfi 2010). In the wake of 9/11, this literature has become dominant in thinking about how the state handles emergencies and disasters. The work of Giorgio Agamben (2005) on the

state of exception is a major inspiration to this current of thought. The state of exception has ‘proliferated and intensified in a world of emergencies’ (Adey et al. 2015: 2), and the regime of exceptionality that lies in crisis management is said to have become the norm. An influential representative of this line of analysis is Pat O’Malley, who argues that security is now defined ‘beyond’ risk by various forms of defensive anticipatory governance (precaution, preparedness, pre-emption, etc.), where future disasters are invoked to better assert state power in the current neoliberal moment (2011). In Europe, critical scholars stress the role of experts and ideas in the promotion of this paradigm and ‘the construction of catastrophic events as objects of anticipatory governance’ (Aradau and Munster 2012: 1).

However, such an overarching framework cannot account for the varied forms of emergency management and the multiplicities of techniques that do not necessarily operate within a state of exception, but are part of mundane operations of government to protect their populations (Adey et al. 2015). In addition, the rise of preparedness as a form of government may not be as global as authors claim and is primarily located in US security policies (Collier and Lakoff 2015). Adopting this framework without consideration for the plurality of contexts or the unevenness in the practices of emergency is problematic since it maintains a veil on the actual working of states. Some have already suggested that Europe presents a different version of preparedness, characterized by contingency planning, protection, and resilience (Lentzos and Rose 2009); but they have not discussed the relation between the generalization of crisis management and state transformations, nor satisfactorily addressed differences between the US and Europe.

In this chapter, we intend to demonstrate that transformations within the state over the last two decades help shed light on this phenomenon. While in the literature the state remains often reactive or hollow, we argue that it plays a key role in the rise of crisis management. Our argument is that crisis management offers an opportunity to redraw the ‘limits of the state’ (Mitchell 1991): both in the sense of its borders (i.e. where the reach of the state ends and gives way to society, markets, communities, and individuals) and in terms of capacity (i.e. to what extent can the state perform its duties, fulfil its engagements, and hold its promises—and when it cannot, account for failure?). Furthermore, while in the US this redrawing remains under the umbrella of a national security agenda, in Europe it takes place within a context of reforms inspired by a neoliberal ideology, which questions precisely the limits of the state. In this case, the crisis state renews the promises of the welfare state.

This explanation fits well with one of the central hypothesis of this volume: as the capacity to wage war does not constitute a defining characteristic of European states anymore, preparing and managing a wide range of extreme events serves as a substitute (a situation very different from the US, which

continues to wage war in various parts of the world). Yet, following only this line of interpretation misses other possible causes for the sudden interest in crisis management. And in fact, the three other hypotheses explored in this volume provide arguments supporting the idea that crisis management is not only about replacing war with disaster in order to maintain some form of 'hard politics'; it also refers to changing scales of government, redefining the limits of the state, and managing the consequences of policies derived from neo-liberal ideas of regulation and market instruments.

REPRESENTING CRISES

An Unstable World?

The idea that governments must be prepared to deal with unexpected events that can arise anywhere, at any time, and directly impact national interests, at home or abroad, is now widely accepted. The events can be related to natural hazards (themselves the result of climate change), industrial accidents (due to new or complex technologies), terrorism (notably after 9/11), pandemics (with SARS as a paradigmatic case), widespread violence (ranging from secessionist movements to urban riots), or financial crises (and their regular occurrence in different parts of the world over the last decades). The initial event can be localized, such as the Icelandic ash cloud in 2010 or the Fukushima nuclear accident in 2011; or immediately global, such as the financial crisis in 2008 or the SARS (2002–3) and H1N1 (2009–10) pandemics. But in all cases their impacts will be felt across the world.

Not only have the number of destabilizing events increased, but societies have also become more vulnerable to disturbances, even those that are 'relatively small' (Boin 2009: 369). The concentration of humans, activities, and networks renders places and societies more vulnerable to disruptions; and the interconnectedness of global systems makes societies more vulnerable as a whole. This comes out clearly of a report in the UK on national security:

In a world of startling change, the first duty of the Government remains: the security of our country.

Britain today is both more secure and more vulnerable than in most of her long history. More secure, in the sense that we do not currently face, as we have so often in our past, a conventional threat of attack on our territory by a hostile power. But more vulnerable, because we are one of the most open societies, in a world that is more networked than ever before.

Our predecessors grappled with the brutal certainties of the Cold War—with an existential danger that was clear and present, with Soviet armies arrayed across half of Europe and the constant threat of nuclear confrontation between the

superpowers. Today, Britain faces a different and more complex range of threats from a myriad of sources. Terrorism, cyber attack, unconventional attacks using chemical, nuclear or biological weapons, as well as large scale accidents or natural hazards—anyone could do grave damage to our country.

These new threats can emanate from states, but also from non state actors: terrorists, home-grown or overseas; insurgents; or criminals. The security of our energy supplies increasingly depends on fossil fuels located in some of the most unstable parts of the planet. Nuclear proliferation is a growing danger. Our security is vulnerable to the effects of climate change and its impact on food and water supply. [...]

Geographically Britain is an island, but economically and politically it is a vital link in the global network. That openness brings great opportunities, but also vulnerabilities. We know that terrorist groups like Al Qaeda are determined to exploit our openness to attack us, and plot to kill as many of our citizens as possible or to inflict a crushing blow to our economy. It is the most pressing threat we face today.

All of this calls for a radical transformation in the way we think about national security and organise ourselves to protect it. We are entering an age of uncertainty. (HM Government 2010: 3)

This argument also suggests that the increase in the number of events and their impacts find their sources in larger trends: climate change, technology, economic globalization, terrorism, and demographic changes (Boin 2009). As the Organisation for Economic Co-operation and Development (OECD) concludes:

Looking further ahead, the indications are that major disasters of various kinds are more likely to occur. Many conventional risks look set to take on new forms, and new major hazards are emerging—some characterised by both extreme uncertainty and a potential for extensive and perhaps irreversible harm. These trends point to a marked future increase in the probability of major vital systems (technological, infrastructural, ecological, etc.) being severely damaged by a single catastrophic event (natural or man-made), or a complex chain of events.

(OECD 2003: 32)

This analysis echoes the work of academics who point to the complex web of relations in which national economies are embedded; societies' strong reliance on complex technological networks (often tightly coupled, which, following Perrow (1984), increases the potential for systemic effects); the weakening of traditional social structures able to provide assistance; the unchecked progress of science and technology; or urbanization trends that expose large numbers of individuals to the impacts of natural hazards (Giddens 1990, Beck 1992, Pelling 2003). In other words, not only can things go wrong anytime and anywhere, but our exposure is such that the effects will be felt throughout a wide range of dimensions and with major, and sometimes lasting, consequences. Combining Beck's and Giddens' 'risk society' with Perrow's 'normality of accidents' theses, suggests that we live indeed in a very fragile world.

Experts and the Representations of Crisis

These representations of a world exposed to the risk of crises are shaped and diffused by a range of experts, academics, and consultants working for public, private, non-governmental, and international organizations, who are engaged in a process of converting public (and private) authorities to the idea that they must prepare to face unpredictable events, which hold the capacity to destabilize state and society (Bigo 2005, Revet 2013).

International organizations (e.g. the UN and World Bank) and the experts working for or within them, in particular, are active in diffusing standard tools and frameworks for emergency management, and simultaneously defining what should be the role of the state in managing crises and disasters—and what should be better left to non-state actors (Revet 2013). For instance, in 1999 the UN launched its International Strategy for Disaster Reduction ‘to enable all communities to become resilient to the effects of natural, technological and environmental hazards, reducing the compound risks they pose to social and economic vulnerabilities within modern societies’ and ‘to proceed from protection against hazards to the management of risk through the integration of risk prevention into sustainable development’.¹

The insurance industry is another locus of expertise on crises and disasters. It produces yearly reports demonstrating the increasing costs for the global economy of large-scale disasters and catastrophes,² in part due to the size of catastrophic events, but mostly because of the increased value of the places impacted. These costs threaten insurance and reinsurance companies, and ultimately national governments. Thus, insurance companies call upon governments of the world to preventively protect their assets.

The OECD is yet another nexus and provider of global expertise on risks and emergencies. According to the Paris-based organization, ‘the sheer complexity of today’s world requires a holistic approach to the subject of emerging systemic risks, which must endeavour to capture not only the interdependencies and interactions among the hazards, various systems and forces influencing the overall context of risk management, but also the increasingly important international dimensions’ (OECD 2003: 33). In its recommendations, the quoted report touches on different dimensions of governing: from establishing priorities and improving the coherence of risk management, to involving the private sector, developing risk awareness in the population, establishing stronger international cooperation, and increasing resilience.

This insistence on complexity and unpredictability does not mean that experts have abandoned all hope of producing a new master frame. Take for

¹ <<http://www.unisdr.org/who-we-are/international-strategy-for-disaster-reduction>>.

² <<http://www.munichre.com/reinsurance/business/non-life/natcatservice/annual-statistics/index.html>>.

instance this concept note published by the International Risk Governance Council, a think tank based in Switzerland:

Consider the current H1N1 flu epidemic, the recent financial meltdown, global climate change, the disruptions in Europe when Russia cut off gas supplies to Ukraine, the damages from hurricane Katrina, the tragic events of 9/11 and subsequent terrorist attacks in Madrid and London, the AIDS epidemic in Africa, and the rise of obesity in the developed world. Are each of these problems a distinct phenomenon, or are they all 'emerging risks' that can be understood within a common intellectual perspective? In this concept note, IRGC explains how seemingly disparate risks can each be understood within a common perspective that covers sources, drivers, and governance. (IRGC 2009: 6)

Producing a general narrative of common causes and mechanisms offers the opportunity to make sense of a set of heterogeneous events. More importantly, it justifies the adoption of generic solutions. Experts in crisis management and communication, who often work indifferently for the different organizations listed earlier, actively promote the representation of a world having become more complex, uncertain, and tumultuous—to better uphold their professional competence in helping authorities deal with this situation.

From Global to Contextual Views of Crises

Yet, beyond these general representations there are important differences in the sense of crisis and the definition of security between the US and Europe. Against the idea of the dominance of terror and the use of crisis as a mode of neoliberal government common in the literature on disasters and crisis, it is important to acknowledge the varieties in the political developments of crisis management.

In the US, the politics of security and the experts associated with it have shifted alongside the position of the country in global politics. During the Cold War, experts (for instance at the Rand Corporation) created the instruments, concepts, and theories that produced the 'certainties' mentioned in the UK report quoted earlier (Andersson 2012). There was nothing natural or self-evident about these certainties: they were the product of intensive efforts to build techniques capable of predicting the future, managing complex systems, and reducing uncertainties by turning them into risks (Boudia 2007). Interestingly enough, many of these techniques spilled over into the field of crisis management during that period, i.e. they did not concern solely the threat of a Soviet attack but covered natural disasters and civil unrest (Roberts 2013). The year 1989 marks the rebirth of the notion of uncertainty. In the absence of a clear and universal narrative such as the one provided by the Cold War, the idea of a world more complex, uncertain, and tumultuous met with rapid

success. Former security experts, working in or for the military, became 'disaster experts' (Knowles 2011). Since 9/11, 'professionals of unease management' (Bigo 2005) insist that the world has become more unstable and unpredictable. A range of professionals in various domains claim the title of 'security experts' in order to convert their field of expertise into threats to national security (Palluault 2011). Meanwhile, the concern for 'ungoverned spaces' exemplifies the difficulties developed countries have in understanding, let alone controlling, social and political phenomena around the globe (Clunan and Trinkunas 2010). Instead of helping authorities see what waits ahead as they did during the 1950s, experts must now prepare them for whatever is out there.

In Europe, meanwhile, the range of experts is broader (Bigo 2005), given that the concern with crises takes its roots in an entirely different context. Here the premises are not so much the possibility of a major disaster than the 'seemingly limitless range of events and processes' threatening the economic, political, and social fabric, to the point where 'emergency has become a taken-for-granted part of the political administration of western capitalist societies' (Anderson and Adey 2012: 25). Starting in the 1990s, a series of crises, scandals, and controversies related to health and environmental issues set the scene for this concern, both at the level of countries (UK, France, Italy, Belgium, Germany) and the European Commission (Ansell and Vogel 2006). Floods, earthquakes, and industrial accidents added to the list of possible 'bads' waiting to happen. National officials felt threatened in their legitimacy and capacity to maintain order and protect. Accordingly, they called upon a greater diversity of experts, reflecting the multiple sources of risks considered by public authorities: military, police, firefighters, emergency units, health professionals, civil defence, and local governments.

This first difference has important implications: it suggests that the field of expertise in emergency management is different in the US and Europe; and while many of these experts may travel and meet in international forums, they operate in national contexts with distinct governance structures and risk portfolios.

CRISES IN BUREAUCRACIES

These differences in expertise are also a reflection of deeper changes within different countries. Indeed, various trends over the past decades have called into question the role of the state in a globalized economy, with the emergence of supra- and infra-national sources of power contesting the state's monopoly in a range of policy domains. At the turn of the millennium, US society appeared anxious to protect itself from global threats, as economic globalization

(supported by its trade policy) eroded its borders. Scientists and journalists claimed that viruses, diseases, pandemics, bioterrorism, and commerce posed a major threat to the existence of American society, which called for new security policies (King 2002). In Europe, as states abandoned many of their attributes to the EU or devolved authorities, a renewed interest emerged among public officials with questions of security—one of those rare domains in which they still expect to wield some influence. Protecting their population against a continuously growing range of hazards became an important source of legitimacy for national authorities (Borraz 2008). Not surprisingly, it also became a source of legitimacy for the European Commission that developed its own crisis management capacities (Wendling 2010). But in all these settings, one or several high-profile failures played a decisive role in the formulation of crisis management policies.

Reforming after Crises and Scandals

In the US, the terrorist attacks of 9/11 shifted the focus of disaster policies and emergency concerns towards terrorism. A security-oriented agenda led to the creation of an all-inclusive agency in 2003—the Department of Homeland Security (DHS)—that marked a return to the situation of the Cold War when military concerns constituted the main federal driver of civil defence. The reform was symptomatic of a willingness to coordinate multiple federal, state, and local organizations, and merge different threats under the umbrella of counter-terrorism (Roberts 2013). In particular, the DHS incorporated the Federal Agency for Emergency Management (FEMA). This marked a sharp turn away from the approach taken during the previous decade, when FEMA had adopted an all-hazards approach and a focus on natural disasters (Roberts 2013). The reform signalled the importance of emergency preparedness at the highest level. But the reorganizations led to the loss of disaster management capacities and expertise, as revealed in 2005 by Hurricane Katrina (Tierney 2006). Interestingly, the latter failure did not lead to a major overhaul of emergency management structures but simply some cosmetic changes.

Although 9/11, and later bombings in London and Madrid, contributed to put terrorism high on the agenda of European governments, the reforms here find their roots in more ‘routine’ failures related to mundane activities. As we suggested earlier, a series of crises, accidents, and failures during the 1990s convinced policymakers to address this issue, if for no other reason than to avoid ending up in jail or terminating their political career. The BSE crisis in the UK, food-related scandals in Germany and Belgium, and tainted blood and asbestos in France produced a profound impact on policymakers’ perception of their vulnerability. Investing in risk management provided a solution to avoid future blame (Power 1999, Rothstein et al. 2006). But quickly, the focus

on risk was supplemented by an investment in crisis management and the creation of dedicated units across administrations (Fourès 2011).

In the UK, a Civil Contingencies Secretariat was created in 2001 within the Cabinet Office following foot-and-mouth disease outbreaks, severe flooding, and fuel protests on motorways, to steer the development of a resilience strategy (Coaffee et al. 2008). This strategy was further developed in 2004 with the adoption of a Civil Contingencies Act, which institutionalized resilience as a new paradigm for dealing with numerous crises: 'Resilience as doctrine is central to UK civil contingencies, but the background is not a catastrophic imaginary some associate with neo-liberalism as structure of feeling but rather a sense of the ever-present possibility of interruptions that can be recovered from' (Anderson 2015: 63). Thus, rather than a strict security focus, a privatization or a simple delegation to individuals—that appeared more clearly in the counter-terrorism measures adopted during the same period (Coaffee et al. 2008)—the Act marked a reregulation of emergencies and a clearer attribution of emergency powers to local government. Tellingly, a Capability Program was adopted to improve government's competencies in crisis management, participating in 'a resilience strategy which is aiming to spread involvement and responsibility amongst potentially all departments' (Walker and Broderick 2006: 235).

The situation is similar in France, with the 2004 law on the modernization of civil security extending the prevention and management of risks from multiple sources and refining the doctrine of protection of population (Meerpoël 2006). Germany also adopted a 'New Strategy for the Protection of the Population' in 2002 after major flooding of the Elbe River. An Office of Civil Protection and Disaster Assistance (BBK), created in 2004, provides the federal government with a central organization to ensure the safety of the population; these evolutions were later confirmed in 2009 in a new Civil Protection and Disaster Law. Other examples include Sweden, which introduced the notion of civil protection³ and reorganized its agencies in 2009 under EU influence (Bremberg and Britz 2009); or Italy, where civil protection regained a more prominent role in 2001 by being attached directly to the Prime Minister's Office (OECD 2010).

The heterogeneity of European approaches must not be underestimated, as the organization of their civil security systems varies greatly in terms of doctrine, degree of state centralisation, and relation to the military (Bossong and Hegemann 2015). Nevertheless, there has been a common trend towards demilitarization after the Cold War, and the adoption of comprehensive frameworks to tackle a multiplicity of risks from different sources, 'taking

³ Until the reform of the mid-2000s, Nordic countries were not familiar with the notion of 'civil protection', as their emergency management systems were still under the influence of the 'total defence' strategy that was in use during the Cold War (Bremberg and Britz 2009).

into account a [much] broader spectrum of threats' than the US and working to improve coordination between different state entities (Bossong and Hegeman 2015). Furthermore, rather than a securitization of state policies, the bureaucratization of crisis management embodies a renewed way of ensuring the protection of the population. Finally, the Europeanization of crisis management and the adoption of common mechanisms has provided yet another incentive to reform national systems (Bremberg and Britz 2009).

The Bureaucratization of Crisis Management

In order to fulfil their missions, the newly created organizations developed their own standards, procedures, and generic instruments, sometimes adapted from international frameworks. They produced scenarios and white papers that defined the nature of the threats they faced and set forth a strategy. They drew up contingency plans that distributed roles and tasks (Clarke 1999). They established risk registers with all the potentially negative events that could arise in the future (Anderson 2010); or maps of critical infrastructures that required special protection given their strategic importance for restoring social, economic, and political order (Lakoff and Klinenberg 2010).

These organizations also engage on a regular basis in simulations and exercises. They demonstrate their level of preparedness in front of different audiences. Although they may be confronted every so often with real crises, they spend most of their time working on fictitious cases (Adey and Anderson 2012, Revet 2013). Crisis management thus organizes a general performance where officials undertake to demonstrate their capacity to prevent or manage a range of emergencies and disasters. The term 'performance' should not diminish the importance of this effort, since a substantial amount of learning and networking actually takes place during these demonstrations. But overall this produces an artificial representation and an orderly image of the state. While during actual crises, confusion reigns and calls for capacities to improvise and innovate (Dedieu 2013), during an exercise there exists the possibility to control key variables in order to draw neat lines and boundaries, to define which components will be tested (all else remaining stable), to decide the scope of the accident or the nature of the risks incurred by the population, and to decide on a beginning and an end.

Lastly, these reforms infuse crisis management in bureaucratic routines and diffuse them within the state. Treating events as both generic and singular, UK Civil Contingencies revolves around a 'state of preparing for emergencies' and a 'state of responding in emergency' (Anderson and Adey 2012: 25). Hence, and somewhat paradoxically, although crisis management is routinized, events will continue to be framed as singular, unpredictable, or unexpected. Even as

crises of different scope and scale occur on a regular basis, they still remain a source of astonishment.

But both in the US and Europe, crisis management regularly fails. In particular, the multiplication of organizations, rules, and procedures in distinct ministerial departments and local governments creates the conditions for problems of information-sharing and interpretation, coordination, and competition. For rather than adopt a streamlined approach to crisis preparedness with a single centralized structure, most states have encouraged a proliferation of organizations. In the US, the creation of DHS, far from simplifying the structure of emergency management, has added a range of new divisions and plans (Tierney 2006): 'Chronic problems with disaster response in the US are built into the very organisational structure of emergency management' (Collier and Lakoff 2008: 26). In major European countries, the sheer diversity of actors and organizations involved in crisis management makes problems of coordination and information-sharing almost inevitable. Plans, exercises, and communication systems, introduced to coordinate these different actors, are prompted to fail for a host of reasons: technological breakdowns; the representatives of the different organizations do not always know each other and speak the same language; they have not always had the time to read, let alone learn, all the procedures; and different organizations do not always share a common interpretation of what the crisis is actually about. More importantly, the actors involved in these efforts are not simply focused on the hazard at hand and how best to reduce it or mitigate its consequences. They also negotiate wider issues related to their autonomy, the scales of government, and the limits of the state. These definitions often go beyond the management of crises and engage the future form and content of the polity (Agamben 2005).

DRAWING THE LINES

In the US, although preparedness focused the attention of policymakers on vulnerabilities to a range of disruptive events, the 'war on terror' introduced a shift towards the identification of possible threats anywhere in the (physical or virtual) world. This led to a series of decisions, measures, and conceptual innovations in which the projection of US power implied pushing back the limits of the state in different directions. On a global level, limits were set anywhere a potential threat was identified, in order to justify interventions to prevent the risk from occurring or spreading (through a precautionary approach). Surveillance technologies played a key role in this respect (Palluault 2011, Aradau and Munster 2012), along with armed forces and private security companies. But the identification of interior vulnerabilities also served

as a middle ground on which federal, state, local, and private actors actively negotiated the role of the state. Hence, the limits of the state are drawn both far away from US territory and within the complex architecture of (public and private) emergency organizations.

In Europe, crisis management serves several purposes. First, it organizes through a process of bureaucratization a decoupling between major institutional, economic, and social reforms, and the failures they account for. Second, it sets the stage for a discourse on priority-setting and delegation to private actors and individuals, in a context of limited resources. Third, it marks an extension of the state in a variety of domains.

In the aftermath of major failures, authorities were quick to point out their exogenous origin, unpredictable nature, or a lack of anticipation. But it quickly became apparent that many of these crises were a result of policy choices. Indeed, Lodge's 'depleted state' (2013) is largely the result of reforms that paved the way for a series of major failures.

Take for instance the mad cow disease crisis:

From a careful analysis of the evidence presented in [the 2000 Philips Report] it emerges that the BSE disaster can be attributed, to some extent, to the structural reforms that took place in the British executive during the last few decades and especially in the late 1980s. The centre delegated a series of responsibilities and tasks to executive agencies, quangos and local government without putting an alternative mechanism in place that would ensure smooth transition and the maintenance of environmental standards. (Gerodimos 2004: 921)

In France, the tainted-blood scandal also finds its origins in reforms destined to give the blood-transfusion centres more autonomy by encouraging its management to operate on its own resources (Setbon 1993). Delegation of rule-enforcement, control, and inspections to private firms, auditing companies, or third-party certifiers, by neglecting the possibility of fraud, cheating, and corruption, has paved the way for several high-profile scandals in finance, pharmaceutical drugs, and food in recent years. Even the creation of independent agencies in charge of risk assessment or management has been associated with the emergence of crises, as it presented them with an opportunity to demonstrate their legitimacy and demand more resources (Besançon and Borraz 2009).

Furthermore, 'the organizational arrangements of the regulatory state, namely privatized public services, the existence of quasi-autonomous regulators, and contractualized and formalized relationships across all the actors involved [...] mean that the preconditions for "heedful interrelating" ... are restricted, as professional norms and other informal understandings are overtaken by an emphasis on formality. [...] Relationships are not based on informal understandings and professional norms, but are defined by contracts oriented at the definition of liabilities among a multitude of organizational

entities' (Lodge 2009: 398). This leads to unexpected outcomes, as shown by Power in his works on the audit society and the risk management of everything (Power 1999, 2004), in which the insistence on reputational risks among these multiple organizations leads to behaviours that tend to amplify, rather than attenuate, societal risks.

In other words, in the wake of reforms that transformed the role and capacities of the state and resulted in several important failures, crisis management offered the opportunity for state officials not only to demonstrate their capacity to provide security, but more importantly to decouple the reforms from failures that could undermine their benefits and justification. In these circumstances, by focusing on the risk event, the goal of crisis management is to return as quickly as possible to the prevailing order without addressing the root causes of the failures, while compensating the victims for their losses. Although it purports to manage a range of events, it does not help to make sense of these situations and focuses solely on their consequences (Boin 2009). Thus, the UK 2004 Civil Contingency Act 'produces a legal version of emergency based on the generic consequences of a potentially infinite set of events' (Adey and Anderson 2011: 28). In the face of potentially destabilizing events, the state focuses primarily on preventing their occurrence or mitigating their effects. Tackling the root causes of the events lies not within the realm of the agencies, departments, or units in charge of crisis management, but befalls other organizations. These have little incentive or interest in trying to figure out what could actually go wrong with the policies they pursue.

By investing in crisis management, European authorities thus erect a barrier against questioning the policy options that lie behind the crisis (Boin et al. 2014). This is not just a blame-prevention strategy, even though the failure of crisis management will immediately provide a venue for future reforms in crisis management. It avoids suggesting that certain policy options set against the backdrop of neoliberal ideas and a deregulatory agenda have led to failures and crises that could have been avoided, or at least anticipated. Furthermore, crisis management will itself adopt the language of neoliberalism in order to suggest that public authorities must be ready to face a wide range of threats, but that given budgetary constraints they need to make informed choices on their priorities and allocate resources accordingly (OECD 2010). All the more so since budget deficits have become a source of vulnerability, they provide major lenders (sovereign, international, or private entities) with leverage on national polities.

Although this process of decoupling was achieved mainly through bureaucratic processes, it also relies on the growing involvement of non-state actors. In the US, since the Cold War, private firms, NGOs, societal actors, and the population are included in contingency planning and emergency exercises. In Europe, the trend is more recent: faced with a reduction in

resources and against the backdrop of an agenda that seeks to shift the burden of responsibility from the state to non-state actors, communities, and individuals (Cooper and Walker 2011), states have encouraged their populations to take measures to protect themselves. Examples are the French *Plan familial de mise en sûreté* (Family Contingency Plan) and UK Emergency Preparedness 2005 leaflet, which encourage families to prepare for a range of natural and technological risks. But contrary to the US, these programmes aim at educating rather than empowering citizens: they provide information and advice but do not actually set the conditions for citizens to handle emergency situations on their own. Other examples can be found in contingency planning for a flu pandemic, where governments encourage non-state actors to devise their own business continuity plans (Torny 2012).

But herein lies a tension between an affirmation of the state capacity to protect (when precisely these capacities have been restrained by state reforms), and a delegation to individuals and communities (where states eventually admit their limits and possible failure) (Anderson 2015). For instance, preparations for a flu pandemic in the UK, Germany, and France focus on the continuum of daily activities that, given their fragility and vulnerability, require the state's intervention to ensure provision of basic services (Lentzos and Rose 2009). Private firms are encouraged to devise their own continuity plans, but they must fit with the national plan (Torny 2012). Police, army, firefighters, emergency services, hospitals, etc. define in great detail their own continuity plans in order to limit the disruptions to the normal order of things. In other words, although state authorities adopt a rhetoric of delegation to non-state actors, this does not equate to state retrenchment. Rather, this marks an extension of the state towards organizing the continuity of social and economic life in a deteriorated environment. And as this extension is regularly updated in plans and tested in exercises, it becomes a part of the daily operations of state services. Lastly, it allows for some organizations to extend their activities into new domains, and thus request additional resources in a context of budgetary restriction: such is the case with the military, for instance.

Hence, even as resilience has become a central concept in crisis management in Europe, the multiplicity of its meanings and uses reveals the contradictory efforts undertaken by governments to address a wide range of possible sources of disruption (Anderson 2015). One should not underestimate the many different ways in which preparing for crises have diffused within government—far from a unified, rational, and streamlined approach. But what is important is that crisis management appears at a crossroad of the transformation of the extent of the state and the redrawing of its limits, in particular in the domain of welfare provision (and not solely security policies).

CONCLUSION

In the US, crisis management partakes in the emergence of a 'security state' in which concerns with issues of national security tend to overtake the management of all other hazards. The state redraws its limits, both internally and internationally, on the basis of methods and instruments inherited from the Cold War and adapted by security experts to the complex and uncertain world we live in. Preparedness has become the umbrella concept under which this approach is implemented.

The situation in Europe stands in stark contrast: not all states have a civil defence (Bossong and Hegemann 2015); those that do, have maintained a separation between civil defence and national security. The concern in European states is not so much with an extreme event, than with a wider range of crises that could hurt their economies and social structures, and call into question the capacity of states to protect their populations.

As crisis management has become a permanent condition of governing in Europe, it constitutes the new face of the welfare state, one still concerned with protecting the population (through prevention or compensation) while simultaneously preserving the normal order of things and flow of commodities. Foucauldian authors on risk insurance have shown that technologies of risk were designed to govern the social problems of industrial modernity, with the goal not to repair injustices but to avoid a revolutionary solution (Ewald 1986). We want to suggest that emergency management, as another technology of risk, is designed to govern the social problems raised by a neoliberal political and economic environment, to avoid the possibility of its failures leading to violent outbursts or an outright contestation of the state.

In both contexts, though, crisis management offers multiple arenas and opportunities for redrawing, negotiating, and defining the limits of the state before, during, and after the manifestation of a crisis. It provides the opportunity to define the role of different actors, to distribute competences between levels of government, to specify the role of private and non-governmental actors in times of peace, and to redefine principles and instruments of solidarity. In this sense, crisis management is a key element in the transformation of the state.

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Social Movements, Democracy, and the State

Donatella della Porta

SOCIAL MOVEMENTS AND THE STATE

Social movements affect the development of states in democratic as well as non-democratic regimes (della Porta 2014).¹ They have this effect first by introducing new topics on the political agenda, but also by contributing to the emergence of new agencies in public administration, for example in respect to labour rights, gender issues, and the environment (della Porta and Diani 2006: chapter 8). While not all movements focus on the expansion of citizens' rights, many of them—suffice to think of the labour movement—have decisively advanced the establishment of civil, political, and social rights. What is more, progressive social movements address the very definition of politics and democracy and what issues should be included or exclude in public debate.

Early impact. A participatory vision of democracy developed with the mobilization of the labour movement, which led to significant institutional changes. The initial phases of the democratic state featured widespread activism in the public sphere (cf. Eder 2010), with the spread of autonomous and influential opinion movements. Summarizing numerous historical studies, Alessandro Pizzorno observes that mid-way through the eighteenth century, in England, public opinion 'manifested itself in ever more numerous petitions, in discussions in public places, or in semi-private places (taverns, cafés, clubs), where the new middle class of tradesmen and professionals, readers of periodicals [convened] ... Numerous societies and associations were formed ... the political

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press spread in a manner previously unimaginable' (Pizzorno 1996: 972). In the period which saw, in E. P. Thompson's famous characterization (1991), 'the making of the English working class', street marches for reform mobilized hundreds of thousands of citizens, while some radical magazines won circulations in the tens of thousands.

At the origins of democracy lies 'the entrance of the masses into history': indeed, 'the 18th century represents a rupture on a grand scale in the history of western Europe. Before that moment, the masses were barred from exercising their public rights. From that moment, they became citizens and in this sense members of the political community' (Bendix 1964: 72). The struggle for universal suffrage is principally a struggle for recognition: 'it is to oppose a conception of social invisibility that impacted the majority of society. Overcoming existing discrimination in the name of equality meant being recognised as full members of society' (Costa 2010: 13).

A central claim for the workers' movement, the right 'to combine', began with the right to associate, but differentiated itself from this narrower legal permission (Bendix 1964). While the freedom to associate with others formed a part of the freedom of conscience, of speech, of industry, of religious belief, and of the press, it had not, like these others, been promoted by the democratic revolution, which rather aimed to abolish the bodies between the state and nation of the old order. The right to associate emerged instead as an invention of the workers' organizations that defined the demands for collective negotiations in terms of brotherhood. In the labour movement, associations were thought of as workers' corporations, cooperatives, but also as confraternities of proletarians, initially with a mutual aid function. They elaborated this organization into instruments for opposing a vision of freedom as isolation, promoting associations as a reciprocal link and common intelligence (Sewell 1980: 216).

Enlarging democracy. In the protest campaigns to widening the rights of citizenship, competing models of democracy were conceptualized and practiced: direct, horizontal, and self-managed democracy. In the public sphere, old and new intersected: traditional forms of associationism (corporations, etc.) coalesced with emerging forms. Under pressure from social movements of various types, the system of representation that had been constituted in the old order began to build institutions and practices for recognizing collective identities. These latter were organized into parties and associations and proved complementary to the basic individualism of democratic participation and rights.

Social equality. Pushed by the workers' movement, the debate on democracy spread to include not only an emphasis on participation, but themes of social equality. In the first period of the development of capitalism, equality in civil and political rights sanctioned by the concept of citizenship was not normally considered in conflict with the social inequalities produced by the market,

even though these market inequalities weakened the enjoyment of civil and political rights (Marshall 1992: 27). In the twentieth century, the growth of economic well-being, the diffusion of education, and the use of those same civil and political rights affected this balance: 'Social integration spread from the sphere of sentiments and patriotism to that of material satisfaction. The components of a civilized and cultivated life, at first the monopoly of the few, were progressively placed within reach of the many, who were encouraged to reach out their hand to those who still eluded their claims.' Marshall continues: 'the diminution of inequality reinforced the pressures for its abolition, at least with regard to the essential elements of social wellbeing. These aspirations were in part heeded incorporating social rights in the *status* of citizenship and thus creating a universal right to a real income that is not proportional to the market value of the claimer' (Marshall 1992: 28). Social rights, as conceptualized by T. H. Marshall, began then to be discussed as necessary conditions for a true enjoyment of political rights (King and Waldron 1988).

Reforming political institutions. Social movements imply different sorts of democratic institutions offering expanded or novel forms of participation and deliberation. The protest movements of the late 1960s revelled in the widening gap between parties and citizens, and in the parties' inability to represent new lines of conflict (Offe 1985). The anti-authoritarian emphasis central to these movements was articulated in claims for 'democracy from below'. Democracies of councils and self-management were discussed in the workers' movements. Beyond widening forms of political participation, the student movement and those that followed it (the first being the women's movement) experimented internally with new democratic practices, rejecting hierarchy and oligarchy because of their authoritarian dimension.

The new social movements of the 1970s and the 1980s promoted the legitimacy of alternative forms of democracy, criticizing liberal democratic visions. This resulted in a libertarian motif. In fact, 'the struggle of the left libertarian movements thus recalls an ancient element of democratic theory, which promotes the organisation of the collective decision-making process variously defined as classical, populist, communitarian, strong, grassroots or direct democracy, against a democratic practice defined in contemporary democracies as realist, liberal, elitist, republican or representative democracy' (Kitschelt 1993: 15). This perspective rejected a liberal democracy based on delegation to representatives who may be controlled only at elections. Movements affirm that citizens, naturally interested in politics, must directly assume the task of intervening in political decisions. As carriers of a participatory conception of democracy, new social movements also criticize the monopoly of mediation through mass parties and on a corporatist-style organization of interests. In its place they work to shift policymaking towards

more visible and controllable places. Democracy as self-management informs social movements in this period.

In part, these conceptions did penetrate the democratic state through reforms that widened participation—in factories and in local areas, but also through the political recognition of movement organizations and the ‘right to dissent’. Beginning in the 1960s, real existing democracies developed by multiplying channels of participation, and by widening the civil, political, and social rights that made that participation possible.

This evolution has been neither linear nor peaceful: rights to participation were affirmed through various waves of protest, with strong resistance and frequent reversals. The broadening of participation rights was also reflected in the growth in non-conventional forms of participation. The criticism of liberal democracy facilitated experimenting with other models of democracy.

The obduracy of liberal democracy. The influence and mobilization of social movements has not displaced the political dominance of liberal democracy. Contemporary challenges focused on three mechanisms widely recognized as necessary to ensuring the legitimacy of liberal democracy. First, liberal democracies need functioning political parties as actors that could implement the principles of electoral accountability. Second, majoritarian preferences need a nation-state to define the border of the *demos* in whose name (and interest) decisions are made. Third, and more subtly, even though liberal democracy did not equate to social equality, it relied upon the assumption that political equality would reduce social inequality. Without this expectation, liberal democracies risked subverting the principle of free access to political rights. The liberal form of democracy operates in contexts displaying three characteristics: well-established welfare states, party democracies, and the full sovereignty of the nation-state.

Neoliberal pressures. At the turn of the millennium, these conditions were challenged by neoliberal rationalized globalization and other general evolutions in contemporary democracies. These trends shifted power from parties (and representative institutions) to the executive; from the nation-state to international governmental organizations (IGOs); and from the state to the market, which also prompted a shift from welfare state to warfare state.

While the weakening of political parties, nation-states, and welfare states challenge the liberal conception of democracy, they might have produced some opportunities (at least, discursive ones) for other conception of democracies, As Pierre Rosanvallon has suggested, ‘In the historical evolution of democracy, near to the growth of institutions of electoral accountability, there has been the consolidation of a circuit of oversight anchored outside of state institutions.’ This second conception of sovereignty, Rosanvallon concludes, ‘found its incarnation in growing societal powers of sanction and prevention. In fact, the understanding of democratic experiences requires the consideration, at

the same time, of the “functions and dysfunctions” of electoral representative institutions, but also of the organization of distrust’ (Rosanvallon 2006: 8).

One key question therefore is if and how are social movements (especially progressive ones) able to have effects within changed political systems? In other words, do the post-democratic conditions developed with neoliberalism jeopardize the activities of social movements (Crouch 2004), or are they able to find ways to exploit the new conditions? Have social movements demonstrated the capacity to address the crisis of neoliberal policies as reflected in the financial crisis, and to the related legitimacy crisis of political institutions (della Porta 2015).

I discuss these questions by focusing on how social movements developed conceptions and practices of democracy in two moments of what, borrowing Polanyi’s seminal term, we can consider a second Great Transformation: firstly, when the dominance of the free market over social protection peaked at the beginning of the twenty-first century; and secondly its crisis (but not demise) after 2008. For the discussion I draw on my research on the global justice movement at the beginning of the millennium and on the experience of the anti-austerity protests at the peak of the post-2008 crisis. The empirical research, covering several European countries, is based on movement documents, protest event analysis, and interviews with activists (for more details, see della Porta 2009a, 2009b, 2015). I assign one section to each wave of protest, concluding with some reflections on the potential effects of protests in times of austerity.

THE GLOBAL JUSTICE MOVEMENT FOR ANOTHER DEMOCRACY

At the turn of the millennium, progressive social movements developed a conception of democracy simultaneously deliberative and participatory, with a stress on values such as equality, inclusiveness, transparency, but equally of consensus and high-quality discussion (della Porta 2013). The social movement promoting global justice prioritizes a deliberative model of participation. While a participatory emphasis featured in the left-libertarian movements of the 1960s and the following decades, social movement activists have been also aware of the difficulties of implementing direct democracy. In the global justice movement, which became visible with the mobilizations against the World Trade Organization (WTO) in Seattle in 1999, characteristics like network organizational structures, plural identities, and the presence of a varied repertoire were intertwined with a transnational dimension (della Porta 2007). A plurality of networks active on a variety of issues participated

in the protests, including in their ranks organizations and activists with experience in previous movements. New communication technologies—first and foremost the Internet—not only reduced the costs of mobilization, allowing streamlined and flexible structures, but advantaged transnational interaction between different areas and movements. The social forums represented attempts to create open spaces for meetings of different individuals and groups (della Porta 2009b).

Network relationships. Early social movements typically had some sort of network structure. But the global justice movement emphasized this sort of structure more purposefully, building ‘networks of networks’. The anti-globalization activists were rooted in a dense network of associations, from Catholic to ecologist associations, from social volunteering to trade unions, from the defence of human rights to women’s liberation, often with overlapping memberships (della Porta et al. 2006, 2009b, see also della Porta and Caiani 2009). The formation of trans-thematic and transnational networks came about ‘in action’, along with a widening of collective action repertoires.

Interviews with activists show a pride in this ‘plurality of the movement’, and in the strength achieved in its networking associations and individuals. Networking brought together ‘many situations...that in previous years, especially the last ten, did not come together enough, met around big issues for very short periods, always with a highly emotional impetus, while instead this is, I feel, the first experience I have had in such an alive way of contact and networking where the fact of being in contact and in a network is one of the most important factors...this is the positive thing...the value of the Social Forums’ (Del Giorgio 2002: 89). The network logic helped bridge divisive issues. In different countries the separate concerns of different movements were connected in a lengthy, although not very visible, process of mobilization. The global justice movement developed from protest campaigns around ‘broker issues’ that tied together concerns of different movements and organizations.

In transnational protests, issues about the environment, women’s rights, peace, and social inequalities characterize the subgroups or networks involved in the globalization mobilization. The definition of a ‘movement of movements’ underlines the survival of specific claims, and the non-subordination of one conflict in relation to others. The multiple social bases and identities emerged as composites resting variously in class, gender, generation, race, and religion. In different campaigns, counter-summits and social forums, fragments of diverse cultures—secular and religious, radical and reformist, of young and old generations—tangle together in a wider discourse girded by the theme of social (and global) injustice; this commonality did not preclude leaving plenty of space for deeper discussions of different themes. At the

transnational level, local and global concerns have been connected to values such as equality, justice, human rights, and environmental protection.

Platforms, forums, coalitions, and networks facilitate reciprocal knowledge and understanding. Even with an emphasis on pluralism and diversity, in the movement's discourse a *master frame* developed around the claim for global justice and another democracy. In parallel, the enemy has been identified in neoliberal globalization, which informed not only the policies of international financial institutions (the World Bank, the International Monetary Fund, and the WTO) but also the political choices of national right-wing parties and also left-wing governments. These actors are blamed for growing social injustice, and its negative effects on women, the environment, and the global South. Next to social injustice, a common base is the search for new forms of democracy. The traditional legitimization of democracy through electoral accountability is challenged by the development of global governance institutions, but also by the perceived decline in state intervention as a consequence of a global economy. Perceived as hostile to the movement's claims, parties are criticized as the carriers of a limited and exclusive conception of politics (and democracy). Distrust of parties reflects the perception shared by some activists that 'politics from below'—participatory and deliberative—is a viable alternative to the conception of politics represented by the parties (della Porta et al. 2006).

As a social movement, the groups linked to the global justice movement featured a key innovation. This was the positive reference (often embodied in organizational principles) to consensual decision-making. In the global justice movement, consensual methods spread transnationally, in particular thanks to the symbolic impact and concrete networks built around the Zapatistas experience (Starr et al. 2011), and to the successive adoption of consensual principles and practices in the Social Forum process.

Several organizations declared that they wanted 'to take decisions that reach the maximum consensus' (RCADE 2001); were 'committed to the principle of consensus decision making' (Indymedia 2001), and intended to experiment with 'an organizational path that favors participation, reaching consensus and achieving largely shared decisions' (Torino Social Forum 2008). Attac Germany (2001) defined itself as 'a place, where political processes of learning and experiences are made possible; in which the various streams of progressive politics discuss with each other, in order to find a common capacity of action together'. Among the groups most committed to experimentation with consensual methods, rules were developed to facilitate horizontal communication and conflict management: 'Consensus tools' included 'good facilitation, various hand signals, go-rounds and the breaking up into small and larger sized groups'. These should be 'explained by the facilitator at the start of each discussion, but if you wish to know more about how we are using them please contact members of the process group at this gathering' (Dissent! A Network

of Resistance against the G8 2008). Facilitators or moderators were used (for instance, in the Italian Rete Lilliput and the British Rising Tide), to include all points of view in the discussion as well as implementing rules for good discussion, advancing from the (limited) time allocated to each speaker to the maintenance of a constructive climate (della Porta et al. 2006: 53–4). Attention to consensus methods as a way to improve communication resonated with the widespread aim of building public spaces for dialogue and (good) communication. From the normative point of view, the assumption was that ‘the practices of consensus-seeking strengthen bonds, trust, communication and understanding. On the other hand, decision-making based on voting creates power blocks, power games, and hegemonic strategies, excluded and included, hierarchies, thus reproducing the same kind of social relations we are opposing’ (London Social Forum 2003).

PROTESTS AGAINST AUSTERITY AND THE CALL FOR ‘REAL DEMOCRACY’

Conceptions of democracy which developed from within the Global Justice Movements were in part adopted, in part adapted, and in part challenged by a wave of protest that started in 2011 with the Arab Spring, moving then, with the so-called Indignados to Southern Europe in May and then, in the summer, to the core of neoliberal capitalism, with Occupy Wall Street. In 2012 and 2013, several movements in various countries—for instance, at Istanbul’s Gezi Park—imported frames of analysis and repertoires of action for their anti-austerity tendencies.

Interpreting the Arab Spring as merely a call for representative institutions is misleading and too limited. The protestors in the Tahrir Square were calling for freedom, but also practicing other conceptions of democracy that, if not opposed, are certainly different from liberal representative democracy, resonating with ideas of participatory and deliberative democracy.

Not without coincidence when the ideas of the Arab Spring spread from the Middle East and North Africa region to Europe, they were adopted and adapted by social movements that challenged representative democracy. Directly inspired by the Arab Spring, the Spanish and then Greek Indignados occupied hundreds of squares to protest against austerity measures in their respective countries, but also to demand responses to the crisis of democratic representative institutions. Austerity measures in Iceland, Ireland, Greece, Portugal, and Spain were in fact met with long-lasting, mass protests ‘Democracia real ya!’ was the main slogan of the Spanish Indignados protesters that occupied the Placa del Sol in Madrid, the Placa de Catalunya in Barcelona, and hundreds of squares in the rest of the country from 15 May 2011, demanding

different social and economic policies and greater citizen participation in their formulation and implementation.

Preceding the Spanish example, self-convened citizens in Iceland had demanded the resignation of the government and its delegates in the Central Bank and financial authority between the end of 2008 and the beginning of the following year, while in Portugal a demonstration arranged via Facebook in March 2011 brought more than 200,000 young Portuguese people to the streets. The Indignados protests in turn inspired protest mobilization in Greece, where opposition to austerity measures had already been expressed in occasionally violent forms. It moved then, as we saw at the beginning of this chapter, to the US and beyond.

The meaning of democracy was, in all these protests, contested. Stats confronted crises of institutional arrangement and policy content. Neoliberalism, in fact, is a political doctrine that foresees not only the reduction of political interventions oriented to balance the market (and subsequent privatization and deregulation), but also an elitist conception of citizen participation (electoral principally), and an increased level of influence for lobbies and strong interests. The evident crisis of a liberal conception and practice of democracy fuels movements in European states who oppose a neoliberal solution to the financial crisis, which protest leaders accuse of further depressing consumption and thereby jeopardizing any prospects for development (whether sustainable or not).

Accused by the left of being apolitical or populist and by the right of being extreme leftists, these movements have in reality put the 'meta-question' of democracy at the centre of their action. The Indignados' discourse on democracy is well articulated, with criticisms of the decreasing quality of representative democracies, but also proposals inspired by other democratic elements than representation. These proposals resonate with (more traditional) participatory visions, but also with new deliberative conceptions that underline the importance of creating multiple public spaces, egalitarian but plural.

Above all, protestors criticize the shortcomings of representative democracies. With declining trust in the ability of parties to channel emerging demands into the political system, a sense of crisis hangs over representative institutions. Beginning in Iceland, and moving to Spain and Portugal, protests stigmatized the corruption of the political class, seen in both bribes (the dismissal of corrupt people from institution is called for), and in the privileges granted to lobbies and common interests shared by public institutions and economic (often financial) powers. It is to this corruption of democracy that much of the responsibility for the economic crisis, and the inability to manage it, is attributed. The state is fundamentally corrupt and bereft of legitimacy. The rapid rise of the Ciudadanos and Podemos parties/movements in Spain capture this fundamental anti-corruption motif.

Beyond the condemnation of corruption, the slogan ‘they don’t represent us’ also expresses a deeper criticism of the condition of representative democracy, linked in turn to elected politicians’ failure to ‘do politics’. The latter are in fact often united in creating an image suggesting that no alternatives are available—an image that protesters do not accept. In Spain in particular, the movement asked for proportional reforms to the electoral law, denouncing the reduced weight given to citizen participation inherent to the majority system, where the main political parties tend to form cartels and electors see their choices limited.

Anti-austerity protesters criticize representative democracy for permitting the abduction of democracy, not only by financial powers, but also by international organizations, above all the International Monetary Fund and the European Union. Pacts for the euro and stability, imposed in exchange for loans, are judged to be anti-constitutional forms of blackmail, which deprive citizens of their sovereignty. Among other proposals for restoring the importance of citizens are those that call for direct democracy, and which give electors the possibility of expressing their opinions on the biggest economic and social choices. In response, new social movements want more referenda, with reduced quorums (for signatures and electors) and increased thematic areas subject to decisions through referenda.

But there is also another vision of democracy that is prefigured by the very same Indignados that occupy squares, transforming them into public spheres made up of ‘normal citizens’. It is an attempt to create high-quality discursive democracy. Such a discourse acknowledges the equal rights of all (not only delegates and experts) to speak (and to accord respect) in a public and plural space, open to discussion and deliberation on general and personal themes.

Participatory and deliberative forms of democracy were experienced during these protests. In Spain, as elsewhere, open public spaces facilitated the creation of intense ties. Postill (2012) vividly recalls, ‘the strong sense of connection to the strangers I spoke to during that fleeting moment... Many participants later reported a range of psychosomatic reactions such as goose bumps (*carne de gallina*) or tears of joy. I felt as if a switch had been turned on, a gestalt switch, and I had now awakened to a new political reality. I was no longer merely a participant observer of the movement, I was the movement’.

The assemblies in the encampments were described by activists as ‘primarily a massive, transparent exercise in direct democracy’, that allowed participants to ‘feel part of the movement because we contribute to creating it, spreading it, growing it; Internet user and indignado are one and the same person’ (@galapita and @hibai 2011, cited in Postill 2012).

Similarly, when Occupy Wall Street started in the United States, and then copied in other American cities, the concern voiced by the protestors pointed at the failure of democratic governments to live up to the expectation of their citizens. Their very democratic quality was disputed. Occupations were not

only occasions to protest but became occasions also for experiments in participatory and deliberative forms of democracy. The style that dominated the Occupying Wall Street movement included an emphasis on respect for others, through listening and inclusivity. A consensual, horizontal decision-making process developed, based on the continuous formation of small groups, that then reconvened in the larger assembly. Also here, the occupations were defined as ‘vibrant sites of human interaction that modeled alternative communities and generated intense feeling of solidarity’ (Juris 2012: 268).

Deliberative democracy is different from representative democracy. The latter is based on the principle of majority decisions. For deliberative democracy, quality is measured by the possibility to elaborate ideas within discursive, open, and public arenas, where citizens play an active role in identifying problems, but also in elaborating possible solutions.

WILL NEW SOCIAL MOVEMENTS CHANGE THE STATE?

Historically social movements played a transformative role in the European state. Organized labour fought, with some success, for an inclusive and broad conception of citizens’ rights, including social ones. Strong unions exercised pressure through protest (and the threat thereof), while parties linked to labour channelled those demands. As Wolfgang Streeck recently noticed, ‘in the late 1960s we tried to convince ourselves that we were seeing... a gradual transition to democratic socialism, to be accomplished by politicized trade unions pressured by their rank-and-file and acting in concern with stronger-than-ever Social-Democratic or Eurocommunist political parties’ (2014: 45).

The question to be asked now is can these new social movements affect the evolution of neoliberal states in a period of crisis. The weakening social base of the labour movement limits its capacity to build a strong collective identity. The dominance of neoliberal ideas institutionally and politically doesn’t leave much oppositional space for anti-austerity protesters. In the face of increasing inequalities, growing impoverishment and declining income security, trust in political institutions has declined. In Wolfgang Streeck’s (2014) prediction, capitalism without opposition can paradoxically die as the victim of its own greed. But opposition persists. At the moment, these waves of protest have placed new topics on the agenda, resonating with public opinion, but with limited political effects. None of the austerity measures in Spain, Portugal, Italy, Greece, or Ireland have been changed despite marches against them.

The social movements analysed in this chapter focused on neoliberal developments. The Global Justice Movement warned about growing inequalities and their potential effect in terms of depressing the economy or delegitimizing the political institutions. The anti-austerity protesters criticized the corruption of the state and the betrayal of state duties towards citizens, claiming the right to housing, jobs, education, and health as fundamental rights for citizens. They argue for social protection and ‘real democracy’. Were they successful? Or even, do they have any chance of being successful as a sort of Polanyi’s countermovement, reducing the power of the free market and returning to a welfare state?

Protests have socialized a new generation into politics—the one potentially hardest hit by the consequences of neoliberalism—as well as many, formerly apolitical, people affected by the crisis. Participation in the collective mobilization might in itself have given dignity to some of those many citizens whom austerity measures have left, not only without basic human rights—such as housing, food, health—but even, as activists claim, politically disenfranchized. Faced with the stigma of unemployment, homelessness, and/or having to repay unpayable debts, the movement discourse offers these people the opportunity to shift the blame from the individual to the system.

Not only have protests been powerful sites of political socialization. They have socialized participants to democratic politics. Against the xenophobic and elitist discourse of the populist right (Kriesi et al. 2012), anti-austerity movements offer a discourse of solidarity and inclusion. By using deliberative and participatory forms of democracy, they show that democracy has not just one meaning, but can be the basis for wider citizen engagement.

Their discourse has spread. Movements against austerity have been supported by public opinion. To take the Spanish example, as many as two-thirds of the citizens declared sympathy for the Indignados, and 80 per cent of the population asked their government to open a dialogue with them. In the United States, about 60 per cent of the citizens declared themselves in favour of progressive economic reforms in order to reduce disparities in wealth (Gitlin 2012). Resonating with general sentiments, the anti-austerity movements have thus been able to influence public opinion. Similar trends have been noted in Greece (Ruedig and Karyotis 2013). As Stiglitz noted, ‘in some ways, the protestors have already accomplished a great deal: think tanks, government agencies, and the media have confirmed their allegations, of the high and unjustifiable level of inequality, the failure of the market system’ (2012: 21).

The protestors’ mistrust of traditional politics resonates with voters in those countries most hit by the austerity measures. Suffice it to say that, with a general decline in trust in the second half of the 2000s—with about two-thirds of citizens dissatisfied by the performance of their governments—displeasure with the functioning of democracy was reported by two-thirds of Spanish voters in 2011, a marked rise on 2007 (when 42 per cent were dissatisfied).

Trust in Spanish parties declined to about one-third of the population, from about half in 2001 (Iglesias 2012).

Social movements were able to affect institutions through various experiments in deliberation and participation (Starr et al. 2011). The Global Justice Movement adopted and adapted principles of rotation, consensus building, and the use of mediators and autonomy which had been promoted by social movements such as the Zapatistas or the Sem Tierra (Starr et al. 2011). 'Interactive policy-making' has developed, defined as the 'political practices that involve consultation, negotiation and/or deliberation between government, associations from civil society and individual citizens' (Akkerman et al. 2004: 83). But participatory decision-making processes continue to be more the exception than the rule (Font 2003: 14), they are increasingly utilized (Lowndes et al. 2001). Even though the intensity of participation, its duration, and influence, varies greatly, the rise of these new mechanisms show the inadequacy of a merely representative conception of democracy. Here we find, intertwined in different combinations, the objectives of improving managerial capacities, through greater transparency and the circulation of information, but also of transforming social relations, reconstructing social ties and trust, and, from the political point of view, of 'democratising democracy' (Bacqué et al. 2005, Fonts et al. 2014).

There are important resources for those who want to save democracy, linking political rights to civic and social rights. Some problems are nevertheless open, and difficult to address through movement politics alone.

First, protests have attracted significant numbers, but fail to translate this enthusiasm into mobilizing capacity. Prefiguring new forms of democracy is not that easy: consensual decision-making takes time, assemblies can be frustrating, participation goes in waves, and material needs often win over solidarity and public commitment.

Second, the anti-austerity front is often divided. Forms of protest such as *acampadas* have spread transnationally, but in a selective way (Roos and Oikonomakis 2014): from Spain to Greece and the United States, but not in the United Kingdom, France, Germany, or even Italy or Portugal. If the intensity of the economic crisis can explain non-diffusion in, for example, Germany or France, in the Italian and Portuguese cases one should point instead at weak horizontal organizational formats in the movement culture (e.g. Zamponi 2013). Additionally, even in Spain, Greece, or the United States, anti-austerity protests have often taken other, more traditional forms, led by unions and other associations, which have rarely converged with the *acampadas* groups. Organizational divergences have made coalition building difficult, notwithstanding compatible substantial demands.

Finally, the *acampadas* are by definition short-lived, even if they prompt the development of important spin-off movements—as, in Spain, the local assemblies that continued protests in popular neighbourhoods, the 'coloured tides'

(*mareas*) that mobilized workers of public services, as well as 'strong cultures of solidarities and creative alternative economies' (Flesher Fominaya 2014: 188).

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Assimilation, Security, and Borders in the Member States

*Desmond King, Patrick Le Galès,
and Tommaso Vitale*

Territory-making and border control are fundamental state-making activities. Frontiers, and their surveillance and management, define the territorial base of a state, and help differentiate states from other states. With the end of the religious wars and the Westphalia peace treaty, European states engaged in territorial unification to end feudal autonomy, provided basic services and collective goods for the resident population, and established relations with other emerging nation-states (Pizzorno 2010, Huber et al. 2015).

The control of migrant flows was not a decisive function for European nation-states until the end of the nineteenth century (Tilly 1990, Lucassen 2005). Across the nineteenth and twentieth centuries, European states began to document migrants' individual identities and to implement frontier controls, activities complemented in international coordination of information and policing (About 2014). Passports and other identification papers became standard tools of movement from the middle of the twentieth century, as did systems of registration by foreigners. The abolition of internal frontiers in the European Union made border control between EU and non-EU countries a sharper demarcation of state boundaries (Recchi 2015), overlaying serious tensions between Western and Eastern EU states (Casella-Colombeau and Vitale 2015). Historically, European modernity was characterized by outward migration and state border controls developed especially to control exit strategy and to limit the loss of population (Rokkan 1999). In the contemporary period, the question of state borders has been made salient by mass migration and more recently by terrorist attacks.

The mobilization of European-born citizens as Islamic extremists draws attention to the relative success of the USA and Canada in assimilating new immigrants and their offspring. These developments are discussed in this

chapter with reference to immigration integration and assimilation, and the migration and security challenge to European state borders.

CRISES, STATES, AND ASSIMILATION

Self-regarding and indeed self-celebratory as immigrant societies, the US and Canadian models of immigrant assimilation differ, the former a melting pot achieved through the socialization of children in schools, the latter encouraging many cultures to endure (King 2000). Each model has proved capable to absorbing the integration of millions of arrivals and their children (Vigdor 2011). The contrast with 'Europe's angry Muslims' (Buruma 2006, Leiken 2012) is striking, and helps protect North America from the scale of home-grown Islamic extremists confronting European states. Measured on the four criteria of marital status, employment status, homeownership, and citizenship, assimilation in Canada and the US are the highest among advanced democracies. In contrast, most European societies make citizenship and work difficult for new immigrants, which hinders assimilation. Germany for instance was slow to grant the right to naturalize as Germans to the children of Turkish guest workers born in Germany (Hirschfeld 2015). In 2006, Germany tried to end these ambiguities with a set of measures, not dissimilar to those now operating in the UK, which stipulated that aspirant citizens needed to pass a language test, participate in an 'integration course' about the German Basic Law and German values, and then a citizenship ceremony on receipt of the passport.

The European Experience

There are unfavourable contrasts with state policy in many European states. In France, ten years after riots following the death of two youngsters in the poorest state of the periphery of Paris, and despite significant economic investment (Bleich et al. 2010: 286–9), almost 40 per cent of households in these neighbourhoods live below the poverty line, and youth unemployment for French born children of north African immigrants is higher than that of other French youth. Many immigrants and their children report experiencing discrimination. Audit tests using CVs with similar levels of achievement but names identifiable of different ethnic backgrounds uncover employer discrimination not just in France but in Sweden, Germany, and other Western countries (Dancygier 2010, 2014, Dancygier and Donnelly 2013, Dancygier and Laitin 2014: 46). Fifteen years after a major report (the Cattle 2001) on ethnic segregation in British cities, a leading Labour Party observer commented despairingly that the 'lessons' of

the study of the causes of rioting (in 2001) have ‘yet to be learned’, and that ‘Britain has become a more ethnically segmented nation’ (Umunna 2016).

Anthropologist Robert Leiken (2005, 2012) stresses economic marginalization and ghettoization of Muslim immigrants rather than religious disjuncture as determinants of discontent and alienation among young Muslim men. It has produced a generation of what he calls ‘marginal men’ switched off from their parents’ culture and country but feeling askance towards the European states in which they reside. For some of these marginal men a radicalization through Saudi Arabian funded and fanned radical Salafism (sometimes in mosques) has appalling consequences for their non-Muslim fellow citizens. From Leiken’s research in the case of France for example, it is the physical alienation of life in the peripheral poor estates which becomes the basis for rioting and for some the embrace of a killing-focused anti-Western radical Islamism (Rubin 2016).

The colonizing legacy feeds directly into policy crises about immigration, minority communities’ rights, and such issues as secular versus religious values now festering in European states. The effects of this narrow definition of membership have been expressed starkly since the 1980s as tens of thousands of former colonial citizens moved to European Union countries where their children often felt alienated in and disaffected from the nation-states in which they grew up and live.

State Models of Assimilation

European states have not developed effective policy for assimilation and integration (Guiraudon 2000, Hainmueller and Hiscox 2007, Hainmueller and Hopkins 2014). It is a core governance activity and a mechanism through which states shape new members’ values and build a multiethnic society. Different models for assimilation are on evidence in European states (Joppke 2007). The French state denies distinctions among citizens and permanent residents, until recently excluding categories of race or ethnicity from census or other official classifications, and presents education and employment as a means of assimilation for everyone on a common basis. In practice, segregated housing renders being Muslim or non-white highly visible and distinguishing, and many of the recent terrorism perpetrators (such as the Kouachi brothers who murdered the *Charlie Hebdo* staff) were French.

The British model of assimilation is termed ‘multicultural’, in that it allows the persistence of distinct ethnic practices in communities and some strongly identified national groupings to maintain their commitment to a former (or aspired to) country while resident in Britain. Critics of this implicit multicultural state policy pointed to communities in northern cities which

transformed into single ethnic enclaves, and to the lack of a commitment to common values or sense of nationhood. A report commissioned after riots in northern English cities in 2000 reached damning conclusions about the ghettoization of urban areas:

whilst the physical segregation of housing estates and inner city areas came as no surprise, the team was particularly struck by the depth of polarization of our towns and cities... Separate educational arrangements, community and voluntary bodies, employment, places of worship, language, social and cultural networks, means that many communities operate on the basis of *a series of parallel lives*. These lives often do not seem to touch at any point, let alone overlap and promote any meaningful interchanges. (Cantle 2001: 9, emphasis added)

The Cantle Review advocated local community cohesion plans forging social capital and much greater cross-cultural contact. But four years later, one former chair of the Commission for Racial Equality, Trevor Phillips, drew media headlines in 2005 when he openly worried about the UK 'sleepwalking into segregation' (Phillips 2005); he aired the same fears ten years later in a media-grabbing report (Phillips 2016). The state has responded with new citizenship/Britishness tests for naturalizing aliens seeking to become citizens. But many of the problems of 'parallel lives' identified in the Cantle Report persist, particularly in cities outside London. It is too crude to reduce these separations to religious sources; they overlap and interact equally with economic marginalization and reflect the absence of sustained investment and development in the regional economy. Casey (2016) highlights persisting weak ethnic integration.

Radicalization or Integration?

The general point of Leiken's and other scholars' research is to show how jihadist networks spread into European states through European-born converts holding European passports, socialized against the secular European state, and since 2014 emboldened and abetted by strategists located in the Islamic caliphate state in Syria and Iraq. The Islamic State aims to polarize communities in European states, and by perpetrating savage acts of violence to provoke extreme counter-state reactions against innocent Muslim Europeans, thereby radicalizing more and more members of this community (such a strategy is not novel—many terrorist groups have pursued a comparable one since the 1960s). As well as attracting recruits from Western states to fight in the Middle East, control of social media enables the radical Islamists directly to radicalize and galvanize Muslims resident in European states to murderous acts. The deadly actions in Paris, London, Madrid, Lyon, Copenhagen, Barcelona, Amsterdam, and Brussels, among others, are not random (though mostly uncoordinated) but part of this strategy to force repressive measures

towards Muslims by European states (and also to try to get Western military forces to withdraw from the Middle East).

The home-grown terrorist problem is weaker in the US, as fewer Americans have made their way to the Middle East to become jihadists in the Islamic state. The FBI calculates that, by September 2015, of over 25,000 foreign fighters about 4,500 were Westerners, and of these about 250 were from the US. Returned jihadists both pose a threat of committing violence and act as recruiters for and indoctrinators of other young men.

But home-grown terrorism is a major issue for European states. The murderer (Mohammed Bouyeri) in Amsterdam of the filmmaker Theo van Gogh, in 2004, was a Dutch Muslim of Moroccan descent, socialized in Europe and economically marginal in a standard way, though not from a deprived background (Buruma 2006). Muslim immigrants and their Dutch-born children constitute 1 million of the country's 16 million population and many, like Bouyeri, benefitted from a capacious state responding to specific religious demands—modifying his parents' apartment, for instance, so that as required in Islamic custom women could enter and exit the kitchen unseen (Buruma 2006).

This modification of course is an accommodation by a European state to a religious dictum difficult to reconcile with a secular state, nominally ruling in everyone's interest and exercising public authority to avoid favouring a particular group, religious or otherwise. Robert Leiken's assessment of the van Gogh murder is in retrospect prescient: the killing marked a 'new phase in the terrorist threat. It raised the spectre of Middle East-style political assassinations as part of the European jihadist arsenal and it disclosed a new source of danger: unknown individuals among Europe's own Muslims.' He continues: 'the cell in Hamburg that was connected to the attack of September 11, 2001, was composed of student visitors, and the Madrid train bombings of March 2004 were committed by Moroccan immigrants. But van Gogh's killer and his associates were born and raised in Europe' (2005: 7; and see Kuper 2007). The Paris attacks on 13 November 2015, signal a further stage in the threat to European states since the terrorists combined French and Belgian nationals, joined by Islamic State (IS) operatives entering Europe through Greece by mixing in with the migrant masses, and took actions orchestrated from the IS-controlled Syrian city of Raqqa (Callimachi et al. 2015, Mekhennet and Booth 2015).

A Secular State or a Revival of Lipset and Rokkan's (1967) Church–State Cleavage?

No wonder the sociologist Christian Joppke entitles his new book *The Secular State under Siege*, and contends that 'Islam stipulates a unity of religion and politics, creedal and civic affiliations, which constitutes specific hurdles for

integrating it in a secular state' (2015: 129). Yet millions of Muslim believers coexist with the rule of law in their European states, so the scale of disaffection and conflict may be unduly exaggerated by the scale of mayhem achieved by murderous individuals. The scale of coexistence is conveyed in data about the percentage of Muslims compared to other religious groups in European nation-states. Taking data for 2011 (Madeley 2012), the percentage of Muslims by country are: Austria (4.2 per cent), Belgium (4 per cent), Bulgaria (12.2 per cent), Croatia (1.3 per cent), Cyprus (0.78 per cent in Greek Cyprus, 99 per cent in Northern Cyprus), Czech Republic (0.1 per cent), Denmark (2 per cent), Estonia (0 per cent), Finland (0 per cent), France (10 per cent), Germany (3.7 per cent), Greece (1.3 per cent), Hungary (0 per cent), Ireland (1 per cent), Italy (0 per cent), Kosovo (90 per cent), Latvia (0 per cent), Lithuania (0 per cent), Luxembourg (0 per cent), Macedonia (33.3 per cent), Malta (0 per cent), Montenegro (17.7 per cent), Netherlands (5.8 per cent), Norway (1.8 per cent), Poland (0 per cent), Portugal (0 per cent), Romania (0 per cent), Serbia (3.2 per cent), Slovakia (0 per cent), Spain (1 per cent), Sweden (1 per cent), Switzerland (0 per cent), Turkey (98.8 per cent), and UK (2.7 per cent). These numbers will have changed since 2011, especially following the mass movement of displaced people from 2015.

There is coexistence and accommodation between European states and daily Islamic practices, though for many populist defenders of the secular state in Europe, such as France's Marine-Le-Pen-led Front National or the Swedish Democrats, such accommodations are part of a slippery slope eroding secularism. These critics, citing doctrine and statements, see in Islam a culture and religion fundamentally opposed to or against Western secularism, which makes nominal accommodation or compromise not simply a dialogue of the deaf but a dialogue of the militant, sometimes violent, adversary against the legally constrained, democratic committed, and human rights-protecting enemy. Reviewing varying models of state-Muslim relationships in Western states the Yale political scientist Andrew March highlights the 'temporary modus vivendi model', according to which 'theocrats might see themselves as forming a pious opposition to the state with no permanent, principled commitment to self-restraint in implementing its own comprehensive theocratic system' (March 2011: 31, and see March 2007 and Joppke 2015). In practical politics it is the jihadist version of Islam doctrine which is arguably triumphing in terms of both becoming a source of terrorism and crowding out perceptions of the non-extremist Muslim community in European states. Many writers and public intellectuals warn of the dangerous spread of militant Islamic fanaticism among European Muslims (Hirsi Ali 2007, Husain 2007), while others conclude that the malign anti-Western sentiment is already mobilizing young men: 'the very isolation of these diaspora communities obscures their inner workings, allowing mujahedeen to fundraise, prepare, and recruit for jihad with a freedom available in few Muslim countries' (Leiken

2005: 5). And as many commentators note, home-grown terrorists throughout European states rarely come from especially economically deprived backgrounds or are uneducated. Neither the four suicide bombers behind the 7/7 London Underground bombs in 2007, nor the murderer of van Gogh in Amsterdam, lacked education.

The problematic implication for European states' maintenance of the rule of law and individual rights with respect to women and non-believers is a constant pressure on the Weberian European state as a defender of individual rights: the Dutch public intellectual Ayaan Hirsi Ali received death threats for speaking about the Islamic treatment of women. The scale of the threats led her eventually to leave the Netherlands despite state-guaranteed around-the-clock protection and her status as a former elected member of the Dutch parliament (Chrisafis 2008). Germany's Chancellor Angela Merkel unexpectedly called for a ban on the Islamic full veil for women in public.

However, Joppke still cautions that in practice the challenge to liberal state institutions from the growth of Muslim communities in European states has been 'one in principle...but very little in reality'. And he is struck by the absence of 'constitutional change in Europe' induced by its Muslim citizens, concluding that compared to the effects of America's Christian Right on US politics, 'Islam has been a lesser challenge to the secular state in the West' (2015: 171). State reconfiguration is less than might have been anticipated. So while the theology and ideology of Islam and European Muslim observance is all about opposing the Western state and resistance to integration into secular institutions, these values and beliefs have not yet chipped through to constitutional and legal practices or rights in this view. The European state is challenged but unbowed. It has not yet returned to the Lipset and Rokkan (1967) church-state cleavage.

Such conclusions are strengthened by public opinion data about the practices of Muslims in Europe. One survey of French Muslims in 2011 found that 40 per cent called themselves observant of their religion and only 25 per cent attended Friday prayers, while close to 70 per cent of observant women never wore the hijab (Malik 2015). The same survey reported that only a third of practising Muslims would forbid their daughter from marrying outside the faith, and almost 80 per cent believed that women should have equal rights. Further, as many commentators have observed, it is not attendance at mosques but intensive exposure to extremist Internet sites that radicalizes home-grown terrorists. However, immigrant Muslims may consider themselves to be transient and able temporarily to forgo the duty to attend weekly prayers.

Joppke omits discussion of how European states' respect for minority community rights has resulted, in the view of some scholars, in excessive deference towards such customs as arranged marriages, and until recently turning a blind eye to the horrors of female genital mutilation on young women (Wikan 2002). The Pew Center's survey from 2006 reports strained relations between Westerners and Muslims though much more with respect to

Muslim countries than to internal European state relations. In European states, the survey found that Muslim respondents recognized that Westerners are more respectful of women than their own community is. But the division between respondents finding relations between Muslims and Westerners to be either generally good or generally bad gives no grounds for complacency: Germany (23 per cent generally good, 70 per cent generally bad); France (33 per cent versus 66 per cent), Spain (14 per cent versus 61 per cent), and Britain (28 per cent versus 61 per cent). Nor do the respondent who are Muslims in European states convey optimism: among British Muslims 23 per cent consider relations generally good, 62 per cent generally bad, German Muslims 29 per cent versus 60 per cent, French Muslims 41 per cent versus 48 per cent, and Spanish Muslims 48 per cent versus 23 per cent (Pew Global Attitudes Project 2006: 1). The surveys find that while Europeans see a conflict between devout religious observance and living in a modern society, the majority of Muslims in Germany, Spain, and France don't hold this view (Pew Global Attitudes Project 2006: 2).

This global survey reports another trend of concern for European states engaged in public order and security: in Middle Eastern and Muslim-majority countries, those blaming Westerners for their problems is high, combined with hostility towards the West.

In European states, the symbolic opposition has been racial (hostility to non-whites in several countries) and religious (suspicion of Muslims). None of the European states have historically conceived of themselves as immigrant societies (despite often having experienced high immigration numbers in the past such as the case with France), in the way that so-called settler societies like the US, Canada, Australia, and New Zealand construct a national narrative of being built in part by immigrants (a narrative which until recently gave little attention to displaced indigenous peoples or the presence of involuntary immigrants kidnapped as slaves). Despite stemming from imperial relationships of metropolitan and peripheral systems, post-1950s European states' receipt, incorporation, and anxiety about immigrant communities is framed in cultures unaccustomed to recognizing such global linkages or to integrating on a systematic basis. The fact that Britain could still pass legislation entitled 'race relations' laws in the 1960s captures the scale of unpreparedness of European states used to drawing in immigrant workers on a labour-shortage basis, but failing to anticipate that migrants often settle rather than return to their previous country, expect to be included in standard laws and rights, and to grow families with new expectations about integration and participation.

Many analyses and much rhetoric about the unique challenge the presence of Muslim communities pose to the modern European state read as ahistorical and alarmist. European states are awash with religious differences—most obviously the Protestant–Catholic division and European anti-Semitism—and with groups seeking to change the political order through extreme violence:

notably ETA Basques or Irish Republicans. There are also many European states and regions barely held together through imaginative but ultimately segregating constitutional arrangements of representation; these include Northern Ireland (Rose 1968, Hughes 2016), the Netherlands, Belgium, and Switzerland (Lijphart 1969). It is precisely the complex institutional arrangements designed to hold these arrangements together that explain key aspects of state reconfiguring described in Chapters 6 and 13 of this volume. The federalization of the United Kingdom in the 1990s is a prime example: keeping the Union together meant devolving powers to Scotland. In this context Andrew March is quite sanguine about the likely long-term exchanges between exponents of Islamic theocracy and liberal democracy, arguing that ‘an appreciation for the capacity of theocratic doctrines to change and evolve is crucial for liberal political philosophers interested in public philosophy as a civic activity’; this appreciation also needs to recognize ‘theocratic doctrines as *traditions* which rely in large measure on integrity and continuity’ (March 2007: 80–1, emphasis in original). Language and dialogue is necessary to this process, a step underlined by Philippe-Joseph Salazar in his book *Paroles armées* (2015).

STATE AND BORDER CONTROL

Border control in Europe has been regulated by the Schengen Agreement, a treaty initially signed in 1985 by five of the ten Central and Eastern European member states, and enhanced by the 1990 Schengen Convention which abolished internal border controls and introduced a common visa policy. Currently the Schengen Area consists of twenty-six European countries (four non-EU countries included). This agreement rules air borders, visas, police cooperation, and personal data protection, with distinct regulations for internal and external borders. It is an engine of European integration (Recchi 2015). Neither Ireland nor the UK are members.

Within the Schengen area, border posts have been closed between participating countries, because the Schengen Borders Code requires participating states to remove all obstacles to free traffic flow at internal borders. But this Europeanization is not only a matter of speedy travel and reduced controls. The free movement of individuals has created a situation of dramatic citizens’ rights extensions. Citizens of one member states may move, travel, live, study, work, and retire in any of the other states.

The freedom of movement has modified the practice of borders in European member states. This change has important consequences not only for individuals, but also for the centre–periphery cleavage, competition between Western and Eastern European Countries, as well as between Nordic and Southern Countries. The end of border control for EU citizens has dramatically increased

professional, familial, educational, friendly, financial, consumerist, and property relationships within European borders (Recchi 2015).

External Borders

The European policy of border controls does not refer only to the internal borders of Europe, and the regulation of movement for EU citizens. It is obviously related to the regulation of immigration to Europe, and to the control of the EU's external borders. The 'Dublin regime', based on the Dublin convention (1990, implemented from 1997, revised in 2003 and 2013), determines that the first member state in which fingerprints are stored or an asylum claim is lodged holds responsibility for a person's asylum claim. Asylum seekers shall not restart the process in another jurisdiction.

The Schengen Borders Code details conditions for entering Europe and a system of checks, controls, and surveillance. Coordination occurs through the EU's Frontex agency (European Agency for the Management of Operational Cooperation at the External Borders), established in 2004, one of the main 'internal governance unit' of the action field (Fligstein and McAdam 2012). It manages the coordination between member states' border guards in charge of securing external borders. It deploys Rapid Border Intervention Teams (RABIT), as well as members of the European Patrols Network. Frontex coordinated the intervention of armed border force officers on the Greece-Turkey border in October 2010. It organizes joint enforced return flights, grouping together non-EU returnees from several member states for expulsion. In terms of coordination and joint action of different member states, Frontex has designed operations intended to stop illegal immigration, such as Hermes, Poseidon, Triton (highly contested because it has superseded the Italian operation Mare Nostrum), and the system of 'hotspots' or Migration Management Support Teams, which bring together the European Asylum Support Office, Europol, and Frontex, as well as national authorities, to 'identify, screen and register migrants on entry to the EU, as well as to organize return operations for those who have no right to stay'. Offices have been opened in Sicily, as well as in four Greek islands (Chios, Kos, Lesbos, and Samos). These Teams' budgets were increased hugely by the Council in September 2015 in response to the migrant crisis.

Border surveillance authorities coordinate through the European Border Surveillance System (EUROSUR). A new European Border and Coast Guard Agency was proposed by the European Commission in December 2015, with a mandate to create a professional European body of border guards, to work alongside the border guards of each country. Control of the external borders is controlled by those member states with borders to non-EU states who receive immigrants, identifying their nationality and deciding whether to attribute

them the status of refugee or to return them to their native countries. It adjudicates the matter of who may qualify as a 'legitimate' and 'credible' refugee (Casas-Cortes et al. 2015). In 2015, the EU28 received close to 1.3 million asylum applications, more than double the number of applications in 2014 (362,775 by Syrian citizens, 178,230 from Afghanistan, and 121,535 from Iraq (Eurostat 2016), see Figure 22.1).

In 2015, 51 per cent of first-instance asylum decisions were positive, granting refugee (217,000) or subsidiary protection status (54,000), or an authorization to stay for humanitarian reasons (22,000). Rejection rates vary by country, from 9 per cent to more than 80 per cent (e.g. Germany rejected 43 per cent of applicants, from 441,800 first-time applicants), or 35 per cent of all first time applicants (Italy rejected 58 per cent, Spain 68 per cent, France 73 per cent, and Hungary 85 per cent).

Common rules govern external border checks on persons, setting entry requirements and duration of stays in the Schengen Area. Biometric features (e.g. fingerprints) are used for identification and a common Visa Information System to store data. Since 2010, common rules are in place to guide migrant return, the so called EU Return Directive, obligating EU states to either return irregular migrants or to grant them legal status. Nonetheless, evidence collected by NGOs and by the European Union's Fundamental Rights Agency (FRA) point to many situations of legal limbo—many cases of ordered removal are unenforced (Figure 22.2).

Official data for 2014 show 276,113 irregular immigrants (138 per cent higher than the number in 2013), around 626,000 non-EU citizens found to be illegally present in the EU28, (46 per cent higher than 2013), and another 470,000 non-EU citizens who were issued with an order to leave an EU member state, 36 per cent of whom were recorded as being returned to a non-EU country (168,925 individuals). Around 286,000 non-EU citizens were refused entry at the external borders, a decline of over 50 per cent compared from the figure of 635,000 recorded in 2008; 81 per cent of them were refused at a land border, 16 per cent at air borders, and just 3 per cent at sea borders. The least-affluent immigrants get to the EU by exploiting its porous land borders, which may be heavily securitized but where the possibility of crossing can still be imagined, attempted, and for a number realized. Eurostat estimates that more than a million migrants arrived in Europe by sea last year (2015), with 3,771 people recorded dead or missing.

The countries with the highest number refused entry are Morocco, Ukraine, Albania, Serbia, and Russia. The leading countries of persons issued with an order to leave EU member states are Syria, Morocco, and Albania (see Figure 22.3). The Middle East crisis, and the war in Syria, pressured Southern European countries (principally Italy and Greece) with growing numbers of refugees.

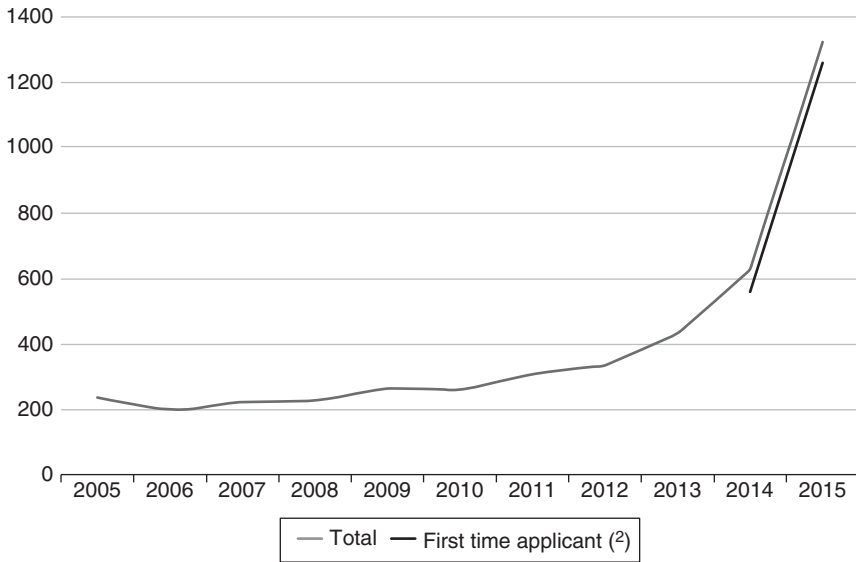


Figure 22.1 Asylum applications (non-EU) in the EU28 member states, 2005–15 (thousands).

Source: Eurostat.

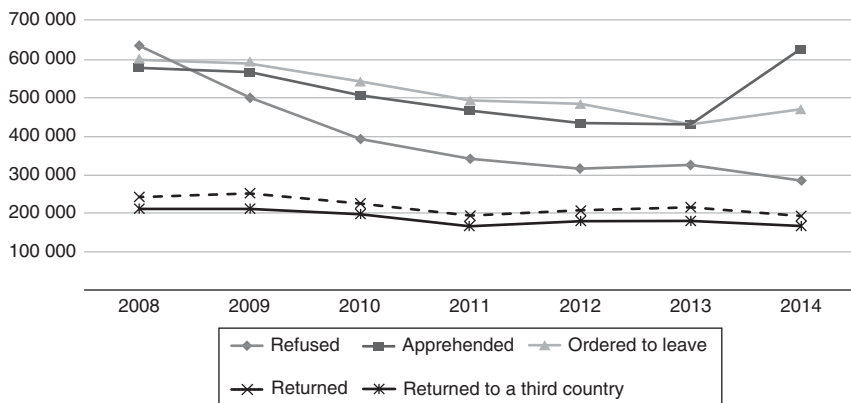
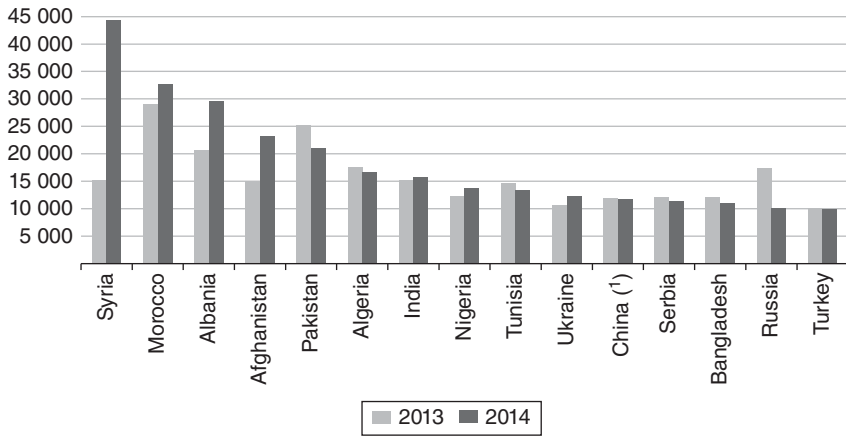


Figure 22.2 Non-EU citizens subject to the enforcement of immigration legislation in EU, 2008–14.

Source: Eurostat.



(¹) Including Hong Kong.

Figure 22.3 Main citizenships of persons ordered to leave an EU28 member state, 2013–14.

Source: Eurostat 2015 (statistics on enforcement of immigration legislation).

Conflict and Rationalization

The reconfiguration through institutionalization of mobility, immigration, and asylum policy is largely complete. It is a broad policy sector, highly politicized, with resources, codes, and infrastructures, at the heart of many of the most important political conflicts in Europe, not least Brexit. This policy sector is characterized by dynamics of competition among collective actors, rationalization of codes and procedures, and privatization of function and service delivery.

The free circulation of commodities through the single market functions well in Europe, with slight adjustments and no major conflicts reflected in public opinion. By contrast, the movement of populations and the European asylum policy is an issue of contention and competition among member states, as well as within each of the member states' divided political parties, NGOs, and social movements.

The Dublin regime has been criticized by many NGOs and public lobbies, as well as international institutions, for failing to guarantee the right to a fair examination of individual asylum claims. It is also criticized for increasing the pressures on the EU external border countries, producing an uneven distribution of asylum claims across member states.

In 2015, the Middle East crisis and the spread of war and terrorism in many African countries dramatically raised the migratory pressure on European countries. Far from having lost their capacity for action, States' activism has been addressed to revise the contents of Dublin and the Schengen

conventions. Member states, losing their monopoly on border control, but still supposed to be states, have been reconfigured by Europe. Member state power resides more and more in their capacity to negotiate and confront simultaneously with the European political centre, as well as with other member states within the EU. Member states are constrained by European law, agency coordination, and regulations, but they are also empowered by these regulations finding a new arena to advance their interests and to gain legitimacy from their national constituencies.

The asylum and immigration policy is a system of 'strategic action fields' (Fligstein and McAdam 2012), embedded in and reshaping existing cleavages and interests. The Asylum, Migration and Integration Fund (AMIF) is funded for the period 2014–20 (€3.137 billion). It develops a standard EU approach to strengthen the common European asylum system, support legal migration and integration programs, improve the return policy, and support operations and hotspots in external border countries. The AMIF, as well as two earlier financial schemes (the European Returns Funds, and the European Refugees Funds, both from 2008 to 2013), is a politicized and politicizing instrument (Lascoumes and Le Galès 2007); its funds are hotly contested by member states.

Conflict characterized not only the politics of external border control, but also rules about internal mobility of EU citizens. The principle of free movement has not been extended in a linear manner, without tensions and contention. An emblematic example is the exceptional measures applied by Western countries to restrict the working rights of Romanians and Bulgarians between 2007 and 2013. Unable to suspend the rights of movements of the citizens of new member states, some countries, including France, Italy, Spain, and Sweden, modified their active labour market policies, or more broadly their labour market regulation, to restrict the rights of Romanian citizens using new measures to justify such workers' expulsion. These measures haven't prevented Eastern migration to Western member states, and have therefore affected internal member states' party competition and government legitimacy. Several member states have erected punitive measures towards Eastern immigrants to demonstrate to their electorate some state capacity. At the beginning of 2016, as he faced the Brexit upheaval, David Cameron negotiated with Donald Tusk, President of the European Council, the right not to pay allowances to European expatriates in the vague circumstances deemed to constitute extraordinary migratory pressure: a sort of 'emergency brake' or 'safeguard mechanism' to freeze in-work benefits for four years for EU citizens working in the UK. This is another significant reconfiguration to European states' capacities and legitimacy. Eastern countries are more affected by issues of new immigration and asylum requests, and this is a new challenge for them (to which some have responded physically with barbed wire fences). The EU

political order is shaped by the conflict among member states sharing the same rules for border controls.

Rationalization and Border Control

The European Migration Network (EMN) provides policymakers and the public with up-to-date, objective, reliable, and comparable information on migration and asylum. The Commission services coordinate the EMN in cooperation with National Contact Points (EMN NCPs) appointed by EU countries plus Norway. In their own countries, the EMN NCPs form national networks with a wide range of relevant stakeholders. The EMN makes a valuable contribution to what they call evidence-based policymaking. This emphasis on evidence can clash with efforts to govern by performance indicators and measures of targets. Rationalization and governing by objectives have reinforced huge systems of accountability and reduced state capacity quickly to respond to changing migratory dynamics. In addition, the scale of migration and its links to security dangers have given an enhanced role to security state apparatus.

E-bordering the European State: Schengen Besieged

The post-9/11 escalation of Islamic-inspired terrorist incidents in European states benefits from these states' abandonment of border controls. Entry into a Schengen area state provides a remarkable freedom of movement across the other states—not dissimilar to movement in the United States across its fifty states. But this is changing. The Schengen free movement across national state borders has in practice been halted: having seen some of the over 700,000 migrants who have arrived in Greece since January 2015 pass through their state, the Macedonians have erected fences on their southern border to halt the entry route.

Migration was vexatious for many European nation-states even before the mass migration movement in the summer of 2015 and the Paris murders in November. 'Fortress Europe' was an increasingly common term (Favell and Hansen 2002). States such as Hungary and Poland not only resisted significant increases in immigration but steadfastly defined who they would accept in terms of religion affiliation (Christian, not Muslims) and from which countries (Wasik and Foy 2015). In March 2015 the Dutch prime minister issued a policy memorandum including the proposal that the European state needed to close its borders to refugees, as the Dutch economy among others sagged under austerity, and public opinion veered from its traditionally tolerant and open position.

The stream of migrants getting into Europe through the summer of 2015 turned into a river, and there is no reason to expect it to decline: to the contrary, the horrors of war, economic collapse, and political instability and religious persecution in Syria, Iraq, Afghanistan, Gaza, Libya, and many other nations in sub-Saharan and North African countries ensure that millions will seek to move to a more secure environment with a prospect of better living conditions. The EU gets this issue, with European Council President Donald Tusk recognizing that ‘we are talking about millions of potential refugees trying to reach Europe, not thousands’ (quoted in Nordland 2015). Chancellor Merkel worries that the migration crisis will ignite barely suppressed venomous hatreds in the western Balkan fringes of the European Union as neighbouring states and old enemies willingly impose border checks and controls on each other. Even though the years following the collapse of the Berlin Wall and Iron Curtain, and the break-up of Yugoslavia, induced movements of around 2 million people, the movements were slower and in significant part movements of people within the parameters of the European state.

The next stage will be two sorts of detention centres and camps—the nominally benign ones (Spielfeld in Austria, Sentilj in Slovenia) to accommodate the tens of thousands of migrants stuck at borders within the EU (for example the Hungarian-Austrian or the Slovenia-Croat borders) or at the staging post of Greek islands. Migrants have already demonstrated considerable resourcefulness to defeat barriers to their journey and are unlikely to be confined voluntarily in such camps. Second, high-security camps holding interned persons with minimal legal rights as European states, after the 13 November 2015 Paris attack, deepen security measures and redefine who is an enemy of the state. European governments keen to bring the refugee crisis under control are considering using apps, biometrics, and smartcards to attempt to manage refugees before they leave countries with border crossings into the EU. The distinction between the two types is overdrawn and some camps, such as the one built in June 2016 north of Paris for refugees and migrants in the French capital, will end up assuming both roles.

National versus European States

These developments derive in part from the contradictions of the European state’s dualism—existing at the EU level and at the nation-state levels. The implementation of the Schengen multiple-state borderless 1.7 million square mile zone of passport-free travel was a key step in expanding the EU-level European state. But the programme is not smooth. For example, oddly Greece is part of Schengen but separated from its nearest borderless neighbour Hungary. Greece has turned out to be a key embarkation point for tens of

thousands of migrants from the Middle East. Its membership of Schengen may be suspended for 'border deficiencies'. As Greece achieves tighter controls, so the migrant routes shift to Italy and the UK by sea, and even improbably to the most northerly Finnish border point with Russia.

A likely reform of Schengen is the combination of formal measures (the fences going up at the Hungarian and Slovenian borders with Romania and Croatia respectively) and the informal reintroduction of passport checks between Schengen country borders. Germany, Sweden, Austria, and France have each taken a more assertive stance to checking passports at their borders and declining entry. Several national states (the Netherlands, Slovakia, and Austria) imposed emergency border controls in the middle of September 2015 as migration numbers surged. Sweden has enacted legislation to permit closing the Oresund Bridge linking it to Denmark because of the scale of asylum seekers reaching Swedish jurisdiction: the draft law states that 'the number of asylum applications continues to be at a level that makes the situation... a serious threat to public order and internal security in Sweden'; therefore, 'a temporary closure of the bridge can provide another measure to reduce the risk that public order or internal security is affected as a result of the large influx of asylum seekers' (quoted in Orange 2015).

Conclusion

A day before the Paris murders, the influential German Finance Minister Wolfgang Schauble warned Chancellor Angela Merkel that she risked provoking an avalanche of migrants arriving in Germany: 'you can trigger avalanches when a rather careless skier goes on to the slope and moves a bit of snow. I don't know whether we are already at the stage where the avalanche has reached the valley, or whether we are still on the third of the slope.' He added that 'we Germans cannot cope with this alone' (quoted in Barker and Wagstyl 2015). Temporary border controls quickly solidify into permanent arrangements. These latter quickly lead in turn to questions about access to welfare rights and labour markets across the twenty-eight EU national states, a topic stirring much debate and identified as a key policy for reform by pro-EU campaigners (Guiraudon 2014).

National governments are under intense electoral pressure as they devise immigration and border policies, with many voters hostile to new incomers, especially when the proportion of foreigners at the regional level increases, and when the unemployment rate is high (Schmidt-Catran and Spies 2016). EU-wide policymaking is fully stretched. The speed with which migration numbers rise and with which new routes to the desired Northern European destinations are mapped out, means that this policy sector is subject to immense pressure to formulate effective measures in

response. These responses reconfigure relations between actors at every level of the European state, the full consequences of which are not yet apparent.

In this context, the traditional ambivalence of the state towards immigrants tends to be redefined. Especially in the southern border of the European Union, centres for the identification of asylum seekers have been criticized for their extreme conditions, sometimes featuring violence, long waits, and slowdowns. The linked security threat gives such dereliction a new veneer of acceptability among many parts of the EU electorate. At the same time European institutions have rarely been so ardent in pressuring police, civil servants, and NGOs to meet human rights standards of treatment, and to enforce fundamental rights. NGOs have employed strategic litigation to challenge national governments' policies and standards, drawing on the expanded repertoire of human rights movements and pro-immigrant coalitions (Amiriaux and Guiraudon 2010). Scholars tend either to highlight the violent side of state intervention with refugees and asylums seekers, stressing more the idea of a Fortress Europe (Geddes 2000), of Europe as a gigantic gated community (van Houtum and Pijpers 2007), and of a pure anti-immigration border regime (Vives 2016); or to underline the protective side of EU asylum procedures and the right to an effective remedy (Reneman 2014), as well as of the impact of EU law on refugees' rights and equality (Slingenberg 2014) and the incremental patterns of protection and integration observed in recent times (but before the summer 2015 refugees crisis) (Sciortino and Finotelli 2015). The balance between protection and disrespect of human rights is a political determination, constantly contested by political actors, the shifting balances between opponents and proponents inducing regular reconfiguration in state policy and engagement as circumstances unfold.

Reframing migrants and refugees as 'victims' in need of protection and rescue, as Chancellor Merkel did in the summer of 2015, has not in any substantial way undermined the simultaneous socio-political and legal construction of them as 'illegal' (and hence undesirable and unwelcome) 'migrants', vulnerable to detention and deportation. During the second half of 2015, the 'politics of rescue' was replaced with enforcement policies aimed at either blocking or repelling refugees and migrants at the eastern borders of the EU. The conventional state monopoly of force has reconfigured into two distinct organizational forms: the military and the police.

Within this institutional configuration, the effect of European integration has been twofold. It has improved coordination and training for border guards, and established codes and norms to close frontiers. Border control has become a big industry in Europe, with growing legislative attention and increasing budgets and number of staff attached to the key European agencies, and a swelling number of national officials involved in European operations.

At the same time, the European Convention on Human Rights, and broadly speaking the rule of law, as well as the continuous work of the European Court of Justice in addition to the European Court of Human Rights and to the Social Charter of Europe (and its enforcement by the European Commission) have challenged European regulations and guidelines, contributing to the norms of refugee hospitality, non-violent (or less violent) forced returns, and fundamental rights recognition. Europe border closure has become a political conflict between member states and within each member state, with national governments playing different games within the Council of Europe and in their domestic politics. Together with security and austerity, immigration, border control, and modes of identification dominate politics in European democracies.

During the summer of 2015, the Dublin regulations were suspended in several countries, but for different reasons: Hungary refused to receive asylum seekers again that had already entered the EU through its border, while conversely Germany decided to process Syrian asylum applications directly, as did the Czech Republic. Greece, Germany, and Italy proposed to revise the Dublin regime, introducing permanent or temporary but mandatory quotas of refugees' acceptance, conflicting with Hungary, Slovakia, and Poland, who refused to support this measure to redistribute migrants. These divisions reveal an important sociological dynamic of state(s) restructuring, with this contentious policy sector influencing many other state policies and institutions, often in ways consistent with individual nation-states' historical experiences. The EU is a state prevailing over its members in principle. In practice national states retain capacities to thwart and hinder, and in respect to migration policies they have used those capacities in ways consistent with their historical practices, sometimes with alarming echoes of European state behaviour in the decades before the EU's creation (Vitale 2012, 2015).

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Conclusion

The Making of a Transnational, Capitalist Policy Member State

Desmond King and Patrick Le Galès

Poulantzas-style Marxist pessimism leads Jessop (2015) to speculate about how capitalist states' strengthening inequalities may result in their governing through force and dictatorship, an unlikely echo of Carl Schmidt's analysis. The mix of long-term austerity policy, racial and economic inequalities, and states of exception do point in this direction. That would be a considerable reconfiguration of European states. Beyond the security threat, one wonders whether finance has become the main driver of coercion (Kirshner 1995). The question of democracy and its achievement is now central to the significant reconfiguration of European states exposed to multiple crises (Foa and Mounk 2016). We argue in the conclusion that European states respond to four constituencies: their demos, other European state elites, transnational regulators and jurisdictions, and, finally, financial markets and large firms. State reconfiguration in Europe is the result of the interaction between those three constituencies.

Within the enlarging European Union, European states have avoided war among themselves since 1945, sidelining conflict, absorbing former authoritarian regimes into the fold of democratic nation-states, and integrating formerly warring peoples into a common supra-nation system of state organization. This process continues but was never inevitable, and only a fool would predict its unchanging persistence or irreversibility. In this conclusion we draw on the preceding chapters to identify some of the state-making and state-destroying mechanisms at work.

The European state contains too many contradictions to take its persistence for granted. For instance, while borders and boundaries within the EU have declined in significance—and in the case of the Schengen agreement countries have been fundamentally reconstituted—the borders of the collective (pre-Brexit) twenty-eight-member European Union have deepened against those from outside hoping to migrate (Guiraudon 2000). The founding nations of the

European Union such as France and the Netherlands, and many subsequent member nation-states such as the UK, Portugal, and Spain, were imperial nations: in each of them defining national membership and citizenship deliberately excluded those in the ex-colonies (Hansen 2000), and indeed these exclusions helped define both the nation-state and the European state as white, nominally non-immigrant nations. The message to new arrivals was exclusionary and unwelcoming. This hostile stance has not diminished much, except towards asylum seekers, though even this cherished category is challenged by the shriller xenophobic voices in an increasingly populist politics.

The challenges facing the restructured European state in 2016 are among the most basic associated with the minimal Weberian features: maintaining a monopoly on the legitimate use of force, protecting individual rights against violence and aggression, enforcing the rule of law, and defending state territorial boundaries. Yet soaking almost all the chapters in this collection is the *dilution* of these Weberian tasks, as the state's internal and external relations and institutional structures reconfigure under the considerable weight and pressure of a systematic diffusion of neoliberal market mechanisms; and the rapid institutionalization of the European Union and its agencies, policies, regulations, and laws as defining components of member states (Thatcher 2013).

The neoliberal influence on European states has been exhaustively documented in the various versions of so-called 'New Public Management' pioneered by the Oxford political scientist Christopher Hood in his seminal article (1991), and given fullest expression perhaps in his book of typologies wittily entitled *The Art of the State* (1998), with its impressive listings of combined forms of government policy captured in such astute terms as 'choicism', 'bossism', or 'groupism', classifications Hood orders around the enduring concepts of hierarchy, individualism, egalitarianism, and fatalism. The summation is a public administration style embodying the new and the old. Such forays into conceptual terminology impose a useful micro-language on the deeper tradition of state theory stylized by such scholars as Poggi (1978), Birnbaum (1980), and Dyson (2010). The idea of the strong classic European state, centralized and quasi-autonomous through its sense of public authority and powerful bureaucrats, has not vanished. But it has been reconfigured by the post-1980s, Anglo-American inspired turn to liberal and neoliberal principles—however imprecisely delineated these are—and by the pressures of Europeanization.

The European Union influence is measurable in the mechanisms and institutions of integration across the twenty-eight states. The Schengen agreement permits commuters to live in Brussels and work in Paris, and allows migrants to make beachheads on the outposts of undistinguished if harmless Greek holiday islands like Leros, Lesvos, Kos, and Samos (Witte 2015), or at the Slovenian border bravely to forge onward uninterruptedly to Stockholm, Berlin, or Munich. The euro allows chargeless financial transactions between Dublin, Hamburg, Cadez, Vienna, Trieste, and Rotterdam. Schengen and the

euro are sutured according to the president of the European Commission, Luxembourgish Jean-Claude Juncker: 'a single currency does not exist if Schengen fails. It is one of the pillars of the construction of Europe' (25 November 2015, quoted in Barker and Wagstyl 2015). European law delivers rights in common across the Union, often against citizens' own member states. Mobility of labour enables Spaniards with excellent German to work in Dresden, Polish workers fluent in English to settle in Galway, and French bankers to take positions in London's financial sector (though this last pattern faces post-Brexit turmoil). All these are remarkable changes to European states realized in the space of three decades.

TRANSFORMATIONS OR CRISIS?

No wonder many scholars of the state are intoxicated with the notion of 'transformation' in state institutions, policies, and traditions, the appellation advanced by one distinguished group of theorists and celebrated in their *Oxford Handbook* of a similar title (Huber et al. 2015, Leibfried et al. 2015). These theorists' scope is ambitious, applying the notion of transformation to all states in the world, not just the European ones of interest in this volume. The industrious team of researchers led from their Bremen research hub focus on five dimensions of state transformations: expansion of intervention, the capacity of the civil service, revisions in the aims of state policy, and innovative policy instruments to deliver outcomes and restructuring in central-local and other institutional relations. These transformations are analysed at an understandably general level given the researchers' aim to include all states in the world. One of the eminent scholars tells readers that the debate about state transformations 'is framed in sweeping terms', and then distinguishes between three patterns expressed as 'state retreat', 'state persistence', and 'state advance', a trichotomy which adroitly covers many possible trajectories of state transformation (Levy 2015: 173).

The historical term missing from this transformation schema is of course *crisis*, a key concept in previous incarnations of state debates (O'Connor 1973, McCarthy and Jones 1995, Streeck 2009: chapter 5, 2014, 2015), and a term widely applied to the economic problems facing European states since 2008 (Blyth 2013, Schmidt and Thatcher 2013, Jones 2013). Yet it may be exactly the notion of 'crisis' which is needed to understand current challenges, including demands to reshape state-religion relations to recognize some religious traditions such as veil-wearing among Muslim women in secular states; the rejection of state economic activism in favour of austerity-based policy; enlarged responsibilities accorded to nominally politically independent central banks; and the fundamental change signalled by the UK's Brexit

referendum (Blyth 2013, Woll 2015, Jacobs and King 2016). Some scholars indeed worry about state sustainability (Jacobs and King 2009).

As the preceding chapters convincingly document, European states have experienced numerous changes and reconfigurations consistent with these broad categories of transformation. These include administrative authority devolved vertically and horizontally, the adoption of novel policy instruments, and expanded regulation. The authors demonstrate numerous changes: leaner accounting and delivery structures within state bureaucracies; the persistence and diffusion of deregulation practices; the delegation—whether gradually or episodically—from the centre to the local; and the reshaping of core state activities such as welfare, financial market oversight, and defence. Collectively, in the European setting of nation-states and the EU, these trends constitute diminutions of the former in sovereignty, legal rule, and policy autonomy, and the almost relentless augmentation of the latter as a source of laws, regulations, coordination, and policy direction. But as the migration crisis and related security crisis since the second half of 2015 (discussed in Chapter 22) dramatically encapsulate, the propensity to diminished national statehood and aggrandized European state-ness are not perhaps as teleological as assumed on the ‘transformation of the state’ trajectory. The UK has chosen Brexit the Danes rejected greater integration in a referendum in December 2015, and in April 2016 the Netherlands rejected EU plans to build closer political, economic, and security ties with Ukraine.

Distinctness of religion or ethnicity has sharpened disputes about the meanings of belonging in European states, disputes accentuated by stubborn patterns of material inequality among immigrant families and their children. Some of these resentments have erupted in well-publicized instances of disorder in Swedish or French suburbs. Terrorist attacks in London, Brussels, and Paris, are often committed by young national citizen enrolled in Al-Qaeda or ISIS (Callimachi et al. 2015). The ensuing politics of fear leads politicians to limit freedom and to question the rights of citizenship for some groups. Anti-Islamic rhetoric has flourished among rising extreme-right parties from the True Finns to the National Front or Victor Oban’s party in Hungary, the ultra-conservative Law and Justice Party in Poland, and Austria’s Freedom Party (Applebaum 2016).

The Limits and Fragilities of the Democratic State in Europe

In modern European states, elected elites and professional bureaucrats are supposed to respond to the demands of the electorate. Although democracies are far from perfect, although systems of representation have a clear elitist bias, although the democratization of political systems is always a struggle, and

although new forms of surveillance and control are on the increase, the *demos* is the main constituency for the state and the source of its legitimacy.

Our analysis stresses the disconnection between state elites and their population, but also the different constituencies of modern European states. Jacob Hacker and Paul Pierson (2010), in their vigorous critique of most US political science, portray US politics as a semi-autonomous realm that is still an area for collective decision making, but is quasi-democratic only because of the scale of bias in favour of economic interests and the depth of inequalities. For both similar and different reasons, European states may follow the same track. Already, a score of public policy research has shown that in Europe the policymaking process is not national anymore. Furthermore, the separation between politics and policies has become the norm not the exception, even if political strategizing and conflicts recur at the implementation stage, and there is a growing separation between the politics of representative government and responsible government.

Chris Bickerton's (2012) conceptualization of European states as member states illuminates interdependence with other states within the EU. State elites respond both to the demands of their electorate and, perhaps increasingly, to the demands, the norms, and the priorities of other states and EU elites in Europe. This double constituency provides capacious manoeuvring room to state elites who may play with the double constraint to pursue their priorities strategically. The concept of member state is calibrated in Sabino Cassese's contribution in Chapter 4, which brings to light the importance of European states as a branch of European and transnational regulators. Several chapters stress that many activities, organizations, and orientations of European states are explained by horizontal interdependence. European states are also assessed, ranked, perforated, parametered, and sanctioned by transnational organizations, public or private, from the Organisation for Economic Co-operation and Development to financial agencies.

Political economy authors add another crucial layer among those constituencies of the state. As Streeck argues in Chapter 7, the long-term increase of public debt, accelerated by the Great Recession after 2008, has made European states increasingly dependent on financial markets. As he puts it, financial markets vote every week by deciding to approve new loans and the interest rate attached to them. Many policies, growth strategies, financial cuts, austerity measures, drastic reshaping of the welfare state, or privatization strategies make sense in relation to the requirements of financial markets. Ignoring market warnings can trigger a major financial crisis in most European countries. The legacy of 2008 bears witness of the catastrophic consequences of a financial crisis for the population. Furthermore, Mark Thatcher (Chapter 9) and Erik Jones and Gregory W. Fuller (Chapter 11) rightly identify important dimensions of the financialization of the economy for states, in particular the role of wealth creation and the strength of the banking sector together with the

scale of various funds for investment. In Chapter 10, Cornelia Woll concludes that states are thus strongest where market actors are also doing well.

Finally in Chapter 12, by stressing ‘the limitations of the limited state’, Colin Crouch reminds us of the accumulation of resources by large transnational firms, and their capacity to store data, to avoid taxes, to deliver some collective goods, to pressure for the commodification of new domains, to finance expertise and research, and to lobby and influence policies. This is not entirely new, but the scale of the global firms, and the concentration of wealth for the top 1 per cent of the population, undermines the autonomy of European states (and beyond of course). Looking at the financial sector, Crouch portrays a corrupt neoliberal state, neither market nor democratic, but penetrated by a criminal banking sector. Again the comparison with the US is telling: many large US banks have been guilty of fraud in the last decade in relation to the financial crisis. A great number of large European banks also stand accused of organizing money laundering in fiscal havens.

States’ interdependence with regard to large transnational firms may mask a more profound shift, allowing firms to escape from the classic coercion tools of the state: tax jurisdiction. The effort to create transnational legislation to guarantee and protect foreign investments, the pressure for property rights given to foreign investments or financial instruments, the success of fiscal-tax havens, the rise of transnational arbitrage outside European states, and the drive to engage public resources in sizeable public–private partnerships, all bear witness to shifting power relations.

The chapters in the book have also shown the continuing direct role of the state. Indeed, developments, especially the recent crises after 2008, have revealed and revived the continuing direct economic and financial roles of the state—as owner, as policy leader, and through direct interventions—and sometimes led to increases in these. What has changed in relation to previous periods, however, is that the state’s direct role sometimes takes new forms, uses different policy instruments, and is layered on to indirect forms of the state-shaping of markets. At national and international levels states have transformed into both regulators and direct participants. Describing Eastern and Southern Europe in Chapter 8, Laszlo Bruszt and Visnja Vukov coin the term ‘market-preserving’ state activities.

In new domains such as big data, data privacy, and the control of information, massive power relations are at stake. Slowly, European states (with the EU) are regaining some capacity to control, regulate, or tax not just Google or Facebook but also Uber, Airbnb, and Netflix. The outcomes of these current political battles will be good indicators of the reconfigurations of European states. Of the state-eroding mechanisms we have emphasized, the declines in coercion capacity and in the ability to solve collective problems or to deliver public goods are evident. Do we need the state to provide collective goods? Some observers propose that the alliance of big data, digital platforms, and

successful entrepreneurs from Silicon Valley might contribute, employing modern technology, to spreading happiness to the world and to delivering many collective goods. Open access as a public good is a new dynamic, enabling collective action and non-governmental organizations to set the agenda. But most of the time, some form of coercion, or the threat of coercion, remains necessary to avoid the destruction of those collective goods because of free riding. Long-term changes are afoot in the relations between states, societies, and markets, facilitated by technologies.

But crises, from the economic crisis to the immigration and refugee and even the Brexit crises, may be opportunities for European states. We have tried in the book to identify state-making mechanisms. In Chapter 4 for instance, Cassese suggests that the rise of external constraints becomes an instrument for states to reach into domains that used to be beyond state controls. In the environment or in surveillance, there is evidence of such developments. In other words, despite the denationalization of political authorities, state elites and agencies are developing strategies and resources in order to invent new instruments, and new ways to exercise authority and to maintain the existing political order. The more fuzzy European governance becomes, the more state elites need to reconfigure the state to find new sources of legitimacy. Fabien Jobard (Chapter 18) and Olivier Borraz and Lydie Cabane (Chapter 20) provide good evidence of this; what Borraz and Cabane term ‘*the paradoxical process of bureaucratizing crisis management*’. Both the demonopolization of conflict-solving capacity, and the rise of migration, are opportunities for states to develop new knowledge, new agencies, and new instruments of control.

The American and European State: Confronting Common Trends or Locked in Separate Trajectories?

The classical political sociology of the state literature took the European state as the point of departure for comparison. Those days are rightly gone. Different historical trajectories in different continents have led to a more general research agenda in terms of statehood, stateness, and qualities of the state (Vu 2010). For instance, a whole generation of American historians have revised the classic interpretation and representation of the American state beyond the caricature ‘weak state’ story (see Pierson 2007, Novak 2008, Mettler 2011, Gerstle 2015).

Contrasts between European states and the American state are provocative but frequently overdrawn. Scholars often exaggerate the statelessness or absence of Weberian vestiges in the American state and underestimate the spread of US-style regulatory agencies into European nation-states and the EU state. There are good reasons for each of these oversights. Europe was as much a part of the post-1980s deregulatory wave as the United States, and this policy

stimulated the creation of US-style regulatory oversight agencies. In the US, there is much greater bureaucratic and implementation capacity than implied by the long-standing description of its nominally 'weak' state (King and Lieberman 2009, Steinmo 2010, Morgan and Campbell 2011).

European and American states face some comparable policy challenges. Both have significant parts of their electorate and political elite intent on subverting effective governance. Since the 1990s, in the US a significant element of the Republican party in Congress has purposefully fostered government shutdown, and poses a challenge to any activity of the federal state other than very basic responsibilities such as defence against terrorists, including increased border-control policing. In both the European parliament and most national legislatures, anti-EU populist movements have emerged in the last decade opposed to European state expansion, seeking reduced government activity in some cases, committed to hardening nation-state territorial boundaries, and in the British case driving the campaign to leave the EU—an aim achieved with a narrow referendum success on 23 June 2016.

Preliminarily it is necessary to put aside the myth that the US political system lacks a state. Troves of scholarship since the 1980s have slayed this falsehood (Mettler and Valelly 2016). There is a concentrated expression of authority in the American federal executive, though less centralized than in other political systems (Gerstle 2015) and embedded in federalism (Miller 2008, Robertson 2010). While the senior levels of bureaucracy shift with each new presidential administration to reflect partisan and ideological convictions, the permanent civil service enjoys the employment of trained professionals and experts comparable to those in European states. In some instances, because of expertise and fragmentation across the centres of political power, these bureaucracies such as the Food and Drug Administration or the Federal Reserve System are close to autonomous (Carpenter 2001, 2010, Jacobs and King 2016). These independent agencies which combine into a quasi-coherent state, articulate and advance shared senses of interest rooted in large part in professional values and coalescing into a shared national interest. Revenue-extraction capacity operates to finance and fund the personnel and institutions of the state (Steinmo 1996). As in all modern democratic states, divisions, doctrinal and significant, exist between different actors within these state institutions, but the notion that they don't add up to a state does not pass muster.

In a way not entirely dissimilar to the European state, there is a constitutional ambivalence about the status of the American state. It was a weakly developed notion in the 1787 Constitution, and the fact that this document institutionalized slavery—a decision resulting in the 1861–5 Civil War—ensured the American state's instability: slavery presented a clear logic as to why the national authority of the state should be exceptionally delimited in comparative terms. Of course, this delimitation and ambivalence ensured that

conflicts about racial equality were central to the American state's presence in US society, both before the 1960s when it upheld segregation and after the 1960s when it nominally became responsible for advancing racial equality (King 2007, 2014, 2016, King and Smith 2011, Gerstle 2015, Tarrow 2015).

In Europe, the collection of agencies and institutions labelled collectively as the 'European state'—the collective expression of the combined interests and aims of the twenty-eight nation-states—is also mired in constitutional ambivalence. Manifesting many of the features of a state, including regulatory powers, a judiciary, a central bank, even a fledgling foreign service and linked military contingent, and a legislature elected directly by the twenty-eight nation-states' citizens, there are divisions among these member states about its status and trajectory, with strong competing views from advocates versus opponents of deeper centralization and federalism. The scale of this division is illustrated by the difficulty of devising EU-wide responses to the post-2008 economic crisis or to the displaced persons/migrant movement into Europe from the Middle East, North Africa, and parts of Asia. American anti-statist rhetoric advanced by populists and some grassroots movements such as the Tea Party focuses on hostility to 'the Washington federal government', a shorthand phrase for centralized authority. Some European voices of hostility to the EU as a state—including Sweden's Swedish Democrats party, the UK's UKIP (a force for Brexit), Poland's Law and Justice party, or smaller parties in Germany, the Netherlands, Austria, Hungary, and Denmark—also rail against the EU's political centre based in Brussels.

Despite the emergence of much greater regulatory institutions and agencies in the European state, mirroring their presence in the US, other dimensions of the American state are not reproduced in Europe. In particular, the American state's reliance on a range of public-private arrangements and delegation to private agencies for policy delivery exists in all European states but in more limited ways. Notable examples in the US case include the way in which the federal government underwrote the financial provisions of major federal housing agencies such as Fannie Mae and Freddie Mac which dominate the residential mortgage insurance market, or the use of private agencies to deliver Medicare to Americans (Morgan and Campbell 2011). This penetration of US society by the nominally 'weak' American state is subtle and varied (King and Lieberman 2009). In a seminal analysis, Dobbin and Sutton (1998) demonstrated how the threat of federal litigation against large firms' hiring and promotion practices produced a revolution in large corporations to design and implement equal opportunity measures to preclude legal investigation and fines—'the strength of the weak state'. Another example of this subtle American state policy design is the way in which tax expenditures, that is relief on tax liability, are used to deliver policies in a discreet and non-public way, creating the 'invisible' (Howard 1997) or submerged (Mettler 2011) state in the description of two leading scholars.

Comparatively the interaction, or frequently conflict, between state forces and society preferences shapes the final form and content of the American state to a greater extent than in European states. But this does not mean an enervated American state capacity: the military-industrial complex, the deployment of state policy towards such groups as Native Americans in the nineteenth century or towards Japanese Americans during the Second World War demonstrates plenty of ballast when necessary. Indeed, in some ways the capacity to mobilize state resources on occasion outweighs the EU state's ability, certainly in security policy.

Both the American state and the European states face reconfiguring. In the American state, an organized group of Republican law-makers have driven the federal government to (and on occasions over) the operational cliff to shut down the federal apparatus, by withholding the necessary authorization for paying salaries and the costs of daily operation. This anti-state strategy speaks of the endurance of profoundly anti-state preferences among some voters and their elected representatives. Outside the national centre, the persistence of a Texan secessionist movement lobbying to make Texans withdraw from the US is not entirely distinct from the UK's Brexit exit from the EU movement, since both propensities rest on proponents' hatred of the supra-state level.

Thus the largely non-Weberian US state and the quintessentially European states share some trends and challenges. Rather than a universal 'liberalization' or 'Americanization' of the state, some common pressures work on the modern state. To emphasise, we do not find here any neat temporal sequencing or policy measure overlap—the two institutions are too complex and the patterning of reconfiguration too varied to infer such easy correlations or patterns. The European state confronts an inward migration of displaced persons on a new scale while the American state has historically managed mass immigration (and continues to do so—in 2015, 14 per cent of Americans were foreign-born compared with 15 per cent in 1900). The debates about how to measure, if at all, ethnicity (as in France) or how to manage ethnic divisions (as in Hungary) or religious differences (as in Poland) had looked dated in comparison with the twentieth century American State, until Donald Trump's exploitation of nativist rhetoric made him President in 2016 and echoed populism in European states.

Nowadays, what the European and American states do share as a challenge in this sphere is the persistent failure to reduce material racial and ethnic inequality (King and Smith 2011, King 2014). In line with the instance of mobilizing state capacities to address the sudden arrival of hundreds of thousands of migrants, the European state has also yet to develop the institutional and policy mechanisms to balance and transfer fiscal resources across member states in response to fiscal crises, a mechanism embedded in the American state's federalism. This policy and institutional inadequacy was

made especially salient as the EU and the European Central Bank (ECB) struggled with sovereign debt crises in member states from 2010.

In terms of relations between states and markets, neo-Marxist, Polanyian, and neo-institutionalist thinkers have long stressed how markets are sustained by state activities, policies, ideology, and finances. As Levy (2006) documents, the rise of market-making activities and policies has become a notable feature of state elites influenced by neoliberal ideas. Both the Thatcher and the New Labour governments were characterized not only by privatization and the introduction of market mechanisms in the public sector, but also by centralization and a stronger and more authoritarian state (Faucher-King and Le Galès 2010). Recent research about the American state alights upon the same apparently contradictory patterns (Jacobs and King 2009). Our contributors have emphasized not just rhetoric and day-to-day practices, but also how the instruments of the state themselves result in the reconfiguration of state practices (Halpern, Lascoumes, Le Galès forthcoming 2017). These include trends to measure or to be measured (noted by Benjamin Lemoine in Chapter 16), to organize and deal with unknown risks (see Chapter 20 by Borraz and Cabane), and to think about the future and to manage expectations (see Chapter 15 by Jenny Andersson). A lot of state-making has been related to rights and to the extension of rights (gender, discrimination, gay rights, the handicapped).

Legitimacy: The Populist Challenge to European States

There is a gloomy atmosphere in European states about European state–Muslim relations and tensions, now affecting multiculturalism. The sociologist Ruud Koopmans (2013) argues that the larger percentage of Muslims in European immigrant communities—compared with the US or other historically immigrant societies—has transformed the politics of multiculturalism into a state issue equivalent to religious rights; multiculturalism is often seen as a benefit consumed by small sections of the electorate, making controversies about multicultural policies ‘public controversies about... the incorporation of controversial religious claims’ (Koopmans 2013: 165). Controversy is fuelled by the difficulty of accommodating existing church–state settlements. Koopmans predicts continuing strife as ‘demarcation conflicts continue to rage over claims by orthodox minorities within Islam’ (2013: 165). Several leading European politicians—British Prime Minister David Cameron (in January 2011), German Chancellor Angela Merkel (in October 2010) and former French President Nicholas Sarkozy (in February 2011)—have made keynote speeches dismissing multiculturalism, and its implied collection of separate communities, as an unacceptable face of national state policy towards immigrants and their European-born children. Former Spanish Premier Jose Maria Aznar also declared the death of multiculturalism in early 2011.

These policy debates underline the role of European states as agents of public authority defining the boundaries of membership, belonging, and citizenship, policies which have developed haphazardly and distinctly in member states since the arrival of immigrants in the 1950s, but now face a huge pressure to be standardized, narrowed, and placed in distinct nation-state parameters. After the 13 November 2015 Paris attack, Sarkozy celebrated *la France de toujours* and declared that 'France is not a supermarket. It's a whole.' From this national level the task of the EU to create a common identity looks comparable simple (Bickerton 2012).

Sarkozy's language and anxieties about immigration and the status of immigrant children is echoed by small parties in many European countries—Britain, the Netherlands, Sweden, Austria, Hungary, Denmark, Poland, Germany, Greece, and France among others (though in Spain populism, as represented in the Podemos party/movement, is ideologically left-wing). In Sweden the right-wing Sweden Democrats (now polling at close to 15 per cent), echoing a neo-fascist past—Sweden's ambiguous response to wartime Nazi Germany has surfaced in contemporary politics (Rosenberg 2014)—has become a rallying point for opponents of the state's open immigration policy. Long without an anti-immigrant party, the Sweden Democrats have rapidly gained support as migrant numbers have intensified since the summer 2015, when the great migration movement saw migrants heading for either Sweden or Germany as their preferred destination points: on a per capita basis, Sweden has accepted more refugees than any other European state. In one Swedish town, Södertälje, there are more Syrian refugees than in the US and UK combined, and in the suburb of Ronna 85 per cent of the residents are foreign-born, raising concerns that it is a European-style segregated enclave (Milne 2015). Similar patterns are emerging in fringe suburbs around Malmö, Gothenburg, and Stockholm, and border checks between Copenhagen and Malmö have been reinstated, as they have been on the Danish-German border. Such measures and others have certainly changed the atmosphere in European states towards both migration and freedom of movement.

Both Germany and Sweden have experienced periodic attacks on individual refugees, housing centres for immigrants, and other targets such as schools. An ally of Chancellor Merkel was stabbed in the neck in Cologne; buildings being prepared for refugees were burned to the ground in a Swedish town, and in Trollhättan a man stabbed a teacher and pupil to death allegedly on racial grounds. One member of the Sweden Democrats elected to parliament declaims that 'when people say that one culture can live side by side with another, it's a lie' (quoted in Witte 2015). Hungary's Prime Minister Viktor Orbán, leader of the Fidesz party, uses similar language but pitches the clash as Christian European states resisting the religion of tens of thousands of Muslim arrivals: 'Muslim culture is very strong. We don't oppose it, but we haven't had those parallel societies that are not integrated into European values' (quoted in

in Milne 2015, and see Orange 2015). Germany's anti-immigrant *Alternative für Deutschland* party campaigns to close German borders. The UK's Brexit referendum result in favour of leaving the EU sparked an upsurge in racist attacks and taunts. By Spring 2015, immigration had jumped to the top of European citizens' concerns and became the Commission's major challenge—increasing by 14 per cent from eight months earlier, with 38 per cent of respondents identifying with this issue—while terrorism crept up by 6 per cent (European Commission 2015). The Swedish state, among others, faces demanding issues of integration: increasing enclaves of immigrants with unemployment levels above the national average; the maintenance of national languages; schools taking in the equivalent of a new class on a termly basis; and, unlike naturalization in other European countries, becoming Swedish—a standard measure of official integration—is hard.

It is not yet clear whether the new incidents of violence towards immigrants or second-generation members of immigrant communities is consistent with previous patterns—which researchers find correlate with unemployment rates. High unemployment or negative economic conditions have been associated with increased violence towards immigrant community members, including racist attacks (see Dancygier 2010 on the UK) but the general anti-foreigner Brexit atmosphere constituted its own motive (and see Dancygier and Donnelly 2013, Dancygier 2014, and Dancygier and Laitin 2014). The linking mechanisms remain imprecise, and the role of right-wing parties or advocates in stirring up violence is likely to be part of the mix (Koopmans 1996, Caldwell 2009). But it is a simmering issue in European states receiving more immigrants and displaced people, and is a new version of the state–church conflict.

CRISIS REDUX

By definition, the weakening of borders in the Schengen model means greater European Union state expansion. This reconfiguration was a compelling complement to the spread of a single currency. But the dual exploitation of these diluted borders by migrants and terrorists, and the failure of the ECB and Germany since 2010 to lance the boil of sovereign debt, adds up to a crisis rather than a transformation of European state. It is a crisis that is still unfolding, but one which speaks to the most basic traits of Weberian stateness—bureaucratic capacity to problem-solve in a technical sense (the inadequacy of economic expertise and policy) and at a public-order level (the enfeebled ability to protect citizens' safety). If the EU state continues to obfuscate and lack clarity of purpose or capacity to deliver policy outcomes in the face of these crises, then its significance will recede, new (or rather old)

border controls will return, and unilateral responses to migration will unfold. Economic divergence creates its own logic of state separation.

The crisis of the European state is at the EU-wide and national levels. But it is the latter which will prove resilient and sacrifice the European-wide project to retrieve the Weberian capacity to exercise authority within a Westphalian sovereign territory and to protect their citizens from profound threats to their safety, resisting the construction of a 'neo-medieval' set of institutions, in Jan Zielonka's language (2006: 11–19). Incumbent political elites have plenty of populist challengers offering such a direction if they trip while forging this path. In the UK case, populist momentum demands a complete break with the EU state.

As Morgan and Orloff (2016) rightly argue in their recent theoretical essay, the state is a foundational element of political order—quite distinctive from more recent concepts such as governance or governmentality—to the defence of which national state holders will rally to ensure their polities' persistence (Jacobsson et al. 2015). Part of the reason for this continuing presence is the way in which states represent not just routinized activities for their members—protection against physical threat and upholding the rule of law, for example—but constitute a collection of non-material symbols and meanings embraced by citizens as members. Thus the crumbling of the Schengen borderless aspiration under the strain of the mass migration movement arises from both discontent about the material threat posed through labour market competition, welfare state expenditures, and schooling and housing needs, and perceived threats to the identity of the nation. It is the latter which populist parties like Marine Le Pen's Front National mobilize, while the material anxieties find supporters among both traditional right-wing and social democratic party voters.

Concluding: Democratic States as Institutions Enabling Autonomy

The pervasive security threat presented by terrorism hanging over European states and their citizens requires supra-EU-level responses in addition to state-level actions. In post-Cold War Europe, military alliances have emerged as decisive faultlines between European states, individually and collectively, and non-European states. In this new setting of fear and anxiety, European states are unable categorically to protect citizens against violence. States seek to provide their population with reassurance, in a sort of paternalistic strategy to legitimize state intervention. It is a grim time for reconfigured European states, and signals a new era of crisis rather than transformation in modern states, with core activities such as surveillance, ID checking, and policing reconfigured into salient dimensions of the state's presence. The persistence of economic discontent about relative wage decline, labour conditions under

neoliberalism, and insufficient provision of jobs for the under-thirties in many European states is a negative and dangerous complement to these concerns.

Democracy is a struggle. The changing scale of state reconfiguration is not immediately in favour of democratic forces, and indeed seems to increase the scope for inequalities. As the public policy literature has shown for quite a long time now, European states operate and respond to a set of diverse constituents: the people, other states and the EU, transnational jurisdictions and regulators, financial markets, and large transnational firms. The marginalization of collective voices from some public policies, the use of strategies to place the financing of major infrastructure off-budget, and the use of autonomous agencies for policy delivery underscores some tensions and contradictions. Poggi's 'unifying energy of the state' is harder to harness in this crisis-strewn context, as is finding a common political language capable of satisfying contradictory constituents.

The task is not impossible given state resources and lingering legitimacy, but it is a demanding task as the gap between voters and levels of the state have widened. As argued in respect to the US, although many policies deal with inequalities, European states are in part also inequality-making states. The combination of long-term austerity policy, racial, ethnic, and economic inequalities, and *État d'urgence*, point towards huge governing challenges and probable sources of populist discontent. Responses to these pressures already amount to a reconfiguration of European states, and the potential for these pressures to induce even deeper changes in governing practices and responses to voter discontent is evident. Beyond the security threat, financial austerity has undoubtedly pushed states towards leaner times and the introduction of coercive measures in income support and service delivery. As parties lose their traditional membership bases, election campaigns personalize party differences, and politicians struggle to articulate traditional messages about legitimacy and rights, so the capacity of states to satisfy polarized electorates falters. The pressures for reconfiguration can only intensify and not diminish as crises are managed rather than resolved. Watch this reconfigured space.

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Index

- 9/11 terrorist attack 302, 395, 397, 400, 401, 402, 442
- A vs UK* (1993) 360
- Abbott, Frederick 105, 105n13, 117
- Abbott, K. 63, 74
- About, I. 428, 446
- Abrams, Philip 3, 34, 82, 82n23
- Abu Ghraib 167
- Adey, P. 396, 401, 404, 407, 409, 410
- Adler, Paul S. 211, 212
- administrative reform 251, 253, 267, 272, 321n15
- politics of 270–1
- administrative state 82, 163
- Adshead, Maura 281, 292
- Aebi, M. 365, 373
- Africa 13, 32, 237, 400, 420, 429, 440, 443, 459
- Afghanistan 148, 377, 383, 438, 440, 443
- Agamben, G. 395, 405, 410
- agentification 47, 48, 51, 61, 260
- Agentschapen (Netherlands) 259
- Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) 71
- Aichele, V. 70, 74
- AIDS epidemic 400
- AIG 187
- Air France 190
- Airbnb 456
- Akerlof, G. A. 71, 74
- Akkerman, T. 425, 426
- Al Qaeda 398, 454
- Albania 438
- Albert, Michel 113, 117
- Alesina, Alberto 81n16, 123, 132, 133
- Alexander, J. C. 87n53
- Alitalia 186, 190
- Alter, Karen J. 66, 74, 108, 108n20, 118
- Alternative für Deutschland party (Germany) 463
- Amato, G. 234, 247
- America 23, 32, 65, 90, 107, 112, 113, 143, 148, 149, 151, 202, 219, 220, 253, 268, 298, 304, 305, 306, 308, 354, 358, 377–90, 402, 422, 429, 432, 434, 452, 457–61
- see also* US
- American Civil War 380, 380n2, 388, 458
- American Indians 382
- American Political Development (APD) 378
- Amsden, A. 159, 162, 163, 175
- Amsterdam 31, 432, 434
- Andean pact 116
- Anderson, B. 301, 310, 401, 403, 404, 407, 408, 409, 410, 461
- Anderson, Malcolm 30, 34
- Anderson, Perry 31, 34
- Anderson, T. 94n83
- Andersson, Jenny 29, 298–310, 400, 410
- Andreotti, Alberta 11, 13, 34
- Andreotti, Giulio 59, 60
- Andretta M. 426
- Andrews, D. M. 181, 197
- Anglo Irish Bank 72
- Ansell, C. 169, 175, 258, 259, 272, 401, 410
- anti-immigrants 462, 463
- anti-Semitism 435
- Applebaum, Anne 454, 465
- Arab Spring 377, 420
- Aradau, C. 298, 302, 310, 396, 405, 410
- Archer, Clive 106nn16–17, 116n33, 118
- Armington, Klaus 333, 348
- arm's-length activism 287–9
- arm's-length government 257–61, 269
- Art of the State, The* (Hood) 452
- Arthuis, Jean 115
- Articles of Confederation 388
- ASBOs 370–1
- Ascheri, M. 81n18
- Ashburton, Lord 109n24
- Asia 218, 459
- assimilation 12, 31, 284
- and crises and states 429–36
- and security and borders in member states 428–46
- state models of 430–1
- asylum applications 438, 444, 446
- non-EU, in EU28 member states 439
- Attac Germany 419, 426
- Aubusson de Cavarlay, B. 367, 373
- Aucoin, P. 252, 272
- austerity 2, 7, 10, 15, 19, 23, 24, 97, 114, 143–5, 147–52, 154, 269, 302, 308, 384, 417, 424, 425, 442, 446, 451, 453, 456, 465
- before Great Depression 333
- protests against, and call for 'real democracy' 420–3
- and reconfiguration of welfare state 331–48

- Australia 188, 253, 256, 355, 435
 Australian National University 93–4
 Austria 8, 23, 32, 52, 79, 188, 207, 218, 348,
 355, 433, 443, 444, 454, 459, 462
 Avant, D. D. 89n63
 AZF plant, Toulouse, France 395
 Aznar, Jose Maria 461
 Azoulai, L. 91n72
 autonomy 5, 20, 21, 26, 31, 46, 47, 59, 64,
 65, 67–9, 80, 98n2, 101, 111, 112,
 133, 215, 216, 219, 222, 227, 252–4,
 258–65, 269, 271, 286, 288, 292,
 357, 372, 405, 406, 425, 428,
 454, 456
 democratic states as institutions
 enabling 464–5
 and ineffectiveness 384–5
 Baccaro, Lucio 281, 292
 Bache, I. 267, 272
 backyard management 175
 in Eastern Europe 171–4
 in Southern Europe 167–71
 varieties of in EU 166–74
 Bacqué, M. H. 425, 426
 Badie, Bertrand 10, 19, 34, 46n3, 78, 78n5,
 84, 84n40
 Bähr, Holger 297
 Baldersheim, H. 258, 272
 Baldwin, P. 83n31, 394, 410
 Balkan states 32, 129, 165, 166, 173, 174,
 385, 443
 Ball, Stephen 30, 34
 Balls, Ed 52n18
 Baltic states 125, 165, 166, 346
 Banach-Gutierrez, J. B. 361, 374
 bank bailout schemes 204
 net cost of 207
 Bank for International Settlements 221, 241
 Bank of England 189
 Banque Publique d'Investissement 187, 188
 Barcelona 420, 431
 Barker, Alex 453, 465
 Barma, Naazneen Haider 280, 297
 Barnes, Lucy 279, 292
 Barnett, M. N. 62, 65, 75
 Barroso, José Manuel 308
 Barry, Frank 284, 288, 292
 Barta, Z. 323, 323nn20–1, 330
 Bartolini, Stefano 1, 34, 50n12
 Barthe, Y. 311
 Basel Committee on Banking Regulation 66,
 222, 223
 Basques 19, 20, 124, 436
 Bates, R. H. 93n80
 Bauböck, Rainer 11, 34
 Baumol, William J. 142, 155
 Baxter, C. 392
 Beaud, O. 82n24
 Beck, Ulrich 6, 34, 304, 311, 398, 410
 Beckel, Michael 213
 Beckert, J. 300, 301, 311
 Beisheim, M. 74, 75
 Belgium 8, 20, 52, 60, 124, 129, 187, 188, 207,
 218, 225, 226, 344, 363, 401, 402,
 433, 436
 Bell, Daniel 142, 154, 155
 Bell, S. 258, 267, 272
 Bellamy, Richard 128, 133
 Benamouzig, D. 268, 272
 Bendix, R. 414, 426
 Bendrath, R. 69, 75
 Benediktsdottir, Sigridur 223, 228
 Benn, Stanley 100, 118
 Bennhold, Katrin 447, 466
 Berlin 12, 452
 Berlin Wall 17, 22, 162, 308, 443
 Berlusconi, Silvio 49, 60, 254, 263
 Bermeo, Nancy 23, 34, 203, 212
 Bertuccioli, G. 83n30
 Besançon, J. 406, 410
Better Government Services (2002) 260
 Bevir, Mark 3, 5, 34
 Beyerler, Michelle 333, 348
 Bezes, Philippe 26, 28, 34, 35, 251–72, 273,
 307, 311, 321n17, 330
 Bickerton, Christopher 18, 19, 35, 45–74,
 47n6, 48n7, 48n8, 210, 212, 455,
 462, 465
 'Big Society' 194
 Bigo, Didier 33, 35, 395, 399, 401, 410
 Bill and Melinda Gates Foundation 69
 Binder, M. 77
 Binderkrantz, A. S. 264, 265, 273, 281, 292
 Birnbaum, Pierre 3n1, 10, 19, 34, 46n3, 78,
 78n5, 84, 84n40, 452, 465
 Black, Julia 281, 292
 Blair, Tony 49, 255, 256, 257, 338, 371
 Blanchard, Olivier 221, 228
 Blank, K. 39
 Blank, Stephen 218, 228
 Bleich, Erik 7, 35, 429, 447
 Block, F. 185, 192, 197, 281, 292
 Blum, G. 390, 393
 Blyth, Mark 21, 24, 35, 270, 271, 273, 279,
 292, 453, 454, 466
 Bobbit, P. 70, 75
 Böckenförde, E.-W. 80
 Boëne, Bernard 32, 35
 Boerzel, Tanja 283, 292
 Bohle, Dorothee 175
 Boin, A. 397, 398, 407, 410

- Boldrin, M. 171, 175
bonds 144, 149, 170, 192, 210, 240, 289, 314, 316–18
 solidity and fragility of pension political ‘promise’ 326–9
Bonelli, L. 371, 374
Bonoli, Giuliano 338, 348
Bonsai armies 384
Booth, William 432, 448
border control 428, 445, 446, 458, 464
 state and 436–44
borders 19, 30, 92, 116, 124, 127, 168, 215, 396, 402, 451, 463
 and assimilation and security in member states 428–46
 external 437–40
Bork, R. H. 234, 247
Bornschier, Simon 294
Borraz, Olivier 33, 394–409, 410, 457, 461
Borre, T. V. 72, 75
Borsch, Alexander 113, 118
Borzel, Talja 20, 35, 75
Bosnia 377, 385
Bossong, R. 403, 409, 410
Bottoms, Anthony 361, 374
Bouckaert, G. 266, 277, 278, 283, 296
Boudia, S. 400, 410
Bourdieu, Pierre 9, 35
Boutellier, H. 356, 365, 374
Bouyeri, Mohammed 432
Bouygues 190
Bowman, Andrew 151n15, 155
Boyer, R. 169, 176
Bradley, Mark 117
Braithwaite, John 281, 292
Brandsma, Gijs 53n19
Brazil 2, 382
Bremberg, N. 403, 403n3, 404, 410
Brenner, Neil 21, 35, 302, 311
Bretton Woods system 216, 217, 219, 314, 320
 end of 220–3
Brexit 18, 19, 24, 440, 441, 451, 453, 457, 459, 460, 463
Briani, V. 384, 391
Bringing the State Back In (Evans et al.) 84
Britain, *see* UK (United Kingdom)
Britz, M. 403, 403n3, 404, 410
Broderick, J. 403, 412
Brogden, M. 371, 374
Brookings Institution 93, 94
Brown, James 257
Brown, M. 300, 311
Brunell, Thomas 108n20, 120
Brunner, Otto 78, 78n3
Brussels 11, 17, 21, 31, 61, 95, 98, 162, 164, 171, 211, 431, 452, 454, 459
Bruszt, Laszlo 17, 158–75, 176, 456
BSE crisis 402
Buchanan, James M. 142, 143, 155
Buchholz, L. 303, 311
Budget Act (France, 2001) 263
Budget Act (Spain, 2011) 263
Bueno, Gerardo 105, 118
building territories 128–31
Buisson-Fernet, H. 35
Bulgaria 164, 165, 174, 347, 433, 441
Buller, J. 267, 274
Bundesbank 111
bureaucracy/ies 18, 19, 46, 47, 49, 51, 59, 64–6, 84, 95, 99, 163, 164, 173, 175, 251–4, 262, 265, 272, 314, 329, 380, 454, 458
 crisis in 401–5
 global trends and transformation of 266–71
 of performative state, reforms of 26–30
 reviving 269
bureaucratic composition 51
bureaucratic states
 neo-managerial turn of 251–72
 in Western Europe, reinforcing methods of steering and controlling 253–7
bureaucratization 269, 406
 of crisis management 404–5
 neoliberal 28
Burley, Anne-Marie 101, 108n20, 118
Burnham, J. 255, 273
Burrows, Matthew 308
Buruma, Ian 31, 35, 429, 432, 447
Bush, George W. 148
Byrne, Elaine 290, 292
Cabane, Lydie 33, 394–409, 410, 457, 461
Cabinet Office (UK) 257
Cable, V. 90n67
Cadiz 452
Caiani, M. 418, 426
Caeiro, Carolina 447
Caillousse, Jacques 17, 35
Caisse des Dépôts et Consignations (CDC) 187–8
Calder, Alexander 96
Caldwell, Christopher 463, 466
Calhoun, John 381
Callan, Tim 286, 292
Callimachi, Rukmini 432, 447, 454, 466
Calliess, G.-P. 68, 73, 75
Callon, M. 302, 311, 315n6, 330
Calomiris, Charles W. 223, 228
Cameron, David 441, 461
Cameron, David R. 204, 212
Campbell, Andrea 458, 459, 468

- Can Government Go Bankrupt?* (Peters and Rose) 86
- Canada 52, 101n6, 105, 124, 188, 252, 256, 428, 429, 435
- Canova, F. 171, 175
- Cantle, Ted 429, 431, 447
- Cantle Report 421
- Cantor, R. 320n13, 330
- Capability Programme (UK) 403
- Capital and Coercion* (Tilly) 80
- capitalism 2, 4, 5, 14, 15, 21, 22, 25, 27, 33, 58, 99, 103, 113, 117, 122, 279, 280, 331, 401, 414, 420, 423
 against state? 137–248
 making of transnational, capitalist policy member state 45–65
- Caplow, T. 82n25, 83n33
- Caporaso, James 22, 35
- Carlsson, Gösta Ingvar 153
- Carnahan, M. 94n81
- Carpenter, Daniel 18, 35, 458, 466
- Carroll, Patrick 3n2, 5, 28, 35, 80n9
- Casas-Cortes, Maribel 438, 447
- Casella Colombeau 428, 447
- Cassa Depositi e Prestiti 186, 188
- Cassese, Sabino 5, 5n3, 16, 18, 41, 42, 78–96, 78n1, 88n57, 88n58, 89n60, 175
- Cassis de Dijon* (1979) 114
- Castle, Stephen 447
- Catalonia 125, 129, 132
- Catholic–Protestant division 435
- Caulfield, Janice 296
- Cavadino, M. 357, 374
- Cawson, A. 181, 197
- Cederman, L.-E. 383, 391
- Cellule de Prospective 308
- Center for Global Policy 93
- Center for Systemic Peace 93
- Central Bank (Italy) 59
- Central Europe 21, 125, 161, 246, 247, 436
- Cerny, Philip G. 281, 293, 342, 348
- Champetier, B. 360, 374
- Chang, Michele 226, 229
- change 3–5, 7, 8, 17, 23, 26, 28, 32, 33, 46, 49–51, 54, 56, 59, 60, 74, 79, 94, 96, 101, 125, 127, 129, 139, 153, 170, 172, 202, 215, 219, 222, 225, 227, 235, 244, 245, 255, 257, 268, 279, 284, 287, 300–2, 304–7, 309, 310, 322, 332, 341, 343, 348, 359, 371, 383, 394, 397, 398, 400, 434, 436, 453
 to state
 and economic crises 179–97
 from new social movements 423–6
 measure of 13–15
- Channel (English Channel) 17
- Chantraine, G. 360, 374
- Charlie Hebdo* 31, 430
- Charlton, A. 162, 178
- Charron, N. 164, 176, 296
- Charter of Fundamental Rights (Nice Treaty) 359
- Chateaubriand, F.-R. 80n12
- Chevallier, J. 256, 273
- Chiapello, E. 319n10, 330
- Chicago economists 242
- Chile 237, 242, 382
- China 2, 83, 216, 440
- Chios, Greece 437
- Choe, D. 367, 374
- Chopin, Thierry 53n20, 112, 118
- Chrisafis, Angelique 434, 447
- Christensen, J. G. 264, 265, 273, 278, 281, 292
- Christensen, T. 256, 265, 273, 281, 293
- Christian Right (US) 434
- Christians 355, 357, 434, 442, 462
- Christiansen, T. 94n84, 95n84, 264
- Chrysler 186
- church–state cleavage, secular state or revival of 432–6
- Cini, M. 91n71
- Cipriani, Roberto 6, 35
- Citigroup 209
- citizenship 2, 9, 30, 89, 161, 212, 243–5, 288, 414, 415, 429, 431, 452, 454, 462
 of persons ordered to leave EU28 member states 440
- City of London 218, 223
- Ciudadanos party/movement (Spain) 421
- Civil Contingencies Act (UK) 403, 407
- Civil Contingencies Secretariat (UK) 403, 404
- Civil Protection and Disaster Law (Germany) 403
- civil society 56, 61, 62, 79, 82, 85, 94, 95, 151, 281, 288, 425
- Claessens, Stijn 223, 229
- Clarke, Blanaid 288, 293
- Clarke, J. 266, 273
- Clarke, L. 404, 410
- Clegg, S. R. 269, 273
- Clift, Ben 23, 35, 185, 197
- Clifton, J. 183, 197
- Clinton, Bill 145, 148
- Cliquennois, G. 360, 374
- Clunan, A. 401, 410
- Coaffee, J. 403, 410
- Coase, R. 234, 247
- Codex Alimentarius Commission 88
- Coen, D. 195, 197
- coercive powers of state 371, 373
 and human rights 359–60
 sources of 358–69

- Cohen, E. 181, 198
 Colasse, B. 318, 318n9, 330
 Cold War 11, 33, 298–302, 310, 379, 381,
 383, 386, 395, 397, 400, 402, 403, 407,
 409, 464
 legacy of 301–2
 state, and prediction 302–5
 Collier, S. 395, 396, 405, 411
 Columbia University 93
 Comatom programme 308
 Comín, F. 197
 Commissari à la réforme de l'État
 (France) 256
 Commission for Racial Equality 421
 Commission of the General Secretariats
 (France) 256
 Common Agricultural Policy 105
 Common Foreign and Security Policy 32
 comparative organizational analysis of the
 state 291
 Conceição, P. 72, 75
 concentrated ownership 233–4
 Condorelli, L. 93n76
 Confederacy 380
 conflict 27, 30–3, 47, 55, 57, 108, 143, 145,
 147, 159, 210, 234, 325, 326, 377, 379,
 380, 383, 384, 386, 414, 415, 418, 419,
 433, 435, 446, 451, 460, 463
 and rationalization 440–2
 resolution 5, 7, 66, 81, 457
 state and non-state authority and 74
 Congress (US) 72, 379, 380, 381, 383n3, 386,
 387, 458
 Congressional Budget Office (US) 52
 Connelly, John 219
 Conseil d'Etat 108, 259, 260, 274
 consolidation state 139–54
 and democracy 153–4
 Conservative Party (UK) 7, 180
 Conservative–LibDem Coalition (UK) 189
 contestation 23, 131, 235, 279, 307, 409
 under neoliberalism, problem of 241–5
 Continental Army 379
 Continental Illinois 221, 222
 control rights 102
 Convergència i Unió 126
 Cooley, Alexander 105n12, 118
 Coop 190
 Cooper, M. 408, 411
 Cooper, Richard N. 216, 229
 Copenhagen 17, 171, 431, 462
 Corsica 20
 Corsom G. 93n76
 cosmopolitanism 12
 COST-CRIPO
 Costa, P. 414, 426
 Costa v. Ente Nazionale per L'Energia Elettrica
 (Enel) (1964) 108, 108n19
 Council-Commission of the European
 Communities 168, 176
 Council Governance 259
 Council of Economic Advisors to Nixon
 administration 220
 Council of Economic Experts (Germany) 52
 Council of Europe 48, 446
 Council of European Studies (CES) 34
 Council of Ministers 53, 105, 106, 191, 247
 Council of the European Union 385, 391
 Cowen, Brian 72
 Cowhey, Peter F. 108n22, 118
 Crawford, A. 371, 374
 crime 6n5, 33, 88, 353, 359, 361–5, 367, 369,
 370, 372, 373
 and governing 354–8
 Crime and Disorder Act (UK) 357
 Crime Reduction Partnerships (UK) 357
 criminal justice in France, 2000s 368
 criminalization 363, 371–3
 in England and Wales 366
 in France 366
 in Germany 367
 crisis
 in bureaucracies 401–5
 different responses to 338
 experts and representations of 399–400
 from global to contextual view of 400–1
 management
 bureaucratization of 404–5
 redux 463–4
 reforming after 402–4
 representing 397–401
 and states and assimilation 429–36
 states of 394–409
 Croatia 47, 433, 444
 Crouch, Colin 5, 6, 21, 22, 23, 35, 123, 133,
 154, 155, 160, 169, 176, 182, 198,
 232–47, 279, 280, 293, 417, 426, 456
 Crozier, Michel 11, 36
 Culpepper, Pepper D. 209, 212
 Cutler, A. C. 62, 67, 68, 73, 75
 Cyprus 201, 207, 223, 227, 433
 Czech Republic 174, 188, 347, 433, 446
 Dahlström, C. 254, 255, 274
 Dahm, G. 86n49
 Dancygier, Rafaela M. 429, 447, 466
 Dandeker, Christopher 32, 35
 Danielsson, Jon 228
 Danish Contingency Association 208
 Danish Finance Ministry 208
 Danube region 125
 Dardot, Pierre 27, 36

- Daripa, Arup 229, 230
 Darling, Alistair 203, 213
 Davies, Grace 6, 36
 de Francesco, Fabrizio 282, 296
 De Gaulle, Charles 219
 De Groot, H. L. F. 176
 De la Porte, Caroline 345, 348
 De Larosière, Jacques 227, 229
 de Maillard, J. 371, 374
 Dean, Mitchell 7, 28, 36
 debt
 classification and social classes
 struggle 326–9
 metrics
 and control of present and future
 political order 313–29
 and fragile social order 316–17
 state 139, 142, 150, 151, 154
 to consolidation state 143–7
 decoupling 11, 12, 18, 100, 154, 202, 212,
 406, 407
 and rescaling 209–11
 Dedieu, F. 404, 411
 Defence Equipment and Support (UK) 26
 defence policy and European state 377–91
 Dehousse, Renaud 34
 Del Giorgio, E. 418, 426
 delegation 29, 64, 98, 101, 105, 109n23, 116,
 183, 191, 194, 267, 270–2, 282, 283, 288,
 310, 319, 403, 406, 408, 415, 454, 459
 combining and varying 261–6
 steering vs 253–61
 deliberative democracy 66, 69, 89, 420, 423
 della Porta, Donatella 33, 413–26
 Dellepiane-Avellaneda, Sebastian 285, 293
 Delors, Jacques 17, 246, 306, 308
 Delors Report (1989) 167, 168, 169, 176
 Dematteis, Giuseppe 133
 democracy 6n5, 33, 48, 50, 61, 66, 69, 85, 86,
 89, 93, 95, 143, 150, 151, 211, 237, 243,
 245, 247, 303
 and consolidation state 153–4
 crisis of ‘party democracy’ 54–8, 60
 enlarging 414
 global justice movement for
 another 417–20
 protests against austerity and call for
 ‘real’ 420–3
 and security 351–465
 and social movements and the state 413–26
 Democratic Republic of the Congo 385
 democratic state(s) 6n5, 413, 416
 in Europe, limits and fragilities of 454–7
 as institutions enabling autonomy 464–5
 Denmark 52, 188, 207, 261, 262, 264, 339,
 346, 355, 433, 444, 459, 462
 depoliticization 48, 49n9, 117
 arm’s-length government as new stage
 in 257–61
 Der Derian, James 4, 36
 Desrosières, Alain 27, 36, 314, 314nn3–4,
 315nn5–6, 330
 destabilizing effects of financial crisis 346–8
 Deudney, D. H. 379, 382, 386, 388, 391
 Deutsche Bank 208
 Deutschmark 17
 devolution 20, 358
 and steering 251–72
 Dexia banking group 225
 Di Mascio, F. 263, 274
 Diani, M. 413, 426
 Díaz Fuentes, D. 197
 Dicey, Albert Venn 84, 84n39, 91n70
 Diebold, William 105, 118
 Diefenbach, T. 269, 274
 Dietz, Thomas 15, 39
 differential development 385–9
 external pressures 385–6
 historical context 388–9
 institutions 386–8
 diffuse state, fragmented development of state
 capacity 285–7
 Dignan, J. 357, 374
 Dijkkstra, L. 176
 Dijsselbloem, Jeroen 227
 dilation of state 19–21
 Dimitrova, A. L. 160, 173, 176
 Dinan, Desmond 106n16, 108, 118
 Dingwerth, K. 68, 69, 75
 direct role of state in markets, apparent
 reduction of 185
 Dissent! A Network of Resistance against the
 G8 419–20, 426
 Djelic, Marie Laure 15, 36
 Dobbels, M. 95n84
 Dobbins, Frank 459, 466
 Dolezal, Martin 294, 427
 Dombret, Andreas 112n29, 114n31
 domestic markets 162, 167
 Donnelly, Michael J. 429, 447, 463, 466
 Donoghue, J. 371, 374
 Dorling, Danny 338, 348
 Downes, D. 355, 356, 374
 Draghi, Mario 226, 227
 Drahokoupil, Jan 29, 36
 Drenkhahn, K. 374
 Drori, G. S. 276
 Du Gay, Paul 14, 36, 93n76
 dualization and partial liberation in
 Continental Europe 340–1
 Dublin 452
 Dublin convention (1990) 437, 440–1, 446
 Dublin regime 437, 440, 446
 Duchesne, Sophie 18, 34, 36

- Due, J. 275
 Duguit, Léon 82, 82n22, 86, 86n45, 86n48
 Dünkelt, F. 362, 374
 Dunleavy, Patrick 39, 283, 293
 Dunn, John 1, 36
 Dunsire, Andrew 281, 283, 294
 Dyson, Kenneth 5, 36, 59n29, 159, 168, 176, 181, 198, 452, 466

 EADS 190
 Eastern Europe 4, 17, 20, 23, 29, 158–75, 246, 247, 344, 347, 436, 441, 445, 456
 e-bordering European state 442–3
 ECB Governing Council 227
 Ecker-Ehrhard, M. 77
 Economic and Monetary Union (EMU) 98, 109, 110, 110n26, 112–17, 165, 167–70, 309
 Economic Council (Denmark) 52
 economic crisis 1, 4, 7, 22, 97, 99n3, 113, 117, 133, 146, 279, 280, 284, 285, 394, 421, 425, 457, 459
 and state changes 179–97
 economic intervention 205, 235
 restructuring of welfare policies as mode of 341–6
 economic markets, reshaping of and state 179–97
 economic state capacities and European integration 158–75
 Eder, K. 413, 426
 Ederveen, S. 171, 176
 EDF (Electricité de France) 186
 Edgeworth, Brendan 281, 293
 Efficiency Unit (UK) 255
 Egeberg, M. 265, 274
 Eichengreen, B. 168, 176
 Eirchhorst, Werner 340, 341, 348
 Ekengren, M. 410
 Elbe River 403
 electoral accountability 66, 67, 69, 71, 72, 416, 419
 Elena Martinez-Torres, M. 427
 Elkins, Z. 181, 200
 Elliott, Anthony 13, 36
 Ellison, G. 371, 374
 Elster, Jon 54, 54n21
 embedded liberalism 215
 twilight of 217–19
Emergency Preparedness (2005) 408
 Emmer, Edward 320
 ENBW 186
 England (English) 17, 20, 47n5, 82, 84, 232, 238, 252, 259, 354, 355, 356, 358, 359, 363, 364, 370, 371, 373, 379, 388, 413, 414, 431, 453
 criminalization and attrition in 366
 English, William B. 112, 113, 118
 English Civil War 47n5
 Ennsner-Jedenastik, Laurenz 290, 293
 Entorf, H. 365, 374
 Epstein, D. L. 93n80
 Erika shipwreck 395
 Eriksson, A. 354, 376
 Erlanger, S. 384, 391
 Ertman, Thomas 46, 46n2, 80n9
 Erturk, Ismail 155
 Esping-Andersen, Gøsta 331n1, 340, 344, 348
 Estonia 164, 188, 243, 433
 ETA Basques 436
établissements publics 90, 260, 263
 EU (European Union) 2, 4, 5, 9, 12–14, 12n8, 16–21, 24, 29, 30, 33, 47, 48, 50n12, 53, 55, 57, 65, 66, 71, 73, 92, 97–101, 103–5, 108, 109, 111, 112, 114–17, 124, 125, 127, 158–60, 162–4, 166–75, 183–5, 190–2, 201, 204, 207, 210, 246, 247, 288, 308, 309, 319, 322, 345, 354, 359, 377, 378, 383, 385–91, 402, 403, 428, 437–46, 451, 454–65
 Common Security and Defence Policy (CSDP) 378, 384–5
 Democracy Initiative 93
 Fundamental Rights Agency (FRA) 438
 regulatory state 162
 Return Directive 438
 EU15 core economies 163, 166, 171
 EUCROSS project 13
 euro (currency) 17, 21, 111–12, 115, 169, 192, 218, 226, 342, 422, 452, 453
 Euro Area System Summit (2012) 226
 Eurocorps 32
 Eurogroup 53, 227
Europe 2020 Strategy 125, 308
 ‘Europe of the Regions’ 126
 European administrations 92
 transfer of forecasting to 305–6
 European Agency for the Management of Operational Cooperation at the External Borders (Frontex) 437
 European Asylum, Migration and Integration Fund (AMIF) 441
 European Asylum Support Office 437
 European Border and Coast Guard Agency 437
 European Border Surveillance System (EUROSUR) 437
 European Central Bank (ECB) 26, 89, 132, 189, 209, 226, 461
 European citizens 18–19, 308, 463
 European Coal and Steel Community 105, 246

- European Commission 53, 65, 91, 105, 108, 114, 162, 165, 169, 183, 184, 184n1, 190, 308, 309, 311, 313, 315, 317, 319, 320, 320n14, 322, 343, 383, 401, 402, 437, 463, 446, 453, 463, 466
- European Committee for Standardization 115
- European Committee for the Prevention of Torture (CPT) 360
- European construction 308
 - and financial accounting standards 319
- European Convention on Human Rights (ECHR) 17, 359, 360, 361, 369, 371, 372, 446
- European Council 53, 359, 360, 441, 443
- European Court of Human Rights (ECHR) 50, 65, 66, 359, 360, 361, 369, 371, 372, 446
- European Court of Justice (ECJ) 50, 66, 103, 104, 106–8, 114, 125, 163, 169, 446
- European Defence Agency (EDA) 385
- European Economic Community (EEC) 104–8
- European Employment Strategy (EES) 345
- European experience 221, 429–30
- European financial markets, re-embedding of 227–8
- European integration 18, 32, 48, 49, 53, 58n28, 59–61, 98, 100, 101, 106, 108, 182, 202, 210, 217, 224, 246, 247, 284, 308, 319, 378, 389, 436, 445
 - and economic state capacities 158–75
- European Merger Control Regulation (1989) 184
- European Migration Network (EMN) 442
- European Parliament (EP) 53, 66, 92, 104n9, 106, 247
- European Patrols Network 437
- European pensions and public debt
 - problem 315–16
- European Prison Rules 360
- European Refugees Funds 441
- European Returns Funds 441
- European Single Market 246
- European Social Charter 446
- European spatial frames 124–5
- European Spatial Development Perspective 124
- European Stability Mechanism 209
- European state(s)
 - and defence policy 377–91
 - e-bordering 442–3
 - vs national states 444
 - as policy states 7–10
 - rise and fall of 382–5
 - within world of states 15–21
- European transnational networks,
 - empowering beyond the state 97–117
- European Union, *see* EU
- European welfare systems, different crises of 336–7
- Europeanization 1, 32, 89, 158–60, 404, 436, 452
- Europol 437
- Eurostat 166, 207, 318, 320, 320n14, 322, 438–9
- Eurozone 53, 110, 124, 128, 168, 170, 189, 212, 314, 317, 320, 332, 336
- Evans, Peter B. 46n2, 84n42, 161, 176, 178, 280, 293
- Ewald, F. 409, 411
- expectation technologies 298
- expertise 18, 20, 49n11, 50, 63, 89, 117, 151, 191, 209, 285, 298–304, 306–10, 314, 319, 323, 399, 401, 402, 456, 458, 463
 - and states 309–10
- experts 24, 49, 53, 65, 66, 154, 162, 172, 183, 251, 308–10, 395, 396, 399–401, 409, 422, 458
 - and representations of crisis 399–400
- external borders 437–40
- external pressures 82, 90, 378, 379
 - and differential development 385–6
- Eyal, G. 303, 311
- Eyraud, C. 318n8, 330
- Facebook 421, 456
- Fagan, Gabriel 110, 111, 118
- Failed States Index 94
- Faist, Thomas 11, 34
- Falkner, Gerda 297
- Falletti, T. 258, 274
- Faludi, Andreas 125, 133
- Family Credits 338
- Fannie Mae 186, 187, 459
- Farrell, C. 266, 269, 274
- Farrell, H. 182, 198
- Fascism 86
- Fassin, Didier 3, 36, 395, 411
- Faucher-King, Florence 34, 461, 466
- Faure, M. G. 72, 75
- Favell, Adrian 13, 36, 175, 442, 447
- Fawcett, P. 256, 274
- FBI 432
- FDI (foreign direct investment) 159, 163, 165, 174, 287, 288, 290,
- Featherstone, Kenneth 59n29, 159, 168, 176
- Federal Agency for Emergency Management (FEMA) 402
- Federal Communications Commission 181
- federalism 19–21, 48, 112, 113, 458–60
- Feldman, D. 359, 374

- Feldstein, M. 168, 176, 221, 229
 Feldstein–Horioka puzzle 221, 222
 Ferguson, James 7, 36
 Fernet, Buisson 36
 Ferraresi, F. 84n37
 Ferrera, Maurizio 131, 133, 337, 348
 Fidesz party (Hungary) 462
 finance 21, 25, 53, 115, 139–41, 147, 154, 169,
 170, 180, 181, 183, 187, 210–12, 216,
 217, 221, 223, 225, 257, 284, 285, 314,
 317, 319–21, 323, 335, 406, 444, 451,
 456, 458
 paradox of state capacity in 202–5
 and government, ambiguity of
 relations 206–9
 financial accounting standards and European
 construction 319
 financial crisis 1, 22, 73, 86, 145, 152n16, 170,
 186, 187n5, 195, 201, 202, 205, 206,
 209, 216, 227, 233, 234, 238, 243, 246,
 308, 326, 327, 397, 417, 421, 455, 456
 destabilizing effects of 346–8
 Financial Crisis Inquiry Commission 203, 213
 Financial Conduct Authority 191
 financial-inspired metrics inside state's
 apparatus, expansion of 317–18
 financial institutions 161, 187, 201–5, 209–11,
 220–5, 227, 327, 419
 financial integration 209
 and national state 215–28
 Financial Management Initiative (FMI) 256
 Financial Services Authority (FSA) 191
 Finland 98, 188, 256, 339, 373, 433
 Finnemore, M. 62, 65, 75, 89n63
 Finotelli, Claudia 445, 449
 Fioravanti, M. 85n44
 First World War 82, 86, 215, 381, 383
 Fiscal Compact (2012) 149
 Fiscal Council (Hungary) 52
 fiscal councils 52
 fiscal crisis 1, 2, 11, 22–4, 99, 109, 110n27,
 115, 146, 153, 346, 347, 354
 of state 140–3
 fiscal democracy 150, 154
 Fiscal Policy Council (Sweden) 52
 fiscal regime 113, 139, 147
 fiscal sociology 139
 FitzPatrick, Sean 72
 Flanders 20, 125, 129, 132
 Flemish nationalism 126
 Flesher Fominaya, C. 426
 flexicurity in Nordic countries 339–40
 Fligstein, Neil 17, 36, 437, 441, 447
 Flinders, M. 260, 262, 267, 271, 272, 274,
 283, 293
 Flynn, A. 274
 Folkman, Peter 155
 Fondo Strategico 187
 Font, J. 425, 426
 Food and Drug Administration (FDA) 458
 For Learn electronic learning tool 309
 Fordism 25
 forecasting 299, 303–7, 309, 322
 transfer to European
 administrations 305–6
 Foreign Legion 383
 Foreign Office (UK) 53
 Foreign Policy 94
 Foresight Unit in DG Research 309
 Forest Stewardship Council (FSC) 68, 69
 Former Yugoslav Republic of Macedonia 385
 Forsthoff, Ernst 79, 79n6, 81n20, 86n47
 Fortis banking group 225
 Fortress Europe 442, 445
 Forward Studies Unit 308, 309
 Forza Italia 49, 60
 Foss Hansen H. 264, 265, 274
 Foucault, Michel 3n2, 7, 26, 28, 36, 395
 Founding Fathers (US) 103
 Fourcade, Marion 36
 Fourquet, Laure 447, 466
 Fourès, F. 403, 411
 Foy, Henry 442, 450
 fragmentation 9, 10, 29, 90, 94, 252, 262, 267,
 378, 458
 in structures of state 268
 France 6, 8, 11, 17, 20, 32, 56, 82, 84, 86, 108,
 110n27, 112, 180–3, 184n3, 186–90,
 192, 204, 207, 217, 225, 226, 234, 242,
 245, 254–63, 306, 313, 317, 318, 321,
 324, 327, 340, 341, 344, 346, 354, 355,
 359, 361–3, 365–73, 388, 390, 401–3,
 406, 408, 425, 429, 430, 433, 435, 438,
 441, 444, 451, 460, 462
 criminalization and attrition in 366
 criminal justice in 368
 France Télécom 187
 Frances, J. 92n75
 Frankfurt 11
 Frazer, Elizabeth 36
 Freddie Mac 186, 187, 459
Free Economy and the Strong State, The
 (Gamble) 238
 Freedom Party (Austria) 23, 454
 Freeman, Jody 281, 293
 French Plan 206
 French Revolution 79
 French Treasury 324, 325
 Frey, Timotheos 294
 Frieden, J. 177, 215, 229
 Friedman, Milton 4, 237
 Friuli-Venezia-Giulia 129

- From the New Deal to the Crime Deal* (Simon) 355
- Front National (France) 433, 464
- Frontex (European Agency for the Management of Operational Cooperation at the External Borders) 437
- Froud, Julie 155
- Fukushima nuclear accident 397
- Fukuyama, Francis 96n87, 122, 133
- Fuller, Gregory W. 25, 215–28, 229, 455
- Fuller, L.L. 91n71
- functional rescaling 122–4, 126, 130
- Fund for Peace 94
- G20 48, 73, 204
- Gamble, Andrew 4, 36, 192, 195, 198, 238, 248
- Garland, D. 353, 355, 357, 358, 360, 364, 365, 374
- Garrett, Geoffrey 62, 75, 108n21, 110, 118, 182, 198, 337, 348
- Gaskell, G. 412
- Gaspar, Victor 110, 111, 118
- Gaza 443
- GDF 190
- Geddes, Andrew 445, 447
- Geertz, Clifford 46
- Geithner, Timothy F. 209, 203, 213
- Gelpern, A. 314n1, 330
- Gencarelli, F. 94n84
- General Agreement on Tariffs and Trade (GATT) 66, 106
- General Motors 186
- General Public Policy Review System (RGPP) (France) 256
- General Staff (US) 381
- Geng, B. 374
- Genieys, William 10, 36
- Genschel, Philipp 15, 62–74, 75, 117, 144n7, 155
- George, Stephen 118
- George Mason University 93
- Georgia 47, 377
- Gereffi, G. 161, 177
- German Democratic Republic, former 171
- German Institute for Standardization (DIN) 67
- German Supreme Court 359
- Germany 6, 6n5, 10, 11, 17, 20, 21, 52, 56, 65, 67, 79, 80, 83, 84, 86, 87, 97, 106, 108, 110–12, 125, 129, 140, 141, 142n5, 149, 171, 181, 183, 186, 188, 204, 205, 207, 208, 217–19, 221, 224, 226, 234, 322, 327, 337, 340, 341, 344, 346–8, 354, 355, 357, 359, 361, 362, 365, 370, 372, 373, 381, 383, 390, 401–3, 408, 419, 425, 429, 433, 435, 438, 444, 446, 453, 459, 461–3
- criminalization and attrition in 367
- Gerodimos, R. 406, 411
- Gerstle, Gary 379, 391, 457, 458, 459, 466
- Ghani, A. 94n81
- Giavazzi, Francesco 221, 228
- Gibbons, M. T. 312
- Giddens, A. 30, 37, 398, 411
- Giegerich, B. 377, 391
- Gilardi, F. 183, 198, 281, 293
- Gilbert, Felix 46n2
- Gilling, D. 364, 357, 375
- Gilpin, Robert 216, 229
- Gingrich, Jane 24, 25, 37, 258, 259, 272, 291, 293
- Ginsborg, Paul 49n10, 59n29, 60
- Giscard d'Estaing, Valéry 149
- Gitlin, T. 426
- Glaeser, Andreas 3, 4, 37
- Glaeser, Edward L. 281, 293
- Glenn, H. P. 80
- Global Aging: An Irreversible Truth (Standard and Poor's, 2010) 323–4
- global banks, parochial banks and primacy of politics 223–6
- Global Justice Movement 424, 425
- for another democracy 417–20
- global polity 16
- from nation-state to 78–96
- global trends 253
- and transformation of public bureaucracies in Europe 266–71
- global view to contextual view of crises 400–1
- globalization 1, 4–6, 10–12, 14, 22, 68, 85, 88, 90, 93, 95, 96, 122, 166, 181, 182, 245, 337, 338, 342, 394, 398, 401, 416, 418, 419
- Goetz, Edward G. 128n1, 133
- Goetz, Klaus H. 283, 293
- Gold Standard 215
- Goldscheid, Rudolf 141, 141n4, 142, 155
- Goldstone, J. A. 93n80
- Gonenc, Rauf 113, 117
- Goodhart, Charles 211n1, 220, 222, 229
- Google 456
- Gorbachev, Mikhail 60
- Gordon, J. IV 392
- Gordon, Richard L. 105n14, 118
- Gothenburg, Sweden 463
- governance 8, 9, 11, 12, 20, 29, 48, 53, 62, 65, 67, 90, 99, 102, 128, 141, 154, 161, 164, 170, 172, 180, 187n5, 205, 209, 223, 239, 266–8, 281, 282, 299–302, 304, 307, 308, 310, 388, 394, 396, 400, 401, 419, 430, 437, 457, 458, 464

- new modes of 109–15
Governing through Crime (Simon) 355
 government
 debt in OECD countries 147
 expenditure in OECD countries 147
 and finance, ambiguity of relations 206–9
 by image 307–9
 Government Debt Committee (Austria) 52
 governmentalization 7–10
 Gowa, Joanne 219, 229
 Goyal, Rishi 111n28, 118
 Graham, K. 213
 Graham, S. 410
 Gramlich, Edward M. 156
 Gramsci, Antonio 97
 Grande, Edgar 6, 34, 294
grands projets 192, 193, 197
 Grange, E. 427
 Grant, W. 195, 198, 209, 213
 Gray, A. 256, 274
 Graziani, Luigi 135
 Great Britain, *see* UK (United Kingdom)
 Great Depression 22, 23, 99n3, 320n13, 333
 Great Recession 24, 455
 Great Society 305
 Greece 4, 22, 23, 60, 71, 97, 99, 110, 164, 171,
 187, 188, 192, 201, 207, 228, 317, 346,
 347, 420, 421, 423, 424, 425, 433, 437,
 438, 443, 444, 446, 462
 Greek Indignados 420, 421
 Greek islands 437, 443, 452
 Green, D. 357, 375
 Greengrass, Mark 79, 79n8
 Greskovits, B. 160, 176
 Greve, C. 259, 274
 Grieco, Joseph 108n21, 118
 Grin, J. 426
 Gruber, Lloyd 217, 229
 Grzymala-Busse, Anna 175
 Guantanamo Bay 67
 Guildford Four 370
 Guilhot, N. 303, 311
 Guiraudon, Virginie 13, 36, 430, 447,
 451, 466
 Gulati, M. 314n1, 330
 Gumpłowicz, Ludwig 82
 Gunther, Richard 33, 37
 Gupta, Akhil 7, 36, 37
 Gurr, T. R. 93n80

 H1N1 (swine flu) pandemic 397, 400
 Haas, Ernst B. 105n14, 118
 Haber, Stephen H. 223, 228
 Habermas, Jürgen 48, 48n7, 88n59
 Hacker, Jacob 8, 37, 206, 213, 455, 466
 Haegel, Florence 36
 Haffert, Lukas 145n8, 149, 149n14, 150, 151,
 152, 152n16, 153, 155
 Häge, F. M. 183, 186, 200
 Haggard, S. 161, 177
 Hainmueller, Jens 430, 447
 Hajer, M. 426
 Haken, N. 94n83
 Hall, Peter 2, 34, 37, 182, 198, 264, 274, 279,
 281, 288, 292, 293, 332, 334, 349,
 357, 375
 Halpern, Charlotte 9, 37
 Hamburg 452
 Hamilton, C. 354, 375
 Hancké, B. 182, 198
 Hansen, K. 355, 374
 Hansen, Peo 6, 37
 Hansen, Randall 442, 447, 452, 466
 Harcourt, B. 354, 375
 hard (military) politics, decline of 30–3
 Harden, Ian 281, 294
 Hardie, Iain 204, 213, 225, 229
 Hardiman, Niamh 29, 99n2, 268, 274,
 279–92, 293, 294
 Harding, C. 361, 374
 Harrop, Jeffrey 106n16, 118
 Hart, Oliver 102, 118, 119
 Harvey, David 201, 213
Hashman and Harrup vs UK 371
 Haslam, Colin 155
 Hassel, A. 68, 75
 Haufler, V. 75
 Hawii 382
 Hay, Colin 5, 24, 25, 34, 37, 49n9, 117,
 331–48, 337, 342, 345, 346, 349
 Hayek, Friedrich 4, 237, 238, 242, 243
 Hayward, J. E. S. 180, 181, 192, 198
 Healey, J. 379, 391
 Heath, Edward 49, 58
 Heclo, Hugh 156
 Hegel, Georg Wilhelm Friedrich 79, 82, 86
 Hegelian theory 83
 Hegemann, H. 403, 409, 410
 Heipertz, M. 168, 177
 Helbling, M. 427
 Héléne Pons, Xavier 36
 Helleiner, E. 185, 198, 215, 219, 229
 Hemerijck, A. C. 67, 75, 281, 294, 333, 349
 Hendry, K. 94n83
 Henke, Marina 37, 117
 Henman, Paul 27, 28, 37
 Henning, C. Randall 109n24, 112, 113, 114, 119
 Heritier, Adrienne 175, 283, 294
 Hermes, operation 437
 Herrschel, Tassilio 125, 133
 Herstatt 221
 Hervieu-Léger, Danièle 6, 36

- Hibou, Beatrice 27, 37, 266, 274
 Higgott, Richard 203, 213
 High Commission of European Coal and Steel
 Community 105
 High Council of Finance (Belgium) 52
 high tech 22, 27–8
Hill vs West Yorkshire 361
 Hindmoor, A. 258, 267, 272
 Hinds, Lyn 353, 354, 375
 Hinsley, F. H. 100, 119
 Hintze, Otto 46, 78, 78n4
 Hirschfeld, Gerhard 429, 448
 Hirsi Ali, Ayaan 31, 434, 448
 Hirst, D. 181, 182, 198
 Hiscox, Michael 430, 447
 historical sociology 3n1, 46
 Hix, Simon 104n9, 119
 Hobbes, Thomas 47, 47n5, 79
 Hobbesianism 1, 8, 30
 Hodson, Dermot 48n7
 Hofer, Norbert 23
 Hofmann, J. 75
 Hofmann, Stephanie C. 39
 Hoggett, P. 266, 274
 Hoglinger, D. 427
 Hollande, François 194
 Hollifield, James 29, 37
 Hollywood 306
 Holmberg, Sören 296
 Holmes, D. R. 311
 Holstram, Bengt 102, 119
 Holmes, P. 197, 308
 Home Office (UK) 53, 357
 Hong Kong 440
 Honohan, Patrick 288, 293
 Hood, Christopher 26, 28, 29, 37, 193, 194,
 198, 252, 257, 262, 266, 269, 270, 275,
 281, 283, 294, 452, 466
 Hooghe, Liesbet 39, 169, 170, 177
 Hopkins, Daniel J. 430, 447
 Höpner, M. 67, 75
 Horioka, Charles 221, 229
 Howard, C. 74, 75, 459, 466
 Howarth, David 204, 213, 224, 225, 227, 229
 Howell, Chris 281, 292
 Howlett, M. 196, 198
 HS2 (High Speed 2) project 192
 Hsu, C.-C. 304, 311
 Huber, Evelynne 38, 428, 448, 453, 466, 467
 Huber, M. 412
 Hudson, John 344, 349
 Hudson Institute 306
 Hufbauer, Gary 115, 119
 Hughes, James 436, 448
 human rights 16, 17, 33, 66, 418, 419, 424,
 433, 445, 446
 and coercion in Europe 359–60
 law 70
 and protection of body and soul of
 individuals 360–3
 Human Rights Act (UK, 1998) 359
 Hungary 23, 52, 89, 188, 207, 346, 433, 438,
 442, 443, 446, 454, 459, 460, 462
 Huntington, Samuel 36, 383n3, 386, 391
 Hurricane Katrina 400, 402
 Hurtig, Serge 106, 119
 Husain, E. 433, 448
 Hutter, S. 427
 Hwang, H. 276
 Hypo Real Estate 205

 i Marín, Xavier Fernández 294
 Ibsen, C. I. 261, 275
 Iceland 187, 188, 201, 203, 223, 355, 397,
 410, 421
 Iglesias, O. 425, 426
 IKB Deutsche Industriebank 207
 Ikenberry, G. John 215, 229
 IMF 241, 248
 Immerfall, Stefan 11, 41
 immigrants 11, 21, 31, 243, 245, 428–30, 432,
 435, 437, 438, 441, 445, 452, 454,
 461–3
 immigration 12, 29, 31, 362, 429, 430, 435,
 437–43, 445, 446, 457, 460, 462, 463
In re Neagle 387
 incomplete contracting in EU 97–117
 and rise of supranational
 adjudication 103–9
 and surrendering governance to third
 parties 101–3
 Independent Review Panel (Wright
 Report) 285, 294
 Index of State Weakness in the Developing
 World 94
 Indignados 420, 421
 indirect state 180–3, 189, 197
 Industrial Development Authority (IDA)
 (Ireland) 288, 290
 Indymedia 426
 ineffectiveness 390
 and autonomy 384–5
 inflation 24, 55, 143–5, 169, 191, 218, 220,
 314, 315, 323, 328, 332, 335, 342
 industrial policy 181, 184, 185, 192, 197, 223,
 224, 288
Inside Job 206
 Institute for Prospective Technology Studies
 (IPTS) 308, 309
 Institute for Security Studies 384
 Institute for State Effectiveness 93
 institutional balance 46, 49–51, 58

- institutional entrepreneurs 280
- institutionalization 4, 10, 132, 251, 269, 272, 440, 452
- institutions and differential development 386–8
- intermediary state 70, 71
- intermediation 70–1
- International Accounting Standards Board (IASB) 68, 73, 318
- International Accounting Standards Committee (IASC) 319
- international actors 64, 65, 70, 71
- international authority 65–6, 70, 71
- International Court of Justice (ICJ) 66
- International Electrotechnical Commission (IEC) 89
- International Federation of Accountants (IFAC) 318
- International Federation of the National Standards Associations (ISA) 64, 64n1
- International Financial Reporting Standards (IFRS) 315
- International Labor Organization 85, 204, 213
- International Monetary Fund (IMF) 52, 66, 111, 140, 144n7, 145, 172, 241, 313, 347, 419, 422
- International Olympic Committee 92
- international organizations 3, 7, 15–21, 30, 45, 48, 64–6, 74, 85, 88, 90, 104, 140, 144n7, 172, 187, 252, 313, 342, 399, 422
- International Public Sector Accounting Standards 318, 319
- International Red Cross 64
- international relations (IR) 15, 107
- International Risk Governance Council (IRGC) 400
- International Standards Organization (ISO) 64n1, 67, 68
- Internet 12, 28, 68, 88, 418, 422, 434
- Internet Corporation for Assigned Names and Numbers (ICANN) 68, 69, 88, 89
- Introduction to the Study of the Law and Constitution* (Dicey) 84
- IPTS (Institute for Prospective Technology Studies) 309, 311
- Iraq 148, 383, 431, 438, 443
- IRAs (independent regulatory agencies) 183, 190–4, 196, 197
- Ireland 22, 29, 71, 97, 110n27, 187, 188, 201, 203, 207, 208, 225, 226, 346, 347, 354, 420, 423, 433, 436
 - complexities of state: statism and liberalism 284–5
 - tracking the state in liberal economy 279–92
- IRGC 400, 411
- Irish Bar Council 282
- Irish Fiscal Advisory Council 288
- Irish Law Society 282
- Irish Republicans 436
- Irish State Administration Database 282, 284, 291
- Iron Curtain
- Irondelle, Bastien 39
- IS, *see* Islamic State
- Isin, Engin F. 33, 37
- ISIS, *see* Islamic State
- Israel 87, 87n55,
- Islam 31, 242, 245, 428–30, 432–4, 442, 454, 461
- Islamic extremists/terrorists 21, 31, 242, 245, 428–30, 432–3, 442, 454
- Islamic State (IS, ISIS) 431–2, 454
- Istanbul 12, 420
- Italy 6, 10, 11, 20, 46, 49, 59, 82–6, 108, 110n27, 125, 129, 164, 165, 186, 187, 188, 190, 192, 204, 207, 220, 242, 254, 255, 257–9, 262, 263, 323, 346, 347, 370, 372, 384, 390, 401, 403, 420, 423, 425, 433, 438, 441, 444, 446
- Jabko, Nicolas 206, 213, 224, 229
- Jachtenfuchs, M. 66, 75
- Jacobs, Lawrence R. 7, 25, 37, 89n62, 454, 458, 461, 467
- Jacobsson, Bengt 464, 466
- Jacobsson, Kerstin 345, 348
- Jacoby, Wade 160, 166, 175, 177
- James, O. 256, 257, 259, 275
- Japan 188, 203, 218, 245, 460
- Jasanoff, S. 301, 311
- Jayasuriya, Kanishka 281, 294
- Jeannot, G. 262, 273
- Jeanpierre, L. 329, 329n29, 330
- Jehle, J.-M. 367, 369, 375
- Jellinek, Georg 84
- Jenkins, B. 274
- Jenson, Jane 333, 344, 349
- Jessop, Bob 2, 3, 6, 24, 37, 158, 177, 266, 275, 342, 349, 451, 467
- Jews 31
- Joana, Jean 10, 37
- Jobard, Fabien 33, 353–73, 375, 376, 457
- Jobert, Bruno 8, 38, 82n28, 332, 334, 349
- Johal, Sukhdev 155
- Johnson, A. 384, 391
- Johnson, S. E. 392
- Johnson, Simon 206, 213
- Jones, Erik 25, 110n25, 119, 159, 177, 195, 198, 215–28, 229, 230, 453, 455, 467
- Jones, G. W. 275

- Jonsson, Stefan 6, 37
 Joppke, Christian 33, 38, 430, 433, 434, 448
 Jordan, A. 267, 275
 Jordana, Jacint 291, 294
 Jospin, Lionel 190
 Josselin, Daphne 222, 230
 judicial accountability 66, 69, 70
 judicial independence 66
 judiciary 109, 162, 164, 173, 175, 282,
 356, 459
 effectiveness of 165
 Judt, T. 395, 411
 Juncker, Jean-Claude 453
 Juppé, Alain 256
 Juris, J. F. 423, 427
- Kahler, M. 65, 76
 Kahn, Herman 304, 306
Kaiserreich 79
 Kaminski, D. 359, 360, 364, 365, 374, 375
 Kant, Immanuel 92, 92n74, 93, 93n78
 Kantor, Paul 127, 134
 Kapur, Sandeep 229
 Karl, B. D. 381, 391
 Karyotis, G. 424, 427
 Katz, R. 273, 270, 271, 275
 Katzenstein, Peter J. 135, 216, 230
 Katznelson, I. 381, 382, 386, 387, 392
 Kaufman, R. R. 161, 177
 Kaul, I. 70, 76
 Keane, Claire 292
 Keating, Michael 20, 121–33, 134, 159, 170,
 177, 258, 275
 Keck, M. 62, 76
 Keleman, Daniel 118
 Kelsen, Hans 79, 79n7
 Keizer, A. G. 298, 307, 310
 Kenny, Enda 284–5, 294
 Kenworthy, L. 64, 77
 Keohane, R. O. 64, 66, 76
 Kepel, Gilles 430, 448
 Kessler, Martin 109n24, 112, 113, 114, 119
 Kestler, Carl 113, 119
 Keynesianism 4, 24, 58, 111, 122, 123, 143,
 158, 169, 181, 182, 195, 280, 314, 329,
 332, 334, 335, 341, 342, 343, 346
 Kim, S. H. 301, 311
 Kindleberger, Charles 215, 230
 King, Desmond 1–34, 37, 38, 84n35, 84n36,
 85n43, 88n57, 89n62, 93n76, 93n77,
 100n4, 117, 192, 194, 198, 199,
 202, 210, 236, 244, 245, 306, 311, 336,
 338, 349, 415, 427, 428–46, 448,
 451–65, 467
 King, M. 376
 King, N. B. 402, 411
- Kinkelly, U. 361, 375
 Kirby, Peadar 281, 292, 294
 Kirchheimer, O. 270, 275, 354, 376
 Kirchner, E. 94n84
 Kirshner, Jonathan 216, 230, 451, 467
 Kissling, C. 77
 Kitschelt, H. 415, 427
 Klinenberg, E. 404, 411
 Kling, Arnold 216, 230
 Knowles, S. G. 401, 411
 Kok, W. 308, 311
 Koopmans, Ruud 461, 463, 467
 Kos, Greece 437, 452
 Kosovo 377, 433
 Kotlikoff, L. J. 321, 321n15, 323, 330
 Kouachi brothers 430
 Kowalski, P. 187n5, 199
 Krasner, Stephen D. 62, 76, 100, 119, 100n5
 Kreditanstalt für Wiederaufbau (KfW) 188
 Kreile, Michael 218, 230
 Kriesi, Hanspeter 280, 294, 424, 427
 Krippner, Greta 22, 38, 142, 155
 Krouwel, A. 270, 275
 Kruck, A. 320n12, 330
 Krugman, Paul 123, 134, 195, 199
 Kudrna, Zdenek 226, 230
 Kuebler, Daniel 297
 Kuhlmann, Sabine 291, 295
 Kühner, Stefan 344, 349
 Kuokštis, Vytautas 175
 Kuper, Simon 432, 448
 Kwak, James 206, 213
 Kwiecién, R. 93
 Kwon, Seok-Woo 211, 212
 Kydland, Finn E. 55n22
 Kyoto agreement 92
- La Porta, Rafael 281, 295
 La Poste (Italy) 186
 Labour Party (UK) 180, 190, 223, 253, 260,
 271, 339, 356, 358, 429, 461
 Lacey, Nicola 357, 375
 Lachat, Romain 294
 Lachmann, Richard 11, 38
 Ladeur, K.-H. 91n69, 93n77
 Lægreid, P. 256, 265, 273, 278, 281, 293
 Laeken declaration 308
 Laeven, Luc 204, 213
 Laffan, B. 167, 168, 177
 Lai, D. 392
 Laitin, David D. 429, 447, 463, 466
 Lakoff, A. 298, 302, 311, 395, 396, 404,
 405, 411
 Lamont, Michèle 34
 Lane, Jan-Erik 291, 295
 Lane, Philip R. 110, 110n27, 112, 119, 170, 177

- Langbein, J. 167, 176
 Lange, Matthew 38, 448, 466, 467
 Lanza, D. 80n14
 Lappi-Seppälä, T. 355, 357, 364, 375
 Lapuente, V. 176
 Larrabee, F. S. 384, 385, 392
 Larsen, T. P. 275
 Lascoumes, Pierre 9, 27, 37, 38, 186, 199, 298, 311, 441, 448, 452, 467
 Latin America 9, 90, 161, 163, 222, 237, 354
 Latour, Bruno 3n2, 9, 38
 Laval, Christian 27, 36
 Latvia 207, 243, 433
 law 359–63
 Law, John 155
 Law and Justice Party (Poland) 454, 459
 Law Commission (UK) 371
 Lawrence, K. 94n83
 Le Cacheux, J. 169, 177
 Le Fonds stratégique d'investissement (FSI) 187
 Le Galès, Patrick 1–34, 35, 37, 38, 88n57, 97, 117, 127, 130, 133, 134, 186, 199, 202, 210, 236, 244, 245, 266, 275, 298, 311, 336, 428–46, 448, 451–65, 466, 467
 Le Lann, Y. 321n16, 330
 Le Lidec, P. 254, 255, 256, 273
 Le Pen, Marie 433, 464
 League of Nations 3
 Leaver, Adam 155
 Leca, Jean 5, 38
 Lee, J. 371, 375
 Leendertz, A. 298, 311
 Lega Norde, Italy 20, 129
 legitimacy 1, 2, 6n5, 9–11, 16, 25, 50, 60, 64, 66, 68–70, 72–4, 89, 115, 121, 143, 216, 242–4, 246, 247, 267, 309, 319, 360, 377, 401, 402, 406, 415–17, 421, 441, 455, 457, 465
 populist challenge to European states 461–3
 legitimizing power 63, 65–7, 69
 Lehman Brothers 203, 227
 Lehmkuhl, Dirk 283, 294
 Leib, V. 75
 Leibfried, Stephan 2, 5n4, 6, 6n5, 38, 448, 453, 466, 467
 Leiken, Robert S. 429, 430, 431, 432, 433, 448
 Leipzig declaration (2007) 125
 Lemoine, Benjamin 7, 18, 29, 313–29, 319n10, 321n16, 330, 461
 Lenaerts, K. 91n72
 Lenin, Vladimir 242
 Lentzos, F. 396, 408, 411
 Lequesne, Christian 20, 38, 53n20
 Leros, Greece 452
 Lesbos, Greece 437, 452
 Levacic, R. 92n75
 Levey, David 323
 Levinthal, Dave 213
 Levi, Margaret 6, 38
 Levi-Faur, D. 67, 76, 294, 281, 291, 295
 Levich, R. 241, 248
 Levy, Jonah 22, 38, 67, 76, 90n64, 185, 199, 280, 291, 295, 448, 453, 466, 461, 467
 Lewis, O. 96n85
 liberal democracy 415, 436
 obduracy of 416
 liberal development state 164
 arm's-length activism 287–9
 liberal economy, tracking the state in 279–92
 liberal order, protecting future of 302–5
 liberalism 141, 181, 215, 244, 303, 314n3, 339, 403
 and statism 284–5
 liberalization 10, 21, 25, 68, 106, 161, 166, 169, 170, 172, 174, 185, 196, 220–4, 280, 281, 292, 460
 in Britain 338–9
 partial, and dualization in Continental Europe 340–1
 Libya 383, 384, 443
 Lichbach, Mark Irving 45n1
 Lieberman Robert C. 7, 38, 84n35, 84n36, 85n43, 93n76, 93n77, 458, 459, 467
 Light, P. 187, 199, 260, 266, 275
 Lijphart, Arend 357
 limited state, limitations of 22, 232–47
 Linde, A. 365, 373
 Lindvall, J. 264, 265, 276
 Ling, T. 256, 276
 Linke party (Germany) 129
 Linz, J. 161, 177
 Lijphart, Arend 436, 448
 Lipset, Seymour M. 434, 448
 Lisbon strategy 308
 Lisbon Treaty 125, 359, 387
 Lithuania 297, 433
 Lloyds 190
 Lockhart, C. 94n81
 Lockheed Martin 67
 Lodge, M. 257, 275, 291, 292, 295, 406, 407, 411
 Loi Organique Relative aux Lois de Finances (LOLF) (France) 257, 261, 263, 264, 321
 London 20, 21, 31, 32, 218, 223, 400, 402, 431, 434
 London Electricity 186
 London Social Forum 420, 427
 London Underground bombing (2007) 434
 Long-Term Capital Management 207

- Lopez-de-Silanes, Florencio 295
 Loughlin, Martin 17, 38
 Louis XIV 380n1
 Loveridge, D. 300, 312
 Lovering, John 123, 134
 Lowi, T. J. 93n77
 Lowndes, V. 425, 427
 Lucassen, L. 428, 448
 Luehrman, Sarah 447
 Luna, E. 367, 375
 Lustik, M. B. 93n80
 Lütz, Susanne 224, 230
 Luxembourg 50, 108, 188, 207, 223, 433, 453
 Lyon, France 431

 Maastricht Treaty 4, 59, 104n9, 111, 112, 113,
 145, 146, 168, 169, 319, 332, 342
 MacCarthaigh, Muiris 285, 286, 294, 295
 Macedonia 385
 Madeley, John T. S. 433, 448
 Madrid 400, 402, 420, 432
 Madsen, J. S. 275
 Maduro, M. P. 87n53
 Maguire Seven 370
 Mahant, Edelgard 106, 119
 Mahoney, James 279, 295
 Mair, Peter 24, 33, 38, 55, 55nn23–4, 56,
 56n25, 57n27, 270, 271, 275, 276
 Majnoni, G. 248
 Majone, Giandomenico 67, 76, 104, 104n11,
 117, 119, 161, 177, 182, 183, 199, 236,
 248, 281, 295
 Major, C. 385, 390, 392
 Major, John 259
Making Markets in the Welfare State
 (Gingrich) 25
 Malik, Kenan 434, 448
 Mallard, G. 298, 302, 311
 Malmo, Sweden 463
 Malta 433
 managerial delegation 258
 managers of political authority 16
 Manin, Bernard 18, 38
 Mann, Michael 3n1, 4, 6, 12, 31, 39, 64, 76,
 121, 377, 392
 Manning, P. K. 370, 375
Mapping the Quango State (2001) 260
Marbury v. Madison 107
 March, Andrew F. 433, 436, 448
 Mare Nostrum, operation 437
 Marès, A. 327, 327n25, 328n26, 330
 Margetts, Helen 28, 37, 39
 Marinetto, Michael 5, 39, 267, 276
 Marjolin Report (1974) 168
 market-based political economy
 requirements for self-sustaining 232–6
 market-friendly developmental state 163
 market-making states 21–5
 market-preserving state 162, 165, 173, 456
 marketization 70–2, 232, 235, 246, 272
 markets, apparent reduction of state's direct
 role in 185
 Marks, Gary 20, 39, 170
 Marlowe, Lara 448
 Marsh, D. 254, 276
 Marshall, Alfred 123, 134
 Marshall, M. G. 93n80
 Marshall, T. H. 415, 427
 Martin, Lisa L. 108n22, 119
Martin v. Hunter's Lessee 107
 Marx, Karl 82, 140, 142
 Marx, Paul 340, 341, 348
 Marxism 22, 34, 46, 140, 141, 141, 451, 462
 Marzinotto, Benedicta 111n28, 114, 119
 Masse, Pierre 306
 Massoc, Elsa 206, 213, 224, 229
 Mathews, J. T. 63, 76
 Matlary, J. H. 384, 392
 Matthews, F. 267, 268, 276
 Matthijs, Matthias 21, 35
 Mattli, Walter 15, 39, 64, 67, 68, 73, 76, 101,
 103n8, 108n20, 118, 119
 Mau, Steffen 12, 39
 May, Theresa 359
 Mayer, P. 75
 Mayntz, Renate 5, 9, 39, 86n51
 Mazzucato, Marianna 22, 39, 281, 295
 McAdam, Doug 437, 441, 447
 McAra, L. 358, 375
 McCarthy, Patrick 453, 467
 McDermott, G. 172, 176
 McKinley, William 381
 McKinsey 224, 230
 McLean, J. 84n38
 McPherson, J. 388, 392
 Mearsheimer, J. J. 62, 76
 measuring and restructuring the state 313–29
 Médecins sans Frontières 69
 Medicare 459
 Mediterranean states 159
 Medvetz, T. 303, 312
 Meerpoël, M. 403, 411
 Mehrrens, Philip 149n14, 151, 152, 152n16,
 153, 153n17, 155, 244, 248
 Mekhennet, Souad 432, 448
 member state(s)
 assimilation, security and borders
 in 428–46
 concept of 47–9
 and crisis of 'party democracy' 54–7
 with transnational, capitalist policy, making
 of 451–65

- Menon, Anand 32, 377–91, 392
 Mérand, Frédéric 32, 39
 Merkel, Angela 444, 445, 461, 462
 Mertens, Daniel 22, 41, 149n13, 149n14, 150, 153, 155, 157, 158, 178
 Messner, J. J. 94n83
 Mettler, Susan 6, 39, 457, 458, 459, 467
 Mewes, Jan 39
 Mexican Wars 381, 382
 Mexico 34, 105, 188
 Meyer, J. W. 267, 276
 Meyer-Sahling, J.-H. 173, 174, 177
 Mezzogiorno 20
 Michael, M. 300, 311
 Middle Ages 81, 89, 100
 Middle East 420, 431, 432, 435, 438, 440, 444, 459
 Migdal, Joel S. 3, 6, 39, 45, 45n1, 46, 46n4, 280, 295
 migrants 1, 4, 11, 12, 21, 129, 372, 428, 437, 438, 441, 442–6
 migration 5, 7, 11, 13, 21, 88, 127, 428, 429, 437, 441–4, 446, 454, 457, 460, 462, 464
 Migration Management Support Teams 437
 Mikesell, Raymond F. 105n14, 119
 Milhaupt, Curtis 16, 39
 Miliband, R. 2, 39
 military politics, decline of 30–3
 Miller, Lisa 458, 467
 Millar, Michelle 292
 Miller, Peter 27, 39, 299, 312
 Milne, Richard 462, 467
 Ministry for Victims' Rights (France) 364, 365
 Ministry of Defence (UK) 26
 Mirowski, P. 237, 243, 248, 303, 312
 Missiroli, A. 384, 392
 Mitchell, J. 92n75
 Mitchell, Timothy 2, 27, 39, 299, 300, 310, 312, 315n6, 330, 396, 411
 Mitterrand, François 17, 58
 Modernising Public Services programme (UK) 257
 Molas Ribata, P. 80n11
 Moldova 377
 Molina, O. 182, 199, 280, 295
 Mollenbeck neighbourhood, Brussels 430
 Mölling, C. 385, 390, 392
 monetarism 332–3
 monetary union 59, 97, 151, 154, 165, 221, 309
 after crisis 109–15
 Mont Pèlerin Society 237
 Monte Paschi di Siena bank 187
 Montenegro 433
 Moody's 324, 330
 Moore, John 102, 119
 Moran, M. 67, 76, 155, 185, 199, 281, 295
 Moravcsik, Andrew 58n28, 70, 76, 76, 104, 104n10, 106n15, 119
 Morel, Nathalie 150, 155, 334, 335, 336, 344, 345, 346, 349
 Moreno Fientes, Javier 34
 Morgan, Kimberley 9, 40, 197, 458, 459, 464, 468
 Morgan Act (US) 357
 Morgenstern, C. 374
 Morocco 432, 438
 Morris, J. 266, 269, 274
 Mosca, L. 426
 Mouhanna, C. 365, 375
 Mowbray, A. 361, 376
 Moynihan, D. P. 264, 276
 Mudde, Cas 217, 230
 Mudge, S. L. 303, 312
 Mueen, S. 384, 391
 Mügge, Daniel 223, 230
 Mulgan, Geoff 256
 Muller, Pierre 8, 38, 82n28, 181, 182, 199
 multidimensionality of state 4–6
 Mundell, Robert 109
 Munich 452
 Munster, R. V. 396, 405, 410
 Murakami Wood, D. 410
Murder in Amsterdam (2006) 31
 Murray, Georgina 10, 39
 Musgrave, Richard 142, 142n5, 156
 Muslims 31, 429–35, 442, 453, 461, 462
 Mussolini, Benito 86
 Myrdal, Gunnar 215, 230
 Naczyk, Marek 350
 Nahuis, R. 176
 Nanz, P. 77
 Napoleon Bonaparte 383
 Natalini, A. 274
 nation-states
 meet European state 16–18
 and financial integration 215–28
 and re-embedding of European financial markets 227–8
 transition to global polity 78–96
 national vs European states 443–4
 National Asset Management Agency (Ireland) 289
 National Contact Points (EMN NCPs) 442
 National Economic and Social Council (Ireland) 288
 National Front 23, 454
 National Guard 379, 380, 381
 National Health Service (NHS) 26, 29, 337

- National Intelligence Council (NIC) (US) 307–8
- NATO (North Atlantic Treaty Organization) 32, 48, 377, 385, 389
- Nay, O. 83n34
- Nazi Germany 23, 47n5, 462
- Nelms, Lucy 350
- Nelson, Stephen 117
- neoclassical political economy 232
- neo-liberalism 23, 24, 26–30, 181, 195, 234–6, 299, 302, 303, 332, 334, 336, 341, 403, 407, 421, 424, 465
- pressures of 416–17
- problem of contestation under 241–5
- self-destructive properties of 237–41
- theory meets real world 232–47
- neo-managerial reforms in Western Europe 253–61
- neo-managerial turn of bureaucratic states 251–72
- Netflix 456
- Netherlands, The 6, 21, 30, 52, 60, 67, 97, 188, 203, 207, 218, 225–7, 256, 258–62, 340, 344, 356, 363, 365, 373, 433, 434, 436, 444, 451, 454, 459, 462
- Nettl, J. P. 83n34, 98, 119
- Network Rail 186
- network relationships 418–19
- New Deal 23
- New Economic Geography 123
- New Labour Party (UK) 223, 253, 260, 271, 461
- New Public Management (NPM) 26, 28, 29, 131, 252, 285, 321, 452
- New Strategy for the Protection of the Population (Germany) 403
- new technologies of government 27–8
- New York 224
- New Zealand 187, 188, 253, 256, 355, 435
- Neumann, Franz 47n5
- Newman, J. 266, 273
- Newman, Peter 125, 133
- Next Steps reform 256, 259, 261, 262
- NGOs 11, 15, 88, 95, 281, 407, 438, 440, 445
- NIC (National Intelligence Council) 288, 307, 312
- Nicaragua 382
- Nicoll, A. 377, 391
- Nikiforos, Diamandouros 37
- Niklasson, B. 254, 255, 274
- Nikolai, Rita 344, 349
- Nixon, Richard M. 219, 220
- non-EU citizens subject to enforcement of immigration legislation in EU 439
- non-European states 33, 83, 464
- non-state authorities 15–21
- rise of 62–74
- state management of 69–74
- varieties of 63–9
- Noordegraaf, M. 276
- Nordic countries 8, 11, 181, 244, 260, 337, 344, 345, 347, 348, 354, 356, 357, 373, 403n3, 436
- flexicurity in Nordic countries 339–40
- Nordland, Rod 443, 449
- North, D. 161, 177, 238, 248
- North Africa 420, 429, 443, 459
- North America 90, 104, 220, 268, 358, 429
- North American Free Trade Agreement (NAFTA) 104, 105, 109n23
- North Sea 125, 140
- Northern Europe 12, 445
- Northern Italy 20, 125
- Northern League 59
- Northern Rock 203
- Norway 188, 253, 256, 262, 264, 265, 291, 339, 355, 384, 433, 442
- Norwegian Social Science Data Services 291, 295
- Novak, William 457, 468
- Nowotny, H. 300, 312
- nudging 70, 73–4, 195
- Nullmeier, Frank 38, 448, 466, 467
- NUTSEU 124
- Nye, J. S. 64, 76
- Obama, Barack 194
- Oberwittler, D. 365, 376
- Obinger, H. 67, 77, 183, 199
- Obradovic, I. 372, 376
- Obstfeld, Maurice 220, 230
- Occupy Wall Street 22, 420, 422, 423
- O'Connor, James 142, 156, 453, 468
- Odell, John S. 219, 230
- O'Donnell, C. 383, 392
- O'Donnell, G. 96n88, 161, 177
- OECD (Organisation for Economic Co-operation and Development) 8n6, 20, 51, 62, 66, 69, 139, 140, 143, 144n7, 145, 146n9, 147, 187, 188, 241, 285, 286, 305, 313, 314n2, 323, 333, 341, 398, 399, 403, 407
- Offe, C. 267, 276, 415, 427
- Office for Democratic Institutions and Human Rights 95
- Office for Public Sector Reform (UK) 256
- Office of Budgetary Responsibility (UK) 52
- Office of Civil Protection and Disaster Assistance (BBK) 403
- Ohmae, Kenichi 123, 134
- Oikonomakis, L. 425, 427
- Olympic Games 92

- Olsen, J.-P. 261, 276
 Olson, Mancur 217, 230
 O'Malley, P. 298, 312, 396, 411
 Ongaro, E. 255, 257, 262, 263, 276
Opening Up Quangos (1997) 260
 Operation Concordia 385
 operational authority 67, 68, 71, 72
 operational capacity 63–7, 69–72, 74
 Orange, Richard 444, 449, 462, 468
 Orban, Viktor 462
 Ordering Insecurity 354
 Oresund Bridge, Sweden 444
 Organisational Act (Spain, 2006) 260
 Organization for Petroleum Exporting Countries (OPEC) 220
 organization of governments and power to punish 355–7
 organizational approach to analysing state complexity 280–90
 organizational delegation 258, 262
 Ó Riain, Seán 288, 290, 295
 Oriental Europe 33
 Orlando, Vittorio Emanuele 84
 Orloff, Ann 9, 40, 347, 349, 464, 468
 Orren, Karen 8, 40, 268, 272, 277
 Osborne, George 7
 OSCE (Organization for Security and Co-operation in Europe) 48, 65, 95
Osman vs UK 361
 Österreichische Clearingbank AG 207
 Österreichische Industrieholding AG 208
 O'Tierney, Maris 117
 OXPO (Oxford/Science Po) 33
- Packer, F. 320n13, 330
 Padoa-Schioppa, Tomaso 222, 230
 Palier, Bruno 24, 25, 155, 253, 276, 331–48, 333, 337, 338, 340, 341, 349
 Palluault, O. 401, 405, 411
 Palme, Joakim 155, 349
 Palmisano, S. J. 64, 68, 76
 Palumbo, Antonino 128, 133
 Pandolfi, M. 395, 411
 Papadopoulos, Yannis 49n11, 51, 51n15, 57n26, 297
 Paris 21, 31, 34, 80, 324, 399, 429, 431, 432, 443, 444, 452, 454, 462
 Parliamentary Budget Office (Canada) 52
 parochial and global banks and primacy of politics 223–6
 Parrado, S. 255, 258, 260, 262, 263, 273, 276
 partial liberalization and dualization in Continental Europe 340–1
 party democracy 58, 60, 61
 crisis of 54–7
 Pasquier, Romain 131, 134
- Pastori, Giorgio 130, 134
 Patrick, S. 94n82
 Paulson, Henry 203, 213
 Pauly, Louis 113, 119, 211, 213
 Peck, J. 311
 Pelling, M. 398, 412
 penal state 354
 between stifling and diversion 363–9
 pensions 150, 153, 317, 347
 European, and public debt
 problem 315–16
 solidity of bonds and fragility of political 'promise' of 326–9
 as sovereign 'debt' and building of state agenda 320–6
 Performance and Innovation Unit (PIU) (UK) 255
 performant state bureaucracy, reforms of 26–30
 Perkins, Daniel 333, 350
 Perrow, C. 398, 412
 Peters, B. Guy 8, 40, 86, 86n50, 90n65, 90n66, 254, 258, 267, 274, 276, 277, 283, 296
 Petring, A. 75
 Pew Center 434
 Pew Global Attitudes Project 435, 449
 Phillips, Trevor 431, 449
 Pickel, A. 185, 198
 Pierre, J. 90n65, 254, 264, 267, 274, 276, 283, 296, 467
 Pierru, F. 268, 272
 Pierson, Paul 8, 37, 147, 148, 156, 206, 213, 280, 296, 338, 350, 455, 457, 466, 468
 Pijpers, Roos 445, 450
 Piketty, Thomas 24, 40, 144n7, 156, 233, 234, 248
 Pinochet, Augusto 237, 242
 PISA 30
 Pistor, Katharina 16, 39, 327, 327n24, 330
 Pizzorno, A. 414, 427, 428, 449
 Plan familial de mise en sûreté (France) 408
 Plant, Raymond 16, 40
 Plender, John 201, 213
 Plehwe, D. 303, 312
 Podemos party/movement (Spain) 23, 421, 462
 Poggi, Gianfranco 2, 3n1, 4, 14, 40, 100, 120, 389, 392, 452, 468
 Poguntke, T. 255, 270, 277
 Poland 23, 188, 346, 433, 442, 454, 459, 460, 462
 Polanyi, Karl 148, 215, 216, 230, 232, 246, 248, 424
 police/policing 1, 4, 9, 31, 32, 87n55, 244, 282, 353–5, 358, 359, 361, 364, 365, 367–9, 373, 401, 408, 428, 436, 445, 446, 458, 464
 and prosecution, insularity of 369–72

- policy delivery 28–30, 128, 271, 459, 465
- policy-making 425
 - processes 51–61
- policy states, European states as 7–10
- political authority 9, 15, 16, 47, 58, 60, 62–4, 69, 74, 258, 270
 - managers of 16
- political economy 17, 21, 22, 54, 56, 141, 145, 149, 152, 153, 179, 180, 185, 232, 237, 292, 314n2, 358, 455
 - requirements for self-sustaining market-based 232–6
- political institutions 148, 313, 386, 417, 423, 424
 - reforming 415–16
- political order 133, 161, 404, 435, 442, 457, 464
 - present and future, debt metrics and control of 313–29
- political rescaling 125–6
- Pollack, Mark 108, 120
- Pollack, S. D. 380, 381, 382, 388, 392
- Pollitt, C. 256, 259, 266, 277, 283, 296
- Pompidou, Georges 219
- Pons, X. 30, 35
- Pontusson, Jonas 23, 34, 203, 212
- Popitz, Johannes 86
- populism 1, 19, 33, 154, 217, 285, 364, 365, 367, 372, 415, 421, 424, 433, 452, 458–65
- populist challenge to European states 461–3
- Porter, B. D. 379, 380, 380n2, 382, 387, 388, 392
- Porter, T. 75
- Portugal 4, 6, 8, 30, 71, 97, 164, 171, 187, 188, 201, 203, 207, 259, 346, 347, 355, 420, 421, 423, 425, 433, 451
- porous state, clientelism and 289–90
- Poseidon, operation 437
- Posner, R. A. 234, 248
- post-Fordism 25
- Postill, J. 422, 427
- Poulantzas, Nicos 2, 40, 451
- Powell, Charles 60n30
- Power, Michael 27, 40, 269, 277, 402, 407, 412
- Prasad, Monica 280, 296
- Prat, P. 306, 310
- Pratchett, L. 427
- Pratt, J. 354, 376
- prediction
 - and Cold War state 302–5
 - as social technology 299–301
 - transfer to European administrations 305–6
- Prescott, Edward C. 55n22
- Presidential Advisory Bureau (BEPa) 308–9
- Pressman, Jeffrey 8, 40, 86n52
- Prime Minister's Delivery Unit (PMDU) (UK) 256
- Prime Minister's Strategy Unit (PMSU) (UK) 256
- Prisoner's Dilemma, The* (Lacey) 357
- private actors 64, 66–72, 74, 111, 168–70, 172, 282, 315, 326, 348, 406
- private authority 66–8, 70, 72
- private companies 64, 184, 313, 319
- private investment 72, 150, 332
- Prodi, Romano 246
- prosecution and police, insularity of 369–72
- protection of body and soul of individuals, and human rights 360–3
- Protestant–Catholic division 435
- protests against austerity and call for 'real democracy' 420–3
- Prototype Carbon Fund 69
- Prudential Regulation Authority 191
- Prussia 79, 83, 141, 380, 382, 382
- Przeworski, Adam 21, 40
- public bureaucracies 10, 251
 - global trends and transformation of, in Europe 266–71
- Public Choice School 142, 143
- public debt problem, European pensions and 315–16
- public investment 150, 153, 195, 332
- public ownership 181, 182, 196, 197, 283, 291
- public policy 7–9, 20, 22, 29, 58, 148, 152, 242, 256, 257, 268, 271, 280, 303, 304, 322, 455
 - and territory 131
- public–private partnerships (PPPs) 62, 69, 150, 189, 456
- Public Service Agreements (PSA) 257
- Puetter, Uwe 48n7
- punish, power to 355–7
- punitiveness 33, 353–6, 359, 360, 363, 369
- Purple Cabinet (Netherlands) 259
- Pyper, R. 255, 273
- Quack, Sigrid 15, 36
- Quaglia, Lucia 227, 229
- Quebec 100n6, 124
- Quirk, Joel 13, 41
- racism 373, 463
- Radaelli, C. 159, 160, 169, 177, 282, 296
- radicalization 254, 430
 - or integration? 431–2
- Railtrack 186
- Rajan, H. 75
- Ramsay, P. 371, 376
- Rand Corporation 400

- Raqqa, Syria 432
- Rasler, K. A. 386, 392
- rationalization 10, 17, 18, 83, 148, 173, 378, 390
 and border control 441
 and conflict 440–2
 and knowledge 249–350
 vs neoliberalism 26–30
- Reagan, Ronald 86
- ‘real democracy’ 420–4
- Recchi, Ettore 13, 40, 428, 437, 449
- Rechtsstaat 6n5
- reconfigured state 1–33
- reform(ing) 1, 2, 15, 20, 25, 33, 50, 51, 56, 57,
 59, 60, 86, 90, 110n26, 112, 114,
 114n30, 115, 117, 122, 127, 132, 144,
 146, 148, 152, 153, 163, 165, 166,
 168–71, 173, 174, 191–3, 223, 228,
 251–72, 285, 286, 303, 307, 316, 317,
 320–5, 329, 332–4, 336, 338, 340, 342,
 343, 345–7, 371, 380, 381, 396, 406–8,
 414, 418, 422, 424, 444
 after crises and scandals 402–4
 of performative state bureaucracy 26–30
 political institutions 415–16
- refugee(s) 1, 13, 438, 441, 442, 443, 455–6,
 457, 462
- Regan, Aidan 289, 294, 296
- regulatory authority 65, 67, 68, 73
- regulatory competence 63, 65–9, 71, 72, 74
- regulatory state 26, 160–3, 171, 179–83, 190,
 191, 193, 196, 197, 268, 281, 288, 406
- regulatory support 71, 73
- Reich, Simon 113, 119
- Reinecke, J. 365, 376
- Reinhart, Carmen M. 216, 231, 248
- Reinhart–Rogoff criterion 111
- Reinicke, W. H. 62, 76
- Reinke, Raphael 209, 212
- Reiter, H. 426
- Renan, Ernest 80, 80n13
- Reneman, Marcelle 445, 449
- Renick Mayer, Lindsay 206, 213
- Renner, M. 68, 73, 75
- rescaling 1, 11, 100, 122, 127–32, 202, 212
 and decoupling 209–11
 functional 122–4
 political 125–6
- residual rights 102–4
- restructuring 5, 11, 15–20, 23–5, 90, 93, 110,
 111, 114, 115, 124, 130, 154, 158–61,
 165, 166, 170, 172–5, 184, 190, 210,
 259, 261, 263, 309, 331, 336, 338, 348,
 378, 384, 390, 446, 453
 and measuring the state 313–29
 of welfare policies as mode of economic
 intervention 341–6
- Rete Lilliput 420
- Revet, S. 399, 404, 412
- Rey, H. 426
- Reynolds, C. 387, 392
- Rhinard, M. 410
- Rhodes, M. 169, 177, 198, 199, 280, 295,
 337, 348
- Rhodes, R. A. W. 3, 5, 34, 160, 182, 199,
 256, 274
- Rice, S. E. 94n82
- Richards, D. 276
- Rising Tide 420
- Rittberger, V. 66, 76
- Robert, C. 310, 312
- Robert, P. 362, 365, 376
- Roberts, Alistair 24, 40, 52n16, 154, 156, 195,
 197, 271, 277
- Roberts, P. S. 395, 400, 402, 412
- Robertson, David Brian 458, 468
- Rocard, Michel 261
- Rocco, P. 272, 277
- Roché, S. 364, 376
- Rockefeller Foundation 69
- Rogers, P. 410
- Rogoff, Kenneth S. 216, 231
- Rohde, J. 303, 312
- Rokkan, Stein 3n1, 122, 134, 428, 432–6,
 448, 449
- Rolland, Vidar W. 283, 296
- Roman law 83
- Romania 174, 346, 347, 433, 441, 444
- Romano, C. P. R. 65, 66, 76
- Romano, Santi 86, 86n46
- Roness, Paul G. 283, 296
- Ronna, Sweden 463
- Roos, J. 425, 427
- Rosamond, B. 185, 199
- Rosanvallon, Pierre 33, 40, 416, 417, 427
- Rose, L. E. 258, 272
- Rose, Nikolas 27, 39, 299, 312, 396, 408, 411
- Rose, Richard 86, 86n50, 150, 156, 436, 449
- Rosenau, J. N. 62, 76
- Rosenberg, Goran 462, 468
- Rosset, P. 427
- Rost, Dietmar 129, 134
- Rothstein, B. 264, 265, 276, 296
- Rothstein, H. 402, 412
- Rotterdam 452
- Rouban, L. 254, 255, 277
- Royal Bank of Scotland 186
- Royo, S. 159, 160, 170, 177, 178, 226, 231
- Rubin, Alissa J. 430
- Rudder, Catherine E. 283, 296
- Ruedig, W. 424, 427
- Rueschemeyer, Dietrich 46n2, 84n42,
 178, 293

- Ruggie, John Gerard 215, 231, 388, 392
 Rusche, G. 354, 376
 Russia(ns) 9, 227, 243, 244, 245, 377, 383, 400, 438, 444
 Rutherford, B. 274
 Ryner, J. Magnus 337, 350

 Sabel, Charles 282, 296
 Sahling, Jan Hinrik Meyer 175
 Sahlins, Peter 121, 34
 Saint-Martin, D. 252, 277, 333, 344, 349
 Salafism 430
 Salazar, Philippe-Joseph 436
 Sammani, Marcus 296
 Samos, Greece 437, 452
 Sandford, B. A. 304, 311
 Sandholz, Wayne 36
 Sapir, André 119
 Sarkozy, Nicolas 194, 254, 255, 364, 461, 462
 SARS 397
 Sassen, Saskia 88n59, 122, 127, 134
 Saudi Arabia 430
 Saunders, Adam 350
 Savage, Michael 292
 Savage, P. 371, 374
 Savitch, H. V. 127, 134
 scandals 49, 59, 236, 263, 370, 394, 395, 401, 406
 reforming after 402–4
 Scandinavia 20, 60, 258, 260–2, 264, 265, 357
 scenarios and foresight as communicative
 tools of state power 307–9
 Scepanovic, Vera 175
 Schäfer, Armin 154, 156
 Scharpf, Fritz 5, 40, 50, 51n14, 68, 71, 76, 77, 99, 104, 120, 158, 178, 283, 296, 337, 350
 Schauble, Wolfgang 444
 Schengen agreement 30, 32, 97, 124, 436, 437, 438, 442–4, 451–3, 463, 464
 Schengen Borders Code 437
 Schimmelfening, F. 160, 178
 Schinkel, Wilhem 30, 40
 Schmelzer, M. 298, 312
 Schmidt, Vivien 23, 40, 181, 182, 185, 195, 199, 279, 296, 337, 350, 453, 468
 Schmidt-Catran, Alexander 444, 449
 Schmitt, B. 383, 392
 Schmitt, Carl 82, 82n27, 83n32, 86, 199, 451
 Schneider, V. 183, 186, 200
 Schnur, R. 81n19
 Schulz, Heiner 118
 Schumpeter, Joseph A. 139, 141, 141n4, 142, 156, 158
 Schuppert, G. F. 72, 77
 Schwarz, Peter 144n7, 155
 Sciences Po 33, 34, 37, 117

 Sciortino, Giuseppe 445, 449
 Scotland 17, 20, 26, 126, 129, 132, 186, 259, 260, 355, 358, 436
 Scott, Alan 14, 26, 36, 38, 93n76, 123, 127, 135, 266, 275
 Scott, C. 268, 275, 281, 282, 283, 291, 294, 296
 Scott, James C. 26, 40, 299, 301, 312
 Scott, John 10, 39
 Scott, P. B. 312
 Scottish Nationalist Party 126, 129
 Scottish referendum 20
 Seabrooke, Leonard 206, 213
 Second World War 31, 82, 180, 215, 217, 218, 246, 303, 314, 320, 356, 377, 379, 381, 395, 460
 secular state 432, 453
 or revival of Lipset and Rokkan's (1967)
 church–state cleavage? 433–6
Secular State under Siege, The (Joppke) 432–6
 Securities and Exchange Commission (SEC) 181, 319
 security 2, 65–7, 90, 101, 127, 143, 196, 242, 271, 302, 359–62, 364, 382, 383, 386, 387, 389–91, 395–8, 400–3, 405, 407–9, 423, 429, 435, 442–6, 451, 454, 460, 464, 465
 and assimilation and borders in member states 428–46
 rise of security state 30–3
 state and demand for 365–9
 see also social security
 security state 409, 442
 rise of 30–3
 Sedelmeier, U. 160, 178
 Seeleib-Kaiser, Martin 340, 350
 Seikel, D. 75
 Selden, Z. 380, 392
 Sell, S. K. 89n63
 Sem Tierra 425
 Senior Appointment Selection Committee (SASC) (UK) 255
 Sentilj detention camp, Slovenia 443
 Serbia 383, 433, 438
 Services à Compétence Nationale (France) 259, 260
 Setbon, M. 406, 412
 Seward, William 387
 Sewell, W. H. Jr. 414, 427
 Shah, R. 75
 Shayne, Mary 294
 Sheingate, A. D. 271, 277
 Shell Energy 307
 Shleifer, Andrei 281, 293, 295
 Shonfield, Andrew 22, 40, 159, 161, 178, 180, 181, 200
 Sicily 437

- SIGTARP 213
 Sikkink, K. 62, 76
 Silberman, B. S. 83n29
 Silesia 129
 Silicon Valley 22, 457
Simmenthal decision (1978) 108
 Simmons, Beth 103n8, 120, 181, 200
 Simms, B. 386, 389, 392
 Simon, J. 355, 358, 364, 376
 Singapore 30, 300
 Singer, P. W. 32, 40
 Single European Act 167
 Single Resolution Fund 10
 Single Resolution Mechanism 209, 210, 211
 Single Supervisory Mechanism 115, 209
 Sintomer, Y. 426
 Skinner, Quentin 8, 40
 Skocpol, Theda 3n1, 46, 46n2, 84n42, 161, 178, 293
 Skowronek, Stephen 8, 40, 268, 272, 277, 379, 380, 381, 392
 Slansky, D. A. 87n55
 Slaughter, A.-M. 62, 66, 76, 77
 Slingenberg, Lienneke 445, 449
 Slovak Republic 188, 433, 444, 446
 Slovenia 7, 52, 164, 165, 188, 207, 443, 444, 452
 Smith, M. 184, 200, 256, 276, 277
 Smith, Rogers M. 459, 460, 467
 Smith Nightingale, Demetra 156
 Smullen, Amanda 296
 Smyth, Paul 350
 Snacken, S. 359, 360, 363, 375, 376
 Snidal, D. 74
 social classes struggle and debt
 classification 326–9
 social differentiation processes 11
 social equality 414–16
 social investment 25, 142, 247, 331, 332, 341, 334–8
 as new policy paradigm? 334–6
 partial turn to 344–6
 perspective 333–4
 Social Justice Ireland 286, 296
 social movements 4, 14, 28, 33, 127, 247, 440
 and democracy and the state 413–26
 and state 413–17
 will new ones change the state? 423–6
 social order 11, 121, 242, 301, 334
 fragile, and debt metrics 316–17
 social security 150, 316, 327, 328, 333, 335, 338, 343
 social sciences 121, 299, 302
 as state power 306–7
 social technology 302, 304
 prediction as 299–301
 social welfare 6n5, 122, 144, 334
 Société de Financement de l'Economie
 Française, SFEF) 207
 Sodertalje, Sweden 462
 Somalia 377
 Sombart, Werner 141
 Sommer, V. 312
 Sommer, V. 300, 312
 Soskice, David 182, 198, 288, 293, 357, 375
 Sørensen, Eva 281, 296
 Sornette, D. 391
 Sotiropoulos, Dimitir 37
 South America, *see* Latin America
 South East Asia 90
 South Korea 163, 188
 Southern Europe 2, 17, 23, 33, 60, 158–75, 284, 337, 344, 345, 347, 357, 420, 438
 sovereign bond holders against welfare state
 ‘creditors’ 316–17
 sovereign debt 18, 71, 145–7, 227, 313, 314, 317, 318n7, 327, 461, 463
 pensions as, and building of state
 agenda 320–6
 sovereign ratings departments 319–20
 sovereign rights 97–117
 sovereignty 15, 18, 19, 87, 90, 92, 95, 98–103, 111, 116, 125, 126, 129, 216, 237, 244, 267, 299, 364, 367, 416, 422, 454
 semi-archipelago of 369–72
 shifting conceptualizations in EU 100–1
 Sovereignty Index 63
 Spain 4, 6, 11, 19, 20, 23, 30, 60, 110n27, 129, 164, 170, 171, 187, 188, 201, 203, 207, 225, 254, 258, 260, 262, 263, 264, 346, 347, 380, 382, 388, 420, 421, 422, 423, 425, 433, 435, 438, 441, 451, 462
 Spanish Indignados 420
 spatial order, new 131–3
 Special Group on Public Service Numbers and
 Expenditure Programmes 286, 296
 Spendzharova, Aneta 33, 40, 173, 178
 Spengler, H. 365, 374
 Spiegel 205, 214
 Spielfeld detention camp, Austria 443
 Spies, Dennis 444, 449
 Spolaore, Enrico 81n17, 123, 132, 133
 Spruyt, Hendrik 15, 16, 80n9, 97–117, 118, 120
 Stability and Growth Pact (SGP) 110n26, 112, 114, 169, 332, 342
 Stampnitzky, L. 310, 312
 Standard and Poor's rating agency (S and P)
 320, 323, 324
 Stark, David 175
 Starr, A. 419, 425, 427
 state(s)
 ambiguities of 78–9

- state(s) (*cont.*)
- analysing continuing role of 193–6
 - and border control 436–44
 - comparative organizational analysis of 291
 - consolidation 139–54
 - continuing direct role of 183–93
 - and crises and assimilation 429–36
 - decline of 85–9
 - definition of 5–13
 - and demand for security 365–9
 - diffuse 285–7
 - direct role in markets, apparent reduction of 185
 - in Europe: crucial role of law 359–63
 - and expertise 309–10
 - indirect 180–3
 - in flux 94–6
 - liberal developmental 287–9
 - and management of expectations 298–310
 - measuring and restructuring 313–29
 - porous 289–90
 - reconfiguration of 57–61
 - regulatory 180–3
 - resurgence of 89–94
 - rise and growth 79–85
 - vs. non-state authority 62–74
 - and social movements and democracy 413–26
 - territorial 121–33
 - will new social movements change the state? 423–6
- State after Statism, The* (Levy) 22
- state agencies 28, 87, 263, 281, 290, 333
- classifying 283–4
 - defining 282–3
 - termination by type 287
 - total number of 286
- state agenda, pensions as sovereign ‘debt’ and building of 320–6
- state authority 4, 16, 64, 70, 74, 85, 86, 101, 109, 111, 300, 310, 371
- in shadow of contractualization, diversion, and victims’ claims 363–5
- state capacity 1, 10, 17, 18, 23, 30, 70, 98n2, 158, 160, 161, 163, 236, 267, 299, 314, 408, 442, 460
- in finance, paradox of 202–5
 - in financial times 201–12
 - fragmented development of 285–7
- State Capacity Survey 93
- state changes 46
- and economic crisis 179–97
- state complexity, organizational approach to analysing 280–90
- state controls 184, 457
- OECD data on 188
- State Fragility Index 93
- state liabilities 327
- external control of 315–16
- state-making markets 21–5
- state management of non-state authority 69–74
- state models of assimilation 430–1
- state power 13, 216, 237, 283, 310, 353, 361–3, 369, 391, 396, 441
- scenarios and foresight as communicative tools of 307–9
 - social sciences as 306–7
- state response to rescaling 127–8
- state restructuring 5, 17, 158, 160, 165, 170, 172–5, 261, 378
- supply-side policies in East and South 166
- state roles 179, 183, 291
- analysing continuing 193–6
 - and direct instruments for shaping markets 193
 - in markets, apparent reduction of 185
- statism 83, 181
- and liberalism 284–5
- Stears M 27, 38
- Stedman Jones, Daniel 4, 40
- steering 29, 90, 194, 196, 268, 270–2, 300, 302, 304, 314
- combining and varying 261–6
 - and controlling bureaucracies in Western Europe, reinforcing methods of 253–7
 - vs delegation 253–61
- Steffek, J. 66, 77
- Stein, Herbert 220
- Stein, Lorenz von 82
- Steinberger, Peter 9, 41
- Steinmo, Sven 6, 41, 83n31, 96n85, 96n86, 458, 468
- Stepan, A. 161, 177, 178
- Stephens, John D. 38, 448, 466, 467
- Steuerle, C. Eugene 150, 156
- Stevens, A. 197
- Stevenson, Matthew 109n23, 120
- Stiglitz, J. 162, 178, 195, 200, 427
- Stjepanovic, Dejan 129, 135
- Stockholm 12, 452, 462
- Stoker, G. 267, 270, 277, 427
- Stolfi, F. 254, 255, 263, 274, 277
- Stölting, Erhard 129, 134
- Stolz, Stéphanie Marie 204, 214
- Stone Sweet, Alec 36, 50n13, 108n20, 120, 191, 200
- Stopford, J. 158, 178
- Storper, Michael 123, 135
- Story, Jonathan 222, 231
- Strange, Susan 5, 41, 87n56, 88n57, 90n68, 158, 178, 181, 200, 211, 214, 218, 231

- Strasbourg 50, 359
- Streeck, Wolfgang 5, 21, 22, 35, 41, 64, 67, 77, 139–54, 139n1, 140nn2–3, 156, 157, 158, 178, 181, 186, 200, 237, 243, 245, 248, 280, 296, 423, 427, 453, 455, 468
- Structural Funds (SF) 163, 168, 169, 171, 173
- sub-Saharan countries 443
- Suez 190
- Suleiman, E. N. 266, 277
- Sundström, G. 257, 277, 467
- Sunstein, C. R. 70, 77, 195, 200
- supply side 24, 166, 194, 331, 332, 348
 reorientation to 341–6
- supranational adjudication, rise of 103–9
- Supreme Court (US) 107, 115, 359, 387
- surrendering governance to third parties by
 incomplete contracting 101–3
- Sutton, John R. 459, 466
- Sweden 31, 52, 145, 151–3, 188, 203, 207, 244, 253–7, 261, 262, 264, 265, 339, 347, 384, 390, 403, 429, 433, 441, 444, 454, 459, 462–3
- Swedish Democrats party 433, 459, 462
- Switzerland 52n17, 188, 355, 400, 433, 436
- Syria 431, 432, 438, 443, 446, 462
- Syriza party/movement (Greece) 23
- Taft, P. 94n83
- Taiwan 163
- Talbot, C. 259, 277, 296
- Tallberg, J. 66, 77
- Tangentopoli* scandals 59
- Tarrow, Sidney 22, 35, 122, 135, 459, 468
- tax revenue 11, 146
 in OECD countries 147
- Tea Party movement 459
- Tedoldi, L. 80n9
- Telecom Italia 190
- Telefonica 190
- Teorell, Jan 290, 296
- territorial state 6n5, 121–33
- territory 2, 5, 21, 99, 121, 122, 126, 129–33, 298–301, 308, 309, 382, 385, 389, 397, 406, 464
 and public policy 131
- Texas 460
- Tsoukala, Anastassia 35
- Thacker, Strom 105, 120
- Thain, C. 256, 277
- Thaler, R. H. 70, 77, 195, 200
- Thatcher, Margaret 4, 17, 27, 86, 90, 223, 254, 255, 258, 338, 461
- Thatcher, Mark 9, 23, 25, 40, 41, 179–97, 198, 199, 200, 279, 281, 292, 296, 297, 452, 453, 455, 468
- Thelen, Kathleen 22, 41, 181, 186, 200, 279, 295, 340, 341, 349
- Theodore, N. 311
- Therborn, Goran 6, 11, 41
- Thiel, S. V. 278
- Thiesse, A.-M. 81n16
- Thirty Years War 3
- Thompson, E. P. 414, 427
- Thompson, G. 92n75, 181, 182, 198
- Thompson, W. R. 386, 392
- Thornhill, C. 85n44
- Tierney, K. 402, 405, 412
- Tilly, Charles 3n1, 6, 30, 41, 46, 46n2, 80, 80n10, 83n34, 428, 449
- Tirole, J. 239, 248
- Titmuss, R. 395, 412
- Titus, C. H. 78n1
- Tocqueville, A. 82
- Toje, A. 389, 393
- Tonry, M. 371, 376
- Torfin, Jacob 281, 296
- Torino Social Forum 419, 427
- Torny, D. 408, 412
- Torres, F. 169, 170, 177, 178
- tracking the state in liberal economy 279–92
- transformation(s) 2, 3, 5, 8, 9, 14, 22, 26, 28, 31, 33, 45–7, 60, 61, 108, 142, 153, 161, 165, 170, 181, 216, 225, 252, 264, 303, 315, 336, 337, 353, 354, 358, 362, 369, 372, 373, 382, 394, 396, 398, 408, 409
 or crisis? 453–63
 of public bureaucracies in Europe and
 global trends 266–71
- transnational actors 16, 64, 67, 69, 70, 73
- transnational authority 68–9
- transnational market-making state 162
- transnational markets 158, 162, 164
- transnational operators 68, 69, 73, 74
- transnational organizations 30, 64, 68, 455
- transnational regulators 68, 69, 73, 74, 455
- TRANSTATE research programme 6n5
- Travers, T. 275
- Treaty of Rome 194, 106
- Treaty of Westphalia 3, 428
- Treib, Oliver 281–2, 297
- Trenkov-Wermuth, C. 392
- Trieste 452
- Triglia, Carlo 20, 41, 130, 133, 135
- Trinkunas, H. 401, 410
- Triton, operation 437
- Troika programme 346
- Trondal, J. 265, 274
- TRUDI 6n5
- True Finns 23, 454
- Truglia, V. J. 328nn27–8, 330
- Trump, Donald 460

- TSB 190
 Tsingos, Basilios 60n30
 Tsingou, Eleni 206, 213
 Tsitsianis, Nick 155
 Tucholskan, Anna 129, 135
 Tullock, Gordon 142, 143, 155
 Turkey 89, 188, 346, 361, 429, 433, 437, 440
 Tusk, Donald 441, 443
 TV5 Monde 390
- Uber 456
- UK (United Kingdom) 4, 6, 7, 9, 11, 17–21,
 26, 29, 30, 32, 48, 49, 51–3, 52n18, 67,
 79, 84, 85, 90, 112, 126, 129, 140, 180,
 181, 183, 184n3, 186, 188–92, 194, 203,
 204, 207–9, 217, 218, 220, 223, 224,
 234, 236–8, 243, 245, 253–62, 269, 271,
 284, 288, 321n15, 327, 337–9, 344–9,
 356, 359, 361, 363, 369, 370–3, 385,
 386, 388, 390, 394, 397, 398, 400–4,
 406, 407, 408, 420, 425, 429–31,
 433, 436, 442, 444, 451, 453, 454,
 458–64
 liberalization in 338–9
 UK Treasury 218
 UKIP party 459
 Ukraine 377, 400, 440, 454
 Umunna, Chuka 430, 449
 UN (United Nations) 3, 47, 65, 66, 70, 85, 89,
 92, 93, 95, 377, 385, 399
 UN Democracy Fund 93, 95
 UN International Strategy for Disaster
 Reduction 399
 UN Sanctions Committee 92
 UN Security Council 66, 70
 Underhill, Geoffrey 99n3, 114n30, 120, 223, 229
 unemployment 55, 109, 143, 144, 153, 238,
 271, 333–5, 337–40, 343, 345, 348, 424,
 429, 444, 463
 Union Army 380
 unstable world 397–8
 urban condition 126–7
 Urry, John 13, 36
 Urwin, Derek 122, 134
 US (United States) 2, 7–9, 18, 28, 32, 65, 67,
 72, 73, 84, 103, 105, 110n26, 112, 113,
 115, 149n11, 181, 186, 187, 192, 194,
 202–4, 206, 207, 218, 219, 234, 238,
 239, 245, 271, 281, 304, 305, 307, 308,
 313, 314, 319, 321n15, 324, 345,
 353–60, 371, 373, 378–84, 386–8, 395,
 396, 400–2, 404–9, 421, 428, 429, 432,
 434, 435, 455–62, 465
 emergence of a superpower 378–82
 and European state 457–61
 see also America(ns)
- US Articles of Confederation (1781) 107
 US-Canadian auto-pact (1965) 105
 US-Canadian FTA (1987) 105
 US Constitution 18, 103, 107, 115, 149n11,
 386–9, 458
 US Crime Act 357
 US Department of Homeland Security
 (DHS) 402
 US Federal Reserve 143, 458
 US Republican Party 460
 US Treasury 219
 use of force 6n5, 31, 452
 transformation of state's 353–73
 use rights 102
 USSR 298, 300
 Utrecht school of criminology 356
- Vachudova, Miladan 33, 40, 160, 173, 175, 178
 Vail, M. I. 67, 75, 281, 294
 Valasek, T. 383, 384, 385, 393
 Valelly, Richard 458, 467
 Valencia, Fabian 204, 213
 Valls, Manuel 430
 van Creveld, Martin 30, 41, 382, 383, 388,
 389, 393
 van de Kerchove, M. 375
Van Gend and Loos v. Nederlandse
Administratie Belastingen (1963) 107,
 108n18
 van Gogh, Theo 31, 432, 434
 Van Ham, P. 389, 393
 Van Houtum, Henk 445, 449
 van Ingelgom, Viriginie 36
 van Munster, R. 298, 302, 310
 van Thiel, S. 259, 274, 275, 278, 291, 297
 Verdun, A. 168, 177
 Verhoest, K. 260, 261, 277, 278
 Verney, S. 170, 178
 Véron, Nicolas 210, 214
 Verschuere, B. 277
 Vickers, J. 183, 200
 victims' claims and state authority 363–5
 Vienna 452
 Vigdor, Jacob L. 429, 449
 Vigneswaran, Darshan 13, 41
 Vinci 190
 Viossat, Louis-Charles 333, 349
 Visa Information System 438
 Visegrad states 165, 166, 173
 Vishny, Robert 295
 Vitale, Tommaso 29, 31, 34, 428–46, 449
 Vives, Luna 445, 450
 Voelzkow, Helmut 133
 Vogel, D. 401, 410
 Vogel, S. K. 67, 72, 77, 182, 196, 200, 280, 297
 Volcker, Paul 143

- Voltaire (François-Marie Arouet) 84
 von Bogdandy, A. 91n71
 von Gneist, R. 84n37
 Vu, Tuong 6, 41, 80n9, 84n41, 457, 468
 Vukov, Visnja 17, 158–75, 178, 456
- Wacquant, Loic 9, 41, 354, 376
 Waddington, D. 370, 376
 Wade, M. 367, 369, 375, 375
 Wade, R. 62, 77
 Waelti, Sonja 282, 297
 Wagner, Adolph 141, 142, 157
 Wagner, P. 301, 312
 Wagner, Richard E. 143, 155
 Wagner's Law 141, 142
 Wagstyl, Stefan 444, 446, 453, 465
 Waldron, J. 415, 427
 Wales 20, 259, 260, 354, 355, 356, 364, 373
 criminalization and attrition in 366
 Walker, C. 403, 412
 Walker, J. 408, 411
 Wallace, W. 377, 391
 Walsh, John R. 292
 Walter, Ingo 222, 231
 Warren, C. T. 391
 Wasik, Zosia 442, 450
 Watanuki, Joji 36
 Watson, M. 180, 198
 Weaver, R. K. 270, 278
 Webb, P. 255, 270, 277
 Webber, D. 197
 Weber, Alfred 142n5
 Weber, Max 3n1, 7, 9, 46, 63, 64, 77, 78, 82,
 173, 266, 353, 376
 Weberian model 7, 14, 19, 28, 46, 83, 252,
 266, 434, 452, 457, 460, 463, 464
 Wedow, Michael 204, 214
 Wegrich, Kai 291, 295
 Weimar Republic 86
 Weingast, B. 161, 173, 177, 178
 Weiss, Linda 21, 41, 62, 77, 182, 200, 280, 297
 welfare policies 336, 341–6
 welfare state 151
 'creditors' against sovereign bond
 holders 316–17
 different crises of European welfare
 systems 336–7
 paradigms, principles, and policies
 summarized and compared 335
 reconfiguration of, in Europe 331–48
 reorienting: austerity before Great
 Depression 333
 sequencing of European welfare
 paradigms 332–6
 three worlds of welfare system
 restructuring 336–41
- Wendling, C. 402, 412
 Werfel, F. 81n21
 Werner, B. 75
 Werner, K. F. 89n61
 Werner Report (1970) 168
 Western Europe 2, 23, 50, 57, 57n27, 58, 159,
 163, 175, 181, 247, 358, 414
 reinforcing methods of steering and
 controlling bureaucracies in 253–7
 Westphalia peace treaty 428
 Whitman, J. Q. 353, 376
 Wikan, Unni 434, 450
 Wilamowitz-Moellendorf, Ulrich 80, 81n15
 Wildavsky, Aaron 8, 40, 86n52
 Wilks, S. 198, 181, 200
 Willett, L. 384, 393
 Williams, Karel 155
 Williamson, Oliver E. 102, 102n7, 120
 Wilson, Alex 130, 131, 134
 Wilson, G. 195, 198, 209, 213
 Wilson, P. A. 392
 Wilson, Woodrow 381
 Wincott, Daniel 336, 337, 342, 345, 349
 Witney, N. 385, 393
 Witte, Griff 452, 462, 468
 Wittes, B. 390, 393
 Wolf, Friedrich August 80
 Wolf, M. 235, 248
 Wolff, Guntram 119
 Woll, Cornelia 23, 35, 41, 185, 195, 197, 199,
 201–12, 214, 288, 297, 454, 456, 468
 Wollmann, Hellmut 291, 295
 Wood, S. 194, 199
 Woodruff, D. 161, 178
 Working Family Tax Credit 338
 World Bank 66, 164, 172, 333, 399, 419
 World Health Organization (WHO) 66
 World Trade Organization (WTO) 48, 65, 66,
 85, 88, 89, 90, 183, 417, 419
 Worldwide Governance Indicators 94
 Wright, M. 181, 200, 256, 277
 Wright, Stephen 229
 Wright, Vincent 5, 5n3, 41, 42, 88n57, 181,
 182, 183, 199, 200
 WTO Appellate Body 65
 Wuest, B. 427
 Wurzelm, R. 275
 Wyplosz, Charles. 52n17
- X & Y vs Netherlands* (1987) 360

Yase vs Turkey 361
 Yesilkagit, K. 264, 278
 Youth Justice and Criminal Evidence Act
 (England and Wales, 1999) 364, 371
 Yugoslavia, break-up of 443

Zakaria, F. 381, 382, 387, 393
 Zamponi, L. 425, 427
 Zangl, Bernhard 15, 62–74, 75, 76, 77
 Zapatistas 425
 Zaricki, Tomasz 129, 135
 Zedner, L. 358, 376
 Zeitlin, Jonathan 282, 296
Zelfstandige bestuursorganen (ZBO)
 (Netherlands) 259, 260
 Ziblatt, D. 10, 42
 Zielonka, Jan 464, 468
 Zimmer, Daniel 236, 248

Zimmermann, Ann 39
 Zimmermann, Hubert 224, 231
 Zimmermann, J. 68, 77
 Zito, A. 275
 Zoega, Gylfi 228
 Zolberg, A. R. 381, 393
 Zolnhöfer, R. 67, 77, 199
 Zuckerman, Alan S. 45n1
 Zürcher, C. 88n59
 Zürn, Michael 6, 6n5, 42, 62, 65,
 75, 77
 Zysman, J. 181, 200, 224, 231